

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[861 NE2d 43, 828 NYS2d 228]

HAROLD ROSENBAUM, Respondent, v CITY OF NEW YORK et al.,
Appellants.

Argued October 12, 2006; decided November 20, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 29, 2005. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Betty Owen Stinson, J.), which had dismissed plaintiff's cause of action for slander of title, and the judgment entered thereon dismissing the complaint in its entirety, (2) vacated the judgment, and (3) reinstated the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Rosenbaum v City of New York, 24 AD3d 349, reversed.

HEADNOTE

Municipal Corporations — Notice of Claim

A letter sent by plaintiff's attorney to an attorney in the office of defendant municipal agency did not satisfy plaintiff's obligation to serve a timely and adequate notice of claim for special damages arising out of liens filed by the agency against plaintiff's property. A notice of claim is sufficient (General Municipal Law § 50-e [2]) if it includes information that enables the municipality to investigate the claim. The letter at issue did not alert its recipient to the imminence of litigation, or adequately describe special damages or when they were allegedly incurred. Rather, it was filled with tentative expressions, ap-

pearing as merely a piece of routine correspondence exchanged during the heat of an ongoing controversy. The requirements of General Municipal Law § 50-e (2) are not fulfilled when a plaintiff or an attorney writes a letter to a municipal agency suggesting that unmet demands might lead to litigation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 645, 656, 678.

CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:49, 144:51, 144:55.

McKINNEY's, General Municipal Law § 50-e (2).

NY JUR 2d, Government Tort Liability §§ 342, 367, 368, 391, 392.

SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

See ALR Index under Notice of Claim.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: notice /2 claim & letter /s attorney & special /2 damage

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Deborah A. Brenner, Leonard Koerner and Larry A. Sonnenshein of counsel), for appellants. I. Because the August 18, 1994 letter did not place the City of New York on notice of the slander of title claim so as to enable it to conduct a timely investigation with an eye toward imminent litigation, the First Department erred in construing it as a valid notice of claim. (*Young v New York City Health & Hosps. Corp.*, 91 NY2d 291; *Gaynor v Town of Hoosick*, 58 NY2d 699; *Adkins v City of New York*, 43 NY2d 346; *Matter of Beary v City of Rye*, 44 NY2d 398; *Lomax v New York City Health & Hosps. Corp.*, 262 AD2d 2; *Salesian Socy. v Village of Ellenville*, 41 NY2d 521; *Kruger v Industrial Rehabilitation Corp.*, 8 AD2d 29, 7 NY2d 958; *Squire Records v Vanguard Rec. Socy.*, 19 NY2d 797; *Berner v City of New York*, 276 App Div 1069; *McKune v City of New York*, 19 AD3d 308.) II. The First Department also erred in holding an attorney for a discrete city agency to be an attorney regularly engaged in representing the City of New York within the meaning of the General Municipal Law § 50-e (3) (a). (*Matter of Iannelli v Lev-*

enthal, 79 AD2d 562; *Adkins v City of New York*, 43 NY2d 346; *Losada v Liberty Lines Tr.*, 155 AD2d 337; *Herrera v Duncan*, 13 AD3d 485; *Gallagher v Liberty Lines Tr.*, 211 AD2d 440; *Matter of Brown v Board of Trustees of Town of Hamptonburg, School Dist. No. 4*, 303 NY 484; *Teresta v City of New York*, 304 NY 440; *Matter of Board of Educ. of Enlarged Ogdensburg City School Dist. [Wager Constr. Corp.]*, 37 NY2d 283; *Davidson v Bronx Mun. Hosp.*, 64 NY2d 59; *Kroin v City of New York*, 210 AD2d 95.) III. The complaint was also fatally deficient in that it failed to allege that a timely notice of claim had been served upon the City of New York. (*Telaro v Telaro*, 25 NY2d 433; *Scantlebury v New York City Health & Hosps. Corp.*, 4 NY3d 606; *Smith v Scott*, 294 AD2d 11; *Widger v Central School Dist. No. 1*, 20 AD2d 296; *Republic of Argentina v City of New York*, 25 NY2d 252; *Copeland v Salomon*, 56 NY2d 222; *Salesian Socy. v Village of Ellenville*, 41 NY2d 521.) IV. Because a slander of title claim does not accrue until plaintiff has suffered pecuniary loss, the August 18, 1994 letter was premature and therefore could not serve as a notice of claim. (*Snyder v Town Insulation*, 81 NY2d 429; *IFD Constr. Corp. v Corddry Carpenter Dietz & Zack*, 253 AD2d 89; 39 *Coll. Point Corp. v Transpac Capital Corp.*, 27 AD3d 454; *Iuliano v Romano*, 225 AD2d 493; *Kendall v Stone*, 5 NY 14; *Terrace Hotel Co. v State of New York*, 19 NY2d 526; *Collision Plan Unlimited v Bankers Trust Co.*, 63 NY2d 827; *Drug Research Corp. v Curtis Publ. Co.*, 7 NY2d 435; *Squire Records v Vanguard Rec. Socy.*, 19 NY2d 797; *Hanbidge v Hunt*, 183 AD2d 700.)

Derfner & Gillett, LLP, New York City (Donald A. Derfner and David P. Gillett of counsel), for respondent. I. The Appellate Division correctly held that the August 18, 1994 letter was a notice of claim. (*Abbot v City of New York*, 271 AD2d 364; *Basile v City of New York*, 156 AD2d 239; *Montana v Incorporated Vil. of Lynbrook*, 23 AD2d 585; *Melisi v Central School Dist. No. 1*, 25 AD2d 54; *Mahoney v Town of Oyster Bay*, 71 AD2d 879; *Brown v City of New York*, 95 NY2d 389; *Losada v Liberty Lines Tr.*, 155 AD2d 337; *Gallagher v Liberty Lines Tr.*, 211 AD2d 440; *Santiago v Liberty Lines Tr.*, 259 AD2d 362; *Miller v Liberty Lines*, 208 AD2d 454.) II. Harold Rosenbaum's slander of title cause of action accrued the moment the Department of Housing Preservation and Development filed the false liens, and his special damages are not limited to the lost sale. (*Ferran v Belawa*, 241 AD2d 841; *Lampert v Edelman*, 24 AD2d 562; *Republic of Argentina v City of New York*, 25 NY2d 252; *Hanbidge v Hunt*, 183 AD2d 700; *Kirkland v American Tit. Ins. Co.*, 692 F

Supp 153; *Memory's Garden v D'Amico*, 84 AD2d 892; *Lieberman v Gelstein*, 80 NY2d 429; *Hogan v Herald Co.*, 84 AD2d 470, 58 NY2d 630; *Bishop v New York Times Co.*, 233 NY 446; *People v Evans*, 94 NY2d 499.) III. Failure to allege timely service of the notice of claim in the complaint is not fatal to Harold Rosenbaum's cause of action. (*Rosenbaum v City of New York*, 5 AD3d 154; *Salesian Socy. v Village of Ellenville*, 41 NY2d 521; *Snyder v Board of Educ. of Ramapo Cent. School Dist. No. 2, Town of Ramapo, Rockland County*, 42 AD2d 912; *Cochrane v Town of Gates*, 18 AD2d 1048; *Murray v City of New York*, 43 NY2d 400; *Fitzgibbon v County of Nassau*, 112 AD2d 266; *Scantlebury v New York City Health & Hosps. Corp.*, 4 NY3d 606; *Davidson v Bronx Mun. Hosp.*, 64 NY2d 59; *Smith v Scott*, 294 AD2d 11; *Widger v Central School Dist. No. 1*, 20 AD2d 296.)

OPINION OF THE COURT

READ, J.

On this appeal, we are asked to decide whether a letter dated August 18, 1994 sent by the attorney for plaintiff Harold Rosenbaum to an attorney in the New York City Department of Housing Preservation and Development (HPD) satisfies General Municipal Law § 50-e. For the reasons that follow, we conclude that it does not.

I.

On August 31, 1993, plaintiff purchased 31-33 Mt. Hope Place, a 26-unit residential apartment building in the Bronx, from a trustee in bankruptcy. The purchase price was \$5,000. On November 10, 1993, plaintiff and the City of New York executed an in rem installment agreement whereby plaintiff agreed to pay the City \$66,298.39¹—\$34,184 upon execution of the agreement and the balance in four quarterly installments commencing on January 1, 1994—representing all delinquent taxes, assessments and other legal charges and interest due on the building, computed to the date of the agreement.

In May 1991, however, Civil Court found that a dangerous condition existed at the building, and appointed an administrator pursuant to RPAPL article 7-A to oversee necessary repairs. The 7-A administrator borrowed \$160,000 from HPD to pay for this work. The repairs were completed by February 1993, several months before plaintiff purchased the building.

1. This is the figure set forth by plaintiff in his complaint. Other similar but slightly different numbers—notably, \$64,000—appear at various points in the record.

By March 1994, several months after plaintiff bought the building and entered into the in rem installment agreement, he and HPD were wrangling over whether the City should or could create enforceable liens for the \$160,000 loaned by HPD. On March 16, 1994, an HPD attorney in the agency's Judgment Enforcement Unit wrote plaintiff, via ordinary and certified mail, return receipt requested, to advise that he had not yet received apparently promised documents showing "that various HPD liens were somehow extinguished by [plaintiff's] purchase of the property"; and to warn that unless these documents were forwarded within 10 days, HPD would "commence enforcement of said liens."

On March 25, 1994, plaintiff replied that his attorney had told him that he had spoken to the HPD attorney, who had agreed to forward "documents that purportedly will show why the City believes it is entitled to place a lien on these premises," but that such papers had not been received. He expressed his understanding that

"the foreclosure of the mortgage, which pre-dates your alleged lien, wipes out your non-filed liens. In addition, the Bankruptcy Court approved the sale to me and when I bought, there [were] no such liens on file. Accordingly, [HPD's] negligence in not properly filing the liens cannot work to prejudice me."

He warned that he had "been informed that the continuation of the false liens is a slander on my title and is actionable"; and copied this letter to his attorney.

Also on March 25, 1994, the attorney representing the 7-A administrator notified HPD that a March 21, 1994 affidavit of expenses, which totaled \$160,000, should have been sent to plaintiff rather than to him. He further suggested "that there was a superceding foreclosure and that, apparently, these alleged charges were not properly filed," and blind-copied his letter to plaintiff. On May 28, 1994, however, HPD filed a statement of account for the \$160,000 in the office of the city collector.

On August 12, 1994, plaintiff's attorney wrote a second attorney at HPD—that is, not the same agency counsel to whom he and his client had talked or written the previous spring—stating that "[t]he subject of this letter is the liens for work allegedly performed . . . as set forth in the affidavit of" expenses

dated March 21, 1994. He noted that “[a] tax search was done 7/21/94 in connection with a title application for the sale of the building,” which revealed three liens totaling \$160,000. Plaintiff’s attorney asserted that when plaintiff purchased the building he did not know that \$160,000 had been spent on repairs, or that the City intended to impose liens in this amount. He declared that “[t]he purpose of this letter is to request that these liens be canceled of record,” and closed with the request that the HPD attorney “[p]lease contact [him] after [he had] reviewed the matter.”

Six days later, on August 18, 1994, plaintiff’s attorney wrote the HPD attorney again. After outlining plaintiff’s and his prior dealings and dispute with HPD, plaintiff’s attorney complained that the “sole notice” relative to the \$160,000 was the March 21, 1994 affidavit of expenses. Indeed,

“[t]o date no bill was ever sent to the record owner. The sole awareness was a new title search relative to a sale that indicate[s] that these charges were placed as financial aid[] liens on May 28, 1994 (see copy of tax search attached).

“Clearly there is no legal basis for these liens. I explained this to you and to date no one has provided any reason for the City’s failure to follow the law and yet to slander [plaintiff’s] title by placing these liens on the property almost one year after title passed.

“Unless these liens are removed forthwith then [the owner] may lose his current sale and be substantially damaged. If an action is brought due to [the] City’s unlawful refusal to remove the illegal liens, then the owner is entitled not only to costs but legal fees as well. I hope this will not be necessary.

“Please review and reply.”

On October 14, 1994, plaintiff and his attorney met with HPD representatives, including both of the HPD attorneys with whom they had dealt previously. Plaintiff’s attorney followed up this meeting with a letter to the HPD attorney whom he had written in August “to confirm the City’s position with respect to these alleged liens.” After setting forth his understanding of the City’s view in 11 numbered paragraphs, he stated that

“[i]f after you have reviewed this and the law, you

still do not vacate these clearly improper and unenforceable liens from this property on or before 10/18/94, then I will have no choice but to direct my client to commence an action not only to discharge same, but for all damages, including counsel fees and punitive damages for the City's punitive refusal to comply with the law.

"Be guided accordingly."

Plaintiff sued the City on October 21, 1994. The first cause of action sought to discharge the liens; the second alleged slander of title, "caus[ing] a loss of a sale and resultant profit to plaintiff, attorneys['] fees and costs" believed to exceed \$500,000. The complaint did not allege special damages.

On January 16, 1995, plaintiff served a notice of claim on the Comptroller of the City of New York.² The notice specified the "nature of the claim" as inclusion of plaintiff's building in an in rem tax foreclosure action "when there were no taxes or other charges legally due," which was brought about by the failure of city employees "to properly file, docket and bill for alleged work done on the premises and [who] are now precluded from doing so as claimant was a bona fide purchaser who purchased with no notice nor record notice of these alleged liens." Plaintiff further stated that his claim arose on December 16, 1994 and was continuing, and that he had been damaged in the amount of \$500,000. Plaintiff's property had apparently remained on the list (called the list of delinquent taxes) of parcels on which there were tax liens subject to foreclosure (*see generally* Administrative Code of City of NY § 11-405). On December 16, 1994, the City commenced an in rem tax foreclosure proceeding, which was withdrawn five months later on May 19, 1995 (*see id.* § 11-413).

In 1998, plaintiff moved for partial summary judgment to discharge the 7-A liens, and the City subsequently cross-moved for summary judgment dismissing the complaint. Supreme Court granted plaintiff's motion, denied the City's cross motion and severed the second cause of action for slander of title. The Appellate Division modified Supreme Court's order to the extent of denying plaintiff's motion for partial summary judgment, and

2. The first page of the copy of the notice of claim in the record is undecipherable. The parties most often assign the date of January 16, 1995 to this document, but on occasion refer to it as dated January 6, 1995 or January 9, 1995.

subsequently certified to us the question whether its order was properly made.

The appeal “turn[ed] on how and when a 7-A lien [was] created and when a purchaser [was] put on notice of the forthcoming lien” (*Rosenbaum v City of New York*, 96 NY2d 468, 473 [2001]). We concluded that the lien was created when HPD filed a statement of account in the office of the city collector, as required by section 27-2144 (b) of the New York City Administrative Code; and that to take priority over other liens and encumbrances, HPD must have previously filed the purchase or work orders reflected in the statement of account in a building-specific index, as required by section 27-2144 (a). These indices “furnish[] notice to prospective purchasers and lenders that public monies have been spent and a lien is forthcoming. If HPD fails to furnish this notice, the forthcoming lien cannot be enforced retroactively against them provided they took in ‘good faith’ ” (96 NY2d at 473-474 [citation omitted]).

In this case, the City admittedly neglected to file the relevant purchase or work orders in a timely fashion; therefore, plaintiff did not have constructive notice of any impending 7-A liens when he purchased the building. Because the City failed to raise a triable issue of fact as to plaintiff’s actual notice, we did not address whether he would have been subject to the lien had he actually known about the loans. Thus, we reversed the Appellate Division’s order, granted plaintiff partial summary judgment on his first cause of action discharging the liens, and answered the certified question in the negative.

Our decision had the effect, of course, of returning the second cause of action for slander of title to Supreme Court for trial. Plaintiff filed a note of issue and both parties moved for summary judgment. In 2002, Supreme Court denied the motions, finding issues of fact as to whether the City acted with malice and plaintiff suffered special damages, and the Appellate Division subsequently affirmed. While plaintiff had not pleaded special damages, the Appellate Division concluded that this defect was remedied in an affidavit offering evidence of a lost sale at a price of \$525,000. The City, for its part, contended that the building eventually sold for far more.

On April 26, 2004, the City moved to dismiss the action on the ground that plaintiff had not complied with the notice-of-claim requirements in the General Municipal Law, and thus had not satisfied a condition precedent to any action against it in

tort. The City argued that the January 16, 1995 notice of claim was directed at the subsequently withdrawn December 16, 1994 in rem tax foreclosure proceeding rather than the 7-A liens, and, in any event, was improperly filed after rather than before plaintiff brought suit on October 21, 1994; that the limitation period during which plaintiff might have sought permission to file late notice had lapsed; and that an action for slander of title arises upon the loss of a prospective sale, which plaintiff's complaint alleges to have occurred before October 21, 1994. In response, plaintiff scolded the City for "attempt[ing] . . . to delay the day of reckoning in this decade old lawsuit," and interposing a "procedural device" to "keep [him] from putting [his] case before a jury." He annexed exhibits to his affidavit, including the August 18, 1994 letter, which he labeled a "Notice of Claim Letter"; and the January 16, 1995 notice of claim, which he labeled a "Supplemental Notice of Claim."

Supreme Court granted the City's motion and dismissed the complaint. Citing *Hanbidge v Hunt* (183 AD2d 700 [2d Dept 1992]), Supreme Court concluded that plaintiff's tort claim "did not arise until he actually lost a sale of his property and suffered damages as a result." But in this case, plaintiff did not present the City with information about any lost sale until 2002, in an affidavit that he submitted in conjunction with the parties' competing motions for summary judgment on the cause of action for slander of title. The affiant "stated that he had an agreement with plaintiff to purchase the subject building in 1994, but due to the liens filed, the sale could not be concluded"; however, he also "stated that he agreed to wait while plaintiff brought [this] action, but that he 'went with other deals' after a year had passed." The court commented that even with this belated affidavit, ascertaining whether the claim arose on July 21, 1994, when a tax search carried out in connection with this potential purchase revealed the liens, or perhaps as late as a year afterwards was "an exercise in speculation." In addition, the court concluded that plaintiff's letters to HPD's attorneys were not served on a proper party, an attorney "regularly engaged in representing [the] public corporation" (General Municipal Law § 50-e [3] [a]), since HPD was an agency within a public corporation, the City of New York, represented by Corporation Counsel.

The Appellate Division, with one Justice writing separately, concluded that plaintiff had, in fact, satisfied his obligation to serve a timely and adequate notice of claim. The Court was

persuaded that the August 18, 1994 letter was sufficient, when considered together with “plaintiff’s subsequent meetings with HPD attorneys and the course of the ensuing litigation,” and the “specific nature of” a slander of title claim, which was “vital to [the Court’s] interpretation and application of the notice of claim statute” (24 AD3d 349, 353 [1st Dept 2005]). That is, HPD “made the underlying loans which are the subject of liens it itself had also created and recorded” so that “the City, through its agency, had access to most of the information it needed to assert its defense to plaintiff’s claim for slander of title” (*id.* [citation omitted]). Relatedly, the Appellate Division concluded that the claim arose when plaintiff suffered a “tangible \$160,000 diminution in the value of his property at the time the liens were recorded” on May 28, 1994 (*id.* at 356). Finally, the Court reasoned that since HPD is a city agency, its attorneys are “regularly engaged in representing [the] public corporation” within the meaning of General Municipal Law § 50-e (3) (a); therefore, “the mailing of the August 18 letter to the attorney at HPD handling the very liens at issue clearly satisfied the service requirements” (*id.* at 353-354). Accordingly, the Appellate Division reversed Supreme Court’s order, but subsequently granted the City leave to appeal, certifying the following question to us: “Was the order of [the Appellate Division], which reversed the order of the Supreme Court, properly made?”

II.

General Municipal Law § 50-e (2) requires written notice, “sworn to by or on behalf of the claimant,” which sets forth “the name and post-office address of each claimant, and of his attorney, if any,” “the nature of the claim,” “the time when, the place where and the manner in which the claim arose” and “the items of damage or injuries claimed to have been sustained so far as then practicable.” As we have explained,

“[t]he test of the sufficiency of a Notice of Claim is merely whether it includes information sufficient to enable the city to investigate Thus, in determining compliance with the requirements of General Municipal Law § 50-e, courts should focus on the purpose served by a Notice of Claim: whether based on the claimant’s description municipal authorities can locate the place, fix the time and understand the nature of the [claim]” (*Brown v City*

of *New York*, 95 NY2d 389, 393 [2000] [internal quotation marks and citations omitted]).

Put another way, the “plain purpose” of statutes requiring prelitigation notice to municipalities “is to guard them against imposition by requiring notice of the circumstances . . . upon which a claim for damages is made, so that its authorities may be in a position to investigate the facts as to time and place, and decide whether the case is one for settlement or litigation” (*Purdy v City of New York*, 193 NY 521, 523 [1908], *rearg denied* 195 NY 604 [1909]).

In this case, the claim was for special damages. The August 18, 1994 letter, however, was filled with tentative expressions, not “information sufficient to enable the city to investigate” the grounds for an imminent lawsuit seeking special damages (*Brown*, 95 NY2d at 393). After disputing the “legal basis” for the 7-A liens and characterizing them as a slander on claimant’s title, plaintiff’s attorney stated that “[u]nless these liens are removed forthwith then [the owner] *may lose* his current sale and be substantially damaged” (emphasis added). He observed that “[i]f an action is brought due to [the] City’s unlawful refusal to remove the illegal liens, then the owner is entitled not only to costs but legal fees as well” (emphasis added), while expressing the “*hope this will not be necessary*” (emphasis added). Further, this was hardly the first written communication between plaintiff and HPD during the course of their months-long negotiations related to the HPD loans, or even the first time that plaintiff mentioned slander of title or hinted that he might sue if HPD did not relent. Plaintiff wrote an HPD attorney on March 25, 1994, with a copy to his attorney, threatening that he had “been informed that the continuation of the false liens is a slander on my title and is actionable.” Plaintiff’s attorney wrote a different HPD attorney on August 12, 1994 to plead plaintiff’s case and request cancellation of the liens. Finally, plaintiff’s attorney wrote the HPD attorney again on October 14, 1994, this time delivering an ultimatum with a deadline.

The City argues that the August 18, 1994 letter was unremarkable, “appear[ing] as merely a piece of routine correspondence between plaintiff’s counsel and an attorney representing one of the City’s many administrative agencies” exchanged during the heat of an ongoing controversy. We agree. The requirements of General Municipal Law § 50-e (2) are not fulfilled when a plaintiff or an attorney writes a letter to a city agency

suggesting that unmet demands might lead to litigation. If they were, the City would be placed in an untenable position since any number of everyday disputes between citizens and city agencies will inevitably yield streams of similar, vaguely threatening correspondence. Section 50-e does not abet notice of claim by stealth.

The August 18, 1994 letter did not specify “the items of damage or injuries claimed to have been sustained” by plaintiff, as required by General Municipal Law § 50-e (2). Special damages are an element of a cause of action for slander of title based upon the recording of an unfounded claim, and the cause of action does not arise until special damages actually result (*Squire Records v Vanguard Rec. Socy.*, 19 NY2d 797 [1967]). This is why the period of limitations begins to run, not from the date of the recording, but from the time when pecuniary loss is incurred (see Restatement [Second] of Torts § 633 [1977]; see also Annotation, *Recording of Instrument Purporting to Affect Title as Slander of Title*, 39 ALR2d 840, 860-861; *Hanbidge v Hunt*, *supra* [cause of action for slander of title does not arise when a filing falsely restricting easement occurred, unbeknownst to easement holder, but rather upon loss of sale]). Otherwise, the one-year statute of limitations could expire before any cause of action for slander of title even accrues.

“The most usual manner in which a third person’s reliance upon disparaging matter causes pecuniary loss is by preventing a sale to a particular purchaser” (Restatement [Second] of Torts § 633, Comment *c*). The only pecuniary loss arguably identified in the August 18, 1994 letter was a potentially thwarted sale. The letter did not, however, furnish the City with information sufficient to investigate this alleged loss. Plaintiff did not reveal the name of the prospective purchaser or the purchase price until eight years later in conjunction with the parties’ motions for summary judgment. Even then, as Supreme Court pointed out, plaintiff was vague as to “the time when” (see General Municipal Law § 50-e [2]) this sale may have been lost.

In sum, the August 18, 1994 letter was not a valid notice of claim. It did not alert its recipient to the imminence of litigation, or adequately describe special damages or when they were allegedly incurred. Because of our disposition of this appeal, we need not reach and express no opinion on the question of whether, in light of the City Charter’s designation of Corporation Counsel as the “attorney and counsel for the city and every agency thereof” who “shall have charge and conduct of all the

law business of the city and its agencies” (NY City Charter § 394 [a]), an in-house attorney who represents a discrete city agency qualifies as “an attorney regularly engaged in representing [the] public corporation” within the meaning of General Municipal Law § 50-e (3) (a), and thus is a proper person upon whom service of a notice of claim against the City may be made.

Accordingly, the order of the Appellate Division should be reversed, with costs; defendants’ motion to dismiss the second cause of action in the complaint granted; and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, SMITH and PIGOTT concur.

Order reversed, etc.

[861 NE2d 50, 828 NYS2d 235]

CAMPAIGN FOR FISCAL EQUITY, INC., et al., Appellants-
Respondents, v STATE OF NEW YORK et al., Respondents-
Appellants.

Argued October 10, 2006; decided November 20, 2006

SUMMARY

CROSS APPEALS, on constitutional and other grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 23, 2006. The Appellate Division, with two Justices dissenting, modified, on the law and the facts, an order of the Supreme Court, New York County (Leland DeGrasse, J.), which had (a) granted plaintiffs' motion to confirm the Referees' Report to the extent of directing defendants (1) to implement an operational funding plan that would provide the New York City School District with additional operating funds of \$5.63 billion, phased in over four years, (2) to conduct studies, commencing no later than July 1, 2008, and every four years thereafter, to determine the costs of providing a sound basic education to all public school students in New York City, (3) to use those studies to determine annual funding, (4) to implement a capital funding plan whereby they expend \$9.179 billion over a five-year span from 2005 to 2010 for capital improvements, (5) to undertake no later than July 1, 2009, and every five years thereafter, capital improvement funding studies, (6) to require the New York City Department of Education to develop a comprehensive sound basic education plan that would set forth in a detailed manner the precise management reforms and instructional initiatives that the City Department of Education (DOE) would undertake, and (7) to take steps necessary to ensure that the DOE shall issue an annual comprehensive Sound Basic Education Report that would provide all stakeholders with the information necessary to measure the performance of DOE, the City's schools and the City's students; and (b) denied defendants' cross motion for an order rejecting the Referees' Report. The modification consisted of vacating the confirmation of the Referees' Report and directing that, in enacting a budget for the fiscal year commencing April 1, 2006, the Governor and the Legislature consider, as within the range of constitutionally required funding for the New York City School District, as demonstrated by the record before the Appellate Division, the proposed funding plan of at least \$4.7 billion in additional annual operating funds and the referees' recom-

mended annual expenditure of \$5.63 billion, or an amount in between, phased in over four years, and that they appropriate such amount, in order to remedy the constitutional deprivations found in *Campaign for Fiscal Equity v State of New York* (100 NY2d 893 [2003]), and that, in enacting such budget, the Governor and the Legislature implement a capital improvement plan that expends \$9.179 billion over the next five years or otherwise satisfies the city schools' constitutionally recognized capital needs. The Appellate Division affirmed the order as modified.

Campaign for Fiscal Equity, Inc. v State of New York, 29 AD3d 175, modified.

HEADNOTES

Schools — State Aid to School Districts — Remedy for Failure to Provide Sound Basic Education — Compliance — Appointment of Referees to Hear and Report

1. Supreme Court erred in appointing a panel of referees “to hear and report with recommendations” on whether the State had complied with the mandate of the Court of Appeals (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893 [2003]) that children in New York City’s public schools be provided with a sound basic education, as required by the Education Article of the New York Constitution. The State, not Supreme Court, was ordered by the Court of Appeals to ascertain the cost of a sound basic education in New York City. Supreme Court should not have endorsed an examination in which the cost of a sound basic education in New York was calculated anew, when the state budget plan had already reasonably calculated that cost. Supreme Court, accordingly, erred in confirming the report of the referees.

Schools — State Aid to School Districts — Remedy for Failure to Provide Sound Basic Education — Compliance — Reasonableness of State’s Plan

2. The Governor’s proposed State Education Reform Plan reasonably concluded that additional annual operating funds in the amount of \$1.93 billion, appropriately adjusted with reference to the latest version of the Geographic Cost of Education Index and inflation since 2004, would ensure children in New York City’s public schools the opportunity for a sound basic education, as required by the Education Article of the New York Constitution (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893 [2003]). Judicial deference to the Legislature’s financing plan was justified by the Judiciary’s limited access to the controlling economic and social facts and by respect for the doctrine of separation of powers. The use of a cost-effectiveness filter was rationally defensible, and the conclusion that New York City could attain minimal constitutional standards while spending less than the higher-spending group of successful school districts was not irrational. Further, the weightings utilized for children with special needs also had record support.

Schools — State Aid to School Districts — Remedy for Failure to Provide Sound Basic Education — Compliance — Capital Improvement Plan Unnecessary

3. In determining whether the State was in compliance with the Court of Appeals mandate (*Campaign for Fiscal Equity v State of New York*, 100 NY2d

893 [2003]) that children in New York City's public schools be provided the opportunity for a sound basic education, as required by the Education Article of the New York Constitution, the Appellate Division's directive that the Governor and Legislature implement a capital improvement plan was unnecessary inasmuch as the Legislature has set forth a capital construction program designed to allow the State to remedy inadequacies in New York City schools facilities (L 2006, ch 58, part A; ch 61, part I).

Schools — State Aid to School Districts — Remedy for Failure to Provide Sound Basic Education — Compliance — Additional Accountability Mechanisms Unnecessary

4. In determining whether the State was in compliance with the Court of Appeals mandate (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893 [2003]) that children in New York City's public schools be provided the opportunity for a sound basic education, as required by the Education Article of the New York Constitution, the Appellate Division properly struck Supreme Court's requirement of state costing-out studies every four years and requirement that the New York City Department of Education prepare a comprehensive "sound basic education" plan, to ensure accountability. Minimally adequate accountability mechanisms were already in place for the evaluation of New York schools.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 270, 773; AM JUR 2d, Schools §§ 6–11, 109–112.

NY JUR 2d, Constitutional Law § 161; NY JUR 2d, Schools, Universities, and Colleges §§ 6–10, 631, 632, 644–649.

ANNOTATION REFERENCE

Validity of public school funding systems. 110 ALR5th 293.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (*Joseph F. Wayland, Daniel H. Tabak, Jason S. Stone, Chad M. Leicht* and *Lisa H. Rubin* of counsel), and *Michael A. Rebell Associates* (*Michael A. Rebell* and *Molly A. Hunter* of counsel) for appellants-respondents. I. This Court must issue a clear, enforceable compliance directive. II. The Supreme Court's accountability provisions should be reinstated and linked to prudent planning for a four-year phase-in of the funding increases. III. This Court

should issue a final compliance order and retain jurisdiction to consider further enforcement action, if necessary. (*McCain v Dinkins*, 84 NY2d 216.)

Eliot Spitzer, Attorney General, Albany (*Denise A. Hartman, Caitlin J. Halligan and Daniel Smirlock* of counsel), for respondents-appellants. I. Defendants' method of calculating the cost of a sound basic education, properly approved by the Appellate Division, yields the conclusion that \$1.93 billion, not \$4.7 billion, is the amount of additional spending needed to provide a constitutionally sound education in New York City. (*Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Paynter v State of New York*, 100 NY2d 434.) II. The Appellate Division erred in holding that New York City is entitled to \$9.179 billion for capital projects. III. The Appellate Division should not have vacated the portion of Supreme Court's order requiring New York City to make critical management and accountability reforms that ensure that funds are used effectively. IV. The Court lacks authority to issue an order requiring the State of New York to provide at least an additional \$4.7 billion annually for operating expenditures and \$9.179 billion for capital improvements in New York City's schools. (*City of New York v State of New York*, 86 NY2d 286; *Pataki v New York State Assembly*, 4 NY3d 75; *Jones v Beame*, 45 NY2d 402; *Anderson v Regan*, 53 NY2d 356; *Marbury v Madison*, 1 Cranch [5 US] 137; *Cohen v State of New York*, 94 NY2d 1; *Schieffelin v Komfort*, 212 NY 520; *Klostermann v Cuomo*, 61 NY2d 525; *People ex rel. Broderick v Morton*, 156 NY 136; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106.) V. The Appellate Division properly rejected Supreme Court's call for follow-up costing-out studies conducted periodically for the indefinite future. (*Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27.)

Jay Worona, Latham, and Pilar Sokol for New York State School Boards Association, Inc., amicus curiae. I. The separation of powers doctrine does not preclude this Court from issuing a clear enforceable compliance directive. (*Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27.) II. In enforcing compliance with its prior directive that the State of New York reform its school funding system, this Court should provide guidance on the constitutional parameters applicable to such reform.

Stroock & Stroock & Lavan LLP, New York City (*Charles G.*

Moerdler, Alan M. Klinger, Adam S. Ross and Beth A. Norton of counsel), and *Carol L. Gerstl* for United Federation of Teachers, amicus curiae. I. Increases in funding, when directed to specific, proven programs, have begun to improve the quality of education provided in New York City public schools, but further increases in funding, far beyond that which the State of New York proposes, are required to provide a sound basic education to all children. II. In order to have true accountability, additional Campaign for Fiscal Equity funds must be spent in a manner consistent with sound educational planning and on programs that have proven successful.

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Sidney S. Rosdeitcher, Carmen K. Cheung and Evan Norris* of counsel), and *Jonathan Rosenberg* for Association of the Bar of the City of New York, amicus curiae. The experience in other states in which the political branches have failed to act demonstrates why it is imperative that this Court now issue a clear, precise, and enforceable remedial order. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.)

Davis Polk & Wardwell, New York City (*Sharon Katz, Monica Lamb, Christina C. Lindberg, David B. Toscano and Margaret A. Vining* of counsel), for Alliance for Quality Education and others, amici curiae. I. A “generation” of New York City schoolchildren has been denied the constitutionally mandated opportunity for a sound basic education in the 13 years since this action was initiated. II. The Appellate Division erred in vacating the accountability provisions in the Supreme Court’s order.

Elizabeth R. Fine, New York City, *Alvin Bragg, James Caras, Laura Popa and Scheherazade Salimi* for Council of the City of New York, amicus curiae. I. The City of New York needs additional state funds to provide a sound, basic education to its schoolchildren. II. The Department of Education (DOE) should submit accountability reports to the Council of the City of New York, which will exercise its New York City Charter-mandated duties to hold DOE accountable.

Community Service Society, New York City (*Juan Cartagena and Craig Acorn* of counsel), for Adriano Espaillat and others, amici curiae. I. This Court must issue a specific and enforceable order because the political branches’ failure to meet the constitutional standard results in grave harm to impoverished and racial minority New York City schoolchildren. (*Brown v Board of Education*, 347 US 483; *Alexander v Sandoval*, 532 US

275.) II. This Court's issuance of a specific and enforceable order will not offend the separation of powers doctrine. (*Bourquin v Cuomo*, 85 NY2d 781; *Matter of Richardson*, 247 NY 401; *Marbury v Madison*, 1 Cranch [5 US] 137; *Boryszewski v Brydges*, 37 NY2d 361.)

Suzanne Novak, New York City, for Brennan Center for Justice at New York University School of Law, amicus curiae. New York's dysfunctional legislative process provides unique justification for this Court to issue an enforceable compliance directive. (*Baker v Carr*, 369 US 186; *Reynolds v Sims*, 377 US 533; *Missouri v Jenkins*, 495 US 33; *United States v Carolene Products Co.*, 304 US 144; *Conservation Force, Inc. v Manning*, 301 F3d 985; *Graham v Richardson*, 403 US 365; *Anderson v Celebrezze*, 460 US 780; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner, Alan H. Kleinman, Brad M. Snyder and Elizabeth S. Natrella* of counsel), for City of New York, amicus curiae. I. The Court should affirm the findings regarding the amount of additional funding that the State of New York must provide the City of New York's schools and should order the State to enact the school aid formula reform and provide the additional funds it now concedes are required. (*Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Wise v Lipscomb*, 437 US 535; *Connor v Finch*, 431 US 407.) II. The State of New York should be prohibited from singling out the City of New York to provide the funds needed to remedy the State's constitutional violation. (*New York County Lawyers' Assn. v Pataki*, 188 Misc 2d 776, 294 AD2d 69; *Doe v Dinkins*, 192 AD2d 270.) III. A rigorous system of accountability already governs the City of New York's schools and no further accountability system should be ordered by this Court. IV. The State of New York's actions regarding capital funds bring a successful resolution to this aspect of the Campaign for Fiscal Equity mandate.

OPINION OF THE COURT

PIGOTT, J.

In this third appeal by plaintiffs Campaign for Fiscal Equity, Inc. (CFE), et al., we address the cost of providing children in New York City's public schools with a sound basic education. The State estimated this cost to include a minimum of \$1.93 billion, in 2004 dollars, in additional annual operating funds.

We conclude that this estimate was a reasonable one and that the courts should defer to this estimate, appropriately updated.

I.

More than a decade ago, we held that the Education Article of the New York State Constitution requires the State “to offer all children the opportunity of a sound basic education” (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307, 316 [1995] [*CFE I*]). Plaintiffs had sought a declaratory judgment against the State, claiming that students in New York City public schools were not receiving a basic education and that the State’s public school financing system was unconstitutional.¹

Mindful of the fundamental value of education in our democratic society, we agreed with plaintiffs’ interpretation of the Education Article. The State must ensure that New York’s public schools are able to teach “the basic literacy, calculating, and verbal skills necessary to enable children to eventually function productively as civic participants capable of voting and serving on a jury” (86 NY2d at 316). In assessing adequacy of education, this standard is the constitutional minimum or floor that we had acknowledged earlier, in *Board of Educ., Levittown Union Free School Dist. v Nyquist* (57 NY2d 27, 47-48 [1982]). Accordingly, we held that plaintiffs’ cause of action under the Education Article survived a motion to dismiss (86 NY2d at 318-319), reminding plaintiffs that they would “have to establish a causal link between the present funding system and any proven failure to provide a sound basic education to New York City school children” (86 NY2d at 318).

Plaintiffs succeeded in establishing that causal link, in a 1999-2000 trial concerning the 1997-1998 school year. In 2003, we decided that this trial record supports the conclusion that, because of inadequate funding for their public schools, children in New York City “are not receiving the constitutionally-mandated opportunity for a sound basic education” (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893, 919 [2003] [*CFE II*]). In *CFE I*, we had understood a sound basic education as teaching skills that enable students to undertake civil re-

1. In a companion case, *City of New York v State of New York* (86 NY2d 286 [1995]), we affirmed the Appellate Division’s dismissal of an action by the City of New York, the New York City Board of Education, the Mayor of New York City, and the Chancellor of the New York City School District, and held that these municipal plaintiffs lacked capacity to bring an action against the State.

sponsibilities meaningfully. In *CFE II*, we defined “sound basic education” more exactly, as the “opportunity for a meaningful *high school* education, one which prepares [children] to function productively as civic participants” (100 NY2d at 908 [emphasis added]).

We determined that New York City public schools provided inadequate teaching, because they were unable to attract and retain qualified teachers (100 NY2d at 909-911). They were deficient in at least two instrumentalities of learning: libraries and computers (100 NY2d at 913). Moreover, although plaintiffs had not proven “a measurable correlation between building disrepair and student performance, in general” (100 NY2d at 911), they sufficiently demonstrated “that large class sizes negatively affect student performance in New York City public schools” (100 NY2d at 912).

Whether measured by “inputs” or by “outputs,” i.e. school completion rates and test results (100 NY2d at 914-919), New York City schoolchildren, we determined, were not receiving the opportunity for a sound basic education. Finally, we concluded that plaintiffs had established the causation element of their claim by showing that increased funding can provide better teachers, facilities and instrumentalities of learning, and that such improved inputs in turn yield better student performance (100 NY2d at 919-925).

Accordingly we directed the State to ensure, by means of “[r]eforms to the current system of financing school funding and managing schools . . . that every school in New York City would have the resources necessary for providing the opportunity for a sound basic education” (100 NY2d at 930). Noting that “the political process allocates to City schools a share of state aid that does not bear a perceptible relation to the needs of City students” (*id.*), we instructed the State to ascertain the actual cost of providing a sound basic education in New York City, rather than the state as a whole (*id.*). We also held that “the new scheme should ensure a system of accountability to measure whether the reforms actually provide the opportunity for a sound basic education” (*id.*). We gave the State a deadline of July 30, 2004 by which to implement the necessary measures (*id.*) and remitted to Supreme Court for further proceedings in accordance with our opinion (100 NY2d at 932).

Within a matter of weeks, Governor Pataki issued an executive order creating the New York State Commission on Educa-

tion Reform, charged with recommending, to the Executive and the Legislature, education financing and other reforms that would ensure that all children in New York State have an opportunity to obtain a sound basic education. The Commission, chaired by Frank G. Zarb, published its final report on March 29, 2004.

The Zarb Commission retained Standard and Poor's (S & P) School Evaluation Services to calculate the additional spending required to provide a sound basic education, directing S & P to use a "Successful Schools" model that studies the expenditures of school districts with a proven track record of high student performance. The method had been used by the New York State Board of Regents in its Proposal on State Aid to School Districts for 2004-05.

The Zarb Commission developed three alternative criteria for identifying successful school districts. One option was based on New York's 2007-2008 performance standard set in accordance with the federal No Child Left Behind Act of 2001. Another was similar to the first but substituted the 2006-2007 performance standard. The third criterion was the same approach to identifying successful schools that the Board of Regents had used; it picked out school districts—281 of 699—in which at least 80% of the students performed at or above a proficient level, over a three-year period, in seven tests required by the Board of Regents: two fourth-grade examinations and five examinations required for high school graduation.²

Reasoning that not all successful schools operate in a manner that is economical, the Zarb Commission instructed S & P to apply a cost-effectiveness filter: once successful school districts were identified by the methods just described, they were to be ranked according to expenditures and those in the lower-spending half were to be used to create an average. The Board of Regents had noted the necessity for applying such an efficiency filter, because "districts that perform at high levels often enjoy a very substantial wealth base, and therefore also spend at very high per pupil[] levels" (Regents Proposal on State Aid to School Districts for 2004-05, at 48, available on the Internet at <http://emsc32.nysed.gov/stateaidworkgroup/2004->

2. S & P added a fourth approach, which identified 102 of the State's highest-performing school districts, measured on the basis of 15 indicators, including passing rates on state tests, graduation rates and high school enrollment retention rates.

05%20RSAP/RSAP0405.htm>, cached at <http://www.nycourts.gov/reporter/webdocs/Regents_Item.htm>).

Drawing on an extensive review of pertinent research literature, S & P applied three weightings to the resulting base expenditures, in order to take into account the greater spending required for students with special needs. The coefficients by which the base expenditures were multiplied were 2.1 for students with disabilities, 1.35 for economically disadvantaged students, and 1.2 for students with limited English proficiency. S & P cautioned that it was not in a position to recommend explicitly the set of weightings it applied.

Adjustments were also made to account for the local purchasing power of the dollar, using two, alternative cost indices, the New York Regional Cost Index (NY RCI), provided by the New York State Education Department and based on differences in labor market costs, and the Geographic Cost of Education Index (GCEI), provided by the National Center for Education Statistics. The latter index was developed by Jay Chambers, one of the principal authors of the New York Adequacy Study, a cost analysis project cosponsored by plaintiff CFE in 2003-2004. The GCEI attempts to measure the attractiveness of employment within a particular district, one of the key determinants of the cost of providing education. S & P used what was then the most recent, publicly available version of the GCEI, a 1997 update by Chambers. Finally, amounts were adjusted for inflation to reflect January 2004 purchasing power.

S & P thus calculated “sound basic education” spending estimates for each school district, using the two regional cost indices and the four alternative criteria for identifying successful school districts. The spending estimates did not include capital, debt or transportation costs. Finally, these figures were compared with amounts actually spent in 2002-2003, in order to identify “spending gaps.”

Applying the GCEI, the estimated spending gaps for New York City ranged from \$1.93 billion to \$2.53 billion and the statewide spending gaps from \$2.45 billion to \$3.39 billion, depending on which criterion for successful school districts was used. (New York City’s spending gap thus comprised 74% to 79% of the State’s total gap.) When the NY RCI was applied, the estimated spending gaps were larger, ranging from \$4.05 billion to \$4.69 billion for New York City, and \$4.61 billion to

\$5.57 billion statewide.³ Applying the GCEI and the Board of Regents approach to identifying successful schools, the spending gap for New York City, in 2004 dollars, was \$1.93 billion.

Governor Pataki convened the Legislature in extraordinary session on July 20, 2004, and proposed a program bill to the Senate, incorporating the Zarb Commission's methodology. The Senate passed an amended version of the bill. Ultimately, the legislation was not enacted. In both versions of the bill, the Legislature would have found that the actual costs of providing a sound basic education should be determined using the Board of Regents approach to identifying successful schools (which had picked out 281 of 699 school districts), the S & P weightings for students with special needs, the GCEI, and the cost-effectiveness filter (*see* 2004 Extraordinary Session NY Senate Bill S 1-A, § 1, at 2 [July 20, 2004]; 2004 NY Senate Bill S 7684-B, § 2, at 2 [July 20, 2004]).

In other words, Governor Pataki and the Senate endorsed the approach that generated a minimum figure of \$1.93 billion as the estimated spending gap in operating expenses for New York City. In his State Education Reform Plan, submitted in the course of this litigation, the Governor concluded that “the S&P analysis as adopted by the Zarb Commission and by State defendants determined that \$2.5 billion in additional revenues statewide (equating to \$1.9 billion in New York City) was a valid determination of the cost of providing a sound basic education in New York City” (State Education Reform Plan, at 14 [Aug. 12, 2004]).

In his program bill memorandum, Governor Pataki made it clear that he intended New York City schools to receive additional funding that exceeded the minimum cost of a sound basic education. Proposals for a Dedicated State Fund for Sound Basic Education and for a New York City local state aid match would, when coupled with projected increases in state school aid and federal aid, generate “approximately \$4.7 billion in additional support over the next five years” (Governor's Program Bill Mem in Support of 2004 Extraordinary Session NY Senate Bill S 1-A, at 4). As noted, the proposed legislation was not enacted. The Legislature, however, passed a bill on August 10,

3. Based on these S & P estimates and after reviewing the results of plaintiff CFE's New York Adequacy Study and the Board of Regents Proposal on State Aid to School Districts, the Zarb Commission recommended a five-year phase-in of a *statewide* amount of \$2.5 billion to \$5.6 billion from state, local and federal sources.

2004, providing \$300 million in additional education aid to New York City.

Once the deadline of July 30, 2004 we had set in *CFE II* had passed, Supreme Court set out to determine whether the measures we had declared necessary had been carried out. It appointed a blue-ribbon panel of referees “to hear and report with recommendations” on whether the steps taken by the State brought compliance with *CFE II*.

The Referees conducted numerous hearings, in which they heard from many witnesses, including the Mayor of New York City, the Chancellor of the New York City School District, and representatives of the New York State Division of the Budget and Education Department. They received extensive written submissions, including four compliance plans: the Governor’s State Education Reform Plan, drawing on the Zarb Commission; plaintiffs’ Plan for Compliance, which included the New York Adequacy Study, a cost analysis conducted by the American Institutes for Research (AIR) and Management Analysis and Planning, Inc. (MAP); the Regents Proposal on State Aid to School Districts for 2004-05; and a proposal from the City of New York.

Although they accepted the “successful school districts” methodology of the Zarb Commission, the Referees rejected its cost-effectiveness filter, used a 1.5 weighting for economically disadvantaged students in place of the S & P coefficient of 1.35, and insisted on the use of an updated GCEI, prepared for plaintiff CFE’s New York Adequacy Study. They concluded that the spending gap in New York City was \$5.63 billion in 2004-2005 dollars, rejecting the State’s contention that additional funding in the amount of \$1.93 billion would ensure the opportunity for a sound basic education in New York City’s public schools.

The Referees adopted CFE’s capital funding program, “Building Requires Immediate Capital for Kids” (BRICKS), recommending that the State be required to ensure that \$9.179 billion in 2004-2005 dollars would be available as funding for capital improvements over the following five years. Additionally, the Referees recommended that costing-out studies be carried out every four years, supervised by the Board of Regents, “until it becomes clear that reforms to the State’s education finance formulas have rendered such studies no longer necessary to assure all New York City students the opportunity for a sound ba-

sic education” (Report and Recommendations of the Judicial Referees, at 39).

On the question of accountability, the Referees concluded that existing state systems, identifying schools that perform poorly and sanctioning failing schools, already provide adequate accountability, and that no new Office of Educational Accountability should be created. They recommended, however, that the current system should be enhanced by the development of a comprehensive “sound basic education” plan by the New York City Department of Education.

Supreme Court confirmed the Judicial Referees’ Report and Recommendations. The Appellate Division vacated that confirmation (29 AD3d 175 [2006]). It found support in the record for the State’s “cost-effectiveness” approach, as well as for its weighting for economically disadvantaged students. Noting that record support, the Appellate Division observed that

“Supreme Court should not have substituted the Referees’ opinion for that of the State . . . [and] converted a factor that was arguable and reasonable for the Legislature and Governor to consider into an incontrovertible fact. As long as the State’s choices remained within the range of professionally accepted practices in determining the costs of a sound basic education, Supreme Court should have left the conclusions for legislative and gubernatorial consideration and determination.” (29 AD3d at 184.)

Citing Governor Pataki’s proposal to increase funding of the New York City School District by \$4.7 billion (over a period of five years), the Appellate Division directed the Governor and Legislature to appropriate at least \$4.7 billion in additional operating funds (phased in over four years).⁴ The Appellate Division also directed the Governor and Legislature to “implement a capital improvement plan that expends \$9.179 billion

4. Specifically, the Appellate Division directed that “in enacting a budget for the fiscal year commencing April 1, 2006, the Governor and the Legislature consider, as within the range of constitutionally required funding for the New York City School District, as demonstrated by this record, the proposed funding plan of at least \$4.7 billion in additional annual operating funds, and the Referees’ recommended annual expenditure of \$5.63 billion, or an amount in between, phased in over four years, and that they appropriate such amount, in order to remedy the constitutional deprivations found in *CFE II*” (29 AD3d at 191).

over the next five years or otherwise satisfies the city schools' constitutionally recognized capital needs" (29 AD3d at 191).

Plaintiffs CFE et al. appeal pursuant to CPLR 5601 (a) and (b) (1). The state defendants cross-appeal under CPLR 5601 (b) (1).

II.

[1] The Judicial Referees' Report, dated November 30, 2004, commands our attention as well as our respect; it is likely that much of value may be learned from the Referees' careful consideration of methods of ascertaining the cost of a sound basic education and reforms to the current system of public school financing. Nevertheless, we hold that Supreme Court erred by, in effect, commissioning a *de novo* review of the compliance question. The role of the courts is not, as Supreme Court assumed, to determine the best way to calculate the cost of a sound basic education in New York City schools, but to determine whether the State's proposed calculation of that cost is rational. Supreme Court should not have endorsed an examination in which the cost of a sound basic education in New York was calculated anew, when the state budget plan had already reasonably calculated that cost. In this respect, we agree with the Appellate Division. It was error to confirm the Referees' Report.

[2, 3] We differ from the Appellate Division, however, in two respects. First, we observe that the state plan found that the cost of providing a sound basic education in New York City was \$1.93 billion in additional annual operating funds, and that Governor Pataki's proposal to provide \$4.7 billion in additional funding amounted to a policy choice to exceed the constitutional minimum. Second, in light of recently enacted legislation designed to allow the State to remedy inadequacies in New York City schools facilities, we reject as unnecessary the Appellate Division's directive regarding capital improvement.

Therefore, we modify the order of the Appellate Division, in two ways. We declare that the constitutionally required funding for the New York City School District includes, as demonstrated by this record, additional operating funds in the amount of \$1.93 billion, adjusted with reference to the latest version of the GCEI and inflation since 2004. We vacate the requirement that the Governor and the Legislature implement a capital improvement plan that either expends \$9.179 billion over the following five years "or otherwise satisfies the city schools' constitutionally recognized capital needs." As modified, we affirm.

III.

In *CFE II*, we expressed the necessity for courts to tread carefully when asked to evaluate state financing plans. On the one hand, the Judiciary has a duty “to defer to the Legislature in matters of policymaking, particularly in a matter so vital as education financing, which has as well a core element of local control. We have neither the authority, nor the ability, nor the will, to micromanage education financing.” (100 NY2d at 925.) On the other hand, “it is the province of the Judicial branch to define, and safeguard, rights provided by the New York State Constitution, and order redress for violation of them” (*id.*).

The need for deference, where appropriate, is no less important for this Court than it is for the Judiciary as a whole. We are the ultimate arbiters of our State Constitution (*see e.g. Cohen v State of New York*, 94 NY2d 1, 11 [1999]). Yet, in fashioning specific remedies for constitutional violations, we must avoid intrusion on the primary domain of another branch of government. We have often spoken of this tension between our responsibility to safeguard rights and the necessary deference of the courts to the policies of the Legislature. “While it is within the power of the judiciary to declare the vested rights of a specifically protected class of individuals, in a fashion recognized by statute . . . the manner by which the State addresses complex societal and governmental issues is a subject left to the discretion of the political branches of government” (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233, 239-240 [1984] [citations omitted]). When we review the acts of the Legislature and the Executive, we do so to protect rights, not to make policy.

Our deference to the Legislature’s education financing plans is justified not only by prudent and practical hesitation in light of the limited access of the Judiciary “to the controlling economic and social facts,” but also by our abiding “respect for the separation of powers upon which our system of government is based” (*Matter of 89 Christopher v Joy*, 35 NY2d 213, 220 [1974]). We cannot “intrude upon the policy-making and discretionary decisions that are reserved to the legislative and executive branches” (*Klostermann v Cuomo*, 61 NY2d 525, 541 [1984]).

Deference to the Legislature is especially necessary where it is the State’s budget plan that is being questioned. Devising a

state budget is a prerogative of the Legislature and Executive; the Judiciary should not usurp this power. The legislative and executive branches of government are in a far better position than the Judiciary to determine funding needs throughout the state and priorities for the allocation of the State's resources.

We have therefore spoken of the “formidable burden” of proof imposed on “one who attacks the budget plan” (*Wein v Carey*, 41 NY2d 498, 505 [1977]). Indeed, the burden is

“realistically, impossible as to some categories of estimates. But there are some estimates that could be demonstrated on their face to be unreasonable. An extreme example would be a tripling of the estimates of personal income tax revenue, without a change in the tax rate, in a period in which the economy appears to be on a plateau or in decline.” (*Id.*)

The illustrations we gave in *Wein v Carey*, while extreme, were meant to show how patently *irrational* a state financing plan must be, before judicial deference will give way. Judicial intervention in the state budget “may be invoked only in the narrowest of instances” (*id.*).

When we remitted in *CFE II*, we did so in order that Supreme Court would determine, when our deadline had passed, whether the State had implemented the reforms we required—legislation that would ensure that New York City schools have the resources necessary for providing the opportunity for a sound basic education and that would ensure accountability. *CFE II* called for the State to present evidence of its reforms, both predating *CFE II* (see 100 NY2d at 927) and following *CFE II*, and for Supreme Court to determine whether they satisfied our directives.

In light of our language in *CFE II* and our jurisprudence as a whole concerning deference to the Legislature in matters of policymaking, it was incumbent upon Supreme Court to begin by making a finding as to whether the State's estimate of the cost of providing a sound basic education in New York City was a *reasonable* estimate. Then the court should have proceeded to determine whether the state plan, as of July 30, 2004, incorporated that sound basic education expenditure in its proposed budget and would, if enacted, ensure a system of accountability. Supreme Court should not have provided a panel of referees with a mandate to make *recommendations* as between compli-

ance proposals—the State’s, the plaintiffs’, the City’s, the Regents’. The State, not Supreme Court, was ordered to ascertain the cost of a sound basic education in New York City.

IV.

We do not believe that Governor Pataki’s proposed State Education Reform Plan was unreasonable. In particular, we do not find irrational the Governor’s acceptance of the Board of Regents approach to identifying successful schools, the S & P weightings for students with special needs and the cost-effectiveness filter (2004 Extraordinary Session NY Senate Bill S 1-A, § 1, at 2 [July 20, 2004]). As a result, we do not find unreasonable the assertion that “\$2.5 billion in additional revenues statewide (equating to \$1.9 billion in New York City) was a valid determination of the cost of providing a sound basic education in New York City” (State Education Reform Plan, at 14 [Aug. 12, 2004]). There is substantial record support for that statement.

First, the use of the cost-effectiveness filter is rationally defensible. The variation in spending between New York school districts is very large.⁵ As S & P explained, averaging the expenditures of *all* successful schools would

“mask a considerable range of per-pupil spending among the individual districts . . . If the concept of ‘adequacy’ means spending no less, but not necessarily more, than is necessary to produce high achievement levels, then there is reasonable cause to adjust the base expenditure by a measure of *cost effectiveness*. This can be done by ranking the successful districts under each scenario by their base expenditure, and computing the average of the lowest 50% (in terms of spending), which is the same approach used by the New York Board of Regents in its recent study of educational costs. An analysis of the average achievement levels of the lower-spending half of districts shows that they closely resemble the average achievement levels of the upper-spending half of districts” (Standard &

5. Indeed this variation was the focus of *Board of Educ., Levittown Union Free School Dist. v Nyquist* (57 NY2d 27 [1982]); we held that the State’s public school financing system did not violate the Equal Protection clauses of the state and federal constitutions, despite wide spending disparities among school districts.

Poor's Resource Adequacy Study for the New York
State Commission on Education Reform, at 46-47
[Mar. 2004].)

The essential premise of the cost-effectiveness filter is that the higher-spending half of the successful districts is spending more than the constitutional minimum—either because those districts spend less efficiently than some others or because they have chosen to do more for their students than the Constitution requires. The State, in adopting S & P's approach, implicitly concluded that New York City could attain minimal constitutional standards while spending less than this higher-spending group of successful districts. The premise, and the conclusion, are no doubt debatable, but we cannot say they are irrational, and they are therefore entitled to deference from the courts.

The S & P weightings for children with special needs also have record support. While S & P did not recommend any particular weighting over another, the coefficients that S & P applied were drawn from an extensive review of relevant research. Indeed the pertinent footnote to S & P's Resource Adequacy Study cites no fewer than 37 articles, reports and other scholarly works (Standard & Poor's Resource Adequacy Study for the New York State Commission on Education Reform, n 16, at 89-92 [Mar. 2004]).

The S & P calculations—applying a 2.1 weighting for students with disabilities, 1.35 for economically disadvantaged students, and 1.2 for students with limited English proficiency, and reaching the conclusion that the spending gap for the New York City School District is \$1.93 billion—were reasonable. Although we recognize that legitimate arguments can be made for raising the coefficient for economically disadvantaged students to 1.5, we do not believe that the figure of 1.35 lacks grounding in prudent reason.

Accordingly, we declare that the constitutionally required funding for the New York City School District includes additional operating funds in the amount of \$1.93 billion, adjusted with reference to the latest version of the GCEI and inflation since 2004.

V.

Turning to capital improvements, we emphasize again, as we did in *CFE I*, that New York's public schoolchildren “are entitled to minimally adequate physical facilities and classrooms which provide enough light, space, heat, and air to permit chil-

dren to learn” (86 NY2d at 317). The Appellate Division directed the Governor and the Legislature to implement a capital improvement plan that either expends \$9.179 billion over the following five years “or otherwise satisfies the city schools’ constitutionally recognized capital needs” (29 AD3d at 191). In choosing its words thus, the Appellate Division was perhaps mindful of the fact that in *CFE II* we did not expressly require the State to calculate the amount of capital funding necessary to remedy deficiencies in facilities, with the result that the State did not carry out a costing-out study for capital funding needs in the way it did for operating costs.

[3] The part of the Appellate Division order that requires a capital improvement plan should be vacated as unnecessary. In 2006, the Legislature set forth a capital construction program totaling \$2.6 billion, that includes \$1.8 billion for the New York City School District (L 2006, ch 58, part A-2; L 2006, ch 61, part I). Crucially, the Legislature increased the cap for the New York City Transitional Finance Authority by \$9.4 billion to help fund the cost of capital improvements, and permitted New York City to pledge future state building aid in order to repay borrowed funds (L 2006, ch 58, part A-3). We are of course bound to decide this case on the record before us. But since the parties now agree that the funds envisaged by the Legislature this year would be sufficient to remedy facilities deficiencies, we believe that there is no need for further judicial direction.

[4] Finally, insofar as the Appellate Division vacated Supreme Court’s order confirming the Referees’ Report, it struck Supreme Court’s call for state costing-out studies every four years and its requirement that the New York City Department of Education prepare a comprehensive “sound basic education” plan, to ensure accountability. We agree with these results. In particular, we agree with the City of New York, an amicus in this case, that a new and costly layer of city bureaucracy is not constitutionally required. It is undisputed that there are minimally adequate accountability mechanisms now in place for the evaluation of New York schools (including the Schools Under Registration Review process and the state standards required by the federal No Child Left Behind Act of 2001).

Accordingly, the order of the Appellate Division should be modified, without costs, by granting judgment declaring in accordance with this opinion and, as so modified, affirmed.

ROSENBLATT, J. (concurring). I join the majority in its ratio-

nale and result, but write separately to emphasize that my vote should not be construed as concluding that \$1.93 billion, as adjusted, is necessarily the proper additional budgetary amount to provide New York City schools, or that \$2.45 billion is the amount that should be budgeted statewide. These figures were determined by a commission designated by the State as reflecting the constitutional *minimum* for a sound basic education. I join the majority because I agree that Supreme Court should not have directed the referees' recalculation, considering that the state budget plan had already calculated the amount in a way that, as a matter of law, was not arbitrary or irrational.

That does not mean that the State is limited to the minimum, or "floor," of what it takes to provide a sound basic education. Judging by Governor Pataki's higher budgeting and the similarly heartening indications that Governor-elect Spitzer will continue in a direction higher than the minimum, there is every indication that the amounts dedicated will be well above the constitutional floor. When it comes to educating its children, New York State will not likely content itself with the minimum. Indeed, after this suit was initiated the State provided for an additional \$9 billion investment in capital improvements for the City's schools. How much more it can and should spend, however, is a matter for the political branches, which will be free to avail themselves of the valuable work performed by the distinguished panel of referees.

I also emphasize, most importantly, that this lawsuit has consequences beyond New York City and that there are, no doubt, other school districts that should benefit from increased budgets. This requires a statewide approach that is also best left to the Executive and Legislature.

Chief Judge KAYE (concurring in part and dissenting in part). Recognizing that we have neither the authority, nor the ability, nor the will to micromanage education financing, in *Campaign for Fiscal Equity v State of New York* (100 NY2d 893, 925 [2003] [CFE II]) the Court demarcated standards that must be met, but left it to defendants to come into compliance, affording them more than a year to do so. Regrettably, our trust was misplaced. Today, more than three years later—and more than 13 years after this litigation began—defendants still have failed to fund the New York City public schools adequately. Having failed to satisfy their responsibility, defendants now compel this Court to determine the specific steps that must be taken to remedy the undisputed constitutional violation. Also regret-

tably, I must dissent because the majority does not resolve the inadequate funding of the New York City public schools and reaches a result that is well below what the governmental actors themselves had concluded was required.

Although the dollar differences that separate the majority and dissent are great, our actual points of difference are only two: first, the deference owed, and second, the rationality of two factors used by defendants to calculate the cost of a sound basic education.¹

I. The Issue of Deference

The heart of the majority writing is that substantial deference is owed to the executive and legislative branches of government, particularly in matters of budgeting and policymaking (see majority op at 28-30). I agree wholeheartedly. When the Executive and the Legislature have acted together on matters within their particular province, the courts should indeed tread lightly. That, however, is not what happened here. There is no state budget plan for bringing the schools into constitutional compliance; that is precisely the problem. When, as here, the Executive and the Legislature are specifically at odds as to the cost of providing the opportunity for a sound basic education to New York City schoolchildren, the approach of a single branch, rejected by another, cannot legitimately be considered “the State’s estimate” (majority op at 29), and is entitled to no special weight.

In *CFE II* we directed defendants to ascertain the actual cost of providing a sound basic education in New York City; to ensure that every city school have the resources necessary to provide the opportunity for a sound basic education; and to ensure a system of accountability to measure whether the reforms actually provide the opportunity for a sound basic education. Although there is no dispute that defendants failed to comply with our second directive, I cannot agree with the majority that they complied with our first.

To be sure, the Governor, in undertaking to determine the cost of a sound basic education, and in proposing \$4.7 billion in increased annual funding for the New York City public schools, took important steps toward that objective. And in most cases, of course, we can assume that the Governor, in whom the exec-

1. I concur with the majority that no further judicial direction is required with respect to capital improvements or accountability.

utive power is vested, speaks for the State. But not so here. The enactment of an appropriation bill that ensures adequate educational funding requires agreement among the Governor and both houses of the Legislature, and plainly that has not occurred.²

As the deadline for compliance approached, defendants advised the trial court, to which we had remitted the case, of the actions they had by then undertaken to satisfy this Court's order. Based on defendants' failure to fulfill the *CFE II* mandate, the court appointed three referees

“to hear and report with recommendations on what measures defendants have taken to follow the [*CFE II*] directives and bring this State's school funding mechanism into constitutional compliance insofar as it affects the New York City School System. The referees shall also identify the areas, if any, in which such compliance is lacking.”

Even today, it is hard to see what alternative the court had. The Executive and Legislature were at loggerheads—there was no agreed amount to be implemented.

The majority faults the trial court and referees for undertaking to determine the actual cost of a sound basic education, believing instead that calculations proffered by certain of the defendants should have been beyond question. For more than 200 years, however, it has been the province and duty of the judicial branch to enforce compliance with constitutional norms, including (when necessary) as against the other branches of government. Defendants' continued failure to cure the violation properly obligated the courts to determine the extent of noncompliance and to direct a remedy.

When courts undertake to resolve a controversy that others have brought before them, they appropriately resort to the tools of the judicial trade—testimony, evidence and fact-finding. The referees thus conducted seven days of evidentiary hearings on the primary question before them—the actual cost of a sound basic education for New York City schoolchildren. Based on the testimony of 15 witnesses, expert evidence, and extensive brief-

2. Indeed, our State Constitution places the obligation to provide all the state's children with a sound basic education squarely on the Legislature: “The legislature shall provide for the maintenance and support of a system of free common schools, wherein all the children of this state may be educated” (NY Const, art XI, § 1 [the Education Article]).

ing and argument, they rationally determined that the actual cost of providing a sound basic education in New York City required an annual increase in operational funding of \$5.63 billion, calculated in 2004-2005 dollars. The Appellate Division, too, determined that constitutional compliance required additional annual expenditures of between \$4.7 billion and \$5.63 billion. The majority, however, rejects the findings of the referees, and indeed the very process undertaken by the courts, and instead accepts at face value \$1.93 billion as sufficient to satisfy the Education Article.

The origins of that number are instructive. In response to our decision in *CFE II*, the Governor established the New York State Commission on Education Reform—the Zarb Commission—charged with, among other things, “study[ing] and mak[ing] recommendations regarding . . . [t]he actual cost of providing all children the opportunity to acquire a sound basic education in the public schools of the State of New York” (Executive Order [Pataki] No. 131 [9 NYCRR 5.131]). The Commission, in turn, retained Standard & Poor’s School Evaluation Services, which produced a lengthy Resource Adequacy Study offering a wide variety of possible amounts of education spending, each based on different assumptions and variables as to the desired level of educational achievement and the costs required to attain it.

Inasmuch as the Commission was asked to study statewide costs, even though this Court’s mandate had been limited to New York City, Standard & Poor’s used each scenario to calculate both statewide amounts and their citywide equivalents. With respect to New York City, Standard & Poor’s calculated resource gaps—defined as the difference between the amount actually spent in the most recently completed fiscal year and the amount that would be required to fund the particular scenario—ranging from \$1.93 billion to \$7.28 billion in core operating expenditures.³ In so doing, however, Standard & Poor’s itself repeatedly made clear that it “does not recommend any spending level or the adoption of any particular achievement scenario” (Standard & Poor’s School Evaluation Services, Resource Adequacy Study for the New York State Commission on Education Reform, at 23 [2004]). Relying on the Resource Adequacy Study, and specifically endorsing the “cost effectiveness” vari-

3. “Core operations” exclude debt service and capital and transportation spending.

able considered by Standard & Poor's, the Commission similarly reported a wide range to the Governor—that is, from \$2.45 billion to \$5.57 billion statewide, which translated to between \$1.93 billion and \$4.69 billion for the City—concluding that “[t]he State’s elected leaders should make a choice of funding within this range” (New York State Commission on Education Reform, Final Report, at 24 [2004]).

At no time did either Standard & Poor's or the Commission undertake to conclude that *any* particular amount within the proffered ranges was sufficient to ensure the opportunity for a sound basic education to all New York City schoolchildren (*see* Standard & Poor's School Evaluation Services, Resource Adequacy Study for the New York State Commission on Education Reform, at 12-13 [2004] [“Standard & Poor's does not recommend any particular spending level; nor does it define a ‘sound, basic education’ ”]; New York State Commission on Education Reform, Final Report, at 24 [2004] [“The Commission believes the decision on which educational standard to use should be left to the State’s elected leaders”]). Nevertheless, the majority accepts the calculations performed in the Resource Adequacy Study as sacrosanct, and from there concludes that the lowest number reached using any possible combination of variables must equal the amount needed to provide a sound basic education.

Even defendants did not recommend these numbers. Rather, defendants, through the Attorney General, submitted to the referees an “education plan prepared by Governor Pataki setting forth his proposal for complying with the June 23, 2003 decision of the Court of Appeals in this action.” The Governor’s plan proposed additional annual operating funds for New York City of \$4.7 billion, and \$8 billion statewide. As the Attorney General wrote in a letter to the referees:

“Governor Pataki is a named defendant in this action, and this office therefore is presenting the plan prepared by the Governor, as his counsel, and a description of that plan as prepared by the Governor’s office. We also note, however, that the decision of the Court of Appeals requires the enactment of legislation by the State of New York, and this office is the institutional counsel for the State.

“Unfortunately, the two houses of the Legislature and the Governor have not been able to agree upon a single unified plan for submission to this panel.”

On this record, the \$1.93 billion figure is not entitled to special deference.

II. The Issue of Rationality

The \$1.93 billion now embraced by the majority is, moreover, based on two unsustainable factors. When those factors are properly adjusted, the resultant cost of a sound basic education, as calculated by Standard & Poor's, is identical to that reached by the referees and accepted by the trial court—a determination that should therefore be upheld as rationally based.

In conducting its study, Standard & Poor's, as instructed by the Commission, utilized the “successful schools and districts” model for calculating per-pupil expenditures—one of three distinct methodologies typically used by experts in education policy and finance. No party disputes the legitimacy of the successful schools method as a means for determining the cost of a sound basic education. By using this method, Standard & Poor's was able to calculate a range of numbers that varied according to choices made as to four distinct factors—first, the standard for measuring a successful school district; second, the additional expenditures necessitated by special needs students; third, the use of a cost filter; and fourth, the manner of converting “standardized” education dollars into New York City dollars.

With respect to the first factor, Standard & Poor's made a set of calculations using four different academic achievement standards for identifying a successful school district, and again the parties agree, and the referees found, that satisfaction of the Regents Criteria provides an appropriate standard for measuring a successful school. Nor is there any dispute as to the fourth factor—the proper conversion of state education dollars into New York City dollars. Inasmuch as the purchasing power of a dollar varies across the state, and the successful schools method examined all of the school districts in the state, Standard & Poor's offered two alternative regional cost adjustment indices to determine the cost in New York City dollars: (1) the “New York Regional Cost Index,” provided by the State Education Department; and (2) the “Geographic Cost of Education Index” (GCEI), provided by the National Center for Education Statis-

tics. The referees found, and the parties agree, that use of the GCEI was appropriate.⁴

The difference—a huge dollar difference—centers on the second and third factors: the proper weighting adjustments for special needs students, and the use of a 50% cost reduction filter.

A. The Low-Income Weighting

A successful schools analysis produces “base expenditures,” which are estimated costs per pupil. However, such base expenditures must then be multiplied by “weightings” for students with special needs, who require such costly accommodations as differentiated curricula, smaller class sizes, assistive technology and classroom aides. Standard & Poor’s assigned a weighting of 2.1 to students with disabilities (special-education students); 1.35 to economically disadvantaged students; and 1.2 to students with limited English proficiency. Although the parties and referees agree that the special-education and English-language weightings were appropriate, the record reflects that the 1.35 low-income weighting applied by Standard & Poor’s—according to which \$1.35 must be allocated to students in poverty for every dollar spent on a student not in poverty—was irrational and cannot be sustained.

Defendants’ principal rationale for choosing this weighting—a choice that drew considerable criticism from the witnesses and amici—was that the Standard & Poor’s study had identified 1.35 as the proper adjustment for educating economically disadvantaged students. But Standard & Poor’s had in fact emphasized that 1.35 was simply a figure that it had “drawn from a review of research literature on the coefficients that education agencies tend to use in practice,” and that “insufficient empirical evidence exists in New York to determine how much additional funding is actually needed for different categories of students with special needs to consistently perform at intended achievement levels” (Standard & Poor’s School Evaluation Services, Resource Adequacy Study for the New York State

4. However, the particular GCEI used by Standard & Poor’s in its Resource Adequacy Study was outdated. Accordingly, as the majority recognizes and defendants concede, the \$1.93 billion ordered by the Court must be adjusted using the correct GCEI.

Commission on Education Reform, at 8-9 [2004]).⁵ As a result, Standard & Poor's made clear that its study "does not explicitly recommend a particular set of weightings." (*Id.*)

Unlike Standard & Poor's, the Regents, in determining that a higher poverty weighting was required, had focused on the specific circumstances of New York City schools, including an especially heavy concentration of high-needs students, very low graduation rates, large classes and a disproportionate number of schools in need of improvement, and thereby determined that the appropriate low-income weighting for New York City was 1.8. With respect to the state as a whole, the Regents recommended weightings for low-income students ranging from 1.5 to 2.0, depending on the concentration of poverty in the district.

Because the Standard & Poor's weighting of 1.35 for low-income students was not focused on the specific circumstances of New York City schools, its use to determine the actual cost of providing a sound basic education to economically disadvantaged New York City students was irrational, as the referees found. The referees thus properly determined that a poverty weighting of at least 1.5—the lower end of the range proposed by the Regents—must instead be used.

B. The 50% Cost Filter

Finally, as endorsed by the Zarb Commission, Standard & Poor's applied a "cost effectiveness filter" of 50% in an alleged effort to screen out successful school districts that either spent money inefficiently or spent more than was necessary to provide the opportunity for a sound basic education. Under that approach, Standard & Poor's considered the average expenditures of only the lower-spending half of successful school districts in New York State, thereby excluding from the analysis 140 of the 281 successful school districts meeting the Regents Criteria standard.

Multiple witnesses and amici heavily criticized this filter. Indeed, several testifying witnesses criticized the use of *any* cost reduction filter, and others would have used an approach substantially different from the one adopted by defendants, such as simply eliminating the highest- and lowest-spending 5%

5. Evidence in the record indicated that such nationally derived weightings generally "result from guesses or policy decisions based on the amount of available funding" and "are essentially arbitrary and do not reflect the actual costs of providing adequate educational opportunities to students with special needs."

of districts as “outliers.” Defendants’ own expert, Dr. Robert M. Palaich, testified that his own firm would not use the 50% filter, and there was no evidence offered that this filter is generally accepted by experts in educational finance or, more fundamentally, that the higher-spending districts that were excluded from defendants’ analysis by the cost filter were in fact inefficient. Inasmuch as defendants made no attempt to determine why some successful schools spent less per pupil than others, the assumption that this must have been because the lower-spending schools were more efficient is utterly speculative. Indeed, certain expert amici posited that the lower spending in the selected schools might instead have been due to low wage costs and a low concentration of disadvantaged students, not to efficiency.

Only one decisionmaker anywhere in the country—the New Hampshire Legislature—has ever implemented a 50% cost reduction filter. But as even defendants acknowledge, “in New Hampshire it appears that the efficiency factor was selected to drive costs down” to a predetermined amount; it was not based on the expertise of any education finance experts. The 50% number not only is wholly arbitrary, but also has the effect of eliminating most of the school districts in Westchester and Nassau, the two counties that border New York City and thus most resemble the City in the concentration of students who are not English proficient and in the higher regional costs, particularly in hiring and retaining capable teachers. Accordingly, the 50% cost filter was properly rejected by the referees.

Defendants nevertheless defend the use of the 50% filter on the ground that the State Board of Regents also used it in its own budget proposal, submitted to the referees. But if deference to the Regents is called for with respect to the cost filter, surely it must also be shown with respect to the appropriate poverty weighting. The Regents, as noted, recommended a weighting for New York City low-income students of 1.8. Application of a 1.8 low-income weighting—even with the 50% cost filter—would result in a resource gap of \$5.25 billion, almost identical to the \$5.26 billion gap found by the referees.⁶

6. The \$5.63 billion calculated by the referees reflected both the updated GCEI and an adjustment for inflation from January 2004 to 2004-2005 dollars. Without those corrections, this amount equated to the Standard & Poor’s permutation that resulted in \$5.26 billion. Indeed, all figures calculated by Standard & Poor’s and proffered before the referees were measured in Janu-

(n. cont’d)

Notably, the Governor proposed additional annual New York City spending of \$4.7 billion; the Regents proposed \$4.7 billion from the State, plus \$0.9 billion from the City, for a total of \$5.6 billion; and New York City proposed \$5.3 billion. Plainly, every governmental actor knew what the referees and the Appellate Division here concluded: A sound basic education will cost approximately \$5 billion in additional annual expenditures. I remain hopeful that, despite the Court's ruling today, the policymakers will continue to strive to make the schools not merely adequate, but excellent, and to implement a statewide solution.

Judges ROSENBLATT, READ and SMITH concur with Judge FIGOTT; Judge ROSENBLATT concurs in a separate opinion; Chief Judge KAYE concurs in part and dissents in part in another opinion in which Judge CIPARICK concurs; Judge GRAFFEO taking no part.

Order modified, etc.

ary 2004 dollars. As defendants concede, the \$1.93 billion endorsed by the majority must be adjusted for inflation.

[860 NE2d 713, 827 NYS2d 96]

PATRICIA COLAVITO, as Personal Representative for ROBERT COLAVITO, Deceased, Appellant, v NEW YORK ORGAN DONOR NETWORK, INC., et al., Respondents.

Argued November 14, 2006; decided December 14, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review three questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Do the applicable provisions of the New York Public Health Law vest the intended recipient of a directed organ donation with rights that can be vindicated in a private party’s lawsuit sounding in the common law tort of conversion or through a private right of action inferred from the New York Public Health Law? (2) Does New York Public Health Law immunize either negligent or grossly negligent misconduct? (3) If a donee can bring a private action to enforce the rights referred to in question 1, may the plaintiff recover nominal or punitive damages without demonstrating pecuniary loss or other actual injury?”

HEADNOTES

Torts — Conversion — Organ Donation — Rights of Specified Donee

1. Plaintiff, as a specified donee of an incompatible kidney, had no common-law right to the organ and, thus, no viable cause of action for conversion against defendants, who had allocated the kidney to another patient. A conversion takes place when someone, intentionally and without authority, assumes or exercises control over personal property belonging to someone else, interfering with that person’s right of possession. Plaintiff herein had no possessory right or interest in the property at issue, i.e., the kidney. There is no common-law property right in a dead body.

Dead Bodies — Authorization for Organ Transplants

2. Plaintiff, as a specified donee of an incompatible kidney, had no viable right of action under Public Health Law articles 43 and 43-A against defendants, who had allocated the kidney to another patient. Although a qualified donor may make a gift to any specified donee “for therapy or transplantation *needed by him*” (Public Health Law § 4302 [4]), plaintiff did not need the kidney in question because it was medically incompatible.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conversion §§ 7, 33, 64, 69; AM JUR 2d, Dead Bodies §§ 3, 86, 89.

McKINNEY's, Public Health Law arts 43, 43-A.

NY JUR 2d, Cemeteries and Dead Bodies §§ 72, 73; NY JUR 2d, Conversion and Action for Recovery of Chattel §§ 4, 6, 14.

PROSSER AND KEETON, TORTS (5th ed) § 15.

ANNOTATION REFERENCE

Statutes authorizing removal of body parts for transplant: validity and construction. 54 ALR4th 1214.

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POINTS OF COUNSEL

Denise Winter Luparello, Hicksville, and *Victor M. Serby*, Woodmere, for appellant. I. The applicable provisions of the New York Public Health Law vest the intended recipient of a directed organ donation with rights that can be vindicated in a private party's lawsuit sounding in (a) the common-law tort of conversion or (b) through a private right of action derived (inferred) from the New York Public Health Law. (*Ferres v City of New Rochelle*, 68 NY2d 446; *Logan v Zimmerman Brush Co.*, 455 US 422; *Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539; *Plaza Health Labs., Inc. v Perales*, 878 F2d 577; *Seaver v Ransom*, 224 NY 233; *Lawrence v Fox*, 20 NY 268; *Gruen v Gruen*, 68 NY2d 48; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Walker v Town of Hempstead*, 84 NY2d 360.) II. The New York Public Health Law does not immunize either negligent or grossly negligent misconduct. (*Nicoletta v Rochester Eye & Human Parts Bank*, 136 Misc 2d 1065; *Perry v Saint Francis Hosp. & Med. Ctr., Inc.*, 886 F Supp 1551; *Lyon v United States*, 843 F Supp 531.) III. Plaintiff may recover both nominal and punitive damages without demonstrating pecuniary loss or other actual injury. (*Confederated Tribes of Warm Springs Reservation of Or. v United States*, 248 F3d 1365; *Bigelow v RKO Radio Pictures, Inc.*, 327 US 251.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, New York City (*Richard E. Lerner* and *Robin N. Gregory* of counsel), for respondents. I. Plaintiff never had a vested right to donor Peter Lucia's kidneys. Hence, he had no rights that could be vindicated in court. (*Gruen v Gruen*, 68 NY2d 48.) II. Absent proof of bad faith, there is no basis for any claim against an organ procurement organization. (*Nicoletta v Rochester Eye & Human Parts Bank*, 136 Misc 2d 1065; *Perry v Saint Francis Hosp. & Med. Ctr., Inc.*, 886 F Supp 1551; *Berrios v Our Lady of Mercy Med. Ctr.*, 20 AD3d 361.) III. There is no right to nominal or punitive damages. (*Cox v Microsoft Corp.*, 290 AD2d 206; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Fernandez v Suffolk County Water Auth.*, 276 AD2d 466; *Garrity v Lyle Stuart, Inc.*, 40 NY2d 354; *Jenkins v Etlinger*, 55 NY2d 35; *Estate of Finn v City of New York*, 76 Misc 2d 388; *Lott v State of New York*, 32 Misc 2d 296; *Darcy v Presbyterian Hosp. in City of N.Y.*, 202 NY 259; *Correa v Maimonides Med. Ctr.*, 165 Misc 2d 614.)

Eliot Spitzer, Attorney General, Albany (*Caitlin J. Halligan*, *Daniel Smirlock* and *Owen Demuth* of counsel), for State of New York Department of Health, amicus curiae. I. The plain language of the statute and strong public policy indicate that an intended recipient of an organ donation has no rights that can be enforced through a common-law conversion action. (*Gruen v Gruen*, 68 NY2d 48; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Town of Orangetown v Magee*, 88 NY2d 41; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Employers' Fire Ins. Co. v Cotten*, 245 NY 102; *State of New York v Seventh Regiment Fund*, 98 NY2d 249; *Hartford Acc. & Indem. Co. v Walston & Co.*, 21 NY2d 219; *Gruntal v United States Fid. & Guar. Co.*, 254 NY 468; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *Soon Duck Kim v City of New York*, 90 NY2d 1.) II. The interests of donees under the Uniform Anatomical Gift Act can be vindicated without recognizing a cause of action for conversion under the statute. (*Doe v Roe*, 190 AD2d 463; *Mark G. v Sabol*, 93 NY2d 710; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Carrier v Salvation Army*, 88 NY2d 298.) III. Public Health Law § 4306 (3) immunizes negligent and grossly negligent conduct. (*Nicoletta v Rochester Eye & Human Parts Bank*, 136 Misc 2d 1065; *Perry v Saint Francis Hosp. & Med. Ctr., Inc.*, 886 F Supp 1551; *Lyon v United States*, 843 F Supp 531; *Soma v Handrulis*, 277 NY 223; *First Natl. Bank of Odessa v Fazzari*, 10 NY2d 394;

Manufacturers & Traders Trust Co. v Sapowitch, 296 NY 226; *Berrios v Our Lady of Mercy Med. Ctr.*, 20 AD3d 361.)

Alexandra K. Glazier, Newton, Massachusetts, admitted pro hac vice, *Taylor, Duane, Barton and Gilman LLP*, Boston, Massachusetts (*Pamela S. Gilman* and *Andrew R. Weiner*, admitted pro hac vice, of counsel), and *John D. Persons, III*, Richmond, Virginia, admitted pro hac vice, for American Association of Tissue Banks and others, amici curiae. I. Applying the common-law property claim of conversion to the speculative ability of a potential recipient to benefit from the transplant of any specific organ is erroneous from both a legal and public policy perspective. (*Rubenstein v Rosenthal*, 140 AD2d 156; *Matter of Goodwin*, 114 Misc 39; *Matter of Signacon Controls v Mulroy*, 69 Misc 2d 63; *Matter of Union Indem. Ins. Co. of N.Y.*, 200 AD2d 99; *Brotherton v Cleveland*, 923 F2d 477; *Newman v Sathyavaglswaran*, 287 F3d 786; *Greenberg v Miami Children's Hosp. Research Inst., Inc.*, 264 F Supp 2d 1064.) II. The New York Public Health Law should be read to preserve the good faith immunity protection under the Uniform Anatomical Gift Act which immunizes against negligence. (*Nicoletta v Rochester Eye & Human Parts Bank*, 136 Misc 2d 1065.)

O'Connell and Aronowitz, P.C., Albany (*Cornelius D. Murray* of counsel), for New York Alliance for Donation, Inc., amicus curiae. I. Articles 43 and 43-A of the Public Health Law do create a limited cause of action in favor of the donee of an anatomical gift in the event of wrongful deprivation, but in order to prevail, a donee must show that the human organ was medically compatible with his/her immune system. II. The Public Health Law immunizes organ procurement organizations from liability unless plaintiff can show that they did not act in good faith. (*Nicoletta v Rochester Eye & Human Parts Bank*, 136 Misc 2d 1065; *Berrios v Our Lady of Mercy Med. Ctr.*, 20 AD3d 361.) III. There is no basis for awarding punitive damages, and awarding them in a case such as this would seriously undermine the statute's underlying purpose.

OPINION OF THE COURT

ROSENBLATT, J.

The case before us involves the purported gift of a kidney to plaintiff.* He asserts that as the specified donee of the organ, he

* He has since died and this appeal has been brought by his representative.

acquired a property right in it, giving rise to claims against defendants for delivering it to someone else. Plaintiff brought suit in federal court, and the United States Court of Appeals for the Second Circuit has certified questions to us relating to whether he has rights that would support his common-law conversion action or a statutory claim under Public Health Law articles 43 and 43-A.

I

In August 2002 Peter Lucia died at defendant Good Samaritan Hospital on Long Island, from massive intracranial bleeding. His widow, Debra Lucia, sought to donate his kidney (or kidneys¹) to plaintiff, Peter's longtime friend who had been suffering from end stage renal disease. Debra proceeded by going through defendant New York Organ Donor Network (NYODN). NYODN transplant coordinator defendant Spencer Hertzfel concluded that Peter's kidneys were "not a perfect match, but they [were] good enough." Peter's left kidney was airlifted to Jackson Memorial Hospital in Miami, Florida, where plaintiff was awaiting its transplantation; Peter's other kidney remained in New York.

While preparing for the transplant during the early afternoon of August 23, 2002, Dr. George W. Burke, a surgeon at Jackson Memorial, inspected the donated kidney and discovered an aneurysm of the renal artery, making the kidney unsuitable for transplantation. He immediately contacted NYODN, asking for Peter's other kidney, and was informed that it had been allocated to someone else. The parties agree that NYODN had allocated the other kidney to another patient at about 11:25 A.M. that day.

Plaintiff brought suit against NYODN and others in the United States District Court for the Eastern District of New York, alleging fraud, conversion and violations of New York

1. The parties dispute whether Debra intended to donate one or both of her late husband's kidneys to plaintiff. Plaintiff claims both kidneys were directed to him. On the organ donation form Debra checked off that she wanted to donate her husband's "kidneys" but wrote in the appropriate blank that she was donating a "kidney" to plaintiff. Debra also testified that,

"What I wanted more than anything was for Bobby [plaintiff] to get a functioning kidney. If they needed both of them, that would have been fine. If they needed one, that would have been fine also. But he was to be taken care of. . . .

"As long as Bobby was taken care of and he was fine, then the [other] kidney could be given to another person."

For purposes of this case we will assume that Debra intended to donate both kidneys to plaintiff.

Public Health Law articles 43 and 43-A. Defendants moved for summary judgment and in support presented the deposition of Dr. Burke, in which he recounted the relevant events of August 23, 2002. He testified that when he found the first kidney unacceptable (owing to the aneurysm) the tissue-typing lab was performing other tests, reconfirming the blood group, retesting plaintiff's tissue and running cross-matching.² About 12 hours after discovering the aneurysm, Dr. Burke learned of the positive cross-match which, he said, would have prevented the successful transplant of either kidney.

Defendants also submitted an affidavit from Dr. Robert S. Gaston, Medical Director of the Kidney and Pancreas Transplantation programs at the University of Alabama. He reviewed the histocompatibility³ studies for the proposed transplant and concluded that plaintiff was an inappropriate donee for either of Peter's kidneys and that any attempt at transplant would result in "hyperacute rejection" by plaintiff, whose antibodies would attack either of Peter's kidneys and cause damage immediately after transplantation. Defendants argued that for these and other reasons plaintiff had no viable common-law or statutory claim against them.

Plaintiff cross-moved for summary judgment, maintaining, as he does before us, that incompatibility is irrelevant to his claim that defendants misappropriated or diverted Peter's second kidney. He characterized the incompatibility determination as belated and suspect.

The District Court granted defendants' motion for summary judgment, denied plaintiff's cross motion and dismissed the complaint (*Colavito v New York Organ Donor Network, Inc.*, 356 F Supp 2d 237 [2005]). The court determined that plaintiff failed to state a cause of action for fraud, not having shown how he was harmed by any justifiable reliance on defendants' alleged misrepresentation.

In rejecting the conversion claim, the District Court held, in essence, that contract law ill-suits organ donations and that it

2. Cross-matching involves the interaction between donor and recipient antigens so as to predict the degree of compatibility. In pretransplantation cross-matching, the recipient's serum is mixed with potential donor lymphocytes to identify preformed antibodies in the recipient. If the cross-match is positive, the recipient and donor are incompatible. If the cross-match is negative, the transplant may proceed.

3. Testing for histocompatibility is a tissue-typing procedure performed on donors and recipients in kidney transplantations to match a donor with the most suitable recipient.

would be “inappropriate to expand the limited right that courts recognize in a deceased’s body, which only belongs to the next of kin to ensure proper burial” (*id.* at 244). Lastly, the court concluded that in the absence of a clear legislative expression, neither Public Health Law article 43 nor article 43-A gives donees standing to bring a lawsuit.

On plaintiff’s appeal, the Second Circuit agreed that he did not state a cause of action for fraud, but determined that the legal issues necessary to address the two remaining causes of action raised novel and important questions of New York law (*Colavito v New York Organ Donor Network, Inc.*, 438 F3d 214 [2006]).⁴ The Second Circuit certified to us, and we accepted, the following questions:

“(1) Do the applicable provisions of the New York Public Health Law vest the intended recipient of a directed organ donation with rights that can be vindicated in a private party’s lawsuit sounding in the common law tort of conversion or through a private right of action inferred from the New York Public Health Law? (2) Does New York Public Health Law immunize either negligent or grossly negligent misconduct? (3) If a donee can bring a private action to enforce the rights referred to in question 1, may the plaintiff recover nominal or punitive damages without demonstrating pecuniary loss or other actual injury?” (*Id.* at 233.)

II

Conversion

To answer the first question we begin by addressing the tort of conversion. A conversion takes place when someone, intentionally and without authority, assumes or exercises control

4. In dissent, Judge Jacobs disagreed with the majority insofar as it certified questions to us. He would have affirmed the District Court

“on the additional ground that (even if the [Public Health Law] affords a right of action to donees) Colavito suffered from no violation of the New York anatomical gift statute because there is no sustainable allegation of bad faith or negligence, because he received the only thing for which he could be a donee under the statute (a single kidney), and because there is no misdirection as a matter of law where the disposition of the donated organs accords with arrangements set out in the organ donor form” (438 F3d at 235).

over personal property belonging to someone else, interfering with that person's right of possession (*State of New York v Seventh Regiment Fund*, 98 NY2d 249 [2002]). Two key elements of conversion are (1) plaintiff's possessory right or interest in the property (*Pierpoint v Hoyt*, 260 NY 26 [1932]; *Seventh Regiment Fund*, 98 NY2d at 259) and (2) defendant's dominion over the property or interference with it, in derogation of plaintiff's rights (*Employers' Fire Ins. Co. v Cotten*, 245 NY 102 [1927]; see also Restatement [Second] of Torts §§ 8A, 223, 243; Prosser and Keeton, Torts § 15, at 92, 102 [5th ed]).

The first element is pivotal to our inquiry insofar as plaintiff's conversion cause of action necessarily rests on his claimed property right in the second kidney. We must examine the relevant common law to see whether he has such a right.

The Common Law Relative to Property Rights in the Body of a Deceased Person

We begin with an observation. The common law on this subject extends back for centuries while organ donation and transplantation are measured by mere decades. When discussing body parts of deceased persons, it is unlikely that our forbears had in mind that human organs might be transplanted to extend life or improve health.

As the common law developed, body parts were known to have value, not for transplantation, but for the study of medicine and anatomy. A good deal of the law arose out of religious and cultural sensibilities involving grave robbery, desecration of corpses and, later on, unauthorized autopsies.

Unlike other instances in which we consult the common law, this inquiry cannot possibly yield answers with perfect congruity considering the different context in which common-law courts dealt with this subject. Although the case before us is unprecedented, the common law offers enough guidance for us to answer the question confidently.

Early common-law writings on the subject go back to Lord Coke, whose 17th century pronouncement that a corpse has no value is a good starting point.⁵ Coke's classic edict is of more than historical interest; it has been a staple of the common law.

5. (See 3 Edward Coke, *Institutes of the Laws of England*, at 203 [1644]; see also *Matter of Johnson*, 169 Misc 215 [Sur Ct, NY County 1938]; Ayala, *The Application of Traditional Criminal Law to Misappropriation of Gametic Materials*, 24 Am J Crim L 503, 517-518 [1977]; Boulter, *Sperm, Spleens, and Other Valuables: The Need to Recognize Property Rights in Human Body Parts*, 23 Hofstra L Rev 693, 705 [1995]; Carey, *The Disposition of the Body*

(n. cont'd)

Blackstone reiterated the doctrine, asserting that heirs have no property right in the bodies or ashes of their ancestors, “nor can [an heir] bring any civil action against such as indecently at least, if not impiously, violate and disturb their remains, when dead and buried.”⁶

One of this Court’s earliest encounters with the subject was in *Patterson v Patterson* (59 NY 574, 583 [1875]). Adhering to the rule that no one can have a property right in a dead body, we held that a next of kin has only a right to possess the body for purposes of burying it, and a corresponding duty to do so.

Some years later, in *Foley v Phelps* (1 App Div 551 [1896]), a case of first impression in New York, the Court recognized a cause of action by a widow who suffered emotional distress occasioned by an unauthorized autopsy on her late husband. The Court insisted that it was not finding any property right in the body, invoking instead the widow’s right and corresponding duty to bury a corpse, un mutilated. *Foley* relied, in part, on an 1880 case (*Snyder v Snyder*, 60 How Prac 368, 371 [1880]) in which the court ruled that there is no property right in the remains of a deceased but the person having charge of the

After Death, 19 Am L Rev 251 [1885]; Hernandez, *The Property of Death*, 60 U Pitt L Rev 971, 973 [1999]; Jackson, *The Law of Cadavers*, ch VI, at 123-183 [2d ed 1950]; Krauskopf, *The Law of Dead Bodies: Impeding Medical Progress*, 19 Ohio St LJ 455 [1958]; Sideman and Rosenfeld, *Legal Aspects of Tissue Donations From Cadavers*, 21 Syracuse L Rev 825 [1970]; Note, *The Sale of Human Body Parts*, 72 Mich L Rev 1182 [1974].)

The High Court of Justice in England and Wales also recognized that “it has now been common law for 150 years at least that neither a corpse nor parts of corpse are in themselves and without more capable of being property protected by rights’ ” (*AB v Leeds Teaching Hosp. NHS Trust*, [2004] EWHC 644, ¶ 135 [QB Div, Mar. 26, 2004]).

6. (2 William Blackstone, *Commentaries on the Law of England*, at 429 [1811].) As if to emphasize the point, Blackstone asserted that “if any one in taking up a dead body steals the shroud or other apparel, it will be a felony,” but stealing the body itself is a misdemeanor (*id.*).

Owing to the need for body parts to study anatomy, a brisk industry of grave robbing by so-called “resurrectionists” emerged (Nelkin and Andrews, *Do the Dead Have Interests? Policy Issues for Research After Life*, 24 Am JL & Med 261, 262-265 [1998]). The English did not alter the common-law view that the corpse was worthless; instead, Parliament passed the Anatomy Act of 1832 to allow medical schools to use unclaimed bodies (Powhida, *Forced Organ Donation: The Presumed Consent to Organ Donation Laws of the Various States and the United States Constitution*, 9 Alb LJ Sci & Tech 349, 355-356 [1999]; see also Keller, *The Bed of Life: A Discussion of Organ Donation, its Legal and Scientific History, and a Recommended “Opt-Out” Solution to Organ Scarcity*, 32 Stetson L Rev 855, 864-865 [2003]).

remains holds them “as a sacred trust” (*see also* 2 Kinkead, Commentaries on the Law of Torts, at 881-883 [1903]).

In 1911, we cited *Foley* approvingly, and held that a mother had no property interest in her son’s body, but had the right to protect it from unauthorized desecration. We sustained her cause of action for emotional distress brought on by an autopsy conducted over her objection (*Darcy v Presbyterian Hosp. in City of N.Y.*, 202 NY 259 [1911]).⁷

Six years later, in *Finley v Atlantic Transp. Co., Ltd.* (220 NY 249 [1917]), we upheld a cause of action for a plaintiff whose father died while on a transatlantic voyage and was cast out to sea, even though his body had been embalmed and in a perfect state of preservation. The defendant steamship operator was aware that the deceased’s son was willing to defray any expenses involved in delivering the body. Concluding that the steamship company was answerable in damages for the son’s anguish, we again emphasized that there is no right of property in a dead body in the ordinary sense of the term, but sustained the cause of action based on the sensibilities expressed in *Snyder*, *Darcy*, *Patterson*, *Foley* and similar cases.

We have been careful about characterizing causes of action that impose liability for violating these sensibilities and have disclaimed any reliance on a theory of property rights in a dead body.⁸ Later cases in New York have continued to recognize causes of action for improper autopsy or mutilation (*see e.g. Ju-seinoski v New York Hosp. Med. Ctr. of Queens*, 18 AD3d 713 [3d Dept 2005]; *Lieberman v Riverside Mem. Chapel*, 225 AD2d 283 [1st Dept 1996]; *Bambrick v Booth Mem. Med. Ctr.*, 190 AD2d 646 [2d Dept 1993]), but none have strayed meaningfully from

7. Other early wrongful autopsy cases recognized the same rule (*Grawunder v Beth Israel Hosp. Assn.*, 242 App Div 56 [2d Dept 1934]; *Has-sard v Lehane*, 143 App Div 424 [1st Dept 1911]; *Jackson v Savage*, 109 App Div 556 [1st Dept 1905]). In *Hasselbach v Mount Sinai Hosp.* (173 App Div 89 [1st Dept 1916]), however, the Court found for the defendant hospital because it was not responsible for the unauthorized autopsy.

8. Prosser and Keeton (Torts § 12, at 63 [5th ed]) are critical of courts that have referred to a “property right” when according causes of action for emotional distress following unauthorized autopsies or mutilation. The authors assert that some courts have talked dubiously of this property right “which did not exist while the decedent was living, cannot be conveyed, can be used only for the one purpose of burial, and . . . has no pecuniary value.” The property right in such cases, they go on to say, is a “fiction likely to deceive no one but a lawyer.”

the doctrine that there is no common-law property right in a dead body.⁹

[1] Considering, however, that the “no property right” jurisprudence was developed long before the age of transplants and other medical advances, we need not identify or forecast the circumstances in which someone may conceivably have actionable rights in the body or organ of a deceased person.¹⁰ For purposes of this case it is enough to say, in answer to the first part of the first certified question, that plaintiff, as a specified donee of an incompatible kidney, has no common-law right to the organ. For that reason, his cause of action for conversion must fail, as it is necessarily based on his claimed right to possess the kidney in question.

We therefore turn to the second half of the first question: does plaintiff, a specified donee of an incompatible kidney, have a viable right of action under New York’s Public Health Law?

III

Public Health Law Articles 43 and 43-A: New York’s Version of the Uniform Anatomical Gift Act and Its Implementation

Article 43

Given the lack of uniformity among state laws regulating organ donation, the National Conference of Commissioners on Uniform State Laws introduced the Uniform Anatomical Gift Act (UAGA) of 1968. The UAGA was designed to provide a nationwide law to “encourage the making of anatomical gifts” and “serve the needs of the several conflicting interests in a manner consistent with prevailing customs and desires in this country respecting dignified disposition of dead bodies” (Prefatory Note to Uniform Anatomical Gift Act of 1968). The UAGA identified the principal competing interests as:

“(1) the wishes of the deceased during his lifetime concerning the disposition of his body; (2) the

9. In one instance we referred to a “quasi-property right” in cases of this type (*Johnson v State of New York*, 37 NY2d 378, 382 [1975]; see also Clark, *Solving the Kidney Shortage Crisis Through the Use of Non-Heart-Beating Cadaveric Donors: Legal Endorsement of Perfusion as a Standard Procedure*, 70 Ind LJ 929 [1995]).

10. Judge Guido Calabresi discusses four legal approaches and how each would look at the question of whether we own our own bodies and their parts (*An Introduction to Legal Thought: Four Approaches to Law and to the Allocation of Body Parts*, 55 Stan L Rev 2113 [2003]).

desires of the surviving spouse or next of kin; (3) the interest of the state in determining by autopsy, the cause of death in cases involving crime or violence; (4) the need of autopsy to determine the cause of death when private legal rights are dependent upon such cause; and (5) the need of society for bodies, tissues and organs for medical education, research, therapy and transplantation” (*id.*).¹¹

The UAGA gave any individual, of sound mind and 18 years or more of age, the right to donate all or any part of his or her body for any purpose specified in the act, with the gift to take effect upon death. If an individual does not express such a desire, family members may donate a deceased’s organs posthumously, but are prohibited from making an anatomical gift if they know it contravenes the deceased’s wishes. Every state, and the District of Columbia, has adopted some variation of the UAGA (*id.*).

With minor variation, New York codified the UAGA in 1970 as Public Health Law article 43 (L 1970, ch 466),¹² describing who may be a donor or donee of an anatomical gift, and how a gift may be executed or revoked. The law expressly prohibits

11. A number of commentators have written about ongoing issues in connection with the supply and transplantation of organs (*see* Boyd, *Considering a Market in Human Organs*, 4 NC JL & Tech 417 [2003]; Charo, *Skin and Bones: Post-Mortem Markets in Human Tissue*, 26 Nova L Rev 421 [2002]; Clark, *Solving the Kidney Shortage Crisis Through the Use of Non-Heart-Beating Cadaveric Donors: Legal Endorsement of Perfusion as a Standard Procedure*, 70 Ind LJ 929 [1995]; Crespi, *Overcoming the Legal Obstacles to the Creation of a Futures Market in Bodily Organs*, 55 Ohio St LJ 1 [1994]; Mahoney, *The Market for Human Tissue*, 86 Va L Rev 163 [2000]; Wagner, *Property Rights in the Human Body: The Commercialization of Organ Transplantation and Biotechnology*, 33 Duq L Rev 931 [1995]; Williams, *Combating the Problems of Human Rights Abuses and Inadequate Organ Supply Through Presumed Donative Consent*, 26 Case W Res J Int’l L 315 [1994]; *see generally* Gold, *Body Parts: Property Rights and the Ownership of Human Biological Materials* [1996]; Scott, *The Body as Property* [1981]).

12. The UAGA of 1968 was later superseded by a newer version in 1987 (Uniform Anatomical Gift Act of 1987). The New York Legislature, however, did not adopt the 1987 revision.

A few years before the UAGA of 1987 was enacted, Congress passed the National Organ Transplant Act of 1984 (NOTA) (Pub L 98-507 [codified at 42 USC §§ 273-274g]) in response to the shortage of donated organs. NOTA essentially established a national health policy regarding organ procurement and allocation. NOTA called for the creation of the national Organ Procurement and Transplantation Network, the Scientific Registry of Transplant Recipients and the Task Force on Organ Transplantation. NOTA also developed federal grants for organ procurement organizations and prohibited the purchase of organs.

the exchange of valuable consideration for body parts for human transplantation. Section 4301 (5) recognizes that the “rights of the donee created by the gift are paramount to the rights of others.” The statute, however, is silent as to what rights a donee has in a donated organ.

Article 43 contains a good faith immunity provision: section 4306 (3) states, “A person who acts in good faith in accord with the terms of this article or with the anatomical gift laws of another state is not liable for damages in any civil action or subject to prosecution in any criminal proceeding for his act.” The immunization was intended to help increase the organ supply by encouraging medical professionals to participate in the organ procurement process (see *People v Bonilla*, 95 AD2d 396, 404-405 [2d Dept 1983]).¹³ Lastly, and of supreme importance to this case, Public Health Law § 4302 (4) allows donors to make a gift, effective upon death, to “any specific donee, *for therapy or transplantation needed by him*” (emphasis added).

Article 43-A

To enhance organ procurement and increase the supply of organs, the Legislature passed Public Health Law article 43-A in 1985, entitled “Request for Consent to an Anatomical Gift” (L 1985, ch 801, § 1). Section 4351, as originally enacted, obligated hospital administrators to follow certain procedures when seeking consent from a decedent’s family members for an anatomical gift. In 1997 the Legislature repealed the 1985 law and replaced it with the current version of section 4351 (L 1997, ch 668, § 1). The statute now prescribes the duties of hospital administrators, organ procurement organizations, eye banks and tissue banks. Article 43-A also sets forth procedures for anatomical gift requests, and designates who may qualify as a “requestor” to “ensure[] that the request for [the] gift will be both effective with regard to organ procurement and sensitive to the needs of the family during a very difficult time” (Senate Mem in Support of L 1997, ch 668, 1997 McKinney’s Session Laws of NY, at 2643).

Section 4351 (4) obligates hospitals to ask a deceased’s family member (in a prescribed order of priority) to consent to the gift

13. See also *Carey v New England Organ Bank*, 17 Mass L Rep 582, 2004 WL 875623, *5, 2004 Mass Super LEXIS 132, *15 (2004); *Sattler v Northwest Tissue Ctr.*, 110 Wash App 689, 694, 42 P3d 440, 443 (Ct App, Div 1 2002); *Ramirez v Health Partners of S. Ariz.*, 193 Ariz 325, 333-334, 972 P2d 658, 666-667 (Ct App, Div 2 1998); *Brown v Delaware Val. Transplant Program*, 420 Pa Super 84, 90, 615 A2d 1379, 1382 (1992); *Williams v Hofmann*, 66 Wis 2d 145, 154-155, 223 NW2d 844, 848-849 (Sup Ct 1974).

of all or part of the deceased's body, unless there is reason to believe that the deceased would have objected. In keeping with concerns of tact and sensitivity, the statute goes so far as to provide that the person asking for consent be a trained "designated requestor" (Public Health Law § 4351 [5]).

The most vexing provision in article 43-A is section 4351 (7), to which the parties have dedicated an appreciable part of their arguments. It provides that "any person or organization acting pursuant to this section [i.e. section 4351, involving the duties of hospitals] *shall be legally responsible for any negligent or intentional act or omission committed by such entity or its employees or agents*" (emphasis added). The import of these words is altered, however, by the phrase preceding them, notably that the good faith immunity provision of article 43's section 4306 (3) applies. Thus, section 4351 (7) incorporates section 4306's good faith immunity provision and states that violators will be held responsible only "[t]o the extent permissible under such subdivision."

Plaintiff argues that the language—"legally responsible for any negligent or intentional act or omission"—implies a statutory cause of action for anyone harmed by defendants, and that he qualifies. He further asserts that the incorporated language of Public Health Law § 4306 (3) creates not a qualified immunity, requiring dismissal unless plaintiff can prove bad faith, but merely an affirmative defense, as to which defendants have the burden of proof—a burden he says they have not met.

Defendants maintain that the "legally responsible for any negligent or intentional act or omission" phrase in section 4351 (7) has nothing to do with rights of donors or donees, and that the words "legally responsible" contemplate responsibility as opposed to liability. Section 4351 (7), defendants argue, comes into play if, for example, a hospital fails to notify a federally designated organ procurement organization of a potential donor, enabling the commission to hold the hospital "responsible." Defendants thus maintain that, absent bad faith, they are immune from liability by virtue of section 4306 (3)'s imported "good faith" language.

The Second Circuit called section 4351 (7) "odd," in that when combined with the superimposed language of section 4306, it states that negligent persons "will be held legally responsible to the extent permissible under a provision which

shields negligent persons from liability” (438 F3d at 231 n 16). The court went on to speculate that good faith might be meant to include some but not all acts of negligence, or that section 4351 (7) makes negligent parties responsible for injunctive relief but section 4306 (3) shields them from personal liability.

The Attorney General offers yet another explanation of 4351 (7)’s perplexing language, suggesting that it refers only to article 43-A wrongdoing, involving procurement of anatomical gifts. He asserts it has no bearing on article 43, which deals with donors and donees and the type of allegations made here—the asserted misdelivery of an organ—which is covered by the good faith immunity of section 4306 (3). While we agree that the language of section 4351 (7) is unclear, it does not control our decision.¹⁴ We rest our answer to the second half of the first question on section 4302 (4), which provides that a qualified donor may make a gift to any specified donee “for therapy or transplantation *needed by him*” (emphasis added). In other words, a donee is defined as someone who needs the donated organ.

[2] As we have seen, plaintiff did not need the kidney in question. While he was in need of a functioning kidney, both of Peter’s kidneys were of no use to plaintiff. Under the statutory scheme, gifts of a deceased donor are conditioned upon medical benefit to the intended recipient. Indeed, medical compatibility tests are specifically authorized “to *assure* medical medical acceptability of [the] gift” for transplant (Public Health Law § 4301 [4] [emphasis added]). Although plaintiff was the specified donee, that does not alter his status as someone who could not benefit from either kidney. In answer to the second part of the first question we conclude that because the kidneys were medically incompatible with plaintiff, he has no private right of action against defendants under the New York Public Health Law.

Accordingly, under the circumstances of this case, certified question No. 1 should be answered in the negative, and certified question Nos. 2 and 3 not answered as academic.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

14. We have nonetheless identified the problems associated with the paradoxical language of section 4351 (7) to call it to the Legislature’s attention.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question No. 1 answered, under the circumstances of this case, in the negative, and certified question Nos. 2 and 3 not answered as academic.

[861 NE2d 69, 828 NYS2d 254]

MADISON AVENUE LEASEHOLD, LLC, Appellant, v MADISON BENTLEY ASSOCIATES LLC, et al., Respondents.

Argued November 16, 2006; decided December 19, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 14, 2006. The Appellate Division affirmed an order of the Supreme Court, New York County (Sherry Klein Heitler, J.), which had (1) granted the cross motion of defendants Arthur and Brian Miller for summary judgment dismissing those portions of the complaint seeking to impose individual liability against them for breach of the lease between plaintiff and defendant Madison Bentley Associates LLC and (2) denied, as moot, plaintiff's motion to amend the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of Supreme Court, properly made?"

Madison Ave. Leasehold, LLC v Madison Bentley Assoc. LLC, 30 AD3d 1, affirmed.

HEADNOTE

Suretyship and Guarantee — Scope of Guarantee — Construction of Early Termination Clause in Guaranty of Rental Payments under Commercial Lease

Defendants, who had guaranteed the commercial tenant's payment of rent under a guaranty that contained an early termination clause providing that the guarantors' obligations would cease at the conclusion of three years if the tenant had not been "in monetary default . . . at any time" during the first three years of the lease, were not personally liable under the guaranty when the tenant prematurely vacated the premises more than three years into the lease term. The tenant's untimely payment of the rent during the first three years of the lease did not amount to a "monetary default" under the terms of the lease and guaranty. Under the lease, a default in the payment of rent did not ripen into a "monetary default" until the landlord had first served a notice of default and the default had remained uncured for at least seven days. Despite the tenant's failure timely to meet its rent obligation, the rent was paid each month and the landlord accepted the rent without issuing a single notice of default complaining of late payment. Because there was no monetary default under the lease, the early termination clause of the guaranty remained in full force and effect and expired by its terms before the tenant prematurely vacated the premises.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Guaranty §§ 65, 69–72; AM JUR 2d, Landlord and Tenant §§ 660, 664–666.

NY JUR 2d, Guaranty and Suretyship §§ 107, 109, 135; NY
JUR 2d, Landlord and Tenant §§ 65, 66.

ANNOTATION REFERENCE

See ALR Index under Guaranty; Landlord and Tenant.

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Query: guarant! /s tenant /s monetary /2 default /s lease

POINTS OF COUNSEL

Kucker & Bruh LLP, New York City (*Catherine A. Helwig*, *Nativ Winiarsky*, *Alan D. Kucker* and *Patrick K. Munson* of counsel), for appellant. I. The Appellate Division majority opinion improperly focused on the legal consequences of Madison Bentley Associates LLC's monetary defaults under the lease instead of the separate legal consequence of such defaults expressly stated in the guaranty. (*Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *American Trading Co. v Fish*, 42 NY2d 20; *Raven El. Corp. v Finkelstein*, 223 AD2d 378, 88 NY2d 1016; *Anderson Credit & Leasing Corp. v McEvoy*, 236 AD2d 569; *Pollina v Blatt*, 262 AD2d 384; *Chemical Bank v PIC Motors Corp.*, 58 NY2d 1023; *United States v Beardslee*, 562 F2d 1016.) II. Contrary to the Appellate Division majority opinion, the guaranty was in full force and effect during the first three years. III. The Appellate Division majority wrongly speculated as to the intent of the parties and then considered that speculative intent in interpreting the terms of the unambiguous guaranty. (*South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543.) IV. The Appellate Division majority improperly considered factual matters outside the unambiguous guaranty to interpret its meaning and effect. (*South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272.) V. The Appellate Division's finding that Madison Bentley Associates LLC's monetary defaults were "extinguished" or nullified by waiver is without support under New York law. (*Jeppaul Garage Corp. v Presbyterian Hosp. in City of N.Y.*, 61 NY2d 442; *Louis Dreyfus Energy Corp. v MG Ref. & Mktg., Inc.*, 2 NY3d 495.) VI. The courts below should have granted Madison Avenue Leasehold, LLC (Madison) permission to amend its complaint to make clear that Madison had distinct claims against Madison Bentley Associates LLC and Arthur and Brian Miller. (*Cooper v Met Merchandising*, 75 AD2d 519; *McCaskey, Davies & Assoc. v New*

York City Health & Hosps. Corp., 59 NY2d 755; *Igbara Realty Corp. v New York Prop. Ins. Underwriting Assn.*, 104 AD2d 258.)

David Vanderpool, New York City, and *Seymour I. Hurwitz* for respondents. I. The majority correctly found that Madison Avenue Leasehold, LLC could not proceed against Arthur and Brian Miller under the limited guaranty due to the absence of default by Madison Bentley Associates LLC. (*Terwilliger v Terwilliger*, 206 F3d 240; *Weissman v Sinorm Deli*, 88 NY2d 437; *Bankers Trust Hudson Val., N.A. v Christie*, 68 AD2d 969; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Christopher Assoc.*, 257 AD2d 1; *Jeppaul Garage Corp. v Presbyterian Hosp. in City of N.Y.*, 61 NY2d 442; *Montant v Moore*, 135 App Div 334; *Lee v Wright*, 108 AD2d 678; *Atkin's Waste Materials v May*, 34 NY2d 422.) II. The parties intended the limited guaranty to terminate after the first three years of the lease. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Community Natl. Bank & Trust Co. of N.Y. v Cagnetta*, 88 AD2d 897; *Chase Manhattan Bank, N.A. v American Natl. Bank & Trust Co. of Chicago*, 93 F3d 1064; *Louis Dreyfus Energy Corp. v MG Ref. & Mktg., Inc.*, 2 NY3d 495.) III. The majority opinion properly considered the terms of the lease in interpreting the limited guaranty. (*Matter of Wallace v 600 Partners Co.*, 86 NY2d 543; *Port Distrib. Corp. v Pflaumer*, 880 F Supp 204; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Christopher Assoc.*, 257 AD2d 1; *Greene's Ready Mixed Concrete Co. v Fillmore Pac. Assoc. Ltd. Partnership*, 808 F Supp 307; *Jeppaul Garage Corp. v Presbyterian Hosp. in City of N.Y.*, 61 NY2d 442.)

OPINION OF THE COURT

GRAFFEO, J.

In this action brought by a landlord to collect on a personal guaranty signed by two individuals, the issue is whether a tenant who paid monthly rent but did so in an untimely manner was in “monetary default” under the terms of the lease and guaranty. Based on the particular language chosen by the parties in these documents, we conclude that the late payment of rent in this case did not constitute a “monetary default.”

Plaintiff, Madison Avenue Leasehold, LLC, is the owner of a building at 437 Madison Avenue in New York City. Through an agent, plaintiff entered into a lease agreement, dated March 29,

2000, with the assignor of defendant, Madison Bentley Associates LLC. The lease was for a 10-year term to commence as soon as the landlord completed specified renovation work. The lease authorized the tenant to use the premises only for a Rolls Royce and Bentley automobile dealership. A rider to the lease provided for graduated increases in rent on an annual basis, with “rent . . . payable in equal monthly installments in advance on the first day of each calendar month, without notice or demand.”

On the same day the lease was signed, the principals of the tenant—defendants Arthur and Brian Miller—executed a personal guaranty in favor of the landlord. The obligation of the Millers as guarantors would arise

“if Tenant should default in the performance and observance of any of the terms, covenants, provisions or conditions contained in the Lease, and if such default shall not be cured within ten (10) days after notice of such default shall have been given to Guarantor, then the Guarantor shall and will forthwith pay such rent to Landlord and any arrears thereof.”

Although the total value of the 10-year lease was about \$5.6 million, the liability of the guarantors was limited to close to \$1.7 million unless the tenant remained on the premises after the lease term expired, in which case the guarantors would also be liable for holdover costs. Thus, absent a holdover at the end of the 10-year term, the personal guaranty covered approximately 30% of the total lease value.

The guaranty further contained an early termination clause, which provided that the obligations of the guarantors would cease at the conclusion of three years “in the event Tenant shall not have been in monetary default under the Lease at any time during the first three (3) years of the term of the Lease.” According to the Millers, they agreed to sign the personal guaranty because they anticipated that their obligations under the agreement would expire after three years. They maintain that the three-year primary guaranty period was intended to correspond with the term of a separate rent subsidy agreement between the tenant and Rolls Royce and Bentley Motor Cars Inc., by which the latter agreed to reimburse about 50% of the tenant’s rent for three years if the tenant opened and operated a Rolls Royce and Bentley showroom at 437 Madison Avenue.

The landlord completed the agreed-upon work in June 2000 and the tenant took occupancy on June 15, 2000. Pursuant to a

lease provision, the tenant was relieved of its obligation to pay rent for the first 3½ months and therefore began paying rent in October 2000. For the next three years, the tenant paid rent each month but routinely did not do so by the first of the month as the lease required. The landlord accepted the rent without objection, neither complaining about the timeliness of payments nor seeking rent from the Millers under the personal guaranty. In August 2003, with the rent subsidy from Rolls Royce and Bentley about to expire, the tenant met with the landlord and requested either a rent reduction or permission to sell other makes of automobiles from the Madison Avenue showroom. Unable to obtain either concession, the tenant vacated the leased premises in September 2003 and did not pay rent for October 2003 or any month thereafter.

The landlord commenced this action against the tenant and the Millers in January 2004, asserting that the tenant's vacatur of the leased premises after only 3¼ years breached the 10-year lease and that it was entitled to damages in the amount of the rent that would have been due from October 2003 to the end of the lease term in June 2010, reduced to present value. The tenant and the Millers answered, denying the allegations. Before discovery, the landlord moved for permission to file an amended complaint. Although relying on the same facts and essentially raising the same claims as the original pleading, the amended complaint separated the causes of action against the tenant from those against the Millers, clarifying that the landlord was claiming that the tenant breached the lease and that the Millers were liable under the guaranty for the tenant's defaults, both past and present. The landlord cited the prior untimely payments of rent as constituting monetary defaults under the lease, which prevented the early termination of the guaranty after three years. Hence, the landlord argued that the Millers remained liable under the guaranty when the tenant prematurely vacated the premises.

The Millers opposed the motion to amend and cross-moved for summary judgment dismissing the complaint, contending that they could not be held personally liable because the guaranty expired at the conclusion of three years under the early termination clause and the Millers' obligations thereunder ceased in June 2003—3½ months before the tenant breached the lease. Objecting to the landlord's characterization of the tenant's rent payments as untimely, the Millers maintained that the tenant was never in default under the lease, or in monetary

default under the guaranty, during the first three years of the lease term. In the alternative, the Millers argued that, by repeatedly accepting the rent without raising late payment as an issue, the landlord waived the right to later declare the tenant to have been in default based on the untimely payments.

Responding to the Millers' cross motion, the landlord asserted that the untimely payments of rent amounted to numerous defaults under the lease and monetary defaults as described in the guaranty, precluding expiration of the guaranty pursuant to the early termination clause. The landlord denied that it had waived the right to demand payment on the first of every month but, even if it had, it claimed that various "no waiver" provisions in the lease and guaranty precluded a course of conduct between the landlord and tenant from resulting in waiver of the landlord's right to strictly enforce the terms of the guaranty.

Supreme Court granted the Millers' cross motion for summary judgment dismissing the complaint and denied plaintiff's motion to amend the complaint as academic. The court reasoned that, by accepting the tenant's rent payments when they were made without objecting to tenant's payment practices, the landlord had acquiesced in the late payment of rent and waived its right to declare the payments to be untimely or a default under the terms of the lease. As a result, the court concluded that there was no "monetary default" within the first three years of the lease term and, by operation of the early termination clause, the Millers were relieved of any obligation under the guaranty before the tenant breached the lease by vacating the premises.

A majority at the Appellate Division affirmed, concluding that, even assuming that a default under the lease is synonymous with a "monetary default," the landlord's repeated acceptance of late payments extinguished or waived any default as a matter of law. One Justice dissented, primarily relying on the "no waiver" clause in the guaranty in determining that no course of conduct between the landlord and tenant could have waived the landlord's right to extend the guaranty to the full 10-year term in the event that conduct on the part of the tenant amounted to a "monetary default" during the first three years of the lease. Finding the late payments during that time frame equivalent to monetary defaults, the dissent would have denied the Millers' motion for summary judgment and granted the landlord's motion to amend the complaint. The Appellate Division granted the landlord's motion for leave to appeal and we

now affirm, although our analysis differs from that of the Appellate Division majority.

It is undisputed that the tenant's vacatur of the premises in the fall of 2003 breached the lease. Because this breach occurred more than three years into the lease term, the landlord could not rely on it to defeat the early termination clause in the guaranty. Instead, the landlord cited the tenant's repeated failure during the first three years of the lease to pay rent by the first of the month as the lease required as grounds for declaring a monetary default that occurred during the first three years of the guaranty.

An agreement to pay rent on a certain date is generally a material term of a lease. As we explained in *Fifty States Mgt. Corp. v Pioneer Auto Parks* (46 NY2d 573, 578 [1979]):

"A covenant to pay rent at a specified time . . . is an essential part of the bargain as it represents the consideration to be received for permitting the tenant to remain in possession of the property of the landlord. Often the landlord relies on timely payment of rent to meet its own outstanding obligations, such as a mortgage on the demised premises."

Thus, in *Fifty States*, where the tenant failed to pay rent for two months and did not promptly cure this deficiency even after the landlord gave notice of default, we found an acceleration clause to be enforceable, noting that the tenant might have been entitled to equitable relief if it had timely cured the default by paying the rent.

But here the issue is not whether the tenant's failure to pay rent breached a material term of the lease. Rather, the salient inquiry is whether the conduct constituted a "monetary default" that defeated the early termination clause in the guaranty. The early termination clause provides:

"Landlord hereby agrees that in the event Tenant shall not have been in *monetary default under the Lease* at any time during the first three (3) years of the term of the Lease, this Guaranty and Guarantor's obligations hereunder shall cease and terminate upon the third (3rd) anniversary of the Commencement Date" (emphasis added).

The guaranty does not define the term "monetary default." However, another provision of the guaranty declares that "[a]ll terms in this Guaranty which are defined in the Lease shall

have the same meanings when used in this Guaranty.” Although the landlord urges that the guaranty and lease are separate documents with distinct obligations and that we should not rely on terms in the lease to determine whether the guaranty is enforceable, the fact remains that the guaranty cross-references the lease and, by its plain language, the early termination clause in the guaranty is triggered by the absence of a “monetary default under the Lease.” To assess whether the early termination clause was defeated, as the landlord contends, we must determine whether the tenant’s repeated failure to pay rent on the first of the month amounted to a “monetary default under the Lease.”¹

When interpreting language in a commercial lease, we apply our well-established precedent concerning the construction of commercial contracts, where we have explained that

“when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms . . . This principle is particularly important in the context of real property transactions, where commercial certainty is a paramount concern, and where . . . the instrument was negotiated between sophisticated, counseled business people negotiating at arm’s length . . .

“[E]xtrinsic and parol evidence is not admissible to create an ambiguity in a written agreement which is complete and clear and unambiguous upon its face” (*South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272, 277-278 [2005] [internal quotation marks and citations omitted]; see also *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]).

Although the lease here does not expressly define the phrase “monetary default,” this terminology appears in lease paragraph 17, crafted by the parties, entitled “Default,” which provides:

“If Tenant defaults in fulfilling any of the covenants of this lease including the covenants for the payment of rent or additional rent . . . and if such default or omission shall continue for seven (7) days

1. In this regard, we deviate from the analytical path of the Appellate Division, which assumed for purposes of argument that late payment of rent was a default under the lease and that such a default was the equivalent of a “monetary default.”

in the event of a default in the payment of fixed rent, additional rent or other charges payable hereunder and twenty (20) days in the event of any other default . . . after Owner shall have given to Tenant a written notice specifying such default or omission, or in the case of a happening of a default or omission . . . which cannot with due diligence be completely cured or remedied within said twenty (20) day or such shorter specified period, and if Tenant shall not have diligently commenced curing such default within such twenty (20) day period, and shall not thereafter with reasonable diligence and in good faith proceed to remedy or cure such default, then Owner may serve a written three (3) days notice of cancellation of this lease upon Tenant, and upon the expiration of said three (3) days, this lease and the term thereunder shall end and expire as fully and completely as if the expiration of such three (3) day period were the day herein definitely fixed for the end and expiration of this lease and the term thereof and Tenant shall then quit and surrender the demised premises to Owner but Tenant shall remain liable as hereinafter provided.

“Notwithstanding the foregoing, in the event that a default in the payment of fixed rent, additional rent or other charges payable hereunder shall remain uncured after the expiration of the aforesaid seven (7) day period, Owner may not serve the aforementioned written three (3) day notice unless and until Owner shall have served a second notice of such *monetary default*, and such *monetary default* shall remain uncured for three (3) days after Owner shall have served such second notice” (lease paragraph 17, including inserts 4 and 4A from lease attachment [emphasis added]).²

In the event of a default in the payment of rent, paragraph 17 requires the landlord to notify the tenant of the default and, after receipt of the notice, the tenant will have seven days to cure

2. The parties crafted this lease by combining the Standard Form of Store Lease created by The Real Estate Board of New York with numerous amendments, an attachment, a rider, several schedules and other documents. Lease paragraph 17 was itself an amalgam of elements of the form lease, with substantial amendments and the addition of language set forth in an attachment drafted by the parties.

the deficiency. Even if the default is not cured within seven days of the notice, the lease provides that the landlord must send another notice giving the tenant three additional days to cure, meaning that the tenant has 10 days after it receives the first notice from the landlord to remedy any deficiency relating to the payment of rent. This provision clearly distinguishes between a default in the payment of rent and other types of defaults, with the former referred to at the end of the provision as a “monetary default” under certain circumstances.³

Nothing in the language of the lease suggests that rent that was paid in full each month, albeit in an untimely manner, would nonetheless fall within the category of “monetary default.” To the contrary, it appears that a default in the payment of rent does not ripen into a “monetary default” until the landlord has first served a notice of default and the default has “remain[ed] uncured” for at least seven days because it is only in that context that a default in the payment of rent is characterized as a “monetary default.”

This interpretation is consistent with a commonsense reading of the phrase for, absent an explicit definition to the contrary, the use of the modifier “monetary” to describe the type of default that would trump the early termination clause suggests that the parties contemplated a deficiency that involves a loss of money. When monthly rent was tendered in full and the landlord accepted it without declaring a default and before any cure period was initiated, we have no basis to presume that the landlord has suffered economic loss.

In this case, despite the tenant’s failure to meet its obligation to forward the rent by the first of the month, the rent was paid each month and the landlord accepted the rent without issuing a single notice of default complaining of late payment. As a result, the tenant’s initial seven-day opportunity to cure was never triggered and the deficiency never rose to the level of a “monetary default” under the terms of the lease. The parties surely could have constructed a lease or guaranty that would

3. This factor, among others, distinguishes this case from *HK New Plan Marwood Sunshine Cheyenne LLC v Onofrey Food Servs., Inc.* (846 NE2d 318 [Ind 2006]), on which the landlord relies. The efficacy of the early termination clause in the guaranty at issue in *HK New Plan* did not turn on whether the tenant had been in “monetary default.” Rather, the early termination clause could be defeated by any “default” on the part of the tenant and the lease explicitly defined the late payment of rent as a “default.” The court in *HK New Plan* therefore had no occasion to interpret the phrase “monetary default” in a guaranty or lease comparable to this one.

have deemed any late payment a “monetary default,” but they did not do so here.

This construction of the lease is also consistent with the cure provisions in the guaranty. There, the Millers guaranteed “the full and prompt payment of all rent” and agreed “that if default shall at any time be made by Tenant in the payment of any rent . . . and if such default shall not be cured within ten (10) days after notice of such default shall have been given to Guarantor, then the Guarantor shall and will forthwith pay such rent to Landlord.” In accordance with the guaranty, even after the landlord notifies the guarantors of the deficiency, the tenant would have 10 days to forward the rent—thereby curing the default—before the guarantors would be obligated to pay rent on the tenant’s behalf. Interpreting late rent payments as “monetary defaults” under the lease would allow the landlord, in effect, to avoid giving either the tenant or the Millers the benefit of the contractual opportunities to cure which they were entitled to under the lease and guaranty. It would render the late payment of rent an incurable “monetary default” despite the fact that it is clear from the lease and guaranty that there is a distinction between a “default” and a “monetary default” and that defaults in the payment of rent are curable if remedied within the appropriate cure period.

Because there was no “monetary default under the Lease,” the early termination clause of the guaranty remained in full force and effect such that the guaranty expired by its terms on the third anniversary of the commencement of the lease term in June 2003. Since the tenant did not prematurely vacate the premises until 3½ months later, the Millers could not be held liable for that breach and were therefore entitled to summary judgment dismissing the complaint.

Our conclusion that there was no “monetary default” by the tenant renders academic the landlord’s argument based on the “no waiver” clauses in the lease and guaranty.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ, SMITH and PIGOTT concur.

Order affirmed, etc.

[861 NE2d 75, 828 NYS2d 260]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL BARTON, Appellant.

Argued November 14, 2006; decided December 19, 2006

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Monroe County Court (Alex R. Renzi, J.), entered March 10, 2006. The County Court (1) reversed an order of the Rochester City Court (Ann E. Pfeiffer, J.; op 8 Misc 3d 291), which had declared Rochester City Code § 44-4 (H) unconstitutional and invalid and granted defendant's motion to dismiss the accusatory instrument; (2) declared section 44-4 (H) constitutional; and (3) remanded the case to Rochester City Court for further proceedings on the accusatory instrument.

People v Barton, 12 Misc 3d 322, affirmed.

HEADNOTES

Constitutional Law — Validity of Statute — Ordinance Addressing Aggressive Panhandling — Challenge to Ordinance as Overbroad

1. Assuming that panhandling is speech or expressive conduct safeguarded by the First Amendment, entitled to protection tantamount to that afforded eleemosynary appeals by organized charities, defendant, who was charged with violating a municipal ordinance designed to address aggressive panhandling by prohibiting the solicitation of any occupant of a motor vehicle that is on a street or other public place, was entitled to challenge the ordinance as overbroad on behalf of others whose constitutionally-protected expression was potentially "chilled" by the provision's very existence, even though defendant's own conduct may have been unshielded by the First Amendment.

Constitutional Law — Validity of Statute — Ordinance Addressing Aggressive Panhandling

2. A municipal ordinance designed to address aggressive panhandling by prohibiting the solicitation of any occupant of a motor vehicle that is on a street or other public place is not unconstitutionally overbroad. Content-neutral regulations of time, place and manner of expression are enforceable if they are narrowly tailored to serve a significant government interest and leave open ample alternative channels of communication. The governmental interests served by the ordinance—to eliminate a source of distraction for motorists and thus promote the free and safe flow of traffic—are significant. Further, the ordinance is not a blanket ban and leaves open ample alternative avenues to communicate any message of indigency or need through begging. Because the ordinance focuses on specific conduct that the municipality has an interest in controlling in order to further a significant content-neutral government interest, it is narrowly tailored.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 450–454, 456, 459, 512,

523, 525, 920; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 315, 321, 322, 331–333, 437.
NY JUR 2d, Constitutional Law §§ 51–53, 70, 71, 73, 217–219, 252, 256, 259, 261, 266, 400–402; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 291, 293–296.
US Const 1st Amend.

ANNOTATION REFERENCE

Laws regulating begging, panhandling, or similar activity by poor or homeless persons. 7 ALR5th 455.

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POINTS OF COUNSEL

Donald M. Thompson, Rochester, for appellant. The motion court correctly found Rochester City Code § 44-4 (H) to be unconstitutional. (*Acorn v City of Phoenix*, 798 F2d 1260; *Schaumburg v Citizens for a Better Environment*, 444 US 620; *Loper v New York City Police Dept.*, 999 F2d 699; *Hill v Colorado*, 530 US 703; *Madsen v Women's Health Center, Inc.*, 512 US 753; *Carey v Brown*, 447 US 455; *People v Foley*, 94 NY2d 668; *Broadrick v Oklahoma*, 413 US 601; *Perry Ed. Assn. v Perry Local Educators' Assn.*, 460 US 37; *International Socy. for Krishna Consciousness of New Orleans, Inc. v City of Baton Rouge*, 876 F2d 494.)

Michael C. Green, District Attorney, Rochester (*William Taylor* of counsel), for respondent. County Court properly held that the ordinance is constitutional. (*United States v O'Brien*, 391 US 367; *Perry Ed. Assn. v Perry Local Educators' Assn.*, 460 US 37; *Ward v Rock Against Racism*, 491 US 781; *Clark v Community for Creative Non-Violence*, 468 US 288; *Heffron v International Soc. for Krishna Consciousness, Inc.*, 452 US 640; *People v Foley*, 94 NY2d 668; *Matter of Rogers v New York City Tr. Auth.*, 89 NY2d 692; *Renton v Playtime Theatres, Inc.*, 475 US 41; *Virginia Bd. of Pharmacy v Virginia Citizens Consumer Council, Inc.*, 425 US 748; *Acorn v City of Phoenix*, 798 F2d 1260.)

Thomas S. Richards, Corporation Counsel, Rochester (*Jeffrey Eichner* of counsel), for City of Rochester, intervenor. I. Section 44-4 (H) of the Rochester City Code is constitutional. (*Cornelius*

v NAACP Legal Defense & Ed. Fund, Inc., 473 US 788; *United States v O'Brien*, 391 US 367; *Perry Ed. Assn. v Perry Local Educators' Assn.*, 460 US 37; *Frisby v Schultz*, 487 US 474; *Ward v Rock Against Racism*, 491 US 781; *Clark v Community for Creative Non-Violence*, 468 US 288; *Members of City Council of Los Angeles v Taxpayers for Vincent*, 466 US 789; *Heffron v International Soc. for Krishna Consciousness, Inc.*, 452 US 640; *Renton v Playtime Theatres, Inc.*, 475 US 41; *Virginia Bd. of Pharmacy v Virginia Citizens Consumer Council, Inc.*, 425 US 748.) II. Section 44-4 (H) of the Rochester City Code is valid under the New York Constitution. (*Matter of Town of Islip v Caviglia*, 73 NY2d 544; *Stringfellow's of N.Y. v City of New York*, 91 NY2d 382.) III. Section 44-4 (H) of the Rochester City Code is not overbroad. (*Broadrick v Oklahoma*, 413 US 601; *Coates v Cincinnati*, 402 US 611; *Alderman v United States*, 394 US 165; *Houston v Hill*, 482 US 451; *Boos v Barry*, 485 US 312; *Chicago v Morales*, 527 US 41; *International Socy. for Krishna Consciousness of New Orleans, Inc. v City of Baton Rouge*, 876 F2d 494; *Hill v Colorado*, 530 US 703; *People v Scott*, 26 NY2d 286; *People v Clark*, 71 NY2d 376.)

Palyn Hung, New York City, *Jeffrey E. Fogel* and *Arthur N. Eisenberg* for New York Civil Liberties Union, amicus curiae. I. The ordinance, even if content-neutral, is not a reasonable time, place, or manner regulation because it is not narrowly tailored to a significant government interest and does not leave open ample alternative avenues of communication. (*Watchtower Bible & Tract Soc. of N. Y., Inc. v Village of Stratton*, 536 US 150; *Schaumburg v Citizens for a Better Environment*, 444 US 620; *Loper v New York City Police Dept.*, 999 F2d 699; *Hague v Committee for Industrial Organization*, 307 US 496; *Frisby v Schultz*, 487 US 474; *Houston v Hill*, 482 US 451; *Nichols v Village of Pelham Manor*, 974 F Supp 243; *Loper v New York City Police Dept.*, 802 F Supp 1029.) II. The ordinance constitutes a content-based enactment that is not narrowly tailored to the pursuit of a compelling state interest. (*Police Dept. of Chicago v Mosley*, 408 US 92; *Cincinnati v Discovery Network, Inc.*, 507 US 410; *Los Angeles v Alameda Books, Inc.*, 535 US 425; *Perry Ed. Assn. v Perry Local Educators' Assn.*, 460 US 37; *Ashcroft v American Civil Liberties Union*, 542 US 656.) III. The ordinance is facially overbroad. (*Houston v Hill*, 482 US 451; *New York v Ferber*, 458 US 747; *Members of City Council of Los Angeles v Taxpayers for Vincent*, 466 US 789.)

OPINION OF THE COURT

READ, J.

On August 4, 2004, defendant Michael Barton was ticketed for violating section 44-4 (H) of the Code of the City of Rochester when he allegedly waded into traffic on a highway exit ramp in downtown Rochester, soliciting money from motorists. Section 44-4 of the Code addresses aggressive panhandling, and subsection (H) specifies that “[n]o person on a sidewalk or alongside a roadway shall solicit from any occupant of a motor vehicle that is on a street or other public place.” The Code defines “solicit” as “the spoken, written, or printed word or such other acts or bodily gestures as are conducted in furtherance of the purposes of immediately obtaining money or any other thing of value” (Rochester City Code § 44-4 [B]). Violations are punishable by fines ranging from \$25 to \$250, or an appropriate alternative sentence; a second conviction within a year could result in imprisonment for up to 15 days (Rochester City Code § 44-4 [I]).

Section 44-4, approved by the City Council and the Mayor of the City of Rochester in the spring of 2004, was nearly a decade in the making, spurred by the increasing incidence of panhandling in the downtown area and attendant citizen complaints. Subsection (A) of section 44-4, entitled “Legislative intent,” states that this provision was

“adopted in order to protect persons from threatening, intimidating or harassing behavior, to keep public places safe and attractive for use by all members of the community and to maintain and preserve public places where all of the community can interact in a peaceful manner. *This legislation is also intended to provide for the free flow of pedestrian and vehicular traffic on the streets and sidewalks in the City*, to promote tourism and business and preserve the quality of urban life” (emphasis added).

The Council loosely patterned section 44-4 after panhandling ordinances adopted in other cities, including Atlanta, Baltimore, Cincinnati, New Haven, New York City, Philadelphia, Portland, San Francisco, Seattle and Washington, D.C.

As the Council’s President explained, subsection (H) of section 44-4 was “aimed at specific conduct, and not at any type of speech or expression,” because “[t]he conduct itself is offensive, for it leads to an interference with the free flow of vehicular traffic and raises traffic safety and traffic congestion concerns.” In particular,

“[s]olicitation of contributions from occupants of motor vehicles is disruptive to the drivers of those vehicles and diverts their attention from the traffic on the street. Even if the vehicle is stopped, the driver is not paying attention to potential hazards in the road, observing traffic control signals, or preparing to move along the street or through the intersection.”

Further, section 44-4 (H) treats all solicitation “the same whether it be for an individual or a charity, and whether the cause may be deemed by some to be favored or disfavored.”

On August 31, 2004, defendant moved to dismiss the accusatory instrument lodged against him. He contended that section 44-4 (H) was overbroad in violation of the Free Speech clauses of the federal and New York State constitutions. Defendant did not argue that section 44-4 (H) was unconstitutional as applied to him. Rather, he complained that this provision impermissibly “impact[ed] activities beyond its intended reach” as it applied not only to aggressive panhandling, but “to anyone who would solicit” motorists from the sidewalk, including an individual holding up a sign simply stating “Food,” or participating in the city firefighters’ annual “Fill-the-Boot” fundraising campaign.

City Court agreed, declaring section 44-4 (H) unconstitutional and dismissing the accusatory instrument. The court cited *Perry Ed. Assn. v Perry Local Educators’ Assn.* (460 US 37, 45 [1983]) for the relevant constitutional standard: “The state may . . . enforce regulations of the time, place, and manner of expression which are content-neutral, are narrowly tailored to serve a significant government interest, and leave open ample alternative channels of communication.” In City Court’s view, section 44-4 (H) was content-neutral, but lacked narrow tailoring because it “allow[ed] for the prosecution of those . . . guilty of nothing more than peacefully asking for assistance” (8 Misc 3d 291, 298 [Rochester City Ct 2004]).

County Court reversed, concluding that section 44-4 (H) was content-neutral, sufficiently narrowly tailored, and left open ample alternative channels of communication. The court observed that section 44-4 (H) was “aimed specifically at a certain type of conduct engaged in at a certain location”—the “use [of] spoken or written words or acts, for the purpose of immediately obtaining money or any other thing of value from an occupant of a motor vehicle that is on a street or other public place” (12 Misc 3d 322, 330 [Monroe County Ct 2006]). The

court further pointed out that section 44-4 (H) was not overbroad because it applied to bona fide charitable canvassing as well as to defendant's soliciting. "Because a statute is evenhanded and applies equally to all persons conducting the same unwanted conduct does not make a statute overbroad" (*id.*) In short, section 44-4 (H)'s "overbreadth, if any, [was] not substantial when judged in relation to the [provision's] plainly legitimate sweep" (*id.*). Upon defendant's application, a Judge of this Court granted leave to appeal. We now affirm.

[1] As an initial matter, for purposes of this appeal the People do not contest, and we therefore assume, that panhandling is speech or expressive conduct safeguarded by the First Amendment, entitled to protection tantamount to that afforded eleemosynary appeals by organized charities (*see Schaumburg v Citizens for a Better Environment*, 444 US 620 [1980] [holding that there is sufficient nexus between solicitation by organized charities and a variety of speech interests to implicate First Amendment]). The United States Supreme Court has yet to rule on this issue, and lower courts have expressed differing views (*e.g. compare Young v New York City Tr. Auth.*, 903 F2d 146, 154 [2d Cir 1990], *cert denied* 498 US 984 [1990] [sustaining prohibition on begging in subways, reasoning that panhandling is not constitutionally protected speech or expressive conduct analogous to solicitation by organized charities: "Whether with or without words, the object of begging and panhandling is the transfer of money. Speech simply is not inherent to the act; it is not of the essence of the conduct"], *with Loper v New York City Police Dept.*, 999 F2d 699, 704 [2d Cir 1993] [enjoining enforcement of statute prohibiting public loitering for purposes of begging, concluding that there is "little difference between those who solicit for organized charities and those who solicit for themselves in regard to the message conveyed," and that "(t)he distinction is not a significant one for First Amendment purposes"]). Second, even though defendant's own conduct may be unshielded by the First Amendment, he nonetheless may challenge section 44-4 (H) as overbroad on behalf of others whose constitutionally-protected expression is potentially "chilled" by the provision's very existence (*Broadrick v Oklahoma*, 413 US 601, 610-613 [1973]).

The test for determining overbreadth is whether the law on its face prohibits a real and substantial amount of constitutionally protected conduct (*see Houston v Hill*, 482 US 451, 458 [1987]; *Broadrick*, 413 US at 615). "[T]he mere fact that one

can conceive of some impermissible applications of a statute is not sufficient to render it susceptible to an overbreadth challenge” (*Members of City Council of Los Angeles v Taxpayers for Vincent*, 466 US 789, 800 [1984]). Here, section 44-4 (H) reaches any solicitation intended to obtain immediate funds or things of value from occupants of motor vehicles in Rochester’s streets or other public places. Defendant claims that because section 44-4 (H) on its face concededly reaches “passive” panhandling targeting motorists—specifically, someone standing mute on the sidewalk, facing traffic in the street and holding a sign requesting immediate money or food—it is unconstitutionally overbroad. According to defendant, section 44-4 (H) thus runs afoul of the First Amendment because it is not limited to panhandlers who act aggressively, or solicit motorists successfully or actually walk into a lane of stopped or moving traffic. As this appeal is presented to us then, the parties dispute whether section 44-4 (H) is a reasonable time, place and manner restriction once it sweeps defendant’s hypothetical passive panhandler within its coverage.

[2] “[C]ontent-neutral regulations of time, place, and manner of expression are enforceable if they are narrowly tailored to serve a significant government interest, and leave open ample alternative channels of communication” (*International Socy. for Krishna Consciousness of New Orleans, Inc. v City of Baton Rouge*, 876 F2d 494, 497 [5th Cir 1989] [citing *Perry*, 460 US at 45]; see also *Matter of Rogers v New York City Tr. Auth.*, 89 NY2d 692 [1997] [indicating that public forum analysis under article I, § 8 of State Constitution mirrors federal standard]). In this case, the governmental interests served by section 44-4 (H)—to eliminate a source of distraction for motorists and thus promote the free and safe flow of traffic—are significant. Further, section 44-4 (H) is not a blanket ban (*cf. Loper*, 999 F2d at 705). This provision does not prohibit requests seeking something other than a handout. Moreover, section 44-4 (H) does not proscribe nonaggressive soliciting directed at pedestrians on the sidewalk; therefore, it leaves open ample alternative avenues to communicate any message of indigency or need through begging.

In determining whether a regulation is content neutral, the principal inquiry is

“whether the government has adopted a regulation of speech because of disagreement with the message

it conveys. The government's purpose is the controlling consideration. A regulation that serves purposes unrelated to the content of expression is deemed neutral, even if it has an incidental effect on some speakers or messages but not others. Government regulation of expressive activity is content neutral so long as it is *justified* without reference to the content of the regulated speech" (*Ward v Rock Against Racism*, 491 US 781, 791 [1989] [internal quotation marks and citations omitted]).

Content neutrality is not negated because a sign must be read by the police in order to determine whether section 44-4 (H) has been violated (i.e., whether the sign's message seeks to obtain money or any other thing of value on the spot), as defendant argues. The Council's reason for adopting section 44-4 (H)—to promote the free and safe flow of traffic—is the relevant consideration, and the ban covers all those asking motorists for immediate donations, regardless of their message (*see Heffron v International Soc. for Krishna Consciousness, Inc.*, 452 US 640, 648-649 [1981] [speech restriction applying impartially to all persons or organizations, whether charitable or commercial, is content neutral]). Section 44-4 (H) does not attempt to silence one particular message; it does not frown on any particular viewpoint. Nor is it important that section 44-4 (H) may not reach every speech-related side-of-the-road distraction or source of traffic disruption in downtown Rochester; i.e., that it has "an incidental effect on some speakers or messages but not others."

Next, although "a regulation of the time, place, or manner of protected speech must be narrowly tailored to serve the government's legitimate, content-neutral interests . . . it need not be the least restrictive or least intrusive means of doing so" (*Ward*, 491 US at 798). Instead,

"the requirement of narrow tailoring is satisfied so long as the . . . regulation promotes a substantial government interest that would be achieved less effectively absent the regulation. . . . So long as the means chosen are not substantially broader than necessary to achieve the government's interest . . . the regulation will not be invalid simply because a court concludes that the government's interest could be adequately served by some less-speech-restrictive alternative. The validity of [time, place, or manner] regulations does not turn on a judge's agreement

with the responsible decisionmaker concerning the most appropriate method for promoting significant government interests or the degree to which those interests should be promoted” (*id.* at 799-800 [internal quotation marks and citations omitted]).

Section 44-4 (H) was designed to address a specific problem brought to the Council’s attention: individuals seeking handouts from occupants of motor vehicles on a public thoroughfare or place, thereby creating a hazard and slowing or snarling traffic. Because section 44-4 (H) focuses on specific conduct that the City has an interest in controlling in order to further a significant content-neutral government interest, it is narrowly tailored.

Accordingly, the order of County Court should be affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, SMITH and PIGOTT concur.

Order affirmed.

[861 NE2d 95, 828 NYS2d 280]

RICHARD LARATRO et al., Respondents, v CITY OF NEW YORK et al., Appellants, et al., Defendants.

Argued November 16, 2006; decided December 21, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 10, 2005. The Appellate Division (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, New York County (Eileen Bransten, J.), as had granted a motion by the municipal defendants for summary judgment dismissing the complaint against them and severed the action as to them; (2) denied the motion; and (3) reinstated the complaint as against them. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of Supreme Court, properly made?”

Laratro v City of New York, 25 AD3d 184, reversed.

HEADNOTE

Municipal Corporations — Tort Liability — Special Relationship

In a negligence action premised upon defendant City’s delayed response to a 911 call requesting an ambulance and made by plaintiff’s friend and coworker, the City was not liable to plaintiff, who had suffered a stroke while at work. A municipality is not liable to a person injured by the breach of a duty owed to the general public in the absence of a “special relationship” between the injured person and representatives of the municipality. Plaintiff did not satisfy the requirements of the “special relationship” exception because he did not have direct contact with, and did not rely on any undertaking by, the City’s 911 operator. The coworker’s contact with and reliance upon the 911 operator could not be “transferred” to plaintiff’s benefit. Direct contact and reliance by someone other than the plaintiff is sufficient to create a special relationship only where the person making the contact was acting on behalf of his or her immediate family.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 99, 102–105.

NY JUR 2d, Government Tort Liability §§ 25, 26, 147, 177.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:229A.

PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; 911 Emergency Number.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: 911 /4 respon! & special /2 relationship

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Deborah A. Brenner, Julie Steiner and Barry P. Schwartz of counsel), for appellants. I. The Appellate Division majority erroneously reinstated plaintiffs' complaint as against the City of New York by finding a question of fact as to whether plaintiff's coworker and friend who called 911 on his behalf could be his supposed "agent" to satisfy the "direct contact" element of the "special relationship" exception to municipal immunity from liability. The majority's ruling is contrary to this Court's precedent as it has dangerously expanded the "direct contact" prong to include a category of individuals who do not have a "close relationship of interests" with the injured party. Expanding the exception in this manner will very likely increase a municipality's exposure to liability, could discourage municipalities from providing vital public services, and could practically render the "special relationship" exception a nullity by opening the door to an endless number of individuals who may claim "direct contact." (*Cuffy v City of New York*, 69 NY2d 255; *Pelaez v Seide*, 2 NY3d 186; *Lauer v City of New York*, 95 NY2d 95; *Kircher v City of Jamestown*, 74 NY2d 251; *O'Connor v City of New York*, 58 NY2d 184; *Sorichetti v City of New York*, 65 NY2d 461; *Adderley v City of New York*, 304 AD2d 485, 100 NY2d 511; *Stata v Village of Waterford*, 225 AD2d 163; *Merced v City of New York*, 75 NY2d 798; *Baez v City of New York*, 309 AD2d 679.) II. In any event, and notwithstanding the Appellate Division majority's belief, there was no question of fact as to whether the City of New York's supposed voluntary undertaking lulled plaintiff's coworker into a false sense of security causing her to forgo other available avenues of relief. First, the Emergency Medical Service operator only told the coworker that help would be there "as soon as possible," with no specific time given. Second, although the coworker claimed that, had she known an ambulance would not arrive for 30 to 35 minutes, she would have taken plaintiff to the hospital herself, she should have known that her

speculative and self-serving estimate that the ambulance would arrive in 10 minutes was incorrect at the time the second call for help was made over 16 minutes after her initial call. Finally, the coworker unreasonably remained in the office for another 14 minutes after the second call, during which time any further reliance on the City's purported assurances could no longer be deemed justified. (*Cuffy v City of New York*, 69 NY2d 255; *Kircher v City of Jamestown*, 74 NY2d 251; *Apostolakis v Centereach Fire Dist.*, 300 AD2d 516; *Sandstrom v Rodriguez*, 221 AD2d 513; *Grieshaber v City of Albany*, 279 AD2d 232, 96 NY2d 719; *Clark v Town of Ticonderoga*, 291 AD2d 597, 98 NY2d 604.)

Walter G. Alton, Jr. & Associates, New York City (*Walter G. Alton, Jr.* and *Richard J. Montes* of counsel), and *Mauro Goldberg & Lilling LLP*, Great Neck (*Kenneth Mauro* of counsel), for respondents. I. This Court should affirm the First Department's decision to reinstate plaintiffs' complaint as it is consistent with the purpose of the special relationship exception and does not expand liability any further than originally intended. (*De Long v County of Erie*, 60 NY2d 296; *Cuffy v City of New York*, 69 NY2d 255; *Riss v City of New York*, 22 NY2d 579; *Kircher v City of Jamestown*, 74 NY2d 251; *Florence v Goldberg*, 44 NY2d 189; *S.C. Freidfertig Bldrs. v Spano Plumbing & Heating*, 173 AD2d 454; *Greene v City of New York*, 205 AD2d 584; *Adderley v City of New York*, 304 AD2d 485; *Stata v Village of Waterford*, 225 AD2d 163; *Yearwood v Town of Brighton*, 101 AD2d 498.) II. Alternatively, this Court should affirm the First Department's decision for reasons other than those stated by the First Department. (*Sorichetti v City of New York*, 65 NY2d 461; *Cuffy v City of New York*, 69 NY2d 255; *Kovit v Estate of Hallums*, 4 NY3d 499; *Kircher v City of Jamestown*, 74 NY2d 251; *Kromer v County of Onondaga*, 26 AD3d 792; *Riss v City of New York*, 22 NY2d 579; *Yearwood v Town of Brighton*, 101 AD2d 498.) III. The First Department properly held that a reasonable jury could find that Ms. Edelson justifiably relied upon the City of New York's assurances of help. (*Adderley v City of New York*, 304 AD2d 485; *Stata v Village of Waterford*, 225 AD2d 163.)

OPINION OF THE COURT

SMITH, J.

Protecting health and safety is one of municipal government's most important duties. Since municipalities are run by human beings, they sometimes fail in that duty, with harmful, even cat-

astrophic, consequences. When that happens, as a general rule, the municipality is not required to pay damages to the person injured. The rationale for this rule is that the cost to municipalities of allowing recovery would be excessive; the threat of liability might deter or paralyze useful activity; and thus the net result of allowing recovery would be to make municipal governments less, not more, effective in protecting their citizens.

We have recognized a narrow exception to the general rule of nonliability where the injured person had a “special relationship” with representatives of the municipality. We hold that this case, in which it is claimed that the City of New York was slow in responding to a 911 call placed by plaintiff’s coworker, does not fit within the exception.

Facts and Procedural History

Plaintiff suffered a stroke at his office. Carol Edelson, his coworker and friend, found him sitting at his desk with his head in his hands, unable to respond to questions. Edelson told him she would call an ambulance, and dialed 911 from a telephone a few feet away.

A 911 operator employed by New York City told Edelson that an “ambulance will be there to help you as soon as possible.” The ambulance did not come until 35 minutes later, however, allegedly because the operator, when he transmitted Edelson’s request, negligently understated the seriousness of plaintiff’s condition, describing him only as “sick.” Edelson testified that, if she had known that the ambulance would take half an hour or more to arrive, she would have arranged to have plaintiff driven to the hospital in a private car.

Plaintiff suffered brain damage, made worse, according to expert testimony he submitted, by the delay in getting him to a hospital for treatment. He brought this action for damages against the City of New York and its agencies (collectively the City) and other defendants. Supreme Court granted the City’s motion for summary judgment dismissing the complaint. The Appellate Division reversed, one Justice dissenting. We now reverse and reinstate Supreme Court’s order.

Discussion

In *Cuffy v City of New York* (69 NY2d 255 [1987]), we explained the “special relationship” exception to the well-established rule that a municipality is not liable to a person injured by the breach of a duty—like the duty to provide police

protection, fire protection or ambulance service—that the municipality owes to the general public. We said in *Cuffy*:

“There exists . . . a narrow class of cases in which we have recognized an exception to this general rule and have upheld tort claims based upon a ‘special relationship’ between the municipality and the claimant. The elements of this ‘special relationship’ are: (1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality’s agents that inaction could lead to harm; (3) some form of direct contact between the municipality’s agents and the injured party; and (4) that party’s justifiable reliance on the municipality’s affirmative undertaking.” (*Id.* at 260 [citations omitted].)

Plaintiff here does not satisfy either the third or the fourth requirement of the *Cuffy* test, because plaintiff did not have direct contact with, and did not rely on any undertaking by, the City’s 911 operator. We decide the case on that ground, and do not reach the issue of whether the 911 operator’s statement (“The ambulance will be there to help you as soon as possible”) was specific enough to be an “affirmative undertaking” on which a party could justifiably rely.

Our decision is controlled by *Kircher v City of Jamestown* (74 NY2d 251 [1989]). In *Kircher*, the plaintiff was abducted in a car. The abduction was witnessed by two people; they got the car’s license number and gave it to a police officer, who told them he would “call it in” (*id.* at 254). Relying on the officer’s assurance, the witnesses stopped their efforts to help the plaintiff, but the officer did not report the incident, and the plaintiff was not rescued until after she had been brutally assaulted and raped. We held that the plaintiff could not recover against the city for the officer’s negligence.

We decided that the plaintiff in *Kircher* could not show either direct contact or reliance, as *Cuffy* requires, because she “could not even communicate with the police, much less rely on any promise of protection the police might have offered” (74 NY2d at 258). We rejected the suggestion of a dissenting judge that the contact and reliance by the witnesses who reported the crime “be transferred to the plaintiff’s benefit” (*id.* at 258, 265). A similar analysis applies here. Plaintiff, unable to communicate by reason of his stroke, could not either contact or

rely upon the 911 operator, and Edelson's contact and reliance cannot be "transferred" to plaintiff's benefit.

Plaintiff argues that *Kircher* is distinguishable on two grounds: Edelson was a longtime friend and coworker of plaintiff here, while the witnesses in *Kircher* were strangers to the plaintiff in that case; and plaintiff here was physically near to Edelson when she called 911, while the plaintiff in *Kircher* was far away when the witnesses reported her abduction to the police. We find neither distinction persuasive. To adopt either would undermine an important reason for the direct contact and reliance requirements, which serve "as a basis for rationally limiting the class of citizens to whom the municipality's 'special duty' extends" (*Cuffy*, 69 NY2d at 261).

Our cases have accepted direct contact and reliance by someone other than the plaintiff as sufficient to create a special relationship only where the person making the contact was acting on behalf of his or her immediate family. Thus in *Sorichetti v City of New York* (65 NY2d 461 [1985]) we found a special relationship where a mother had sought the help of the police to protect her six-year-old daughter; and in *Cuffy* we found a special relationship where a man sought police protection for his wife and the children who lived with him—but we rejected a claim made on behalf of an adult child who was not a member of his household. To hold, as plaintiff here asks, that direct contact and reliance by a friend or a person standing nearby can create a special relationship would unacceptably dilute the general rule of municipal nonliability. The exception is reserved for a few, "special" cases of which this is not one.

Accordingly, the order of the Appellate Division should be reversed with costs, and the order of Supreme Court granting the City's motion for summary judgment should be reinstated. The question certified should be answered in the negative.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and PIGOTT concur.

Order reversed, etc.

[861 NE2d 92, 828 NYS2d 277]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DENNIS
GILLIAN, Appellant.

Argued November 15, 2006; decided December 21, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 11, 2006. The Appellate Division affirmed a judgment of the Orange County Court (Nicholas DeRosa, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree and criminal possession of a controlled substance in the third degree.

People v Gillian, 28 AD3d 577, affirmed.

HEADNOTE

Crimes — Right to Representation Pro Se

Defendant was not deprived of his Sixth Amendment right to represent himself inasmuch as his request to proceed pro se was not clear and unequivocal. Defendant's initial requests to proceed pro se were made in the alternative, and his objections to his first two assigned counsel were not made because he wanted to proceed pro se, but because he was dissatisfied with them. When County Court announced the appointment of a third attorney, defendant voiced no dissatisfaction and remained silent thereafter. Even if it could be argued that defendant did not equivocate at the outset of the proceedings, any error was cured when the court assigned defendant's third counsel.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1242, 1245.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:1753,
172:1770, 172:1771.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.5.
NY JUR 2d, Criminal Law §§ 793, 795–797.

ANNOTATION REFERENCE

Accused's right to represent himself in state criminal proceeding—modern state cases. 98 ALR3d 13.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: pro /2 se /p assigned /2 counsel /p equivocal

POINTS OF COUNSEL

Feldman and Feldman, Uniondale (*Steven A. Feldman* and *Arza Feldman* of counsel), for appellant. I. Appellant should be granted a new trial because, notwithstanding a timely and unequivocal pretrial request to proceed pro se, he was deprived of his Sixth Amendment right to represent himself. (*Faretta v California*, 422 US 806; *People v Henriquez*, 3 NY3d 210; *People v Arroyo*, 98 NY2d 101; *Daye v Attorney Gen. of State of N.Y.*, 696 F2d 186; *People v McIntyre*, 36 NY2d 10; *Adams v United States ex rel. McCann*, 317 US 269; *People v Smith*, 68 NY2d 737; *People v Slaughter*, 78 NY2d 485; *People v Vivenzio*, 62 NY2d 775; *People v Kaltenbach*, 60 NY2d 797.) II. In doubling the plea offer at sentence, an inference arises that the County Court punished appellant for exercising his Sixth Amendment right to a jury trial. (*People v Cosme*, 203 AD2d 375; *People v Pena*, 50 NY2d 400, 449 US 1087; *People v Williams*, 46 AD2d 783; *People v Pluff*, 58 AD2d 1023; *People v Brown*, 70 AD2d 505; *People v Durkin*, 132 AD2d 668; *United States v Hutchings*, 757 F2d 11; *United States v Araujo*, 539 F2d 287, 429 US 983; *United States v Duffy*, 479 F2d 1038, 414 US 978.)

Francis D. Phillips, II, District Attorney, Goshen (*David R. Huey* of counsel), for respondent. I. Defendant abandoned any challenge to the court's decision denying defendant's request to act as his own attorney. (*Faretta v California*, 422 US 806; *People v Belge*, 41 NY2d 60; *People v Hogle*, 56 NY2d 602; *People v Hallman*, 92 NY2d 840; *People v Glover*, 87 NY2d 838; *People v McIntyre*, 36 NY2d 10; *People v Rodriguez*, 95 NY2d 497; *Brown v Wainwright*, 665 F2d 607; *People v Sawyer*, 57 NY2d 12; *People v LaValle*, 3 NY3d 88.) II. Defendant has failed to preserve his claim that the court penalized defendant for exercising his right to trial, and the court may not reach this issue absent preservation. (*People v Belge*, 41 NY2d 60; *People v Hurley*, 75 NY2d 887.)

OPINION OF THE COURT

FIGOTT, J.

On January 29, 2004, defendant was arraigned on a four-count indictment charging him with two counts of criminal sale of a controlled substance in the third degree and two counts of criminal possession of a controlled substance in the third degree and was assigned counsel. One month later, he moved to discharge assigned counsel alleging a conflict of interest and "dif-

ference in strategy.” In a written decision and order, dated March 10, 2004, County Court denied that motion because defendant had not articulated the conflict, and defendant’s allegations about the attorney’s strategy were conclusory.

On April 13, 2004, defendant once again appeared with his assigned counsel for a pretrial hearing and advised the court that he wanted to proceed pro se because assigned counsel had “done nothing” for him and had failed to make certain motions. County Court denied that application as well because it was “not convinced” that defendant would be able to represent himself. In response to that ruling, defendant expressed his distrust of assigned counsel, stating “[y]ou can’t allow a man who is going to sell me out to represent me.”

Two days later, defendant once again moved in writing for reassignment of counsel or, in the alternative, the opportunity to proceed pro se, citing assigned counsel’s “incompetence” and purported retaliatory conduct against defendant for requesting new counsel. On April 28, 2004, the prosecutor informed the court that assigned counsel did indeed have a conflict and County Court appointed another attorney to represent defendant. However, this time defendant objected to the appointment asserting that the new attorney had represented an individual who had previously testified against defendant in an unrelated matter. County Court therefore assigned a third attorney to represent defendant. Defendant did not object to that appointment nor did he reassert his desire to proceed pro se. Rather, defendant simply asked if his third assigned counsel would be present at the next calendar call.

Following a jury trial, defendant was convicted of one count of criminal sale of a controlled substance in the third degree and one count of criminal possession of a controlled substance in the third degree and acquitted of the remaining counts. Defendant was adjudicated a second felony offender and sentenced to indeterminate terms of imprisonment of 9 to 18 years on each count, with both sentences to run concurrently.

Defendant appealed his conviction, asserting that County Court deprived him of his Sixth Amendment right to represent himself. The Appellate Division held that County Court improperly denied defendant’s timely and unequivocal request to proceed pro se, but nevertheless affirmed defendant’s conviction because defendant, by proceeding to trial with his third assigned counsel and not expressing a further desire to proceed pro se, abandoned his request to represent himself. We now af-

firm defendant's conviction on the ground that defendant's request to represent himself was not clear and unequivocal.

We have long recognized that a defendant "may insist on foregoing the benefits associated with the right to counsel and proceeding on a *pro se* basis," but have also cautioned that waiver of the "fundamental right to counsel requires that a trial court must be satisfied that a defendant's waiver is unequivocal, voluntary and intelligent" (*People v Smith*, 92 NY2d 516, 520 [1998]). "Regardless of his lack of expertise and the rashness of his choice," a defendant may "choose to waive counsel if he [does] so knowingly and voluntarily" (*People v Vivenzio*, 62 NY2d 775, 776 [1984], citing *Faretta v California*, 422 US 806 [1975]).

A defendant's request to represent himself "must be invoked clearly and unequivocally" (*People v LaValle*, 3 NY3d 88, 106 [2004], citing *Faretta*, 422 US 806 [1975]). In order to ensure that convicted defendants do not "pervert the system by subsequently claiming a denial of their *pro se* right, the *pro se* request must be clearly and unconditionally presented to the trial court" (*People v McIntyre*, 36 NY2d 10, 17 [1974]).

While defendant's conditioning of his request for new counsel with a request for self-representation did not necessarily render the latter request equivocal, here defendant raised the argument for self-representation as a way of obtaining the dismissal of his first assigned counsel. Moreover, defendant's initial requests to proceed *pro se* were made in the alternative; he sought to represent himself only because County Court refused to replace the first assigned counsel who had displeased him. After County Court appointed a second attorney, defendant did not ask to proceed *pro se*, but merely objected to the appointment because of a perceived conflict of interest. Thus, defendant's objections to his first two assigned counsel were made not because defendant wanted to proceed *pro se*, but because he was dissatisfied with them. When County Court announced the appointment of a third attorney, defendant simply asked if his third assigned counsel would be present at the next calendar call. Even if it could be argued that defendant did not equivocate at the outset of the proceedings, any error was cured when the court assigned defendant's third counsel. Defendant voiced no dissatisfaction with that appointment, and remained silent thereafter. Upon the appointment of his third assigned counsel, "[t]he issue of self-representation was closed," with defendant seemingly satisfied with that appointment (*LaValle*, 3 NY3d at 107).

We have considered defendant's remaining argument and find that it has not been preserved for review. Accordingly, the order of the Appellate Division should be affirmed.

SMITH, J. (concurring). I am unable to join the majority opinion, because I see no equivocation in defendant's request to proceed pro se. It is true that his request was made in the alternative; he wanted to act as his own lawyer only if his request for a new lawyer was denied, as it was. But a request made in the alternative can still be unequivocal. Indeed, many if not most defendants who choose to represent themselves probably do so because they are displeased with the counsel the court appointed, and would be happy to proceed with a lawyer if they could get one who satisfied them. That does not mean that they cannot exercise their right under *Faretta v California* (422 US 806 [1975]) to be pro se.

Thus I conclude that the trial court erred when it refused defendant's request to proceed pro se. I would vote to reverse defendant's conviction, but for the fact that, after his request was denied, a conflict of interest led to the replacement of his lawyer by a new one—the result he had preferred all along. This fortuitous event effectively cured the trial court's error in denying defendant's *Faretta* request. If, having obtained the remedy he originally preferred, defendant still wanted to represent himself, he should have said so.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Judge PIGOTT; Judge SMITH concurs in result in a separate opinion.

Order affirmed.

[861 NE2d 81, 828 NYS2d 266]

In the Matter of MERSCORP, INC., et al., Respondents, v EDWARD P. ROMAINE, as Clerk of the County of Suffolk, et al., Appellants, et al., Defendant.

Argued November 15, 2006; decided December 19, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 19, 2005. The Appellate Division modified, on the law, so much of a judgment of the Supreme Court, Suffolk County (James M. Catterson, J.), entered in a hybrid proceeding pursuant to CPLR article 78 in the nature of mandamus and action for a declaratory judgment, as had (1) granted petitioners' motion for summary judgment compelling respondents to record and index mortgages that named Mortgage Electronic Registration Systems, Inc., as the lender's nominee or the mortgagee of record and discharges of such mortgages if they had not been assigned, (2) denied petitioners' motion for summary judgment compelling respondents to record and index assignments and discharges of mortgages that had been assigned that named Mortgage Electronic Registration Systems, Inc., as the lender's nominee or the mortgagee of record, (3) denied respondents' motion for summary judgment to the extent that petitioners' motion was granted, and (4) otherwise granted respondents' motion to the extent of dismissing petitioner's causes of action to compel the recording of assignments and discharges of mortgages that had been assigned. The modification consisted of (1) deleting the provision of the judgment that denied petitioners' motion for summary judgment compelling respondents to record and index the subject assignments and discharges, and substituting therefor a provision granting the motion, and (2) adding thereto a provision declaring that the mortgages, assignments and discharges which named Mortgage Electronic Registration Systems, Inc., as the lender's nominee or the mortgagee of record were acceptable for recording and indexing. The Appellate Division affirmed the judgment as modified.

Matter of Merscorp, Inc. v Romaine, 24 AD3d 673, affirmed.

HEADNOTES

Mortgages — Recording

1. The Suffolk County Clerk was required to record and index mortgages naming petitioner, the operator of a national electronic registration system

(MERS) for residential mortgages and related instruments, as the lender's nominee or mortgagee of record. Sections 291 and 316-a of the Real Property Law impose upon the Suffolk County Clerk the ministerial duty of recording and indexing instruments affecting real property. The Clerk lacks statutory authority to look beyond an instrument that otherwise satisfies the limited requirements of the recording statute. Therefore, the County Clerk was required to accept the MERS mortgage when presented for recording.

Mortgages — Recording

2. The Suffolk County Clerk was required to record and index assignments of mortgage and discharges of mortgage naming petitioner, the operator of a national electronic registration system (MERS) for residential mortgages and related instruments, as the lender's nominee or mortgagee of record. As the nominee for the mortgagee of record or for the last assignee, petitioner acknowledged the instruments and, therefore, the County Clerk was required to file and record the instruments pursuant to Real Property Law § 321. Moreover, the MERS discharge complied with the statute by stating that the “[m]ortgage has not been further assigned of record.”

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mortgages § 432; AM JUR 2d, Records and Recording Laws §§ 60, 173, 174.

BOWMAR, MORTGAGE LIENS IN NEW YORK, ch 10, Recording.

McKINNEY's, Real Property Law §§ 291, 316-a, 321.

NY JUR 2d, Article 78 and Related Proceedings § 102; NY JUR 2d, Mortgages and Deeds of Trust §§ 117, 118, 125; NY JUR 2d, Records and Recording § 107.

NEW YORK REAL PROPERTY SERVICE §§ 23:19, 23:22, 37:4.

ANNOTATION REFERENCE

See ALR Index under Mortgages; Records and Recording.

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POINTS OF COUNSEL

Cahn & Cahn, LLP, Melville (*Richard C. Cahn* and *Daniel K. Cahn* of counsel), for appellants. I. MERS instruments are not “conveyances” within the meaning of Real Property Law §§ 290 and 291, because no interest in the subject property or in the underlying loan is conveyed to MERS, although it is designated as the “mortgagee.” (*Mortgage Elec. Registration Sys., Inc. v Burek*, 4 Misc 3d 1030[A], 2004 NY Slip Op 51135[U]; *Kluge v Fugazy*, 145 AD2d 537; *Merritt v Bartholick*, 36 NY 44; *Flyer v*

Sullivan, 284 App Div 697; *Beak v Walts*, 266 App Div 900; *Manne v Carlson*, 49 App Div 276; *Chimart Assoc. v Paul*, 66 NY2d 570; *Nau v Vulcan Rail & Constr. Co.*, 286 NY 188, 287 NY 630.) II. MERS does not qualify as a “mortgagee.” Therefore, the duty of respondent Edward P. Romaine to record mortgages, which is ministerial only to the extent that such instruments are presented “as a conveyance *perfect in form*,” was not breached. (*Putnam v Stewart*, 97 NY 411; *Baccari v De Santi*, 70 AD2d 198; *Jones v Beame*, 45 NY2d 402; *Matter of Abrams v New York City Tr. Auth.*, 39 NY2d 990.) III. MERS mortgages are not “mortgages” under New York law because they do not give notice of the identity of the true mortgagee, they falsely identify the mortgagee, and they circumvent the public recording system. (*Coco v Ranalletta*, 189 Misc 2d 535; *V & D Realty USA Corp. v Mitso Group*, 240 AD2d 562; *Federal Natl. Mtge. Assn. v Levine-Rodriguez*, 153 Misc 2d 8; *Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13.) IV. Naming a nominee for the original lender “and lender’s successors and assigns” is ineffective and against public policy. (*Weltman v Kotlar*, 124 App Div 494; *Moore v Leaseway Transp. Corp.*, 65 AD2d 697; *Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13.) V. The county clerk can properly index MERS mortgages under the name of the original lender. (*People ex rel. Oaklawn Corp. v Donegan*, 226 NY 84.) VI. MERS’s procedures inhibit consumers seeking to exercise their remedies under federal and state statutes as victims of “high cost loans.” VII. The MERS system deprives the public of revenues intended by the Legislature for the benefit of the public. VIII. MERS’s discharges of assigned mortgages and discharges of mortgages where ownership of the loans has been transferred are not entitled to be recorded; MERS’s standing in foreclosure proceedings is also questionable. (*Mortgage Elec. Registration Sys., Inc. v Burek*, 4 Misc 3d 1030[A], 2004 NY Slip Op 51135[U]; *Mortgage Elec. Registration Sys., Inc. v Estrella*, 390 F3d 522.)

Hiscock & Barclay, LLP, Buffalo (Charles C. Martorana and Samuel J. Burruano, Jr., of counsel), for respondents. I. MERS instruments are conveyances under New York law. (*Gibson v Thomas*, 180 NY 483; *Finn v Wells*, 135 Misc 53; *W.L. Dev. Corp. v Trifort Realty*, 44 NY2d 489; *People v Prince*, 110 Misc 2d 55; *Williams v Wisner Bldg. Co., Inc.*, 121 Misc 32, 208 App Div 783; *Merritt v Bartholick*, 36 NY 44; *Kluge v Fugazy*, 145 AD2d 537; *Kellogg v Smith*, 26 NY 18; *Syracuse Sav. Bank v Merrick*, 182 NY 387; *Fryer v Rockefeller*, 63 NY 268.) II. MERS is a proper “mortgagee” and county clerks

are obligated to record MERS instruments. (*Putnam v Stewart*, 97 NY 411.) III. The MERS system complies with the New York Real Property Law and provides public notice of liens on property. (*Witter v Taggart*, 78 NY2d 234; *Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Albany County Sav. Bank v McCarty*, 149 NY 71; *Matter of Wadsworth*, 27 Misc 264.) IV. The designation of MERS as nominee is effective and does not violate public policy. (*Schuh Trading Co. v Commissioner of Internal Revenue*, 95 F2d 404; *Munoz v Wilson*, 111 NY 295; *Wood v Travis*, 231 App Div 331; *Preston v Albee*, 120 App Div 89; *In re Cushman Bakery*, 526 F2d 23, *cert denied sub nom. Agger v Seaboard Allied Milling Corp.*, 425 US 937; *Fairbanks Capital Corp. v Nagel*, 289 AD2d 99; *Amherst Factors v Kochenburger*, 4 NY2d 203; *Mutual Life Ins. Co. v Nicholas*, 144 App Div 95; *In re Fried Furniture Corp.*, 293 F Supp 92, 407 F2d 360; *In re Lehrenkrauss*, 6 F Supp 687.) V. New York law compels county clerks to index MERS as a party to the MERS instruments. (*Tomlinson v Board of Educ. of Lakeland Cent. School Dist. of Shrub Oak*, 223 AD2d 636, 88 NY2d 808; *Federal Natl. Mtge. Assn. v Levine-Rodriguez*, 153 Misc 2d 8; *Baccari v De Santi*, 70 AD2d 198.) VI. The MERS system respects the rights of consumers. VII. The MERS system does not impact appellants' revenues. VIII. Appellants' diversionary reference to alleged issues in foreclosure proceedings misstates governing New York law, interjects issues which are de hors the record, and misstates or presents incomplete information regarding foreclosure proceedings venued in the state of Florida. (*Fryer v Rockefeller*, 63 NY 268; *Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13; *Airlines Reporting Corp. v S & N Travel*, 238 AD2d 292; *Fairbanks Capital Corp. v Nagel*, 289 AD2d 99; *Mortgage Elec. Registration Sys., Inc. v Burek*, 4 Misc 3d 1030[A], 2004 NY Slip Op 51135[U]; *Mortgage Elec. Registration Sys., Inc. v Estrella*, 390 F3d 522; *Indiana Gas Co., Inc. v Home Ins. Co.*, 141 F3d 314; *Northern Trust Co. v Bunge Corp.*, 899 F2d 591.)

Bainton McCarthy LLC, New York City (*John G. McCarthy* of counsel), for Mortgage Bankers Association, amicus curiae. I. MERS instruments enhance efficiency in the primary and secondary markets for residential, multifamily and commercial mortgages. (*Leader v Dinkler Mgt. Corp.*, 20 NY2d 393; *Amherst Factors v Kochenburger*, 4 NY2d 203; *Mutual Life Ins. Co. v Nicholas*, 144 App Div 95; *In re Fried Furniture Corp.*, 293 F

Supp 92, 407 F2d 360.) II. To afford the County Clerk discretion to block the recording and indexing of MERS instruments would deprive the primary and secondary mortgage markets of the benefits of the MERS system.

Bainton McCarthy LLC, New York City (*J. Joseph Bainton* of counsel), for American Land Title Association, amicus curiae. I. MERS instruments are entitled to be recorded. The MERS system is not unorthodox. II. To afford county clerks discretion to reject MERS instruments presented for recording will adversely affect mortgage markets. (*Putnam v Stewart*, 97 NY 411; *Matter of Westminster Hgts. Co.*, 107 App Div 577, 185 NY 539; *People ex rel. Title Guar. & Trust Co. v Grifenhagen*, 209 NY 569; *People ex rel. Frost v Woodbury*, 213 NY 51; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215.) III. This case involves the statutory duty to record MERS instruments. (*Airlines Reporting Corp. v S & N Travel*, 238 AD2d 292; *Fairbanks Capital Corp. v Nagel*, 289 AD2d 99.)

Kenneth M. Scott, Washington, D.C., and *Kenton Hambrick*, McLean, Virginia, for Federal National Mortgage Association and another, amici curiae. I. Reversing the Appellate Division's decision and order would create inefficiency in the mortgage industry, increase costs of credit and impair federal housing policy. II. MERS generates significant benefits for borrowers. III. Granting county clerks discretion to refuse to record MERS instruments would disrupt the New York mortgage market and harm all interested parties. (*Putnam v Stewart*, 97 NY 411; *Matter of Westminster Hgts. Co.*, 185 NY 539; *People ex rel. Title Guar. & Trust Co. v Grifenhagen*, 209 NY 569; *People ex rel. Frost v Woodbury*, 213 NY 51; *W.L. Dev. Corp. v Trifort Realty*, 44 NY2d 489.)

Meghan Faux, Brooklyn, *Josh Zinner*, *Nina F. Simon*, Washington, D.C., admitted pro hac vice, *Seth Rosebrock*, Washington, D.C., admitted pro hac vice, *Fishman & Neil, LLP*, New York City (*James B. Fishman* of counsel), *Bromberg Law Office, P.C.* (*Brian L. Bromberg* of counsel), *April Carrie Charney*, Jacksonville, Florida, admitted pro hac vice, *Ruhi Maker*, Rochester, *Donna Dougherty*, Rego Park, *Dianne Woodburn*, *Diane Houk*, New York City, *Pamela Sah*, *Sara Ludwig*, *Oda Friedheim*, Kew Gardens, *Margaret Becker*, Staten Island, and *Treeneeka Cusack*, Buffalo, for South Brooklyn Legal Services and others, amici curiae. I. The

MERS system was designed without regard to consumers' rights. II. MERS's claims that the MERS system is beneficial to consumers are unsupported. III. Homeowners have a right to know who owns their loans. (*Miguel v Country Funding Corp.*, 309 F3d 1161; *Mortgage Elec. Registration Sys., Inc. v Estrella*, 390 F3d 522.) IV. The MERS system causes significant confusion among borrowers and has a particularly detrimental impact on the elderly and other vulnerable borrowers frequently victimized by predatory lenders. V. The public has a significant and enduring interest in preserving and protecting the free public databases created by the land and court records of this nation. VI. MERS's subversion of the public policy behind public recordings costs county and city clerks over a billion dollars. VII. MERS lacks standing to bring foreclosure actions in its name. (*Kluge v Fugazy*, 145 AD2d 537.)

Hamburger, Maxson, Yaffe, Wishod & Knauer, LLP, Melville (Richard Hamburger, David N. Yaffe and Eugene L. Wishod of counsel), for County Clerk of the County of Albany and others, amici curiae. County clerks are required by statute to reject instruments presented for recording which fail to comply with all governing statutory requirements. (*Witter v Taggart*, 78 NY2d 234; *Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13; *Putnam v Stewart*, 97 NY 411; *Hartwell v Riley*, 47 App Div 154; *Olmsted v Dennis*, 77 NY 378; *Bryant v Town of Randolph*, 133 NY 70; *People ex rel. Welch v Nash*, 62 NY 484; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451.)

OPINION OF THE COURT

PIGOTT, J.

We are asked to decide on this appeal whether the Suffolk County Clerk¹ is compelled to record and index mortgages, assignments of mortgage and discharges of mortgage, which name Mortgage Electronic Registration Systems, Inc. the lender's nominee or mortgagee of record.

Petitioners, MERSCORP, Inc. and Mortgage Electronic Registration Systems, Inc. (collectively MERS), commenced this hybrid proceeding in the nature of mandamus to compel the Clerk to record and index the instruments, and to declare them acceptable for recording and indexing.

Supreme Court denied in part petitioners' motion for summary judgment and granted in part the cross motion of

1. Edward P. Romaine resigned as County Clerk December 31, 2005. Judith A. Pascale is currently the Acting County Clerk.

respondents, the Suffolk County Clerk and the County of Suffolk (collectively the County), holding that although the Clerk must record and index the MERS mortgage when presented, the Clerk may refuse to record a MERS assignment and discharge, because those instruments violate the “factual mandates” of section 321 (3) of the Real Property Law.

The Appellate Division reversed so much of Supreme Court’s ruling as relates to the assignments and discharges, finding “no valid distinction between MERS mortgages and MERS assignments or discharges for the purpose of recording and indexing” (24 AD3d 673, 674-675 [2d Dept 2005]). This Court granted leave and we now affirm.

In 1993, the MERS system was created by several large participants in the real estate mortgage industry² to track ownership interests in residential mortgages. Mortgage lenders and other entities,³ known as MERS members, subscribe to the MERS system and pay annual fees for the electronic processing and tracking of ownership and transfers of mortgages. Members contractually agree to appoint MERS to act as their common agent on all mortgages they register in the MERS system.

The initial MERS mortgage is recorded in the County Clerk’s office with “Mortgage Electronic Registration Systems, Inc.” named as the lender’s nominee or mortgagee of record on the instrument. During the lifetime of the mortgage, the beneficial ownership interest or servicing rights may be transferred among MERS members (MERS assignments), but these assignments are not publicly recorded; instead they are tracked electronically in MERS’s private system.⁴ In the MERS system, the mortgagor is notified of transfers of servicing rights pursuant to the Truth in Lending Act, but not necessarily of assignments of the beneficial interest in the mortgage.

2. Among the entities creating MERS were the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, the Government National Mortgage Association, and the Mortgage Bankers Association of America.

3. Members of the MERS system also include entities such as insurance companies, title companies and banks.

4. If a MERS member transfers ownership interest or servicing rights in a mortgage loan to a non-MERS member, an assignment from the MERS member to the non-MERS member is recorded in the County Clerk’s office and the loan is deactivated within the MERS system.

In April 2001, in response to an informal opinion of the Attorney General, which concluded that recording a MERS instrument violates Real Property Law § 316 and frustrates the legislative intent of the recording provisions (2001 Ops Atty Gen No. 2001-2), the Suffolk County Clerk ceased recording the MERS instruments. This proceeding ensued.

[1] The County contends that the MERS mortgage is improper because that mortgage names MERS, an entity that has no interest in the property or loan, as the “nominee” for the lender. Thus, the County contends MERS is not a proper “mortgagee” and the document created cannot be considered a proper “conveyance” for purposes of the recording statute. We disagree.

Section 291 of the Real Property Law provides, in pertinent part, that:

“[a] conveyance of real property, within the state, on being duly acknowledged by the person executing the same, or proved as required by [the Real Property Law], and such acknowledgment or proof duly certified when required by [such law], may be recorded in the office of the clerk of the county where such real property is situated, and such county clerk *shall*, upon the request of any party, on tender of the lawful fees therefor, record the same in his said office” (emphasis added).

Real Property Law § 316-a, which pertains exclusively to Suffolk County, provides that

“[e]very instrument affecting real estate or chattels real, situated in the county of Suffolk, which shall be, or which shall have been recorded in the office of the clerk of said county on and after the first day of January, nineteen hundred fifty-one, *shall* be recorded and indexed pursuant to the provisions of this act” (§ 316-a [1] [emphasis added]).

Thus, sections 291 and 316-a of the Real Property Law impose upon the Suffolk County Clerk the ministerial duty of recording and indexing instruments affecting real property (*see* Real Property Law § 290 [3]; §§ 291, 316-a [1], [2]; § 321 [1]; County Law § 525 [1]). The Clerk lacks the statutory authority to look beyond an instrument that otherwise satisfies the limited requirements of the recording statute (*see Putnam v Stewart*, 97 NY 411 [1884]). Therefore, the County Clerk must accept the MERS mortgage when presented for recording.

With respect to the MERS assignments and discharges of mortgage, the County argues that by requiring the Clerk to record the instrument, the Clerk is recording a document that ignores the mandates prescribed by Real Property Law § 321.

[2] Section 321 (1) (a) provides that where it does not appear from the record that any interest in a mortgage has been assigned, a certificate of satisfaction must be signed by the mortgagee or the mortgagee's personal representative in order for the recording officer to mark the record of the mortgage as "discharged." Where it appears from the record that a mortgage has been assigned, the recording officer cannot mark the record of that mortgage with the word "discharged" unless a certificate is signed by "the person who appears from the record to be the last assignee" of the mortgage, or his or her personal representative (Real Property Law § 321 [1] [b]). As the nominee for the mortgagee of record or for the last assignee, MERS acknowledges the instrument and therefore, the County Clerk is required to file and record the instruments.

Other provisions are not to the contrary. Under section 321 (2) (b), the Clerk is required to record "every other instrument relating to a mortgage," if that instrument is properly acknowledged or proved in a manner entitling a conveyance to be recorded. Such instruments include "certificates purporting to discharge a mortgage" that are signed by persons other than those specified in Real Property Law § 321 (1).

Further, section 321 (3) of the Real Property Law provides:

"Every certificate presented to the recording officer shall be executed and acknowledged or proved in like manner as to entitle a conveyance to be recorded. If the mortgage has been assigned, in whole or in part, the certificate shall set forth the date of each assignment in the chain of title of the person or persons signing the certificate, the names of the assignor and assignee, the interest assigned, and, if the assignment has been recorded, the book and page where it has been recorded or the serial number of such record; or if the assignment is being recorded simultaneously with the certificate of discharge, the certificate of discharge shall so state. If the mortgage has not been assigned *of record*, the certificate shall so state" (emphasis added).

Notably, section 321 (3) does not call for the unrecorded MERS assignments to be listed on the MERS discharge. Rather,

under the statute, the discharge is required either to list the assignment by the name of the assignor and assignee, the interest assigned, and the book and page number, where recorded, or, if the assignment has not been recorded, to “so state.”

The legislative history of the statute supports this interpretation. In 1951, Real Property Law § 321 (3) was amended to, among other things, insert the term “of record” (L 1951, ch 159, § 1). The relevant memoranda submitted to the Legislature in connection with the amendment indicate that the term was inserted to “correct a difficulty” in complying with the statute (*see e.g.* Mem in Support of Exec Secretary and Director of Research of Law Rev Commn, Bill Jacket, L 1951, ch 159). Prior to the amendment, the statute required that a discharge certificate presented to the County Clerk either list all of the assignments in the chain of title or state that the mortgage was unassigned.⁵ However, problems developed when an assignment, known to the person executing the discharge, was not in the chain of title. In those situations, the person executing the discharge would make the untrue statement that the mortgage was unassigned. Thus, the Legislature amended the statute allowing the discharge certificate to either list the assignments in the chain of title or to state that the assignment has not been made “of record.” The MERS discharge complies with the statute by stating that the “mortgage has not been further assigned *of record*” (emphasis added) and, therefore, the County Clerk is required to accept the MERS assignments and discharges of mortgage for recording.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (concurring). I am constrained to agree with the result reached by the majority opinion. However, I write independently to highlight the narrow breadth of this holding and to point out that this issue may be ripe for legislative consideration.

I concur with the majority that the Clerk’s role is merely ministerial in nature and that since the documents sought to be recorded appear, for the most part, to comply with the recording statutes, MERS is entitled to an order directing the Clerk to ac-

5. The purpose of such requirement was to facilitate the work of the recording officer in marking the record of the mortgage.

cept and record the subject documents. I wish to note, however, that to the extent that the County and various amici argue that MERS has violated the clear prohibition against separating a lien from its debt and that MERS does not have standing to bring foreclosure actions, those issues remain for another day (see e.g. *Merritt v Bartholick*, 36 NY 44, 45 [1867] [“a transfer of the mortgage without the debt is a nullity, and no interest is acquired by it”]).

In addition to these substantive issues, a plethora of policy arguments have surfaced during the pendency of this proceeding. For instance, if MERS succeeds in its goal of monopolizing the mortgage nominee market, it will have effectively usurped the role of the county clerk that inevitably would result in a county’s recording fee revenue being substantially diverted to a private entity. Additionally, MERS’s success will arguably detract from the amount of public data available concerning mortgage ownership that otherwise offers a wealth of statistics that are used to analyze trends in lending practices. Another concern raised is that, once an assignment of the mortgage is made, it can be difficult, if not impossible, for a homeowner to find out the true identity of the loan holder. Amici who submitted briefs in favor of the County argue that this can effectively insulate a noteholder from liability and further that it encourages predatory lending practices.

Unquestionably there is considerable public value in allowing seamless assignments of mortgages in a secondary market. However, whether this benefit will outweigh the negative consequences cannot be ascertained by this Court. Thus, as the recording act, which as relevant here has not been substantially amended in the last 50 years, could not have envisioned such a system nor its ancillary impacts, I feel that such a decision is best left in the hands of the Legislature.

Chief Judge KAYE (dissenting in part). In 1993, members of the real estate mortgage industry created MERS, an electronic registration system for mortgages. Its purpose is to streamline the mortgage process by eliminating the need to prepare and record paper assignments of mortgage, as had been done for hundreds of years. To accomplish this goal, MERS acts as nominee and as mortgagee of record for its members nationwide and appoints itself nominee, as mortgagee, for its members’ successors and assigns, thereby remaining nominal mortgagee of record no matter how many times loan servicing, or the

mortgage itself, may be transferred. MERS hopes to register every residential and commercial home loan nationwide on its electronic system.

But the MERS system, developed as a tool for banks and title companies, does not entirely fit within the purpose of the Recording Act, which was enacted to “protect the rights of innocent purchasers . . . without knowledge of prior encumbrances” and to “establish a public record which would furnish potential purchasers with notice, or at least ‘constructive notice’, of previous conveyances” (*Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13, 20 [1979]; see *Witter v Taggart*, 78 NY2d 234, 238 [1991]). It is the incongruity between the needs of the modern electronic secondary mortgage market and our venerable real property laws regulating the market that frames the issue before us.

I

The Suffolk County Clerk, pursuant to the Recording Act, has a duty to record conveyances that are “entitled to be recorded” (Real Property Law § 316-a [5]), and to discharge mortgages when presented with a validly executed and acknowledged certificate of discharge (Real Property Law § 321). Thus, as part of this ministerial duty, the Clerk is called upon to examine an instrument to see that it is, facially, a “conveyance” of real property or to see that the certificate of discharge complies with the statutory mandates.

“The performance of his uniform clerical duty requires him to compare the instruments which come to his possession for record . . . and certify as to the identity of their physical contents. Such a certificate does not involve the expression of an opinion, but calls for the statement of a fact capable of absolute demonstration” (*Putnam v Stewart*, 97 NY 411, 418 [1884]).

When presented with a MERS mortgage to record, the Clerk is able to discern from the face of the instrument that MERS has been appointed, as nominee, “mortgagee of record.” As the instrument appears to reflect a valid conveyance (Real Property Law § 290 [3]), the Clerk is required to record the instrument in MERS’ name “as a nominee for Lender” (Real Property Law § 291). Given that the identity of the actual lender is ascertainable from the mortgage document itself—indeed, the use of a nominee as the equivalent of an agent for the lender is appar-

ent, and not unusual—I concur with the majority that the Clerk is obligated to record MERS mortgages.*

When presented with a certificate of discharge, however, the Clerk has the duty to examine the mortgage’s prior assignments. The Clerk collects fees precisely for this purpose (Real Property Law § 321 [3] [“the fee or fees which the recording officer is entitled to receive for filing and entering a certificate of discharge of a mortgage and examining assignments of such mortgage shall be payable with respect to each mortgage”]). Section 321 (3) of the Real Property Law further provides:

“Every certificate presented to the recording officer shall be executed and acknowledged or proved in like manner as to entitle a conveyance to be recorded. *If the mortgage has been assigned, in whole or in part, the certificate shall set forth the date of each assignment in the chain of title of the person or persons signing the certificate, the names of the assignor and assignee, the interest assigned, and, if the assignment has been recorded, the book and page where it has been recorded or the serial number of such record; or if the assignment is being recorded simultaneously with the certificate of discharge, the certificate of discharge shall so state. If the mortgage has not been assigned of record, the certificate shall so state*” (emphasis added).

“[W]here the statutory language is clear and unambiguous, the court should construe it so as to give effect to the plain meaning of the words used” (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 107 [1997] [emphasis and citations omitted]). Plainly, the statute requires *all* assignments of the mortgage to be listed on the certificate of discharge, whether recorded or not. The statute first sets out this general requirement, then it addresses each possible scenario in turn: *if* the assignment was recorded, the Clerk must enter the book and page; *if* the assignment of mortgage is being recorded simultaneously,

* I also agree that the issues concerning the underlying validity of the MERS mortgage instrument—in particular, whether its failure to transfer beneficial interest renders it a nullity under real property law, whether it violates the prohibition against separating the note from the mortgage, and whether MERS has standing to foreclose on a mortgage—are best left for another day. Although MERSCORP initially requested a declaratory judgment that the MERS instruments were “lawful in all respects” (which Supreme Court denied) the instruments’ validity has not yet been addressed.

the certificate shall so state; *if* the assignment was not recorded, the certificate similarly shall so state. To read the statute as providing that the certificate “either” list the recorded mortgage “or” simply state that the assignment has not been recorded renders the language of the preceding sentences superfluous and the clause regarding the listing of recording details “if recorded” nonsensical.

“[T]he clearest indicator of legislative intent is the statutory text” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). The Court need not look to legislative history when the plain meaning of the statute is clear, and surely should not look to legislative history to override the plain meaning of the statute, as the majority now does.

Here, moreover, the legislative history of section 321 is inapposite. Real Property Law § 321 was amended in 1951 to ameliorate the situation “where assignments are known by the signing party to have existed but such assignments are not in his chain of title because the mortgage has been reassigned to the assignor,” such as when “a mortgage has been pledged to secure a loan and on repayment . . . has been reassigned to the mortgagee without the assignment ever having been recorded” (Recommendation of Law Rev Commn, Bill Jacket, L 1951, ch 159, at 20; *see also* Mem by Exec Secretary and Director of Research of Law Rev Commn, Bill Jacket, L 1951, ch 159, at 11). Thus, the situation the amendment addressed was when a mortgagee’s assigned, unrecorded mortgage was reassigned *back to the mortgagee*, and the mortgage was then transferred by the mortgagee to a subsequent holder or discharged by the original mortgagee himself. In such a case, “there appears to be no reason for requiring a statement that the mortgage has not been assigned [as] the certificate is executed by the *original mortgagee*” (Recommendation of Law Rev Commn, Bill Jacket, L 1951, ch 159, at 20 [emphasis added]), or transferred by the original assignor after it had been assigned back to him (*see* Report of Comm on Real Property Law, Bill Jacket, L 1951, ch 159, at 9).

Under the MERS system, by contrast, assignments are made from one lender, to another lender, to another lender, and so on down the line. The 1951 amendment, which assumed that the mortgagee would be discharging the reassigned mortgage, or that a subsequent holder would discharge it unaware that the previous owner had assigned away and been reassigned the mortgage, is thus inapplicable to the issue under review.

II

The MERS system raises additional concerns that should not go unnoticed.

The benefits of the system to MERS members are not insubstantial. Through use of MERS as nominee, lenders are relieved of the costs of recording each mortgage assignment with the County Clerk, instead paying minimal yearly membership fees to MERS. Transfers of mortgage instruments are faster, allowing for efficient trading in the secondary mortgage market; a mortgage changes hands at least five times on average.

Although creating efficiencies for its members, there is little evidence that the MERS system provides equivalent benefits to home buyers and borrowers—and, in fact, some evidence that it may create substantial disadvantages. While MERS necessarily opted for a system that tracks both the beneficial owner of the loan and the servicer of the loan, its 800 number and Web site allow a borrower to access information regarding only his or her loan servicer, not the underlying lender. The lack of disclosure may create substantial difficulty when a homeowner wishes to negotiate the terms of his or her mortgage or enforce a legal right against the mortgagee and is unable to learn the mortgagee's identity. Public records will no longer contain this information as, if it achieves the success it envisions, the MERS system will render the public record useless by masking beneficial ownership of mortgages and eliminating records of assignments altogether. Not only will this information deficit detract from the amount of public data accessible for research and monitoring of industry trends, but it may also function, perhaps unintentionally, to insulate a noteholder from liability, mask lender error and hide predatory lending practices. The county clerks, of course, are concerned about the depletion of their revenues—allegedly over one million dollars a year in Suffolk County alone.

Admittedly we do not know, at this juncture, the extent to which these concerns will be realized. But it would seem prudent to call to the attention of the Legislature what is at least a disparity between the relevant statute—now 55 years old—and the burgeoning modern-day electronic mortgage industry.

Judges ROSENBLATT, GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge CIPARICK concurs in result in a separate opinion; Chief Judge KAYE dissents in part in another opinion.

Order affirmed, with costs.

[861 NE2d 813, 829 NYS2d 449]

B.D.G.S., INC., Respondent, v ANTHONY BALIO et al., Defendants,
and SAVINGS BANK OF UTICA, Appellant.

Argued November 14, 2006; decided December 21, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 3, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Oneida County (John G. Ringrose, J.), entered upon a jury verdict, which had awarded plaintiff the sum of \$1,152,933.83 against defendant Savings Bank of Utica.

B.D.G.S., Inc. v Balio, 26 AD3d 730, affirmed.

HEADNOTES

**Bills, Notes and Checks — Special or Restrictive Indorsement —
Compliance with Restrictive Indorsement — Reasonable Com-
mercial Standards**

1. A depository bank's compliance with a restrictive indorsement does not necessarily establish conformity with reasonable commercial standards as a matter of law under Uniform Commercial Code § 3-419 (3). Under section 3-419 (3), the bank's liability will be limited to "the amount of any proceeds remaining in [its] hands," as long as the bank complies with any restrictive indorsements and acts in good faith and in accordance with reasonable commercial standards. There are situations where following the indorsements would not be reasonable. Thus, defendant depository bank's liability was not limited under the statute where defendant deposited checks payable to the corporate plaintiff into the account of another business pursuant to restrictive indorsements on the checks, but expert testimony concerning aspects of the transactions at issue that should have raised red flags for the bank and testimony indicating that the bank did not comply with its own procedures for handling business checks established that the bank did not act in conformity with reasonable commercial standards.

**Bills, Notes and Checks — Special or Restrictive Indorsement —
Compliance with Restrictive Indorsement — When Limitation of
Bank's Liability Unavailable**

2. Where defendant depository bank deposited checks payable to the corporate plaintiff into the account of another business pursuant to restrictive indorsements on the checks, but in doing so did not act in conformity with reasonable commercial standards under Uniform Commercial Code § 3-419 (3), defendant was not immunized from liability on the ground that it no longer retained the proceeds. Under section 3-419 (3), the bank's liability will be limited to "the amount of any proceeds remaining in [its] hands," as long as the bank complies with any restrictive indorsements and acts in good faith and in accordance with reasonable commercial standards. Since defendant did not satisfy all of the statutory criteria, having failed to act in conformity with

reasonable commercial standards, the statutory defense was unavailable and the bank's liability was not limited to the amount of the proceeds remaining in its possession. Rather, its liability was determined by the common-law action for money had and received as it existed prior to the enactment of the UCC and, thus, the bank was liable for the entire amount of the checks.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Banks and Financial Institutions §§ 750, 918, 976, 978; AM JUR 2d, Bills and Notes §§ 230, 536, 537.

McKINNEY's, UCC 3-419 (3).

NY JUR 2d, Banks and Financial Institutions §§ 398, 406, 410.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE § 18-5.

ANNOTATION REFERENCE

Bank's reasonable commercial standards defense under UCC § 3-419 (3). 49 ALR4th 888.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: restrictive /2 *endorsement /s reasonable /2 commercial /2 standard

POINTS OF COUNSEL

Getnick Livingston Atkinson Gigliotti & Priore, LLP, Utica (*Janet M. Richmond* and *Patrick G. Radel* of counsel), for appellant. I. Under this Court's ruling in *Spielman v Manufacturers Hanover Trust Co.* (60 NY2d 221 [1983]) Savings Bank of Utica was entitled to judgment as a matter of law. (*Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Federal Ins. Co. v Manufacturers Hanover Trust Co.*, 157 AD2d 460; *Underpinning & Found. Constructors v Chase Manhattan Bank, N.A.*, 46 NY2d 459; *Prudential-Bache Sec. v Citibank*, 73 NY2d 263; *Jones v Community Bank of Sullivan County*, 306 AD2d 679; *Tette v Marine Midland Bank*, 78 AD2d 383.) II. In the alternative, the claims against Savings Bank of Utica must be dismissed because there was no proof of unjust enrichment—a requirement for money had and received claim. (*State of New York v Barclays Bank of N.Y.*, 76 NY2d 533; *Miller v Schloss*, 218 NY 400; *Board of Educ. of Cold Spring Harbor Cent. School Dist. v Rettaliata*, 78 NY2d 128; *Parsa v State of New York*, 64 NY2d 143; *Middle E. Banking Co. v State St. Bank Intl.*, 821 F2d 897; *Calisch Assoc. v*

Manufacturers Hanover Trust Co., 151 AD2d 446; *Bank of Castile v Salerno*, 99 AD2d 663; *Henderson v Lincoln Rochester Trust Co.*, 303 NY 27; *Moch Co. v Security Bank of N.Y.*, 176 App Div 842; *Hutzler v Hertz Corp.*, 39 NY2d 209.)

Mackenzie Hughes, L.L.P., Syracuse (Nancy L. Pontius of counsel), for respondent. I. The Appellate Division correctly denied Savings Bank of Utica's (SBU) motion for summary judgment and affirmed the judgment against it based upon SBU's failure to act in accordance with reasonable commercial banking standards. (*Jones v Community Bank of Sullivan County*, 306 AD2d 679; *Moore v Richmond Hill Sav. Bank*, 117 AD2d 27; *Heffernan v Norstar Bank of Upstate N.Y.*, 125 AD2d 887; *Tette v Marine Midland Bank*, 78 AD2d 383, 54 NY2d 681; *Lawyers' Fund for Client Protection of State of N.Y. v Gateway State Bank*, 273 AD2d 565; *Belmar Trucking Corp. v American Trust Co.*, 65 Misc 2d 31; *Shivers v Citibank, N.A.*, 12 AD3d 248; *Holland Am. Cruises, N.V. v Carver Fed. Sav. & Loan Assn.*, 60 AD2d 545; *Home Ins. Co. v Manufacturers Hanover Trust Co.*, 203 AD2d 125.) II. *Spielman v Manufacturers Hanover Trust Co.* (60 NY2d 221 [1983]) is not controlling on the issue of whether Savings Bank of Utica acted in accordance with reasonable commercial standards. (*Horovitz v Roadworks of Great Neck*, 76 NY2d 975; *Underpinning & Found. Constructors v Chase Manhattan Bank, N.A.*, 46 NY2d 459.) III. A holding that as long as a bank follows a restrictive indorsement it has acted in accordance with commercially reasonable standards would be contrary to language and intent of the UCC, would make bad law, and would conflict with a substantial body of case law. (*Federal Ins. Co. v Manufacturers Hanover Trust Co.*, 157 AD2d 460; *Tette v Marine Midland Bank*, 78 AD2d 383; *Moore v Richmond Hill Sav. Bank*, 117 AD2d 27.) IV. A pre-UCC claim for money had and received against a bank that accepts a forged check for deposit does not require a showing that the bank retained any of the proceeds of the check. (*Henderson v Lincoln Rochester Trust Co.*, 303 NY 27; *Moch Co. v Security Bank of N.Y.*, 176 App Div 842, 225 NY 723; *State of New York v Barclays Bank of N.Y.*, 76 NY2d 533; *Calisch Assoc. v Manufacturers Hanover Trust Co.*, 151 AD2d 446; *Parsa v State of New York*, 64 NY2d 143; *Bank of Castile v Salerno*, 99 AD2d 663.) V. A finding that UCC 3-419 (3) applies to B.D.G.S., Inc.'s claim for money had and received will have no impact on the judgment. (*People v Bank of N. Am.*, 75 NY 547; *Moore v Richmond Hill Sav. Bank*, 117 AD2d 27; *Moch Co. v Security Bank of N.Y.*, 176 App Div 842; *Alumax Aluminum Corp. v Norstar Bank*, 168

AD2d 163; *Tette v Marine Midland Bank*, 78 AD2d 383; *Hutzler v Hertz Corp.*, 39 NY2d 209; *Hechter v New York Life Ins. Co.*, 46 NY2d 34; *Lawyers' Fund for Client Protection of State of N.Y. v Gateway State Bank*, 273 AD2d 565.)

OPINION OF THE COURT

CIPARICK, J.

The primary issue presented by this appeal is whether defendant Savings Bank of Utica's (SBU) actions conformed to reasonable commercial standards as a matter of law under Uniform Commercial Code § 3-419 (3) when it complied with restrictive indorsements on checks submitted for deposit. SBU also asserts that any liability under section 3-419 (3) should be limited to the amount of proceeds remaining in its possession. We hold that compliance with a restrictive indorsement does not establish compliance with reasonable commercial standards as a matter of law and that SBU's liability is not limited to proceeds remaining in its possession.

B.D.G.S., Inc., a New York corporation with headquarters in the state of Washington, owns a warehouse in Utica, New York. In 1991, a representative of B.D.G.S. entered into an oral agreement with two local men—defendants Anthony Balio and his employee, Peter Duniec—to manage the warehouse. Their responsibilities included finding tenants and collecting rent, which was then to be forwarded to B.D.G.S. and deposited into its bank account in Washington. Balio and Duniec formed the Beechgrove Warehouse Corporation and maintained a business account in that name at SBU.

Between 1996 and 2000, B.D.G.S. believed that one of its tenants, Rite-Aid, had been falling behind and failing to make its rent payments. As B.D.G.S. later discovered, Rite-Aid had been making the payments, but 16 checks had been indorsed to Beechgrove Warehouse and deposited into Beechgrove's own SBU account. The checks had been made payable to DBGS (an apparent typographical error). With minor variations, there was a handwritten indorsement on the back of each check stating, "DBGS, Inc.

Pay to the order of
Beechgrove Warehouse
For Deposit"

with Beechgrove's SBU account number underneath. A substantial refund check from Niagara Mohawk in the amount of

\$427,781.82 had similarly been indorsed and deposited in the SBU account. B.D.G.S. commenced this suit in February 2001 (and by amended complaint of November 2002) against SBU, Balio, Duniec, Beechgrove Warehouse and B. & R. Motor Express, Inc. (another corporation allegedly owned by Balio) asserting several causes of action. As relevant for purposes of this appeal, B.D.G.S. brought a claim against SBU for money had and received.

B.D.G.S. moved for partial summary judgment on the issue of liability and, in support of the motion, produced a memo from SBU concerning the bank's policy on depositing checks payable to business accounts. The memo states that checks "are to be deposited only to the business account of the named payee. They are not to be deposited to an individual account even though the payee may be an officer of the business." B.D.G.S. also produced the deposition testimony of Richard Callahan, an SBU senior vice-president, who testified that it was a violation of bank policy and reasonable banking standards to deposit the checks into an account other than that of the named payee. Finally, B.D.G.S. provided the affidavit of a banking expert, John Burdiss, concluding that SBU violated its own policies as well as reasonable commercial standards.

Supreme Court denied B.D.G.S.'s motion for partial summary judgment against SBU on the issue of liability, finding issues of fact as to whether the indorsements were forged or were authorized by B.D.G.S. The court also denied SBU's cross motion for summary judgment dismissing the complaint. The Appellate Division affirmed, finding that B.D.G.S. raised an issue of fact as to whether SBU's actions with respect to the checks were commercially reasonable.

At trial, Callahan changed his position and testified that he had been mistaken at his deposition. He stated that at the deposition he had been focusing on the payee on the front of the check. However, at trial he testified that SBU had not violated reasonable banking standards because it had complied with the indorsements on the back of the checks. Burdiss testified that several factors should have alerted SBU that the indorsements were improper. Notably, the handwriting on both indorsements was the same. Also, the account activity was unusual in that Beechgrove did not typically process checks or carry a balance as large as the check from Niagara Mohawk. Indeed, checks had bounced from the Beechgrove account and its balance was apparently low prior to the

Niagara Mohawk check. Moreover, it was “not the standard” for the bank to deposit a check into one business account that was drawn to another business.

The jury found that SBU had not acted in accordance with reasonable commercial standards by accepting the checks for deposit. Supreme Court denied SBU’s posttrial motions to set aside the verdict and for judgment notwithstanding the verdict and entered judgment in favor of plaintiff in the amount of \$1,152,933.83. The Appellate Division affirmed, finding legally sufficient evidence to support the jury’s verdict that SBU did not act in a commercially reasonable manner. We granted SBU leave to appeal and now affirm.

Section 3-419 (3) of the Uniform Commercial Code provides that

“[s]ubject to the provisions of this Act concerning restrictive indorsements a representative, including a depository or collecting bank, who has in good faith and in accordance with the reasonable commercial standards applicable to the business of such representative dealt with an instrument or its proceeds on behalf of one who was not the true owner is not liable in conversion or otherwise to the true owner beyond the amount of any proceeds remaining in [its] hands.”

As to restrictive indorsements,¹ the UCC states that, where there is an indorsement such as “for deposit,” the transferee “must pay or apply any value given by him for or on the security of the instrument consistently with the indorsement and to the extent that [it] does so [it] becomes a holder for value” (UCC 3-206 [3]). SBU’s primary argument is that it is not liable under B.D.G.S.’s claim for money had and received because it complied with the restrictive indorsements on the checks.

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1. “An indorsement is restrictive which either
“ (a) is conditional; or
“ (b) purports to prohibit further transfer of the instrument; or
“ (c) includes the words ‘for collection’, ‘for deposit’, ‘pay any bank’, or like terms signifying a purpose of deposit or collection;
or
“ (d) otherwise states that it is for the benefit or use of the indorser or of another person” (UCC 3-205).

Section 3-419 (3) limits the liability of representatives—including, as relevant here, depository banks.² As long as the bank complies with any restrictive indorsements and acts in good faith and in accordance with reasonable commercial standards, its liability will be limited to “the amount of any proceeds remaining in [its] hands” (UCC 3-419 [3]). Since the statute provides that the bank will not be “liable in conversion or otherwise,” the defense applies to a claim for money had and received.

SBU argues that compliance with the restrictive indorsements is tantamount to acting in accordance with reasonable commercial standards under the statute. In support of this argument, SBU relies on *Spielman v Manufacturers Hanover Trust Co.* (60 NY2d 221 [1983]). In that case, an attorney forged the payee’s indorsement on a settlement check made out to a law firm, and the drawer of the check commenced an action against the depository bank.

Spielman is inapposite. Most notably, the party bringing suit in *Spielman* was the drawer of the check, rather than—as here—the payee. The Court observed that a drawer generally will not have a cause of action against a depository bank; “either the forgery is effective to transfer the instrument . . . [or] the depository has received nothing of the drawer for which the drawer may recover” (*Spielman*, 60 NY2d at 224). In those situations, the drawer’s cause of action is against the drawee. However, the drawer will be permitted to recover from the depository bank in the limited circumstances “when the depository has acted wrongfully and yet the drawee has acted properly in honoring the check because the forgery is effective” (*Spielman*, 60 NY2d at 225, citing *Underpinning & Found. Constructors v Chase Manhattan Bank, N.A.*, 46 NY2d 459, 466 [1979]). There are no such limitations placed on a payee’s ability to sue the depository.

SBU places great emphasis on *Spielman*’s holding that

“[i]t is the direction to deposit to the account of the customer and the bank’s action in honoring that direction which . . . establishes that the bank’s action accorded with reasonable business practice for there are many instances in which a family member or a business may indorse for deposit funds to the

2. A depository bank is “the first bank to which an item is transferred for collection even though it is also the payor bank” (UCC 4-105 [a]).

credit of another and a depositary is not on notice of chicanery because of it nor is it liable if it faithfully follows such a direction” (*Spielman*, 60 NY2d at 228).

However, *Spielman* did not deal with section 3-419 (3). In addition, it did not hold that, in all cases, compliance with restrictive indorsements is commercially reasonable. Plainly, there are situations where following the indorsements would not be reasonable. For example, it would not be reasonable for a bank to deposit a check according to restrictive indorsements that it had good cause to know were forged. Thus, compliance with such indorsements cannot be considered commercially reasonable as a matter of law under all circumstances.

In this case, the record supports the affirmed findings that SBU’s actions were not commercially reasonable. There was expert testimony concerning aspects of the transactions at issue that should have raised red flags for SBU. Further, there was testimony indicating that the bank did not comply with its own procedures for handling business checks. As a result, the Appellate Division properly determined that SBU did not act in accordance with reasonable commercial standards.

SBU also argues that it was entitled to judgment as a matter of law because B.D.G.S. did not prove that the bank retained any of the proceeds of the checks. If correct, SBU would be immunized from liability since it is apparently undisputed that SBU no longer retains the proceeds. This argument also lacks merit.

As noted above, section 3-419 (3) limits a depositary bank’s liability on an action for money had and received only when the bank satisfies the statutory criteria—compliance with restrictive indorsements, good faith and acting in accordance with reasonable commercial standards. Since SBU did not satisfy all of the above criteria, because it did not act in conformity with reasonable commercial standards, the defense is unavailable and the bank’s liability is not limited to the amount of the proceeds remaining in its possession.

Rather, SBU’s liability is determined by the common-law action for money had and received as it existed prior to the enactment of the UCC. This Court has previously noted that when the Legislature enacted section 3-419, it “did not intend to abrogate the payee’s pre-Code common-law rights to sue in assumpsit, for money had and received or unjust enrichment” (*State of New York v Barclays Bank of N.Y.*, 76 NY2d 533, 540

[1990]). Under pre-UCC case law, the bank was liable for the entire amount of the check (see *Henderson v Lincoln Rochester Trust Co.*, 303 NY 27, 32-33 [1951]).³ According to that rationale, when a bank took a check for collection, it had

“an obligation to pay the proceeds collected to the true payee owner *in the absence of a valid indorsement*. The moment the collecting bank receives the proceeds it holds money belonging to the owner of the check and becomes a debtor of such owner and of no one else in the absence of a valid indorsement” (*Henderson*, 303 NY at 33).

Thus, it is clear that, under these circumstances, SBU’s liability is not limited to the amount of proceeds remaining in its possession.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and SMITH concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

3. This Court has previously questioned, but not decided, whether a depository bank is liable to a payee given the “immunization language” of UCC 3-419 (3) and whether a bank is still liable in contract beyond the retained proceeds (see *Hechter v New York Life Ins. Co.*, 46 NY2d 34, 38 n 3 [1978]; *Hutzler v Hertz Corp.*, 39 NY2d 209, 217 n 3 [1976]). As stated above, a bank’s liability is limited when it meets the section 3-419 (3) criteria. However, when it does not, the pre-UCC *Henderson* rule still applies.

[861 NE2d 98, 828 NYS2d 283]

NITZA KEANE, Appellant, v FRANK M. KEANE, Respondent.

Decided December 21, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 26, 2006. The Appellate Division order (1) modified, insofar as appealed from, on the law and the facts, a judgment of the Supreme Court, Westchester County (Robert A. Spolzino, J.), that had awarded plaintiff maintenance in the sum of \$1,292 per month through December 1, 2010, and \$471 per month thereafter, granted her a distributive award in the sum of \$57,600, plus monthly payments of \$2,000 until September 2012, awarded her the furnishings contained in the marital residence, and denied her an award of attorneys' fees; (2) affirmed an order of that Supreme Court (Robert A. Neary, J.), that had denied plaintiff's motion to vacate portions of the judgment of divorce; and (3) remitted the matter to Supreme Court to recalculate the maintenance award and for distribution of the furnishings contained in the marital residence. The modification consisted of (1) deleting the provision of the judgment awarding the plaintiff maintenance in the sum of \$1,292 per month through December 1, 2010, and (2) deleting the provision thereof awarding plaintiff the furnishings contained in the marital residence. The following question was certified by the Appellate Division: "Was the decision and order of this court dated January 26, 2006, properly made?"

Keane v Keane, 25 AD3d 729, modified.

HEADNOTES

**Husband and Wife — Equitable Distribution — Maintenance —
Double Counting of Income Derived from Tangible, Income-
Producing Asset Not Precluded**

1. In a divorce action, a tangible, income-producing asset distributed as marital property may also be considered a source of income for maintenance purposes. Valuation of an income-producing property will necessarily take into account the income-producing capacity of that property. To prevent any income derived from any income-producing property from being "double counted" would limit the trial court's discretion in equitably distributing marital property and awarding maintenance. Accordingly, the Appellate Division erred in vacating an award of maintenance on the ground that a portion of the husband's income, considered in determining maintenance, derived from the rental of certain real property awarded to the husband during distribution.

Mortgage payments received by the husband, in contrast, were properly distributed as an asset and not counted for maintenance purposes because the payments themselves were the marital asset.

Husband and Wife — Equitable Distribution — Separate Property

2. Any furnishings in the marital residence that were the husband's separate property, having been gifts from his parents, should not have been distributed to the wife.

Appeal — Court of Appeals — Scope of Review

3. The Court of Appeals is precluded from reviewing affirmed findings of fact unless there is a question of legal sufficiency of the evidence (NY Const, art VI, § 3). Because the record in a matrimonial action was sufficient to support the affirmed facts and the courts below did not abuse their discretion in refusing to award plaintiff attorneys' fees, the Court of Appeals was precluded from addressing her allegations and arguments that defendant and his trial attorney made false representations to Supreme Court and that the fact findings of Supreme Court and the Appellate Division were erroneous.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 698, 774; AM JUR 2d, Divorce and Separation §§ 477-480, 484, 485, 501, 510, 511, 519, 530, 548, 549, 553, 574, 580, 581.
CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:96, 71:134, 71:135; CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:57, 118:58, 118:155, 118:156, 118:183, 118:189, 118:190.
3 LAW AND THE FAMILY NEW YORK (2d ed) § 2:4; 3B LAW AND THE FAMILY NEW YORK (2d ed) §§ 19:24, 19:26.
MCKINNEY's, NY Const, art VI, § 3.
NY JUR 2d, Appellate Review §§ 184, 663, 667, 745-749; NY JUR 2d, Domestic Relations §§ 2388, 2390, 2469, 2472, 2476, 2477, 2481-2483, 2486, 2489, 2492, 2496-2498.
SIEGEL, NY PRAC §§ 528-530.

ANNOTATION REFERENCE

See ALR Index under Alimony; Appeal and Error; Divorce and Separation; Equitable Distribution.

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Database: NY-ORCS

Query: divorce & income-producing /2 asset /p distribut!

POINTS OF COUNSEL

Nitza Keane, appellant pro se. I. Appellant's rights were deprived under the 14th Amendment of the Constitution. (*Mat-*

ter of Tamara B. v Pete F., 220 AD2d 318; *Matter of Ballroom Prods. v Abrams*, 96 AD2d 1099; *Matter of Deutsch v Deutsch*, 59 AD2d 741; *Belesi v Connecticut Mut. Life Ins. Co.*, 272 AD2d 353, 95 NY2d 886.) II. The *Grunfeld* rule was erroneously applied to the facts of this case. (*Grunfeld v Grunfeld*, 94 NY2d 696.) III. The double-dipping fallacy viewed by neighboring states should be relevant to New York because of its unfairness. IV. Respondent's incredible and unbelievable testimony regarding the Madison, Connecticut property should be denied as a matter of law. V. There was legal error regarding attorneys' fees for appellant. VI. The court did not fail to award respondent his separate property. VII. The determination involved as to 9 Bayview Place, Madison, Connecticut is reviewable as a matter of law. VIII. Appellant was denied tax benefits, while respondent received all tax benefits under equitable distribution as a matter of law. IX. A miscalculation by the trial court resulted in appellant receiving less than her entitled distributive award.

Emanuel A. Towns, Brooklyn, for appellant. I. Respondent's trial testimony on the 9 Bayview Place dispute was incredible as a matter of law. (*Loughlin v City of New York*, 186 AD2d 176; *Sullivan v Pilevsky*, 281 AD2d 410; *Carr v Burnwell Gas of Newark, Inc.*, 23 AD3d 998.) II. Respondent's trial counsel's false representations were prejudicial, as a matter of law. (*Schindler v Issler & Schrage*, 262 AD2d 226; *Heller v Louis Provenzano, Inc.*, 257 AD2d 378.) III. Though appellant's counsel did not ask for a continuance or adjournment to meet this concocted story, the missing witness charge should have been granted as a matter of law. (*People v Gonzalez*, 68 NY2d 424; *People v Savinon*, 100 NY2d 192; *Heller v Louis Provenzano, Inc.*, 257 AD2d 378.) IV. The trial court misapplied the legal principle applicable to the 9 Bayview Place controversy, thus arriving at an erroneous conclusion. (*Heine v Heine*, 176 AD2d 77; *DeJesus v DeJesus*, 90 NY2d 643; *Price v Price*, 69 NY2d 8; *Majauskas v Majauskas*, 61 NY2d 481; *McKinster v Babcock*, 26 NY 378.) V. The Appellate Division erroneously applied the *Grunfeld* rule to the facts of this case. (*Grunfeld v Grunfeld*, 94 NY2d 696; *McSparron v McSparron*, 87 NY2d 275; *Holterman v Holterman*, 3 NY3d 1.) VI. New York's statutory scheme requires this Court to limit its *Grunfeld* ruling to the special circumstances of the professional license. (*Matter of Excellus Health Plan v Serio*, 2 NY3d 166; *Gilman v Tucker*, 128 NY 190; *Matter of Ahlers v Clement*, 141 App Div 891, 201 NY 592; *Smull v Delaney*, 175 Misc 795; *People ex rel. Sheldon v Board of Appeals of City of N.Y.*, 234 NY 484; *People ex rel. Barnes v Warden of Workhouse*, 127 Misc 224;

Wait v Van Allen, 22 NY 319; *Hyatt v Taylor*, 42 NY 258.) VII. Neighboring state courts have recently considered the double-dipping fallacy and have decided its broad application promotes egregious unfairness. (*Grunfeld v Grunfeld*, 94 NY2d 696.) VIII. The double-dipping fallacy has caused state courts substantial difficulty because they have not understood the principle's fundamental flaw. IX. A miscalculation by the trial court resulted in appellant receiving less than her entitled distributive award. X. The Court below erroneously made a determination on appellant Nitza Keane's order to show cause. XI. The Court below erred in assigning credits for the commercial properties. XII. The failure of the trial court to award counsel fees in this contentious divorce action is without basis. XIII. Respondent offered no proof of his separate property claim at the trial level.

Berman Bavero Frucco & Gouz P.C., White Plains (Howard Leitner of counsel), for respondent. I. When an income-producing asset is distributed equally, any maintenance awarded from the income of that asset constitutes double counting regardless of the nature of the asset. (*McSparron v McSparron*, 87 NY2d 275; *Grunfeld v Grunfeld*, 94 NY2d 696; *Miness v Minness*, 229 AD2d 520; *Amodio v Amodio*, 70 NY2d 5; *Rice v Rice*, 222 AD2d 493; *Ferraro v Ferraro*, 257 AD2d 596; *Dempster v Dempster*, 236 AD2d 582, 90 NY2d 806; *Matter of Penepent Corp.*, 198 AD2d 782; *L'Esperance v L'Esperance*, 243 AD2d 446; *Matter of Reckson Operating Partnership v Assessor of Town of Greenburgh*, 2 Misc 3d 1005[A], 2004 NY Slip Op 50153[U].) II. New York's statutory scheme does not require limitation of *Grunfeld v Grunfeld* (94 NY2d 696 [2000]) and *McSparron v McSparron*'s (87 NY2d 275 [1995]) prohibition against double counting to professional licenses. (*Gaglio v Molnar-Gaglio*, 300 AD2d 934; *Sodaro v Sodaro*, 286 AD2d 434; *Murphy v Murphy*, 6 AD3d 678.) III. Besides being antithetical to this Court's rulings, the foreign state rulings relied upon by appellant have no relevance to this State's experience. (*McSparron v McSparron*, 87 NY2d 275; *Grunfeld v Grunfeld*, 94 NY2d 696.) IV. The determination involving 9 Bayview Place is not reviewable by this Court; in any event, there is no basis for setting the determination aside. (*Glenbriar Co. v Lipsman*, 5 NY3d 388; *Matter of City of New York [Fifth Ave. Coach Lines]*, 22 NY2d 613; *St. Agnes Cemetery v State of New York*, 3 NY2d 37; *Matter of Schilling v Garguilo*, 49 NY2d 817; *People v Savinon*, 100 NY2d 192; *Matter of Tamara B. v Pete F.*, 220 AD2d 318; *Matter of Ballroom Prods. v Abrams*, 96 AD2d 1099; *Matter of Deutsch v Deutsch*,

59 AD2d 741; *Matter of Commercial Structures v City of Syracuse*, 97 AD2d 965; *McGovern v Getz*, 193 AD2d 655.) V. The distributive award was correctly calculated. VI. There was no legal error regarding attorneys' fees. (*Patron v Patron*, 40 NY2d 582.) VII. The trial court failed to award respondent his separate property.

OPINION OF THE COURT

ROSENBLATT, J.

In *Grunfeld v Grunfeld* (94 NY2d 696 [2000]) and *McSparron v McSparron* (87 NY2d 275 [1995]), we made clear that in divorce actions a court should not twice count the income associated with a professional license, an intangible asset, when making distributive and maintenance awards. We are now called upon to determine whether this principle extends to the distribution of a tangible, income-producing asset and the subsequent award of maintenance from income deriving from that asset. It does not.

I.

The parties, in their early 60s at the time of trial, were married for 30 years. During the marriage, the wife had no outside employment and the husband was sole shareholder in a real estate entity (FMK Realty, Inc.) with two assets. One of these assets was a parcel leased to a car repair shop, providing monthly rental income. The other was a mortgage note, yielding monthly income.

In 1981, the husband and his two siblings inherited a vacation property in Madison, Connecticut. He held sole title to that property as of trial, through a transfer without consideration* and only as his siblings' designee for tax purposes, making the vacation home his separate property (*see Domestic Relations Law* § 236 [B] [1] [d] [1]) save for any appreciation due to the wife's efforts (*see Domestic Relations Law* § 236 [B] [1] [d] [3]; *Price v Price*, 69 NY2d 8, 17-18 [1986]).

The parties stipulated that, upon divorce, the marital assets should be equally distributed. During trial, the husband's appraiser valued the body shop rental property at \$290,000 using

* Although the deed suggested that the husband paid his siblings \$100,000 for their shares of the property, the courts below found otherwise (*see M'Crea v Purmort*, 16 Wend 460 [1836] [recitation of value in the deed is merely prima facie evidence that consideration was exchanged]). There is no evidence that this amount was in fact paid.

a capitalization of income approach, thus necessarily taking into account the monthly rental income to be received through the lease term. A market value approach valued the property at \$324,000. The Madison residence was valued at \$1,050,000, or \$990,000 more than its value in 1980, just before the husband and his siblings inherited it.

Supreme Court awarded the wife maintenance of \$1,292 per month to continue through December 2010 (coinciding with the end of the body shop lease term) and \$471 per month thereafter (to equalize the parties' Social Security benefits). In addition, the court granted her a distributive award of \$57,600 plus monthly payments of \$2,000 through September 2012 (to distribute the value of the mortgage as received over time). The court awarded the marital home (\$275,500 by stipulation) to the wife, along with its furnishings. The body shop property went to the husband, as did the vacation home, except the value of the appreciation of the husband's original one-third interest reasonably determined to be due to the wife's efforts.

The Appellate Division modified, over a partial dissent, by deleting the \$1,292 monthly maintenance award, reasoning that it derived from impermissible "double counting" of the husband's income from the rental property after that income had been included in the valuation of the previously distributed property (25 AD3d 729 [2d Dept 2006]). The Court also deleted the award of the furnishings in the marital home to the wife, because the record showed that some of the furnishings had been gifts to the husband and therefore did not qualify as marital property. The Court then certified the legal questions to us. We agree as to the furnishings, but disagree as to the maintenance and now remit to Supreme Court.

II.

In the landmark case of *O'Brien v O'Brien* (66 NY2d 576 [1985]), we held that professional licenses could constitute marital property subject to distribution at divorce. Subsequently, courts began allowing such licenses to "merge" into the licensee's career so they would not be considered marital property. We rejected this doctrine in *McSparron v McSparron* (87 NY2d 275, 285 [1995]) "in favor of a commonsense approach that recognizes the ongoing independent vitality that a professional license may have and focuses solely on the problem of valuing that asset in a way that avoids duplicative awards." In other words, although the license cannot merge into or reemerge

from the holder's career, the value of the license should not overlap with the value of other marital assets derived from it or maintenance awards based on the income it produces.

We applied this prohibition against double counting for the first time in *Grunfeld v Grunfeld* (94 NY2d 696 [2000]). In that case, we modified and remitted to Supreme Court after the Appellate Division improperly decided that half the value of the defendant's law license should have been distributed to the plaintiff in addition to half the value of the defendant's law practice.

[1] Here, the Appellate Division cited *Grunfeld* and *McSparron* for the proposition that *any* income-producing asset distributed as marital property may not also be considered a source of income for maintenance purposes. Citing those two cases, the Court vacated Supreme Court's maintenance award because a portion of the husband's income, considered in determining maintenance, derived from the rental of the body shop property awarded to the husband during distribution. We now reverse that aspect of the Appellate Division's order and remit for Supreme Court to reinstate its maintenance determination.

We do not see why an inquiry as to double counting should depend on the valuation method used. After all, any valuation of an income-producing property will necessarily take into account the income-producing capacity of that property. To prevent any income derived from any income-producing property from being "double counted" would, therefore, significantly limit the trial court's considerable discretion in equitably distributing marital property and awarding maintenance. Significantly, we have already differentiated between a professional license and tangible income-producing property, because

"where a professional license is at issue, '[t]he asset is totally indistinguishable and has no existence separate from the projected professional earnings from which it is derived' (*Grunfeld v Grunfeld*, 94 NY2d 696, 704 [2000]). Hence, a trial court must convert the enhanced earnings attributable to the license into a monetary marital asset to achieve equitable distribution. In contrast, a court can transfer title to real or personal property in order to equitably distribute the asset" (*Holterman v Holterman*, 3 NY3d 1, 9 n 5 [2004]).

We agree with dissenting Justice Goldstein that this distinction applies here.

Double counting may occur when marital property includes *intangible* assets such as professional licenses or goodwill, or the value of a service business. As we said in *Grunfeld*, “[i]n contrast to passive income-producing marital property having a market value, the value of a professional license as an asset of the marital partnership is a form of human capital dependant upon the future labor of the licensee” (94 NY2d at 704). It is only where “[t]he asset is totally indistinguishable and has no existence separate from the [income stream] from which it is derived” (*id.*) that double counting results.

Here, the rental property was split between the parties for distributive purposes. The rental income from that property was then considered in determining maintenance. The property will continue to exist, quite possibly in the husband’s hands, long after the lease term has expired, as a marketable asset separate and distinguishable from the lease payments. The mortgage payments, in contrast, were properly distributed as an asset and not counted for maintenance purposes because the payments themselves *were* the marital asset.

III.

[2] We agree with both the Appellate Division majority and dissent that Supreme Court must reconsider the distribution of the furnishings in the marital residence. The husband argued that some of the furnishings were gifts he received from his parents and therefore his separate property (*see* Domestic Relations Law § 236 [B] [1] [d] [1], [3]), but the trial court did not address this contention. If indeed some of these items are the husband’s separate property, they should not have been distributed to the wife.

[3] The wife also makes numerous allegations and arguments that the husband and his trial attorney made false representations to Supreme Court and that the fact findings of Supreme Court and the Appellate Division were erroneous. As a court of law we are precluded from reviewing affirmed findings of fact unless there is a question of legal sufficiency of the evidence (NY Const, art VI, § 3; *see also e.g. Glenbriar Co. v Lipsman*, 5 NY3d 388, 392 [2005]). As the record here is sufficient to support the affirmed facts and the courts below did not abuse their discretion in refusing to award the wife attorneys’ fees (Domestic Relations Law § 237; *cf. O’Shea v O’Shea*, 93 NY2d 187 [1999]), we cannot further address these points.

Accordingly, the order of the Appellate Division should be modified, with costs to plaintiff, by remitting to Supreme Court for further proceedings in accordance with this opinion, and as so modified, affirmed. The certified question should be answered in the negative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order modified, etc.

[862 NE2d 79, 830 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NORMAN BRADLEY, Also Known as BRADLEY NORMAN, Appellant.

Argued November 15, 2006; decided December 19, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 28, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles J. Tejada, J.), which had convicted defendant, upon a jury verdict, of aggravated criminal contempt (two counts), criminal contempt in the first degree (two counts), and assault in the third degree.

People v Bradley, 22 AD3d 33, affirmed.

HEADNOTE

Crimes — Right of Confrontation — Admission of Victim's Excited Utterance to Police Officer

Defendant's right of confrontation was not violated by the admission into evidence of a statement made in response to a question from a police officer, where the officer's evident reason for asking the question was to deal with an emergency. Accordingly, where the victim was unavailable to testify at trial, her out-of-court statement to the responding police officer at the crime scene that "her boyfriend threw her through a glass door" was properly admitted into evidence at trial as an excited utterance. The admission of a statement made out of court does not violate a defendant's Confrontation Clause rights (US Const 6th Amend; NY Const, art I, § 6) unless the out-of-court statement is "testimonial." The statement at issue here was not testimonial since it was made in the course of police interrogation under circumstances objectively indicating that the primary purpose of the interrogation was to enable police assistance to meet an ongoing emergency.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1168–1170; AM JUR 2d, Evidence §§ 865, 885.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3099, 172:3102, 172:3106.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

McKINNEY's, NY Const, art I, § 6.

NY JUR 2d, Criminal Law §§ 1911, 1932–1934, 2031.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Res Gestae.

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POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (Andrew C. Fine, Steven Banks and Laura R. Johnson of counsel), for appellant. The introduction of the nontestifying complainant's statement to a police officer accusing appellant of assaulting her deprived appellant of his right to be confronted with the witnesses against him. (*Crawford v Washington*, 541 US 36; *Ohio v Roberts*, 448 US 56; *Griffith v Kentucky*, 479 US 314; *People v Hardy*, 4 NY3d 192; *Pointer v Texas*, 380 US 400; *United States v Hinton*, 423 F3d 355; *United States v Summers*, 414 F3d 1287; *United States v Cromer*, 389 F3d 662; *United States v Hinton*, 423 F3d 355; *People v Robinson*, 97 NY2d 341.)

Robert M. Morgenthau, District Attorney, New York City (Susan Axelrod and Mark Dwyer of counsel), for respondent. Deborah Dixon's excited utterance given in response to Police Officer Steven Mayfield's preliminary question was not testimonial and was properly admitted at defendant's trial. (*Crawford v Washington*, 541 US 36; *People v Caviness*, 38 NY2d 227; *People v Edwards*, 47 NY2d 493; *White v Illinois*, 502 US 346; *People v Brown*, 70 NY2d 513.)

OPINION OF THE COURT

SMITH, J.

We hold that defendant's right of confrontation was not violated by the admission into evidence of a statement made in response to a question from a police officer, where the officer's evident reason for asking the question was to deal with an emergency.

Facts and Procedural History

Defendant was convicted of aggravated criminal contempt, criminal contempt in the first degree and assault in the third degree. The People claimed, and the jury found, that defendant had physically attacked his girlfriend, Debbie Dixon, at a time when two orders of protection directing him to stay away from Dixon were in force.

The People's only witness at trial was Officer Steven Mayfield. Mayfield testified that, in response to a 911 call, he ar-

rived at the door of an apartment and was met there by Dixon, who was visibly shaken, had blood on her face and clothing, was bleeding profusely from one hand, and walked with a noticeable limp. Mayfield testified: “I asked her what happened, and she stated her boyfriend threw her through a glass door.” Mayfield entered the apartment, found defendant there, and observed a glass door with several panes broken out of it and glass on the floor.

Because Dixon was unavailable at trial, the trial court allowed her statement, as recounted by Mayfield, into evidence as an “excited utterance.” Defendant appealed from his conviction, contending that the statement was admitted in violation of his Confrontation Clause rights. The Appellate Division affirmed, and we now affirm.

Discussion

The Sixth Amendment to the United States Constitution protects the right of every defendant in a criminal case “to be confronted with the witnesses against him.” Article I, section 6 of the New York Constitution also gives a right of confrontation, in virtually identical language. Our interpretation of the federal Confrontation Clause is controlled by the Supreme Court’s recent decisions in *Crawford v Washington* (541 US 36 [2004]) and *Davis v Washington* (547 US —, 126 S Ct 2266 [2006]). Defendant here relies on both the federal and state Confrontation Clauses, but does not suggest that the two be interpreted differently, and we therefore accept the holdings of *Crawford* and *Davis* as the basis for our decision under both constitutions.

It is clear from *Crawford* and *Davis* that the admission of a statement made out of court does not violate a defendant’s Confrontation Clause rights unless the out-of-court statement is “testimonial” (see *Davis*, 547 US at —, 126 S Ct at 2273). The Confrontation Clause, the Court said in *Crawford*, “applies to ‘witnesses’ against the accused—in other words, those who ‘bear testimony’ ” (541 US at 51 [citation omitted]). In *Crawford*, the Supreme Court made clear that a “formal statement to government officers” would qualify as testimonial, while a “casual remark to an acquaintance” would not, but did not adopt a definition of “testimonial” (*id.*). *Crawford* involved a witness’s “recorded statement,” given at a police station after *Miranda* warnings, “in response to structured police questioning”; the Court found that statement would qualify as testimonial “under any conceivable definition” (*id.* at 53 n 4).

Davis and its companion case, *Hammon v Indiana*, presented closer questions, and required the Court to define “testimonial” with more precision. *Davis* involved statements made during a 911 call by a victim of domestic violence who, in response to questions from the 911 operator, described an assault upon her as it was happening. *Hammon* involved a statement by the defendant’s wife taken after officers had come to the couple’s home; finding the situation calm when they arrived, the officers took the wife into a separate room, kept her husband away from her, and got a detailed account of what her husband had done. The Supreme Court held that the statements in *Davis* were not testimonial, but that those in *Hammon* were. The Court explained its holdings as follows:

“Statements are nontestimonial when made in the course of police interrogation under circumstances objectively indicating that the primary purpose of the interrogation is to enable police assistance to meet an ongoing emergency. They are testimonial when the circumstances objectively indicate that there is no such ongoing emergency, and that the primary purpose of the interrogation is to establish or prove past events potentially relevant to later criminal prosecution.” (547 US at —, 126 S Ct at 2273-2274.)

The facts of this case are between those in *Davis* and *Hammon*: Dixon was neither describing a present event as it occurred, nor responding to detailed questioning in a calm, secure setting. But under the test the Supreme Court stated in *Davis*, Dixon’s statement was clearly not testimonial. It was “made in the course of police interrogation under circumstances objectively indicating that the primary purpose of the interrogation [was] to enable police assistance to meet an ongoing emergency.” (547 US at —, 126 S Ct at 2273.)

When Mayfield, responding to a 911 call, arrived at Dixon’s door and was met by an emotionally upset woman smeared with blood, his first concern could only be for her safety. His immediate task was to find out what had caused the injuries so that he could decide what, if any, action was necessary to prevent further harm. Asking Dixon “what happened” was a normal and appropriate way to begin that task, and the officer promptly entered the apartment, as an officer dealing with an emergency would be expected to do.

Defendant emphasizes that Mayfield’s question to Dixon was in the past tense: He said “what happened?” not “what’s hap-

pening?” From this, and from the fact that no attacker was in sight at the moment, defendant would have us infer, in the words of *Davis*, that “there [was] no . . . ongoing emergency, and that the primary purpose of the interrogation [was] to establish or prove past events” We do not find the inference a likely one. The officer’s purpose in questioning Dixon is shown more persuasively by the facts that came to his attention—a 911 call, a distressed and injured woman—and by the action he took after Dixon answered his question—entering the apartment, without lingering to find out more detail—than by his choice of tense. Any responsible officer in Mayfield’s situation would seek to assure Dixon’s safety first, and investigate the crime second. Because Dixon’s statement was made when the officer could reasonably have assumed, and apparently did assume, that he had an emergency to deal with, her statement was not testimonial under *Crawford* and *Davis*.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and PIGOTT concur.

Order affirmed.

[863 NE2d 990, 831 NYS2d 738]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v GANESH
KISOON, Also Known as GANESH KISSON, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v LEON
MARTIN, III, Respondent.

Argued January 10, 2007; decided February 13, 2007

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 12, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Jaime A. Rios, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree, criminal possession of a controlled substance in the third degree and criminal possession of a controlled substance in the fifth degree; and (2) ordered a new trial.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 3, 2006. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Erie County (Penny M. Wolfgang, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the third degree; and (2) granted a new trial on the first and third counts of the indictment.

People v Kisoan, 23 AD3d 18, affirmed.

People v Martin, 26 AD3d 847, affirmed.

HEADNOTES

Crimes — Jurors — Notice to Counsel of Substantive Inquiry from Jury — Mode of Proceedings Error

1. In each of two separate criminal prosecutions, the trial court committed a mode of proceedings error when it failed to disclose, or significantly paraphrased, a jury note. The trial court's core responsibility under CPL 310.30 is both to give meaningful notice to counsel of the specific content of the jurors' request—in order to ensure counsel's opportunity to frame intelligent suggestions for the fairest and least prejudicial response—and to provide a meaningful response to the jury. In the first prosecution where the jury sent the court a note that they were deadlocked 10 to 2, the court's failure to read the note verbatim, which resulted in a denial of the right to participate in the

charging decision, was inherently prejudicial. In the second prosecution where the jury sent the court three separate notes, the trial court's error in failing to notify counsel or to respond to the jury's first note was not cured by the court's subsequent instructions to the jury. In responding to requests from the jury, trial courts should adhere to the procedure outlined in *People v O'Rama* (78 NY2d 270 [1991]).

Crimes — Appeal — Preservation of Issue for Review — Failure to Fulfill Core Responsibility — Notice to Counsel of Substantive Inquiry from Jury

2. In each of two separate criminal prosecutions wherein defense counsel failed to object to the court's handling of notes from the jury, the trial court's failure to fulfill a core responsibility, including the failure to disclose the jury note or significant paraphrase thereof, was not subject to rules of preservation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 690, 691; AM JUR 2d, Trial §§ 1448, 1692.
 CARMODY-WAIT 2d, Criminal Procedure §§ 172:3775–172:3779, 172:4342, 172:4343, 172:4470, 172:4471.
 LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.8, 24.9.
 MCKINNEY's, CPL 310.30.
 NY JUR 2d, Criminal Law §§ 2518–2520, 3125, 3137, 3146.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Instructions to Jury; Jury and Jury Trial.

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Donna Aldea and John M. Castellano of counsel), for appellant in the first above-entitled action. The Appellate Division erred in holding that defendant's complaint that the trial court failed to read the jury note to him verbatim was not subject to either the preservation requirement or harmless error analysis. (People v O'Rama, 78 NY2d 270; People v Malloy, 55 NY2d 296; People v Gonzalez, 293 NY 259; People v Cook, 85 NY2d 928; People v Michael, 48 NY2d 1; People v Jackson, 196 NY 357; People v Jones, 81 AD2d 22; People v Starling, 85 NY2d 509; People v DeRosario, 81 NY2d 801; People v Battle, 15 AD3d 413.)

William G. Kastin, New York City, and *Lynn W.L. Fahey* for respondent in the first above-entitled action. The Appellate Division properly reversed Mr. Kisoos's conviction because the failure to notify counsel that the jury deadlock note indicated a 10 to 2 vote for conviction or otherwise accurately convey its content and tone was a "mode of proceedings" error. (*People v O'Rama*, 78 NY2d 270; *People v Cook*, 85 NY2d 928; *United States v Ronder*, 639 F2d 931; *People v Coons*, 75 NY2d 796; *People v Jones*, 278 AD2d 805; *People v Guzman*, 259 AD2d 632; *People v Heath*, 234 AD2d 388; *People v Wiemeier*, 222 AD2d 972; *People v Tavares*, 212 AD2d 646; *People v Bici*, 211 AD2d 804.)

Frank J. Clark, District Attorney, Buffalo (*Donna A. Milling* and *J. Michael Marion* of counsel), for appellant in the second above-entitled action. I. Defendant was not prejudiced as a result of the court's failure to respond to the jury's note and error, if any, is harmless. (*People v Lourido*, 70 NY2d 428; *People v Agosto*, 73 NY2d 963; *People v Miller*, 6 NY2d 152; *People v Jackson*, 20 NY2d 440, 391 US 928; *People v Cooke*, 292 NY 185; *People v Malloy*, 55 NY2d 296, 459 US 847; *People v Burgos*, 248 AD2d 547, 92 NY2d 923; *People v Almodovar*, 62 NY2d 126; *People v Phillips*, 258 AD2d 393, 93 NY2d 976; *People v Agosto*, 73 NY2d 963.) II. Defendant's claim that the court violated *People v O'Rama* by paraphrasing the contents of a jury note is unpreserved for appellate review. (*People v O'Rama*, 78 NY2d 270; *People v Cook*, 85 NY2d 928; *People v Starling*, 85 NY2d 509; *People v DeRosario*, 81 NY2d 801; *People v Cintron*, 273 AD2d 84, 95 NY2d 889; *People v Jones*, 247 AD2d 272, 92 NY2d 927; *People v Kisoos*, 23 AD3d 18; *People v Parker*, 304 AD2d 146, 100 NY2d 585; *People v Schojan*, 272 AD2d 932, 95 NY2d 871.)

Thomas Theophilos, Buffalo, for respondent in the second above-entitled action. I. The Appellate Division correctly concluded that the trial court's *O'Rama* violations were so inherently prejudicial as to require a new trial and counsel was ineffective for failing to object to those violations. (*People v Henning*, 271 AD2d 813; *People v Gonzalez*, 293 NY 259; *People v Morse*, 182 AD2d 781; *People v Curet*, 256 AD2d 1017; *United States v Robinson*, 560 F2d 507; *People v O'Rama*, 78 NY2d 270; *People v Cook*, 85 NY2d 928; *People v Heath*, 234 AD2d 388; *United States v Ronder*, 639 F2d 931; *People v Sanchez*, 244 AD2d 922.) II. Defendant was absent from the court's recharge of count 3 mandating reversal of the conviction. The Appellate Division erred when it failed to reverse on this ground. (*United States v Toliver*, 330 F3d 607; *United States v Gagnon*, 470 US 522; *People v Ciaccio*, 47 NY2d 431; *People v Rodriguez*, 76

NY2d 918; *People v Mehmedi*, 69 NY2d 759; *People v Mullen*, 44 NY2d 1; *People v Caballero*, 221 AD2d 459; *People v Vargas*, 278 AD2d 807; *People v Velasquez*, 1 NY3d 44.)

OPINION OF THE COURT

Chief Judge KAYE.

In each appeal, we are asked to determine whether a trial court committed a mode of proceedings error when it failed to disclose, or significantly paraphrased, a jury note. We conclude that it did.

In *People v Kisoorn*, the People alleged that on June 5, 2001, defendant, from inside a parked car, sold an undercover police officer two plastic “twists” of cocaine for \$40 prerecorded buy money. The field team arrested defendant approximately one minute later. The police searched defendant and recovered \$20 of the buy money from defendant’s pocket and 40 bags of cocaine from his underwear.

During jury deliberations, the trial court received the following jury note: “We took a vote. We are not unanimous. We are 10 guilty to 2 not guilty on all three counts. Furthermore, we believe that further deliberation will not change our decision.” Outside the jury’s presence, the court told the parties that “[t]he jury has sent the Court a note saying that further deliberations are hopeless, that they are hopelessly deadlocked. Bring in the jury.” When the jurors were present in the courtroom, the court announced: “The jury sent the Judge a note, ‘We believe that further deliberation will not change our decision, 3:25 p.m.’ ” Without first consulting counsel or apprising counsel of its intended response, the court admonished the jurors to take their responsibility seriously and to continue deliberations. Defense counsel neither asked to see the note nor objected to the supplemental charge.

The next day, the jury convicted defendant of criminal sale of a controlled substance in the third degree, criminal possession of a controlled substance in the third degree and criminal possession of a controlled substance in the fifth degree. The Appellate Division in a three-two decision reversed defendant’s conviction and ordered a new trial, citing the trial court’s critical failure to disclose the jury vote. The dissent would have required preservation.

In *People v Martin*, the People alleged that, shortly before 2:00 A.M. on August 31, 1991, defendant stabbed Yolanda Kelly 53 times, killing her. Defendant claimed that he was justified, because the decedent had initiated the knife attack.

The trial court instructed the jury on the counts of intentional murder, depraved indifference murder and criminal possession of a weapon in the third degree, as well as the lesser-included crimes of manslaughter in the first and second degrees. During deliberations, the trial court, due to a clerical error, failed to read or respond to the jury's first note, which, in part, requested, "definitions of 3 counts."

Ten minutes later, the jury sent a second note, "Want a brief readback. First Count 3 points." The court called the jury into the courtroom, and without consulting counsel, addressed the jury: "I have your note, and I understand that you want me to read back the elements necessary on the first count, is that my understanding, okay?" The court then reread the intentional murder instruction, after which a juror stated, "Second count, as long as we're here." Again without objection from defense counsel, the trial court reread its depraved indifference murder charge.

Approximately one-half hour later, the jury sent out a third note, "reread elements of 3rd ct." The trial court again failed to notify counsel of the note's content before responding to the jury. The court stated, "I have your message, your note where you say please read the elements of the third count. Before I do that, I want to just double check with you, if you do mean the third count of the indictment or if you are referring to something else. Are you asking for the third count of the criminal possession of a weapon in the third degree?" After an affirmative response, the trial court then reread its weapons possession charge, and the jury returned a guilty verdict.

The Appellate Division initially affirmed defendant's convictions for intentional murder and criminal possession of a weapon in the third degree but later granted defendant's motion for a writ of error coram nobis. Concluding that the trial court had committed a mode of proceedings error, the Appellate Division, in a three-two decision, reversed defendant's conviction and ordered a new trial.

In each case, we affirm the order of the Appellate Division. The governing statute, CPL 310.30, provides:

"At any time during its deliberation, the jury may request the court for further instruction or information with respect to the law, with respect to the content or substance of any trial evidence, or with respect to any other matter pertinent to the jury's consideration of the case. Upon such a request, the court must direct that the jury be returned to the

courtroom and, *after notice to both the people and counsel for the defendant*, and in the presence of the defendant, must give such requested information or instruction as the court deems proper. With the consent of the parties and upon the request of the jury for further instruction with respect to a statute, the court may also give to the jury copies of the text of any statute which, in its discretion, the court deems proper” (emphasis added).

[1] As we made clear in *People v O’Rama* (78 NY2d 270, 277 [1991]), the trial court’s core responsibility under the statute is both to give meaningful notice to counsel of the specific content of the jurors’ request—in order to ensure counsel’s opportunity to frame intelligent suggestions for the fairest and least prejudicial response—and to provide a meaningful response to the jury. To those ends, we outlined the following procedure for dealing with jury notes:

“[W]henever a substantive written jury communication is received by the Judge, it should be marked as a court exhibit and, before the jury is recalled to the courtroom, read into the record in the presence of counsel. Such a step would ensure a clear and complete record, thereby facilitating adequate and fair appellate review. After the contents of the inquiry are placed on the record, counsel should be afforded a full opportunity to suggest appropriate responses . . . [T]he trial court should ordinarily apprise counsel of the substance of the responsive instruction it intends to give so that counsel can seek whatever modifications are deemed appropriate *before* the jury is exposed to the potentially harmful information. Finally, when the jury is returned to the courtroom, the communication should be read in open court so that the individual jurors can correct any inaccuracies in the transcription of the inquiry and, in cases where the communication was sent by an individual juror, the rest of the jury panel can appreciate the purpose of the court’s response and the context in which it is being made” (*id.* at 277-278).

[2] As the Appellate Division observed in *Kisoon*,

“[t]here are few moments in a criminal trial more critical to its outcome than when the court responds to a deliberating jury’s request for clarification of the law or further guidance on the process of

deliberations. Indeed, the court's response may well determine whether a verdict will be reached, and what that verdict will be (*see People v Ciaccio*, 47 NY2d 431, 436 [1979])" (*People v Kisoan*, 23 AD3d 18, 20 [2d Dept 2005]).

Although we have recognized that some departures from the procedures outlined in *O'Rama* may be subject to rules of preservation (*People v DeRosario*, 81 NY2d 801 [1993]; *People v Starling*, 85 NY2d 509 [1995]), a failure to fulfill the court's core responsibility is not. Here, neither case is distinguishable from *O'Rama*.

[1] In *Kisoan*, as in *O'Rama*, failure to read the note verbatim deprived counsel of the opportunity to accurately analyze the jury's deliberations and frame intelligent suggestions for the court's response. Counsel might have requested, for example, an *Allen* charge stressing the importance of individual jurors not surrendering conscientiously held views merely for the purpose of returning a verdict. As in *O'Rama*, the "court's failure to notify counsel of the note's contents, which resulted in a denial of the right to participate in the charging decision, was inherently prejudicial" (78 NY2d at 280).

In *Martin*, too, we conclude that defendant was denied his core right to the assistance of counsel in responding to the jury's request. While it is undisputed that the trial court erred in failing to notify counsel or to respond to the jury's first note, the People argue that the court's subsequent instructions to the jury cured the error. The first, undisclosed jury note requested "definitions of 3 counts." Without reaching the trial court's treatment of the second and the third notes, we cannot say with requisite certainty that the jury request for "definitions" was cured by the court's later responses (*see People v Lykes*, 81 NY2d 767, 768-769 [1993] [where jury requested "(l)egal (t)erminology," and court asked whether it wanted "the legal definition of each crime . . . or . . . the elements repeated"]).

Finally, though it hardly needs restating, we underscore the desirability of adherence to the procedures outlined in *O'Rama*.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ and SMITH concur; Judges FIGOTT and JONES taking no part.

In each case: Order affirmed.

[863 NE2d 96, 831 NYS2d 92]

In the Matter of SHEENA D. and Others. NIAGARA COUNTY
DEPARTMENT OF SOCIAL SERVICES, Respondent; DARWIN F.,
Appellant.

Argued January 4, 2007; decided February 13, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 17, 2006. The Appellate Division affirmed an order of fact finding and disposition of the Family Court, Niagara County (John F. Batt, J.), which had (1) adjudged that Chase F. and Vincent F. were neglected children and that Sheena D. was an abused child; and (2) ordered that respondent stay away from Chase F. and Vincent F. until their eighteenth birthdays.

Matter of Sheena D., 27 AD3d 1128, modified.

HEADNOTE

Parent and Child — Order of Protection — Duration

In a child protective proceeding, Family Court did not have the authority to issue orders of protection in favor of respondent father's children until they reached the age of 18 where the fact-finding dispositional order incorporating the orders of protection had no expiration date. Family Court Act § 1056 (1), which prohibits the issuance of an order of protection that exceeds the duration of any other dispositional order in the case, was intended to place a temporal limitation on all orders of protection issued pursuant to Family Court Act article 10 in order to effectuate periodic court review. Here, the orders of protection had the effect of cutting off respondent's presumptive rights to visitation without periodic review. Only after periodic hearings may a court extend orders of protection until a child reaches the age of 18. Such court oversight and periodic review of orders of protection should take place whether or not the underlying dispositional order contains an expiration date.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Infants § 30.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:116, 119A:118.

6 LAW AND THE FAMILY NEW YORK (2d ed) § 9:86.

McKINNEY's, Family Ct Act § 1056 (1).

NY JUR 2d, Domestic Relations §§ 1760, 1761.

ANNOTATION REFERENCE

See ALR Index under Neglect of Child; Protective Orders.

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POINTS OF COUNSEL

Alan P. Reed, Canandaigua, for appellant. I. The appellate court erred in importing findings in a time frame beyond any ostensible period of appellant being a legally responsible person. (*Matter of Jasmine A.*, 18 AD3d 546; *Matter of Jessica S.*, 18 AD3d 562; *Matter of Koran C.*, 26 AD3d 328; *Di Simone v Good Samaritan Hosp.*, 100 NY2d 632; *Fidelity & Deposit Co. of Md. v Andersen & Co.*, 60 NY2d 693; *Matter of Ashley AA.*, 212 AD2d 937; *Matter of Christina A.*, 216 AD2d 928.) II. The Appellate Division overstates the record that grounds were stated in the record in supporting the orders of protection as the Court's disposition under Family Court Act § 1052 (b) (i). (*Matter of Jasmine N.*, 15 AD3d 491; *Matter of Ice S.*, 30 AD3d 428; *Matter of Crowell v Livziey*, 20 AD3d 923.) III. The Appellate Division erred in failing to apply the constitutional standards as set forth in *Santosky v Kramer* (455 US 745 [1982]) and *Matter of Tammie Z.* (66 NY2d 1 [1985]). (*Matter of Esther CC.*, 194 AD2d 949; *Matter of Erin G.*, 139 AD2d 737; *Matter of Sarah S.*, 9 Misc 3d 1109[A]; *Matter of Le Favour v Koch*, 124 AD2d 903; *Matter of Nassau County Dept. of Social Servs. v Denise S.*, 173 AD2d 830; *Matter of Walter K.*, 15 AD3d 404.) IV. The Appellate Division was in error to relieve itself and the lower court of the ruling in *Matter of Yolanda D.* (88 NY2d 790 [1996]) in applying factors to determine whether a person is a "legally responsible person." (*Matter of Jessica QQ.*, 200 AD2d 887; *Matter of Catherine G. v County of Essex*, 3 NY3d 175.)

Thomas W. Scirto, Lockport, for respondent. I. It was established that appellant was legally responsible for Sheena D. and had abused her. (*Matter of Yolanda D.*, 88 NY2d 790; *Matter of Tammie Z.*, 66 NY2d 1; *Matter of H. Children*, 276 AD2d 485; *Matter of Shaylee R.*, 13 AD3d 1106; *Matter of Nichole SS.*, 296 AD2d 618; *Matter of Mary Ellen P. v John R.*, 278 AD2d 750; *Matter of Emily PP.*, 274 AD2d 681; *Matter of Kimberly X.*, 133 AD2d 226; *Matter of Daniella HH.*, 236 AD2d 715; *Matter of Ramsay M.*, 17 AD3d 678.) II. Appellant was not prejudiced in Family Court failing to state the "specific sex offense" in its findings and failing to state grounds in its disposition. (*Matter of Jasmine N.*, 15 AD3d 491; *Matter of Jessica D.*, 208 AD2d 626; *Matter of Rachel G.*, 185 AD2d 382; *Matter of Christina A.*,

216 AD2d 928; *Matter of Ashley AA.*, 212 AD2d 937; *Matter of Nassau County Dept. of Social Servs. v Steven K.*, 176 AD2d 326.) III. Family Court had authority to issue the orders of protection for appellant's children until the boys reached the age of 18. (*Matter of Esther CC.*, 194 AD2d 949; *Matter of Chanel Monique L.*, 30 AD3d 424.)

Jeffrey M. Harrington, Lackawanna, Law Guardian. The Appellate Division acted within its authority when it made necessary findings in order to uphold a finding of neglect against appellant. (*Matter of Christine II.*, 13 AD3d 922; *Matter of Rebecca X.*, 18 AD3d 896, 5 NY3d 707; *Matter of Devon W.*, 9 AD3d 830; *Matter of Yolanda D.*, 88 NY2d 790; *Matter of Christina A.*, 216 AD2d 928; *Matter of Nichole SS.*, 296 AD2d 618; *Matter of Shaylee R.*, 13 AD3d 1106; *Matter of Mary Ellen P. v John R.*, 278 AD2d 750; *Matter of Emily PP.*, 274 AD2d 681; *Matter of Nicole OO.*, 262 AD2d 808.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal we are asked to decide whether, pursuant to article 10 of the Family Court Act, Family Court had the authority to issue orders of protection in favor of respondent father's children until they reached the age of 18, as the fact-finding dispositional order incorporating the orders of protection had no expiration date. We conclude that Family Court was without authority to set the duration of the orders of protection as it did.

The Department of Social Services (DSS) filed a petition under article 10 of the Family Court Act alleging that Darwin F. abused his 16-year-old sister-in-law, Sheena D., and neglected his biological sons, Chase F. and Vincent F.¹ After a fact-finding hearing, on June 21, 2004 Family Court made a finding of abuse as to Sheena based on the following: in late August 2002 then 16-year-old Sheena moved in with her sister Jessica and her brother-in-law Darwin, and while Darwin was responsible for Sheena, he had sexual intercourse with her at his residence and at a hotel room where the family lived for a short time. The court made a derivative finding of neglect as to Chase, who was present during the sexual abuse, and direct findings of neglect

1. The abuse and neglect petition likewise named Jessica F., Sheena's sister and mother of Chase and Vincent, as a corespondent. A separate fact-finding and dispositional hearing occurred on July 8, 2004, not the subject of this appeal.

as to both Chase and Vincent, as Darwin also kept a loaded shotgun in the residence that was accessible to both boys—a baby and a toddler.² After the dispositional phase of the hearing, Family Court, in an order dated September 7, 2004, awarded custody of the boys to the mother, imposing no conditions, and issued orders of protection, entered on June 25, 2004, ordering Darwin to have no contact with Chase or Vincent until their respective eighteenth birthdays—14 and 16 years later. No dispositional order was entered as to Sheena as she had reached her eighteenth birthday.

Darwin appealed to the Appellate Division contending, among other things, that Family Court lacked the authority to order him not to have contact with his sons until their eighteenth birthdays. The Appellate Division disagreed, and affirmed, holding that Family Court had the authority to issue the orders of protection since “the order of fact-finding and disposition ha[d] no expiration date” (27 AD3d 1128, 1129 [4th Dept 2006]). We granted leave to appeal and now modify by remitting to Family Court to establish appropriate expiration dates with periodic court review.

Family Court Act § 1056 provides that a “court may make an order of protection in assistance or as a condition of any other order made under this part” (Family Ct Act § 1056 [1]). The statute did not originally provide a temporal limitation for an order of protection; it provided only that an order of protection be made for a “specified time” (*see* L 1970, ch 962, § 9). In *Matter of Erin G.* (139 AD2d 737 [2d Dept 1988]), the Appellate Division sustained Family Court’s issuance of an order of protection lasting until a child’s eighteenth birthday. The Court found that the duration of the order of protection was “rather extensive” but that the statute contained “no specification as to the duration of such orders” (*id.* at 739).

In response, the Legislature in 1989 amended section 1056 (1) to add the current language that an “order of protection shall remain in effect concurrently with, shall expire no later than the expiration date of, and may be extended concurrently with, such other order made under this part” (*see* L 1989, ch 220,

2. In a separate criminal proceeding, Darwin pleaded guilty to rape in the third degree (Penal Law § 130.25 [2]) and attempted use of a child in a sexual performance (Penal Law §§ 110.00, 263.05). He admitted to having sexual intercourse with Sheena when she was 16 years old. His wife, Jessica, also pleaded guilty to use of a child in a sexual performance (Penal Law § 263.05), admitting to taking photos of her sister involved in sexual activity.

§ 1). As such, Family Court Act § 1056 (1) prohibits the issuance of an order of protection that exceeds the duration of any other dispositional order in the case (*see* Family Ct Act § 1052 [a]).

The legislative history of the 1989 amendment evinces the Legislature's intent to place a temporal limitation on all orders of protection issued pursuant to article 10 in order to effectuate periodic court review. The Assembly Memorandum in Support of the amendment cites with disapproval Family Court's ability to issue orders of protection of extended duration without court review, and specifically cites *Matter of Erin G.* as an example of what the bill was intended to prohibit (*see also Matter of Gabriel A.*, 5 Misc 3d 479, 482 [Fam Ct, Queens County 2004]). As the Assembly Memorandum states:

“Other dispositional provisions of child protective proceedings have a limited duration and require a hearing for extension. Those provisions insure periodic court review of the need for extension, compliance with the order, and the progress of the family. Since an order of protection may exclude a parent from custody of his or her child, similar to an order of placement, the duration and review procedure should be similar” (Assembly Mem in Support, Bill Jacket, L 1989, ch 220).

Many agencies, including DSS, supported the amendment as the belief was that an open-ended or lengthy duration “could constitute unduly harsh punishment and intrusion into parental rights” (Mem of Dept of Social Servs, Bill Jacket, L 1989, ch 220).

Since the 1989 amendment, and despite the new statutory language that purports to limit the duration of orders of protection, some Family Courts have continued to issue orders against family members that run until a child's eighteenth birthday (*see Matter of Commissioner of Social Servs. [David G.]*, 233 AD2d 325 [2d Dept 1996]; *see also Matter of Esther CC.*, 194 AD2d 949 [3d Dept 1993] [upholding an order of protection indefinitely suspending visitation until the age of majority subject to modification if respondent father satisfied certain conditions]; *see also Matter of A.G.*, 253 AD2d 318 [1st Dept 1999]). In *Matter of Gabriel A.*, however, the court recognized that *Matter of Erin G.* had been superseded by statutory amendment.

Here, the Appellate Division cited to *Matter of Erin G.* in support of its affirmance of the orders of protection, concluding

that this was proper pursuant to Family Court Act § 1056 (1) since the order of fact-finding and disposition had no expiration date. It is thus useful to review the duration of dispositional orders that may be entered pursuant to Family Court Act § 1052 (a).

A court may order suspended judgment (*see* Family Ct Act § 1052 [a] [i]; § 1053) with a “maximum duration of any term or condition . . . [of] one year” (Family Ct Act § 1053 [b]). It may release the child to the custody of his parents or other legally responsible person (*see* Family Ct Act § 1052 [a] [ii]; § 1054), and it “may place the person to whose custody the child is released under supervision” (Family Ct Act § 1054 [a]) “for an initial period of no more than one year” (Family Ct Act § 1054 [b]). Family Court may “plac[e]” a child outside of the home (*see* Family Ct Act § 1052 [a] [iii]; § 1055) “until the court completes the initial permanency hearing” (Family Ct Act § 1055 [b] [i] [E]), which “in no event [may be] more than eight months from the date of removal of the child from his or her home” (Family Ct Act § 1055 [b] [i] [C]). Finally, the court may place a respondent under supervision (*see* Family Ct Act § 1052 [a] [v]; § 1057) “for an initial period of no more than one year” (§ 1057).

Thus, most dispositional orders pursuant to Family Court Act § 1052 (a) have a statutorily defined maximum duration of not more than one year. The statute is silent, however, when it comes to awarding custody of a child to a parent where no corresponding order of supervision has been entered (*see* Family Ct Act § 1052 [a] [ii]; § 1054).

The literal reading of the statute employed by the courts below had the effect of cutting off the father’s presumptive rights to visitation (*see* Family Ct Act § 1030 [c]) without periodic review as anticipated by the legislation. Professor Merrill Sobie in his Supplementary Practice Commentary writes that the result below is both “problematic, and puzzling” as it “would appear to be impossible; by operation of law every Article 10 dispositional [hearing] order expires at a date certain” (McKinney’s Cons Laws of NY, Book 29A, Family Ct Act § 1056, 2007 Pocket Part, at 184-185). Thus, only after periodic hearings may a court extend orders of protection until a child reaches 18—the limit specified by Family Court Act § 1056 (4) for persons “*not* related by blood or marriage to the child or a member of the child’s household” (Family Ct Act § 1056 [4] [emphasis supplied]). Such court oversight and

periodic review of orders of protection should take place whether or not the underlying dispositional order contains an expiration date.

In its dispositional order of September 7, 2004, Family Court released the two children to the custody of their mother with no specific expiration date³ and continued orders of protection against Darwin, their biological father, until the children attained their eighteenth birthdays. The court further declined every opportunity for court oversight, by indicating “N/A” next to “Progress Reports and Notices,” “Visitation Plans” and the like, and failed to provide for any periodic court review of the progress of the family by issuing orders of protection for such a protracted period (14 years and 16 years respectively). The court did not impose terms or conditions for treatment in order to address the situation presented. The order evinced no effort toward reuniting the children with their father, nor did it recite any mechanism that would allow father to bring the order of protection back before the court for modification.

We cannot interpret the Family Court Act as allowing for such unbridled discretion by reading Family Court Act § 1056 (1) to preclude periodic review of orders of protection. It seems unwise to treat this dispositional order and the accompanying orders of protection differently from an article 10 order placing the children outside the home. In both instances parties should be required to return to court on a regular basis to assess whether circumstances may warrant continued placement, continued orders of protection or reunification of the family.

Thus, a dispositional order that has no expiration date, such as the one here placing the children in the custody of the mother with no requirement of supervision, cannot be accompanied by an order of protection with no time limit. To read the statute otherwise would contradict the purpose of the 1989 amendment—to limit the length of orders of protection in child protective proceedings and to provide for periodic court review.

3. We note that on July 8, 2004, after the orders of protection were already in place, Jessica admitted certain allegations of abuse and neglect, and was found in neglect of Chase and Vincent. At a dispositional hearing, DSS was given temporary custody of Chase and Vincent for 12 months, since Jessica was incarcerated at the time. Jessica was placed under DSS supervision for 12 months.

We have reviewed Darwin's remaining contentions and find them to be without merit.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Family Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ and SMITH concur; Judges PIGOTT and JONES taking no part.

Order modified, etc.

[863 NE2d 585, 831 NYS2d 364]

J.A.O. ACQUISITION CORP. et al., Appellants, v JEFFREY D. STAVITSKY et al., Defendants, and FIRST UNION NATIONAL BANK, Formerly Known as CORESTATES BANK, N.A., Respondent.
(And a Third-Party Action.)

Argued January 2, 2007; decided February 13, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 3, 2005. The Appellate Division affirmed an order of the Supreme Court, New York County (Karla Moskowitz, J.), which had granted a motion by defendant First Union National Bank, formerly known as CoreStates Bank, N.A., for summary judgment and dismissed the complaint against that defendant.

J.A.O. Acquisition Corp. v Stavitsky, 23 AD3d 200, affirmed.

HEADNOTES**Negligence — Negligent Misrepresentation — Requirement of Reasonable Reliance**

1. In an action arising out of plaintiff's agreement to purchase the stock of a corporation, no triable issue of fact was raised on plaintiff's negligent misrepresentation claim against defendant, the corporation's bank. Although plaintiff alleged that defendant had misrepresented the corporation's outstanding liabilities by negligently failing to include in its payoff letter the negative balance in the corporation's operating account, plaintiff failed to establish that it had reasonably relied on that information inasmuch as the evidence established that plaintiff's decision to purchase the stock was not dependent upon the payoff letter.

Fraud — Reliance

2. In an action arising out of plaintiff's agreement to purchase the stock of a corporation, no triable issue of fact was raised on plaintiff's fraud claim against defendant, the corporation's bank. Plaintiff alleged that defendant had misrepresented the corporation's outstanding liabilities by negligently failing to include in its payoff letter the negative balance in the corporation's operating account. However, plaintiff failed to establish that it had justifiably relied on that alleged misrepresentation. Although plaintiff claimed that its primary financier would have refused to close on the transaction had it been aware of the corporation's additional debt, it was the financier, not plaintiff, that would have relied on the loan balance in the payoff letter.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit §§ 26, 128–131, 196, 197, 239, 242, 263.

NY JUR 2d, Fraud and Deceit §§ 14, 86, 89, 130–132, 138, 141, 147, 156.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit.

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Query: negligent /2 misrepresentation /s purchase /4 stock & reliance

POINTS OF COUNSEL

Fischer Porter & Thomas, P.C., New York City (Jay D. Fischer, Arthur L. Porter, Jr., and Matthew L. Seldin of counsel), for appellants. I. Liability for negligent misrepresentation to nonprivity parties under the *Credit Alliance Corp. v Arthur Andersen & Co.* (65 NY2d 536 [1985]) test is not restricted to certain categories of defendants. (*Glanzer v Shepard*, 233 NY 236; *Ultramares Corp. v Touche*, 255 NY 170; *European Am. Bank & Trust Co. v Strauhs & Kaye*, 65 NY2d 536; *Ossining Union Free School Dist. v Anderson LaRocca Anderson*, 135 AD2d 518, 73 NY2d 417; *Crossland Sav. FSB v Rockwood Ins. Co.*, 692 F Supp 1510; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood*, 80 NY2d 377; *Parrott v Coopers & Lybrand*, 95 NY2d 479; *White v Guarente*, 43 NY2d 356; *First Union Natl. Bank v Tecklenburg*, 2 AD3d 575; *Carver Fed. Sav. & Loan Assn. of N.Y. v Glanzer*, 186 AD2d 706.) II. The amount of evidence necessary to demonstrate the “necessary link” to defendant’s understanding of a nonprivity plaintiff’s reliance should be determined on a qualitative not quantitative basis. (*Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *Security Pac. Bus. Credit v Peat Marwick Main & Co.*, 79 NY2d 695; *Ultramares Corp. v Touche*, 255 NY 170; *White v Guarente*, 43 NY2d 356; *Parrott v Coopers & Lybrand*, 95 NY2d 479; *Securities Inv. Protection Corp. v BDO Seidman*, 95 NY2d 702; *Point O’Woods Assn. v Those Underwriters at Lloyd’s, London Subscribing to Certificate No. 6771*, 288 AD2d 78; *Glanzer v Shepard*, 233 NY 236.) III. The evidence presented in opposition to CoreStates Bank, N.A.’s motion for summary judgment presents material issues of fact. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Rodriguez v Parkchester S. Condominium*, 178 AD2d 231; *Robinson v Strong Mem. Hosp.*, 98 AD2d 976; *Palka v Service-master Mgt. Servs. Corp.*, 83 NY2d 579; *Kimmell v Schaefer*, 89 NY2d 257; *Brunetti v Musallam*, 11 AD3d 280; *Shea v Hambros*

PLC, 244 AD2d 39; *Zuckerman v City of New York*, 49 NY2d 557.)

Greenberg Traurig LLP, New York City (Louis Smith of counsel), for respondent. I. Plaintiffs failed to establish the elements required for a negligent misrepresentation claim; accordingly, such claim was properly dismissed. (*Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *Hudson Riv. Club v Consolidated Edison Co. of N.Y.*, 275 AD2d 218; *United Safety of Am. v Consolidated Edison Co. of N.Y.*, 213 AD2d 283; *FAB Indus. v BNY Fin. Corp.*, 252 AD2d 367; *Banque Nationale de Paris v 1567 Broadway Ownership Assoc.*, 214 AD2d 359; *River Glen Assoc. v Merrill Lynch Credit Corp.*, 295 AD2d 274; *Fleet Bank v Pine Knoll Corp.*, 290 AD2d 792; *Polzer v TRW, Inc.*, 256 AD2d 248; *Trustco Bank, N.A. v Cannon Bldg. of Troy Assoc.*, 246 AD2d 797; *Murphy v Kuhn*, 90 NY2d 266.) II. Plaintiffs' fraud claims against CoreStates Bank, N.A. are not supported by the record and thus were properly dismissed. (*Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d 403; *LaSalle Natl. Bank v Ernst & Young*, 285 AD2d 101; *Lanzi v Brooks*, 54 AD2d 1057, 43 NY2d 778; *Alexander & Alexander of N.Y. v Fritzen*, 114 AD2d 814, 68 NY2d 968; *Matter of Disston Co. [Aktiebolag]*, 187 AD2d 283.)

OPINION OF THE COURT

GRAFFEO, J.

In this action arising out of a stock purchase transaction, we conclude that plaintiff did not raise a triable issue of fact on its negligent misrepresentation and fraud claims against defendant bank. We therefore affirm the order of the Appellate Division dismissing the complaint.

In June 1997, plaintiff J.A.O. Acquisition Corp. entered into an agreement to purchase the stock of D.B. Brown, Inc., a meat and fish distributor, from Jeffrey Stavitsky and W. Paul Brogowski.¹ The agreement listed D.B. Brown's net worth at \$2.2 million and, as relevant here, obligated J.A.O. to satisfy D.B. Brown's loans from its bank, defendant First Union National Bank, formerly known as CoreStates Bank, N.A. (CoreStates). Prior to the stock transfer, J.A.O. undertook a due diligence review, finding that D.B. Brown was worth about \$1 million less than what Stavitsky and Brogowski had represented. As a

1. J.A.O. Acquisition Corp. is a wholly owned subsidiary of plaintiff J.A.O. Holding Company, Inc. These entities will be referred to collectively as J.A.O.

result, J.A.O. and the sellers amended the stock purchase agreement by lowering D.B. Brown's net worth to approximately \$1.17 million and providing for a price adjustment to be made within 90 days after the closing, at which time D.B. Brown's net worth as of the date of the closing would be determined.

Chase Manhattan Bank acted as J.A.O.'s primary financier for the transaction. Pursuant to the loan arrangement between Chase and J.A.O., Chase agreed to loan J.A.O. funds sufficient to purchase D.B. Brown's stock, including repayment of D.B. Brown's debt to CoreStates. As a condition of its financing, Chase required J.A.O. and each of its affiliates to demonstrate excess borrowing availability of at least \$2 million on the date of the closing. On October 9, 1997, Chase forwarded an outline of the terms of this loan agreement—including the borrowing availability requirement—to CoreStates.

On the afternoon of October 10, 1997, the scheduled closing date, CoreStates sent a payoff letter to D.B. Brown, calculating that D.B. Brown's outstanding liabilities to CoreStates amounted to \$26,564,628.29. Earlier that day, checks previously written by D.B. Brown were presented to CoreStates for payment, resulting in a deficiency of about \$1.3 million in D.B. Brown's operating account.² The debt balance in the payoff letter, however, did not include the \$1.3 million as part of D.B. Brown's obligations to CoreStates. That same day, Chase determined that J.A.O. and its affiliated companies had not met the \$2 million borrowing availability threshold. To satisfy that prerequisite, Stavitsky invoiced a number of foreign receivables valued in excess of \$1 million in order to convince Chase that J.A.O. had complied with the availability requirement. Chase agreed to finance the transaction and the stock transfer was consummated. The following business day, CoreStates requested payment of the \$1.3 million from Chase; Chase complied and paid the debt.³

J.A.O. commenced this action against CoreStates asserting claims for negligent misrepresentation and fraud. Specifically,

2. In the months preceding the closing date, D.B. Brown often incurred a negative balance in its operating account and then borrowed against its commercial loan account to cover a particular day's check presentments.

3. The financial health of D.B. Brown was tenuous over the next few years. In March 2000, D.B. Brown contracted to sell its assets to another company and, upon doing so, ceased operations. After creditors filed an involuntary bankruptcy petition, D.B. Brown was granted a discharge in bankruptcy in 2001.

J.A.O. alleged that CoreStates misrepresented D.B. Brown's outstanding liabilities by negligently failing to include in the payoff letter the \$1.3 million negative balance in D.B. Brown's operating account. J.A.O. contended that it would not have purchased D.B. Brown's stock had it known it would become liable to pay this additional debt to CoreStates, and that Chase would not have agreed to finance the transaction because the \$2 million excess borrowing availability requirement would not have been met. Alternatively, J.A.O.'s fraud claim posited that CoreStates intentionally concealed the \$1.3 million debt to cause J.A.O. to complete the asset purchase.

CoreStates moved for summary judgment dismissing the complaint, arguing that there was no privity or special relationship between it and J.A.O., the payoff letter was correct in listing only loans and J.A.O. did not reasonably rely on the letter. Supreme Court granted the motion and dismissed the complaint, holding that J.A.O. could not satisfy the privity or reliance elements. The Appellate Division affirmed for the same reasons. We granted J.A.O. leave to appeal.

[1] A claim for negligent misrepresentation requires the plaintiff to demonstrate (1) the existence of a special or privity-like relationship imposing a duty on the defendant to impart correct information to the plaintiff; (2) that the information was incorrect; and (3) reasonable reliance on the information (*see Parrott v Coopers & Lybrand*, 95 NY2d 479, 484 [2000]; *Murphy v Kuhn*, 90 NY2d 266, 270 [1997]). Assuming that J.A.O. can meet the first two elements, we conclude that J.A.O. failed to raise a triable question of fact as to the reliance requirement because the evidence established that J.A.O.'s decision to purchase D.B. Brown's stock was not dependent upon the payoff letter.

After entering into the June 1997 stock purchase agreement, J.A.O. performed its own due diligence review of D.B. Brown's assets and liabilities, determining that the company was worth less than the amount represented in the agreement. As a result, the parties amended the stock purchase agreement to reflect a lower net worth and negotiated a postclosing price adjustment procedure. Similarly, as the Appellate Division recognized, J.A.O. should have had knowledge that it was not unusual for D.B. Brown to overdraw its operating account. Even before Stavitsky

invoiced a number of questionable receivables,⁴ it was evident that J.A.O. strongly desired to complete the transaction. Indeed, J.A.O.'s chief financial officer testified that the amount in the payoff letter had no effect on J.A.O.'s desire to purchase D.B. Brown's stock. It is clear that J.A.O.'s decision to move forward with the deal resulted from its own investigation of D.B. Brown's condition, not any reliance on the information contained in the payoff letter.

[2] Furthermore, J.A.O.'s contention that Chase would have refused to close on October 10, 1997 had it been aware of the additional \$1.3 million debt is misplaced. As previously discussed, Chase required that J.A.O. and its affiliated companies have an excess borrowing availability of at least \$2 million on the closing date. But in determining whether it would finance the deal, it was Chase (a nonparty to this litigation), not J.A.O., that would have relied on the loan balance in the payoff letter. To the extent J.A.O. continues to press its fraud claim on this appeal, it likewise fails for lack of justifiable reliance.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH and FIGOTT concur; Judge JONES taking no part.

Order affirmed, with costs.

4. The foreign receivables were ineligible for inclusion in the borrowing availability calculation because they were not backed by letters of credit.

[863 NE2d 100, 831 NYS2d 96]

In the Matter of E.S., Respondent, v P.D., Appellant.

Argued January 3, 2007; decided February 15, 2007

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 28, 2006. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Suffolk County (Sandra L. Sgroi, J.; see 6 Misc 3d 1030[A], 2004 NY Slip Op 51846[U]), which had granted the petition and awarded petitioner grandmother reasonable visitation rights with her grandchild.

Matter of E.S. v P.D., 27 AD3d 757, affirmed.

HEADNOTES**Parent and Child — Visitation Rights of Grandparents**

1. Section 72 (1) of the Domestic Relations Law was properly applied in granting petitioner grandmother visitation with her grandchild. Petitioner had automatic standing to seek visitation under section 72 (1) based upon the death of the child's mother, and record evidence supported the determination of the courts below that visitation between petitioner and the child was in the child's best interest. Supreme Court was properly mindful of respondent father's right to rear the child as he saw fit, but determined that the grandmother had established an extraordinarily close relationship with the child during the nearly five-year period that she had lived with him and respondent, and that the relationship with the grandmother was central to the child's well-being.

Appeal — Court of Appeals

2. In a proceeding pursuant to Domestic Relations Law § 72 (1) in which petitioner sought reasonable visitation with her grandchild, findings of fact made by the trial court which were expressly affirmed by the Appellate Division and had the requisite evidentiary support were conclusive and binding on the Court of Appeals.

Parent and Child — Visitation Rights of Grandparents — Facial Constitutionality of Grandparent Visitation Statute

3. Domestic Relations Law § 72 (1), which provides a procedural mechanism for grandparents to acquire standing to seek visitation with a minor grandchild, was not rendered facially unconstitutional by the decision of the United States Supreme Court in *Troxel v Granville* (530 US 57 [2000]). The statute at issue in *Troxel* permitted any person to petition for visitation rights and authorized the trial court to grant such rights in the best interest of the child. The Supreme Court held that application of the statute violated the mother's due process right to make decisions concerning the care, custody and control of her children. Section 72 (1) accords deference to a parent's decisions.

**Parent and Child — Visitation Rights of Grandparents —
Constitutionality of Grandparent Visitation Statute as Applied**

4. Domestic Relations Law § 72 (1) was constitutionally applied to award petitioner grandmother reasonable visitation with her grandchild. Although the trial court, mindful of respondent father's parental prerogatives, employed the strong presumption that the father's wishes represented the child's best interests, as required by the statute, the grandmother surmounted the presumption. For over three years following the death of the child's mother, the grandmother was the child's surrogate, live-in mother. Following consideration of the circumstances bearing upon whether it was in the child's best interest for his relationship with the grandmother to continue—e.g., the reasonableness of the father's objections to the grandmother's access to the child, her caregiving skills and attitude toward the father, the law guardian's assessment, the child's wishes—the court granted visitation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 698; AM JUR 2d, Divorce and Separation § 977.

CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:96, 71:105; CARMODY-WAIT 2d, Child Custody and Visitation in Matrimonial Actions § 118A:99.

4 LAW AND THE FAMILY NEW YORK (2d ed) § 1:20.

McKINNEY's, Domestic Relations Law § 72 (1).

NY JUR 2d, Appellate Review § 663; NY JUR 2d, Domestic Relations §§ 408–410.

SIEGEL, NY PRAC § 529.

ANNOTATION REFERENCE

Grandparents' visitation rights where child's parents are living. 71 ALR5th 99.

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POINTS OF COUNSEL

William V. O'Leary, Albany, for appellant. I. Section 72 of the Domestic Relations Law is unconstitutional. (*People ex rel. Sisson v Sisson*, 271 NY 285; *Troxel v Granville*, 530 US 57; *Reno v Flores*, 507 US 292; *Meyer v Nebraska*, 262 US 390; *Pierce v Society of Sisters*, 268 US 510; *Prince v Massachusetts*, 321 US 158; *M. L. B. v S. L. J.*, 519 US 102; *Parham v J.R.*, 442 US 584; *Hodgson v Minnesota*, 497 US 417; *Stanley v Illinois*, 405 US 645.) II. The grandmother's application should have been dismissed as she was not denied visitation. (*Troxel v Granville*,

530 US 57; *Matter of David M. v Lisa M.*, 207 AD2d 623; *Matter of Hertz v Hertz*, 291 AD2d 91.) III. The grandmother's application should have been denied as it was in reality a request for visitation on behalf of parties who were without standing. (*Matter of Fitzpatrick v Youngs*, 186 Misc 2d 344.) IV. The lower courts ignored or misapplied this Court's holdings that family dysfunction and animosity constitute grounds to deny grandparent visitation. (*Matter of Doe v Smith*, 156 Misc 2d 942; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Matter of DiBerardino v DiBerardino*, 229 AD2d 539; *Matter of Gloria R. v Alfred R.*, 209 AD2d 179; *Meiselman v Crown Hgts. Hosp.*, 285 NY 389; *People ex rel. Sibley v Sheppard*, 54 NY2d 320; *Matter of Coulter v Barber*, 214 AD2d 195; *Matter of Smith v Jones*, 155 Misc 2d 254; *Matter of Tropea v Tropea*, 87 NY2d 727.) V. The scope and unfettered nature of the grandmother's visitation is both excessive and contrary to the child's best interest.

Thomas K. Campagna, P.C., Ronkonkoma (*Thomas K. Campagna* of counsel), for respondent. I. Section 72 of the Domestic Relations Law is constitutional. (*Matter of Jonee*, 181 Misc 2d 822; *Moore v East Cleveland*, 431 US 494; *Rivera v Marcus*, 696 F2d 1016; *Harley v City of New York*, 36 F Supp 2d 136; *Parham v J.R.*, 442 US 584; *Santosky v Kramer*, 455 US 745; *Matter of Principato v Lombardi*, 19 AD3d 602; *People ex rel. Sibley v Sheppard*, 54 NY2d 320; *Matter of Hertz v Hertz*, 291 AD2d 91; *Matter of Emanuel S. v Joseph E.*, 78 NY2d 178.) II. The grandmother properly petitioned the court for visitation. (*Matter of Emanuel S. v Joseph E.*, 78 NY2d 178; *Matter of Principato v Lombardi*, 19 AD3d 602.) III. The grandmother properly petitioned the court on behalf of herself. IV. The court correctly granted visitation based upon the lack of family dysfunction and animosity. (*Matter of Doe v Smith*, 156 Misc 2d 942; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Matter of DiBerardino v DiBerardino*, 229 AD2d 539; *Matter of Principato v Lombardi*, 19 AD3d 602; *Lo Presti v Lo Presti*, 40 NY2d 522.) V. The scope and nature of the visitation are within the child's best interests.

Robert D. Gallo, Sayville, and *Judy Poznik*, Law Guardians. I. Section 72 of the Domestic Relations Law is constitutional per se and as applied. (*Troxel v Granville*, 530 US 57; *Matter of Hertz v Hertz*, 291 AD2d 91; *Matter of Morgan v Grzesik*, 287 AD2d 150; *Matter of Ehrlich v Ressler*, 55 AD2d 953; *United States v Salerno*, 481 US 739; *Matter of Van Berkel v Power*, 16 NY2d 37; *People v Barber*, 289 NY 378; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Davis v Davis*, 188 Misc 2d 81;

Washington v Glucksberg, 521 US 702.) II. The Appellate Division did not abuse its discretion in ordering grandparent visitation after inquiry into all of the relevant facts. (*Matter of Emanuel S. v Joseph E.*, 78 NY2d 178; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Matter of Weis v Rivera*, 29 AD3d 812; *Matter of Principato v Lombardi*, 19 AD3d 602; *Matter of Eggleton v Clark*, 11 AD3d 459; *People ex rel. Sibley v Sheppard*, 54 NY2d 320; *Matter of Follum v Follum*, 302 AD2d 861; *Matter of Kenyon v Kenyon*, 251 AD2d 763; *Matter of Coulter v Barber*, 214 AD2d 195; *Matter of Smith v Jones*, 155 Misc 2d 254.) III. The death of the child's mother provided the maternal grandmother with automatic standing. (*Matter of Emanuel S. v Joseph E.*, 78 NY2d 178; *Matter of Weis v Rivera*, 29 AD3d 812; *Matter of Principato v Lombardi*, 19 AD3d 602; *Matter of Eggleton v Clark*, 11 AD3d 459.) IV. The extraordinary relationship between the grandparent and grandchild justifies unfettered, substantial and regular visitation.

Andrew Cuomo, Attorney General, Albany (*Nancy A. Spiegel, Caitlin J. Halligan, Daniel Smirlock and Patrick J. Walsh* of counsel), amicus curiae. Because Domestic Relations Law § 72 (1) is narrowly drawn to further a legitimate state interest and gives due deference to the wishes of fit parents concerning the care and custody of their children, it is constitutional. (*United States v Salerno*, 481 US 739; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *People v Stuart*, 100 NY2d 412; *Matter of Van Berkel v Power*, 16 NY2d 37; *Troxel v Granville*, 530 US 57; *Matter of Hertz v Hertz*, 291 AD2d 91; *Matter of Morgan v Grzesik*, 287 AD2d 150; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Matter of David M. v Lisa M.*, 207 AD2d 623; *Matter of Hantman v Heller*, 213 AD2d 637.)

OPINION OF THE COURT

READ, J.

We are asked to decide whether the grandparent in this case was properly granted visitation with her grandson pursuant to section 72 (1) of the Domestic Relations Law, and, if so, whether this provision is constitutional in view of the United States Supreme Court's decision in *Troxel v Granville* (530 US 57 [2000]). For the reasons that follow, we conclude that section 72 (1) was followed here, and is constitutional, both on its face and as applied.

I.

A.D. (mother) married P.D. (father) in 1992; their son C.D. was born in November 1993. In June 1997, A.D. was diagnosed

with cancer of the breast and spine. A.D.'s mother E.S. (grandmother), who lived in East Hampton, Long Island, was asked to move into the marital home in Huntington to care for her terminally ill daughter and the child. Grandmother cleaned the house, shopped, cooked household meals and looked after the child when A.D.'s illness prevented her from doing so.

After A.D.'s death in March 1998, father invited grandmother to stay on to help out with the then-four-year-old child's care and household duties. Grandmother agreed, and father, grandmother and the child lived together amicably in the Huntington home for the ensuing 3½ years. During that time, grandmother comforted, supported and cared for the motherless child. She got him ready for school, put him to bed, read with him, helped him with his homework, cooked his meals, laundered his clothes and drove him to school and to doctor's appointments and various activities, including gym class, karate class, bowling, soccer, Little League baseball and swimming class. She arranged and transported him to away-from-home or supervised at-home play dates; she took him to the public library and introduced him to the game of chess. From 1998 through 2001, the child and father spent entire summers at grandmother's home in East Hampton, where the child's maternal first cousins and other family members were frequently present as well.

By the fall of 2001, the relationship between grandmother and father had begun to sour. The reasons for this are disputed, but father and grandmother apparently differed over such matters as how to handle the child's sometime unwillingness to eat the food prepared for him at mealtime, and how strictly to enforce his bedtime, his tooth brushing regimen, homework routines and the like. In general, grandmother seems to have been more indulgent than father, who consequently came to view her as sabotaging his parental authority and competing with him for control over the household and, more importantly, the child. On February 24, 2002 father demanded that grandmother move out of the Huntington home immediately. Grandmother claims to have been completely surprised by this turn of events. She strenuously objected to leaving without at least saying goodbye to the child, who was away on a play date at the time, but she ultimately bowed to father's wishes and left with most of her belongings.

For the next seven or eight weeks, father forbade any contact between grandmother and the child. From April through

December 2002, father allowed sporadic visits, which were limited in length and tightly supervised, and occasional telephone calls. According to grandmother, an incident in December 2002, when she experienced a four-hour wait for a scheduled visit with the child, was the “last straw.” She decided to seek judicial intervention, a decision that she characterizes as having been arrived at most reluctantly. Accordingly, in January 2003, grandmother, who was 78 years old at the time, commenced this proceeding pursuant to Domestic Relations Law § 72 and Family Court Act § 651 for an order granting reasonable visitation with the child, who was then nine years old. Father opposed grandmother’s request, and cross-moved for an order prohibiting grandmother from any contact whatsoever with the child.

Supreme Court appointed a law guardian for the child and conducted a lengthy, multi-day hearing. Among the numerous witnesses who testified were grandmother, father, his mother and stepmother, and two of the child’s former babysitters. Supreme Court also held an in camera interview with the child in the presence of the law guardian, and considered the law guardian’s report and recommendation. On December 1, 2004, Supreme Court granted judgment to grandmother, and ordered visitation according to a detailed schedule. Supreme Court concluded that

“[a]lthough mindful of [father]’s right to rear [the child] as he sees fit, and of his stated concern that [grandmother] undermines his parental authority, the Court finds that he has failed to present any credible evidence warranting either the termination of the relationship between [grandmother] and [the child] or the imposition of restrictions on the right of visitation. Instead, the evidence in the record establishes the existence of a very close, loving relationship between [grandmother] and [the child], and that [the child]’s best interest is served by granting [grandmother] regular, unfettered visitation” (6 Misc 3d 1030[A], 2004 NY Slip Op 51846[U], *15).

Upon father’s appeal, the Appellate Division affirmed Supreme Court’s judgment, but modified certain terms of the visitation schedule in deference to father’s wishes, relying on *Troxel*. In response to father’s constitutional challenge, the Appellate Division observed that

“[c]ontrary to the father’s contention, this Court

has determined that New York State's grandparent visitation statute, Domestic Relations Law § 72, is not facially invalid under [*Troxel*] even though it does not specifically require that parental decisions are to be given 'special weight.' Our visitation statute, narrowly drafted to only afford a grandparent standing to sue for visitation when a child's parent has died or where 'conditions exist which equity would see fit to intervene' (Domestic Relations Law § 72) and additionally requiring that after standing has been conferred, that the grandparent establish why visitation is in the child's best interest, necessarily gives the parent's decision presumptive weight" (27 AD3d 757, 758-759 [2d Dept 2006] [citations omitted]).

The Appellate Division further rejected father's argument that Supreme Court abused its discretion in awarding visitation to grandmother.

II.

Section 72 (1) of the Domestic Relations Law states that

"[w]here either or both of the parents of a minor child, residing within this state, is or are deceased, or where circumstances show that conditions exist which equity would see fit to intervene, a grandparent or the grandparents of such child may apply to [supreme or family court] and . . . the court, by order, after due notice to the parent or any other person or party having the care, custody, and control of such child, to be given in such manner as the court shall prescribe, may make such directions as the best interest of the child may require, for visitation rights for such grandparent or grandparents in respect to such child."

Section 72 (1) derogates from the common-law rule that "grandparents [have] no standing to assert rights of visitation against a custodial parent" (*Matter of Emanuel S. v Joseph E.*, 78 NY2d 178, 180 [1991]). The statute "rests on the humanitarian concern that [v]isits with a grandparent are often a precious part of a child's experience and there are benefits which devolve upon the grandchild . . . which he cannot derive from any other relationship" (*id.* at 181 [internal quotation marks and citations omitted]).

Section 72 (1) “does not create an absolute or automatic right of visitation. Instead, the statute provides a procedural mechanism for grandparents to acquire standing to seek visitation with a minor grandchild” (*Matter of Wilson v McGlinchey*, 2 NY3d 375, 380 [2004] [internal quotation marks and citation omitted]). When grandparents seek visitation under section 72 (1), the court must undertake a two-part inquiry. “First, [the court] must find standing based on death or equitable circumstances”; and “[i]f [the court] concludes that the grandparents have established the right to be heard, then it must determine if visitation is in the best interest of the grandchild” (*Matter of Emanuel S.*, 78 NY2d at 181).

But the courts should not lightly intrude on the family relationship against a fit parent’s wishes. The presumption that a fit parent’s decisions are in the child’s best interests is a strong one. And while, as we made clear in *Wilson*, the problems created by parent-grandparent antagonism cannot be ignored, an acrimonious relationship is generally not sufficient cause to deny visitation. “It is almost too obvious to state that, in cases where grandparents must use legal procedures to obtain visitation rights, some degree of animosity exists between them and the party having custody of the child or children. Were it otherwise, visitation could be achieved by agreement” (*Lo Presti v Lo Presti*, 40 NY2d 522, 526 [1976]).

[1, 2] Here, grandmother has automatic standing under section 72 (1) on account of A.D.’s death. Further, record evidence supports the determination of the courts below that visitation between grandmother and the child is in the child’s best interest. The father in this case is a competent parent, and Supreme Court was therefore properly “mindful” in the first instance of his right to rear the child as he saw fit. Supreme Court determined, however, that grandmother established “an extraordinarily close relationship [with the child] during the nearly five-year period that she lived with him and [father]” (6 Misc 3d 1030[A], 2004 NY Slip Op 51846[U], *14). Further, grandmother “clearly appreciate[d] and respect[ed] the separate roles that she and [father] play[ed] in [the child’s] life, and wishe[d] to improve her relationship with [father] for the sake of [the child],” and there was “no credible evidence in the record substantiating [father’s] claim that [grandmother] [sought] to usurp his role as [the child’s] parent” (*id.*). Supreme Court also found that father’s complaints about grandmother’s caregiving skills

were “contrived” and his claims of ill will exaggerated and “tailored to raise the specter of family dysfunction” (*id.*). Supreme Court agreed with the law guardian’s “determination that the relationship with [grandmother] [was] central to [the child’s] well[-]being,” and noted that the child, who is gifted, had “articulated a deep love for and attachment to” grandmother (*id.*). The Appellate Division affirmed the trial court’s findings of fact, and we may not revisit them (*see* Karger, Powers of the New York Court of Appeals § 13:10, at 489 [rev 3d ed] [“(F)indings of fact made by the *nisi prius* court which have been expressly affirmed by the Appellate Division and have the requisite evidentiary support are . . . conclusive and binding on the Court”]). In light of these factual findings, there is no reason to disturb the best-interest determination in this case. There was no abuse of discretion; the courts below correctly applied section 72 (1).

III.

Father contends that Domestic Relations Law § 72 (1) is facially unconstitutional in light of *Troxel*. “A party mounting a facial constitutional challenge bears the substantial burden of demonstrating that in any degree and in every conceivable application, the law suffers wholesale constitutional impairment” (*Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003] [internal quotation marks and citation omitted]). Moreover, the challenger “must surmount the presumption of constitutionality accorded to legislative enactments by proof beyond a reasonable doubt” (*id.* at 448 [internal quotation marks and citation omitted]).

The Washington statute at issue in *Troxel* permitted “‘[a]ny person’ to petition [the trial court] for visitation rights ‘at any time,’ and authorize[d] that court to grant such visitation rights whenever ‘visitation may serve the best interest of the child’ ” (*Troxel*, 530 US at 60, quoting Wash Rev Code § 26.10.160 [3]). In *Troxel*, paternal grandparents petitioned for visitation with their grandchildren pursuant to this statute. The mother did not oppose all visitation, but sought to limit it. The trial court awarded visitation to the grandparents, “settling on a middle ground” between what the grandparents requested and the mother offered (*Troxel* at 71). The intermediate appeals court reversed on statutory grounds and dismissed the petition. The Washington Supreme Court then affirmed on a different ground—that the statute

was facially invalid under the Federal Constitution because it unconstitutionally infringed on the fundamental right of parents to rear their children.

The Supreme Court affirmed the petition’s dismissal, while declining to hold the Washington statute unconstitutional on its face. Justice O’Connor’s plurality opinion held, however, that “the application of [the statute] to [the mother] and her family violated [the mother’s] due process right to make decisions concerning the care, custody, and control of her daughters” (*id.* at 75). The plurality considered it critical that there were no allegations or findings of the mother’s unfitness as a parent because

“so long as a parent adequately cares for his or her children (*i.e.*, is fit), there will normally be no reason for the State to inject itself into the private realm of the family to further question the ability of that parent to make the best decisions concerning the rearing of that parent’s children” (*id.* at 68-69).

As a result,

“the decision whether . . . an intergenerational relationship would be beneficial in any specific case is for the parent to make in the first instance. And, if a fit parent’s decision of the kind at issue here becomes subject to judicial review, the court must accord at least *some special weight* to the parent’s own determination” (*id.* at 70 [emphasis added]).

The problem in *Troxel* was therefore not that the trial court intervened, but that it failed to employ “the traditional presumption that a fit parent will act in the best interest of his or her child” when it did (*id.* at 69). On the contrary, the trial court effectively applied a presumption in favor of grandparent visitation, placing on the parent “the burden of *disproving* that visitation would be in the best interest” of her children (*id.*).

[3] Reasoning from *Troxel*, we conclude that section 72 (1) is facially constitutional. As Justice Altman aptly put it, section 72 (1)

“can be, and has been, interpreted to accord deference to a parent’s decision, although the statute itself does not specifically require such deference. Further, [section 72 (1)] is drafted much more

narrowly than the Washington statute [considered in *Troxel*]. If the United States Supreme Court did not declare the ‘breathtakingly broad’ Washington statute to be facially invalid, then certainly the more narrowly drafted New York statute is not unconstitutional on its face. In fact, the Court indicated that it would be hesitant to hold specific nonparental visitation statutes unconstitutional per se because ‘much state-court adjudication in this context occurs on a case-by-case basis.’ *Troxel* does not prohibit judicial intervention when a fit parent refuses visitation, but only requires that a court accord ‘some special weight to the parent’s own determination’ when applying a nonparental visitation statute” (*Matter of Hertz v Hertz*, 291 AD2d 91, 94 [2d Dept 2002] [citations omitted]; see also *Matter of Morgan v Grzesik*, 287 AD2d 150 [4th Dept 2001]).

Courts in other states have likewise read their grandparent visitation statutes to encompass the constitutional protections necessary to safeguard parental rights (see *Hiller v Fausey*, 588 Pa 342, 361-363, 904 A2d 875, 887-888 [2006]; *In re Estate of S.T.T.*, 144 P3d 1083, 1093 [Utah 2006]; *Blixt v Blixt*, 437 Mass 649, 657-658, 774 NE2d 1052, 1060 [2002]). Indeed, the plurality’s decision in *Troxel* seemed to suggest that the Washington Supreme Court might have similarly chosen to interpret its statute more narrowly.

[4] Finally, father also argues that section 72 (1) was unconstitutionally applied in this case. We disagree. Unlike *Troxel*, the trial court here did not presuppose that grandparent visitation was warranted as the jumping-off point for fact-finding and best-interest analysis. Instead, the court, emphasizing that it was “mindful” of father’s parental prerogatives, employed the strong presumption that the parent’s wishes represent the child’s best interests, as our statute requires (see *Troxel*, 530 US at 69). While this presumption creates a high hurdle, the grandmother in this case surmounted it: from the time the child was almost four until he was seven, grandmother was his surrogate, live-in mother. The court then properly went on to consider all of the many circumstances bearing upon whether it was in the child’s best interest for his relationship with grandmother to continue—e.g., the reasonableness of father’s objections to grandmother’s access to the child, her caregiving skills and

attitude toward father, the law guardian's assessment, the child's wishes—before making a judgment granting visitation.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH and PIGOTT concur; Judge JONES taking no part.

Order, insofar as appealed from, affirmed, with costs.

[863 NE2d 994, 831 NYS2d 742]

APPALACHIAN INSURANCE COMPANY, Respondent, v GENERAL ELECTRIC COMPANY, Appellant, and RIUNIONE ADRIATICA DI-SICURTA, Also Known as ADRIATIC INSURANCE COMPANY et al., Respondents, et al., Defendants. (And a Third-Party Action.)

Argued January 9, 2007; decided February 15, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 14, 2005. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Ira Gammerman, J.), which had (1) declared that certain named excess insurers had no obligation to defend or indemnify defendant General Electric Company (GE) under their excess policies with respect to any single asbestos turbine claim in which GE incurred less than \$5 million in a single policy year after allocation and dismissed those insurers from the action with respect to all such asbestos turbine claims; (2) declared that under the Electric Mutual Liability Insurance Company general liability policies issued to GE, the exposure of each individual claimant to asbestos insulation on a GE turbine was the operative occurrence for purposes of determining the attachment point of such coverage; (3) dismissed the named excess insurers from the counterclaim brought by GE and granted them declaratory judgment over and against GE with respect to liability for asbestos personal injury; and (4) severed all causes of action adjudicated therein from all other causes of action.

Appalachian Ins. Co. v General Elec. Co., 19 AD3d 198, affirmed.

HEADNOTE

Insurance — Excess Coverage

For purposes of exceeding annual “per occurrence” primary insurance policy limits to access excess insurance proceeds, defendant insured could not group together as a single occurrence numerous personal injury claims arising from the exposure of individuals to asbestos insulation in defendant’s turbines at work sites across the country. Under the terms of the primary insurance policies issued to defendant, the claims presented multiple occurrences. Pursuant to the excess insurance policies, excess coverage for a claim was triggered only when the claim exceeded the \$5 million per-occurrence limit in the underlying primary general liability policy. Using the unfortunate-event test,

based on the nature of the incident giving rise to damages, the asbestos exposure claims defendant sought to join as one occurrence (per policy period) represented multiple occurrences. The incidents at issue shared few, if any, commonalities, differing in terms of when and where exposure occurred, whether the exposure was prolonged and for how long, and whether one or more of defendant's turbine sites was involved.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 300, 1755.

COUCH ON INSURANCE (3d ed) §§ 126:29, 220:32.

NY JUR 2d, Insurance §§ 2160–2162.

ANNOTATION REFERENCE

What constitutes single accident or occurrence within liability policy limiting insurer's liability to a specified amount per accident or occurrence. 64 ALR4th 668.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: excess /2 insurance /s single /2 occurrence

POINTS OF COUNSEL

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Evan A. Davis*, *Jonathan T. Salomon* and *Brendan H. Gibbon* of counsel), *Pillsbury Winthrop Shaw Pittman LLP* (*E. Leo Milonas*, *David G. Keyko*, *Frederick A. Brodie* and *Laura L. Smith* of counsel), *McCarter & English, LLP* (*Gita F. Rothschild*, *R. Nicholas Gimbel* and *Andrew T. Berry* of counsel), *Thomas H. Hill*, Fairfield, Connecticut, *Jonathan M. Goodman* and *Buckmaster De Wolf*, for appellant. I. The policies require that the “occurrence” is the injury-causing event that allegedly establishes liability—in other words, the conduct of the policyholder. (*Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Matter of Covert*, 97 NY2d 68; *Sharon Steel Corp. v Chase Manhattan Bank, N.A.*, 691 F2d 1039; *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 7 NY2d 222; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *Hartford Fire Ins. Co. v St. Paul Surplus Lines Ins. Co.*, 280 F3d 744.) II. New York and the majority of other courts fix the “occurrence” by looking to the injury-causing event that allegedly establishes liability—in other words, the conduct of the policyholder. (*Arthur*

A. Johnson Corp. v Indemnity Ins. Co. of N. Am., 7 NY2d 222; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Endicott Johnson Corp. v Liberty Mut. Ins. Co.*, 928 F Supp 176; *Allied Grand Doll Mfg. Co. v Globe Indem. Co.*, 15 AD2d 901; *Miano v Hehn*, 206 AD2d 957; *Aguirre v City of New York*, 214 AD2d 692; *Safeguard Ins. Co. v Angel Guardian Home*, 946 F Supp 221; *World Trade Ctr. Props., L.L.C. v Hartford Fire Ins. Co.*, 345 F3d 154; *Newmont Mines Ltd. v Hanover Ins. Co.*, 784 F2d 127; *Champion Intl. Corp. v Continental Cas. Co.*, 546 F2d 502.) III. The lower courts' focus on the claimant's exposure has no support in General Electric Company's policies or under New York law. (*Colonial Gas Co. v Aetna Cas. & Sur. Co.*, 823 F Supp 975; *Chemstar, Inc. v Liberty Mut. Ins. Co.*, 797 F Supp 1541; *Rothstein v Tennessee Gas Pipeline Co.*, 87 NY2d 90; *Thornton v Roosevelt Hosp.*, 47 NY2d 780; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *Consorti v Owens-Corning Fiberglas Corp.*, 86 NY2d 449; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *Liberty Mut. Ins. Co. v Treesdale, Inc.*, 418 F3d 330; *In re Prudential Lines Inc.*, 158 F3d 65; *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 7 NY2d 222.) IV. Finding a single "occurrence" is necessary to fulfill the reasonable expectations of the policyholder. (*General Motors Acceptance Corp. v Nationwide Ins. Co.*, 4 NY3d 451; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 7 NY2d 222; *Newmont Mines Ltd. v Hanover Ins. Co.*, 784 F2d 127; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *In re Northern Dist. of Cal. Dalkon Shield IUD Prods. Liab. Litig.*, 526 F Supp 887, 693 F2d 847; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368.) V. The courts below improperly relied on disputed facts. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Kenyon v Security Ins. Co. of Hartford [DPIC Cos.]*, 163 Misc 2d 991; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Champion Intl. Corp. v Continental Cas. Co.*, 546 F2d 502.)

Wachtell, Lipton, Rosen & Katz, New York City (Herbert M. Wachtell, Ben M. Germana and Carrie M. Reilly of counsel), *Skadden, Arps, Slate, Meagher & Flom LLP*, New York City (Michael J. Balch of counsel), *Bonner Kiernan Trebach & Crociata, LLP* (Alexander H. Gillespie of counsel), *Hardin, Kundla, McKeon & Poletto* (George R. Hardin and John S. Favate of counsel), *Rivkin Radler LLP*, Summit, New Jersey (Brian R. Ade of counsel), and *Landman Corsi Ballaine & Ford, PC*, New

York City (*Michael L. Gioia* of counsel), for plaintiff and certain respondents. I. The courts below correctly ruled that each asbestos claimant's exposure to a General Electric Company-manufactured turbine constitutes a separate "occurrence." (*Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 7 NY2d 222; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Stroh Cos., Inc.*, 265 F3d 97; *Bird v St. Paul Fire & Mar. Ins. Co.*, 224 NY 47; *Album Realty Corp. v American Home Assur. Co.*, 80 NY2d 1008; *Home Ins. Co. v American Ins. Co.*, 147 AD2d 353; *Pan Am. World Airways, Inc. v Aetna Cas. & Sur. Co.*, 505 F2d 989.) II. General Electric Company's alleged failure to warn does not constitute a single "unfortunate event." (*Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *McCarthy v Olin Corp.*, 119 F3d 148; *Liriano v Hobart Corp.*, 92 NY2d 232; *Colon ex rel. Molina v BIC USA, Inc.*, 199 F Supp 2d 53; *Santoro v Donnelly*, 340 F Supp 2d 464; *Codling v Paglia*, 32 NY2d 330; *In re Joint E. & S. Dists. Asbestos Litig.*, 762 F Supp 519; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339.) III. The lower courts' holdings that each claimant's exposure to a General Electric Company-manufactured turbine is a separate "occurrence" plainly comport with the parties' "reasonable expectations." (*Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *In re Prudential Lines, Inc.*, 158 F3d 65; *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 7 NY2d 222; *Allied Grand Doll Mfg. Co. v Globe Indem. Co.*, 15 AD2d 901.) IV. The courts below did not make any improper findings of material fact. (*Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Stroh Cos., Inc.*, 265 F3d 97; *Sam v Town of Rotterdam*, 248 AD2d 850; *Claus v John Hancock Mut. Life Ins. Co.*, 254 AD2d 102.)

Mendes & Mount, LLP, New York City (*Thomas J. Quinn, Eileen T. McCabe* and *Stephen T. Roberts* of counsel), for Certain Underwriters at Lloyd's, London, amici curiae. I. The policies require that the injury on which liability is predicated take place during the policy period. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *American Motorists Ins. Co. v Squibb & Sons*, 95 Misc 2d 222; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *Arthur A. Johnson Corp. v Indemnity*

Ins. Co. of N. Am., 7 NY2d 222; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Champion Intl. Corp. v Continental Cas. Co.*, 546 F2d 502; *Flinkote Co. v General Acc. Assur. Co.*, 410 F Supp 2d 875; *Allied Grand Doll Mfg. Co. v Globe Indem. Co.*, 15 AD2d 901; *In re Prudential Lines*, 158 F3d 65; *Aguirre v City of New York*, 214 AD2d 692.) II. The reasonable expectation test is an objective one. (*Little v Blue Cross of W. N.Y.*, 72 AD2d 200; *Zuckerberg v Blue Cross & Blue Shield of Greater N.Y.*, 108 AD2d 56, 67 NY2d 688; *Halper v Aetna Life Ins. Co. of Hartford, Conn.*, 42 Misc 2d 184, 44 Misc 2d 437, 24 AD2d 703, 17 NY2d 484; *Moshiko, Inc. v Seiger & Smith*, 137 AD2d 170, 72 NY2d 945; *Baker v Nationwide Mut. Ins. Co.*, 158 AD2d 794; *Metzger v Aetna Ins. Co.*, 227 NY 411; *AMBAC Indem. Corp. v Bankers Trust Co.*, 145 Misc 2d 52; *Commercial Union Ins. Co. v Lines*, 239 F Supp 2d 351, 378 F3d 204; *Champion Intl. Corp. v Continental Cas. Co.*, 546 F2d 502.)

OPINION OF THE COURT

GRAFFEO, J.

In this declaratory judgment action, we must determine whether, for purposes of exceeding annual “per occurrence” primary insurance policy limits to access excess insurance proceeds, defendant General Electric Company (GE) can group together as a single occurrence numerous personal injury claims arising from the exposure of individuals to asbestos insulation in GE turbines at work sites across the country. We agree with the courts below that, under the terms of the GE primary insurance policies, the claims present multiple occurrences.

In this case, GE seeks to obtain excess insurance coverage for asbestos-related personal injury claims brought by individuals who, between 1966 and 1986, were exposed to asbestos-containing insulation used in steam turbines manufactured by GE and installed at more than 22,000 sites throughout the United States. Although GE did not produce the asbestos-related products, for decades it designed, manufactured and, in some cases, installed custom turbines that were insulated with asbestos-containing products manufactured by others. In the typical personal injury case, a plaintiff sued GE on the theory that, with knowledge of the dangers of exposure to asbestos-containing products, it designed, manufactured, sold, installed and/or serviced turbines insulated with asbestos, without warning individu-

als working near its turbines of those dangers. Of all the asbestos exposure claims filed against GE, 95% arose from GE's turbine business.

Ordinarily, GE is only one of many defendants sued in an asbestos exposure case, with the manufacturers of the asbestos-containing insulation products, installation contractors and others also joined on various theories. As a result, GE's portion of a settlement or verdict in individual cases has been relatively small: as of 2002, over 400,000 asbestos-related claims had been filed against GE, with GE's share of each judgment averaging \$1,500. In the early 1990s, an escalation in the number of asbestos-related personal injury claims filed against GE led to this dispute between GE and its excess insurers over the treatment of asbestos-related personal injury claims under GE's primary general liability insurance policies in effect between 1966 and 1986.

From the 1950s to the 1990s, GE maintained general liability insurance with Electric Mutual Liability Insurance Company (EMLICO), an entity partially owned by GE and its employees. Annual premiums under the policies were calculated through a complicated formula that provided for retrospective payment by GE of a sum that was largely based on prior years' losses. Thus, the premium structure functioned much like a self-insurance retention or a deductible, with GE reimbursing EMLICO for claims EMLICO paid on GE's behalf.

Before 1966, the EMLICO policies contained a \$5 million per-occurrence liability limit and a \$10 million aggregate liability limit. From 1966 through 1986, the EMLICO policies retained a \$5 million per-occurrence limit (with the exception of the 1986 policy year, which had a \$25 million per-occurrence limit) but did not incorporate an aggregate liability limit. Under the retrospective premium formula, GE was generally required to compensate EMLICO for the payout related to each occurrence under \$5 million, regardless of the annual number or combined dollar value of the claims.

During the 1966-1986 time frame, GE also maintained excess liability insurance that supplied additional layers of coverage beyond the EMLICO limits. Most of GE's first and second layer general liability excess coverage policies were through Certain Underwriters at Lloyd's, London or the London Market Insurers (London). The excess insurers involved in this litigation subscribed to manuscript policies

for the excess coverage over EMLICO and, in most cases, the London policies. In this 20-year period, none of these excess insurance policies covered any claim that was less than the \$5 million per-occurrence coverage supplied by EMLICO. All of the excess insurance policies contained the following loss payable provision: “[l]iability under this policy with respect to any occurrence shall not attach unless and until the Insured, or the Insured’s underlying insurer, shall have paid the amount of the underlying limits on account of such occurrence.” As such, excess coverage for a claim was triggered only when the claim exceeded the \$5 million per-occurrence limit in the underlying EMLICO primary general liability policy.

The EMLICO policies define an occurrence as “an accident, event, happening or continuous or repeated exposure to conditions which unintentionally results in injury or damage during the policy period.” Until 1992, EMLICO treated each asbestos-related personal injury claim brought by an injured individual who alleged exposure during the relevant 20-year time frame as a separate “occurrence.” Because of the retrospective premium structure, the fact that none of the claims exceeded \$5 million and the absence of aggregate liability limits, the full cost of each claim was ultimately borne by GE.

The number of asbestos-related claims substantially increased in 1991, causing GE to object to EMLICO’s practice of treating each individual claim as a distinct “occurrence.” After negotiation, and without the participation of any of GE’s excess insurers, GE and EMLICO entered into a “Claims Handling Agreement” that required EMLICO to group asbestos-related personal injury claims by product type, meaning that all claims associated with a single product—here, turbines—would constitute a single occurrence with a \$5 million annual coverage limit. The agreement therefore allowed GE to combine claims to reach the \$5 million per-occurrence general liability policy ceiling, triggering access to GE’s excess insurance coverage.

GE’s resolution of its dispute with EMLICO created controversy between GE and its excess insurers because, by reducing the number of occurrences under the primary EMLICO policies, the agreement increased the number of instances when the \$5 million per-occurrence threshold would be exceeded, significantly expanding the exposure of GE’s excess carriers. This litigation was commenced in 1996 when Allstate Insurance

Company sued GE, EMLICO and numerous GE excess insurers, including Appalachian Insurance Company, seeking a declaration of the parties' rights and responsibilities relating to GE asbestos claims. Although other concerns were raised, the main issue was the propriety of GE's and EMLICO's construction of the term "occurrence" in the EMLICO general liability policies. Appalachian answered the complaint, pursuing counterclaims against Allstate and cross claims against GE and EMLICO. Other excess insurers similarly joined the action. When Allstate settled with GE and EMLICO, Supreme Court substituted Appalachian for Allstate as the lead plaintiff.

After extensive discovery, Appalachian and other excess insurers moved for summary judgment requesting a declaration that GE's primary policies had not been exhausted by the payment of the asbestos claims because each claim by an injured plaintiff represented a separate occurrence for purposes of the EMLICO policies and none of the claims came close to reaching the \$5 million per-occurrence limit. GE opposed the motion and cross-moved for summary judgment and a judicial declaration that the asbestos litigation arising from GE's turbine business was a single occurrence under each policy because all the claims could be traced to a single act of negligence—GE's failure to warn of the dangers of exposure to asbestos insulation in its turbines. Because the excess insurers were not parties to the "Claims Handling Agreement," GE acknowledged that they were not bound by the retroactive construction of the term "occurrence" in that agreement. The issue therefore distilled to one of contract interpretation: how the term "occurrence" in the 1966-1986 EMLICO policies should be interpreted in the asbestos exposure context.

Supreme Court granted the excess insurers' motion and denied GE's cross motion. Relying on our decision in *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.* (7 NY2d 222 [1959]), the court held that the focus should be on the event for which the insured is being held liable, not a point further back in the causal chain. Applying the "unfortunate event" test to the asbestos exposure claims, the court noted that the turbines were custom-designed based on the specific needs of GE customers, with little or no uniformity in the amounts or types of asbestos insulation incorporated in the design. Moreover, the exposure of the individual plaintiffs varied in duration and intensity and occurred over decades at more than 22,000 work sites throughout the nation. In sum, there was insufficient

temporal and spatial proximity among the claims to unify them as one occurrence. The court concluded that the exposure of each plaintiff to asbestos-containing insulation was the unfortunate event for which GE was being held liable. It therefore declared that the excess insurers were not obligated to provide excess coverage for individual claims that did not exceed the annual \$5 million per-occurrence limit in the EMLICO primary general liability policies.

The Appellate Division affirmed, reasoning that the operative occurrence under the definition in the EMLICO policies was the “last link in the causal chain leading to liability, i.e., the exposure of each individual claimant to asbestos contained in the turbines manufactured by the insured, rather than earlier events creating the potential for future injury” (19 AD3d 198 [2005]). This Court granted GE leave to appeal.¹

Under the excess insurance policies at issue here, GE is entitled to coverage only if the \$5 million per-occurrence policy limit in the underlying EMLICO general liability policies is exceeded. The rights and liabilities of the excess insurers turn on the meaning of the term “occurrence” in the EMLICO policies.

Our Court has previously addressed the standard to be applied in resolving whether a set of circumstances amounts to one accident or occurrence, or multiple accidents or occurrences, for purposes of resolving how much coverage is available under a third-party liability insurance policy. In *Arthur A. Johnson Corp. v. Indemnity Ins. Co. of N. Am.* (7 NY2d at 227-229), we described the three approaches used by courts to resolve the question: the sole-proximate-cause approach, which focuses on whether the injuries or losses can be traced to a single, originating cause; the one-accident-per-person approach, which depends on the number of individual claimants seeking recovery; and the unfortunate-event approach, which is based not solely on

1. Due to constitutional limitations on this Court’s jurisdiction over appeals from nonfinal orders, GE was granted leave to appeal only insofar as it sought relief against nine excess insurers for whom party-finality principles rendered the judgment final: Birmingham Fire Insurance Company of Pennsylvania, China America Insurance Company, Fremont Industrial Indemnity Company, Granite State Insurance Company, Insurance Company of the State of Pennsylvania, North River Insurance Company, Rampart Insurance Company, Riunione Adriatica DiSicurtà and Starnet Insurance Company. GE was denied permission to appeal with respect to the claims involving Appalachian and 30 other excess insurers. As the lead plaintiff, Appalachian was permitted to brief and argue the appeal.

the cause but on the nature of the incident giving rise to damages.

In *Johnson*, the issue was whether the collapse of two independent walls of adjoining buildings during an intense rainfall constituted one or two “accidents” for the purpose of determining whether the insured was entitled to coverage up to the “per-accident” liability limit for the breach of each wall. The Court adopted the unfortunate-event test and determined that there were two accidents, explaining:

“[W]e need only point out that it is agreed that, during a heavy rainfall, a protecting wall collapsed under the water pressure and destruction poured into a building. Almost an hour later, another wall gave way and water flooded another building. There is no suggestion that the collapse of the first wall caused the failure of the second . . . In addition, the catastrophe was not the rain—that, in itself, did not harm. It was the breach of the wall letting the rain water in. Furthermore, if the walls were located blocks away from each other on different job sites but subject to the same rainfall, no one could contest that there were two accidents” (*id.* at 230).

In *Hartford Acc. & Indem. Co. v Wesolowski* (33 NY2d 169 [1973]), the Court found no significant difference between the meaning of “accident” in the *Johnson* policy and the meaning of “occurrence” in resolving the extent of coverage under a policy with a “per occurrence” limit. The issue in *Wesolowski* was described as follows: “Where the insured’s automobile struck one oncoming vehicle, ricocheted off and struck a second more than 100 feet away, was there more than one ‘occurrence’ within the meaning of the provision fixing limits of liability in an automobile insurance policy?” (*Id.* at 170.) Applying the *Johnson* unfortunate-event test, we held that the three-car collision amounted to a single occurrence because “the two collisions here occurred but an instant apart” and “[t]he continuum between the two impacts was unbroken, with no intervening agent or operative factor” (33 NY2d at 174).

From our decisions in *Johnson* and *Wesolowski* several factors emerge as relevant to distinguishing injuries or losses that arise from a single occurrence as opposed to those that constitute multiple occurrences: whether there is a close temporal and spatial relationship between the incidents giving rise to injury or loss, and whether the incidents can be

viewed as part of the same causal continuum, without intervening agents or factors. Common causation is pertinent once the incident—the fulcrum of our analysis—is identified, but the cause should not be conflated with the incident.² In *Johnson*, we concluded that there had been multiple accidents, noting that 50 minutes elapsed between the wall collapses and there was an insufficient causal nexus between the two incidents since there was “no suggestion that the collapse of the first wall caused the failure of the second” or that the walls shared similar deficiencies traced to a common cause as it was not even clear that the two walls had been built at the same time by the same workers (7 NY2d at 230). But in *Wesolowski* an analysis of all three factors persuaded us that there had been a single occurrence—the three cars collided seconds apart, in close spatial proximity and without disruption by intervening causes or other factors.

The insurance policies we interpreted in *Johnson* and *Wesolowski* did not specifically define the terms “accident” and “occurrence” and parties to an insurance contract remain free to include language articulating a different approach. The question we face here is whether GE and EMLICO did so in the EMLICO policies. Those policies defined an occurrence as “an accident, event, happening or continuous or repeated exposure to conditions which unintentionally results in injury or damage during the policy period.”

As GE points out, the policies under review were drafted after we decided *Johnson*, at a time when general liability policies were shifting from “accident” to “occurrence” based. “The insurance industry changed to occurrence-based coverage in 1966 to make clear that gradually occurring losses would be covered so long as they were not intentional” (*Continental Cas. Co. v. Rapid-American Corp.*, 80 NY2d 640, 648 [1993]). By encompassing “continuous or repeated exposure to conditions,” as well as

2. For example, with respect to the automobile accident at issue in *Wesolowski*, the cause of the accident (whether it was speeding, reckless driving or the like), though active at the moment of the collisions, is distinct from the incident itself, and it is the incident, not the cause, that is subjected to the *Johnson* standard (indeed, causation is a factor in the *Johnson* test). In this case, assuming the cause of plaintiffs’ injuries was a failure to warn as GE contends, that does not transform the cause into the event giving rise to liability for purposes of the per-occurrence limit. If we were to focus only on discerning the common originating cause of multiple events as GE urges, we would not be applying the unfortunate-event test but rather the sole-proximate-cause test that we explicitly rejected in *Johnson*.

the sudden events traditionally associated with an accident, the occurrence model more readily embraced a wider range of liabilities—such as liability arising from asbestos exposure or contamination.

But as is evident from our decision in *Wesolowski*, the transition from accident to occurrence coverage had no impact on the process of determining whether injuries or losses could be grouped for purposes of per-occurrence liability limits. With regard to this issue, the term occurrence is synonymous with accident unless the parties include language in the policy indicating otherwise. We see nothing in the definition of occurrence in the EMLICO policies that suggests that GE and EMLICO had any such intent. The *Johnson* unfortunate-event standard, set forth in 1959, predated the first of the series of policies in this case by more than five years. Certainly, these sophisticated parties could have chosen to define occurrence in a manner that grouped incidents based on the approaches rejected in *Johnson* (such as the sole-proximate-cause model or the single-occurrence-per-claimant model) or adopted yet another approach not envisioned by the *Johnson* court.³ But they did not do so. We therefore conclude that the unfortunate-event standard governs the outcome of this appeal.

Applying that standard, the asbestos exposure claims GE seeks to join as one occurrence (per policy period) represent multiple occurrences. Using the language adopted by the parties in the EMLICO policies, the incident that gave rise to liability was each individual plaintiff's "continuous or repeated exposure" to asbestos. Before the exposures occurred, there was

3. There are many ways that parties to an insurance contract can provide for the grouping of claims. Some liability policies, including the excess insurance policies interpreted by the Connecticut Supreme Court in *Metropolitan Life Ins. Co. v Aetna Cas. & Sur. Co.* (255 Conn 295, 309, 765 A2d 891, 898 [2001]), contain expanded definitions of occurrence that, for example, allow "continuous or repeated exposure to substantially the same general conditions [to] be considered as arising out of one occurrence" (see also, *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208 [2002]), indicating an intent that certain types of similar claims be combined. In *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London* (96 NY2d 583 [2001]), we interpreted language in reinsurance treaties that allowed aggregation of claims in some circumstances, provided temporal and spatial relationships were present. What these cases demonstrate is that the parties to an insurance policy, like the parties to any contract, are free to determine the terms of their arrangement. If they intend to allow grouping of claims, they need only include language expressing that intent. There is no such language in the EMLICO policies.

only the potential that some unidentified claimant would someday be harmed by GE's alleged failure to warn. To be sure, the exposure to asbestos was not sudden—it was gradual and, for many plaintiffs, continued over a number of years. But that does not make it any less the operative incident or occasion giving rise to liability in this factual context.

Having determined that there were numerous exposure incidents, we must analyze the temporal and spatial relationships between the incidents and the extent to which they were part of an undisrupted continuum to determine whether they can, nonetheless, be viewed as a single unfortunate event—a single occurrence. Even if we were to assume that the continuum element was met here because the exposures share a common cause (as GE urges), the scenarios presented would fail the *Johnson* test because of the lack of any spatial or temporal relationship. On this record, it appears that the incidents share few, if any, commonalities, differing in terms of when and where exposure occurred, whether the exposure was prolonged and for how long, and whether one or more GE turbine sites was involved. Under the circumstances, there were unquestionably multiple occurrences and the excess insurers were entitled to a declaration to that effect.⁴

In reaching this conclusion we emphasize that the *Johnson* standard is not, as GE suggests, the equivalent of a one-occurrence-per-injured-party approach. Although there may be instances when application of the rule will result in each individual claimant representing a single occurrence, the standard can lead to the grouping of claims as occurred in *Wesolowski*. Nor does the rule necessarily bar excess coverage in multi-plaintiff mass tort contexts. Each mass tort scenario must be examined separately under the *Johnson* rule. There will undoubtedly be unfortunate occasions, such as a series of explosions, the accidental release of a hazardous substance or some other calamity, that will result in numerous injuries or losses. In those situations, the *Johnson* test may well allow the grouping of some or all of the claims for purposes of satisfying the per-occurrence limit, thereby triggering excess coverage.

4. We note that our conclusion is consistent with the results reached by the United States Court of Appeals for the Second Circuit when applying New York law to claims arising from asbestos exposure or contamination (see *In re Prudential Lines Inc.*, 158 F3d 65 [2d Cir 1998]; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178 [2d Cir 1995], *mod on other grounds* 85 F3d 49 [1996]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, SMITH and PIGOTT concur; Judges READ and JONES taking no part.

Order affirmed, with costs.

[864 NE2d 49, 832 NYS2d 125]

INA JEAN BINGHAM, Respondent, v NEW YORK CITY TRANSIT
AUTHORITY et al., Appellants.

Argued January 4, 2007; decided February 15, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an amended judgment of the Supreme Court, New York County (Emily Jane Goodman, J.), entered March 1, 2006. The Supreme Court awarded plaintiff money damages against defendants, upon her stipulation. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 17, 2006. The Appellate Division had modified, on the facts, a prior judgment of that Supreme Court awarding plaintiff, upon a jury verdict, the principal sums of \$2,000,000 for past pain and suffering and \$1,500,000 for future pain and suffering. The modification consisted of (1) vacating the awards for pain and suffering and (2) remanding the matter for a new trial solely upon the issue of damages for past and future pain and suffering, unless plaintiff stipulated to reduction of the award for past pain and suffering to \$1,000,000 and the award for future pain and suffering to \$750,000, and to entry of an amended judgment in accordance therewith.

Bingham v New York City Tr. Auth., 25 AD3d 433, affirmed.

HEADNOTE

Carriers — Duty of Care Owed to Passenger

A common carrier has a duty to exercise reasonable care to see that a stairwell or approach primarily used as a means of access to and egress from the carrier remains in a safe condition or, where appropriate, to take such precautions or give such warnings as would protect those using such area against unforeseen danger. Accordingly, defendants New York City Transit Authority and Metropolitan Transportation Authority were liable for injuries sustained by plaintiff, who fell while descending a stairway to the New York City subway when her foot caught on a metal strip protruding from one of the steps. Although defendants did not own the stairway, where the evidence at trial was sufficient to show that the stairway was used primarily for access to and from the subway, they had a duty to maintain it or to warn patrons of any dangerous condition, and such duty could not be delegated to another.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Carriers § 1126; AM JUR 2d, Premises Liability
§§ 30, 32, 35, 37.

NY JUR 2d, Carriers § 183; Premises Liability §§ 176, 177, 183, 184, 327.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:164, PJI 2:166.

PROSSER AND KEETON, TORTS (5th ed) § 61.

ANNOTATION REFERENCE

See ALR Index under Carriers; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: subway /s stair! & duty /4 maintain

POINTS OF COUNSEL

Lawrence Heisler, Brooklyn, and *Wallace D. Gossett* for appellants. I. The rule obligating common carriers, and only common carriers, to maintain and repair property they neither own nor control, the only liability theory submitted to the jury, cannot be reconciled with principle or recent precedent. Since plaintiff fell on property which the New York City Transit Authority neither controlled nor had a right to maintain, she had no case against it. (*Adams v New York City Tr. Auth.*, 88 NY2d 116; *Bethel v New York City Tr. Auth.*, 92 NY2d 348; *Ritto v Goldberg*, 27 NY2d 887; *Chapman v Silber*, 97 NY2d 9; *Juarez v Wavcrest Mgt. Team*, 88 NY2d 628; *Putnam v Stout*, 38 NY2d 607; *City of Rochester v Campbell*, 123 NY 405; *Poirier v City of Schenectady*, 85 NY2d 310; *Kaufman v Silver*, 90 NY2d 204; *D'Ambrosio v City of New York*, 55 NY2d 454.) II. Plaintiff failed to carry her burden of proving that the New York City Transit Authority was liable under the common carrier rule. Plaintiff failed to prove that the stairway was used for subway-related purposes, whether exclusively, the correct view, or even predominantly, plaintiff's understanding of the rule. (*Strouse v United Parcel Serv.*, 277 AD2d 993; *S.L. Benfica Transp., Inc. v Rainbow Media, Inc.*, 13 AD3d 348; *Sackman-Gilliland Corp. v Senator Holding Corp.*, 43 AD2d 948; *Meekins v Town of Riverhead*, 20 AD3d 399.) III. The trial court erred in charging the jury that under the common carrier doctrine, the New York City Transit Authority could be liable if the stairway was "constantly" or "notoriously" used as a pathway into the station. Thus, even if the common carrier doctrine remains sound, and even if a jury might have found that the stairway was used exclusively by subway passengers, the erroneous charge mandates a new trial. (*Fortson v New York City Tr. Auth.*, 111

AD2d 58; *Garcia v Arbern Realty Co.*, 89 AD2d 616; *Ceron v City of New York*, 277 AD2d 7; *Pena v New York City Tr. Auth.*, 237 AD2d 150.) IV. The Metropolitan Transportation Authority, whose role is limited to financing and planning, cannot be liable for a tort allegedly committed by the New York City Transit Authority. (*Soto v New York City Tr. Auth.*, 6 NY3d 487; *Cusick v Lutheran Med. Ctr.*, 105 AD2d 681; *Adams v New York City Tr. Auth.*, 140 AD2d 572.)

Ginsberg & Katsorhis, P.C., Flushing (*Kerry John Katsorhis* of counsel), for respondent. I. Under long-standing precedent in this Court, defendant-appellant New York City Transit Authority has a duty to use reasonable care to maintain the safety of or to warn of hazardous conditions existing on a stairway constantly and notoriously used by its passengers as a means of approach to its subway station. (*O'Hara v New York City Tr. Auth.*, 248 AD2d 138; *Fortson v New York City Tr. Auth.*, 111 AD2d 58; *Bruno v Vernon Park Realty*, 2 AD2d 770; *Schlessinger v Manhattan Ry. Co.*, 49 Misc 504; *Ceron v City of New York*, 277 AD2d 7; *Pena v New York City Tr. Auth.*, 237 AD2d 150; *Haberlin v New York City Tr. Auth.*, 228 AD2d 383; *Calamari v New York City Tr. Auth.*, 159 Misc 2d 195; *Lewis v Metropolitan Transp. Auth.*, 99 AD2d 246, 64 NY2d 670.) II. Defendants-appellants exercise control over the stairway at issue pursuant to their easement. (*Kaufman v Silver*, 90 NY2d 204; *Sutera v Go Jokir, Inc.*, 86 F3d 298; *Bethel v New York City Tr. Auth.*, 92 NY2d 348; *Lewis v Metropolitan Transp. Auth.*, 99 AD2d 246, 64 NY2d 670; *Lafflin v Buffalo & S.W. R.R. Co.*, 106 NY 136.) III. Defendants-appellants' easement constitutes an independent basis for liability under the special use doctrine. (*Kaufman v Silver*, 90 NY2d 204.) IV. Defendants-appellants' easement constitutes an independent basis for liability in itself. (*Sutera v Go Jokir, Inc.*, 86 F3d 298; *Piluso v Bell Atl. Corp.*, 305 AD2d 68; *Herman v Roberts*, 119 NY 37; *Tagle v Jakob*, 97 NY2d 165; *Greenfarb v R. S. K. Realty Corp.*, 256 NY 130, 678; *Cesario v Chiapparine*, 21 AD2d 272; *Trustees of Town of Southampton v Jessup*, 162 NY 122; *Taylor v Millard*, 118 NY 244; *Raksin v Crown-Kingston Realty Assoc.*, 254 AD2d 472; *Thomassen v J&K Diner*, 152 AD2d 421, 76 NY2d 771.) V. The jury charge given by the court below was taken directly from the Court of Appeals' decision in this case. VI. Defendants-appellants' attempt to distinguish between the New York City Transit Authority and the Metropolitan Transportation Authority was not preserved for appeal. (*Cusick v Lutheran Med. Ctr.*, 105 AD2d 681; *Soto v New York City Tr. Auth.*, 6 NY3d 487; *Adams v New York City Tr. Auth.*, 140 AD2d 572.)

OPINION OF THE COURT

PIGOTT, J.

In November 1995, plaintiff Ina Jean Bingham was injured when she fell while descending a stairway used as a means of access to and egress from the New York City subway. Plaintiff alleges that her foot caught on a metal strip protruding from one of the steps, causing her fall. She brought suit against the New York City Transit Authority and the Metropolitan Transportation Authority (collectively the Transit Authority), asserting, among other things, failure to keep and maintain the stairway in a proper and safe condition and failure to provide notice or warning of the defective condition.

The Transit Authority moved to dismiss the complaint arguing it neither owned nor maintained the stairway. Supreme Court granted the motion dismissing plaintiff's complaint, and the Appellate Division affirmed, holding that the Transit Authority established that it did not own the stairway and that, as a mere common user of the stairway, it was under no duty to maintain it for the benefit of its patrons.

This Court granted leave, reversed the Appellate Division's order and reinstated the complaint, holding that the Transit Authority's submissions were insufficient to establish that it was merely a common user of the stairway in question. We declined to reach the more fundamental issue raised by the Transit Authority, i.e., whether the common carrier rule, as stated in *Schlessinger v Manhattan Ry. Co.* (49 Misc 504 [1906]), should be abandoned in light of this Court's decisions in *Adams v New York City Tr. Auth.* (88 NY2d 116 [1996]), *Kaufman v Silver* (90 NY2d 204 [1997]), and *Bethel v New York City Tr. Auth.* (92 NY2d 348 [1998]), because that argument had not been preserved for our consideration (see *Bingham v New York City Tr. Auth.*, 99 NY2d 355 [2003]).

Following our decision, the matter proceeded to trial before a jury. At the conclusion of proof, the Transit Authority requested Supreme Court to charge the jury that, unless plaintiff had established that the stairway was used exclusively for subway purposes, she had failed to state a cause of action and her suit should be dismissed. Plaintiff, on the other hand, requested a charge that the Transit Authority would be liable if at the time of plaintiff's fall, the stairway was used by passengers constantly and notoriously as a means of approach. Supreme Court rejected the Transit Authority's argument, and charged the jury as requested by plaintiff.

The jury returned a verdict in favor of plaintiff and the Transit Authority appealed. The Appellate Division modified by vacating the award for pain and suffering and remanding the matter for a new trial solely on the issue of damages unless plaintiff stipulated to a reduced award. Plaintiff so stipulated and a judgment was entered on the stipulation. This Court granted leave from that judgment to bring up for review the Appellate Division order, and we now affirm.

Courts have long recognized that the duty of care imposed on a common carrier with respect to its passengers requires not only that it keep the transportation vehicle safe, but also that it maintain a safe means of ingress and egress for the use of its passengers (see *Kelly v Manhattan Ry. Co.*, 112 NY 443 [1889]). This duty has been applied to those areas owned and maintained by others if “constantly and notoriously” used by passengers as means of approach (see *Schlessinger v Manhattan Ry. Co.*, 49 Misc 504, 505 [1906]). This rule, as enunciated in *Schlessinger*, has been recognized not only in New York (see *Ambriano v Town of Oyster Bay*, 266 AD2d 415 [2d Dept 1999]; *Haberlin v New York City Tr. Auth.*, 228 AD2d 383 [1st Dept 1996]; *Fortson v New York City Tr. Auth.*, 111 AD2d 58 [1st Dept 1985]; *Bruno v Vernon Park Realty*, 2 AD2d 770, 771 [2d Dept 1956]), but also in other jurisdictions (see e.g. *Buchner v Erie R.R. Co.*, 17 NJ 283, 111 A2d 257 [1955]; *Cotant v Boone Suburban Ry. Co.*, 125 Iowa 46, 99 NW 115 [1904]; *Skottowe v Oregon Short Line & U.N. Ry. Co.*, 22 Ore 430, 30 P 222 [1892], *affd* 162 US 490 [1896]; *Beard v Connecticut & Passumpsic Rivs. R.R. Co.*, 48 Vt 101 [1875]).

Several courts, in interpreting this rule, have held that the duty applies only where an approach is used “exclusively” to provide passengers access to the carrier (see *O’Hara v New York City Tr. Auth.*, 248 AD2d 138 [1st Dept 1998]; *Haberlin*, 228 AD2d 383 [1996]). These courts have not applied the rule where the approach was used as a means of access to businesses or tenants in addition to the carrier (see e.g. *O’Hara*, 248 AD2d 138 [1998]; *Pena v New York City Tr. Auth.*, 237 AD2d 150 [1st Dept 1997]; see also *Valladares v New York City Tr. Auth.*, 208 AD2d 471 [1st Dept 1994]).

Where, as here, a stairwell or approach is primarily used as a means of access to and egress from the common carrier, that carrier has a duty to exercise reasonable care to see that such means of approach remain in a safe condition or, where appropriate, to take such precautions or give such warnings as

would protect those using such area against unforeseen danger. Whether those means of ingress or egress are used primarily for that purpose would generally be a question of fact.

Contrary to the Transit Authority's urging, our decisions in *Bethel* and *Adams* do not lead us to a different result. In *Adams*, we held that the special rule of "absolute liability" imposed on a carrier for the tortious acts of its employees was no longer practicable. Similarly, in *Bethel*, we held that a common carrier is no longer subject to a higher standard of care in transporting its passengers, but rather is subject to the same duty as any other potential tortfeasor.

While *Adams* and *Bethel* brought important aspects of the law governing common carriers in line with general tort law, they did not eliminate all distinctions between common carriers and other alleged tortfeasors. We therefore conclude that the *Schlessinger* rule should be retained, at least as applied to areas that serve primarily for ingress and egress to a subway or other similar station that is served by a single carrier.* This long-settled rule is undoubtedly consistent with the expectations both of carriers and their patrons, expectations that may be relied on by property owners in allocating control over and responsibility for these areas, as well as by lawyers advising injured clients. A subway patron in the position of plaintiff here would surely be surprised to learn that the New York City Transit Authority had no duty to provide her with a stairway on which she could safely descend to the subway, and we see no good reason to hold that that duty is abolished.

In the case before us, the evidence at trial was sufficient to establish that the stairway in question was used primarily as a means of access to and from the subway. Therefore, defendants had a duty to maintain the stairway or to warn patrons of any dangerous condition. So imperative is the duty to provide a safe means of access to and from the subway that such duty may not be delegated to another. Thus, even if the responsibility to maintain the stairway resides in another entity, defendants may not avoid their responsibility to "at least provide against injury to its passengers by erecting such barricades, or giving such warning, as [would] guard against accidents" (*Schlessinger*, 49 Misc at 505).

* We note that this duty of care imposed on a carrier to keep approaches and platforms safe has not been extended to common areas in a multi-carrier facility (see generally *Raffile v Tower Air*, 264 AD2d 721 [2d Dept 1999]).

Accordingly, the judgment of Supreme Court appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

GRAFFEO, J. (dissenting). Based on the jury verdict, there is no question that plaintiff's injuries arose from a hazardous condition on a stairway. The question here is whether the Transit Authority, as a common carrier, is responsible for plaintiff's damages even though it did not own, occupy or control the defective premises. This inquiry turns on whether this Court should adopt a rule, developed by the Appellate Term in 1906 in *Schlessinger v Manhattan Ry. Co.* (49 Misc 504 [App Term 1906]), that would hold the Transit Authority liable for injuries on property that is owned, maintained, and controlled by others, but is traversed by passengers on their way to and from subway stations. In my view, the *Schlessinger* rule of premises liability is outmoded and, consistent with our recent precedents, common carriers should be required only to maintain property they own, occupy or control.

This issue first came to our attention in 2003 when we decided *Bingham v New York City Tr. Auth.* (99 NY2d 355 [2003] [*Bingham I*]). In *Bingham I*, the injured plaintiff appealed the grant of summary judgment dismissing her complaint. As part of their motion papers, defendants submitted evidence indicating that they did not own, control or maintain the stairwell where plaintiff fell and asserting that the stairway was not used exclusively by subway patrons. Defendants had, however, failed to raise in the motion court the argument they pursued on appeal—that the *Schlessinger* rule should be abandoned. As a result, we did not reach that question. Instead, we reversed the order granting summary judgment and remitted on the ground that an issue of fact existed as to “the alleged common use of the stairway” by businesses or tenants in addition to subway patrons (*Bingham I*, 99 NY2d at 359), a reference to the First Department's version of the *Schlessinger* rule.

On remittal, the case proceeded to trial, with the Transit Authority raising the issue that it had not preserved in *Bingham I*. During the charge conference, defendants argued that, like other special common carrier rules that are no longer viable, the *Schlessinger* rule should be abandoned in favor of a rule that does not distinguish common carriers from other defendants, holding them liable only for defects on property they own, occupy or control. The Transit Authority also took issue with plaintiff's iteration of the *Schlessinger* rule, under

which the jury would be charged that the Transit Authority could be held liable if the stairway was used “openly and notoriously” by subway patrons. The trial court rejected the Transit Authority’s arguments without explanation and charged the jury as requested by plaintiff. The jury found in plaintiff’s favor and, after the Appellate Division declined to disturb the liability finding, the Transit Authority pursued its appeal to this Court.

We now must decide whether the *Schlessinger* rule remains viable in light of our recent common carrier cases and modern premises liability rules. Although no one disputes that the Transit Authority has a duty to maintain approaches and subway platforms—the areas it clearly controls (*see Lewis v Metropolitan Transp. Auth.*, 99 AD2d 246 [1st Dept 1984], *affd for reasons stated* 64 NY2d 670 [1984])—our Court has never adopted the *Schlessinger* rule. As is evident from the majority opinion, in New York the rule has had limited reach, having been applied primarily to subway or train operators in metropolitan areas; the majority does not cite any upstate appellate court decision relying on the rule. In my view, the *Schlessinger* rule should not now be embraced by this Court, even in the restricted context of this case.

By applying the *Schlessinger* rule, the majority backtracks from the progress of the law in discarding specialized rules of liability, especially where common carriers are concerned. In the past decade, we retired several of the heightened duty and standard of care rules that had historically applied to common carriers. In *Adams v New York City Tr. Auth.* (88 NY2d 116 [1996]), the Court dispensed with the 100-year-old rule that had imposed vicarious liability on common carriers for all acts of their employees, including acts outside the scope of employment, in favor of a more modern rule treating common carriers like other employers. Likewise, in *Bethel v New York City Tr. Auth.* (92 NY2d 348 [1998]), the Court departed from its long-standing precedent that a common carrier is held to a standard of “extraordinary care” for injuries sustained by passengers while in transit, establishing that the reasonable person standard of care applicable to all other tortfeasors also applied to common carriers. In reaching these conclusions, the Court noted that the historic reasons for treating common carriers differently from other tortfeasors no longer made sense given that public transportation, such as rail travel, had become as safe as private means of transport (*id.* at 353, citing *Adams*, 88 NY2d at 121). The trend away from specialized common carrier rules reflects

the broader trend in real property law, as exemplified by *Basso v Miller* (40 NY2d 233 [1976]), which dispensed with specialized standards of care that depended on the status of the injured party as a licensee, invitee or trespasser, instead adopting an across-the-board standard of reasonable care under the circumstances. The most recent precedent from other jurisdictions relied on by the majority was decided in 1955—long before our Court began the shift away from specialized common carrier and premises liability rules.

Similar to the specialized common carrier rules we abandoned in *Bethel* and *Adams*, the *Schlessinger* rule is inconsistent with the legal principles applicable to other defendants in negligence actions. Absent evidence that a party created a dangerous condition, liability for a premises defect is generally predicated on ownership, occupancy or control. This is reflected in the standard Pattern Jury Instructions charge, which states simply that “[t]he (owner, possessor) of (land, a building) has a duty to use reasonable care to keep the premises in a reasonably safe condition for the protection of all persons whose presence is reasonably foreseeable” (PJI 2:90 [2007]). There is a PJI common carrier charge, but it is far narrower than the rule the majority adopts today. It states that “[a] carrier owes a duty to its (passenger, prospective passenger) to provide a reasonably safe place to (get on, get off) its vehicle” (PJI 2:166 [2007]). The rule reflected in the PJI charge does not require the Transit Authority or any other common carrier to enter onto or maintain property it does not own, occupy or control. Moreover, in the context of this case, there is no tension between these two PJI charges because the Transit Authority generally controls the subway approaches and platforms where patrons enter and exit subway trains. The stairway where the plaintiff in this case fell led to an area adjacent to a subway platform—there is no claim that the Transit Authority neglected its duty to provide plaintiff with a safe place to get on or off a train.

Beyond its incompatibility with modern trends, the majority rule is troubling because it results in a party being held liable for a condition that it did not create and lacks the power to ameliorate. Where the Transit Authority does not own, occupy or control property, it is not well-positioned to ensure that the property is free of hazardous conditions. A common carrier has no greater right than any other neighbor to enter and repair a defective condition on property owned, occupied or controlled by another, or to erect the barriers or warning signs suggested by the majority.

The majority's rule will undoubtedly prove difficult to apply fairly. The duty to maintain property ordinarily arises from a party's legal relationship to that property, often created by deed, lease, easement or contract*—a relationship that can be established by objective proof at trial. Here, the duty to maintain embraced by the majority turns on an amorphous standard: whether the property was used “primarily” by subway patrons at the time of the accident. Under this standard, a duty can come into and out of existence depending on circumstances outside a common carrier's control, such as the number and type of businesses that may also attract persons who walk across the property in question. The majority's formulation even differs from that applied by the First Department, which has held the Transit Authority liable only if the area where the accident occurred is used exclusively by subway patrons (see *Ceron v City of New York*, 277 AD2d 7 [1st Dept 2000]; *O'Hara v New York City Tr. Auth.*, 248 AD2d 138 [1st Dept 1998]; *Pena v New York City Tr. Auth.*, 237 AD2d 150 [1st Dept 1997]; *Haberlin v New York City Tr. Auth.*, 228 AD2d 383 [1st Dept 1996]; *Fortson v New York City Tr. Auth.*, 111 AD2d 58, 58 [1st Dept 1985]). Putting aside the dilemma the Transit Authority now faces in predicting which neighboring properties it must inspect and maintain, this rule will create difficulties for juries and lead to inconsistent results, with one jury finding that the Transit Authority had a duty to maintain a particular property while another may reach the opposite conclusion with respect to the same location.

For all of these reasons, I respectfully dissent and would reverse the judgment and grant summary judgment to defendants dismissing the complaint.

Chief Judge KAYE and Judges CIPARICK and SMITH concur with Judge PIGOTT; Judge GRAFFEO dissents and votes to reverse in a separate opinion; Judges READ and JONES taking no part.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

* Even obligations created by contract “will generally not give rise to tort liability in favor of a third party” (*Espinal v Melville Snow Contrs.*, 98 NY2d 136, 138 [2002]; see also, *Church v Callanan Indus.*, 99 NY2d 104, 111 [2002]).

[863 NE2d 1001, 831 NYS2d 749]

IVEY WALTON et al., Appellants, v NEW YORK STATE DEPARTMENT OF CORRECTIONAL SERVICES et al., Respondents.

Argued January 9, 2007; decided February 20, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 19, 2006. The Appellate Division affirmed an order and judgment of the Supreme Court, Albany County (George B. Ceresia, Jr., J.), which had dismissed the petition, in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, to enjoin respondent Department of Correctional Services from collecting certain commissions on a contract with respondent MCI Worldcom Communications, Inc.

Walton v New York State Dept. of Correctional Servs., 25 AD3d 999, modified.

HEADNOTES**Proceeding against Body or Officer — Mandamus — Challenge to Inmates' Collect-Call Telephone System**

1. CPLR article 78 review, in the nature of “mandamus to review” (CPLR 7803 [3]), was available to petitioners, recipients of collect calls from respondent Department of Correctional Services (DOCS) inmates, who sought to enjoin DOCS from collecting a 57.5% commission on its 2001 contract with respondent telephone corporation, which provided the subject telephone system and service. While a challenge to the validity of legislation may not be brought under article 78, this principle does not apply to the quasi-legislative acts and decisions of administrative agencies such as DOCS. Here, petitioners were challenging an administrative determination—DOCS’s decision to provide a collect-call-only telephone system to inmates and to require the telephone corporation it exclusively contracted with to pay it substantial commissions—by challenging the contracts making that determination binding on others.

Limitation of Actions — Four-Month Statute of Limitations — Challenge to Inmates' Collect-Call Telephone System

2. In a combined action for declaratory judgment and proceeding pursuant to CPLR article 78 commenced on February 26, 2004 by petitioners, recipients of collect calls from respondent Department of Correctional Services (DOCS) inmates, seeking to enjoin DOCS from collecting a 57.5% commission on its 2001 contract with respondent telephone corporation, which provided the subject telephone system and service, petitioners’ constitutional claims were timely (CPLR 217 [1]). The 2001 contract, as modified by the May 2003 amendment, which altered the call rate, became ripe for judicial review only when the Public Service Commission (PSC) approved, in an order issued on October

30, 2003, the “jurisdictional portion of the proposed rate.” DOCS’s determination remained subject to corrective action by DOCS until the date of the PSC order, and petitioners did not exhaust available administrative remedies until the PSC review was complete.

Appeal — Court of Appeals

3. In a combined action for declaratory judgment and proceeding pursuant to CPLR article 78 commenced by petitioners, recipients of collect calls from respondent Department of Correctional Services (DOCS) inmates, seeking to enjoin DOCS from collecting a 57.5% commission on its 2001 contract with respondent telephone corporation, which provided the subject telephone system and service, the Court of Appeals, after finding petitioners’ constitutional claims timely, remitted the matter to Supreme Court for determination as to whether those claims stated a cause of action. Although the Court of Appeals may consider alternative legal grounds raised at but not addressed by the Appellate Division, the preferable, more prudent corrective action is remittal.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 815, 817; AM JUR 2d, Limitation of Actions §§ 74, 147, 148; AM JUR 2d, Mandamus §§ 90, 91, 124–126.
CARMODY-WAIT 2d, Limitation of Actions § 13:186; Appeals to the Court of Appeals §§ 71:158, 71:159; Proceeding Against a Body or Officer §§ 145:159, 145:182, 145:190, 145:194, 145:1542.
McKINNEY’S, CPLR 217 (1); 7803 (3).
NY JUR 2d, Appellate Review §§ 781, 782; NY JUR 2d, Article 78 and Related Proceedings §§ 100, 103, 148, 151; NY JUR 2d, Limitations and Laches §§ 51, 59, 194.
SIEGEL, NY PRAC §§ 35, 40, 545.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Limitation of Actions; Mandamus.

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Query: mandamus /3 review & quasi-legislative /s agency

POINTS OF COUNSEL

Center for Constitutional Rights, New York City (*Rachel Meeropol*, *Barbara J. Olshansky* and *William Goodman* of counsel), and *Community Service Society* (*Juan Cartagena* and *Craig Acorn* of counsel) for appellants. I. The courts below erred in dismissing counts II–VI as time-barred. (*Neufeld v Neufeld*, 910 F Supp 977; *Colrick v Swinburne*, 105 NY 503; *General*

Precision v Ametek, Inc., 20 NY2d 898; *Uline v New York Cent. & Hudson Riv. R.R. Co.*, 101 NY 98; *Covington v Walker*, 3 NY3d 287; *Matter of Burke v Sugarman*, 35 NY2d 39; *Matter of Hacker v State Liq. Auth. of State of N.Y.*, 19 NY2d 177; *Green v Petersen*, 218 NY 280; *Bullard v State of New York*, 307 AD2d 676; *Commack Self-Serv. Kosher Meats v State of New York*, 270 AD2d 687.) II. The courts below erred in dismissing count I, seeking enforcement of the Public Service Commission order. (*People ex rel. Public Serv. Commn. of State of N.Y. v New York Tel. Co.*, 262 App Div 440, 287 NY 803; *United States v American Tel. & Tel. Co.*, 57 F Supp 451, *affd sub nom. Hotel Astor v United States*, 325 US 837.) III. The lower courts erred in failing to assess appellants' properly pleaded and supported claims. (*American Ins. Assn. v Lewis*, 50 NY2d 617; *Matter of Torsoe Bros. Constr. Corp. v Board of Trustees of Inc. Vil. of Monroe*, 49 AD2d 461; *New York Tel. Co. v City of Amsterdam*, 200 AD2d 315; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158; *Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613; *People ex rel. Public Serv. Commn. of State of N.Y. v New York Tel. Co.*, 262 App Div 440, 287 NY 803; *United States v American Tel. & Tel. Co.*, 57 F Supp 451, *affd sub nom. Hotel Astor v United States*, 325 US 837; *Castle Oil Corp. v City of New York*, 89 NY2d 334; *Greater Poughkeepsie Lib. Dist. v Town of Poughkeepsie*, 81 NY2d 574; *Yonkers Racing Corp. v State of New York*, 131 AD2d 565.)

Andrew Cuomo, Attorney General, Albany (Victor Paladino, Caitlin J. Halligan, Daniel Smirlock and Andrea Oser of counsel), for New York State Department of Correctional Services, respondent. I. All but two of petitioners' claims are time-barred. (*New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of United Health Servs. v Cuomo*, 180 AD2d 172; *Matter of New York State Conference of Blue Cross & Blue Shield Plans v Cooper*, 173 AD2d 60; *Matter of Konski Engrs. v Levitt*, 69 AD2d 940; *Matter of Gross v Perales*, 72 NY2d 231; *Ozanam Hall of Queens Nursing Home v State of New York*, 241 AD2d 670; *Health Servs. Med. Corp. of Cent. N.Y. v Chassin*, 175 Misc 2d 621, 259 AD2d 1053; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.) II. The filed rate doctrine bars petitioners' claims. (*Bullard v State of New York*, 307 AD2d 676; *Matter of Cahill v Public Serv. Commn.*, 113 AD2d 603, 69 NY2d 265, 484 US 830; *Wegoland Ltd. v NYNEX Corp.*, 27 F3d

17; *Porr v NYNEX Corp.*, 230 AD2d 564, 91 NY2d 807; *Marcus v AT&T Corp.*, 138 F3d 46; *City of New York v Aetna Cas. & Sur. Co.*, 264 AD2d 304; *Matter of KLCR Land Corp. v Public Serv. Commn. of State of N.Y.*, 20 AD3d 849; *Matter of Independent Payphone Assn. of N.Y. v Public Serv. Commn. of State of N.Y.*, 5 AD3d 960, 3 NY3d 607.) III. The petition fails to state a cause of action. (*Matter of Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 135 AD2d 4, 72 NY2d 840; *Matter of Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 117 AD2d 156; *Arsberry v Illinois*, 244 F3d 558, 534 US 1062; *Video Aid Corp. v Town of Wallkill*, 85 NY2d 663; *City of Rochester v Chiarella*, 58 NY2d 316, *cert denied sub nom. Quality Packaging Supply Corp. v City of Rochester*, 464 US 828; *Community Health Plan v Burckard*, 3 AD3d 724; *Courtroom Tel. Network LLC v State of New York*, 5 NY3d 222; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Matter of Montgomery v Coughlin*, 194 AD2d 264, 83 NY2d 905; *Bell v Wolfish*, 441 US 520.) IV. If these claims may be maintained only in a declaratory judgment action, petitioners' refund claims must be dismissed for lack of subject matter jurisdiction. (*Niagara Mohawk Power Corp. v City School Dist. of City of Troy*, 59 NY2d 262; *Parsa v State of New York*, 64 NY2d 143; *Guaranty Trust Co. of N.Y. v State of New York*, 299 NY 295; *Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87; *Alston v State of New York*, 97 NY2d 159; *Main Evaluations v State of New York*, 296 AD2d 852; *Ouziel v State of New York*, 174 Misc 2d 900; *Matter of Gross v Perales*, 72 NY2d 231; *Weissman v Evans*, 56 NY2d 458; *Morell v Balasubramanian*, 70 NY2d 297.)

Steptoe & Johnson LLP, Washington, D.C. (*Anthony C. Epstein*, admitted pro hac vice, of counsel), and *Phillips Lytle LLP*, Albany (*Kelly M. Lester* and *William Christ* of counsel), for MCI Worldcom Communications, Inc., respondent. I. MCI Worldcom Communications, Inc. complied with the Public Service Commission order. II. Commissions to property owners are a standard and legitimate cost of providing payphone service that telephone companies recover in their tariffed rates. (*People ex rel. Public Serv. Commn. of State of N.Y. v New York Tel. Co.*, 262 App Div 440, 287 NY 803; *United States v American Tel. & Tel. Co.*, 57 F Supp 451, *affd sub nom. Hotel Astor v United States*, 325 US 837.)

Steven Banks, New York City, *John Boston*, *Milton Zelermyer*, *Esmeralda Simmons*, Brooklyn, and *Robin Steinberg*, Bronx, for Legal Aid Society of the City of New York and others, amici cu-

riae. The decision below protects a practice that unfairly and disproportionately impacts poor or low-income individuals and families, and impairs the ability of legal services organizations to provide representation, legal advice and other assistance to prisoners. (*Matter of Burke v Sugarman*, 35 NY2d 39; *Matter of Cahill v Public Serv. Commn.*, 113 AD2d 603, 69 NY2d 265; *Allen v Blum*, 58 NY2d 954; *Matter of Zuckerman v Board of Educ. of City School Dist. of City of N.Y.*, 44 NY2d 336.)

David Loftis, New York City, *Barry C. Scheck* and *Peter J. Neufeld* for Innocence Project, Inc. and another, amici curiae. I. The Constitution provides for the preservation of familial relationships during incarceration. (*Turner v Safley*, 482 US 78; *Pell v Procunier*, 417 US 817; *Morgan v LaVallee*, 526 F2d 221; *Thornburgh v Abbott*, 490 US 401; *Roberts v United States Jaycees*, 468 US 609; *Kentucky Dept. of Corrections v Thompson*, 490 US 454.) II. Prisoners have a First Amendment right to make telephone calls; exorbitant rates may not be charged so as to deprive access by prisoners. (*Johnson v Galli*, 596 F Supp 135; *Washington v Reno*, 35 F3d 1093; *Johnson v State of Cal.*, 207 F3d 650; *Strandberg v City of Helena*, 791 F2d 744; *Hutchings v Corum*, 501 F Supp 1276; *Moore v Janing*, 427 F Supp 567; *Procunier v Martinez*, 416 US 396; *Thornburgh v Abbott*, 490 US 401; *Houchins v KQED, Inc.*, 438 US 1; *Overton v Bazetta*, 539 US 126.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Eric A. Tirschwell*, *Keith M. Donoghue*, *Erin E. Oshiro* and *Aaron S. Fleisher* of counsel), for the Sentencing Project and others, amici curiae. I. The return of prisoners to communities throughout the state is a recognized public policy concern of surpassing magnitude. II. Studies of recidivism uniformly demonstrate that prisoners who maintain close social ties are less likely to engage in crime following release from custody. III. Closer social ties assist former prisoners in managing a range of issues which might otherwise precipitate a return to crime, while also mitigating the effects of incarceration on families and communities. IV. Telephone calls are essential to prisoners' preservation of social ties. (*Washington v Reno*, 35 F3d 1093; *Tucker v Randall*, 948 F2d 388.) V. The importance of prison telephone communications has occasioned calls for reform. (*City of New York v State of New York*, 40 NY2d 659.)

Office of the Public Advocate for the City of New York, New York City (*Mary Mastropaolo* of counsel), for Betsy Gotbaum

and others, amici curiae. The lower court rulings are in contrast with telephone customers' constitutional and other legal rights and thereby protect a practice that unjustly affects New York City's most vulnerable residents and communities. A careful examination clearly illustrates that New York City residents are exploited by this unlegislated tax.

Cassie M. Pierson, San Francisco, California, for Legal Services for Prisoners with Children and others, amici curiae. I. Contact between incarcerated adults and their family members is difficult. II. The high cost of telephone calls has an adverse effect on parents, children and other relatives of persons incarcerated in New York State prisons.

OPINION OF THE COURT

PIGOTT, J.

Petitioners are recipients of collect calls from New York State Department of Correctional Services (DOCS) inmates. They commenced suit seeking to enjoin DOCS from collecting a 57.5% commission on its 2001 contract with MCI Worldcom Communications, Inc. (MCI), damages and other relief. DOCS and MCI moved to dismiss the petition as time-barred and as failing to state a cause of action. Supreme Court dismissed all claims, and the Appellate Division affirmed. The lower courts held that the first cause of action should be dismissed on the merits and that the four constitutional claims as well as the sixth cause of action should be dismissed as time-barred. Supreme Court also held that the last claim was time-barred, while the Appellate Division rejected it on the merits. Because we find petitioners' constitutional claims to be timely, we modify the order of the Appellate Division, reinstate those four claims, and remit the matter to Supreme Court for further proceedings not inconsistent with this opinion.

I.

Inmates in DOCS prisons who wish to make telephone calls to their family members, friends or lawyers are required to do so by placing collect calls from coinless telephones in their respective correctional facilities. Because these calls are collect, the financial obligation falls to the recipient of the telephone

call. This telephone system is installed and maintained, and telephone service provided, by MCI¹ under an exclusive contract.

DOCS and MCI signed an initial contract on April 1, 1996, and a second contract on April 1, 2001. The contracts were awarded to MCI following a competitive bidding process; DOCS specified that it should receive a commission of at least 47% of the gross revenue generated by the collect calls. Under the 1996 contract, MCI remitted 60% of its revenues from these calls to DOCS; the percentage was reduced to 57.5% in 2001. The commissions received by DOCS are placed in a “Family Benefit Fund” account used primarily for medical care and also for other programs that benefit inmates, such as a family reunion program, nursery and family development programs, basic cable television service and medical parole. Only a small percentage of the funds is used for maintenance of the telephone system.

On October 30, 1998, MCI filed a tariff with the New York State Public Service Commission (PSC), setting forth the per-minute rates and per-call surcharges applying to the inmates’ calls under the first contract, and requested that its DOCS service be treated as a unique service not subject to standard rate caps. In approving the MCI rates and surcharges, on December 17, 1998, the PSC reasoned that MCI’s service provides DOCS with security features² not traditionally associated with collect calling, thus justifying, in the PSC’s view, the high call rates (1998 NY PSC Case 98-C-1765, 1998 NY PUC LEXIS 693, at *2-3).

Recipients of telephone calls from inmates at DOCS correctional facilities commenced an action in the Court of Claims on September 27, 2000, challenging the 1996 contract.³ They argued that DOCS, through the agreement with MCI, infringed upon their rights to due process, freedom of speech and equal protection, imposed an unlawful tax and/or regulatory fee, violated General Business Law §§ 340 and 349, and tortiously interfered with their rights to use other telephone service carri-

1. MCI Worldcom Communications, Inc. is now known as MCI Communications Services, Inc., doing business as Verizon Business Services.

2. MCI provides DOCS with various security mechanisms, including call monitoring equipment, call blocking capability, personal identification numbers for inmates and calling protocols alerting a recipient that the collect call is from an inmate.

3. A companion action was filed in the United States District Court for the Southern District of New York (*see Byrd v Goord*, 2005 WL 2086321, 2005 US Dist LEXIS 18544 [SD NY, Aug. 29, 2005]).

ers offering lower rates. The court dismissed the claims as time-barred under Court of Claims Act § 10, and the Appellate Division affirmed in July 2003 (*Bullard v State of New York*, 307 AD2d 676 [2003]).

In May 2003, DOCS and MCI executed an amendment to the 2001 contract, implementing a flat rate of 16 cents per minute and a single surcharge of \$3 per call. The State Comptroller approved the amendment on July 25, 2003. MCI then filed a revised tariff with the PSC on August 14, 2003. Recipients of the DOCS inmate collect calls took the opportunity to challenge the 2001 contract before the PSC. Several individuals and organizations, including two of the appellants in the present case and their counsel, filed timely comments with the PSC, arguing, among other things, that the DOCS-MCI inmate telephone system violated the constitutional rights of DOCS inmates and their families, and requested a hearing. Although no formal hearing was granted, summaries of the comments occupy some 17 pages of the PSC's decision.

In its order, issued and effective on October 30, 2003, the PSC determined that its jurisdiction extends to MCI but not to DOCS because the latter is not a telephone corporation. The PSC declined to review the portion of the MCI rate that corresponds to the 57.5% commission retained by DOCS, but approved as just and reasonable what it called the "jurisdictional portion of the proposed rate," corresponding to the remaining 42.5% of the surcharge and per-minute rate. The PSC directed MCI to file new tariffs separately identifying the unreviewed and the "jurisdictional" parts of its surcharge and rate, and MCI duly complied.

On February 26, 2004, petitioners⁴ commenced this combined declaratory judgment action and CPLR article 78 proceeding against DOCS and MCI in Supreme Court. Petitioners allege seven causes of action. Their first claim seeks enforcement of the PSC's October 2003 order, interpreting it as implicitly prohibiting DOCS from collecting any commission from MCI beyond the rate the PSC expressly approved. Four causes of action allege violations of "the power to tax," "due process rights," "the right to equal protection," and "free speech and association rights" under the New York State Constitution. The sixth sets forth a General Business Law § 349 claim. The seventh cause of action seeks an accounting.

4. Three of the petitioners are family members of DOCS inmates and the other two are nonprofit corporations providing legal defense services.

We agree that petitioners' first, sixth and seventh claims were properly dismissed. We conclude that the constitutional claims were timely, however, and should not have been dismissed. Accordingly, we modify the order of the Appellate Division, and remit the matter to Supreme Court for further proceedings.

II.

[1] Whether petitioners' constitutional claims are subject to the four-month statute of limitations period under CPLR article 78 or the residuary six-year limitations period of CPLR 213 (1) turns on whether the parties' rights could have been resolved in an article 78 proceeding (*Solnick v Whalen*, 49 NY2d 224, 229-230 [1980]; *New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194, 200-201 [1994]). While it is well established that a challenge to the validity of legislation may not be brought under article 78, this principle does not apply to the quasi-legislative acts and decisions of administrative agencies such as DOCS (see *McBarnette*, 84 NY2d at 204). Here, petitioners are challenging an administrative determination—DOCS's decision to provide a collect-call-only telephone system to inmates and to require the telephone corporation it exclusively contracts with to pay it substantial commissions—by challenging the contracts making that determination binding on others. Petitioners are not disputing the validity of any legislation. They have furnished no compelling reason why article 78 review, in the nature of “mandamus to review,” should not be available to them under CPLR 7803 (3), and thus are subject to the four-month statute of limitations.

The more difficult question is when the statute of limitations began to run. A petitioner who seeks article 78 review of a determination must commence the proceeding “within four months after the determination to be reviewed becomes final and binding upon the petitioner” (CPLR 217 [1]). An administrative determination becomes “final and binding” when two requirements are met: completeness (finality) of the determination and exhaustion of administrative remedies. “First, the agency must have reached a definitive position on the issue that inflicts actual, concrete injury and second, the injury inflicted may not be . . . significantly ameliorated by further administrative action or by steps available to the complaining party” (*Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30, 34 [2005]; see also *Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540,

548 [2006]; *Matter of Comptroller of City of N.Y. v Mayor of City of N.Y.*, 7 NY3d 256, 262 [2006]; *Matter of Eadie v Town Bd. of Town of N. Greenbush*, 7 NY3d 306, 316 [2006]).

The finality and exhaustion of remedies requirements are drawn from case law on ripeness for judicial review (*see Matter of Essex County v Zagata*, 91 NY2d 447, 453-454, 454 n [1998]; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510 [1986], *cert denied* 479 US 985 [1986]; *see also Williamson County Regional Planning Comm'n v Hamilton Bank of Johnson City*, 473 US 172 [1985]). The two requirements are conceptually distinct. “The focus of the ‘exhaustion’ requirement . . . is not on the challenged action itself, but on whether administrative procedures are available to review that action and whether those procedures have been exhausted” (*Church of St. Paul & St. Andrew*, 67 NY2d at 521; *see also Williamson County Regional Planning Comm'n*, 473 US at 192-193). Those who wish to challenge agency determinations under article 78 may not do so until they have exhausted their administrative remedies, but once this point has been reached, they must act quickly—within four months—or their claims will be time-barred.

When a contract between a government agency and a telephone company specifies the rate the company will charge, those who wish to challenge the contract, on grounds related to the rate, have not exhausted their administrative remedies until approval by the PSC, which has exclusive authority to review and determine intrastate telephone rates. Only then does the agency determination underlying the contract become “final and binding” (CPLR 217 [1]).

[2] The question of when the 2001 contract became ripe for review is complicated by the May 2003 amendment. The 2001 contract lowered the DOCS commission percentage to 57.5% but did not change MCI’s call rates and surcharges. The 2003 amendment, on the other hand, kept the commission percentage but changed the call rate. The Appellate Division held that DOCS’s determination became final and binding “at the latest on July 25, 2003, when the amendment to the new contract was approved by the Comptroller” (25 AD3d 999, 1001 [2006]). This would be true, were it not for the fact that the May 2003 amendment altered the call rate. Since the rate change needed to be approved by the PSC, the 2001 contract became ripe for judicial review only upon issuance of the PSC order on October 30, 2003.

While the PSC concluded that it did not have jurisdiction over DOCS, it could have determined that MCI's call rate and surcharge as a whole were "unjust, unreasonable or unjustly discriminatory or unduly preferential or in anywise in violation of law" (Public Service Law § 97 [1]) and ordered them to be lowered. It was reasonable for petitioners to believe that the PSC could have rejected MCI's rate and surcharges in their entirety, just as, in 1998, it had approved them in their entirety. Such a result would quite obviously have significantly ameliorated the injuries petitioners contend they have suffered as a result of the high collect call rates, and would have forced DOCS to abandon the commission structure of its inmate collect calling program.

In this manner, DOCS's determination remained subject to corrective action *by DOCS* until the date of the PSC order. The present case therefore differs from *Stop-The-Barge v Cahill* (1 NY3d 218 [2003]). There petitioners challenged actions by the New York City Department of Environmental Protection (DEP) and the New York State Department of Environmental Conservation (DEC), giving approval to a power generator project. We held that the statute of limitations applicable to the cause of action against DEP began to run when DEP issued a conditioned negative declaration (CND), rather than when DEC issued an air permit. We reached this conclusion in part because the CND marked the point at which the review process by DEP, the agency petitioners challenged in this claim, was complete (*see* 1 NY3d at 223; *see also Eadie*, 7 NY3d at 317). A refusal by DEC to issue an air permit would not have forced DEP to reconsider its CND. Here, on the other hand, corrective action by DOCS would necessarily have followed disapproval of the MCI rates by the PSC, and therefore petitioners had not exhausted available administrative remedies until the PSC review was complete.

In deciding the point at which petitioner's administrative remedies are exhausted, courts must take a pragmatic approach and, when it is plain that "resort to an administrative remedy would be futile" (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52, 57 [1978]), an article 78 proceeding should be held ripe, and the statute of limitations will begin to run. But hindsight cannot be used to determine whether administrative steps were futile. Although the PSC ultimately decided to approve the MCI call rate only in part, declining to review a percentage of the rate corresponding to the DOCS commission, petitioners could reasonably have believed that the PSC would either approve or reject the rate as a whole.

We conclude that petitioners reached the point at which the injuries they allege could no longer be ameliorated by administrative action on October 30, 2003, when PSC issued its determination, and therefore that the constitutional claims in their combined action and proceeding, commenced on February 26, 2004, are timely. The parties' remaining arguments concerning timeliness are academic.

[3] The lower courts, having found petitioners' constitutional claims untimely, did not have occasion to decide whether they state a cause of action. "While this Court may consider alternative legal grounds raised at but not addressed by the Appellate Division, the preferable, more prudent corrective action is remittal" (*Schiavone v City of New York*, 92 NY2d 308, 317 [1998]). Therefore Supreme Court should now determine the question whether petitioners' constitutional claims state a cause of action. We agree with the Appellate Division that petitioners' first claim, seeking "enforcement" of the PSC order, and their last claim, seeking an accounting, were properly dismissed on the merits, and that their General Business Law § 349 claim is untimely.

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the second through fifth causes of action and remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

SMITH, J. (concurring). Here, as in *State of N.Y. ex rel. Harkavy v Consilvio* (7 NY3d 607, 614 [2006, R.S. Smith, J., concurring]), I find my preference for one statutory interpretation over another influenced by underlying constitutional issues.

The question of how to apply the statute of limitations here is difficult, as it often is in litigation challenging government action. The two possibilities are well presented by Judge Pigott's majority opinion and Judge Read's dissent. I am joining the result and reasoning of the majority opinion, in part because I doubt whether the result urged by the dissent would be constitutionally acceptable in this case.

To affirm the Appellate Division decision here would be to hold that petitioners' constitutional claims—at least some of which, I think, are quite substantial—became time-barred four months after the DOCS-MCI contract, or the most recent amendment to it, was approved by the Comptroller. In theory, petitioners—most of them family members of New York State

prisoners—could have learned of the Comptroller’s approval by perusing the public record; as a practical matter, it is highly unlikely that they did so, and unreasonable to expect them to. Thus, the Appellate Division has in effect held that claims like these can be time-barred before the people entitled to bring them knew or reasonably should have known that they existed. I understand the need of government agencies for finality and repose, but I have trouble accepting the idea that agencies can extinguish constitutional rights so easily.

It is in part to avoid the constitutional problems that this case would otherwise present that I choose the majority’s rather than the dissent’s view of when petitioners’ claims accrued for statute of limitations purposes. For that reason, I think the dissent may be right, in a sense, to suggest that our statute of limitations holding here is “sui generis” (dissenting op at 202).

READ, J. (dissenting). I respectfully dissent. The lower courts correctly held that petitioners’ claims were time-barred, the four-month statute of limitations under CPLR article 78 having expired in 2001. Our article 78 precedent on accrual—which no one has suggested altering—simply does not lead to the result that the majority reaches.

Petitioners attack a 2001 contract between the New York State Department of Correctional Services (DOCS) and MCI Worldcom Communications, Inc. (MCI), set to expire on March 31, 2007. This contract granted MCI the exclusive right to provide collect-call only telephone service to inmates at specified rates, and required MCI to pay DOCS a commission of 57.5% of its gross receipts from its customers, the recipients of the inmate-initiated collect calls. Prison systems throughout the country have entered into similar exclusive dealing arrangements, which commonly feature stiff commissions—usually ranging between 20% and 63%, with most states charging more than 45% (see *Matter of Implementation of the Pay Telephone Reclassification and Compensation Provisions of the Telecommunications Act of 1996*, 17 FCCR 3248, 3253 n 34, 2002 WL 252600, *3 n 34, 2002 FCC LEXIS 889, *12 n 34). And throughout the country, these contracts have been criticized as fundamentally unfair, and have proved to be lightning rods for litigation. Indeed, the day before this appeal was argued, the Governor announced that the State would change its policy as of April 1, 2007 to make rates reflect only the costs of inmate calls. In addition to injunctive relief, however, petitioners are

trying to obtain refunds as damages. Since Supreme Court may award damages in an article 78 proceeding if they are incidental to the primary relief sought (*see* CPLR 7806; *Matter of Gross v Perales*, 72 NY2d 231, 236 [1988]), we are left with the question of when the four-month statute of limitations began to run in this case, and whether petitioners' claims are timely.

The majority holds that they are indeed timely because

“[w]hen a contract between a government agency and a telephone company specifies the rate the company will charge, those who wish to challenge the contract, on grounds related to the rate, have not exhausted their administrative remedies until approval by the [Public Service Commission], which has exclusive authority to review and determine intrastate telephone rates. Only then does the agency determination underlying the contract become ‘final and binding’ (CPLR 217 [1])” (majority op at 195).

But the facts of this case do not fit this rule, which, at least as applied here, is at odds with recent precedent, notably our decision in *Stop-The-Barge v Cahill* (1 NY3d 218 [2003]).

The rates charged in the 2001 contract, based on time-of-day and distance, were exactly the same as the rates charged in a predecessor contract between DOCS and MCI, effective April 1, 1996. The Public Service Commission (PSC) approved these rates on December 17, 1998, a determination that was never challenged. The 2001 contract reduced the commission from 60% to 57.5%, but did not tamper with the approved rates. In other words, MCI was charging its customers the same rates under the 2001 contract as it had charged under the 1996 contract, but was paying DOCS a lesser percentage of its gross receipts. Accordingly, the 2001 contract did not prompt MCI to seek approval from the PSC of the rates set forth in the contract: they had already been approved in 1998. Under the majority's own rule, then, petitioners' lawsuit was five years too late to challenge DOCS' determination to require a commission, as embodied in its 1996 contract, because they should have sued within four months after the PSC in 1998 approved the rates incorporating the commission. Under the majority's own rule, petitioners were also almost three years too late to challenge this determination as embodied in the 2001 contract. That is, since DOCS' determination in 2001 did not require MCI to seek follow-up rate approval from the PSC, petitioners should have sued within four months after the 2001 contract took effect.

Of course, in 2003 DOCS and MCI amended the 2001 contract. The amendment, however, only changed the structure of the rates from time-of-day and distance to a flat rate.* It did not modify or change or in any way affect DOCS' final and binding determination made in 2001 to require a 57.5% commission, which is what petitioners attack. The majority essentially concludes, however, that petitioners' otherwise time-barred claims were somehow revived when the PSC approved the modified rate structure on October 30, 2003, even though the commission that petitioners challenge was not affected by the restructuring. Indeed, the PSC took the position in its 2003 determination that it did not even have *jurisdiction* over the commission. The PSC's disavowal of jurisdiction may have come as a complete surprise to petitioners, but we do not usually relax the statute of limitations to give a break to sympathetic litigants whose view of the law is arguably well-founded or plausible, but nonetheless mistaken.

Under our traditional rules of accrual, petitioners had only two choices in 2003: to sue DOCS to challenge the rate restructuring (not the commission) within four months after the contract amendment embodying the restructured rates took effect; or, to sue the PSC within four months after its decision to approve the modified rate structure. They did neither. Instead, they sued DOCS within four months after the PSC's determination, and did not sue the PSC at all. Moreover, in an article 78 proceeding brought against the PSC, petitioners certainly could have argued that whether or not the PSC has jurisdiction over DOCS, the Public Service Law nonetheless required the PSC to determine whether the restructured rates filed by MCI were just and reasonable as a whole. After all, although the PSC only reviewed the so-called jurisdictional portion of MCI's rate, it ordered MCI to file a tariff with a total rate that included both the jurisdictional component and the commission, and thereby authorized MCI to charge this total rate. Indeed, this was the only rate that MCI could legally charge (*see* Public Service Law § 92 [2] [d]).

Next, this case cannot be distinguished from *Stop-The-Barge*. According to the majority, the two cases differ because

* DOCS estimated that the new rate structure would likely increase the phone bills of the families of the 17% of the inmates incarcerated closest to their relatives' homes, but would create a savings for the families of the remaining 83% of the inmates' families. The rate change was expected to be revenue-neutral.

“[a] refusal by [the New York State Department of Environmental Conservation] to issue an air permit would not have forced [the New York City Department of Environmental Protection] to reconsider its [conditioned negative declaration]. Here, on the other hand, corrective action by DOCS would necessarily have followed disapproval of the MCI rates by the PSC, and therefore petitioners had not exhausted available administrative remedies until the PSC review was complete” (majority op at 196).

The majority is incorrect on both scores. In *Stop-The-Barge*, a company was seeking the necessary regulatory approvals to install a power generator on a floating barge in Brooklyn, which required State Environmental Quality Review Act (SEQRA) approval from the New York City Department of Environmental Protection (DEP), and an air permit from the New York State Department of Environmental Conservation (DEC). Whether DEC’s “refusal” of the company’s application for an air permit would have forced DEP to reconsider its conditioned negative declaration (CND) under SEQRA would have depended entirely on the terms of the rejection. Theoretically, I suppose, DEC could have outright refused to issue an air permit to the company, or might have attached conditions so onerous that the company decided to scrap the project altogether. Under these circumstances, DEP would never have reconsidered the CND because the project would have been abandoned. More likely, however, DEC would have attached conditions to its approval, which, depending on their terms, might well have required the company to ask DEP to revise the CND’s provisions. Similarly, in this case, what further action DOCS might or might not have been forced to take would have depended entirely on the terms of any PSC “disapproval.” For example, the PSC might have disapproved the rate restructuring for reasons wholly unrelated to the commission. Indeed, since the PSC took the position that it had no jurisdiction over the commission in the first place, this would have to have been the case. In that event, it is probable that the existing rates—the rates that the PSC approved in 1998 and which were never challenged and which, of course, included the commission—would have stayed in effect while the PSC sorted out what changes it might require MCI to make to its proposed new tariff filing (see Public Service Law § 92 [2] [e], [g]). There is no way to predict what, if any, “corrective action” DOCS might have eventually taken as a result of a hypothesized PSC disapproval.

What all of this shows, of course, are the ambiguities and difficulties inherent in trying to craft an exception to our usual claims-accrual rule—as the majority does in this case—so as to make a challenge to an administrative agency’s final and binding determination accrue (or, more accurately, revive) on the date when another administrative agency makes a corollary determination with respect to the same contract or project. It is almost always possible for a party to argue—as petitioners do here—that some action the second agency (here, the PSC) might have taken might have caused the first agency (here, DOCS) to revisit the complained-about decision in whole or in part, or that the party had a good-faith belief that this was so. But this does not make the first agency’s determination any less final and binding. Moreover, such an approach is antithetical to the finality and certainty that the four-month statute of limitations under CPLR article 78 is intended to achieve. I do not for a moment think that my colleagues intend to push our law in this direction any further than the facts of this case.

I note also that we have consistently sought over the past several years to encourage parties who seek to challenge an agency determination to do so at the earliest possible date (*see Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540 [2006] [city planning commission’s determination to approve condemnation of property final and binding after expiration of 20-day city council call-up period notwithstanding fact that mayor’s office subsequently approved project]; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30 [2005] [agency letter denying franchise starts statute of limitations notwithstanding fact that letter is conditional and gives applicant 60 days to cure]; *Stop-The-Barge v Cahill*, *supra* [under SEQRA, CND is final agency determination that starts statute of limitations notwithstanding fact that other administrative proceedings will take place]). I do not believe that my colleagues intend to retract our strong message that litigants should risk suing prematurely rather than too late. Again, this case simply has to be chalked up as *sui generis*. I also note that the majority opinion says nothing about the merits of petitioners’ constitutional claims, or about whether an aggrieved ratepayer may recover a component of a filed tariff in litigation against any party. These issues, and perhaps others, are left for the lower courts to tackle in the first instance.

Finally, the concurrence suggests that the constitutional nature of petitioners’ claims controls the date of accrual, and

(apparently) that while it may be unreasonable to expect the family members to have learned of the Comptroller's approval by "perusing the public record" (concurring op at 198), it was not unreasonable to expect them to have known about the PSC's order from the public record. While we have often adjudicated constitutional claims under CPLR article 78 (*see e.g. Matter of Texas E. Transmission Corp. v Tax Appeals Trib.*, 95 NY2d 323 [2000] [adjudicating Commerce Clause claim in article 78 proceeding]), we have never keyed accrual to the nature of the claim. All petitioners are subject to the same four-month statute of limitations, which accrues when the agency's determination is final and binding, whether they allege a constitutional violation or some other error of law.

Chief Judge KAYE and Judges CIPARICK and SMITH concur with Judge PIGOTT; Judge SMITH concurs in a separate opinion; Judge READ dissents in another opinion in which Judge GRAFFEO concurs; Judge JONES taking no part.

Order modified, etc.

[863 NE2d 1012, 831 NYS2d 760]

PAUL SPERRY, on Behalf of Himself and All Others Similarly Situated, Appellant, v CROMPTON CORPORATION et al., Respondents, et al., Defendants.

Argued January 10, 2007; decided February 22, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 28, 2006. The Appellate Division affirmed, insofar as appealed from, so much of an order of the Supreme Court, Nassau County (Anthony L. Parga, J.), as had granted the motion of defendants Crompton Corporation, Uniroyal Chemical Company, Inc., Uniroyal Chemical Company Limited, Flexsys NV, Flexsys America, LP, Bayer Corporation and Rhein Chemie Corporation pursuant to CPLR 3211 (a) (7) to dismiss plaintiff's causes of action alleging violation of General Business Law § 340 and unjust enrichment.

Sperry v Crompton Corp., 26 AD3d 488, affirmed.

HEADNOTES

Damages — Treble Damages — Class Actions Alleging Antitrust Violations — Treble Damages Not Recoverable

1. Inasmuch as the treble damages provision in General Business Law § 340 (5) serves as a penalty for purposes of CPLR 901 (b), such damages are not recoverable in a class action. Accordingly, in a purported class action brought on behalf of purchasers of tires manufactured using rubber-processing chemicals produced and sold by defendants, plaintiff's Donnelly Act (General Business Law § 340 *et seq.*) claim was properly dismissed. By including the penalty exception in CPLR 901 (b), the Legislature declined to make class actions available where, as here, individual plaintiffs were afforded sufficient economic encouragement to institute actions through statutory provisions awarding something beyond or unrelated to actual damages. Because the antitrust treble damages statute does not state that such damages are compensatory, nor does its legislative history clearly indicate a compensatory purpose, the Donnelly Act threefold damages should be regarded as a penalty insofar as class actions are concerned. Where a statute is designed to foster litigation through an enhanced award, CPLR 901 (b) acts to restrict recoveries in class actions absent statutory authorization.

Appeal — Court of Appeals

2. In a purported class action in which it was held that plaintiff's Donnelly Act (General Business Law § 340 *et seq.*) claim was barred by CPLR 901 (b), which precludes a class action to collect a penalty unless specifically authorized by statute, the issue of whether plaintiff could maintain a class action under the Donnelly Act by forgoing treble damages in favor of actual damages was not properly before the Court of Appeals, because plaintiff had consis-

tently sought treble damages throughout the litigation and had not previously attempted to waive them to pursue only actual damages.

Equity — Unjust Enrichment

3. In a purported class action brought on behalf of purchasers of tires manufactured using rubber-processing chemicals produced and sold by defendants, plaintiff's unjust enrichment claim was properly dismissed. Although a plaintiff need not be in privity with the defendant to state a claim for unjust enrichment, the connection between the purchaser of tires and the producers of chemicals used in the rubber-making process was too attenuated to support such a claim. Additionally, it was not appropriate to substitute unjust enrichment to avoid the statutory bar (CPLR 901 [b]) on plaintiff's Donnelly Act (General Business Law § 340 *et seq.*) cause of action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 690; AM JUR 2d, Equity §§ 7, 129, 131; AM JUR 2d, Monopolies, Restraints of Trade, and Unfair Trade Practices §§ 1037, 1043, 1046; AM JUR 2d, Parties §§ 60–62.

CARMODY-WAIT 2d, Parties § 19:339; CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:112.

McKINNEY's, CPLR 901 (b); General Business Law § 340 *et seq.*

NY JUR 2d, Appellate Review §§ 600, 603; NY JUR 2d, Equity §§ 100, 110; NY JUR 2d, Parties § 250; NY JUR 2d, Trade Regulation §§ 14, 22, 58.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Class Actions; Multiple Damages; Restraints of Trade and Monopolies.

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POINTS OF COUNSEL

Milberg Weiss Bershad & Schulman LLP, New York City (*J. Douglas Richards* and *Michael M. Buchman* of counsel), *Carey & Danis LLP*, St. Louis, Missouri (*Michael J. Flannery* and *James J. Rosemergy* of counsel), *Lerach Coughlin Stoia Geller Rudman & Robbins LLP*, San Diego, California (*Bonney E. Sweeney* of counsel), *Robbins Umeda & Fink, LLP* (*Brian J. Robbins* of counsel), and *Maricic & Goldstein LLP*, Rancho Cucamonga, California (*David M. Goldstein* of counsel), for appellant. I. The dismissal below of plaintiff's Donnelly Act claim

was incorrect and should be reversed. (*Cox v Microsoft Corp.*, 290 AD2d 206; *Paltre v General Motors Corp.*, 26 AD3d 481; *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327; *Bogartz v Astor*, 293 NY 563; *Sicolo v Prudential Sav. Bank of Brooklyn, N.Y.*, 5 NY2d 254; *Bertha Bldg. Corp. v National Theatres Corp.*, 269 F2d 785; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Gunther v Abrams*, 189 AD2d 607; *Feder v Caliguira*, 8 NY2d 400; *Ethicon, Inc. v Aetna Cas. & Sur. Co.*, 737 F Supp 1320.) II. The dismissal below of plaintiff's unjust enrichment claims also was incorrect and should be reversed. (*Cox v Microsoft Corp.*, 8 AD3d 39; *Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84; *Manufacturers Hanover Trust Co. v Chemical Bank*, 160 AD2d 113; *In re K-Dur Antitrust Litig.*, 338 F Supp 2d 517; *Dubai Islamic Bank v Citibank, N.A.*, 126 F Supp 2d 659; *In re Cardizem CD Antitrust Litig.*, 105 F Supp 2d 618; *Muehlbauer v General Motors Corp.*, 431 F Supp 2d 847; *Kagan v K-Tel Entertainment*, 172 AD2d 375; *Heller v Kurz*, 228 AD2d 263; *Outrigger Constr. Co. v Bank Leumi Trust Co. of N.Y.*, 240 AD2d 382.)

O'Melveny & Myers LLP, Washington, D.C. and New York City (Ian Simmons, Jonathan D. Hacker, Benjamin G. Bradshaw, Mark Davies, Matthew Cosgrove and Nilam A. Sanghvi of counsel), Gibson, Dunn & Crutcher LLP, Los Angeles, California and Washington, D.C. (Daniel G. Swanson, D. Jarrett Arp and Cynthia E. Richman of counsel), Covington & Burling LLP, Washington, D.C. (William D. Iverson and Michael J. Fanelli of counsel), and Jones Day, New York City and Washington, D.C. (J. Andrew Read and Catherine M. Ferrara-Depp of counsel), for respondents. I. Plaintiff cannot bring a class action suit under the Donnelly Act. (*Sega v State of New York*, 60 NY2d 183; *Cunningham v Bayer AG*, 24 AD3d 216; *Cox v Microsoft Corp.*, 290 AD2d 206; *Asher v Abbott Labs.*, 290 AD2d 208; *Lennon v Philip Morris Cos.*, 189 Misc 2d 577; *Russo & Dubin v Allied Maintenance Corp.*, 95 Misc 2d 344; *Leider v Ralfe*, 387 F Supp 2d 283; *Fults v Munro*, 202 NY 34; *Lyke v Anderson*, 147 AD2d 18; *Leh v General Petroleum Corp.*, 330 F2d 288.) II. Plaintiff cannot bring a class action suit based on New York unjust enrichment law. (*Bradkin v Levertan*, 26 NY2d 192; *Miller v Schloss*, 218 NY 400; *Southern Pacific Co. v Darnell-Taenzer Lumber Co.*, 245 US 531; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *Van Dussen-Storto Motor Inn v Rochester Tel. Corp.*, 63 AD2d 244; *Joan Hansen & Co. v Everlast World's Boxing*

Headquarters Corp., 296 AD2d 103; *Shortcuts Editorial Servs. v Kaleidoscope Sports & Entertainment*, 183 Misc 2d 334; *Cox v Microsoft Corp.*, 8 AD3d 39; *Manufacturers Hanover Trust Co. v Chemical Bank*, 160 AD2d 113.)

Andrew Cuomo, Attorney General, New York City (Caitlin J. Halligan, Michelle Aronowitz, Jay L. Himes, Daniel Chepaitis and Sarah Hubbard of counsel), for State of New York, amicus curiae. I. An action brought pursuant to General Business Law § 340, which the Legislature explicitly denominated an “action to recover damages,” is not an “action to recover a penalty” within the meaning of CPLR 901 (b). (*Cox v Microsoft Corp.*, 290 AD2d 206; *Asher v Abbott Labs.*, 290 AD2d 208; *Paltre v General Motors Corp.*, 26 AD3d 481; *Cunningham v Bayer AG*, 24 AD3d 216; *Matter of Sackolwitz v Hamburg & Co.*, 295 NY 264; *Bogartz v Astor*, 293 NY 563; *Cox v Lykes Bros.*, 237 NY 376; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Illinois v Harper & Row Publs., Inc.*, 301 F Supp 484.) II. It is well established that unjust enrichment may exist without privity between defendant and plaintiff. (*Farash v Sykes Datatronics*, 59 NY2d 500; *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *Cox v Microsoft Corp.*, 8 AD3d 39; *Parsa v State of New York*, 64 NY2d 143; *Bradkin v Levertton*, 26 NY2d 192; *State of New York v Barclays Bank of N.Y.*, 76 NY2d 533; *3105 Grand Corp. v City of New York*, 288 NY 178; *Whiting v Hudson Trust Co.*, 234 NY 394; *Simonds v Simonds*, 45 NY2d 233; *Kagen v K-Tel Entertainment*, 172 AD2d 375.)

Kirby McInerney & Squire, LLP, New York City (Daniel Hume of counsel), for American Antitrust Institute, amicus curiae. I. The issue is crucial to the enforcement of the antitrust laws. (*Illinois Brick Co. v Illinois*, 431 US 720; *Rand v Monsanto Co.*, 926 F2d 596.) II. Antitrust “treble” damages actions are not a penalty. (*Reiter v Sonotone Corp.*, 442 US 330.) III. Antitrust “treble” damages, when viewed correctly, are actually only single damages, and therefore are not a penalty. IV. Permitting indirect purchaser suits would not lead to overdeterrence.

Mayer, Brown, Rowe & Maw LLP, New York City (Philip Allen Lacovara, Lauren R. Goldman and Daniel B. Kirschner of counsel), and *National Chamber Litigation Center, Inc.*, Washington, D.C. (Robin S. Conrad and Amar D. Sarwal, admitted pro hac vice, of counsel), for Chamber of Commerce of the United States of America, amicus curiae. I. The Legislature’s

decision not to authorize individual class actions under the Donnelly Act was a sound policy choice that is entitled to deference. (*Paltre v General Motors Corp.*, 26 AD3d 481; *Cox v Microsoft Corp.*, 290 AD2d 206; *Asher v Abbott Labs.*, 290 AD2d 208; *Lennon v Philip Morris Cos.*, 189 Misc 2d 577; *Russo & Dubin v Allied Maintenance Corp.*, 95 Misc 2d 344; *Leider v Ralfe*, 387 F Supp 2d 283; *Illinois Brick Co. v Illinois*, 431 US 720; *California v ARC America Corp.*, 490 US 93; *In re Lorazepam & Clorazepate Antitrust Litig.*, 289 F3d 98; *Castano v American Tobacco Co.*, 84 F3d 734.) II. Allowing plaintiff to maintain his unjust enrichment claim would permit an end run around the Donnelly Act's limitations and distort general principles of standing. (*Associated Gen. Contractors of Cal., Inc. v Carpenters*, 459 US 519; *Holmes v Securities Investor Protection Corporation*, 503 US 258; *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *Cox v Microsoft Corp.*, 8 AD3d 39; *3105 Grand Corp. v City of New York*, 288 NY 178; *Whiting v Hudson Trust Co.*, 234 NY 394; *Simonds v Simonds*, 45 NY2d 233; *A.O. Fox Mem. Hosp. v American Tobacco Co.*, 302 AD2d 413; *Van Dussen-Storto Motor Inn v Rochester Tel. Corp.*, 63 AD2d 244.)

Labaton Sucharow & Rudoff LLP, New York City (Bernard Persky and Kellie Safar of counsel), *Michael Schuster*, Washington, D.C., *Stacy J. Canan*, *Sarah Lenz Lock* and *Bruce Vignery* for AARP, amicus curiae. The lower court erred by dismissing the suit based on its statutory interpretation that the treble damages provision of the Donnelly Act constitutes a penalty under CPLR 901 (b). In so doing, it failed to consider the legislative history of the 1998 amendment to the Donnelly Act granting antitrust standing to indirect purchasers, reflecting the obvious intention of the Legislature to allow consumer class actions. Alternatively, assuming, arguendo, that the Donnelly Act's treble damages provision is a penalty, the lower court erred by disregarding the plain language and legislative history of CPLR 901 (b) itself, which allows a representative plaintiff to waive a penalty in order to bring a class action. (*In re Cardizem CD Antitrust Litig.*, 391 F3d 812; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Trump v Trump*, 179 AD2d 201; *Brzychnalski v Unesco, Inc.*, 35 F Supp 2d 351; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Ridge Meadows Homeowners' Assn. v Tara Dev. Co.*, 242 AD2d 947; *Cox v Microsoft Corp.*, 8 AD3d 39; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604; *Weinberg v Hertz Corp.*, 116 AD2d 1; *Hauptman v Helena Rubinstein, Inc.*, 114 Misc 2d 935.)

OPINION OF THE COURT

GRAFFEO, J.

Because we conclude that the treble damages provision in General Business Law § 340 serves as a penalty for purposes of CPLR 901 (b), such damages are not recoverable in a class action. We therefore affirm the order of the Appellate Division so holding.

Defendants Crompton Corporation, Uniroyal Chemical Company, Inc., Uniroyal Chemical Company, Ltd., Flexsys NV, Flexsys America LP, Bayer AG, Bayer Corporation, Rhein Chemie Rheinau GmbH and Rhein Chemie Corporation produce and sell rubber-processing chemicals that improve the durability, color control and heat resistance of rubber products, including tires, belts, hoses and footwear.¹ Defendants do not manufacture or sell these end products.

In 2002, plaintiff Paul Sperry commenced this purported class action against defendants seeking damages on behalf of himself and all other consumers “who purchased tires, other than for resale, that were manufactured using rubber-processing chemicals sold by defendants since 1994.”² Sperry alleged that defendants entered into a price-fixing agreement, overcharging tire manufacturers for the chemicals, and that the overcharges trickled down the distribution chain to consumers.

The complaint set forth three causes of action. First, Sperry claimed that defendants violated New York’s antitrust statute (General Business Law § 340 *et seq.*)—commonly known as the Donnelly Act—by engaging in an arrangement that restrained “[c]ompetition or the free exercise of any activity in the conduct of any business, trade or commerce” (General Business Law § 340 [1]). Relying on the indirect purchaser provision of the Donnelly Act (General Business Law § 340 [6]), Sperry sought “three-fold the actual damages,” costs and attorneys’ fees pursuant to General Business Law § 340 (5). Second, Sperry asserted that defendants’ arrangement constituted a deceptive practice in violation of General Business Law § 349. Third, Sperry requested recovery on an unjust enrichment theory. Defendants moved to dismiss the complaint under CPLR 3211.

1. Uniroyal Chemical Company, Inc. and Uniroyal Chemical Company, Ltd. are wholly owned subsidiaries of Crompton Corporation, now known as Chemtura Corporation. Bayer AG and its associated companies, Bayer Corporation, Rhein Chemie Rheinau GmbH and Rhein Chemie Corporation are no longer parties to this appeal.

2. The lawsuit has not yet been certified as a class action under CPLR article 9.

Supreme Court granted the motion and dismissed the complaint in its entirety. The court held that CPLR 901 (b), which precludes a class action to collect a penalty unless specifically authorized by statute, barred the Donnelly Act claim. The court determined that the General Business Law § 349 cause of action failed to state a claim because the allegations in the complaint did not come within the scope of that statute.³ It also dismissed the unjust enrichment claim because the parties lacked a sufficient relationship. The Appellate Division affirmed and we granted Sperry leave to appeal.

Relying on our decisions in *Cox v Lykes Bros.* (237 NY 376 [1924]), *Bogartz v Astor* (293 NY 563 [1944]) and *Sicolo v Prudential Sav. Bank of Brooklyn, N.Y.* (5 NY2d 254 [1959]), Sperry argues that the Donnelly Act's treble damages provision is not a penalty under CPLR 901 (b). He also cites to federal precedents indicating that federal antitrust treble damages are primarily remedial in nature. Defendants counter that the courts below properly concluded that state antitrust treble damages are a penalty within the meaning of CPLR 901 (b).

General Business Law § 340 (5) provides that a successful antitrust plaintiff "shall recover three-fold the actual damages sustained thereby, as well as costs not exceeding ten thousand dollars, and reasonable attorneys' fees." The Donnelly Act, however, does not address private class actions. The main issue here is whether treble damages relief is available to class action plaintiffs or is barred by the application of CPLR 901 (b).

The Legislature enacted CPLR article 9 (§§ 901-909) in 1975 to replace CPLR 1005, the former class action statute. The prior class action provision, which remained largely unchanged through its various incarnations dating back to the Field Code of Procedure (*see* L 1849, ch 438, § 119), had been judicially restricted over the years and was subject to inconsistent results (*see generally Moore v Metropolitan Life Ins. Co.*, 33 NY2d 304, 313 [1973] [noting "the general and judicial dissatisfaction with the existing restrictions on class action"]). Consequently, in 1975, the Judicial Conference proposed a new class action statute that was designed "to set up a flexible, functional scheme whereby class actions could qualify without the present undesirable and socially detrimental restrictions" (13th Ann Report of Jud Conf on CPLR, reprinted in 1975 McKinney's Session Laws of NY, at 1493). To that end, the Judicial Conference recom-

3. Sperry no longer seeks recovery under General Business Law § 349.

mended the enactment of CPLR 901 (a), which specified the five prerequisites of numerosity, predominance, typicality, adequacy of representation and superiority.

While the Legislature considered the Judicial Conference report, various groups advocated for the addition of a provision that would prohibit class action plaintiffs from being awarded a statutorily-created penalty or minimum measure of recovery, except when expressly authorized in the pertinent statute (*see* Legislation Report No. 15 of Banking Law Comm, Business Law Comm and Comm on CPLR of NY St Bar Assn, Bill Jacket, L 1975, ch 207; Legislation Report No. 1 of Banking Law Comm of NY St Bar Assn, Bill Jacket, L 1975, ch 207; Mem in Opposition of Empire St Chamber of Commerce, Feb. 14, 1975, Bill Jacket, L 1975, ch 207). These groups feared that recoveries beyond actual damages could lead to excessively harsh results, particularly where large numbers of plaintiffs were involved. They also argued that there was no need to permit class actions in order to encourage litigation by aggregating damages when statutory penalties and minimum measures of recovery provided an aggrieved party with a sufficient economic incentive to pursue a claim. Responding to these concerns, the Legislature amended the legislation to include a new subdivision—CPLR 901 (b), which reads: “Unless a statute creating or imposing a penalty, or a minimum measure of recovery specifically authorizes the recovery thereof in a class action, an action to recover a penalty, or minimum measure of recovery created or imposed by statute may not be maintained as a class action.”

Assemblyman Stanley Fink, the bill’s sponsor, explained the purpose of section 901 (b):

“The bill, however, precludes a class action based on a statute creating or imposing a penalty or minimum measure of recovery unless the specific statute allows for a class action. These penalties or ‘minimum damages’ are provided as a means of encouraging suits where the amounts involved might otherwise be too small. Where a class action is brought, this additional encouragement is not necessary. A statutory class action for actual damages would still be permissible” (Sponsor’s Mem, Bill Jacket, L 1975, ch 207).

Hence, the final bill, which was passed by the Legislature and approved by the Governor on June 17, 1975, was the result of a compromise among competing interests.

Within weeks of passage of the class action statute, the Legislature undertook to amend the Donnelly Act. Before 1975, General Business Law § 340 (5) permitted only the recovery of actual damages. After a report was issued by a special grand jury investigating the anticompetitive practices of the petroleum industry in the early 1970's, the Attorney General recommended a bill increasing penalties for violations of the Donnelly Act (*see* Mem of Dept of Law, Bill Jacket, L 1975, ch 333). Specifically, the bill added the treble damages provision and provided for costs and attorneys' fees in General Business Law § 340 (5), while increasing the fines and criminal punishment measures contained in General Business Law § 341.⁴ According to the Attorney General:

“The provision for the recovery of treble damages in civil actions will not only serve as an additional deterrent to violations, and increase recoveries by public agencies, but will also eliminate the additional expense and cumbersome duplication of effort involved in bringing separate actions under the federal antitrust laws after a violation of the Donnelly Antitrust Act has been established (for example, by a criminal conviction)” (*id.*).⁵

The legislation amending section 340 (5) and section 341 was enacted on July 1, 1975.

Although we have never construed the term “penalty” within the meaning of CPLR 901 (b), nor have we had occasion to characterize the treble damages provision of the Donnelly Act, we have articulated various rules regarding the identification of penalties in other contexts. For example, this Court has stated that, where a statute expressly denominates an enhanced dam-

4. Before the 1975 amendment, General Business Law § 341 provided that an individual convicted of violating the Donnelly Act was guilty of a misdemeanor, punishable by a fine not exceeding \$20,000 and/or imprisonment for not longer than one year. A corporation was punishable by a fine of not more than \$50,000. Under the amendment, convicted individuals would be guilty of a class E felony and punished by a fine not exceeding \$100,000 and/or imprisonment for up to four years. A corporation would face a fine of up to \$1 million. While these fines are clearly penalties, they are not the types of penalties contemplated by CPLR 901 (b) because they are not recoverable in a private civil action.

5. Federal antitrust provisions, since their inception in 1890, have always provided for the recovery of threefold damages in civil lawsuits (*see* Clayton Act § 4 [15 USC § 15]; *see also* *Brunswick Corp. v. Pueblo Bowl-O-Mat, Inc.*, 429 US 477, 486 n 10 [1977]). In contrast, although the Donnelly Act dates back to 1899, treble damages were not added until much later.

ages provision to be compensatory in nature, it will not be deemed a penalty (see *Bogartz v Astor*, 293 NY 563, 565 [1944] [double payment recoverable under Workmen's Compensation Law § 14-a not a penalty because the statute referred to "double compensation"]; *Cox v Lykes Bros.*, 237 NY 376, 379 [1924] [double payment available to seamen for late wages under federal statute not a penalty because the statute expressly provided that such compensation "shall be recoverable as wages"]). Furthermore, we have found that when used in a statute of limitations, "[t]he words 'penalty or forfeiture' . . . refer to something imposed in a punitive way for an infraction of a public law and do not include a liability created for the purpose of redressing a private injury, even though the wrongful act be a public wrong and punishable as such" (*Sicolo v Prudential Sav. Bank of Brooklyn, N.Y.*, 5 NY2d 254, 258 [1959]).⁶

We have also indicated that the determination of whether a certain provision constitutes a penalty may vary depending on the context. In *Cox*, then-Judge Cardozo wrote: "We are to remember that the same provision may be penal as to the offender and remedial as to the sufferer. The nature of the problem will determine whether we are to take one viewpoint or the other" (*Cox*, 237 NY at 380 [citations omitted]; see also *Life & Casualty Ins. Co. of Tenn. v McCray*, 291 US 566, 574 [1934, Cardozo, J.] ["'Penalty' is a term of varying and uncertain meaning"]).

[1] Judge Cardozo's observations in *Cox* are particularly relevant to this case. It is evident that by including the penalty exception in CPLR 901 (b), the Legislature declined to make class actions available where individual plaintiffs were afforded sufficient economic encouragement to institute actions (through statutory provisions awarding something beyond or unrelated to actual damages), unless a statute expressly authorized the option of class action status. This makes sense, given that class actions are designed in large part to incentivize plaintiffs to sue when the economic benefit would otherwise be too small, particularly when taking into account the court costs and attorneys' fees typically incurred. Therefore, the term "penalty," as used for purposes of the class action scheme, has broader application than that given in *Sicolo* for statute of limitations purposes.

6. Former Civil Practice Act § 49 (3) provided a three-year statute of limitations for penalties or forfeitures.

The antitrust treble damages statute also does not state that such damages are compensatory (*compare Bogartz*, 293 NY at 565). Nor does its legislative history clearly indicate a compensatory purpose. Read together, we conclude that Donnelly Act threefold damages should be regarded as a penalty insofar as class actions are concerned. Although one third of the award unquestionably compensates a plaintiff for actual damages, the remainder necessarily punishes antitrust violations, deters such behavior (the traditional purposes of penalties) or encourages plaintiffs to commence litigation—or some combination of the three. But we need not break down the remaining damages into specific categories for purposes of determining whether it is a penalty under CPLR 901 (b). Where a statute is already designed to foster litigation through an enhanced award, CPLR 901 (b) acts to restrict recoveries in class actions absent statutory authorization.

It is notable that the Legislature added the treble damages provision to the Donnelly Act shortly after having adopted CPLR 901 (b). Clearly, the Legislature was aware of the requirement of making express provision for a class action when drafting penalty statutes, and could have included such authorization in General Business Law § 340.⁷ In sum, it lies with the Legislature to decide whether class action suits are an appropriate vehicle for the award of antitrust treble damages. Indeed, the Legislature has contemplated adding such authorization on a number of occasions.⁸

We are not persuaded that the outcome of this case is controlled by statements in United States Supreme Court decisions

7. Although General Business Law § 342-b contemplates that the Attorney General may bring class actions on behalf of governmental entities, General Business Law § 340, in contrast, makes no reference to class actions for private litigants.

8. In 1973 and 1974, bills died in committee that would have permitted class actions for the recovery of treble damages (*see* 1973 NY Senate-Assembly Bill S 3544, A 4832; 1974 NY Senate-Assembly S 3544, A 4832). Similarly, in 1975, while the Legislature was considering the treble damages bill that was eventually enacted, a separate proposal (1975 NY Assembly Bill A 1215) would have expressly permitted class actions. More recently, bills to amend the Donnelly Act to create a class action provision in General Business Law § 340 (7) have been considered a number of times (*see* 2002 NY Assembly Bill A 11124; 2003 NY Assembly Bill A 5158; 2005 NY Assembly Bill A 663). The same proposal is currently pending (*see* 2007 NY Assembly Bill A 396). Under the proposed amendment, General Business Law § 340 (7) would provide: “Any damages recoverable pursuant to this section may be recovered in any action which a court may authorize to be brought as a class action pursuant to article nine of the civil practice law and rules.”

describing the federal antitrust treble damages counterpart as being remedial in nature (see e.g. *American Soc. of Mechanical Engineers, Inc. v Hydrolevel Corp.*, 456 US 556, 575 [1982]; *Brunswick Corp. v Pueblo Bowl-O-Mat, Inc.*, 429 US 477, 485-486 [1977]; but see *Texas Industries, Inc. v Radcliff Materials, Inc.*, 451 US 630, 639 [1981] [“The very idea of treble damages reveals an intent to punish past, and to deter future, unlawful conduct, not to ameliorate the liability of wrongdoers.”]). Although we generally construe the Donnelly Act in light of federal antitrust case law, it is also well settled that we will interpret our statute differently “where State policy, differences in the statutory language or the legislative history justify such a result” (*Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327, 335 [1988]). To the extent there is any conflict, this case highlights such distinctions.

As an initial matter, none of these United States Supreme Court decisions considered whether treble damages should be considered a “penalty” for purposes of a particular statute. More importantly, Federal Rules of Civil Procedure rule 23, the federal class action provision, does not contain a limitation similar to that found in CPLR 901 (b). Since this appeal requires us to view General Business Law § 340 (5)’s treble damages provision in light of the limitation in CPLR 901 (b), we are presented with a state law question that federal precedent is not very helpful in resolving.

[2] Finally, we decline to reach the issue of whether Sperry may maintain a class action under the Donnelly Act by forgoing treble damages in favor of actual damages. This issue is not properly before us because Sperry has consistently sought treble damages throughout this litigation and has not previously attempted to waive them to pursue only actual damages.

[3] Turning to the unjust enrichment cause of action, Sperry argues that the courts below erred in dismissing this cause of action on the basis that no privity existed between Sperry and defendants. It is well settled that “[t]he essential inquiry in any action for unjust enrichment or restitution is whether it is against equity and good conscience to permit the defendant to retain what is sought to be recovered” (*Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415, 421 [1972], *cert denied* 414 US 829 [1973]). While we agree with Sperry that a plaintiff need not be in privity with the defendant to state a claim for unjust enrichment, we nevertheless conclude that such a claim does not lie under the circumstances of this case.

Here, the connection between the purchaser of tires and the producers of chemicals used in the rubber-making process is simply too attenuated to support such a claim. Additionally, in this situation it is not appropriate to substitute unjust enrichment to avoid the statutory limitations on the cause of action created by the Legislature.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH and FIGOTT concur; Judge JONES taking no part.

Order affirmed, with costs.

[864 NE2d 44, 832 NYS2d 120]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JIMMY
TZITZIKALAKIS, Respondent.

Argued January 2, 2007; decided February 15, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 12, 2006. Insofar as appealed from, the Appellate Division order modified, on the law, a judgment of the Supreme Court, New York County (Budd G. Goodman, J., at plea and sentence; Carol Berkman, J., at restitution hearing), which had convicted defendant, upon his plea of guilty, of grand larceny in the second degree and falsifying business records in the first degree, and sentenced him to a term of 1 to 3 years on the larceny conviction and a conditional discharge on the falsifying business records conviction, with an order to pay restitution in the amount of \$340,143. The modification consisted of vacating the restitution order and remanding the matter for a new restitution hearing.

People v Tzitzikalakis, 25 AD3d 404, affirmed.

HEADNOTE

Crimes — Sentence — Restitution

At a restitution hearing (CPL 400.30), the People bear the burden of proving the victim's out-of-pocket loss—the amount necessary to make the victim whole—by a preponderance of the evidence. The People must show both components of the restitution equation, the amount taken minus the benefit conferred. Accordingly, following the conviction of defendant contractor based upon the submission of false invoices for payment pursuant to a construction contract with a city agency, the prosecution, in making a prima facie showing of the proper restitution amount, was required to subtract from the face amount of the improper invoices the value of the benefit conferred in connection with the underlying projects. CPL 400.30 (4) embodies a liberal evidentiary standard and evidence that defendant completed the work for which he requested payment was relevant to the City's out-of-pocket loss. Evidence of the fair market value of the materials or services provided by defendant was not in and of itself irrelevant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 908.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.

McKINNEY's, CPL 400.30.

NY JUR 2d, Criminal Law §§ 3014, 3016, 3018.

ANNOTATION REFERENCE

Measure and elements of restitution to which victim is entitled under state criminal statute. 15 ALR5th 391.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: restitution /s hearing & burden /s preponderance

POINTS OF COUNSEL

Robert M. Morgenthau, District Attorney, New York City (Paula-Rose Stark and Mark Dwyer of counsel), for appellant. Since defendant fraudulently induced payment of \$950,136 from the City, he stole that entire amount. In restitution, defendant was not entitled to any credit to offset that amount except to the extent that he was able to document his actual expenditures. (*People v Horne*, 97 NY2d 404; *People v Consalvo*, 89 NY2d 140; *People v Fuller*, 57 NY2d 152; *People v Thigpen*, 60 AD2d 860; *People v Feldman*, 204 AD2d 347; *People v Kim*, 91 NY2d 407; *People v Francis L.M.*, 278 AD2d 919; *People v David N.*, 140 AD2d 460; *People v Bennett*, 79 NY2d 464; *Smith v Brady*, 17 NY 173.)

Law Offices of Gerald L. Shargel, New York City (Ross M. Kramer, Gerald L. Shargel and Henry E. Mazurek of counsel), for respondent. I. The hearing court violated Mr. Tzitzikalakis' due process rights by failing to follow the substantive and procedural requirements for determining restitution under Penal Law § 60.27 and Criminal Procedure Law § 400.30. (*People v Young*, 163 Misc 2d 72; *People v Consalvo*, 89 NY2d 140; *People v Ashley*, 162 AD2d 883; *People v Fuller*, 57 NY2d 152; *People v Thigpen*, 60 AD2d 860; *People v Horne*, 97 NY2d 404; *People v Lambert*, 221 AD2d 1015; *People v Stacey*, 173 AD2d 960; *People v Kom*, 120 Misc 2d 630; *People v Crossley*, 134 Misc 2d 742.) II. The trial court violated Penal Law § 60.27 by not requiring the People to prove the value of actual loss sustained by the City, accounting for the value of materials and services provided by defendant, and by precluding defendant from introducing his own evidence of the goods and services provided. (*People v Young*, 163 Misc 2d 72; *People v Consalvo*, 89 NY2d 140; *People v Calvi*, 224 AD2d 705.)

OPINION OF THE COURT

Chief Judge KAYE.

Defendant was the principal of Foundation Construction

Consultants, a company that completed a number of projects for the City of New York pursuant to a contract with the city's Department of Citywide Administrative Services (DCAS). These projects included courtroom construction at the Queens Criminal Court and lighting work at Two Lafayette Street in Manhattan. Between 1996 and 1998, the city paid Foundation approximately \$2,700,000 for its work under the contract. A subsequent investigation, however, revealed that defendant had submitted numerous false invoices purportedly reflecting amounts billed by subcontractors.

Defendant was charged with grand larceny in the second degree, attempted grand larceny in the second degree, and 26 counts of both criminal possession of a forged instrument in the second degree and falsifying business records in the first degree. Defendant pleaded guilty to grand larceny in the second degree and one count of falsifying business records in the first degree, in full satisfaction of the indictment. Supreme Court sentenced him to 1 to 3 years for grand larceny and ordered restitution with a conditional discharge for falsifying business records.

At a restitution hearing to determine the amount of the city's out-of-pocket loss, the sole witness was Christine Carl, a confidential investigator for the city Department of Investigation. Carl testified that, in order to be paid under the DCAS contract, defendant had to submit periodic payment requests with supporting invoices from subcontractors. Once a payment request with supporting documentation was received, the DCAS resident engineer would review the request and certify that the work had been completed and the materials supplied. If the engineering unit signed off on the request, the audits and accounts unit would review the request to ensure that the total payment matched the supporting documentation, and payment would be made.

Carl further explained that, as a result of her investigation, she determined that a number of defendant's invoices were falsified. In calculating the city's loss, she subtracted from the face amount of these invoices the actual costs reported to her by the subcontractors; where the subcontractor provided her with a range of actual costs (for example, \$40,000 to \$50,000), she subtracted the higher amount. However, in the case of two of the subcontractors—Vack Electric and Essex Glass—Carl included the full face amount of the invoices because neither company existed at the time it allegedly provided the goods or services reflected on the invoices. By Carl's calculations, the city's out-of-pocket loss was \$340,143.

On cross-examination, defendant attempted to inquire as to whether the work and materials reflected on the invoices had in fact been provided, but the court precluded this inquiry. The court also refused to allow defendant's evidence of the fair market value of the materials shown on the invoices, explaining that it would accept only evidence documenting defendant's actual expenditures in connection with completing those projects. The court reasoned that the People were required to show only the face amount of the falsified invoices the city paid. The burden of proving offsets then fell to defendant and could be satisfied only through evidence documenting costs actually incurred. Thus, according to the hearing court, the prosecution's allowance of setoffs for the subcontractors' costs was an act of generosity, not a legal requirement.

Following the hearing, the court issued a written decision adopting the restitution amount proffered by the prosecution, \$340,143. In that decision, the court reiterated its view that the People's burden of proof does not require any recognition of the value of goods or services actually delivered by defendant. That burden fell to defendant and was not satisfied. On appeal, defendant argued that the hearing court violated Penal Law § 60.27 and CPL 400.30 by improperly shifting the burden of proving the city's out-of-pocket loss to him. He also asserted that the court erred in precluding evidence of the fair market value of the goods and services he provided to the city under the contract. The Appellate Division agreed and ordered a new restitution hearing, noting that the result was dictated by the plain statutory language assigning the burden of proof to the People. We now affirm.

Restitution—seeking to ensure that an offender's punishment includes making the victim whole—has been a part of New York's criminal justice system since at least 1910 (*see People v Amorosi*, 96 NY2d 180, 183 [2001]; *People v Fuller*, 57 NY2d 152, 157 [1982]). While long available to crime victims, restitution has become more prevalent over the past quarter-century (*see People v Hall-Wilson*, 69 NY2d 154, 156-157 [1987]), and courts since 1983 have been required to consider including restitution as part of the sentence imposed upon a person convicted of an offense (*see id.* at 157; Penal Law § 60.27 [1]).

Restitution is “the sum necessary to compensate the victim for out-of-pocket losses” (*People v Consalvo*, 89 NY2d 140, 144 [1996]; *see also* Penal Law § 60.27 [1]). Thus, courts must consider not only the amount taken by the defendant but also the value of any benefit received by the victim (*see Lama Hold-*

ing Co. v Smith Barney, 88 NY2d 413, 421 [1996]; *see also United States v Swanson*, 394 F3d 520, 528 [7th Cir 2005] [any value conferred on the victim from the criminal transaction “must be deducted from the restitution award”]; *Karrell v United States*, 181 F2d 981, 987 [9th Cir 1950] [the proper restitution amount is “the sum paid by the (victim) over and above the value of the thing he got”]).¹ Indeed, we have recognized that a restitution order must include appropriate “offsets or other factors which could properly reduce the total amount” (*Fuller*, 57 NY2d at 158 [internal quotation marks omitted]).

If the court is unable to make a finding as to the actual out-of-pocket loss based on the record before it, or if the defendant so requests, the court must conduct a hearing in accordance with the procedure set forth in CPL 400.30 (Penal Law § 60.27 [2]). CPL 400.30 (4) provides:

“At any hearing held pursuant to this section the burden of proof rests upon the people. A finding as to the amount of the defendant’s gain from the commission of the offense must be based upon a preponderance of the evidence. Any relevant evidence, not legally privileged, may be received regardless of its admissibility under the exclusionary rules of evidence.” (Emphasis added.)

At a restitution hearing, the People bear the burden of proving the victim’s out-of-pocket loss—the amount necessary to make the victim whole—by a preponderance of the evidence (*see People v Horne*, 97 NY2d 404, 410-411 [2002]; *Consalvo*, 89 NY2d at 145).² To meet that burden, the People must show both

1. The legislative history clarifies that the restitution amount may not be only the value of the property taken by the defendant. Section 60.27 of the Penal Law was designed “to require the sentencing court to determine and fix the amount of restitution and reparation based upon the dollar amount of the fruits of the offense and the actual out-of-pocket loss to the crime victim, without respect to . . . the extent to which [the defendant] profited by the offense.” (Governor’s Program Bill Mem, Bill Jacket, L 1992, ch 618, at 21.)

2. The People’s burden of proof encompasses both the burden of producing evidence sufficient to establish a *prima facie* case of the proper restitution amount (the out-of-pocket loss, which includes appropriate reductions) as well as the burden of persuasion—that is, the ultimate burden of convincing the hearing court, after all the evidence is submitted, that its restitution figure is, more likely than not, correct (*see Prince, Richardson on Evidence* §§ 3-201, 3-206 [Farrell 11th ed]). The dissent agrees that the People bear the burden of proving the victim’s out-of-pocket loss but implies that this amount does not include the value of the benefit conferred on the victim. Such definition of

(n. cont’d)

components of the restitution equation, the amount taken minus the benefit conferred (*see State v Beavers*, 300 Mont 49, 53, 3 P3d 614, 616 [2000]; *Bowman v State*, 698 So 2d 615, 616 [Fla App 1997]; *State v Tutor*, 538 NW2d 894, 897 [Iowa App 1995]).³ To hold otherwise would contravene both the words and the intent of the statute, “to prevent the victim from enjoying an unjust enrichment, and the defendant from suffering under an unduly harsh and unreasonable restitution order” (Mem of Attorney General, Bill Jacket, L 1992, ch 618, at 25).

Most often there will be no reductions, as criminals rarely confer a benefit on their victims, and the People may satisfy their burden simply by proof of the amount taken. In this case, however, it is undisputed that the city did receive benefit on the projects for which defendant submitted false invoices. The prosecution, therefore, in making a *prima facie* showing of the proper restitution amount was required to subtract from the face amount of the improper invoices the value of the benefit conferred in connection with the underlying projects.

Indeed, the prosecution did precisely that with respect to all but two of the falsified invoices. Carl testified that, in determining the restitution amount, she reduced the face value of the invoices by the actual cost of the services rendered by the subcontractors to whom the invoices related. For the Vack and Essex invoices, however, the People failed to introduce any evidence as to the value of defendant’s work on those projects, although the DCAS resident engineer had certified that the work was completed when he approved the payment requests. The People might have satisfied that burden by calling a DCAS engineer or other qualified employee to estimate the benefit conferred, or the costs the city might incur for comparable work, but failed to do so.

We agree with the Appellate Division that legislative reform in this area would be useful, and thus echo that Court’s call for

out-of-pocket loss is unsupported by both case law and legislative history. We agree with the dissent, however, that, once the People have established a *prima facie* case of the victim’s out-of-pocket loss, the burden of going forward falls to the defendant to offer evidence contradicting the People’s calculation (*see id.* § 3-202).

3. Buttressing this conclusion is CPL 400.30 (4)’s mandate that, in seeking a criminal fine, the People must prove the defendant’s “gain” by a preponderance of the evidence. Gain is defined as “the amount of money or the value of property derived from the commission of the crime, *less the amount of money or the value of property returned to the victim of the crime*” (Penal Law § 80.00 [2] [emphasis added]). Thus, gain and out-of-pocket loss both contemplate amount taken minus value conferred.

a modification to allow hearing courts the discretion to place the burden of proving offsets on the party best suited to do so—here, undoubtedly, defendant. Until such amendment, however, this burden remains with the prosecution, as plainly specified in the statute. In that the hearing court impermissibly placed the burden on defendant, the Appellate Division correctly concluded that the restitution order must be vacated and the case remitted for a new hearing.

Upon remittal, defendant should be permitted to offer evidence that the work reflected in the invoices was actually done (*see Consalvo*, 89 NY2d at 145 [“At the hearing, the court must permit the defendant to speak on the out-of-pocket loss . . .”]). CPL 400.30 (4) embodies a liberal evidentiary standard and evidence that defendant completed the work for which he requested payment is certainly relevant to the city’s out-of-pocket loss. We also agree with the Appellate Division that evidence of the fair market value of the materials or services provided by defendant is not in and of itself irrelevant. If defendant can identify with reasonable certainty the materials or services utilized in completing the projects reflected in the invoices, he should be permitted to introduce fair-market-value evidence in opposition to the People’s proof, to be weighed in the competitive-bidding context in which the city contracted for the work at issue.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed.

SMITH, J. (dissenting). I agree with the majority that the burden of proving offsets in a restitution hearing ought to be on the defendant (majority op at 222-223). I do not agree, however, that the Criminal Procedure Law forbids us from placing that burden where it belongs.

The factual issue the court below had to decide was “the actual out-of-pocket loss to the victim caused by the offense” (Penal Law § 60.27 [2]). The hearing to decide that issue was governed by CPL 400.30 (4), which says: “At any hearing held pursuant to this section the burden of proof rests upon the people.” I take this to mean that the People bear the burden of proof in two senses—the initial burden of producing evidence and the burden of persuasion—on the issue to be decided at the hearing, the amount of the out-of-pocket loss. (The distinction between the two burdens, both sometimes called “burden of proof,” is explained in *Fisch*, *New York Evidence* §§ 1086-1088, at 609-612 [2d ed 1977].)

In this case, the burden of persuasion is not in issue; the question is which side had the burden of producing evidence—not on the ultimate issue of the City’s out-of-pocket loss, but on the more specific issue of the value of the performance defendant furnished. We all agree that that burden should be on defendant, “the party best suited” to discharge it (majority op at 223), but the majority concludes, wrongly in my view, that the statute places it on the People.

The statute does place on the People the initial burden of producing evidence sufficient to establish a prima facie case on the ultimate issue: If the People fail to produce such evidence at the hearing, the issue must be decided in defendant’s favor. But that does not mean the People bear a like burden as to every narrower factual issue that could affect the outcome of the hearing. It is a basic principle that “depending upon the status of the evidence in the record at any particular time, the burden of producing evidence during the trial may shift from one party to the other and back again” (Fisch § 1088, at 611-612; *see e.g. Matter of Philip M.*, 82 NY2d 238, 244 [1993]). A statute placing “the burden of proof” on one party (here, the People) should not be read as repealing this principle.

To take a simple example: Suppose the People produce evidence that a defendant snatched a purse containing \$20. Must the People also come forward with evidence showing that the defendant never returned any of the money? Of course not. Once the theft of \$20 has been proved, the People have made a prima facie case, and if the defendant wants a finding that he returned some of the money, he must come forward with evidence showing that he did so. Placing this burden upon him does not violate the statute, but merely recognizes that, in showing the theft of \$20, the People have discharged the initial burden of producing evidence that the statute places on them.

This case is fundamentally the same. The People produced evidence that defendant had obtained, through false invoices, a sum exceeding \$950,000. That established the People’s prima facie case. As the hearing judge observed, the People could have stopped there and left it to defendant to produce evidence as to what, if anything, he gave New York City in return for its money. The People, acting with appropriate professionalism, went beyond this, and placed before the hearing court such information as they had about what defendant had provided, thus reducing the restitution amount to \$340,143. In doing so, the People were bearing part of defendant’s burden for him; while of course

they could not have concealed the information, they could have left the task of putting it into evidence to defendant.

The majority holds that the People had to go farther than they did—that they had to seek out and put before the court proof of all “the benefit conferred” by defendant on the City (majority op at 222). This is evidence favorable to defendant that defendant was in a better position to supply than the People were. In concluding that the statute compels this misallocation of the burden, the majority gives the statute a needlessly broad reading.

Judges CIPARICK, GRAFFEO and PIGOTT concur with Chief Judge KAYE; Judge SMITH dissents in a separate opinion in which Judge READ concurs; Judge JONES taking no part.

Order, insofar as appealed from, affirmed.

[864 NE2d 56, 832 NYS2d 132]

In the Matter of NEW YORK CITY TRANSIT AUTHORITY, Appellant, v NEW YORK STATE PUBLIC EMPLOYMENT RELATIONS BOARD et al., Respondents.

Argued January 3, 2007; decided February 20, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 27, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Joseph J. Dowd, J.; op 196 Misc 2d 532), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to review a determination of respondent New York State Public Employment Relations Board finding that petitioner engaged in an improper employer practice pursuant to Civil Service Law § 209-a (1) (a) by denying a public employee's request for union representation during an investigatory interview, and (2) dismissed the proceeding.

Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd., 27 AD3d 11, reversed.

HEADNOTES

Administrative Law — Judicial Review — Statutory Interpretation — Deference to Agency Interpretation Not Required

1. In determining whether New York public employees have a statutory right under Civil Service Law § 202 to refuse to submit without union representation to an interview if the employee reasonably believes that the interview might result in disciplinary action, the Court of Appeals was not required to defer to the determination of the Public Employment Relations Board (PERB) inasmuch as the question was one of pure statutory construction dependent only on an accurate apprehension of legislative intent with little basis to rely on any special competence of PERB.

Civil Service — Public Employees' Fair Employment Act — Right of Public Sector Employees to Union Representation during Investigatory Interview

2. Although an employee of a firm subject to the National Labor Relations Act (NLRA) has the right, pursuant to *NLRB v J. Weingarten, Inc.* (420 US 251 [1975]), to have a union representative present at an investigatory interview if the employee reasonably believes that the interview might result in disciplinary action, the Taylor Law (Civil Service Law art 14) does not give such a *Weingarten* right to New York public employees. The source of the *Weingarten* right is section 7 of the NLRA (29 USC § 157), which grants employees the right to “engage in concerted activities for . . . mutual aid or protection.” Such “mutual aid or protection” language is absent from Civil

Service Law § 202. Further, the right to union representation at disciplinary interviews is not inherent in section 202's provision for "the right to . . . participate in" labor unions. Finally, the text and legislative history of Civil Service Law § 75 (2), as amended in 1993, strongly support the conclusion that the Taylor Law does not confer a *Weingarten* right.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 490, 491; AM JUR 2d, Civil Service §§ 50, 73; AM JUR 2d, Labor and Labor Relations §§ 296, 1302.

CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:96.

McKINNEY's, Civil Service Law art 14; § 202.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 435, 437, 441, 541, 542.

SIEGEL, NY PRAC § 530.

29 USCA § 157.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Civil Service; Labor and Employment.

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Query: defer! /3 perb /s interpret! /3 statute

POINTS OF COUNSEL

Robert K. Drinan, Brooklyn, and *Martin B. Schnabel* for appellant. The Public Employment Relations Board exceeded its jurisdiction by rendering an opinion on a question of pure statutory construction and, in effect, promulgating a rule of general applicability through the adjudicatory process. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Town of Mamaroneck PBA v New York State Pub. Empl. Relations Bd.*, 66 NY2d 722; *Boreali v Axelrod*, 71 NY2d 1; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 243 AD2d 567, 91 NY2d 812; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., AFL-CIO, Local 100*, 220 AD2d 749; *Matter of Sperling v Helsby*, 60 AD2d 559.)

Sandra M. Nathan, Albany, and *William L. Busler* for New York State Public Employment Relations Board, respondent. I. The Appellate Division's determination that the Public Employment Relations Board's decision was permissible and reasonable should be affirmed. (*Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Matter of Uniondale Union Free School Dist. v Newman*, 167 AD2d 475, 77 NY2d 809; *Matter of Hoey v New York State Pub. Empl. Relations Bd.*, 284 AD2d 633; *Matter of City of Newburgh v Newman*, 70 AD2d 362; *Matter of Greenburgh No. 11 Union Free School Dist. v Kinsella*, 253 AD2d 46, 93 NY2d 810; *Matter of State of N.Y. [Div. of State Police] v Police Benevolent Assn. of N.Y. State Troopers, Inc.*, 25 AD3d 963; *Matter of Fashion Inst. of Tech. v Helsby*, 44 AD2d 550; *Matter of Suffolk County Legislature v Cuevas*, 303 AD2d 415; *Matter of County of Monroe v Newman*, 125 AD2d 1002; *Binghamton Civ. Serv. Forum v City of Binghamton*, 44 NY2d 23.) II. The Appellate Division properly deferred to the Public Employment Relations Board's determination. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Village of Scotia v New York State Pub. Empl. Relations Bd.*, 241 AD2d 29; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Matter of Town of Mamaroneck PBA v New York State Pub. Empl. Relations Bd.*, 66 NY2d 722; *Matter of Civil Serv. Empls. Assn. v Newman*, 90 AD2d 114; *Matter of Lippman v Public Empl. Relations Bd.*, 263 AD2d 891; *Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513; *Matter of State of N.Y. [Div. of State Police] v Police Benevolent Assn. of N.Y. State Troopers, Inc.*, 25 AD3d 963.) III. The Court should not consider evidence and a claim that were not before the Public Employment Relations Board. In any event, the claim has no merit. (*Matter of Lippman v Public Empl. Relations Bd.*, 296 AD2d 199, 99 NY2d 503; *Matter of Margolin v Newman*, 130 AD2d 312, 71 NY2d 844; *Matter of Fanelli v New York City Conciliation & Appeals Bd.*, 90 AD2d 756, 58 NY2d 952; *Matter of Duamutef v Johnson*, 266 AD2d 823, 94 NY2d 759; *Matter of Civil Serv. Empls. Assn. v Public Empl. Relations Bd.*, 73 NY2d 796; *Matter of New York State Correctional Officers & Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 309 AD2d 1118; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of Rosen v Public Empl. Relations Bd.*, 72

NY2d 42; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73.) IV. The New York City Transit Authority's remaining arguments have no merit. (*Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Matter of Mantica v New York State Dept. of Health*, 94 NY2d 58; *Matter of City of Albany v Public Empl. Relations Bd.*, 57 AD2d 374, 43 NY2d 954; *Matter of State of New York [State Univ. of N.Y.] v New York State Pub. Empl. Relations Bd.*, 181 AD2d 391; *Matter of Village of Scotia v New York State Pub. Empl. Relations Bd.*, 241 AD2d 29; *Rosen v Public Empl. Relations Bd.*, 128 Misc 2d 628, 125 AD2d 657; *Matter of Transport Workers Union of Am., Local 100, AFL-CIO v New York State Pub. Empl. Relations Bd.*, 24 AD3d 224; *Matter of City of Rochester v Public Empl. Relations Bd.*, 15 AD3d 922, 4 NY3d 710; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660.)

Schwartz, Lichten & Bright, P.C., New York City (*Stuart Lichten* of counsel), for Transport Workers Union of America, Local 100, respondent. The Public Employment Relations Board rationally found that the New York City Transit Authority violated the Taylor Law when it denied an employee union representation during an investigatory interview. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Village of Scotia v New York State Pub. Empl. Relations Bd.*, 241 AD2d 29; *NLRB v J. Weingarten, Inc.*, 420 US 251.)

Nancy E. Hoffman, Albany, *William A. Herbert* and *Jerome Lefkowitz* for Civil Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO, amicus curiae. The Public Employment Relations Board's conclusion that the New York City Transit Authority violated the Taylor Law when it denied requested union representation to a public employee during a disciplinary interrogation constituted a reasonable interpretation of the rights guaranteed public employees by Civil Service Law §§ 202, 203 and 209-a (1) (a). (*Matter of County of Monroe v Newman*, 125 AD2d 1002; *NLRB v J. Weingarten, Inc.*, 420 US 251; *Matter of City of Albany v Helsby*, 29 NY2d 433; *Matter of Village of Scotia v New York State Pub. Empl. Relations Bd.*, 241 AD2d 29; *National Labor Relations Bd. v Thor Power Tool Co.*, 351 F2d 584; *Matter of*

Rosen v Public Empl. Relations Bd., 72 NY2d 42; *Matter of Matt v Larocca*, 71 NY2d 154; *Matter of Sperling v Helsby*, 60 AD2d 559; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Anderson v Dolce*, 653 F Supp 1556.)

James R. Sandner, New York City, and *Stuart I. Lipkind* for New York State United Teachers, amicus curiae. I. The courts below correctly ruled that the right of a public employee under Civil Service Law § 202 to participate in his union entitles him to have a union representative present at investigatory interviews that may lead to discipline. (*NLRB v J. Weingarten, Inc.*, 420 US 251; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 117 AD2d 156; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York*, 78 NY2d 143; *Matter of County of Monroe v Newman*, 125 AD2d 1002; *Matter of Sperling v Helsby*, 60 AD2d 559; *Matter of Board of Educ. of City School Dist. of City of N.Y. v Mills*, 250 AD2d 122.) II. All public employee bargaining jurisdictions—including those states with statutes similar to Civil Service Law § 202—recognize the right of an employee to the presence of a union representative in interviews that may lead to discipline.

OPINION OF THE COURT

SMITH, J.

The National Labor Relations Act (NLRA), as interpreted in *NLRB v J. Weingarten, Inc.* (420 US 251 [1975]), gives to an employee of a firm subject to the NLRA the right to have a union representative present with the employee at an investigatory interview, if the employee reasonably believes that the interview might result in disciplinary action—a so-called “*Weingarten* right.” We hold today that the Taylor Law does not give a *Weingarten* right to New York public employees.

Facts and Procedural History

This case arises out of the New York City Transit Authority’s interview of one of its employees, Igor Komarnitskiy. The Authority was informed that Komarnitskiy, a car inspector, had become angry when asked to show a pass before entering a train yard and that, in objecting to the request, he had used a

racial slur in referring to employees he thought were treated less strictly. The Authority asked Komarnitskiy for a written response to the allegation, and Komarnitskiy provided one that he had prepared with the help of a representative of the Transport Workers Union (TWU). The Authority, suspicious that the TWU representative had influenced or dictated the content of the response, ordered Komarnitskiy to come to a supervisor's office to prepare a new response, and refused to allow TWU representatives to come with him.

The TWU filed an improper practice charge against the Authority, claiming that it had violated Komarnitskiy's *Weingarten* right. The Public Employment Relations Board (PERB) upheld the charge, and the Authority brought this CPLR article 78 proceeding against PERB and the TWU, asking that PERB's decision be annulled. Supreme Court dismissed the proceeding, and the Appellate Division affirmed. We granted leave to appeal, and now reverse.

Discussion

[1] *Weingarten* establishes that, if this case were governed by the NLRA, Komarnitskiy would have been entitled to have union representatives present at his interview with his supervisor. In *Weingarten*, the Supreme Court upheld a ruling by the National Labor Relations Board (NLRB) that section 7 of the NLRA "creates a statutory right in an employee to refuse to submit without union representation to an interview which he reasonably fears may result in his discipline" (420 US at 256). The question here is whether the Taylor Law (Civil Service Law art 14), specifically Civil Service Law § 202, gives a similar right to public employees in New York. We decide this issue de novo, without deferring to PERB's interpretation of the statute, because "the question is one of pure statutory construction 'dependent only on accurate apprehension of legislative intent [with] little basis to rely on any special competence' " of PERB (*Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42, 47-48 [1988], quoting *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]).

Civil Service Law § 202 provides: "Public employees shall have the right to form, join and participate in, or to refrain from forming, joining, or participating in, any employee organization of their own choosing."

This statutory language is in some ways similar to, but in more relevant ways different from, that of the statute inter-

preted in *Weingarten*, section 7 of the NLRA (29 USC § 157). Section 7 provides:

“Employees shall have the right to self-organization, to form, join, or assist labor organizations, to bargain collectively through representatives of their own choosing, and to engage in other concerted activities for the purpose of collective bargaining or other mutual aid or protection, and shall also have the right to refrain from any or all of such activities”

[2] While some of the rights given by section 7 (“to form, join, or assist labor organizations, to bargain collectively through representatives of their own choosing”) have close counterparts in section 202 (“to form, join and participate in . . . any employee organization of their own choosing”), those are not the rights that the Supreme Court relied on in *Weingarten*. Rather, *Weingarten* upheld the NLRB’s decision that the right to “engage in . . . concerted activities for the purpose of . . . mutual aid or protection” included a right to have union representatives present at disciplinary interviews (420 US at 260). Since the “mutual aid or protection” language is absent from section 202, *Weingarten* does not support a holding that section 202 creates a *Weingarten* right. As we explained in *Rosen*, the differences between section 202 and section 7 are not mere random variations:

“Unquestionable omissions from the Taylor Law of certain rights explicitly accorded in analogous provisions of the NLRA reflect an effort to advance concerns peculiar to the Taylor Law—such as the promotion of ‘harmonious and co-operative relationships between government and its employees’ . . . that are inapplicable under the NLRA. Manifestly, the Legislature sought to exclude from a statutory scheme regulating public employment certain rights and advantages conferred upon those in the private sector” (72 NY2d at 50 [citations omitted], quoting *Matter of Zuckerman v Board of Educ. of City School Dist. of City of N.Y.*, 44 NY2d 336, 342 [1978].)

PERB and the TWU argue that a *Weingarten* right may be inferred from section 202’s provision for “the right to . . . participate in” labor unions. The right to union representation at disciplinary interviews, however, is not inherent in the right to

participate in a union. Of course, employees may seek such a right of representation in collective bargaining; in doing so, they are protected by the Taylor Law's provision, in Civil Service Law § 203, that they "shall have the right . . . to negotiate collectively with their public employers in the determination of their terms and conditions of employment." But nothing in the text of the Taylor Law suggests that a *Weingarten* right is given by the statute itself.

The text and legislative history of a later-enacted statute strongly support our conclusion that the Taylor Law does not confer a *Weingarten* right. In 1993, 26 years after the Taylor Law's enactment, and 18 years after *Weingarten*, the Legislature amended Civil Service Law § 75 (2)—which applies to many, though not all, of the public employees protected by the Taylor Law—to add the following language:

"An employee who at the time of questioning appears to be a potential subject of disciplinary action shall have a right to representation by his or her certified or recognized employee organization under article fourteen of this chapter and shall be notified in advance, in writing, of such right. If representation is requested a reasonable period of time shall be afforded to obtain such representation. If the employee is unable to obtain representation within a reasonable period of time the employer has the right to then question the employee. A hearing officer under this section shall have the power to find that a reasonable period of time was or was not afforded. In the event the hearing officer finds that a reasonable period of time was not afforded then any and all statements obtained from said questioning as well as any evidence or information obtained as a result of said questioning shall be excluded, provided, however, that this subdivision shall not modify or replace any written collective agreement between a public employer and employee organization negotiated pursuant to article fourteen of this chapter." (L 1993, ch 279, § 1.)

Section 75 (2) gives the employees to which it applies a kind of *Weingarten* right, but one different from the right that PERB and the TWU ask us to find in the Taylor Law. Under section 75 (2), a violation of a *Weingarten* right results not in an improper practice proceeding before PERB, but in the exclusion

from a disciplinary hearing of statements made at the interview and evidence obtained as a result. And the *Weingarten* right created by section 75 (2), unlike the right given by the Taylor Law to “participate in . . . employee organization[s],” may be surrendered in collective bargaining. It would have made no sense to create the section 75 (2) version of the *Weingarten* right if a more robust version of that right already existed under the Taylor Law.

The history of the 1993 legislation shows clearly that its supporters did not believe that any *Weingarten* right existed in New York law before 1993. The supporting memorandum of the Senate sponsor of the 1993 legislation says: “New York State public employees do not have the same protection enjoyed by private sector employees during interviews and discussions by their employers,” and goes on to defend the idea of creating such a right with language taken from the Supreme Court’s *Weingarten* decision (Senate Introductor Mem in Support, Bill Jacket, L 1993, ch 279, at 22). A letter from a supporter of the legislation, the president of a civil service union, similarly notes that, under existing law, New York public employees lack the protections enjoyed by private sector employees, and adds: “This protection has been affirmed by the United States Supreme Court in *NLRB v Weingarten*” (Letter from Joseph E. McDermott, President of Civ Serv Empls Assn, Mar. 29, 1993, Bill Jacket, L 1993, ch 279, at 49; *see also* Letter from Stanley Hill, Exec Director, Am Fedn of St, County & Mun Empls, AFL-CIO, Dist Council 37, July 13, 1993, Bill Jacket, L 1993, ch 279, at 59). We see no basis for concluding that the supporters of the 1993 legislation misunderstood the existing law, and were wasting their time in changing it.

Accordingly, the order of the Appellate Division should be reversed, with costs, the petition granted, PERB’s determination of October 2, 2002 annulled, and the improper practice charge dismissed.

Chief Judge KAYE (dissenting). In 1967, the New York State Legislature enacted the Public Employees’ Fair Employment Act (Civil Service Law, art 14, § 200 *et seq.*, popularly known as the Taylor Law [L 1967, ch 392, § 2]), explicitly to promote harmonious labor relations in the public sector. Today’s decision will, I fear, foster dissonance.

The Public Employment Relations Board (PERB) determined that permitting an employee to have a union representative at

an interview which the employee reasonably fears may result in discipline is a right granted under the Taylor Law. Construing the statute de novo (assuming that is the proper standard), I agree with PERB that the fundamental right to participate in a union—as the Legislature intended—includes the right to a union representative’s attendance at a precharge interview, and I would affirm the orders of the trial court and the Appellate Division so holding (see *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42 [1988] [the Court, undertaking de novo interpretation, agrees with PERB]).

Igor Komarnitskiy, a Car Inspector with the Transit Authority (TA) and a member of the Transport Workers Union (TWU), was accused by a Transit Property Protection Agent of using a racial epithet when, in their native language, he complained about having to show his pass. When the TA requested that Komarnitskiy submit a written response to the allegation on a “G-2” form, he and a TWU Shop Chair together prepared a response: “I presented my parking pass and I.D. card to the property protection person, as per request.” Concerned that the Shop Chair may have influenced the content of the G-2 response, the TA directed Komarnitskiy to write out another response behind locked doors in the Superintendent’s office. The Shop Chair was denied entrance into the office, and when three other union representatives arrived, they too were denied despite insistent demands. The second G-2 states: “I [three indecipherable words] about the yellow pass. My regular pass was in my hand, and I did not passed the [line] on that moment.” Two weeks later, the TWU filed an improper practice petition alleging interference with the employee’s right to participate in union activities. When Komarnitskiy was taken into the Superintendent’s office behind locked doors, he could have reasonably feared discipline, now for two accusations.

PERB affirmed the Administrative Law Judge’s determination that the case should be decided with reference to *NLRB v J. Weingarten, Inc.* (420 US 251 [1975]). In *Weingarten* the United States Supreme Court upheld a National Labor Relations Board (NLRB) determination that an employee in the private sector has a right “to refuse to submit without union representation to an interview which he reasonably fears may result in his discipline” (*id.* at 256). The case involved a lunch counter worker accused of stealing. When a store manager and security agent questioned her, she was denied her request to have the presence of her union representative at the interview.

Bursting into tears, she explained that she had thought she was permitted to eat lunch without paying, and the manager pressed her to sign a statement; but the manager later learned that a different branch of the store where she had recently worked did have the “free lunch” policy.

The Court in *Weingarten*, upholding the finding that the employer had committed an unfair labor practice, based its determination that employees may be represented at an interview that could lead to discipline on language in National Labor Relations Act § 7 (29 USC § 157) that “ ‘[e]mployees shall have the right . . . to engage in . . . concerted activities for the purpose of . . . mutual aid or protection’ ” (*id.* at 260). Under the NLRA, it is an unfair labor practice for an employer “to interfere with, restrain, or coerce employees in the exercise of the rights guaranteed in section 157 of this title” (§ 8 [a] [1] [29 USC § 158 (a) (1)]). The Court also based its rationale on the policies underlying the statute:

“Requiring a lone employee to attend an investigatory interview which he reasonably believes may result in the imposition of discipline perpetuates the inequality the [National Labor Relations] Act was designed to eliminate, and bars recourse to the safeguards the Act provided ‘to redress the perceived imbalance of economic power between labor and management’ ” (*id.* at 262 [citation omitted]).

The Supreme Court emphasized the benefits to employers as well as employees:

“A single employee confronted by an employer investigating whether certain conduct deserves discipline may be too fearful or inarticulate to relate accurately the incident being investigated, or too ignorant to raise extenuating factors. A knowledgeable union representative could assist the employer by eliciting favorable facts, and save the employer production time by getting to the bottom of the incident occasioning the interview” (*id.* at 262-263).

A court must give effect to the intention of the Legislature by considering, first, the language in “its natural and most obvious sense,” then “the general spirit and purpose underlying its enactment” and, later, extrinsic evidence, such as legislative history (*see* McKinney’s Cons Laws of NY, Book 1, Statutes §§ 94, 96, 120; *see also* *Majewski v Broadalbin-Perth Cent.*

School Dist., 91 NY2d 577, 583 [1998] [courts should use the “natural signification of the words employed” (citations omitted)]). The majority today reverses PERB’s determination essentially because the words, “concerted activities for the purpose of . . . mutual aid or protection” are not found in the Taylor Law. That section 202 of the Taylor Law omits these words, however, does not contravene an interpretation that the word “participate” in its “natural signification” in the Taylor Law manifests a legislative intent to allow public employees the right to union representation at an investigatory interview when the employee seeks that representation.

Section 200 of the Taylor Law states its underlying purpose:

“The legislature of the state of New York declares that it is the public policy of the state and the purpose of this act to promote harmonious and co-operative relationships between government and its employees and to protect the public by assuring, at all times, the orderly and uninterrupted operations and functions of government. These policies are best effectuated by (a) granting to public employees the right of organization and representation”

To further its goals that harmony between public sector employers and employees be achieved through rights of organization and representation, the Legislature extended in section 202 “the right to form, join and participate in . . . any employee organization of their own choosing.” Section 203 affords employees the right to be “represented by employee organizations, to negotiate collectively with their public employers in the determination of their terms and conditions of employment, and the administration of grievances arising thereunder.” Further, section 209-a (1) provides: “It shall be an improper practice for a public employer or its agents deliberately (a) to interfere with, restrain or coerce public employees in the exercise of their rights guaranteed in section two hundred two for the purpose of depriving them of such rights” Section 205 (5) (d) authorizes PERB to issue a decision and order to resolve improper practice charges. PERB thus has authority to determine whether an employer has committed an improper practice by interfering with an employee’s participation in union activities.

“The right of public employees to form, join and participate in any employee organization . . . is not strictly limited to activities in furtherance of collective bargaining rights” (*Matter of*

Greenburgh No. 11 Union Free School Dist. v Kinsella, 253 AD2d 46, 51 [3d Dept 1999]; see also *Matter of State of N.Y. [Div. of State Police] v Police Benevolent Assn. of N.Y. State Troopers, Inc.*, 25 AD3d 963 [3d Dept 2006]). Moreover, the request for union representation has been deemed “participation” under section 202:

“Section 209-a.1 (a) of the Act broadly and generally prohibits employer actions which interfere with employees’ statutory rights. Employees have the protected statutory right to have union representation with respect to any issue affecting their employment relationship, whether or not that issue embraces a mandatory subject of negotiation. That request for and receipt of union representation constitutes participation in a union, a right specifically protected by § 202 of the Act” (*Matter of AFSCME, Local 650, AFL-CIO [City of Buffalo]*, 30 PERB ¶ 3021, at 3048 [1997]; see also *Matter of County of Monroe v Newman*, 125 AD2d 1002, 1003 [4th Dept 1986] [supports PERB’s construction of sections 202 and 203 as “intimately related,” and confirms that “(a)ction taken for the purpose of frustrating the right of representation . . . necessarily has a chilling effect on the § 202 right of organization and is inherently destructive of that right’ ”]).

Issues concerning union representation on disciplinary matters for bargaining unit members are part of the employment relationship in the public sector (see e.g. *Matter of Civil Serv. Empls. Assn. v Public Empl. Relations Bd.*, 132 AD2d 430 [3d Dept 1987], *affd* 73 NY2d 796 [1988]; *Matter of Patchogue-Medford Congress of Teachers [Patchogue-Medford Union Free School Dist.]*, 30 PERB ¶ 3041 [1997]; *Matter of New York State Pub. Empls. Fedn., AFL-CIO [State of New York (Dept. of Health & Roswell Mem. Inst.)]*, 26 PERB ¶ 3072 [1993]). Thus, a proper interpretation of the Taylor Law is that it incorporates the right to have representation relating to informal investigations of employee conduct—a construction that is not negated by the existence of a statute that addresses formal disciplinary actions in Civil Service Law § 75. To “participate” means to take part in something, usually in common with others. Seeking advice from a union representative when a bargaining unit member is most vulnerable certainly is encompassed in the plain language of “participate.”

As noted above, the underlying purposes of the Taylor Law are to promote cooperation and to assure “the orderly and uninterrupted operations and functions of government”—in other words, to prevent strikes. In 1969—two years after the original law was passed and six years before *Weingarten* was decided—a panel led by George W. Taylor, after whom the law was named, issued a report (*see* New York [State] Governor’s Committee on Public Employee Relations. Recommendations for current legislative action with respect to the Taylor Law [1969] [Report]). The Report emphasized the need to use impasse panels and other deterrents—such as fines and imprisonment—in order to prevent illegal strikes. Section 209-a was added in 1969 (L 1969, ch 24, § 7). Thus, at the same time that the Legislature added the section delineating improper practices to ensure that employers would adhere to the statute as a whole, the Legislature also included section 209-a (3) (now subd [6]), which provides: “In applying this section, fundamental distinctions between private and public employment shall be recognized, and no body of federal or state law applicable wholly or in part to private employment, shall be regarded as binding or controlling precedent.”

The thrust of this section is to reinforce the point that public employees in the state do not have the same right to strike as those employees covered by the NLRA—not that state employees do not have the same rights to participate in union activity (*see* A. Baldwin, *Weingarten and the Taylor Law—A Claimed Difference Without Distinction*, 7 Hofstra Lab LJ 123, 145, 152-153, and *passim* [Fall 1989]). Indeed, it is likely that the main reason that section 202 does not include the words, “mutual aid or protection” is to bar strikes—and section 209-a (6) was meant to reinforce that point.

In the 1969 Report, the panel wrote:

“Our recommendations included an extension of rights to government employees which had never previously been accorded in New York State. At the same time, we reiterated certain long-standing obligations of government employees to the public whom they serve. The basic principles for accommodating the rights of employees and the rights of the public, in our considered judgment, have been expressed in the Taylor Law. Effectuation of those principles in a sound manner is a long-term under-

taking. With experience under the Law will come an understanding of the changes in policy and in administrative procedures which are required to deal with the problems which arise.

“For the continuing sound development of constructive employee relations in the public sector, it is imperative to the achievement of solutions of these problems to enlist the continuing advice and cooperation of leaders of labor and management representatives in both the private and public sectors. The evolution of government-employee relations would benefit greatly, particularly at the present stage, from such advice and cooperation” (Report at 23-24).

The panel recommended that a Public Employment Relations Advisory Council be established to include representatives of the public and private sectors to work “for the common objective of achieving equity for public employees and protection of broad public interests” (Report at 24). “While recognizing the differences between private and public employment, [the Council] could bring to bear upon the problems of the public sector the best experience of the more mature private sector” (Report at 25). The goal of the 1969 amendments was not to distinguish all Taylor Law rights from rights granted under the NLRA but to underscore the need for government employees not to engage in work stoppages, in exchange for which they would be permitted to participate in a union.

The Court in *Rosen*, as the majority indicates, did interpret the Taylor Law to be more restrictive than the NLRA: “Manifestly, the Legislature sought to exclude from a statutory scheme regulating public employment certain rights and advantages conferred upon those in the private sector (*see, e.g., Civil Service Law § 200 [public employees have no right to strike]*)” (*Rosen*, 72 NY2d at 50 [emphasis added]). In addition, the Court determined that PERB correctly found that the Taylor Law does not protect unorganized activity (*id.*). As to section 209-a (6), the Court stated:

“To be sure, this provision prohibits reliance on the NLRA itself, and case law interpreting that statute, as mandating a particular result. It does not, however, prohibit a comparison of the two statutes and the body of case law interpreting each in order to ascertain the meaning of provisions in the Taylor

Law, and to discern our Legislature's intent in drafting them" (*id.* at 51).

While the comparison between the Taylor Law and the NLRA in *Rosen* highlighted the differences between an "employee organization" as defined in section 201 of the Taylor Law and an unorganized group of individuals, here public and private employees represented by a union are in essentially the same position—seeking to participate in a protected union activity of getting advice from a union representative when discipline is an issue. I take guidance from the *Weingarten* decision that representation in the circumstances of an employee's reasonable fear that an investigatory interview may result in discipline is consistent with the "most fundamental purposes" of the Taylor Law (*see Weingarten*, 420 US at 261).

Nor will granting a *Weingarten* right deter collective bargaining. On the contrary, bargaining over procedures is mandatory even for a subject "treated by statute," and "the presumption is that all terms and conditions of employment are subject to mandatory bargaining" (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 79 [2000] [citations omitted]).

Moreover, the 1993 amendments in Civil Service Law § 75 do not foreclose a finding of a *Weingarten* right in the Taylor Law. The underlying policies of the Taylor Law and section 75 address different issues. It is possible, for example, for an employee to be terminated following a section 75 hearing, but then be reinstated after PERB finds that the employer committed an improper practice—perhaps discrimination or retaliation (*see Matter of City of Albany v Public Empl. Relations Bd.*, 57 AD2d 374 [3d Dept 1977], *affd* 43 NY2d 954 [1978]). Section 75 sets forth procedures for imposing discipline in accordance with due process. Section 75 (2) provides that an employee has a right to representation at the time of questioning and "shall be notified in advance, in writing, of such right." Section 75 (2) also provides for a representative when an employee has already been charged with a disciplinary infraction (*see Matter of Ulster County Sheriff's Empls. Assn. [County of Ulster]*, 26 PERB ¶ 3008 [1993]). The rationale for ensuring that an employer does not "interfere" with a bargaining unit member's representation before the formal filing of charges is to attempt to balance the equities between the power of the employer and the vulnerability of the employee. Deferring representation makes it "increasingly difficult for the employee to vindicate himself,

and the value of representation is correspondingly diminished” (*Weingarten*, 420 US at 263-264). That the Legislature chose to add a right to section 75 that an employee be represented is by no means dispositive that the right to have representation upon request at an investigatory interview is excluded in the Taylor Law.

Komarnitskiy, whose native language is not English, was taken into a Superintendent’s office behind closed doors following an attempt to exonerate himself. I do not diminish the seriousness of the alleged offense. Nor is it appropriate to address whether the representative and Komarnitskiy improperly completed the G-2. But just like the lunch counter worker in *Weingarten*, Komarnitskiy, as a Car Inspector, was in a vulnerable position. The TA, in violation of section 209-a (1) (a), denied a union member the right to seek advice and support from his union representative—the right to participate in his employee organization. My hope is that the Legislature will enact, and the Governor will sign into law, an amendment to make explicit in the Taylor Law what to my mind is now implicit.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Chief Judge KAYE dissents in a separate opinion in which Judge CIPARICK concurs; Judge JONES taking no part.

Order reversed, etc.

[864 NE2d 65, 832 NYS2d 141]

LENA C. TEDESCO, Individually and as Executrix of FRANK TEDESCO, Deceased, Respondent, v A.P. GREEN INDUSTRIES, INC., et al., Defendants, and INSULATION DISTRIBUTORS, INC., Respondent and Third-Party Plaintiff-Respondent. E.I. DU PONT DE NEMOURS AND COMPANY, Third-Party Defendant-Appellant.

Argued January 9, 2007; decided February 22, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered September 30, 2005. The Appellate Division modified, on the law, an order of the Supreme Court, Niagara County (James B. Kane, J.H.O.), which had granted cross motions by the third-party defendant to amend its answer to include the defense of lack of capacity to sue and to dismiss the third-party complaint. The modification consisted of denying the cross motion with respect to the third-party complaint and reinstating the third-party complaint. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: “Was the order of this Court, entered September 30, 2005, properly made?”

Tedesco v A.P. Green Indus., Inc., 21 AD3d 1418, affirmed.

HEADNOTE

Corporations — Capacity to Sue — Third-Party Claim for Indemnity or Contribution by Dissolved Corporation

A dissolved corporation may, as part of winding up its affairs, bring a third-party claim for indemnity or contribution in an action arising out of predissolution events. Accordingly, in an action based upon decedent’s exposure in the course of his employment to defendant distributor’s asbestos-containing products, defendant, which had been dissolved for nonpayment of taxes prior to decedent’s diagnosis, had capacity to bring a third-party action against decedent’s employer for contribution or indemnification. Defendant’s third-party claim was clearly part of “winding up its affairs.” Assertion of a third-party claim for contribution or indemnification is a normal part of defending an asbestos claim, and is explicitly authorized by Business Corporation Law § 1005 (a) (1) and § 1006 (a). Although defendant had no more than a contingent claim against decedent’s employer at the time of defendant’s dissolution, Business Corporation Law § 1006 (b) states that dissolution “shall not affect any remedy . . . for any right or claim existing . . . before such dissolution.” The statute does not state, nor should it be read to imply, that no claim coming into existence after dissolution may ever be pursued.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations §§ 2418, 2428, 2429, 2432.

CARMODY-WAIT 2d, Actions and Proceedings By and Against Corporations, Their Officers, Directors, and Shareholders §§ 121:558, 121:562.

McKINNEY'S, Business Corporation Law § 1005 (a) (1); § 1006 (a), (b).

NY JUR 2d, Business Relationships §§ 1296, 1297.

ANNOTATION REFERENCE

See ALR Index under Corporations; Dissolution or Liquidation.

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Query: dissolved /3 corporation /s wind! /2 up /s indem! contrib!

POINTS OF COUNSEL

Lipsitz & Ponterio, LLC, Buffalo (*John Ned Lipsitz* and *Anne E. Joynt* of counsel), for *Lena C. Tedesco*, respondent. I. Supreme Court properly exercised its discretion in denying *Insulation Distributors, Inc.*'s motion for leave to amend its answer to plead the affirmative defense of lack of capacity to be sued, because *Insulation Distributors* offered no reasonable excuse for its delay, plaintiff would be prejudiced by *Insulation Distributors*' delay if the motion were granted, and there is no merit to *Insulation Distributors*' lack of capacity defense. (*Rose v Velletri*, 202 AD2d 566; *Baker v Keller*, 241 AD2d 947; *Cameron v 1199 Hous. Corp.*, 208 AD2d 454; *Fulford v Baker Perkins, Inc.*, 100 AD2d 861.) II. Supreme Court correctly decided that plaintiff could sue *Insulation Distributors, Inc.* for decedent's injurious exposure to asbestos, which occurred prior to *Insulation Distributors*' dissolution. (*City of New York v New York & S. Brooklyn Ferry & Steam Transp. Co.*, 231 NY 18; *Independent Inv. Protective League v Time, Inc.*, 50 NY2d 259; *Matter of Rodgers v Logan*, 121 AD2d 250; *Gutman v Club Mediterranee Intl.*, 218 AD2d 640; *Briere v Barbera*, 163 AD2d 659; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *Matter of Steinhardt v Johns-Manville Corp.*, 54 NY2d 1008; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212; *Penny v United Fruit Co.*, 869 F Supp 122; *Consorti v Owens-Corning Fiberglas Corp.*, 86 NY2d 449.)

Damon & Morey LLP, Buffalo (*Amy Archer Flaherty* and *Carol G. Snider* of counsel), for Insulation Distributors, Inc., respondent and third-party plaintiff-respondent. I. Although a dissolved corporation, Insulation Distributors, Inc. has the legal capacity to sue E.I. du Pont de Nemours and Company for contribution and indemnification. (*Gutman v Club Mediterranee Intl.*, 218 AD2d 640; *Briere v Barbera*, 163 AD2d 659; *Lorisa Capital Corp. v Gallo*, 119 AD2d 99; *Matter of Milton L. Ehrlich, Inc. [Unit Frame & Floor Corp.]*, 5 NY2d 275; *Matter of Rodgers v Logan*, 121 AD2d 250; *McDermott v City of New York*, 50 NY2d 211, 1059; *Matter of Valstrey Serv. Corp. v Board of Elections, Nassau County*, 2 NY2d 413; *Bay Ridge Air Rights v State of New York*, 44 NY2d 49; *Nassau Roofing & Sheet Metal Co. v Celotex Corp.*, 70 AD2d 395; *Consorti v Owens-Corning Fiberglas Corp.*, 86 NY2d 449.) II. In the alternative, if Insulation Distributors, Inc. lacks the legal capacity to sue, it similarly lacks the legal capacity to be sued and plaintiff's complaint must therefore be dismissed. (*Mas v Two Bridges Assoc.*, 75 NY2d 680.) III. Appellant abandoned its argument that the third-party complaint must be dismissed for Insulation Distributors, Inc.'s failure to comply with discovery and, in any event, CPLR 5501 does not authorize this Court to review the finding of the Fourth Department that third-party defendant's argument is without merit. (*Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Matter of Allen v Rizzardi*, 5 NY2d 493; *Emanuel v Broadway Mall Props.*, 293 AD2d 708; *Brandes v Pirnie-Baker*, 288 AD2d 413; *Metropolitan Life Ins. Co. v Falk & Co.*, 265 AD2d 203.)

Phillips Lytle LLP, Buffalo (*Paul F. Jones*, *Lisa L. Smith*, *J. Michael Lennon*, *Jessica M. Lazarin* and *Jacqueline Phipps Polito* of counsel), for third-party defendant-appellant. I. Insulation Distributors, Inc. has no legal capacity to bring suit. (*Dunn v Uvalde Asphalt Paving Co.*, 175 NY 214; *McDermott v City of New York*, 50 NY2d 211; *Ralston Purina Co. v McKee & Co.*, 174 AD2d 1060; *Cubito v Kreisberg*, 69 AD2d 738, 51 NY2d 900; *Musco v Conte*, 22 AD2d 121; *Satta v City of New York*, 272 App Div 782; *Bay Ridge Air Rights v State of New York*, 44 NY2d 49; *Tavernier v Toner*, 155 AD2d 948; *Consorti v Owens-Corning Fiberglas Corp.*, 86 NY2d 449; *Lorisa Capital Corp. v Gallo*, 119 AD2d 99.) II. Insulation Distributors, Inc.'s refusal and inability to provide meaningful discovery responses emphasizes the sound policy reasons behind Business Corporation Law § 1006 (b) and is an alternate ground for reversal. (*Brown v Michelin Tire Corp.*, 204 AD2d 255; *Wolfson v Nassau County Med. Ctr.*, 141 AD2d 815.)

OPINION OF THE COURT

SMITH, J.

We hold that a dissolved corporation may, as part of winding up its affairs, bring a third-party claim for indemnity or contribution in an action arising out of predissolution events.

Facts and Procedural History

Insulation Distributors, Inc. (IDI) was a distributor of products containing asbestos, and as a result became a defendant in a number of lawsuits. In this case, IDI was sued by the estate of Frank Tedesco, who worked for many years as an electrician for E.I. du Pont de Nemours and Company (DuPont). Tedesco allegedly came in contact with IDI's products during the course of his work with DuPont, from which he retired in 1992.

IDI went out of business in 1996, and was dissolved for nonpayment of taxes in 1999. In 2000, Tedesco was diagnosed with illnesses allegedly caused by asbestos; he died later that year. His estate brought this action against IDI and others in 2001. IDI answered the complaint and brought a third-party action against DuPont for contribution or indemnification.

In the course of discovery, IDI relied on its status as a dissolved corporation in objecting to certain of DuPont's discovery requests. DuPont then moved to amend its answer to the third-party complaint to assert a defense of lack of capacity to sue, and sought dismissal of the third-party complaint on that ground. Supreme Court permitted the amendment and dismissed the third-party complaint on the ground of lack of capacity. The Appellate Division reversed, but granted DuPont leave to appeal to this Court. We now affirm.

Discussion

Business Corporation Law §§ 1005 and 1006 govern the capacity of a dissolved corporation to bring suit. Section 1005 (a) (1) provides: "After dissolution . . . [t]he corporation shall carry on no business except for the purpose of winding up its affairs." Section 1006 (a) provides:

"A dissolved corporation, its directors, officers and shareholders may continue to function for the purpose of winding up the affairs of the corporation in the same manner as if the dissolution had not

taken place, except as otherwise provided in this chapter or by court order. In particular, and without limiting the generality of the foregoing: . . .

“(4) The corporation may sue or be sued in all courts and participate in actions and proceedings, whether judicial, administrative, arbitratative or otherwise, in its corporate name, and process may be served by or upon it.”

Under these statutes, IDI had capacity to bring its third-party claim against DuPont so long as that activity was part of “wind-ing up its affairs.” Clearly, it was. To wind up its affairs, IDI had either to settle or defend the asbestos claims against it, including the one by Tedesco’s estate. To assert a third-party claim for contribution or indemnification is a normal part of defending an asbestos claim, and is plainly authorized by Business Corporation Law § 1005 (a) (1) and § 1006 (a). While the power to bring such a claim might well be implicit in the general power of a dissolved corporation to wind up its affairs, that power is made explicit by the specific authorization to “sue or be sued . . . and participate in actions and proceedings” (§ 1006 [a] [4]).

DuPont’s argument that IDI lacks capacity to sue depends primarily on Business Corporation Law § 1006 (b), which provides:

“The dissolution of a corporation shall not affect any remedy available to or against such corporation, its directors, officers or shareholders for any right or *claim existing* or any liability incurred *before such dissolution*, except as provided in sections 1007 (Notice to creditors; filing or barring claims) or 1008 (Jurisdiction of supreme court to supervise dissolution and liquidation)” (emphasis added).

DuPont’s argument is that IDI’s claim against it was not a “claim existing” before IDI’s dissolution in 1999. DuPont is correct that the claim had not yet accrued for statute of limitations purposes—and indeed, it has not yet accrued. The statute of limitations on a claim for indemnity or contribution accrues only when the person seeking indemnity or contribution has paid the underlying claim (*McDermott v City of New York*, 50 NY2d 211, 217 [1980]; *Bay Ridge Air Rights v State of New York*, 44 NY2d 49, 53 [1978]). Also, a critical prerequisite to IDI’s action against DuPont was lacking at the time of IDI’s dis-

solution, for Tedesco had not then suffered a “grave injury” within the meaning of Workers’ Compensation Law § 11, which limits claims against an injured person’s employer to cases involving death and some other injuries specified in the statute. Tedesco was not known to have suffered any injury at all in 1999, and did not suffer a “grave injury” until 2000.

Thus, IDI had no more than a contingent claim against DuPont in 1999. We need not, however, decide whether a claim that is only contingent may be a “claim existing” within the meaning of Business Corporation Law § 1006 (b). That statute says that dissolution “shall not affect any remedy . . . for any right or claim existing . . . before such dissolution,” but it does not say, and we do not read it to imply, that no claim coming into existence after dissolution may ever be pursued.

If the statute were read to preclude all suits on claims not ripe at the time of dissolution, it would produce anomalous results. For example, a debt to a dissolved corporation that became due on the day after dissolution would be uncollectible, and the debtor would receive a windfall. Section 1006 (b) should not be interpreted to impair the capacity of a dissolved corporation like IDI to bring lawsuits appropriate to “winding up its affairs,” a capacity clearly established by sections 1005 (a) and 1006 (a). Thus the Appellate Division was correct in rejecting DuPont’s lack of capacity defense.

DuPont also offers an alternative ground for dismissal of the third-party claim—IDI’s alleged failure to provide discovery. The Appellate Division did not abuse its discretion in holding that dismissal on this ground was unwarranted. We express no other opinion on the parties’ discovery disputes, which remain for Supreme Court to decide.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur; Judges PIGOTT and JONES taking no part.

Order affirmed, etc.

[864 NE2d 1261, 832 NYS2d 862]

In the Matter of JOHN J. O'SHEA, Appellant, v BOARD OF ASSESSORS OF NASSAU COUNTY et al., Respondents.

In the Matter of JACK MINKOFF et al., Appellants, v COUNTY OF NASSAU et al., Respondents, et al., Respondents.

In the Matter of HARRY BRIFFEL et al., Appellants, v COUNTY OF NASSAU et al., Respondents.

Argued January 11, 2007; decided February 13, 2007

SUMMARY

APPEAL, in the first above-entitled proceeding, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 30, 2006. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Nassau County (Edward G. McCabe, J.), entered in a proceeding pursuant to Real Property Tax Law article 7, which had (1) denied petitioner's application for partial summary judgment; (2) denied petitioner's application for costs and punitive damages; and (3) dismissed the petition.

APPEAL, in the second above-entitled proceeding, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 30, 2006. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Nassau County (F. Dana Winslow, J.), entered in a proceeding pursuant to CPLR article 78 in the nature of mandamus to compel the County of Nassau, Board of Assessors of Nassau County and Nassau County Assessment Review Commission to limit the increase in assessments of class one real property as reflected on the April 1, 2003 final assessment roll so that the increases complied with RPTL 1805 (1), which had (1) denied the petition and (2) dismissed the proceeding.

APPEAL, in the third above-entitled proceeding, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 30, 2006. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Nassau County (F. Dana Winslow, J.), entered in a proceeding pursuant to CPLR article 78 challenging the assessments imposed on petitioners' properties by respondents, which had (1) denied petitioners' motion for summary judgment; (2) granted respondents' cross motion to dismiss the proceeding; and (3) dismissed the petition.

Matter of O'Shea v Board of Assessors of Nassau County, 29 AD3d 1002, affirmed.

Matter of Minkoff v County of Nassau, 29 AD3d 1000, affirmed.

Matter of Briffel v County of Nassau, 31 AD3d 79, affirmed.

HEADNOTE

Taxation — Assessment — Limitation on Increases of Assessed Value of Individual Parcels — Full Market Valuation

The increase in the appraised or full market value of petitioners' residential property, resulting from a mandated countywide revaluation, did not violate Real Property Tax Law § 1805 (1), which limits increases on assessments on residential property in Nassau County to not more than six percent per year and 20% over any five-year period. As a result of lowering the fractional assessment percentage for class one residential property, the County limited the number of residential parcels with fractional assessments exceeding the six percent cap. Section 1805 (1) places no limits on changes in the fractional assessment rate, which is set by the assessing unit, nor does it limit the ultimate tax to be imposed. The statute was intended to permit Nassau County and New York City to continue the practice of assessing property at percentages of market value. Pursuant to section 1805 (1), the County appropriately brought assessed values in line with market values over three years in order to reduce accumulated and significant tax disparities between poorer and more affluent residential areas, without changing the tax burden of the residential class as a whole.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 638, 667, 673.

McKINNEY's, RPTL 1805 (1).

NY JUR 2d, Taxation and Assessment §§ 321, 323, 413.

NEW YORK REAL PROPERTY SERVICE § 61:3.5.

ANNOTATION REFERENCE

See ALR Index under Taxes.

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POINTS OF COUNSEL

John J. O'Shea, Manhasset, appellant pro se in the first above-entitled proceeding. The lower court erroneously interpreted Real Property Tax Law § 1805 (1). (*Matter of Nuzzolese v Board of Assessors of County of Nassau*, 172 AD2d 611; *Matter*

of Meadowbrook Plaza Assoc. v Board of Assessors, 174 AD2d 744.)

Fred N. Perry, Dix Hills, for appellants in the second above-entitled proceeding. I. The court below nullified RPTL 1805 and frustrated its legislative purpose contrary to primary statutory construction laws and principles. (*National Org. for Women v Metropolitan Life Ins. Co.*, 131 AD2d 356, 70 NY2d 939; *Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *Matter of Christopher F.*, 260 AD2d 97; *Matter of Town of New Castle v Kaufmann*, 72 NY2d 684; *Matter of New York State Dormitory Auth. v Board of Trustees of Hyde Park Fire & Water Dist.*, 86 NY2d 72; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1.) II. The RPTL defines “assessment” as the full valuation of property, or at minimum, includes full valuation within its definition. (*Matter of New York State Dormitory Auth. v Board of Trustees of Hyde Park Fire & Water Dist.*, 86 NY2d 72; *Matter of STG Corp. v Town of Greenville*, 190 Misc 2d 634; *Matter of Plato’s Cave Corp. v State Liq. Auth.*, 68 NY2d 791; *Matter of Robert J.*, 2 NY3d 339.)

Daniel J. Dillon, Lido Beach, for appellants in the third above-entitled proceeding. I. The intermediate appellate court concluded that the trial court manipulated the equalization rate so as to defeat the application of Real Property Tax Law § 1805. But because the statute did not expressly prohibit it, the action was regarded as authorized. This is a violation of all conventional statutory and judicial mandates regarding legislative interpretation. (*Desiderio v Ochs*, 100 NY2d 159; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *N.Y.A.A.D., Inc. v State of New York*, 1 NY3d 245; *Foss v City of Rochester*, 65 NY2d 247; *Matter of New York State Dormitory Auth. v Board of Trustees of Hyde Park Fire & Water Dist.*, 86 NY2d 72; *People v Garson*, 6 NY3d 604.) II. The City of New York has continuously followed the limits on assessment increases since the passage of Real Property Tax Law § 1805. Nassau County effectively exempted itself from the law between tax years beginning January 2003 and January 2005. As of tax year beginning January 2006 Nassau County began to apply the limitations of section 1805. (*Matter of Michael B.*, 80 NY2d 299.)

Lorna B. Goodman, County Attorney, Mineola (*Dennis J. Saffran* of counsel), for respondents in the first, second and third above-entitled proceedings. The term “assessment” in RPTL

1805 means a property's "fractional assessment" at a percentage of full value pursuant to RPTL 305, *not* appraisal of its full market value. (*Desiderio v Ochs*, 100 NY2d 159; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592; *Khela v Neiger*, 85 NY2d 333; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325; *Foss v City of Rochester*, 65 NY2d 247; *City of New York v New York State Div. of Hous. & Community Renewal*, 97 NY2d 216; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of New York State Dormitory Auth. v Board of Trustees of Hyde Park Fire & Water Dist.*, 86 NY2d 72; *Matter of STG Corp. v Town of Greenville*, 190 Misc 2d 634.)

OPINION OF THE COURT

READ, J.

The thousands of petitioners in these three proceedings are owners of residential real property in Nassau County. As a result of a countywide revaluation mandated by a stipulation of settlement in *Coleman v County of Nassau* (Sup Ct, Nassau County, Mar. 29, 2000, Winslow, J., Index No. 97-30380), the appraised or full market value of their homes soared, often at least doubling. Petitioners complain that respondents County of Nassau, Board of Assessors of Nassau County and Nassau County Assessment Review Commission (collectively or individually referred to as the County) thus violated Real Property Tax Law § 1805 (1), which limits increases on assessments on residential property in Nassau County to not more than six percent per year and 20% over any five-year period. Supreme Court dismissed the petitions, and the Appellate Division affirmed, with two Justices dissenting. Petitioners appealed as of right, and we now affirm.

I.

This appeal takes us back three decades to our decision in *Matter of Hellerstein v Assessor of Town of Islip* (37 NY2d 1 [1975]), which became "something of a *cause célèbre* for critics of the property tax" (Beebe and Sinnott, *In the Wake of Hellerstein: Whither New York? Part One*, 43 Alb L Rev 203, 204 [1979]). In *Hellerstein*, we considered whether the Town of Islip's long-standing practice of assessing real property at some fraction of its full or fair market value was valid in light of the statutory mandate that all real property in New York State be assessed at full market value and taxed at a uniform rate within

a single taxing jurisdiction (*see* former RPTL 306). We held that it was not. We recognized the potentially disruptive effects of our decision, however, and so refused to invalidate the specific assessment roll at issue. We gave the Town until December 31, 1976 to conform to the statute, allowing it to continue its existing practice of fractional assessment in the interim, and declaring that any ensuing “tax levies, liens, foreclosures or transfers based on such assessments” were immune from challenge for failure to comply with the law (37 NY2d at 14).

Because of the ubiquity of fractional assessment, our decision in *Hellerstein* reverberated throughout the state. Under a hodgepodge of fractional assessment regimes that had proliferated over the years, localities routinely assessed commercial and industrial property at higher ratios (assessed value over market value) than residential property. But as a result of *Hellerstein*, all real property would be subject to the same effective tax rate, or taxes per dollar of full market value. As reflected in the extensive newspaper coverage of the time, there was widespread fear that, without ameliorative legislative action, *Hellerstein* would force an unwelcome shift of a significant portion of the property tax burden from businesses to homeowners (*see e.g.* Kaiser, Issue and Debate, *Assessing Real Estate for Taxation at 100 Percent of Full Market Value*, New York Times, Mar. 10, 1976, at 32; Shaman, *Revaluation's Impact on the Homeowner*, New York Times, Apr. 15, 1979, at LI1). At the same time, Nassau County, which valued its residential property using 1938 construction costs less depreciation plus the land's market value as of 1964, faced an onslaught of tax certiorari suits brought by commercial and industrial property owners. In these suits, the petitioners challenged their property tax assessments on the ground of inequality, claiming that the County had assessed their properties well above the state equalization rate while assessing homes well below it; they sought refunds of back taxes potentially costing the County hundreds of millions of dollars (*see e.g.* 860 *Executive Towers v Board of Assessors of County of Nassau*, 53 AD2d 463 [2d Dept 1976], *affd sub nom. Matter of Pierre Pellaton Apts. v Board of Assessors of County of Nassau*, 43 NY2d 769 [1977] [reaffirming that state equalization rate may be used as sole basis for determining ratio of assessed value to full value in an assessment challenge on the ground of inequality]).

After six years of fits and starts, legislative moratoria and studies and task force reports, the Legislature overrode a

gubernatorial veto to enact chapter 1057 of the Laws of 1981. This statute repealed section 306 of the Real Property Tax Law, the provision that had required full value assessment; added a new section 305 (2) to specify generally that “[a]ll real property in each assessing unit shall be assessed at a uniform percentage of value (fractional assessment)”¹; and, as relevant here, added a new article 18 to apply to special assessing units, by definition limited to New York City and Nassau County (*see* RPTL 1801 [a]).

Article 18 allowed special assessing units to apply different fractional assessment percentages to each of four classes of property: one-, two- and three-family residential property (class one); all other residential property except hotels and motels and other similar commercial property (class two); utility property (class three); and all other (class four) (*see* RPTL 1802). Article 18 was “designed to maintain the stability of relative property class tax burdens” (Budget Report on Bills, at 1, Bill Jacket, L 1981, ch 1057).¹ In general, article 18 authorized a special assessing unit to fix class shares using the tax roll for the 1981-1982 levy, with leeway to increase or decrease shares in subsequent years up to five percent to accommodate changes in the roll or new construction (former RPTL 1803); and to increase individual assessments for class one property as limited by section 1805 (1), which states that

“[t]he assessor of any special assessing unit shall not increase the assessment of any individual parcel classified in class one in any one year, as measured from the assessment on the previous year’s assessment roll, by more than six percent and shall not increase such assessment by more than twenty percent in any five-year period.”

Further, the statute eliminated the use of the state equalization rate as evidence of inequality in future tax certiorari proceedings against special assessing units (*see* former RPTL 720 [3] [b], [c]; *see also*, RPTL 720 [3]).

The bill subsequently enacted as chapter 1057 was extremely controversial. It was the subject of extensive debate upon its

1. Chapter 1057 also enacted a new article 19 of the Real Property Tax Law. This provision “pertain[ed] to upstate municipalities that decid[e] a full revaluation program [was] necessary,” and was tailored “to avoid a shift of [the] property tax burden to residential property from other property classes as a result of a revaluation program” (Budget Report on Bills, at 2, Bill Jacket, L 1981, ch 1057). Article 19 accomplished this goal by providing for an optional two-class taxing structure (*see Foss v City of Rochester*, 65 NY2d 247 [1985]).

initial adoption, and also upon its reenactment by two-thirds vote after the Governor's veto. Members of the Assembly and Senators expressed the sentiment that, despite its imperfections, this bill was "the only ball game in town" to prevent a dramatic shift of real property taxes from businesses to homeowners, and provide a high degree of stability in the relative tax burdens of these categories of taxpayers (*see* NY Assembly Debate on Senate-Assembly Bill S7000-A, A9200, Oct. 28, 1981, at 12,797, 12,799, 12,801, 12,803; Dec. 3, 1981, at 13,474, 13,483-13,484; NY Senate Debate on Senate-Assembly Bill S7000-A, A9200, Oct. 28, 1981, at 7,505-7,506, 7,516-7,519, 7,549-7,550; Dec. 3, 1981, at 8,107, 8,111).

The County's representatives in the Legislature sought certain specific assurances from the bill's advocates in both houses. The following colloquy took place between Assemblyman Parola and Assemblyman Hochbrueckner, the bill's champion in the Assembly:

"MR. PAROLA: . . . [M]y questions really relate directly to Nassau County and its unique situation. Will, under this bill, 7000-A, if the Governor signs it into law, will it reverse the present court order requiring Nassau County to reassess its real property?

"MR. HOCHBRUECKNER: In response to your question, yes, it will.

"MR. PAROLA: Second question[.] [U]nder the language of 7000-A will Nassau County be able to continue its present method of assessing all real property based on construction costs as it has in the past?

"MR. HOCHBRUECKNER: Yes, again" (NY Assembly Debate on Senate-Assembly Bill S7000-A, A9200, Oct. 28, 1981, at 12,837-12,838).

Similarly, in the Senate debate on October 28, 1981, Senator Levy asked Senator Anderson, the bill's main proponent in the upper chamber, if he would yield to two questions from him and three colleagues, which they were "asked to present" by the Chairman of the Board of Assessors of Nassau County "for purposes of establishing legislative intent":

"SENATOR LEVY: The first question is, will Senate

7000A if signed into law by the Governor reverse the present court order requiring Nassau County to reassess its real property?

“SENATOR ANDERSON: Yes. And the reason is that we are repealing Section 306 by the very act before us.

“SENATOR LEVY: Thank you Senator. The second question is, under the language of 7000A, will Nassau County be able to continue its present method of assessing real property based on construction cost?

“SENATOR ANDERSON: Yes” (NY Senate Debate on Senate-Assembly Bill S7000-A, A9200, Oct. 28, 1981, at 7,510).

Subsequently, Senator Levy broadened his question by asking whether the County would “be able to continue its present method of assessing *all* real property based on construction costs,” and Senator Anderson again answered affirmatively (*id.* at 7,582 [emphasis added]).

II.

While *Hellerstein* and its aftermath bear critically on this appeal, *Coleman* is, of course, its mainspring. As already noted, Nassau County for many decades based the valuation of residential property on 1938 construction costs less depreciation plus the land’s market value as of 1964. That is, valuation was tied into replacement cost and was completely divorced from current market value. On October 30, 1997, the *Coleman* plaintiffs sued the County in state court under federal civil rights and fair housing statutes and the Nassau County Charter. They contended that because market values for houses in affluent areas had increased sharply while market values had remained stagnant or declined in low-income areas, poor and minority homeowners were shouldering a disproportionate and discriminatory share of the countywide property tax burden. The United States and the State of New York intervened in the action to support the plaintiffs’ position.

The parties in this widely reported case eventually entered into a stipulation of settlement, approved by Supreme Court on March 29, 2000. Under paragraph II (1) of the *Coleman* decree, the County agreed to “update and modernize [its] assessment rolls for residential properties,” and to “adopt a revaluation system and tax assessment roll to that end that [was] fair,

nondiscriminatory, scientific and equitable,” and imposed a uniform percentage of value or fractional assessment, consistent with standards adopted by the Office of Real Property Services, based on fair market value. The decree contemplated completion of the called-for mass revaluation in time for the assessment roll to be published on January 1, 2003, and set numerous interim benchmarks to facilitate meeting this deadline. The decree remained in effect and Supreme Court retained jurisdiction for three years following adoption of the new assessment roll.

Paragraph II (7) of the decree, which is at the core of petitioners’ complaints on this appeal, committed the County, at the end of its revaluation work and in time to meet the January 1, 2003 implementation date, to

“submit to the parties and the Court, for approval, a new Class I residential property real estate tax assessment roll that (i) relies upon fair market value; (ii) meets the requirements of par. II (1) [i.e., that was fair, nondiscriminatory, scientific, equitable, etc.] . . . , and (iii) assesses all Class I residential property in [the County] at a uniform percentage of value (fractional assessment) such that the uniform application of such fractional assessment rate does not result in any assessment for any individual parcel of Class I residential property that would require the application of RPTL 1805 to limit any assessment, except that if the fractional assessment rate selected results in not more than .5% of the total residential properties being subject to the limitations of RPTL 1805, such rate shall not be considered in violation of this paragraph.”

As noted previously, section 1805 (1) caps assessment increases for residential property to no more than six percent per year and 20% in five years. The parties included paragraph II (7) to make sure that the County crafted the new assessment roll in such a way as to limit the operation of section 1805 (1). Otherwise, homeowners whose real property had historically been overassessed would have continued for many more years to subsidize homeowners whose real property had historically been underassessed (e.g., older houses in more affluent communities). Of course, the entire goal of the *Coleman* decree was to eliminate this inequity, not to lock it in for the foreseeable future.

The only way for the County to comply with paragraph II (7) was to lower the fraction by which every residential parcel's full market value was to be multiplied to fix the assessed value. The tax rate would then be applied to the assessed value to compute the homeowner's taxes. To that end, on October 25, 2002 the County adopted a fractional assessment percentage or rate of one percent of full market value.² In November 2002 the County submitted its proposed 2003 reassessment roll to Supreme Court for its approval, as required by the *Coleman* decree. The assessed values on the January 1, 2003 assessment roll were less than 106% of those on the January 1, 2002 roll for all but about 0.47% of the residential properties revalued. Following several days of hearings, the court conditionally approved the new roll in an order dated December 20, 2002, and it went into effect on January 1, 2003. On March 8, 2003, the court adhered to its earlier order approving the roll, with a few modifications not relevant to this case.

As a result of the *Coleman* decree, the County reassessed 368,043 residential (as well as 44,881 commercial) parcels over a three-year period at a cost of roughly \$35 million. As Supreme Court noted, this enormous undertaking embraced "site visits, photographs, sketches, inspection of public records, collection of massive amounts of data for appraisal analysis, a comprehensive public information campaign that included a web site, informal in-person tax-payer review-of-value procedures, and the creation and utilization of a new computer software-enabled property valuation system" (*Coleman v County of Nassau, supra*, slip op at 4 [Mar. 8, 2003]).

III.

None of the petitioners appeared at the approval hearing for the new assessment roll, or submitted comments to Supreme Court to oppose its adoption. Instead, they commenced these proceedings seeking tax refunds several months after the new assessment roll—the fruit of the well-known, three-year, \$35 million revaluation venture—was put in place.

The County's plan for complying with both the *Coleman* decree and Real Property Tax Law § 1805 (1) was never a secret. As petitioners concede, the County's only option was to lower the fractional assessment percentage for class one property. As a result of doing this, the County limited the number of

2. According to petitioners, the comparable rate in 2002 was 2.11%.

residential parcels with fractional assessments exceeding the six percent cap. But petitioners contend that the word “assessment” in section 1805 (1) can only mean full valuation or full market value or appraised fair market value, not fractional assessment; and while their fractional assessments for 2003 did not exceed their fractional assessments for 2002 by more than six percent, the assessed full value of their houses increased dramatically from 2002 to 2003, as did their taxes. They argue that the County’s interpretation eviscerates or nullifies section 1805 (1), which the Legislature enacted to protect taxpayers from just the kind of sudden and drastic tax increases that they experienced.

As the Appellate Division pointed out, however, section 1805 (1) “places no limits on changes in the fractional assessment rate, which is set by the assessing unit, nor does it limit the ultimate tax to be imposed” (31 AD3d 79, 81 [2d Dept 2006]). Indeed, chapter 1057 of the Laws of 1981, adopted in response to *Hellerstein*, was principally aimed at protecting residential taxpayers from tax increases caused by tax shifts from businesses to homeowners as a result of revaluation, not tax increases driven by market forces. Similarly, in article 18, the Legislature sought to stabilize businesses’ and homeowners’ respective shares of the real property tax burden (*see* NY Assembly Debate on Senate-Assembly Bill S7000-A, A9200, Oct. 28, 1981, at 12,823-12,824, 12,844-12,847). This was particularly important for the County, which was beset by extensive tax certiorari litigation that threatened to saddle homeowners with a considerably larger share of the tax levy. In their questions during the Assembly and Senate debates, the County’s legislative representatives were careful to establish that the County would no longer be required to revalue, and that chapter 1057 would cure or short-circuit its litigation woes.

Concomitantly, the legislative history does not in any way suggest that section 1805 (1) was expected to limit the distribution of the tax burden *within* the class of residential taxpayers, or to hamstring a special assessment unit from curing inequities within this class. Indeed, there is evidence in the record, which petitioners never disputed with evidence (as opposed to assertions), that what the County did here reflected a settled understanding of section 1805 (1)—that New York City, the only other special assessing unit in the state, lowered its class one fractional assessment percentage from 28% to 8% over a period of time in order to bring assessed values for residential taxpayers in line with market values, just as the County did here.

Next, throughout the legislative debate discussion of “assessments” referred to fractional assessments. In particular, section 1805 (1) applied only to the County and New York City, both of which had historically assessed property at percentages of market value (*see* discussion at 255-256, *supra*; Willis, *Tax Certiorari Proceedings and the Present Real Property Tax System in New York City*, 9 Fordham Urb LJ 591 [1980-1981]). Since the statute was intended to permit them to continue this practice, it makes little sense to read this provision as referring to market value rather than fractional assessment. In addition, as the County points out, in 1981 the only “assessment” of a property that appeared on the assessment roll was its fractional assessed value (*see* RPTL 502 [3] [1981], as enacted by L 1958, ch 959). The Legislature did not amend section 502 (3) to require disclosure on the roll of a parcel’s “full value” as well as its assessed valuation until 1999 (*see* L 1999, ch 611). Along the same lines, many statutes enacted by the Legislature since 1981 recognize the distinction between “assessed value” and “market value” (*see e.g.* RPTL 1803-a [2] [a] [1]; [b] [1]; [3] [b] [1]; 701 [8] [b]; 922 [1] [a] [iii]).

Petitioners rely on Real Property Tax Law § 102 (2) to equate assessment with full value. As the Appellate Division observed, however, this provision defines assessment as

“ ‘a determination made by assessors of . . . the *valuation* of real property’ (emphasis added) not the full market value of the property. In other places, when the term full value or full market value is used in the RPTL (*see e.g.* RPTL 305, 502 [3]) it juxtaposes that to the terms ‘assessed valuation’ or ‘total assessed valuation.’ Were the petitioners correct, there would be no need to use all of these terms. The statute could have used only full market value” (31 AD3d at 82).

Finally, the dissent protests that we have allowed the County to exploit a loophole in section 1805 (1) whereby the County “leave[s] Mrs. Jones’s assessment the same, cut[s] everyone else’s assessment in half, and double[s] the tax rate. Now everyone pays the same tax as last year except for Mrs. Jones, who pays double” (dissenting op at 261). What the dissent fails to point out, however, is that this is so only if the full market value of Mrs. Jones’s house has doubled over time while the full market value of everyone else’s house has not, yet Mrs. Jones and everyone else have all been paying the same property taxes

because their fractional assessments have remained the same. Thus, Mrs. Jones has for some time been paying less than her equitable share of the residential portion of the tax levy. We do not mean to minimize the hypothetical Mrs. Jones's hardship when her taxes doubled in a single year, but the dissent would have us rewrite section 1805 (1) so as to preclude the County from doing what it did here: bring assessed values in line with market values over three years in order to reduce accumulated and significant tax disparities between poorer and more affluent residential areas, without changing the tax burden of the residential class as a whole.

Accordingly, in each case the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). I agree with Justices Spolzino and Lifson, dissenting in the Appellate Division, that the interpretation of RPTL 1805 (1) advanced by Nassau County, and now adopted by the majority of this Court, eviscerates the statute.

Section 1805 (1) says:

“The assessor of any special assessing unit shall not increase the assessment of any individual parcel classified in class one in any one year, as measured from the assessment on the previous year's assessment roll, by more than six percent and shall not increase such assessment by more than twenty percent in any five-year period.”

The purpose of the statute could not be clearer: It is to protect property owners from tax increases by limiting increases in their assessments. The protection is not absolute, of course. It is possible to increase taxes without increasing assessments—by increasing tax rates. But since tax rates are the same for everyone, a jurisdiction subject to section 1805 (1) cannot increase the tax on, say, Mrs. Jones's house by more than six percent in one year unless it increases everyone else's taxes too.

That, at least, is what the Legislature evidently thought when it enacted section 1805 (1). But Nassau County thinks it has discovered a way around the statute: Just leave Mrs. Jones's assessment the same, cut everyone else's assessment in half, and double the tax rate. Now everyone pays the same tax as last year except for Mrs. Jones, who pays double. Incredibly, the majority today holds that this gimmick works. Section 1805 (1) is as useless as if it had never been passed.

To uphold what the County has done the majority must first decide that “assessment” in the statute does not mean “as-

essed value”—the actual value of the property as determined by the assessor—but “fractional assessment”—the amount obtained after assessed value is multiplied by a percentage. The key, of course, is that the assessed value cannot be changed arbitrarily, but the percentage used to multiply it, and thus the fractional assessment, can be.

The term “assessment” can be used to mean either assessed value or fractional assessment, and indeed is used in both senses in the Real Property Tax Law. RPTL 701 (4) (a) defines “excessive assessment” to mean “an entry on an assessment roll . . . which exceeds the full value of real property”; RPTL 701 (8) (b) defines “unequal assessment” to mean “an entry on the assessment roll . . . made at a higher proportionate valuation than the assessed valuation of other real property in the same class” Obviously, “assessment” is used to mean assessed value in the first of these statutes, and fractional assessment in the second. If we must choose between the two definitions in interpreting RPTL 1805 (1), we should choose the one that prevents an assessing jurisdiction from frustrating the purpose of the statute.

But we do not even have to choose. Assume for the sake of argument that “assessment” means fractional assessment; the statute still requires that any increase in assessment be “measured from the assessment on the previous year’s assessment roll.” Can anyone doubt that what the Legislature intended was a meaningful year-to-year comparison, not a meaningless one? But the comparison is meaningless unless the percentage used to determine the fractional assessment is held constant from year to year. In other words, if the statute requires comparing fractional assessments, it must require a comparison of fractional assessments obtained by using the same fraction for each year. To hold otherwise is to license blatant evasion. It is as though a statute provided that Nassau County’s budget could not increase by more than six percent from year to year, and Nassau County had sought to comply by stating the first year’s budget in dollars and the second year’s in British pounds.

The majority opinion, for understandable reasons, never addresses the absurdity that results from its reading of RPTL 1805 (1). The majority does not even suggest that the statute, as it has now been interpreted, can effectively serve any function whatever. Instead, the majority spends considerable space on subjects irrelevant to the issue we have to decide.

Thus, our decision in *Matter of Hellerstein v Assessor of Town of Islip* (37 NY2d 1 [1975]) is indeed an important milestone in the history of New York real property taxation, and it is quite true that RPTL article 18, in which section 1805 (1) is contained, was part of the reaction to that decision (majority op at 252-256). It is also true that the Legislature that passed article 18 was much concerned with the allocation of taxes between classes of property—specifically, businesses and homes (*id.* at 259). But I do not see how any of this is of the slightest help in deciding this case. Section 1805 (1) says nothing about the allocation of tax burdens between classes. Its explicit and only subject is “the assessment of any individual parcel classified in class one”; the other classes are unmentioned. If, as the majority suggests, the legislators of New York had no desire to “limit the distribution of the tax burden *within* the class of residential taxpayers” (majority op at 259), what on earth did they pass this statute for?

Nor is it relevant that petitioners here did not protest sooner than they did against what the County has done to them. The majority says that “[n]one of the petitioners appeared at the approval hearing for the new assessment roll, or submitted comments to Supreme Court to oppose its adoption” (*id.* at 258); it also says that the *Coleman* class action litigation was “widely reported” (*id.* at 256). But the record does not indicate that petitioners were parties to or were ever asked for their views in the *Coleman* case, or that they knew or should have known that, as part of the settlement, a state statute was being tossed aside. It is undisputed that petitioners had no obligation to raise the issues they now raise at any earlier time. There is no basis for a laches argument here, and the majority does not say there is. The majority’s comments about petitioners’ inactivity are pure atmosphere.

The majority notes that the settlement of the *Coleman* litigation is the “mainspring” of this case (*id.*). It is indeed. In their efforts to settle the *Coleman* case, the parties to that case, and the court before which it was pending, found RPTL 1805 (1) to be a serious inconvenience. In an order approving, with some modifications, the tax roll that resulted from this settlement, Supreme Court spoke with surprising candor: “A difficulty arises . . . because RPTL 1805 prohibits assessment increases of more than 6% for any individual parcel in any one year. Application of this statutory ceiling to under-assessed properties would thus frustrate the very clear purposes of the [settlement].”

Rather than allow the statute to “frustrate” their “purposes,” the *Coleman* parties and court decided to nullify it. Unfortunately, this Court has now approved their effort. Part of the problem, of course, is that the *Coleman* settlement has already been implemented, at great trouble and expense. I can understand the majority’s reluctance to hold that a countywide reassessment of “368,043 residential . . . parcels over a three-year period at a cost of roughly \$35 million” (majority op at 258) was illegal. But I would not accept Nassau County’s invitation to pull it out of the hole it has dug for itself. If it needs rescuing, it should turn to the Legislature.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and PIGOTT concur with Judge READ; Judge SMITH dissents in a separate opinion; Judge JONES taking no part.

In each case: Order affirmed, with costs.

[864 NE2d 600, 832 NYS2d 470]

JOSEPH A. BRADLEY, Appellant, v EARL B. FEIDEN, INC., et al.,
Respondents. GENERAL ELECTRIC COMPANY, INC., Third-
Party Plaintiff-Respondent, v NORTH AMERICAN SANKYO
CORPORATION, Also Known as NASCORP, Third-Party De-
fendant, and MID-SOUTH ELECTRONICS, INC., Third-Party
Defendant-Appellant.

Argued January 2, 2007; decided February 20, 2007

SUMMARY

APPEALS, by plaintiff as of right and by third-party defendant Mid-South Electronics, Inc. by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered June 8, 2006. The Appellate Division, with two Justices dissenting, modified, on the law, an order and judgment (one paper) of the Supreme Court, Schenectady County (Barry D. Kramer, J.), which had (1) denied motions by defendants Earl B. Feiden, Inc. and General Electric Company, Inc. for a directed verdict and for judgment notwithstanding the verdict; (2) granted motions of defendants Earl B. Feiden, Inc. and General Electric Company, Inc. against third-party defendant Mid-South Electronics, Inc. for summary judgment on the basis of contractual indemnification to the extent of directing Mid-South Electronics, Inc. to pay for defense costs and attorneys' fees incurred by defendants Earl B. Feiden, Inc. and General Electric Company, Inc. in defense of the action in an amount to be determined by the court; (3) granted judgment in favor of plaintiff against defendants Earl B. Feiden, Inc. and General Electric Company, Inc. on the issue of liability; and (4) directed that the issue of damages to be awarded to plaintiff against defendants Earl B. Feiden and General Electric Company be set down for trial or other proceeding as agreed to by the parties. The modification consisted of reversing so much of the order and judgment as had denied defendants' motion to set aside the verdict and dismiss the complaint; and granting the motion and dismissing the complaint in its entirety. The Appellate Division affirmed the order and judgment as modified. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying, on the law, the order and judgment of the Supreme Court by reversing so much thereof as denied defendants' motion to set aside the verdict and dismiss the complaint; granting said motion; dismissing the complaint and third-party complaint; and, as so modified, affirming the order and judgment?"

Bradley v Earl B. Feiden, Inc., 30 AD3d 709, modified.

HEADNOTES

Appeal — Court of Appeals — Law of the Case

1. Inasmuch as defendant objected to the sufficiency of plaintiff's proof throughout the trial but never objected to the jury instructions or the special verdict sheet, defendant's argument on appeal that the evidence was legally insufficient to support the verdict was required to be examined in light of the language of the jury instructions and verdict sheet, which became the law of the case. The issue of whether these instructions were correct was not before the Court of Appeals. Under the law of the case, the Court of Appeals was required to determine if the Appellate Division erred in holding that the trial court should have granted defendant's motion for a directed verdict based on insufficient evidence.

Products Liability — Warranties — Breach of Implied Warranty of Merchantability

2. In a property damage action alleging that a fire originating in plaintiff's kitchen was caused by a manufacturing defect in the refrigerator/freezer unit that had been purchased by plaintiff some three weeks earlier, legally sufficient evidence supported the jury's verdict in favor of plaintiff on a breach of warranty claim against defendants manufacturer and retailer, despite the jury's finding for the manufacturer on a related products liability claim. The jury rejected the claim that the defrost timer in the refrigerator was defective given the conflicting evidence at trial but found that the refrigerator/freezer was not fit for its intended purpose. A jury could rationally conclude that the unit was not fit for its intended purpose, regardless of whether the defrost timer was defective, and thus that the manufacturer breached the implied warranty of merchantability. The verdict sheet, as well as the jury instructions, specifically tied the strict products liability claim—but not the breach of warranty claim—to the defrost timer. Thus, a rational jury could have found that the defrost timer claim should be rejected, while also placing the source of the fire in the freezer.

Indemnity — Contractual Indemnification

3. In a property damage action alleging that a fire originating in plaintiff's kitchen was caused by a manufacturing defect in the refrigerator/freezer unit that had been purchased by plaintiff some three weeks earlier, third-party defendant, the supplier of the bracket control assembly component of the refrigerator, was contractually required to indemnify defendant, the manufacturer of the unit, for costs associated with the defense of the action. Although the jury found no defect in the unit's defrost timer, a component of the bracket control assembly supplied by third-party defendant, the supplier's duty to indemnify was triggered by "any claims based on strict or products liability." There was no requirement that the claim be successful in order to require indemnification of defense costs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 605, 606; AM JUR 2d,
Products Liability §§ 717, 723–726, 728, 735.

CARMODY-WAIT 2d, Appeals in General § 70:456; CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:96.
NY JUR 2d, Appellate Review §§ 585, 591; NY JUR 2d, Products Liability §§ 71, 72, 83, 88, 196.
SIEGEL, NY PRAC §§ 530, 543.
WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d, §§ 14:03, 18:04.

ANNOTATION REFERENCE

Products liability: household equipment relating to storage, preparation, cooking, and disposal of food. 122 ALR5th 515.

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POINTS OF COUNSEL

Friedman, Hirschen & Miller, LLP, Albany (*Lynn M. Blake* of counsel), for appellant. I. The Appellate Division committed reversible error by deciding the underlying legal issues, because defendants failed to timely and properly object to the special verdict sheet, the jury charge and the alleged inconsistent verdict. (*Hunt v Bankers & Shippers Ins. Co. of N.Y.*, 50 NY2d 938; *Caprara v Chrysler Corp.*, 71 AD2d 515, 52 NY2d 114; *Barry v Manglass*, 55 NY2d 803; *Delaney v Philhern Realty Holding Corp.*, 280 NY 461.) II. The Appellate Division committed reversible error by reversing the trial court's denial of defendants' posttrial motion and dismissing plaintiff's complaint. (*Cohn v Lionel Corp.*, 21 NY2d 559; *Ribley v Harsco Corp.*, 57 AD2d 234; *Denny v Ford Motor Co.*, 87 NY2d 248; *Wojcik v Empire Forklift, Inc.*, 14 AD3d 63.)

Thuillez, Ford, Gold, Johnson & Butler, LLP, Albany (*Donald P. Ford, Jr.*, of counsel), for third-party appellant. I. General Electric Company is not entitled to contractual indemnification. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Liriano v Hobart Corp.*, 92 NY2d 232; *Margolin v New York Life Ins. Co.*, 32 NY2d 149; *Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Rodriguez v Baker*, 91 AD2d 143; *Niagara Frontier Transp. Auth. v Tri-Delta Constr. Corp.*, 107 AD2d 450; *Gross v Sweet*, 49 NY2d 102; *Consolidated Gas Supply Corp. v Matula*, 42 AD2d 656; *Kowalczyk v Flintkote Co.*, 91 Misc 2d 62; *Sprung v MTR Ravensburg*, 99 NY2d 468.) II. General Electric Company seeks indemnification for the alleged fault of both General Electric

and North American Sankyo Corporation. (*Margolin v New York Life Ins. Co.*, 32 NY2d 149; *Levine v Shell Oil Co.*, 28 NY2d 205; *Niagara Frontier Transp. Auth. v Tri-Delta Constr. Corp.*, 107 AD2d 450; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) III. The jury verdict precludes indemnification for defense costs. (*Viacom Inc. v Philips Elecs. N. Am. Corp.*, 16 AD3d 215; *Brasch v Yonkers Constr. Co.*, 306 AD2d 508; *Rodriguez v Savoy Boro Park Assoc. Ltd. Partnership*, 304 AD2d 738; *Medina v New York El. Co.*, 250 AD2d 656; *Cannavale v County of Westchester*, 158 AD2d 645; *State of New York v Syracuse Rigging Co.*, 249 AD2d 758; *International Paper Co. v Continental Cas. Co.*, 35 NY2d 322; *Hotel des Artistes, Inc. v General Acc. Ins. Co. of Am.*, 9 AD3d 181.) IV. The court improperly denied the motion for summary judgment for any claims of indemnity arising after the verdict. (*McGregor v Dimou*, 101 Misc 2d 756.)

Goldberg Segalla LLP, Buffalo (*John P. Freedenberg* of counsel), for respondents. I. The Appellate Division correctly granted defendants' posttrial motion for a directed verdict. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Szczerbiak v Pilat*, 90 NY2d 553; *Clarke v Helene Curtis, Inc.*, 293 AD2d 701; *Tardella v RJR Nabisco*, 178 AD2d 737; *Rosado v Proctor & Schwartz*, 66 NY2d 21; *Codling v Paglia*, 32 NY2d 330; *Henry v General Motors Corp.*, *Chevrolet Motor Div.*, 201 AD2d 949; *McArdle v Navistar Intl. Corp.*, 293 AD2d 931; *Denny v Ford Motor Co.*, 87 NY2d 248; *Fritz v White Consol. Indus.*, 306 AD2d 896.) II. The Appellate Division correctly found that Mid-South Electronics, Inc. is contractually obligated to indemnify defendants for defense costs. (*Levine v Shell Oil Co.*, 28 NY2d 205; *Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Drzewinski v Atlantic Scaffold & Ladder Co.*, 70 NY2d 774; *Kay-Bee Toys Corp. v Winston Sports Corp.*, 214 AD2d 457; *DiPerna v American Broadcasting Cos.*, 200 AD2d 267; *Breed, Abbott & Morgan v Hulko*, 139 AD2d 71; *Torres v Morse Diesel Intl., Inc.*, 14 AD3d 401; *Brown v Two Exch. Plaza Partners*, 76 NY2d 172; *Barnes v New York Mercantile Exch.*, 7 AD3d 304; *Santos v BRE/Swiss, LLC*, 9 AD3d 303.)

OPINION OF THE COURT

CIPARICK, J.

At issue in this appeal is whether legally sufficient evidence exists to support the jury's verdict in favor of plaintiff on a breach of warranty claim against the manufacturer and retailer of a refrigerator unit, in light of the jury also finding for the

manufacturer on a related products liability claim. Additionally, we are asked to determine if the supplier of the bracket control assembly component of the refrigerator is contractually required to indemnify the manufacturer. We answer both questions in the affirmative.

In early October 2000, plaintiff, Joseph Bradley, purchased a new General Electric Hotpoint refrigerator from defendant Earl B. Feiden, Inc. (Feiden), an appliance retailer. The refrigerator was manufactured by General Electric Company (GE) with a freezer on the top and a fresh food compartment on the bottom. Three weeks later, on the afternoon of October 27, 2000, a fire broke out in plaintiff's kitchen causing damage to his home. Approximately 15 firefighters responded to the scene and, once the fire was extinguished, a crew of investigators remained to probe its cause.

A preliminary Fire Investigation Report was prepared that day by the Fire Department's investigators. The report form lists "kitchen refrigerator/freezer" as the "Origin of Fire." The "Investigator's Remarks" segment of the report states: "Origin of fire in area inside freezer unit of refrigerator. Fire extended to cabinet/overhead area which extended to kitchen area and attic. Heat and smoke damage throughout." A basic fire incident report was filed the same day listing "refrigerator/freezer" as the source of the fire.¹

Plaintiff subsequently commenced a property damage action against defendants, GE and Feiden, alleging three separate causes of action—negligence, strict products liability and breach of implied warranty of merchantability under UCC 2-314 (2) (c). GE, in turn, filed a third-party action against North American Sankyo Corporation (NASCorp) and Mid-South Electronics, Inc. (Mid-South). The third-party complaint sought common-law indemnification from NASCorp, the manufacturer of the defrost timer, and contractual indemnification from Mid-South, producer and supplier of the bracket control assembly that incorporated the defrost timer.

At trial on the question of liability, plaintiff and three witnesses testified—firefighter/investigator Wayne Hamilton, forensic consultant David Redsicker and engineer Robert Vasilow. Hamilton, a 15-year veteran of the Cohoes Fire Department,

1. General Municipal Law § 204-d requires the chief of a fire department to determine the cause, if possible, of a fire and file a report indicating said cause. This report, the basic fire incident report, is filed with the State's Fire Incident Reporting System.

testified that, from his firsthand investigation he believed “the point of origin was in the interior of the freezer, in the refrigerator-freezer unit” based in part on the “extreme amount of burn” in and around the freezer compartment. Redsicker testified that he had examined and determined the origin of over 2,500 fires. Based on his investigation of the subject fire, which included an on-site visit to plaintiff’s home, he opined that the point of origin of the fire was the “refrigerator-freezer.” This was evident by the high concentration of “charring” and damage in and around the freezer unit. Redsicker further ruled out the can opener as the source of the fire, as proffered by the defense, as that appliance was located near many combustible objects that were not badly damaged by the fire.

Vasilow, a coemployee of Redsicker, examined the refrigerator/freezer as well as various other artifacts, including the can opener, in his laboratory. Based on his review of an x-ray of the refrigerator’s defrost timer (which he believed showed a blown fuse and melted wire) as well as his examination of other related objects, he opined that the fire was caused by the defrost timer failing to perform as intended. Specifically, he stated that the defrost timer malfunctioned which resulted in excessive heating of the coils, the melting of the insulation and the ignition of the fire. On cross-examination, Vasilow conceded that he never dismantled the defrost timer or compared it to an exemplar.

At the conclusion of plaintiff’s case-in-chief, GE moved for a directed verdict, arguing that the “proof was insufficient to meet [plaintiff’s] burden.” The court denied the motion and GE proceeded to call its two witnesses, Donald Hoffmann and James Allison. Hoffmann, an engineer, testified that he obtained an exemplar defrost timer, took x-rays in a similar manner as did Vasilow, compared the two and found no difference. He further testified that he examined the actual defrost timer and believed it to be functional. He opined that the fire did not originate from the defrost timer, but rather, based on evidence of electrical arcing in the can opener, likely started after an unknown impetus caused the can opener’s switch to close, allowing the motor to overheat. Allison, a former GE engineer, testified that the defrost timer is tested throughout the design and production phases and must pass both Underwriters Laboratories’ safety requirements and a more comprehensive set of in-house tests; had there had been a defect in the defrost timer it would have been detected a “[h]undred percent of the time.”

At the close of its case, GE renewed its motion for a directed verdict, arguing that “[t]he proof simply has not been presented by the Plaintiff and the testimony is now overwhelmingly in favor of a directed verdict on behalf of the defense.” The court reserved judgment and the jury was given separate charges on strict products liability and breach of warranty. The jury was also given a special verdict sheet with the following five questions:

“Did the fire that occurred on October 7, 2000 at 4 Carl Place, Cohoes, New York originate in the General Electric refrigerator/freezer? . . .

“Was the defrost timer installed in the General Electric refrigerator/freezer defective? . . .

“Was the defect in the defrost timer installed in the General Electric refrigerator/freezer a substantial contributing factor in causing the fire that occurred on October 7, 2000 at 4 Carl Place, Cohoes, New York? . . .

“Did General Electric breach its warranty in that the refrigerator/freezer was not reasonably fit for its intended purpose? . . .

“Was the breach of warranty by General Electric a substantial contributing factor in causing the fire that occurred on October 7, 2000 at 4 Carl Place, Cohoes, New York?”

GE did not object to the jury charge or the verdict sheet.

During deliberations, the jury asked the court: “For us to find for the Plaintiff, do we have to agree that the defrost timer was at fault, or do we just have to say that the origin of the fire was the freezer?” The court responded by reading back the charges on strict products liability and breach of warranty. The court further instructed the jury that, even if it determined that the defrost timer was not defective or that the defect was not a substantial cause of the fire, it should proceed to consider plaintiff’s claim for breach of warranty. In response, GE argued that a jury finding that there was no defect with the defrost timer but nevertheless a breach of implied warranty would be unsustainable based on speculation. The jury then reached a verdict in which it held in favor of GE on the products liability claim but found for plaintiff on the breach of warranty claim. The jury answered the first question on the special verdict sheet

“Yes” and the second question “No”; it left the third question unanswered as academic and answered the fourth and fifth questions “Yes.”

Only after the jurors were discharged did GE renew its motion for a directed verdict on sufficiency grounds and also seek to set aside the verdict as irreconcilable. Separately, GE also made a motion for summary judgment against Mid-South on the contractual indemnification claim. Mid-South responded with a cross motion seeking summary judgment dismissing the indemnification claim. Supreme Court denied GE’s motions for a directed verdict and to set aside the verdict but granted its motion for defense costs and attorney fees in an amount to be determined. Both GE and Mid-South appealed. The Appellate Division, with two Justices dissenting, reversed Supreme Court’s denial of GE’s posttrial motion and dismissed the complaint stating:

“inasmuch as it appears that there exists no valid line of reasoning or permissible inferences that could lead rational persons to conclude that the refrigerator was not defective, yet was nevertheless not fit to be used for its ordinary purposes on the date of the fire, we are constrained to conclude that Supreme Court erred in not granting defendants’ posttrial motion seeking dismissal of the complaint” (30 AD3d 709, 714 [2006]).

The Court then affirmed, also with two Justices dissenting, the trial court’s grant of summary judgment to GE on the contractual indemnification claim. Plaintiff now appeals as of right under CPLR 5601 (a) and Mid-South appeals by permission of the Appellate Division under CPLR 5602 (b), a question having been certified to us by that Court.

[1] GE raised various objections to the sufficiency of plaintiff’s proof throughout the proceeding but never objected to the jury instructions or the special verdict sheet.² GE’s sufficiency argument must therefore be examined in light of the language of the jury instructions and verdict sheet, which became the law of the case (*see Barry*, 55 NY2d at 805). Whether these instructions—which clearly tied the products liability claim to the defrost timer, but not the breach of warranty claim—were correct is not

2. To the extent that GE also claims that the jury verdict was inconsistent, that argument is unpreserved as it was not properly raised prior to discharge of the jury (*see Barry v Manglass*, 55 NY2d 803, 806 [1981]).

before us. Thus, under the law of the case, we are now called upon to determine if the Appellate Division erred in holding that the trial court should have granted GE's motion for a directed verdict based on insufficient evidence. To set aside a jury verdict on this basis, we must of course "conclude that there is simply no valid line of reasoning and permissible inferences which could possibly lead rational [persons] to the conclusion reached by the jury on the basis of the evidence presented at trial" (*Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]).

For a breach of warranty of merchantability claim, to support a verdict for plaintiff, the jury needed to find that the product was not "fit for the ordinary purposes for which such goods are used" (UCC 2-314 [2] [c]; see also *Denny v Ford Motor Co.*, 87 NY2d 248, 258-259 [1995]). Such a verdict may be sustainable solely on circumstantial evidence (*cf. Speller v Sears, Roebuck & Co.*, 100 NY2d 38, 41 [2003] [product defects can be proved by circumstantial evidence "in the absence of evidence identifying a specific flaw"]).

The special verdict sheet given to the jury inquired as to whether the defrost timer in the refrigerator was defective as well as whether GE "breach[ed] its warranty in that the refrigerator/freezer was not reasonably fit for its intended purpose." The jury unanimously rejected the claim that the defrost timer was defective given the conflicting evidence at trial but found that the subject product was not fit for its intended purpose.

[2] Although the proof adduced at trial primarily focused on an alleged defect in the defrost timer, there was also evidence that the fire originated in the refrigerator/freezer. Specifically, the Fire Department reports admitted into evidence identified the refrigerator/freezer as the origin of the fire. Fire investigator Hamilton along with the forensic consultant Redsicker, the only witnesses who did on-site investigations, both testified that the fire had its roots in the freezer part of the unit. Surely, a jury could rationally conclude that such an appliance was not fit for its intended purpose, regardless of whether the defrost timer was defective, and thus that GE breached the implied warranty of merchantability.

The verdict sheet, as well as the jury instructions, specifically tied the strict products liability claim—but not the breach of warranty claim—to the defrost timer. Thus, a rational jury could have found that the defrost timer claim should be rejected, while

also placing the source of the fire in the freezer. Since the jury was not asked whether the refrigerator was free from defect—only if the defrost timer was defective—the Appellate Division’s opinion that the jury could not rationally find that the refrigerator was not defective, yet was nevertheless not fit to be used for its ordinary purposes, cannot be sustained here. There was sufficient evidence presented to support the claim that the refrigerator was not fit for its ordinary purpose. Accordingly, the jury’s verdict should be reinstated and the matter remitted to the Appellate Division for review of the facts (*see* CPLR 5612, 5613, 5712).

[3] Turning to the contractual indemnification claim, the contract between GE and Mid-South provides:

“(19) PRODUCT LIABILITY—Supplier shall protect, defend, hold harmless, indemnify and reimburse Buyer and its distributors, dealers, affiliates and customers, during the term of this Contract and thereafter from and against any liability, claim, cost, or expense . . . arising out of actual or alleged death or injury to any person, or damage to tangible property, by whomever suffered, or arising out of (a) any failure of Products to comply with applicable specifications (functional, design or otherwise), warranties, certifications under this Contract; or (b) the negligence of Supplier in design, manufacture or otherwise with respect to Products or parts therefor; or (c) *claims based on strict or product liability relating to Product*; or (d) failure to warn or inadequate warnings or instructions. Buyer reserves the right to settle all such claims at its own expense” (emphasis added).

The “Product” supplied by Mid-South was the bracket control assembly that included the defrost timer and related wiring. Plaintiff, in the underlying action, claimed that the defrost timer, admittedly part of Mid-South’s product, was defective. Given the verdict, the issue of indemnification here is limited to the defense costs of litigation.

A contract that provides for indemnification will be enforced as long as the intent to assume such a role is “sufficiently clear and unambiguous” (*Rodrigues v N & S Bldg. Contrs., Inc.*, 5 NY3d 427, 433 [2005]). A court must also be careful not to interpret a contracted indemnification provision in a manner that would render it meaningless (*see Levine v Shell Oil Co.*, 28

NY2d 205, 212 [1971]). When the intent is clear, an indemnification agreement will be enforced even if it provides indemnity for one's own or a third party's negligence (*see e.g. Levine*, 28 NY2d at 210, 213 [indemnification agreement which covered "any and all claims, suits, loss, cost and liability on account of injury or death of persons or damage to property" held enforceable to require operator of gas station to cover the owner of the station's own negligence]; *Gross v Sweet*, 49 NY2d 102, 108 [1979] ["the law . . . will recognize an agreement to relieve one party from the consequences of his negligence on the strength of a broadly worded clause framed in less precise language than would normally be required" when the agreement is negotiated by sophisticated parties as an allocation of risk]).

Here, Mid-South agreed to defend and indemnify GE for all "claims based on strict or product liability relating to Product." Since the defrost timer is a component of Mid-South's product, the language of the indemnification agreement applies. Mid-South attempts to frame its assent as a product of an unequal bargaining position, as GE requires its vendors to accept the conditions before awarding a contract. As we stated in *Levine*, if the indemnitor "had reservations as to the scope of the agreement, he should have insisted on a different indemnification clause or refused to give his assent to the contract" (28 NY2d at 213). As the agreement is clear, unequivocal and unambiguous, the trial court properly granted summary judgment to GE finding that Mid-South is required to indemnify GE.

Mid-South argues that the jury's verdict, finding no defect in the defrost timer, precludes indemnification. Under the parties' agreement, indemnification was triggered by any "claims based on strict or product liability." There was no requirement that the claim be successful in order to require indemnification of defense costs. The actual fault of the parties is irrelevant. However, since the jury found no defect in the defrost timer, Mid-South's duty to defend and indemnify ended at the verdict and Supreme Court's holding that Mid-South was responsible for all costs associated with defending this action to that point was proper.

Accordingly, the order of the Appellate Division should be modified, with costs to plaintiff against defendants, by reinstating the jury verdict and remitting to the Appellate Division for consideration of the facts and, as so modified, affirmed, with costs to third-party plaintiff General Electric Company against Mid-South Electronics, Inc. The certified question, limited to

the third-party defendant-appellant's appeal, should be answered in the negative.

Chief Judge KAYE and Judges GRAFFEO, SMITH and PIGOTT concur; Judges READ and JONES taking no part.

Order modified, etc.

[864 NE2d 611, 832 NYS2d 481]

BETTY KOLNACKI, Respondent, v STATE OF NEW YORK, Appel-
lant. (Claim No. 103121.)

Argued February 7, 2007; decided March 22, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered April 28, 2006. The Appellate Division (1) reversed, on the law, an order of the Court of Claims (Michael E. Hudson, J.; op 10 Misc 3d 781), which had granted defendant's motion to dismiss the claim and dismissed the claim; (2) denied the motion; and (3) reinstated the claim. The following question was certified by the Appellate Division: "Was the order of this Court, entered April 28, 2006, properly made"?

Kolnacki v State of New York, 28 AD3d 1176, reversed.

HEADNOTE

State — Claim against State — Failure of Claim to Include Amount of Monetary Damages Sought

In a personal injury claim against the State, claimant's failure to include the "total sum" of monetary damages in her claim, as required by Court of Claims Act § 11 (b), was a jurisdictional defect requiring dismissal of her claim. Section 11 plainly requires that the claim state the total sum claimant is seeking. Claimant's claim—entirely lacking any amount of monetary damages—failed to satisfy the requirements of the statute. All of the requirements in section 11 (b) are substantive conditions on the State's waiver of sovereign immunity. Strict compliance with the jurisdictional requirements of the Court of Claims Act is necessary.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability § 617.

CARMODY-WAIT 2d, Actions in the Court of Claims § 120:42.

McKINNEY's, Court of Claims Act § 11 (b).

NY JUR 2d, Government Tort Liability § 266.

ANNOTATION REFERENCE

See ALR Index under Notice of Claim; Pleadings.

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POINTS OF COUNSEL

Andrew Cuomo, Attorney General, Albany (Michael S. Buskus, Caitlin J. Halligan, Daniel Smirlock, Peter H. Schiff and Kathleen M. Treasure of counsel), for appellant. Claims that omit the ad damnum clause required by section 11 (b) of the Court of Claims Act are jurisdictionally deficient. (*Alston v State of New York*, 97 NY2d 159; *Lichtenstein v State of New York*, 93 NY2d 911; *Dreger v New York State Thruway Auth.*, 81 NY2d 721; *Lepkowski v State of New York*, 1 NY3d 201; *Long v State of New York*, 7 NY3d 269; *Trippe v Port of N.Y. Auth.*, 14 NY2d 119; *Gates v State of New York*, 128 NY 221; *Buckles v State of New York*, 221 NY 418; *Butterfield v State of New York*, 178 App Div 292; *Thomann v City of Rochester*, 256 NY 165.)

Thomas Theophilos, Buffalo, for respondent. I. The trial court erred when it dismissed the claim on the grounds that the failure to include a specific dollar amount of damages therein rendered the claim jurisdictionally defective. (*Lepkowski v State of New York*, 1 NY3d 201; *Barski v State of New York*, 43 AD2d 767; *Liberty Mut. Ins. Co. v State of New York*, 121 AD2d 694; *Harvey Chalmers & Son, Inc. v State of New York*, 271 App Div 699, 297 NY 690; *People v Santi*, 3 NY3d 234; *Matter of Schinasi*, 277 NY 252; *Surace v Danna*, 248 NY 18; *First Nat. Bank & Trust Co. v Beach*, 301 US 435; *Matter of Wilson v Board of Educ., Union Free School Dist. No. 23, Town of Oyster Bay*, 39 AD2d 965; *Matter of Statewide Roofing v Eastern Suffolk Bd. of Coop. Educ. Servs., First Supervisory Dist. of Suffolk County*, 173 Misc 2d 514.) II. Any decision favorable to appellant with respect to the arguments included in point I of this brief should only be applied prospectively. (*Chevron Oil Co. v Huson*, 404 US 97; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Lepkowski v State of New York*, 1 NY3d 201; *Morris v State of New York*, 27 AD3d 282; *Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517; *Barski v State of New York*, 43 AD2d 767; *Liberty Mut. Ins. Co. v State of New York*, 121 AD2d 694; *Chalmers & Son v State of New York*, 271 App Div 699; *Otis El. Co. v State of New York*, 52 AD2d 380.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether claimant Betty

Kolnacki's failure to include the "total sum" of monetary damages in her claim, as required by Court of Claims Act § 11 (b), is a jurisdictional defect. We conclude that it is and that her claim must be dismissed.

Kolnacki commenced this suit seeking to recover for personal injuries sustained on July 8, 2000 as the result of a slip and fall at Artpark—a park in Western New York with outdoor theater facilities. Her claim indicates that she fractured her left patella and suffered dental damage, as well as other bruises and lacerations. The original claim was served on or about July 27, 2000, but was neither filed nor verified. Moreover, the claim did not state a specific dollar amount of damages. The State answered raising several affirmative defenses including, as relevant here, that "[t]he contents of the . . . Claim served herein do not comply with the provisions of Section 11 of the Court of Claims Act."

Subsequently, Kolnacki served and filed a properly verified claim that, like the previous claim, did not contain a total amount of requested damages. Instead, the claim indicated that "[t]he full extent of claimant's injuries [is] not yet known," and that she had "incurred injuries, damages, medical and hospital expenses which are to date undetermined and will incur loss of earnings and impairment of health." The verified bill of particulars likewise did not state the total sum claimed. The State orally moved to dismiss the claim, at the commencement of trial, for failure to comply with the requirements of section 11 (b) of the Court of Claims Act by omitting the amount of damages sought. The court denied the motion without prejudice to the State serving and filing a formal written motion in compliance with CPLR 2214.

After a trial on the issue of liability, the court found the State partially at fault. Thereafter, the State filed a written motion to dismiss the claim on the same basis as its previous oral motion—claimant's failure to state the amount of damages. The court granted the State's motion to dismiss, found that the failure to satisfy the requirements of section 11 (b) was a jurisdictional defect and rejected Kolnacki's argument that substantial compliance with the statute was sufficient.

A majority of the Appellate Division reversed and reinstated the claim, finding that the extent of Kolnacki's damages was difficult to determine and that she alleged sufficient information for the State to ascertain its potential liability. Two Justices dissented and voted to affirm, asserting that the require-

ments of section 11 (b) should be strictly construed and that the failure to state the total sum claimed was a jurisdictional defect. The Appellate Division granted the State's motion for leave to appeal to this Court and certified the following question: "Was the order of this Court, entered April 28, 2006, properly made"? We reverse and answer the certified question in the negative.

Under section 8 of the Court of Claims Act, the State has waived its sovereign immunity from liability "provided the claimant complies with the limitations of this article [§§ 8-12]." The Act contains several conditions that must be met in order to assert a claim against the State. Specifically, "[t]he claim shall state the time when and place where such claim arose, the nature of same, and the items of damage or injuries claimed to have been sustained and the *total sum claimed*" (Court of Claims Act § 11 [b] [emphasis supplied]).

" '[B]ecause suits against the State are allowed only by the State's waiver of sovereign immunity and in derogation of the common law, statutory requirements conditioning suit must be strictly construed' " (*Lichtenstein v State of New York*, 93 NY2d 911, 913 [1999], quoting *Dreger v New York State Thruway Auth.*, 81 NY2d 721, 724 [1992]). Section 11 plainly requires that the claim state the total sum claimant is seeking. Notwithstanding Kolnacki's argument that "the total sum claimed" does not necessarily have to be a dollar figure, it is clear that her claim—entirely lacking any amount of monetary damages—failed to satisfy the requirements of the statute.

Recently, in *Lepkowski v State of New York* (1 NY3d 201, 207 [2003]), the claims of civil service employees seeking overtime pay were dismissed for failure to comply with the pleading requirements of section 11 (b). The employees' claims did not adequately allege when or where they arose, the items of damage claimed or "the total sum claimed" (see *Lepkowski*, 1 NY3d at 207-208). The Court observed that the State is not responsible for uncovering information that the claimant is required to allege under section 11 (b) (see *Lepkowski*, 1 NY3d at 208).

Kolnacki argues that *Lepkowski* is distinguishable because in the present case there is only one deficiency in the claim—failure to allege the total sum claimed—and because this is an action for personal injuries, which may be harder to quantify. These distinctions lack merit. *Lepkowski* made clear that all of the requirements in section 11 (b) are "substantive conditions upon the State's waiver of sovereign immunity" (1 NY3d at

207). The failure to satisfy any of the conditions is a jurisdictional defect. And while it may be true that damages in personal injury cases are harder to quantify at the outset, we fail to see why this prevents a claimant from providing any estimate whatsoever. A claim may always be amended at a later time, if necessary.

Moreover, this is not a new principle. We have consistently held that nothing less than strict compliance with the jurisdictional requirements of the Court of Claims Act is necessary (*see Long v State of New York*, 7 NY3d 269, 276 [2006] [dismissing claimant's action for failure to comply with verification requirements of Court of Claims Act § 8-b (4)]; *Alston v State of New York*, 97 NY2d 159, 164 [2001] [dismissing claim for failure to file within the time limitation of Court of Claims Act § 10 (4)]; *Lichtenstein*, 93 NY2d at 913 [dismissing claim for failure to comply with Court of Claims Act § 10 (2) and (3)]; *Dreger*, 81 NY2d at 724 [dismissing claims for failure to satisfy the filing and service requirements of Court of Claims Act § 11]). It is clear that the total amount of damages must be specified. Although the result may be harsh, it is for the Legislature, not this Court, to set the terms of the State's waiver of immunity.*

In support of her argument, Kolnacki cites several Appellate Division decisions (*see Morris v State of New York*, 27 AD3d 282 [1st Dept 2006]; *Liberty Mut. Ins. Co. v State of New York*, 121 AD2d 694 [2d Dept 1986]; *Barski v State of New York*, 43 AD2d 767 [3d Dept 1973]). These cases address the situation presented when a claimant seeks to have a notice of intention to file a claim treated as a claim. Given this distinction, they are not pertinent to the issue presented here. The remaining contention is without merit.

* In other statutes, the Legislature has specifically prohibited a claimant from stating a specific amount of damages (*see e.g.* CPLR 3017 [c] [in a personal injury or wrongful death action, the "complaint shall contain a prayer for general relief but shall not state the amount of damages to which the pleader deems him(or her)self entitled"]; General Municipal Law § 50-e [2] [a notice of claim "against a municipal corporation other than a city with a population of one million or more persons shall not state the amount of damages to which the claimant deems him(or her)self entitled, provided, however, that the municipal corporation . . . may at any time request a supplemental claim setting forth the total damages"]). That the Legislature amended these statutes to prevent a claimant from pleading a particular sum of damages (L 1980, ch 686, § 1, amending General Municipal Law § 50-e [2]; L 1976, ch 955, § 10, amending CPLR 3017) without similarly amending the Court of Claims Act lends support to our conclusion (*see generally People v Moquin*, 77 NY2d 449, 455-456 [1991]).

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant's motion to dismiss should be granted, the claim should be dismissed and the certified question should be answered in the negative.

Chief Judge KAYE and Judges GRAFFEO, READ and SMITH concur; Judges PIGOTT and JONES taking no part.

Order reversed, etc.

[864 NE2d 1272, 832 NYS2d 873]

LOUIS E. THYROFF, Appellant, v NATIONWIDE MUTUAL INSURANCE COMPANY et al., Respondents.

Argued February 15, 2007; decided March 22, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Is a claim for the conversion of electronic data cognizable under New York law?”

HEADNOTE

Torts — Conversion — Conversion of Electronic Records and Data

Electronic records that are stored on a computer and are indistinguishable from printed documents are subject to a common-law claim of conversion in New York. Although intangible property interests do not strictly satisfy the merger test, which reflects the concept that such interests can be converted only by exercising dominion over the paper document that represents that interest, there is no compelling reason to prohibit conversion for redress of a misappropriation of intangible property. Electronic documents and records stored on a computer can easily be converted by mere computer entries. Because such information is of value regardless of whether the format in which the information is stored is tangible or intangible, the protections of the law should apply equally to both forms—physical and virtual.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conversion §§ 7, 10.

NY JUR 2d, Conversion and Action for Recovery of Chattel §§ 8, 10.

PROSSER AND KEETON, TORTS (5th ed) § 15.

ANNOTATION REFERENCE

See ALR Index under Computers; Conversion.

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POINTS OF COUNSEL

William P. Tedards, Jr., of the District of Columbia bar, admitted pro hac vice, and *Finucane and Hartzell, LLP*, Pittsford (Leo G. Finucane of counsel), for appellant. Electronic documents are “documents” for purposes of conversion analysis. (*Kremen v Cohen*, 337 F3d 1024; *Pierpoint v Hoyt*, 260 NY 26; *Agar v Orda*, 264 NY 248; *Iglesias v United States*, 848 F2d 362; *Ippolito v Lennon*, 150 AD2d 300; *Astroworks, Inc. v Astroexhibit, Inc.*, 257 F Supp 2d 609; *Manufacturers Hanover Trust Co. v Chemical Bank*, 160 AD2d 113; *Shmueli v Corcoran Group*, 9 Misc 3d 589.)

Bingham McCutchen LLP, Hartford, Connecticut (Ben M. Krowicki of counsel), for respondents. I. New York common law does not recognize a claim for conversion of an intangible such as electronic data. (*Industrial & Gen. Trust, Ltd. v Tod*, 170 NY 233; *Employers’ Fire Ins. Co. v Cotten*, 245 NY 102; *Hart v City of Albany*, 272 AD2d 668; *Agar v Orda*, 264 NY 248; *Pierpoint v Hoyt*, 260 NY 26; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Sporn v MCA Records*, 58 NY2d 482; *MBF Clearing Corp. v Shine*, 212 AD2d 478; *Ippolito v Lennon*, 150 AD2d 300; *Rao v Verde*, 222 AD2d 569.) II. New York common law should not be rewritten to encompass intangible electronic data on this appeal. (*Madden v Creative Servs.*, 84 NY2d 738; *Hurst v Dezer/Reyes Corp.*, 82 F3d 232; *MetLife Auto & Home v Joe Basil Chevrolet*, 1 NY3d 478; *Laurent v Williamsburgh Sav. Bank*, 28 Misc 2d 140; *Nadel v Play-By-Play Toys & Novelties, Inc.*, 208 F3d 368; *Meyer v Guinta*, 262 AD2d 463; *1455 Washington Ave. Assoc. v Rose & Kiernan*, 260 AD2d 770; *Trulock v Freeh*, 275 F3d 391; *Trombetta v Conkling*, 82 NY2d 549; *Hartford Acc. & Indem. Co. v Walston & Co.*, 21 NY2d 219.)

OPINION OF THE COURT

GRAFFEO, J.

The United States Court of Appeals for the Second Circuit has certified a question to us that asks whether the common-law cause of action of conversion applies to certain electronic computer records and data. Based on the facts of this case, we hold that plaintiff may maintain a conversion claim.

I

Plaintiff Louis Thyroff was an insurance agent for defendant Nationwide Mutual Insurance Company. In 1988, the parties

had entered into an Agent's Agreement that specified the terms of their business relationship. As part of the arrangement, Nationwide agreed to lease Thyroff computer hardware and software, referred to as the agency office-automation (AOA) system, to facilitate the collection and transfer of customer information to Nationwide. In addition to the entry of business data, Thyroff also used the AOA system for personal e-mails, correspondence and other data storage that pertained to his customers. On a daily basis, Nationwide would automatically upload all of the information from Thyroff's AOA system, including Thyroff's personal data, to its centralized computers.

The Agent's Agreement was terminable at will and, in September 2000, Thyroff received a letter from Nationwide informing him that his contract as an exclusive agent had been cancelled. The next day, Nationwide repossessed its AOA system and denied Thyroff further access to the computers and all electronic records and data. Consequently, Thyroff was unable to retrieve his customer information and other personal information that was stored on the computers.

Thyroff initiated an action against Nationwide in the United States District Court for the Western District of New York, asserting several causes of action, including a claim for the conversion of his business and personal information stored on the computer hard drives. In response to Nationwide's motion to dismiss, District Court held that the complaint failed to state a cause of action for conversion because Thyroff did not allege that Nationwide exercised dominion over the electronic data to his exclusion and it was undisputed that Nationwide owned the AOA system.¹

In his appeal to the United States Court of Appeals for the Second Circuit, Thyroff sought reinstatement of his conversion cause of action, along with other relief. Nationwide countered that a conversion claim cannot be based on the misappropriation of electronic records and data because New York does not recognize a cause of action for the conversion of intangible property. The Second Circuit determined that the issue was unresolved in New York and therefore certified the following

1. The District Court dismissed 11 other causes of action set forth in the complaint. The court subsequently granted Nationwide partial summary judgment dismissing a claim of breach of contract to the extent it was premised on the AOA system lease.

question of law to this Court: is a claim for the conversion of electronic data cognizable under New York law?²

II

“The hand of history lies heavy upon the tort of conversion” (Prosser, *The Nature of Conversion*, 42 Cornell LQ 168, 169 [1957]). The “ancient doctrine” has gone through a great deal of evolution over time (Franks, *Analyzing the Urge to Merge: Conversion of Intangible Property and the Merger Doctrine in the Wake of Kremen v. Cohen*, 42 Hous L Rev 489, 495 and n 32 [Summer 2005]), dating back to the Norman Conquest of England in 1066 (see Ames, *The History of Trover*, 11 Harv L Rev 277, 278 [1897] [hereinafter Ames]).

Before the English royal government undertook the prosecution of crime, redress for the tortious or criminal misappropriation of chattels was limited to private actions, such as “the recuperatory appeals of robbery or larceny” available to persons whose property had been stolen (*id.* at 278).³ In general, these appeals took two forms. If a thief was immediately apprehended while in possession of the stolen goods, the wrongdoer “was straightaway put to death [by the court], without a hearing, and the [victim] recovered his goods” (*id.*). In other cases, rightful ownership of the property was usually determined by a “wager of battle”—a physical altercation or duel between the victim and the thief (see Black’s Law Dictionary 1544 [8th ed 2004]), with the victor taking title to the goods (see Ames, 11 Harv L Rev at 279). Because this “remedy” could lead to a thief killing or maiming the chattel’s owner and taking legal ownership of the stolen property, it was “widely detested” by the populace (Black’s Law Dictionary 1544).

Over time, the practice of trial by jury was instituted and wager of battle steadily lost favor (see Ames, 11 Harv L Rev at

2. The Second Circuit also extended an opportunity for us to determine who is the proper owner of the electronic information at issue. Because Thyroff’s conversion claim was dismissed pursuant to Federal Rules of Civil Procedure rule 12 (b) (6) and a reviewing court must construe all facts and inferences in Thyroff’s favor, we presume that he is the owner of the data for the purpose of resolving the certified question.

3. There were also “punitive appeals,” which, as the name connotes, were utilized solely for punishing thieves in situations where property stolen was of a certain value and could not be recovered (Ames, 11 Harv L Rev at 278).

279-280).⁴ Contributing to its demise at the end of the 12th century was the advent of criminal prosecutions by the Crown. But successful prosecution by the government could result in forfeiture of the stolen chattels to the King rather than the return of property to its rightful owner—an unwelcome prospect for the victim of a theft.

The appeals of robbery and larceny also failed to provide an adequate remedy because a victim could not seek monetary damages from the thief—the only remedy was return of the stolen property. By 1252, a new cause of action—*trespass de bonis asportatis*⁵—was introduced. It allowed a plaintiff to obtain pecuniary damages for certain misappropriations of property and, following a favorable jury verdict, the sale of the defendant's property to pay a plaintiff the value of the stolen goods.⁶ If, however, the defendant offered to return the property to its rightful owner, the owner had to accept it and “recovery was limited to the damages he had sustained through his loss of possession, or through harm to the chattel, which were usually considerably less than its value” (Prosser, *The Nature of Conversion*, 42 Cornell LQ at 170).

In the late 15th century, the common law was extended to “fill the gap left by the action of trespass” (Prosser and Keeton, Torts § 15, at 89 [5th ed]) by providing a more comprehensive remedy in cases where a defendant's interference with property rights was so serious that it went beyond mere trespass to a conversion of the property (see Prosser, 42 Cornell LQ at 169). Known as “trover,” this cause of action was aimed at a person who had found goods and refused to return them to the title owner, and was premised on the theory that:

“the defendant, by ‘converting’ the chattel to his own use, had appropriated the plaintiff's rights, for which he was required to make compensation. The plaintiff was therefore not required to accept the chattel when it was tendered back to him; and he recovered as his damages the full value of the chattel at the time and place of the conversion. . . . The

4. Wager of battle was not formally abolished in England until 1818 (see Black's Law Dictionary 1544).

5. A Latin phrase meaning “trespass for carrying goods away” (Black's Law Dictionary 1542).

6. “Detinue,” a related cause of action, provided a similar remedy for the improper detention (as opposed to taking) of property (see Ames, 11 Harv L Rev at 375).

effect was that the defendant was compelled, because of his wrongful appropriation, to buy the chattel at a forced sale, of which the action of trover was the judicial instrument” (*id.* at 170).

An action for trover originally could not be invoked by a person who did not lose personal property or have a right to immediate possession of the property (*see* Restatement [Second] of Torts § 222A, Comments *a*, *b*; Ames, 11 Harv L Rev at 277). Because of the advantages that trover afforded over older forms of relief, its use was stretched to cover additional misappropriations, including thefts (*see* Prosser, 42 Cornell LQ at 169; Restatement [Second] of Torts § 222A, Comment *a*).

Trover gave way slowly to the tort of conversion, which was created to address “some interferences with chattels for which the action of trover would not lie,” such as a claim dealing with a right of future possession (Restatement [Second] of Torts § 222A, Comment *b*). The technical differences between trover and conversion eventually disappeared. The Restatement (Second) of Torts now defines conversion as an intentional act of “dominion or control over a chattel which so seriously interferes with the right of another to control it that the actor may justly be required to pay the other the full value of the chattel” (*id.* § 222A [1]).

III

As history reveals, the common law has evolved to broaden the remedies available for the misappropriation of personal property. As the concept of summary execution and wager of battle became incompatible with emerging societal values, the law changed. Similarly, the courts became willing to consider new species of personal property eligible for conversion actions.

Conversion and its common-law antecedents were directed against interferences with or misappropriation of “goods” that were tangible, personal property. This was consistent with the original notions associated with the appeals of robbery and larceny, trespass and trover because tangible property could be lost or stolen (*see* Prosser and Keeton, Torts § 15, at 90). By contrast, real property and all manner of intangible rights could not be “lost or found” in the eyes of the law and were not therefore subject to an action for trover or conversion (*see id.* at 91).

Under this traditional construct, conversion was viewed as “the ‘unauthorized assumption and exercise of the right of

ownership over goods belonging to another to the exclusion of the owner's rights' ” (*State of New York v Seventh Regiment Fund*, 98 NY2d 249, 259 [2002], quoting *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36, 44 [1995]; see e.g. *Colavito v New York Organ Donor Network, Inc.*, 8 NY3d 43, 49-50 [2006]; *Industrial & Gen. Trust, Ltd. v Tod*, 170 NY 233, 245 [1902]). Thus, the general rule was that “an action for conversion will not normally lie, when it involves intangible property” because there is no physical item that can be misappropriated (*Sporn v MCA Records*, 58 NY2d 482, 489 [1983]).

Despite this long-standing reluctance to expand conversion beyond the realm of tangible property, some courts determined that there was “no good reason for keeping up a distinction that arose wholly from that original peculiarity of the action” of trover (that an item had to be capable of being lost and found) and substituted a theory of conversion that covered “things represented by valuable papers, such as certificates of stock, promissory notes, and other papers of value” (*Ayres v French*, 41 Conn 142, 150, 151 [1874]). This, in turn, led to the recognition that an intangible property right can be united with a tangible object for conversion purposes (see *Agar v Orda*, 264 NY 248, 251 [1934]; *Iglesias v United States*, 848 F2d 362, 364 [2d Cir 1988]).

In *Agar*, which involved the conversion of intangible shares of stock, this Court applied the so-called “merger” doctrine because:

“for practical purposes [the shares] are merged in stock certificates which are instrumentalities of trade and commerce. . . . Such certificates ‘are treated by business men as property for all practical purposes.’ . . . Indeed, this court has held that the shares of stock are so completely merged in the certificate that conversion of the certificate may be treated as a conversion of the shares of stock represented by the certificate” (264 NY at 251; see also *Pierpoint v Hoyt*, 260 NY 26, 28-29 [1932]).

More recently, we concluded that a plaintiff could maintain a cause of action for conversion where the defendant infringed on the plaintiff's intangible property right to a musical performance by misappropriating a master recording—a tangible item

of property capable of being physically taken (*see Sporn v MCA Records*, 58 NY2d at 489).⁷

IV

We have not previously had occasion to consider whether the common law should permit conversion for intangible property interests that do not strictly satisfy the merger test. Although some courts have adhered to the traditional rules of conversion (*see e.g. Allied Inv. Corp. v Jasen*, 354 Md 547, 562, 731 A2d 957, 965 [1999] [interests in partnership and corporation]; *Northeast Coating Tech., Inc. v Vacuum Metallurgical Co., Ltd.*, 684 A2d 1322, 1324 [Me 1996] [interest in information contained in prospectus]; *Montecalvo v Mandarelli*, 682 A2d 918, 929 [RI 1996] [partnership interest]), others have taken a more flexible view of conversion and held that the cause of action can embrace intangible property (*see e.g. Kremen v Cohen*, 337 F3d 1024, 1033-1034 [9th Cir 2003] [Internet domain name; applying California law]; *Shmueli v Corcoran Group*, 9 Misc 3d 589, 594 [Sup Ct, NY County 2005] [computerized client/investor list]; *see generally Town & Country Props., Inc. v Riggins*, 249 Va 387, 396-397, 457 SE2d 356, 363-364 [1995] [person's name]).⁸

A variety of arguments have been made in support of expanding the scope of conversion. Some courts have decided that a theft of intangible property is a violation of the criminal law and should be civilly remediable (*see National Sur. Corp. v Ap-*

7. The Restatement (Second) of Torts reflects the “merger” theory as follows:

“(1) Where there is conversion of a document in which intangible rights are merged, the damages include the value of such rights.

“(2) One who effectively prevents the exercise of intangible rights of the kind customarily merged in a document is subject to a liability similar to that for conversion, even though the document is not itself converted” (Restatement [Second] of Torts § 242).

8. At least one court has approved of the use of conversion by referencing the merger doctrine (*see e.g. Astroworks, Inc. v Astroexhibit, Inc.*, 257 F Supp 2d 609, 618 [SD NY 2003] [conversion of idea that was represented by an Internet Web site]). Conversion claims have also been approved without consideration of the historical limits of the cause of action (*see e.g. Cole v Control Data Corp.*, 947 F2d 313, 318 [8th Cir 1991] [computer software program]; *Quincy Cablesystems, Inc. v Sully's Bar, Inc.*, 650 F Supp 838, 848 [D Mass 1986] [satellite cable signals]; *Charter Hosp. of Mobile, Inc. v Weinberg*, 558 So 2d 909, 912 [Ala 1990] [addiction treatment program]; *National Sur. Corp. v Applied Sys., Inc.*, 418 So 2d 847, 850 [Ala 1982] [computer program]; *Mundy v Decker*, 1999 WL 14479, *4, 1999 Neb App LEXIS 3, *10-12 [Ct App 1999] [WordPerfect documents]).

plied Sys., Inc., 418 So 2d at 850); that virtual documents can be made tangible “by the mere expedient of a printing key function” (*Shmueli v Corcoran Group*, 9 Misc 3d at 592); that a writing is a document whether it is read on the computer or printed on paper (*see Kremen v Cohen*, 325 F3d 1035, 1048 [9th Cir 2003, Kozinski, J., dissenting from certification]); and that the expense of creating intangible, computerized information should be counterbalanced by the protection of an effective civil action (*see National Sur. Corp. v Applied Sys., Inc.*, 418 So 2d at 850).

On the other hand, the primary argument for retaining the traditional boundaries of the tort is that it “seem[s] preferable to fashion other remedies, such as unfair competition, to protect people from having intangible values used and appropriated in unfair ways” (Prosser and Keeton, Torts § 15, at 92). Nonetheless, advocates of this view readily concede that “[t]here is perhaps no very valid and essential reason why there might not be conversion of” intangible property (*id.* at 92) and that there is “very little practical importance whether the tort is called conversion, or a similar tort with another name” because “[i]n either case the recovery is for the full value of the intangible right so appropriated” (Restatement [Second] of Torts § 242, Comment *e*). The lack of a compelling reason to prohibit conversion for redress of a misappropriation of intangible property underscores the need for reevaluating the appropriate application of conversion.

V

“[I]t is the strength of the common law to respond, albeit cautiously and intelligently, to the demands of commonsense justice in an evolving society” (*Madden v Creative Servs.*, 84 NY2d 738, 744 [1995]; *see Hymowitz v Eli Lilly & Co.*, 73 NY2d 487, 507 [1989], *cert denied* 493 US 944 [1989]). That time has arrived. The reasons for creating the merger doctrine and departing from the strict common-law limitation of conversion inform our analysis. The expansion of conversion to encompass a different class of property, such as shares of stock, was motivated by “society’s growing dependence on intangibles” (Franks, *Analyzing the Urge to Merge: Conversion of Intangible Property and the Merger Doctrine in the Wake of Kremen v. Cohen*, 42 Hous L Rev at 498). It cannot be seriously disputed that society’s reliance on computers and electronic data is substantial, if not essential. Computers and digital information are

ubiquitous and pervade all aspects of business, financial and personal communication activities. Indeed, this opinion was drafted in electronic form, stored in a computer's memory and disseminated to the Judges of this Court via e-mail. We cannot conceive of any reason in law or logic why this process of virtual creation should be treated any differently from production by pen on paper or quill on parchment. A document stored on a computer hard drive has the same value as a paper document kept in a file cabinet.

The merger rule reflected the concept that intangible property interests could be converted only by exercising dominion over the paper document that represented that interest (*see Pierpoint v Hoyt*, 260 NY at 29). Now, however, it is customary that stock ownership exclusively exists in electronic format. Because shares of stock can be transferred by mere computer entries, a thief can use a computer to access a person's financial accounts and transfer the shares to an account controlled by the thief. Similarly, electronic documents and records stored on a computer can also be converted by simply pressing the delete button (*cf. Kremen v Cohen*, 337 F3d at 1034 ["It would be a curious jurisprudence that turned on the existence of a paper document rather than an electronic one. Torching a company's file room would then be conversion while hacking into its mainframe and deleting its data would not" (emphasis omitted)]).

Furthermore, it generally is not the physical nature of a document that determines its worth, it is the information memorialized in the document that has intrinsic value. A manuscript of a novel has the same value whether it is saved in a computer's memory or printed on paper. So too, the information that Thyroff allegedly stored on his leased computers in the form of electronic records of customer contacts and related data has value to him regardless of whether the format in which the information was stored was tangible or intangible. In the absence of a significant difference in the value of the information, the protections of the law should apply equally to both forms—physical and virtual.

In light of these considerations, we believe that the tort of conversion must keep pace with the contemporary realities of widespread computer use. We therefore answer the certified question in the affirmative and hold that the type of data that Nationwide allegedly took possession of—electronic records that were stored on a computer and were indistinguishable from

printed documents—is subject to a claim of conversion in New York. Because this is the only type of intangible property at issue in this case, we do not consider whether any of the myriad other forms of virtual information should be protected by the tort.

Accordingly, the certified question should be answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[864 NE2d 1279, 832 NYS2d 880]

NYACK HOSPITAL, as Assignee of ALLEN ZADWDYAS, Appellant, et al., Plaintiff, v GENERAL MOTORS ACCEPTANCE CORPORATION et al., Respondents.

Argued February 8, 2007; decided March 22, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 27, 2005. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, Nassau County (John P. Dunne, J.), which had (1) denied the motion of plaintiff Nyack Hospital, as assignee, for summary judgment to recover no-fault medical payments allegedly due for its assignor's hospital bill; and (2) granted defendants' cross motion for summary judgment and dismissed the complaint.

Nyack Hosp. v General Motors Acceptance Corp., 27 AD3d 96, modified.

HEADNOTE

Insurance — No-Fault Automobile Insurance — Basic Economic Loss — Priority of Payment

An insurer waiting for information to verify a pending no-fault claim that caused aggregate claims to exceed the applicable policy's \$50,000 limit for basic economic loss was not prohibited by the priority-of-payment regulation (11 NYCRR 65-3.15) from paying already verified claims in the meantime. An insurer must pay or deny only a verified claim within 30 calendar days of receipt, and is not obligated to pay any claim until it has been so verified (*see* 11 NYCRR 65-3.8 [a] [1]; [b] [3]; 65-3.5 [b]). Because the insurer herein requested additional verification from plaintiff hospital 16 business days after receipt of the claim rather than within 15 business days, as required by 11 NYCRR 65-3.5 (b), the insurer was required to pay or deny the hospital's claim no later than 29 days after the date when the additional verification was received (*see* 11 NYCRR 65-3.8 [j]). This deadline was not extended by the patient's eligibility for optional basic economic loss. The priority-of-payment regulation came into play when the insurer received the requested inpatient hospital records, which established verified claims aggregating more than \$50,000. At that point, the insurer should have paid the hospital ahead of any other unpaid verified claims for services rendered or expenses incurred later than the services billed by the hospital, up to the policy's limits.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 504, 506, 538.

Opinion by READ, J.

COUCH ON INSURANCE (3d ed) §§ 6:8, 195:66.

11 NYCRR 65-3.5 (b); 65-3.8 (a) (1); (b) (3); (j); 65-3.15.

NY JUR 2d, Insurance §§ 1800, 1869, 1924, 2330.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No-Fault Insurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: no-fault & verif! & priority /3 payment

POINTS OF COUNSEL

Joseph Henig, P.C., Bellmore (*Joseph Henig* and *Gregory Henig* of counsel), for appellant. I. Plaintiff's bill exceeded the policy limits, and defendant had no authority to pay subsequent claims that reduced the available proceeds before paying plaintiff. (*Presbyterian Hosp. in City of N.Y. v Atlanta Cas. Co.*, 210 AD2d 210; *Mary Immaculate Hosp. v Allstate Ins. Co.*, 5 AD3d 742.) II. Defendant had a duty to hold the proceeds for plaintiff's bill in reserve pending receipt of the requested verification. (*Maxwell v State Farm Mut. Auto. Ins. Co.*, 92 AD2d 1049.) III. The No-Fault Law does not authorize the insurer to defer payments under the \$50,000 basic economic loss coverage until the insured returns an optional basic economic loss election form.

Freiberg & Peck, LLP, New York City (*Craig J. Freiberg* and *Yilo J. Kang* of counsel), for respondents. I. Under the no-fault regulations, defendants-respondents properly handled the disputed claim. (*Marsala v Weinraub*, 208 AD2d 689; *Sega v State of New York*, 60 NY2d 183; *Didner v Keene Corp.*, 188 AD2d 15; *Schrader v Carney*, 180 AD2d 200; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274.) II. Payment of the disputed claim was properly deferred prior to the return of the optional basic economic loss election form by the claimant. (*New York & Presbyt. Hosp. v Progressive Cas. Ins. Co.*, 5 AD3d 568; *Presbyterian Hosp. in City of N.Y. v Empire Ins. Co.*, 220 AD2d 733.)

OPINION OF THE COURT

READ, J.

We are asked in this no-fault action to decide whether an

insurer that is waiting for information to verify a pending claim that causes aggregate claims to exceed \$50,000 is prohibited by the priority-of-payment regulation (11 NYCRR 65-3.15) from paying already verified claims in the meantime. For the reasons that follow, we conclude that the priority-of-payment regulation does not preclude these payments.

I.

From July 15, 2003 to August 6, 2003, plaintiff Nyack Hospital (the hospital) treated Allen Zadwdyas (the patient) for multiple significant traumatic injuries that he suffered in an automobile accident. The patient was a covered person under an automobile insurance policy issued by defendants General Motors Acceptance Corporation and GMAC Insurance Company Online, Inc. (collectively, the insurer). The policy included the mandatory no-fault endorsement, providing coverage for basic economic loss up to \$50,000 per person/per accident, with additional coverage for optional basic economic loss (OBEL) of \$25,000 per person.¹

The hospital, as the patient's assignee, completed and sent the insurer the proper forms² for claiming no-fault benefits for medical services rendered to the patient during his hospital stay. The insurer received these forms on August 20, 2003; the hospital's claim totaled \$74,489.28. Sixteen business days later,³ on September 12, 2003, the insurer asked the hospital to supply the patient's complete inpatient hospital records. According to the insurer's claims adjuster, this "additional verification" was necessary "[i]n order to determine whether the bill should be paid or denied and to properly assess the medical necessity of

1. "Basic economic loss" is defined to include up to \$50,000 per person for certain health service and other reasonable and necessary expenses as well as lost earnings (*see* Insurance Law § 5102 [a], [b]). "Basic economic loss" also includes "an additional option to purchase, for an additional premium, an additional [\$25,000] of coverage which the insured . . . may specify will be applied to loss of earnings from work and/or psychiatric, physical or occupational therapy and rehabilitation after the initial [\$50,000] of basic economic loss has been exhausted" (Insurance Law § 5102 [a] [5]).

2. The hospital sent a completed hospital facility form (NYS Form NF-5) and a uniform billing form (*see* 11 NYCRR 65-3.5 [g] [which requires an insurer to accept these forms in lieu of the prescribed application for motor vehicle no-fault benefits (NYS Form NF-2) and verification of hospital treatment (NYS Form NF-4)]).

3. Three weekends, including the three-day Labor Day weekend, elapsed between August 20, 2003 and September 12, 2003.

the services rendered” (*see* 11 NYCRR 65-3.5 [b] [which provides that “(s)ubsequent to the receipt of one or more of the completed verification forms (here, the NYS Form NF-5 and the UBF-1), any additional verification required by the insurer to establish proof of claim shall be requested within 15 business days of receipt of the prescribed verification forms”]).

While awaiting the hospital’s response, the insurer paid claims for the patient’s lost earnings, and claims from other health service providers. The insurer received the additional verification from the hospital on October 20, 2003. According to the insurer, it had by then made payments on other claims totaling \$29,811.12,⁴ so that only \$20,188.88 of the \$50,000 basic economic loss coverage remained.

On November 11, 2003, the insurer sent the patient an OBEL-election form (*see* 11 NYCRR 65-3.7 [b] [which directs an insurer to mail this form to an OBEL-eligible person within 15 calendar days after the insurer has received claims aggregating \$30,000 in basic economic loss]).⁵ On November 21, 2003, the insurer notified the hospital that action on its claim was being delayed pending its receipt of this form. The insurer relied on 11 NYCRR 65-3.8 (a) (2), which mandates an insurer to “defer payment of OBEL benefits for claims submitted by or on behalf of the [OBEL-eligible person] until an OBEL option has been elected,” and requires the insurer to “pay or deny such claims under OBEL coverage within 30 calendar days” after an election is made. On November 24, 2003, the insurer received the completed OBEL-election form. The patient chose to have lost earnings paid from the OBEL coverage.

4. The payment log and the claims adjuster’s affidavit, however, seem to indicate that while the insurer had *received* 17 claims totaling \$29,811.12 by October 20, 2003, it had only paid 15 of those claims as of that date. The remaining two claims appear to have been paid in November 2003 for services rendered or expenses incurred after the patient’s stay at the hospital.

5. The OBEL election form asks an OBEL-eligible person to designate OBEL benefits to one of four categories of basic economic loss: (1) basic economic loss including health service expenses, loss of earnings from work, and other reasonable and necessary expenses; or (2) loss of earnings from work, less statutory offsets; or (3) psychiatric, physical or occupational therapy and rehabilitation; or (4) a combination of options (2) and (3) (*see* 11 NYCRR Appendix 13 [NYS Form NF-13]). We note that the insurer mailed the OBEL election form to the patient 22 calendar days after the date (October 20, 2003) on which the insurer asserts its obligation to do so was triggered, rather than within 15 calendar days as required by 11 NYCRR 65-3.7 (b). The tardiness of this mailing does not affect the outcome of the appeal.

The insurer asserts that only \$19,325.67 of the \$50,000 basic economic loss coverage remained as of November 24, 2003 when it received the patient's completed OBEL-election form. On December 9, 2003, the insurer issued the hospital two checks totaling this amount. On that same date, the insurer also notified the hospital by letter that personal injury protection and medical benefits under the policy had been exhausted by these payments.

The hospital commenced this action in December 2003, alleging that the insurer had not paid or denied its \$74,489.28 claim within 30 days as required by Insurance Law § 5106 (a) and 11 NYCRR 65-3.8 (a) (1), and seeking this amount plus statutory interest and attorneys' fees. After the hospital moved for summary judgment, the insurer cross-moved for summary judgment dismissing the complaint, contending that the December 9, 2003 payments were timely, and that it was not required to pay sums in excess of policy limits. In reply, the hospital argued that the insurer violated a no-fault regulation governing priority of payment when it paid health service providers who submitted their claims after August 20, 2003 before paying the hospital's claim. The regulation relied on by the hospital states that

“[w]hen claims aggregate to more than \$50,000, payments for basic economic loss shall be made to the applicant and/or an assignee in the order in which each service was rendered or each expense was incurred, provided claims therefor were made to the insurer prior to the exhaustion of the \$50,000. If the insurer pays the \$50,000 before receiving claims for services rendered prior in time to those which were paid, the insurer will not be liable to pay such late claims. If the insurer receives claims of a number of providers of services, at the same time, the payments shall be made in the order of rendition of services” (*see* 11 NYCRR 65-3.15).

On August 16, 2004, Supreme Court denied the hospital's motion and granted the insurer's cross motion to dismiss the complaint. On December 27, 2005, the Appellate Division affirmed, holding that “under the circumstances presented, the insurer did not violate 11 NYCRR 65-3.15, as the [hospital's] initial claim was premature when submitted [on August 20, 2003], and was not complete until the insurer received additional verification of the claim [on October 20, 2003]” (27 AD3d 96, 97 [2d Dept 2005]). In addition, the court determined

that the applicable limitation period for the insurer to pay or deny the hospital's claim did not start to run until November 24, 2003, when the insurer received the patient's completed OBEL-election form. Accordingly, the Appellate Division concluded that the insurer's payment of \$19,325.67 (the balance of the \$50,000 basic economic loss coverage as of November 24, 2003) to the hospital on December 9, 2003 was correct as to the amount due and timely. The insurer was "not required to pay the remaining hospital bill balance of \$55,163.61, as the policy limits had been exhausted by the [insurer's \$19,325.67] payment to [the hospital]" (*id.* at 101). We subsequently granted the hospital permission to appeal.

II.

The hospital argues that once it submitted the requisite forms to make a claim that caused aggregate claims to exceed \$50,000, the insurer had a duty under 11 NYCRR 65-3.15, the priority-of-payment regulation, "to keep the money that was due the [hospital] in reserve (up to the policy limits)" of \$50,000. In particular, the hospital contends that \$35,198.09 in policy proceeds remained unpaid and available on August 20, 2003, and that the insurer should have delayed paying no-fault claims subsequently received from other health service providers, pending the hospital's response to the insurer's request for additional verification. Thus, the hospital seeks to recover the moneys "available under the . . . basic economic [loss] policy as of August 20, 2003, less any sums paid to the [hospital] or paid out prior to August 20, 2003."

The no-fault regulations provide that "[n]o-[f]ault benefits are overdue if not paid within 30 calendar days after the insurer receives proof of claim, which shall include verification of all of the relevant information requested pursuant to section 65-3.5" (11 NYCRR 65-3.8 [a] [1]). With exceptions not relevant to this appeal, an insurer may not deny a claim "prior to its receipt of verification of all of the relevant information requested pursuant to section 65-3.5" (11 NYCRR 65-3.8 [b] [3]). Section 65-3.5 (b), in turn, authorizes the insurer to request "any additional verification required . . . to establish proof of claim . . . within 15 business days of receipt of the prescribed verification forms." This language contemplates that an insurer must pay or deny only a verified claim—that is, a claim that has been verified to the extent compliance with section 65-3.5 dictates in the particular case—within 30 calendar days of receipt; and, conversely, is not obligated to pay any claim until it has been so verified.

To adopt the priority-of-payment regime advocated by the hospital, we would have to interpret “claims” in section 65-3.15 to encompass claims that have not been verified in accordance with section 65-3.5. This approach runs counter to the no-fault regulatory scheme, which is designed to promote prompt payment of legitimate claims. For example, under the hospital’s theory, the insurer in this case could not have paid any verified claims submitted after August 20, 2003 by other health service providers or the patient even though the regulations clearly required the insurer to pay these claims within 30 calendar days after receipt. Further, under the hospital’s theory, once a health service provider submits a bare-bones claim causing policy limits to be exceeded and thereby blocks other payments, it would have significantly less incentive to supply the information necessary to substantiate its claim in a timely fashion.

As we pointed out in *Matter of Medical Socy. of State of N.Y. v Serio* (100 NY2d 854, 867 [2003]), the Superintendent of Insurance, in adopting revised Regulation 68 (repealing and replacing the prior 11 NYCRR part 65), determined that these regulations were “the most effective means of advancing the legislative intent of providing prompt payment of [no-fault] benefits as the loss is incurred, while reducing rampant abuse.” To read section 65-3.15 in isolation and apart from the rest of the revised no-fault program—which sets tight deadlines for submittal and payment and stresses the justifying of claims—would frustrate this legislative intent.

Next, the insurer requested the additional verification from the hospital 16 business days after receipt of the claim rather than within 15 business days, as required by 11 NYCRR 65-3.5 (b). Section 65-3.8 (j), however, specifies that “[f]or the purposes of counting the 30 calendar days after proof of claim, wherein the claim becomes overdue . . . with the exception of section 65-3.6 of this subpart [65-3], any deviation from the rules set out in this section shall reduce the 30 calendar days allowed.” Accordingly, the insurer was required to pay or deny the hospital’s claim no later than 29 days⁶ after October 20, 2003, when the additional verification was received, or by November

6. Section 65-3.8 (j) refers to time frames specified “in *this section*” (emphasis added), which would seem to limit its ambit to deadlines in section 65-3.8. If this were the Superintendent’s intent, however, the explicit exception in section 65-3.8 (j) for time frames set forth in section 65-3.6 would be unnecessary. In addition, the example illustrating how section 65-3.8 (j) works is keyed into the five-business-day deadline in section 65-3.4 (b). We note that

(n. cont’d)

18, 2003. This deadline was not extended by the patient's OBEL-eligibility: section 65-3.8 (a) (2) of title 11 only directs the insurer to defer payment of no-fault benefits from the \$25,000 OBEL coverage until an OBEL option has been elected; it does not command the insurer to defer payment of no-fault benefits from the \$50,000 basic economic loss coverage as well.

In sum, the priority-of-payment regulation came into play on October 20, 2003 when the insurer received the requested inpatient hospital records, which established verified claims aggregating more than \$50,000. At that point, the insurer should have paid the hospital ahead of any other unpaid verified claims for services rendered or expenses incurred later than the services billed by the hospital, up to the policy's limits. The insurer was required to pay these moneys to the hospital no later than November 18, 2003.

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendants' motion for summary judgment and remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH and FIGOTT concur; Judge JONES taking no part.

Order modified, etc.

the provisions corresponding to sections 65-3.8 (j) and 65-3.5 (b) in former part 65 (former 11 NYCRR 65.15 [g] [10] and 65.15 [d] [2] respectively) were included in the same section.

[864 NE2d 1284, 832 NYS2d 885]

In the Matter of JOHN PARK, Appellant, v JOHN A. KAPICA, as
Police Chief of the Town of Greenburgh, et al., Respondents.

In the Matter of JOHN PARK, Respondent, v JOHN A. KAPICA, as
Police Chief of the Town of Greenburgh, et al., Appellants.

Argued February 7, 2007; decided March 27, 2007

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 31, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Westchester County (Kenneth H. Lange, J.), entered in a proceeding pursuant to CPLR article 78 to annul the unilateral appointment by respondent police chief of the Town of Greenburgh of a hearing officer to determine petitioner's continued entitlement to salary pursuant to provisions of General Municipal Law § 207-c, which had, in effect, (1) denied the petition and (2) dismissed the proceeding.

APPEAL, in the second above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 31, 2006. The Appellate Division order affirmed, insofar as appealed from, a judgment of the Supreme Court, Westchester County (Kenneth H. Lange, J.), entered in a proceeding pursuant to CPLR article 78 which had granted the petition to the extent of directing respondent Town of Greenburgh not to recoup General Municipal Law § 207-c benefits paid to the petitioner which accrued up to August 4, 2003.

Matter of Park v Kapica, 25 AD3d 801, affirmed.

Matter of Park v Kapica, 25 AD3d 802, affirmed.

HEADNOTES

Civil Service — Police — General Municipal Law § 207-c Benefits — Hearing — Due Process

1. Petitioner police officer, who was certified disabled following a line-of-duty injury but was subsequently directed to return to light duty upon recommendation of his employer's medical examiner, was afforded due process when a hearing officer was appointed to determine petitioner's continued entitlement to disability benefits pursuant to General Municipal Law § 207-c. Inasmuch as petitioner was not subject to discipline or threat of termination for contesting the medical examiner's light-duty determination, Civil Service

Law § 75 and section 7 of the Westchester County Police Act (L 1936, ch 104, as amended by L 1941, ch 812, § 1) were not applicable. Petitioner's property interest in the continued receipt of disability benefits pursuant to General Municipal Law § 207-c was adequately protected by his employer's actions in fashioning a hearing remedy so long as it afforded due process.

**Civil Service — Police — General Municipal Law § 207-c Benefits —
Recoupment Following Direction to Return to Light Duty Not
Permitted**

2. Petitioner police officer's municipal employer was not entitled to recoup disability payments made to petitioner pursuant to General Municipal Law § 207-c between the date he was initially directed by his supervisor, upon recommendation of the municipality's medical examiner, to begin his light-duty assignment following a line-of-duty injury, and the date he was directed to begin his light-duty assignment after the hearing officer's affirmance of the medical examiner's findings. A municipality may discontinue disability payments once its medical examiner finds that the officer can perform a light-duty assignment *and* the officer "refuse[s] to perform" that duty (General Municipal Law § 207-c [3]). However, a municipality is not permitted to "recoup" section 207-c payments where, as here, the officer has availed himself of due process protections by challenging the medical examiner's determination. Such a challenge cannot be equated with a refusal to return to duty.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pensions and Retirement Funds §§ 1211, 1212.
McKINNEY's, General Municipal Law § 207-c.
NY JUR 2d, Pensions and Retirement Systems §§ 66, 127,
302.

ANNOTATION REFERENCE

See ALR Index under Pension and Retirement; Police and
Law Enforcement Officers.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: police /4 injured /5 duty & hearing /s return /3
work duty

POINTS OF COUNSEL

Thomas J. Troetti, White Plains, for appellant in the first above-entitled proceeding. The Appellate Division erred when it held that Sergeant Park's General Municipal Law § 207-c due process hearing could be delegated to a hearing officer pursuant to the provisions of Civil Service Law § 75 (2), which statute is superseded by the provisions of the special legislation of the Westchester County Police Act, which prohibits such delegation

of hearing authority specifically reserved to the local board of police commissioners. (*Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of Nieves v Haera*, 165 AD2d 201; *Matter of Burbridge v Miele*, 214 AD2d 669; *Matter of Steinmann v Village of Spring Val.*, 261 AD2d 548; *Abate v Mundt*, 25 NY2d 309, 403 US 182; *Matter of Town of Greenburgh [Police Assn. of Town of Greenburgh]*, 94 AD2d 771, 60 NY2d 551; *Matter of Wiggins v Board of Educ. of City of N.Y.*, 60 NY2d 385; *Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967, 49 NY2d 708; *Matter of Curley v Dilworth*, 96 AD2d 903; *Matter of Shields v Guido*, 97 AD2d 849.)

Law Office of Vincent Toomey, Lake Success (Vincent Toomey and Christine A. Gaeta of counsel), for respondents in the first above-entitled proceeding. The court below properly held that in town police departments within Westchester County, General Municipal Law § 207-c hearings are not required to be held before the town board and that such hearings can be conducted by a hearing officer unilaterally appointed by the municipality. (*Matter of White v County of Cortland*, 97 NY2d 336; *Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967, 49 NY2d 708; *Matter of Curley v Dilworth*, 96 AD2d 903; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Fedorczak v Dolce*, 202 AD2d 668; *Schroeder v City of New York*, 371 US 208; *Matter of Hurwitz v Perales*, 81 NY2d 182; *Mathews v Eldridge*, 424 US 319; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of Nieves v Haera*, 165 AD2d 201.)

Donna M.C. Giliberto, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae in the first above-entitled proceeding. I. The benefit available under General Municipal Law § 207-c is a significant one. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Lynch v South Nyack/Grand View Police Dept.*, 276 AD2d 63; *Matter of Burrows [City of Newburgh—Commissioner of Labor]*, 31 AD3d 1094; *Matter of Graham v State Tax Commn.*, 48 AD2d 444, 40 NY2d 889.) II. A decision which would deprive an individual of a previously granted governmental benefit requires an opportunity to be heard. (*Board of Regents of State Colleges v Roth*, 408 US 564; *Town of Castle Rock v Gonzales*, 545 US 748; *Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382; *Matter of Uniform Firefighters of Co-*

hoes, *Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Stewart v County of Albany*, 300 AD2d 984; *Matter of Heck v Keane*, 6 AD3d 95; *Matter of Heisler v City of Buffalo*, 11 AD3d 998.) III. The statute is silent as to whether a hearing must be provided if benefits are to be terminated, who should make municipal decisions, and who should hear a challenge to a decision. (*Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382; *Matter of Stewart v County of Albany*, 300 AD2d 984; *Matter of House v New York State Off. of Mental Health*, 262 AD2d 929; *Matter of Prue v Hunt*, 78 NY2d 364.) IV. The designation of an individual to hear an appeal of a municipal General Municipal Law § 207-c determination assures an important due process element. (*People ex rel. Packwood v Riley*, 232 NY 283; *Matter of Hughes v Suffolk County Dept. of Civ. Serv.*, 74 NY2d 833; *Matter of Elliot v Goord*, 267 AD2d 968; *Matter of Di Giacomo v Ames*, 72 AD2d 562; *Matter of Aiello v Tempera*, 65 AD2d 791; *Cirasuolo v Hasenauer*, 64 AD2d 860; *Matter of Waters v McGinnis*, 29 AD2d 969.) V. A statute referring to a disciplinary proceeding has no bearing upon a General Municipal Law § 207-c hearing.

Law Office of Vincent Toomey, Lake Success (Vincent Toomey and Christine A. Gaeta of counsel), for appellants in the second above-entitled proceeding. I. A police officer has no property interest in the continued receipt of General Municipal Law § 207-c benefits after he has been determined to be fit for duty. (*Matter of Schenectady County Sheriff's Benevolent Assn. v McEvoy*, 124 AD2d 911; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 16 AD3d 797; *Board of Regents of State Colleges v Roth*, 408 US 564; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Matter of Daxor Corp. v State of N.Y. Dept. of Health*, 90 NY2d 89; *Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967, 49 NY2d 708; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 196 AD2d 171, 85 NY2d 480.) II. The hearing afforded to John Park satisfied due process requirements because it provided him notice and an opportunity to be heard on the issue. (*Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967, 49 NY2d 708; *Matter of*

Laudico v Netzel, 254 AD2d 811; *Matter of De John v Town of Frankfort*, 209 AD2d 938; *Matter of Curley v Dilworth*, 96 AD2d 903; *Schroeder v City of New York*, 371 US 208; *Matter of Hurwitz v Perales*, 81 NY2d 182; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Mathews v Eldridge*, 424 US 319; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Board of Regents of State Colleges v Roth*, 408 US 564.) III. The recoupment of erroneous overpayments of government funds is a common practice confirmed by many courts and is not prohibited by the Constitution. (*Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Leirer v Caputo*, 81 NY2d 455; *Matter of Daleview Nursing Home v Axelrod*, 62 NY2d 30; *Matter of Mayflower Nursing Home v Office of Health Sys. Mgt. of Dept. of Health of State of N.Y.*, 88 AD2d 192, 59 NY2d 935; *Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169, 476 US 1115; *King v Town of Wallkill*, 302 F Supp 2d 279; *County of Westchester v Sheehan*, 292 AD2d 486; *Matter of County of Westchester v Westchester County Correction Officers Benevolent Assn.*, 278 AD2d 414, 96 NY2d 708; *Matter of Farber v City of Utica*, 1 AD3d 942; *Califano v Yamasaki*, 442 US 682.) IV. The clear and unambiguous language of General Municipal Law § 207-c provides that the statutory benefits will end when the disability ceases and/or the officer refuses light duty, and does not prohibit recoupment by the municipality. (*Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art*, 93 NY2d 729; *People v McFadden*, 205 AD2d 560; *People v Floyd J.*, 61 NY2d 895; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 196 AD2d 171, 85 NY2d 480; *Goglia v Sardino*, 119 Misc 2d 907, 101 AD2d 1013, 64 NY2d 1084; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *King v City of Newburgh*, 84 AD2d 388; *Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967, 49 NY2d 708; *Matter of Curley v Dilworth*, 96 AD2d 903.)

Thomas J. Troetti, White Plains, for respondent in the second above-entitled proceeding. I. There is nothing in the language of General Municipal Law § 207-c which authorized respondents to retroactively divest Sergeant Park of the statutorily mandated benefits he had received. (*Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967; *Goglia v Sardino*, 119 Misc 2d 907, 101 AD2d 1013, 64 NY2d 1084; *Matter of Prue v Hunt*, 78 NY2d 364; *Matter of Uniform Firefighters of Cohoes, Local*

2562, *IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382, 76 NY2d 704; *Matter of Laudico v Netzel*, 254 AD2d 811; *Matter of Dacey v County of Dutchess*, 121 AD2d 536; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 196 AD2d 171.) II. Because there was no right to retroactively divest a police officer of General Municipal Law § 207-c benefits, the salary received by Sergeant Park was not an erroneous payment of public funds which respondents were entitled to recoup. (*County of Westchester v Sheehan*, 292 AD2d 486; *Matter of Farber v City of Utica*, 1 AD3d 942; *Califano v Yamasaki*, 442 US 682; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Daleview Nursing Home v Axelrod*, 62 NY2d 30; *Matter of Leirer v Caputo*, 81 NY2d 455; *King v Town of Wallkill*, 302 F Supp 2d 279.) III. Respondents' appeal should be dismissed because this Court is without jurisdiction to entertain respondents' claimed right to appeal, on constitutional grounds, pursuant to CPLR 5601 (b) (1). (*Matter of Shannon B.*, 70 NY2d 458; *Matter of Barbara C.*, 64 NY2d 866; *Lichtman v Grossbard*, 73 NY2d 792; *Melahn v Hearn*, 60 NY2d 944; *Matter of Eagle v Paterson*, 57 NY2d 831; *Barber v Dembrowski*, 54 NY2d 648; *Matter of Schulz v State of New York*, 81 NY2d 336; *Matter of Skenesborough Stone v Village of Whitehall*, 95 NY2d 902; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Matter of Mingo v Pirnie*, 55 NY2d 1019.)

Donna M.C. Giliberto, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae in the second above-entitled proceeding. I. The benefit available under General Municipal Law § 207-c is a significant one. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Lynch v South Nyack/Grand View Police Dept.*, 276 AD2d 63; *Matter of Burrows [City of Newburgh—Commissioner of Labor]*, 31 AD3d 1094; *Matter of Graham v State Tax Commn.*, 48 AD2d 444, 40 NY2d 889.) II. A recipient of General Municipal Law § 207-c benefits who challenges a municipal decision under the statute must be afforded an opportunity to be heard. (*Board of Regents of State Colleges v Roth*, 408 US 564; *Town of Castle Rock v Gonzales*, 545 US 748; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686.) III. While a municipality should be allowed to terminate General Municipal Law § 207-c payments when an administrative decision is reached, the issue in this litigation

should be resolved on the principle of equity. (*Matter of Jefferson v Bronx Psychiatric Ctr.*, 55 NY2d 69; *Matter of Milan v Trico Prods. Corp.*, 53 NY2d 867; *Matter of Lynch v Board of Educ. of City of N.Y.*, 3 NY2d 871; *Matter of Gamma v Ferrara*, 274 AD2d 479.)

Tuttle Law Firm, Latham (*James B. Tuttle* of counsel), for Police Conference of New York, Inc., amicus curiae in the first and second above-entitled proceedings. I. A retroactive right of recoupment of General Municipal Law § 207-c benefits paid would violate the established principle that section 207-c benefits constitute a property interest giving rise to procedural due process protections under the Fourteenth Amendment to the United States Constitution before they can be terminated. (*Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Matter of Prue v Hunt*, 78 NY2d 364; *Goglia v Sardino*, 119 Misc 2d 907; *Mathews v Eldridge*, 424 US 319; *Gilbert v Homar*, 520 US 924; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382, 76 NY2d 704.) II. The court below incorrectly concluded that the due process hearing provided to Sergeant Park which was carried out in accordance with the procedures of section 75 of the Civil Service Law was sufficient. (*Matter of Hodella v Chief of Police of Town of Greenburgh*, 73 AD2d 967, 49 NY2d 708; *Matter of Curley v Dilworth*, 96 AD2d 903; *Matter of Shields v Guido*, 97 AD2d 849; *Matter of Hamilton v City of Schenectady*, 210 AD2d 843; *Matter of Meehan v County of Tompkins*, 219 AD2d 774.)

OPINION OF THE COURT

FIGOTT, J.

Petitioner, John Park, a police officer employed by the Town of Greenburgh, underwent surgery in June 2002 as the result of an injury he sustained while in the line of duty. He was certified disabled from his duties pursuant to General Municipal Law § 207-c (1), which states that a police officer injured in the line of duty must be paid by his municipal employer “the full amount of his regular salary or wages until his disability arising therefrom has ceased.”

In March 2003, the Town’s medical examiner concluded that Park could return to work in a sedentary capacity. Park’s

supervisor, Greenburgh Chief of Police John A. Kapica, directed him to return to light duty starting April 21, 2003. Park objected to the medical examiner's determination, submitted a report from his treating physician indicating that he had a "permanent total disability" and requested a hearing on the issue of his ability to return to work. The Town Board appointed a hearing officer and a hearing was scheduled to determine the extent of Park's disability. However, before the hearing could be held, Park commenced a CPLR article 78 proceeding (Proceeding No. 1) objecting to the Town's appointment of a hearing officer and seeking a stay of the hearing on the ground that, pursuant to section 7 of the Westchester County Police Act (WCPA) (L 1936, ch 104, as amended by L 1941, ch 812, § 1), any hearing had to be conducted before the Town Board.¹

Supreme Court denied Park's application to stay the hearing; nevertheless, Park refused to participate in the hearing, which proceeded on the date scheduled with Park in absentia. The Hearing Officer concluded that Park was fit to return to light duty, that his refusal to do so was without justification, and that the Town could recoup any section 207-c benefits paid to Park from April 21, 2003 until such time as he returned to work. Kapica directed Park to begin his light-duty assignment on August 4, 2003, but rather than return to work, Park retired on August 26, 2003.

On October 20, 2003, Supreme Court dismissed the petition, holding that the Town's appointment of the Hearing Officer was proper. The Appellate Division affirmed, adding that "[t]he procedures for terminating disability payments under General Municipal Law § 207-c must be read in conjunction with Civil Service Law § 75" (25 AD3d 801, 801 [2006]).²

Following the dismissal of the petition in Proceeding No. 1, Park commenced a second article 78 proceeding (Proceeding No. 2) seeking, among other things, the annulment of the Hearing Officer's determination that the Town could recoup section

1. Section 7 of the WCPA, entitled "Discipline and charges," states that no member of a police department "shall be fined, reprimanded, removed or dismissed" until the charges have been investigated, and further provides that the trial of those charges "shall not be delegated and must be heard before the full town board or full board of police commissioners."

2. Civil Service Law § 75, entitled "Removal and other disciplinary action," delineates certain due process procedures for "person[s] against whom removal or other disciplinary action is proposed" and, in particular, allows the delegation of evidentiary hearings to "a deputy or other person designated" (Civil Service Law § 75 [2]).

207-c benefits paid to him. Supreme Court granted the petition, ruling that the Town had no authority to recoup payments made to Park prior to the Hearing Officer's finding that he was fit for light duty. The Appellate Division again affirmed, holding that the Town could not recoup section 207-c benefits paid to Park "before August 4, 2003, the date after the conclusion of the due process hearing when [Park] had been directed to return to work" (25 AD3d 802, 803 [2006]).

We now affirm the order of the Appellate Division in Proceeding No. 1, albeit on a different ground, and also affirm the order of the Appellate Division in Proceeding No. 2.

Pursuant to General Municipal Law § 207-c, municipalities meeting certain population criteria are directed to pay continued salary or wages to officers who sustain a disability in the course of their employment. The continued receipt of section 207-c disability payments is not absolute, however. A municipality is entitled to its own medical examination of its employee (*see* General Municipal Law § 207-c [1]); and if, in that physician's opinion the officer can perform "specified types of light police duty," payment of the full amount of salary or wages may be discontinued should the officer refuse to return to work if a light-duty assignment "is available and offered to him" (General Municipal Law § 207-c [3]).

The right of a disabled officer to receive section 207-c disability payments constitutes "a property interest giving rise to procedural due process protection, under the Fourteenth Amendment, before those payments are terminated," and a due process hearing is triggered when an officer on section 207-c status submits evidence from his treating physician supporting the officer's claim of "continued total disability" (*Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686, 691, 692 [2000] [pursuant to the analogous provision General Municipal Law § 207-a, firefighters who contest a light-duty determination are entitled to a due process hearing]).

Proceeding No. 1

[1] At issue on the appeal in Proceeding No. 1 is Park's claim that the Town improperly followed Civil Service Law § 75 by delegating Park's section 207-c hearing to a hearing officer instead of following section 7 of the WCPA. Civil Service Law § 75 and section 7 of the WCPA, however, apply to disciplinary actions. Because Park was not subject to discipline or to the

threat of termination for contesting the medical examiner's light-duty determination, neither of those sections applies. Therefore, the Appellate Division erred in stating that Civil Service Law § 75 should be "read in conjunction with" General Municipal Law § 207-c, a holding that implies that all due process hearings pursuant to section 207-c must comply with Civil Service Law § 75. Such is not the case. We are concerned here solely with whether Park was afforded due process in contesting the medical examiner's determination, which bears no relation to a disciplinary proceeding. Nonetheless, we affirm the order of the Appellate Division because the procedure employed by the Town concerning Park's challenge to the medical examiner's light-duty determination comported with procedural due process.

We have previously stated that section 207-c provides no definitive procedure that must be followed, and that such procedures may be the subject of collective bargaining (*see Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 80-81 [2000]). The parties here have not collectively bargained a procedure to be followed when an officer contests a light-duty determination. Therefore, the Town was free to fashion a hearing remedy so long as its procedure afforded Park due process.

Here, Park's interest in the continued receipt of disability benefits was adequately protected by the Town's due process procedure. Although he chose not to participate in the hearing, he was nevertheless given the opportunity to contest the medical examiner's light-duty determination by presenting his own witnesses and cross-examining the Town's witnesses. Moreover, the Town did not terminate his disability benefits at any time prior to his hearing. Therefore, while we affirm the Appellate Division's order in Proceeding No. 1, we do so on the ground that the procedure followed by the Town sufficiently met the dictates of due process.

Proceeding No. 2

[2] The appeal in Proceeding No. 2 brings up for review the issue whether the Town is entitled to recoup section 207-c payments made to Park between April 21, 2003, the date he was initially directed to begin his light-duty assignment, and August 4, 2003, the date he was directed to begin his light-duty assignment after the Hearing Officer affirmed the medical examiner's findings. We hold that it is not.

There is no provision in section 207-c allowing the recoupment of disability payments made to an officer who is later found to be able to work (*see e.g., Matter of DePoalo v County of Schenectady*, 85 NY2d 527, 532 [1995]; *see also Matter of Uniform Firefighters of Cohoes*, 94 NY2d at 693). A municipality may discontinue disability payments once its medical examiner finds that the officer can perform a light-duty assignment *and* the officer “refuse[s] to perform” that duty (General Municipal Law § 207-c [3]). Should an officer refuse to return to work and fail to provide medical proof that he is unable to do so, the medical examiner’s opinion is dispositive and disability payments may be discontinued without a hearing (*id.*). However, a municipality is not permitted to *recoup* section 207-c payments where, as here, the officer avails himself of due process protections by challenging the medical examiner’s determination because such a challenge cannot be equated with a refusal to return to duty. We rest our conclusion solely on our reading of the applicable statutes, and do not suggest that there would be any constitutional bar to a recoupment of benefits in a situation like this one, had the Legislature so provided.

Accordingly, the orders of the Appellate Division in Proceeding Nos. 1 and 2 should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and SMITH concur; Judge JONES taking no part.

In each case: Order affirmed, with costs.

[864 NE2d 1288, 832 NYS2d 889]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RACKY
RAMCHAIR, Appellant.

Argued February 8, 2007; decided March 29, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 21, 2006. The Appellate Division denied defendant's application for a writ of error coram nobis to vacate an order of that Court, entered September 29, 2003 (308 AD2d 601), which had affirmed a judgment of the Supreme Court, Queens County (Joseph Rosenzweig, J.). The judgment had convicted defendant, upon a jury verdict, of robbery in the first degree and robbery in the second degree.

People v Ramchair, 27 AD3d 668, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Appellate Representation

Defendant was not denied meaningful representation when his appellate counsel failed to argue that the trial court should have granted his motion for a mistrial on the grounds that it was improper to allow the prosecution to imply through the testimony of a detective that defense counsel approved of the lineup procedure used, and that defense counsel should have been afforded the opportunity to testify in rebuttal. Appellate counsel might have determined as a matter of reasonable appellate strategy that there was a greater likelihood of success pursuing the argument that defendant's constitutional right to present a defense was violated, rather than focusing on the mistrial application. The fact that the specific motion for a mistrial was not highlighted and argued in greater detail did not, on the record here, amount to ineffective assistance of appellate counsel as a matter of law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1223–1227.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1814,
172:1956.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6,
11.7.

NY JUR 2d, Criminal Law §§ 810, 812, 815–818, 868.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal

client regarding appellate and postconviction remedies. 15 ALR4th 582.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: appellate /2 counsel /s meaningful /2 representation & line-up & strategy

POINTS OF COUNSEL

Frank Handelman, New York City, for appellant. Appellate counsel provided ineffective assistance to appellant by failing to argue that the trial court should have granted a mistrial when the prosecution elicited testimony that unfairly made defense counsel a witness. (*Jones v Barnes*, 463 US 745; *People v Chipp*, 75 NY2d 327; *People v Breitenbach*, 260 AD2d 389; *Ramey v District 141, Intl. Assn. of Machinists & Aerospace Workers*, 378 F3d 269; *United States v Arrington*, 867 F2d 122; *People v Adams*, 90 AD2d 1.)

Richard A. Brown, District Attorney, Kew Gardens (*Jennifer Hagan* and *John M. Castellano* of counsel), for respondent. The Appellate Division correctly held that defendant received the effective assistance of appellate counsel. (*People v Stultz*, 2 NY3d 277; *People v Turner*, 5 NY3d 476; *People v Benevento*, 91 NY2d 708; *People v Modica*, 64 NY2d 828; *People v Baldi*, 54 NY2d 137; *People v Ortiz*, 76 NY2d 652; *People v Ford*, 86 NY2d 397; *People v Flores*, 84 NY2d 184; *People v Rivera*, 71 NY2d 705; *People v Satterfield*, 66 NY2d 796.)

OPINION OF THE COURT

PIGOTT, J.

The issue presented on this appeal is whether defendant was denied meaningful representation when his appellate counsel failed to argue that the trial court should have granted his motion for a mistrial. We conclude that he was not and therefore affirm the order of the Appellate Division.

In 1995, defendant was arrested on suspicion of robbery of a cabdriver in Queens, New York. A lineup was held, with counsel for defendant present. The cabdriver identified defendant in the lineup as one of the persons who had robbed him. Defendant was charged with robbery in the first and second degrees.

During his first trial, defendant was assaulted in jail and, because he was unable to assist in his own defense, the trial court granted defendant's motion for a mistrial. During his

second trial, one of the jurors became ill and, over defendant's objection, the trial court declared another mistrial. During a third trial, as in the prior two, defense counsel challenged the cabdriver's identification of defendant. In rebuttal, the prosecutor elicited testimony from a detective that defense counsel was present during the lineup and made no objection to its composition. The detective further testified that, had defense counsel objected to the lineup, he would have considered a change in the composition or at least noted the objection. Defense counsel promptly objected, arguing that such testimony placed him in the position of being a witness at the trial. The trial court overruled the objection.

Following the court's ruling, and outside the presence of the jury, defense counsel sought permission to testify as to his conduct during the lineup, including objections he had raised at that time and why other objections had not been raised. The trial court summarily denied that request, ruling that in order to testify, defense counsel should have withdrawn as the attorney for defendant prior to the commencement of trial.

At the end of the detective's testimony, defense counsel moved for a mistrial on the grounds that it was improper to allow the prosecution to imply through the testimony of the detective that defense counsel approved of the lineup procedure, and that defense counsel should have been afforded the opportunity to testify in rebuttal. The trial court denied that motion as well.

On appeal from a conviction of all charges, appellate counsel raised two claims. First, appellate counsel argued that defendant's double jeopardy rights were violated because the trial court retried defendant after it declared a mistrial at the second trial over defense counsel's objection. Second, and relevant to this appeal, appellate counsel argued that defendant's constitutional right to present a defense was violated when the trial court precluded defense counsel from testifying in rebuttal to the testimony that counsel was present at the lineup and had not objected to its composition. Significant for purposes of this appeal, appellate counsel did not argue that the trial court should have granted defendant's mistrial motion. The Appellate Division affirmed defendant's conviction (308 AD2d 601 [2003]), and a Judge of this Court denied leave to appeal.

Defendant thereafter filed a pro se petition for federal habeas corpus relief raising the same arguments made by his appellate counsel on the direct appeal. The United States District Court

for the Eastern District of New York denied defendant relief on those claims, but opined that defendant may have a meritorious claim that his appellate counsel was ineffective for not specifically raising the trial court's failure to grant a mistrial. Thus, the District Court held the petition in abeyance pending defendant's exhaustion of state remedies with regard to that claim (*Ramchair v Conway*, 2005 WL 2786975, 2005 US Dist LEXIS 25852 [ED NY 2005]). Defendant then filed a petition for a writ of error coram nobis with the Appellate Division asserting that his appellate counsel had been ineffective for failing to argue that the trial court erred in not granting defendant's motion for a mistrial. The Appellate Division denied defendant's application without comment (27 AD3d 668 [2006]) and a Judge of this Court granted defendant leave to appeal. We now affirm.

Defendants in criminal cases have both a state and a federal constitutional right to effective assistance of appellate counsel (see e.g. *People v Turner*, 5 NY3d 476 [2005]). We have previously declared that the "meaningful representation" criterion set forth in *People v Baldi* (54 NY2d 137, 147 [1981]) is the standard for evaluating the effectiveness of appellate counsel in this state's courts (see *People v Stultz*, 2 NY3d 277 [2004]). In defining meaningful representation, this Court has stated:

"Appellate advocacy is meaningful if it reflects a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument. Effective appellate representation by no means requires counsel to brief or argue every issue that may have merit. When it comes to the choice of issues, appellate lawyers have latitude in deciding which points to advance and how to order them."
(*Id.* at 285.)

Here, appellate counsel submitted a comprehensive brief to the Appellate Division raising two strong claims on defendant's behalf. Indeed, had the first claim raised by appellate counsel relating to defendant's double jeopardy rights been successful, defendant would have been entitled to the dismissal of the indictment. Nevertheless, defendant now argues that appellate counsel should have argued the additional claim that the court erred in denying his motion for a mistrial. The substantive grounds upon which that motion was based, however, were noted by counsel in the second claim raised in the appellate brief filed on behalf of the defendant. Counsel chronicled the facts that formed the basis of the claimed error in the context of

the objections made by defense counsel and the court's rulings in response thereto.

We recognize that the underlying issue concerning the admissibility of proof relating to defense counsel's presence at the lineup has never been addressed by this Court or the United States Supreme Court, and this case does not provide us with an occasion to do so. Because the issue before us is solely whether appellate counsel was effective, we cannot and do not reach the merits of any issue that could or might have been raised on the original appeal. However, viewing the issue from the perspective of appellate counsel, we note that there is Appellate Division authority suggesting that such evidence is sometimes admissible (*see e.g. People v Foulks*, 143 AD2d 1038 [2d Dept 1988]; *People v Valentine*, 271 AD2d 245 [1st Dept 2000]). Under the circumstances, appellate counsel might have determined as a matter of reasonable appellate strategy that there was a greater likelihood of success pursuing the right to present a defense argument, rather than focusing on the mistrial application. The fact that the specific motion for a mistrial was not highlighted and argued in greater detail does not, on this record, amount to ineffective assistance of appellate counsel as a matter of law. Therefore, because we cannot say from this record that there was no solid legal basis for appellate counsel's strategy, we conclude that the Appellate Division did not err in denying defendant's petition for a writ of error coram nobis.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and SMITH concur; Judge JONES taking no part.

Order affirmed.

[865 NE2d 1210, 834 NYS2d 44]

BEAL SAVINGS BANK, Appellant, v VIOLA SOMMER et al., as Trustees of a Trust under the Will of SIGMUND SOMMER, Deceased, Respondents.

Argued February 7, 2007; decided March 22, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 16, 2006. The Appellate Division affirmed an order of the Supreme Court, New York County (Bernard J. Fried, J.; op 10 Misc 3d 1062[A], 2005 NY Slip Op 52075[U]), which had granted defendants' motion to dismiss the complaint.

Beal Sav. Bank v Sommer, 29 AD3d 388, affirmed.

HEADNOTE

Contracts — Construction — Syndicated Loan Agreement — Individual Lender's Action Precluded in Event of Borrower's Default

One lender in a syndicated loan arrangement did not have standing to sue for breach of contract, contrary to the will of the other lenders to forbear from taking action. The specific, unambiguous language of several provisions of the credit agreement, the primary loan document governing the loan, and keep-well agreement, an ancillary instrument evidencing the loan, read in the context of the agreements as a whole, indicated that the lenders intended to act collectively in the event of the borrower's default and to preclude an individual lender from disrupting the scheme of the agreements at issue. The language of the agreements reflected that the lenders contemplated unified action by the administrative agent. Had the parties intended that an individual have a right to proceed independently, the credit agreement or keep-well agreement should have expressly so provided. The requirement of a supermajority vote directing the administrative agent to act was meant to protect all lenders in the consortium from a disaffected lender seeking financial benefit perhaps at the expense of other debtholders.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 590, 699, 709, 710.

NY JUR 2d, Contracts §§ 416, 420.

ANNOTATION REFERENCE

See ALR Index under Contracts; Loans; Parties.

FIND SIMILAR CASES ON WESTLAW®

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Query: loan /s standing /s breach /3 contract

POINTS OF COUNSEL

Hawkins, Parnell & Thackston, LLP (Robert B. Gilbreath, of the Texas bar, admitted pro hac vice, of counsel), *Schulte Roth & Zabel LLP*, New York City (Michael L. Cook and Curtis J. Weidler of counsel), and *Jenkins & Gilchrist*, Dallas, Texas (Theodore W. Daniel of counsel), for appellant. I. The Sommer Trust's theories cannot survive under the standard of review or basic contract construction principles. (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582; *R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29; *Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith*, 85 NY2d 173; *Levenberg v Skouras*, 248 App Div 629; *Goodison v Goodison*, 66 AD2d 923; *Gaultney-Klineman Art v Hughes*, 227 AD2d 221.) II. Because the Credit Agreement was a syndicated loan, Beal Savings Bank had the right to individually enforce the Keep-Well Agreement. III. The Credit Agreement does not override the Keep-Well Agreement's "enforceable . . . by each Lender" clause. (*Levenberg v Skouras*, 248 App Div 629; *Security-First Natl. Bank of Los Angeles v Lloyd-Smith*, 259 App Div 220; *Salomon v Angsten*, 19 AD3d 143; *Matter of Lahm*, 179 App Div 757; *Congress Factors Corp. v Meinhard Commercial Corp.*, 129 Misc 2d 726; *Riback v Prudence Co.*, 152 Misc 331; *General Inv. Co. v Interborough R.T. Co.*, 200 App Div 794; *Arnoff v Metropolitan Cas. Ins. Co. of N.Y.*, 160 Misc 209; *Townsend v Colorado Fuel & Iron Co.*, 16 App Div 314; *Shire Realty Corp. v Schorr*, 55 AD2d 356.) IV. Other provisions in the Loan Documents give Beal Savings Bank the absolute right to enforce the Keep-Well Agreement. (*New Bank of New England, N.A. v Toronto-Dominion Bank*, 768 F Supp 1017; *In re Owens Corning*, 419 F3d 195; *Chase Manhattan Bank v Motorola, Inc.*, 136 F Supp 2d 265.)

Skadden, Arps, Slate, Meagher & Flom LLP, New York City (Scott D. Musoff, Preeta D. Bansal and Jay B. Kasner of counsel), for respondents. I. The Loan Documents specifically and unambiguously preclude Beal Savings Bank from suing individually to recover a judgment under the Keep-Well Agreement. (*Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *New Bank of New England, N.A. v Toronto-Dominion Bank*, 768 F Supp 1017; *Carondelet Sav. & Loan Assn. v Citizens Sav. & Loan Assn.*, 604 F2d 464; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Muzak Corp. v Hotel Taft Corp.*,

1 NY2d 42; *God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Corhill Corp. v S.D. Plants, Inc.*, 9 NY2d 595; *First Natl. Bank of Louisville v Continental Ill. Natl. Bank & Trust Co. of Chicago*, 933 F2d 466.) II. Beal Savings Bank's citation to irrelevant provisions in the Loan Documents does not affect interpretation of the unambiguous language in the Credit Agreement. (*South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *First Natl. Bank of Louisville v Continental Ill. Natl. Bank & Trust Co. of Chicago*, 933 F2d 466; *Mark Twain Bank v Continental Bank, N.A.*, 817 F Supp 792; *Credit Francais Intl. v Sociedad Fin. de Comercio*, 128 Misc 2d 564; *A.I. Credit Corp. v Government of Jamaica*, 666 F Supp 629; *New Bank of New England, N.A. v Toronto-Dominion Bank*, 768 F Supp 1017; *Chase Manhattan Bank v Motorola, Inc.*, 136 F Supp 2d 265.) III. Beal Savings Bank's interpretation undermines the collective lender action scheme set forth in the Loan Documents. (*Credit Francais Intl. v Sociedad Fin. de Comercio*, 128 Misc 2d 564; *New Bank of New England, N.A. v Toronto-Dominion Bank*, 768 F Supp 1017; *Goldsmith v Metro-media Fiber Network*, 293 AD2d 383; *A.I. Credit Corp. v Government of Jamaica*, 666 F Supp 629; *In re Kristal*, 758 F2d 454; *Commercial Bank of Kuwait v Rafidain Bank*, 15 F3d 238; *General Inv. Co. v Interborough R.T. Co.*, 200 App Div 794, 235 NY 133; *Riback v Prudence Co., Inc.*, 152 Misc 331; *Arnoff v Metropolitan Cas. Ins. Co. of N.Y.*, 160 Misc 209; *Townsend v Colorado Fuel & Iron Co.*, 16 App Div 314.) IV. Even were Beal Savings Bank permitted to bring suit unilaterally under the Keep-Well Agreement, the Sommer Trust's liability would be limited to 4.5% of whatever amount is allegedly owed. (*Nichols v Hartford Fire Ins. Co.*, 61 AD2d 555; *Zivian v McNulty*, 136 AD2d 547; *Amaducci v Metropolitan Opera Assn.*, 33 AD2d 542; *A.I. Credit Corp. v Government of Jamaica*, 666 F Supp 629; *Noise In The Attic Prods., Inc. v London Records*, 10 AD3d 303; *Alpha Auto Brokers v Continental Ins. Co.*, 286 AD2d 309.)

OPINION OF THE COURT

Chief Judge KAYE.

We are asked to determine whether one lender in a syndicated loan arrangement has standing to sue for breach of contract, contrary to the will of the other 36 lenders to forbear from tak-

ing action. The specific, unambiguous language of several provisions, read in the context of the agreements as a whole, convinces us that, in this instance, the lenders intended to act collectively in the event of the borrower's default and to preclude an individual lender from disrupting the scheme of the agreements at issue.

Facts

On February 26, 1998, a lending syndicate, originally comprised of 13 institutions (the Lenders), invested in the construction of Aladdin Gaming, LLC (the Borrower), to develop the Aladdin Resort and Casino in Las Vegas, Nevada. The Lenders advanced 410 million dollars through the Bank of Nova Scotia (succeeded by BNY Asset Solutions, LLC), the Administrative Agent. A Credit Agreement was the primary loan document governing the loan. A Keep-Well Agreement, which plaintiff-appellant Beal Savings Bank alleges was breached, was one of the many ancillary instruments evidencing the loan.¹ Both the Credit Agreement and the Keep-Well were dated February 26, 1998.

The Credit Agreement

The title page of the Credit Agreement shows Aladdin Gaming, LLC, as the Borrower, "Various Financial Institutions" as the Lenders, the Bank of Nova Scotia as the Administrative Agent and two other institutions, the syndication agent and the documentation agent. The Lenders are not individually named.

Under section 9.1 of the Credit Agreement, the Lenders authorize the Administrative Agent to act on their behalf pursuant to the Loan Documents and, "in the absence of other written instructions from the Required Lenders . . . to exercise such powers . . . as are specifically delegated to or required of the Administrative Agent by the terms [of the Loan Documents],

1. Loan Documents, as defined in Credit Agreement § 1.1, include the Credit Agreement, the Keep-Well, Notes, Letters of Credit, Pledge Agreements, a Completion Guaranty and a Deed of Trust, among others. A Keep-Well Agreement is a contract by a parent company promising financial assistance and management support for its subsidiary. This agreement confirms the parent company's obligation to maintain the subsidiary's favorable finances (see Securities and Exchange Commission, *Disclosure in Management's Discussion and Analysis about Off-Balance Sheet Arrangements and Aggregate Contractual Obligations*, RIN 3235-AI70 n 77 [Jan. 28, 2003]; Don Wiesner, *Keep-well letters: the elusive contingency*, The CPA Journal Online <<http://www.nysscpa.org/cpajournal/old/07950746.htm>> [Nov. 1989] [accessed Feb. 23, 2007]).

together with such powers as may be reasonably incidental thereto.” The term “Required Lenders” is defined as those holding at least 66²/₃% of the outstanding principal and the participation interests in the outstanding Letters of Credit (Credit Agreement § 1.1). Among those powers delegated to the Administrative Agent are that it set the Base Rate of interest and the London Interbank Offer (LIBO) Rate (Credit Agreement §§ 1.1, 3.2), collect payments from the Borrower for the pro rata account of the Lenders (§ 4.7), and review financial statements of the Borrower and other Aladdin Parties (§§ 5.1.4, 6.5).

Article 8 of the Credit Agreement addresses Events of Default. Section 8.1.4 provides that the Borrower defaults if, after the Administrative Agent gives notice, the nonperformance continues for 30 days. Section 8.3 states that the Administrative Agent, at the direction of the Required Lenders, may “exercise any or all rights and remedies at law or in equity,” including the right to recover judgment on the Keep-Well. The Credit Agreement includes a section providing that if a Lender receives any payment, such as by setoff, it must share any excess of its pro rata share of payments with the other Lenders (§ 4.8). Section 10.20 is a cumulative remedies provision that “[n]o right or remedy conferred upon the Administrative Agent or the Lenders in this Agreement is intended to be exclusive” and “every such right and remedy shall be cumulative . . . to every other right or remedy contained in the other Loan Documents”

The Keep-Well Agreement

The Keep-Well Agreement was made, as the title pages state, “in favor of each of the Administrative Agent and the Lenders and their respective successors, transferees and assigns.” The Sponsors agreed in section 2 of the Keep-Well to make Equity Contributions to the Borrower if the financial ratio fell below a certain minimum. Section 4 states that in the event of acceleration under section 8.2 and section 8.3 of the Credit Agreement the Sponsors guarantee payment of the accelerated amount to the Administrative Agent for the benefit of the Lenders.

The Keep-Well is not a stand-alone document but is to be read in accordance with the Credit Agreement. Section 18, “Miscellaneous Provisions,” provides in subsection (a) that the Keep-Well is a “Loan Document executed pursuant to the Credit Agreement and shall (unless otherwise expressly indicated

herein) be construed, administered and applied in accordance with the terms and provisions thereof.” The next subsection, 18 (b), states that the Keep-Well is binding upon the Sponsors and their successors and shall “be enforceable by the Administrative Agent and each Lender” and their assigns. Section 18 (e), like section 10.20 of the Credit Agreement, is a cumulative remedies provision.

Enter the Plaintiff

In July 2000, the Borrower obtained a 50 million dollar increase in loan funds, and the Sommer Trust, one of the Borrower’s parent companies, agreed to become a Sponsor along with other organizations under the Keep-Well Agreement. The Aladdin casino began operations, but just after September 11, 2001, the Borrower sought bankruptcy protection. Neither plaintiff-appellant Beal nor its assignor, BFC Capital, Inc., was an original Lender, and neither held any interest in the loan when the Borrower petitioned for bankruptcy protection. BFC acquired a 4.5% interest in the bank debt after the Borrower filed for bankruptcy.

On September 30, 2002, the Administrative Agent and all of the Lenders—holding 95.5% of the outstanding principal amount—except BFC entered into a Settlement Agreement with the Sommer Trust and two other sponsors. The Settlement Agreement directed the Administrative Agent to forbear from enforcing any obligations that the Trust had under the Keep-Well. In addition, the Lenders would turn over to the Trust any amounts they collected from BFC under a sharing clause in the Credit Agreement. As consideration, the Trust transferred “to the Administrative Agent for the benefit of the Prepetition Lenders and BFC” (Settlement Agreement § 1) the Trust’s interest in a shopping mall and the benefit of the Trust’s facilitating the sale of the Borrower’s property. BFC, Beal’s predecessor, received its pro rata share from this consideration. The Settlement Agreement also provided for the distribution of 6.5 million dollars to the Prepetition Lenders, not including BFC.

At the time of the execution of the Settlement, 37 Lenders were members of the syndicate. Thirty-six Lenders (all but BFC, Beal’s assignor) agreed that the terms of the settlement were of greater benefit to the consortium than an attempt to recover under the Keep-Well.

The Litigation

On April 6, 2005, Beal filed a claim under section 4 of the Keep-Well and sought 90 million dollars to share with the other Lenders or, in the alternative, Beal's pro rata share.² The Trust, moving to dismiss, contended that Beal lacked standing, for no individual member of the consortium was empowered to enforce the agreements in the event of default, and only the Administrative Agent, at the behest of a supermajority of Lenders, could do so. Beal argued that while the agreements authorized the Agent to act administratively, no provision in the agreements precluded a Lender from otherwise proceeding individually. The Supreme Court granted the Trust's motion under CPLR 3211 (a) (1) and (7) to dismiss the complaint on the grounds that the Loan Documents explicitly and implicitly precluded Beal from recovering a judgment under the Keep-Well. Affirming, the Appellate Division concluded that the Keep-Well is to be administered in accordance with the terms of the Credit Agreement, which sets forth the procedures in the event of default, and that those procedures provide for collective action. We agree with the trial court and Appellate Division, and now affirm.

Analysis

The governing principles are familiar. On a motion to dismiss pursuant to CPLR 3211, the court may grant dismissal when " 'documentary evidence submitted conclusively establishes a defense to the asserted claims as a matter of law' " (*Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561, 571 [2005], quoting *Held v Kaufman*, 91 NY2d 425, 430-431 [1998]). Construction of an unambiguous contract is a matter of law, and the intention of the parties may be gathered from the four corners of the instrument and should be enforced according to its terms (see *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). The court should "construe the agreements so as to give full meaning and effect to the material provisions" (*Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.*, 3 NY3d 577, 582 [2004]). A reading of the contract should not render any portion meaningless (see *God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371, 374 [2006]; *Excess Ins. Co.*, 3 NY3d at 582). Further, a contract should be "read as a whole, and every part will be interpreted with reference to the whole;

2. Both the Credit Agreement (§ 10.14) and the Keep-Well (§ 18 [h]) provide that they will be "governed by and construed in accordance with the internal laws of the State of New York."

and if possible it will be so interpreted as to give effect to its general purpose” (*Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003] [citations omitted]).

In *Credit Francais Intl. v Sociedad Fin. de Comercio* (128 Misc 2d 564 [Sup Ct, NY County 1985]), the court analyzed a situation similar to the one presented here. A syndicate of banks lent money to a Venezuelan financial institution. When the government of Venezuela called on financial institutions to suspend payments of principal, the borrower sought to delay its payments. The majority of the banks in the consortium chose to allow delayed payment, and only one member sought to proceed against the borrower. The court noted that the loan transaction was between the borrower and a consortium, not individual banks. Even the title page—that the lenders were not named but were called “Depositors”—indicated that the nature of the agreement was that the lenders act collectively. The agent was authorized to act on behalf of the lenders collectively by its own initiative or at the direction of a majority of lenders: the agent determined the rate of interest, collected repayments for the pro rata account of each depositor, collected advances to be made to the borrower and received the borrower’s financial statements to provide to the lenders. Concerning the provision on acceleration, the court wrote:

“The actual acceleration of the entire amount due does not occur, however, until the agent, ‘with the consent or at the direction of the Majority Depositors’, declares the entire amount due and payable Thus, while the agent has the power to declare the entire amount due if an event of acceleration occurs, he also has the power to refrain from accelerating the entire amount unless otherwise directed by the majority depositors. No individual bank is given those rights” (*id.* at 578).

The court also noted that a sharing provision was included to prevent a bank from obtaining an undue preference so that were an individual institution to obtain any payment, that bank would act as agent on behalf of all the depositors. The parties thus contemplated that the agent take collective action on behalf of all members pursuant to the direction of the majority depositors. Such a plan was intended to prevent the possibility of a multiplicity of suits by individual banks perhaps working at cross-purposes—a situation that could be chaotic.

A cumulative remedy clause, the court said, was “merely” to “assure[] the parties that the election of one remedy does not

preclude another” (*id.* at 579). Nothing in that section justified departure from the overall scheme to have the agent act for the consortium. Finally, the court found that other sections including the terms “any Depositor” or “Depositors” were not blanket authorizations for individual action. An agreement that intends to have individual depositors proceed independently should so provide explicitly.

Similarly, in *New Bank of New England, N.A. v Toronto-Dominion Bank* (768 F Supp 1017 [SD NY 1991]), the majority of lenders in a syndicate wished to negotiate with the defaulting borrower, and one lender refused to consent to a waiver of default. An Intercreditor Agreement provided that “the agent *may* act in certain circumstances in accordance with the directions of the majority lenders” (*id.* at 1020). The court determined that the discretionary language allowed a majority to direct acceleration but also authorized it to refrain from doing so. No provision permitted a minority lender to compel acceleration. The meaning of the agreement between sophisticated parties was unambiguous, even if one party asserted a different interpretation (*id.* at 1021, 1022; *see also In re Enron Corp.*, 302 BR 463, 473 [Bankr SD NY 2003], *affd* 2005 WL 356985, 2005 US Dist LEXIS 2134 [SD NY 2005]).

Here, of course, neither the Credit Agreement nor the Keep-Well contains an explicit provision stating that a Lender may—or may not—take individual action in the event of default, and thus we are compelled to look to other specific clauses and the agreements as a whole to ascertain the parties’ intent. The examination leads us to conclude that the agreements have an unequivocal collective design.

Section 18 (a) of the Keep-Well states that it was “executed pursuant to the Credit Agreement” and, unless otherwise expressly indicated, must be “construed, administered and applied” in accordance with the Credit Agreement. No express provision in the Keep-Well sets forth the actions to be taken in the event of default. Only article 8 of the Credit Agreement articulates these procedures. Section 8.3 provides:

“If any Event of Default . . . shall occur for any reason, whether voluntary or involuntary, and be continuing, the Administrative Agent, upon the direction of the Required Lenders, shall by notice to the Borrower declare all or any portion of the outstanding principal amount of the Loans and

other Obligations . . . to be due and payable or the Commitments . . . to be terminated, whereupon . . . the Borrower shall automatically and immediately be obligated to deposit with the Administrative Agent cash collateral in an amount equal to all Letter of Credit Outstandings In addition to the foregoing, the Administrative Agent upon direction of the Required Lenders may, without further notice of default, presentment or demand for payment, protest or notice of non-payment or dishonor, or other notices or demands of any kind . . . , exercise any or all rights and remedies at law or in equity (in any combination or order that the Lenders may elect, subject to the foregoing), including, without prejudice to the Lenders' other rights and remedies, the following: . . .

“(h) recover judgment on the Completion Guaranty or the Keep-Well Agreement either before, during or after any proceedings for the enforcement of the Lenders' rights and remedies hereunder or under the other Loan Documents.”

Thus, under section 8.3, the Administrative Agent acts upon the direction of the Required Lenders—a two-thirds majority—to give notice to the Borrower and, if required, the Borrower must deposit the outstanding principal with the Administrative Agent. In addition, it is the Administrative Agent that, upon direction of the Required Lenders, may exercise any or all rights and remedies as the Lenders elect, including recovering judgment on the Keep-Well Agreement “for the enforcement of the Lenders' rights and remedies.”

Section 18 (b) of the Keep-Well, on which Beal relies to assert standing, is a general section that provides:

“This Agreement shall be binding upon the Sponsors and their permitted successors, transferees and assigns and shall inure to the benefit of and be enforceable by the Administrative Agent and each Lender and their respective successors, transferees and assigns; provided, however, that the Sponsors may not assign any of their obligations hereunder without the prior written consent of the Required Lenders.”

The language of section 18 (b) that the Keep-Well is enforceable by the Administrative Agent and each Lender does not expressly

override the specific language of section 8.3 that in the event of default the Administrative Agent at the direction of the Required Lenders may or may not attempt to recover judgment. Moreover, section 18 (b) addresses the issue of “successors, transferees and assigns” to ensure that Lenders’ assignees would not be left out of the collective enforcement mechanism, and that the Sponsors do not assign their obligation without the written consent of the Required Lenders.

An interpretation favoring Beal’s view would render section 8.3 meaningless because there would be no reason to provide that the Required Lenders could enforce the agreements by a supermajority directing the Administrative Agent to act (*see Excess Ins. Co.*, 3 NY3d at 582). Nor does the language of section 8.3 support Beal’s contention that, if the Administrative Agent does not move to enforce the Keep-Well, any individual Lender may do so. As the court in *Credit Francais* construed a similar provision, the Administrative Agent, at the direction of the Required Lenders, has the power to declare the entire amount due and the power to refrain from accelerating—no individual institution is given those rights (128 Misc 2d at 578). Here, the Required Lenders—with 95.5% of the interest, well over a supermajority—made an election by directing the Administrative Agent not to pursue legal action (*see New Bank of New England*, 768 F Supp at 1020). Section 18 (b) of the Keep-Well, as analyzed in the context of an event of default, does not contravene the Required Lenders’ decision to act collectively (*see Westmoreland Coal*, 100 NY2d at 358).

Beal brings this suit under section 4 of the Keep-Well:

“In the event that the Obligations of the Borrower under the Credit Agreement shall be accelerated pursuant to the provisions of Section 8.2 or 8.3 thereof, the Sponsors guarantee and agree to pay the Accelerated Payment Amount to the Administrative Agent for the benefit of the Lenders not later than forty (40) days following the date of such acceleration.”

The only entity section 4 mentions as having the right to pursue default remedies is the Administrative Agent. Thus, this section actually underscores the collective enforcement scheme envisioned by the signatories of the Loan Documents.

Besides these specific provisions, other language in the agreements confirms that the Lenders contemplated unified action by the Administrative Agent. The Agent does not perform

merely mechanical or technical functions but rather has a broad grant of power. Section 9.1 of the Credit Agreement provides that “[e]ach Lender authorizes the Administrative Agent to act on behalf of such Lender” under the Loan Documents and to exercise the powers delegated to it, in the absence of written instructions from the Required Lenders. The Agent may, among other things, set rates of interest and review the Borrower’s financial statements. Even the title page of the Credit Agreement names the Administrative Agent but refers to the Lenders as “Various Financial Institutions” without naming them. Although Beal argues that an Administrative Agent generally should have only ministerial powers, in these Loan Documents the parties specified that the Agent have both discretionary power and power under the direction of the Required Lenders.

Beal contends that section 4.8 of the Credit Agreement, the sharing provision, supports the agreements’ enforceability by each Lender individually. The section states that if any Lender obtains payment by “setoff or otherwise” in excess of its pro rata share, that Lender must share the excess ratably with the other Lenders. Beal’s interpretation is that if one bank can receive money, then that bank must be able to sue for judgment. We conclude, on the contrary, that this provision—under which each Lender who receives moneys is deemed to have received on behalf of all Lenders—underscores the collective design of the agreements that Lenders share the risks of potentially unequal treatment (*see Credit Francais*, 128 Misc 2d at 578 [sharing provision prevented one bank from obtaining an undue preference over another]; *see also Enron*, 2005 WL 356985 at *7, 2005 US Dist LEXIS 2134 at *29 [while an individual lender might exercise a right of setoff or counterclaim, there was no basis to conclude that the parties intended rights against pledged collateral]).

Nor do the cumulative remedies provisions support individual action. Section 10.20 of the Credit Agreement grants the Administrative Agent or the Lenders remedies at law and in equity “in addition to every other right or remedy” contained in all Loan Documents. Section 18 (e) of the Keep-Well Agreement states that “[n]o failure on the part of the Administrative Agent or any Lender to exercise, and no delay in exercising, any right” will be deemed a waiver, and that the remedies are cumulative, not exclusive, to remedies provided by law. The purpose of section 18 (e) is to assure that the Agent’s or a Lender’s failure or delay in enforcing rights is not a waiver of

those rights. Both these provisions—intended to preserve alternate remedies—do not provide to each Lender express grants of enforcement in the event of default (*see Credit Francais*, 128 Misc 2d at 579; *Enron*, 302 BR at 475).

To support its interpretation that it has standing to sue, Beal points to section 10.1 (f) of the Credit Agreement, which provides that no amendment, modification or waiver can be made to the Loan Documents so as to “release the Sponsors under the Keep-Well Agreement . . . without the consent of all Lenders.” Beal contends that the Prepetition Lenders who completed the Settlement with the Trust constructively waived Beal’s rights under the Keep-Well because the Lenders did not have Beal’s required consent. Beal also refers to section 7 of the Keep-Well, which states that “the obligations of the Sponsors under it shall be absolute and unconditional under any and all circumstances.” Section 7 specifies that the Sponsors “shall not be released from their obligations . . . because of . . . (b) [a]ny waiver . . . , modification, forbearance, delay or other act or omission of the Administrative Agent or the Lenders, or any failure to proceed promptly . . . against the Borrower [or] any Sponsor.”

The Trust acknowledges that the unanimous consent clause ensures that the terms of the loan cannot be altered in a manner inconsistent with what other Lenders originally agreed to. However, here, the Settlement did not release the Trust of its obligations by amending, modifying or waiving any provision in the agreements. Nor did the Trust breach the Keep-Well Agreement. Rather, the issue concerns a default and, under the Credit Agreement, even if the Settlement has a “similar effect” to a release, the supermajority of Lenders exercised their rights by restructuring the debt of a financially troubled Borrower (*see First Natl. Bank of Louisville v Continental Ill. Natl. Bank & Trust Co. of Chicago*, 933 F2d 466 [7th Cir 1991] [agent did not breach contract when it acted collectively with other lenders not to accelerate notes despite borrower’s default and over objection of individual bank]; Howard J. Kashner, *Majority Clauses and Non-Bankruptcy Corporate Reorganizations—Contractual and Statutory Alternatives*, 44 Bus Law 123, 125-126 [Nov. 1988] [better practice, when agreement has waiver and supermajority clauses, is to allow supermajority to elect action before bankruptcy to avoid preferential treatment of one institution over others]). Thus, the provisions concerning amendment, modification and waiver of the agreements do not preclude the Adminis-

trative Agent and 95.5% of the Lenders from attempting to recover on as much of the Trust's obligations as they could.

Moreover, language in other provisions referring to actions by the Administrative Agent and "any Lender" is found in general provisions, for example, stating that the Sponsors waive certain defenses and rights, and does not provide a source for individual Lenders to enforce the Keep-Well Agreement. For example, under section 9.6 of the Credit Agreement, each Lender, without reliance on the Administrative Agent or any other Lender, acknowledges making its own credit decisions. This provision "addresses the concerns of the Administrative Agent" that banks do not rely on it for assessing risks (*Enron*, 302 BR at 475). The provision does not, as advocated by Beal, authorize individual enforcement of the Keep-Well.

Beal's reliance on *Commercial Bank of Kuwait v Rafidain Bank* (15 F3d 238 [2d Cir 1994]), in which the court concluded that an individual lender did have standing to sue, is unavailing. In *Commercial Bank*, the agent's grant of authority was limited to suing "only if requested to do so by the Majority Banks," and this provision did "not abrogate the rights of participating banks to sue on their own" (*id.* at 243). Unlike the finding in *Credit Francais*, the court said that provisions regarding the pro rata distributions of proceeds recovered by individual banks supported one bank's standing to sue. This case, however, is distinguishable from *Credit Francais*, *New Bank* and *Enron* in that the ruling was based on English law that an undisclosed principal can sue on a contract except when "the terms of the contract expressly or impliedly confine it to the parties to it" (*Commercial Bank*, 15 F3d at 243).

In another case cited by Beal, *A.I. Credit Corp. v Government of Jamaica* (666 F Supp 629 [SD NY 1987]), the court held that individual lenders could sue to enforce the borrower's obligations. The court noted certain provisions including pro rata and waiver sections such as those described here to support the finding. However, the agreement there expressly provided:

"The amounts payable at any time hereunder to each Bank shall be a separate and independent debt and each Bank shall be entitled to protect and enforce its rights arising out of this Agreement, and it shall not be necessary for any other Bank to be joined as an additional party in any proceedings for such purpose" (666 F Supp at 631).

In addition, the agreement specified that the agent “shall perform the mechanical and clerical functions” and have a strictly limited role (*id.*).

In this case the parties decided not to include a specific statement that each Lender individually may enforce its rights in the event of default. Had the parties intended that an individual have a right to proceed independently, the Credit Agreement or the Keep-Well should have expressly so provided.³ In an event of default, the lenders’ “rights to payment of principal and interest have, as a financial matter, already been impaired” (Kashner, *Majority Clauses and Non-Bankruptcy Corporate Reorganizations*, 44 Bus Law at 125). Here, the supermajority vote is meant to protect all Lenders in the consortium from a disaffected Lender seeking financial benefit perhaps at the expense of other debtholders. Therefore, the Required Lenders, rather than initiating separate, multiple lawsuits, chose not to jeopardize the interests of each institution. We conclude, based on the explicit language of the agreements and the provisions read as a whole, that the parties intended for collective action in the event that the obligations of the Borrower could be accelerated.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). A bank that lends money to a borrower and is not repaid is entitled to sue to get its money back. That is, at least, the assumption that most banks surely make when they enter into loan agreements. A bank that is part of a lending group can, of course, agree that no suit will be brought unless a majority or supermajority of the lenders agree to take action, but if that agreement is made, it should be stated in plain language in the document. It is not hard to say: “No suit shall be brought except by the Administrative Agent, acting upon the written instructions of the Required Lenders.” No such language, or anything that can fairly be read as its equivalent,

3. We recognize that the contrary argument also can be made: had the parties intended to *preclude* the right to proceed individually, they should have said so explicitly. And surely, for the future, parties should expressly state their intention in this regard. It goes without saying, however, that if parties behaved precisely as they should, there would be no ground for litigation; cases reach us only because question can be raised. Though question can be raised, here we are satisfied that the answer given by the trial court and Appellate Division, based on the language and purport of the agreements, is the correct one.

appears in this Credit Agreement or Keep-Well Agreement, and I dissent from the majority's decision to read it in.

This transaction was a number of separate loans, on identical terms, made by lenders including Beal's predecessor directly to the borrower. Section 2.1, the first substantive term of the Credit Agreement, says so: "each Lender *severally* agrees to make Loans" (§ 2.1 [a] [emphasis added].) The normal expectation of the parties to such a transaction is that each lender may sue separately to recover its loan, if the agreement does not say otherwise (see *Commercial Bank of Kuwait v Rafi-dain Bank*, 15 F3d 238, 243 [2d Cir 1994]; *New Bank of New England, N.A. v Toronto-Dominion Bank*, 768 F Supp 1017, 1023 [SD NY 1991]).

The majority holds that this Credit Agreement does say otherwise, relying on "[t]he specific, unambiguous language of several provisions" (majority op at 321), but it never identifies any "specific, unambiguous" surrender of individual lenders' rights to sue. The majority gives primary importance to section 8.3 of the Credit Agreement (*id.* at 326-327), but nothing in that section says or implies that a single lender may not bring suit. The section says that "the Administrative Agent upon direction of the Required Lenders may . . . exercise any or all rights and remedies at law or in equity," including the right to recover under the Keep-Well Agreement; but it does not say that no lender may exercise its own rights. A statement that an agent may act on a principal's behalf does not mean that the principal has disabled itself from acting on its own.

The majority is incorrect in saying that Beal's interpretation of section 8.3 would "render [it] meaningless" (majority op at 328). Section 8.3 means what it says—that certain powers may be exercised by the Administrative Agent at the direction of a supermajority, not that those powers are surrendered by the lenders. Indeed, the majority's reading of section 8.3 to say that only the Administrative Agent, and not an individual lender, may act is impossible when applied to some of that section's subdivisions, notably section 8.3 (c), authorizing the Administrative Agent to "commence, appear in and/or defend any action . . . brought by or against the Borrower or the Lenders."

Similarly, section 9.1 of the Credit Agreement, saying that "[e]ach Lender authorizes the Administrative Agent to act on behalf of such Lender," means just what it says: it is an authorization, not an exclusion. If the authors of the document meant the authorization to be exclusive, the words with which to say

so were readily available. Nor is it significant that, in an obvious attempt to avoid reciting a lengthy list, the Credit Agreement “names the Administrative Agent but refers to the Lenders as ‘Various Financial Institutions’ without naming them” (majority op at 329).

In short, I think it clear that nothing in these agreements deprives the lenders of their rights to sue separately. I would reach this conclusion even if the Credit Agreement did not say, as it does in section 10.20: “No right or remedy conferred upon the Administrative Agent . . . in this Agreement is intended to be exclusive of any other right or remedy contained in the other Loan Documents or at law and equity.” Surely this language should remove all doubt about the matter.

The *Commercial Bank* and *New Bank* cases, cited above, show that a provision in a loan agreement authorizing an agent to act upon direction of a specified number of lenders does not defeat the rights of lenders to act for themselves to collect their loans. The Second Circuit Court of Appeals said in *Commercial Bank*: “While the participation agreement . . . authorizes the ‘Confirming Bank’ to sue ‘only if requested to do so by the Majority Banks,’ this provision does not abrogate the rights of participating banks to sue on their own” (15 F3d at 243). That observation is squarely applicable here; the majority has identified no important distinction between the language at issue in *Commercial Bank* and the language it relies on.

The majority mistakenly cites *New Bank* as supporting its position (majority op at 326), because *New Bank* held that a right under a loan agreement to accelerate loan payments was enforceable only by collective action; but that issue is not the one we have in this case. A right of acceleration, unlike the basic right to sue for money that is already due, does not exist except to the extent that a contract provides for it. The *New Bank* court itself pointed out this distinction: “although acceleration and foreclosure are contractual remedies which may not be exercised without a majority vote of the Lenders, NBNE is free to pursue its own remedies at law by suing Noble to collect on its debt to NBNE” (768 F Supp at 1023). Beal should be no less free to pursue its own collection remedy here.

The majority relies on two decisions by trial-level courts, *Credit Francais Intl. v Sociedad Fin. de Comercio* (128 Misc 2d 564 [Sup Ct, NY County 1985]) and *In re Enron Corp.* (302 BR 463 [Bankr Ct SD NY 2003], *affd* 2005 WL 356985, 2005 US

Dist LEXIS 2134 [SD NY 2005]). To the extent these decisions are relevant to our case, I do not find either convincing; I agree with Justice Klein's, rather than Justice Greenfield's, interpretation of the contract in *Credit Francais* (see 128 Misc 2d at 575), and I think Judge Gonzalez's conclusion in *Enron* is more strongly supported by his alternative holding (see 302 BR at 476). (Indeed, the successful parties in *Enron* conceded on appeal that the lenders in that case retained some rights to sue under their loan agreement, and Judge Gonzalez's ruling was affirmed on grounds not relevant here [see 2005 WL 356985 at *7-8 and n 36, 2005 US Dist LEXIS 2134 at *30-33 and n 36].) But even if both Justice Greenfield and Judge Gonzalez were correct, that would not mean Beal cannot sue in this case. Both judges relied on contractual language giving rights to the agent that is stronger than any language we have here (see 128 Misc 2d at 578 ["Each Depositor . . . irrevocably authorizes the Agent . . ."]; 302 BR at 471-472 [referring to several instances in which the agent was "irrevocably authorized" to act]).

The majority's reading of the Credit Agreement here is less plausible than those given to the agreements in *Credit Francais* and *Enron* for another reason: while the agreements in those cases permitted the agent to act with the approval of a majority in interest of the lenders, the Credit Agreement here requires two thirds. Thus if, as the majority holds, the Credit Agreement and the Keep-Well Agreement are enforceable only by the Administrative Agent, dissenting lenders holding 33.4% of the loan can render those agreements unenforceable. It is most unlikely that the lenders who signed the Credit Agreement thought that they would be powerless to recover their loans if a minority of lenders were unwilling to take action.

Of course, in this case, the lenders unwilling to sue are not a dissident faction. They hold, as the majority mentions repeatedly, 95.5% of the debt, and have made an arrangement that every lender except Beal is willing to go along with. It is this fact that makes the result the majority reaches attractive: intuitively, it seems that if 36 out of 37 lenders are satisfied with a deal, the 37th should not be allowed to upset the apple-cart.

But Beal would fare no better under the majority's reasoning if it were one of a group with a 66.6% interest. There is no possible distinction, under the agreements in suit, between Beal and any other holder or holders who have less than two thirds of the loan. Thus the majority's decision, while reaching a

pragmatically appealing result, essentially reads into the loan documents language that would compel results far less appealing. These agreements are complex, and were no doubt negotiated by experienced counsel. Fairness to these parties, and the confidence with which future parties enter similar transactions, would be better served by reading the agreements as they are written.

Judges CIPARICK, GRAFFEO and PIGOTT concur with Chief Judge KAYE; Judge SMITH dissents in a separate opinion; Judges READ and JONES taking no part.

Order affirmed, with costs.

[865 NE2d 840, 833 NYS2d 423]

In the Matter of PALM MANAGEMENT CORPORATION, Respondent,
v ANDREW GOLDSTEIN et al., Constituting the Zoning Board
of Appeals of the Village of East Hampton, et al., Appel-
lants, et al., Respondents.

Argued February 7, 2007; decided March 27, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 16, 2006. The Appellate Division modified, on the law, a judgment of the Supreme Court, Suffolk County (Elizabeth Hazlitt Emerson, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to review a determination of the respondent Zoning Board of Appeals of the Village of East Hampton which annulled those portions of a certificate of occupancy relating to the petitioner's use of an outdoor dining area with accompanying structural improvements, and the use of a barn as a dormitory with accompanying structural improvements; and (2) dismissed the proceeding. The modification consisted of deleting the provision of the judgment denying the petition in its entirety, and substituting therefor a provision granting the petition to the extent of annulling so much of the determination as annulled those portions of the certificate of occupancy relating to the presence of a patio awning on the premises and the use of a barn as a dormitory with accompanying structural improvements, both as described in a prior resolution of the respondent Zoning Board of Appeals. The Appellate Division affirmed the judgment as modified.

Matter of Palm Mgt. Corp. v Goldstein, 29 AD3d 801, affirmed.

HEADNOTE

Municipal Corporations — Zoning — Timeliness of Appeal to Zoning Board of Appeals — Issuance of New Certificate of Occupancy Unchanged from Earlier Certificate

The 60-day time limit for appeals to a zoning board of appeals from a determination by a village administrative official (Village Law § 7-712-a [5] [b]) did not run anew when the administrative official issued a new certificate of occupancy that was unchanged, in relevant respects, from an earlier certificate relating to the same property. The mere repetition, in words or substance, of an authorization contained in the old certificate of occupancy should not be treated as a newly appealable “order, requirement, decision, interpretation or determination.” Property owners or those who might buy or lend money on

the property should be able to rely on the fact that the time to appeal from the issuance of a certificate of occupancy has run.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 683, 685.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:1467-145:1469.

McKINNEY's, Village Law § 7-712-a (5) (b).

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 44,
391, 392.

NEW YORK REAL PROPERTY SERVICE § 48:94.

ANNOTATION REFERENCE

See ALR Index under Zoning.

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board /s limit!

POINTS OF COUNSEL

Esseks, Hefter & Angel, LLP, Riverhead (*William W. Esseks* and *Anthony C. Pasca* of counsel), and *Pachman & Pachman, P.C.*, Commack (*Matthew E. Pachman* of counsel), for appellants. This Court should reject the Second Department's new preclusion rule and reinstate the annulled portions of the Zoning Board of Appeals' decision. (*Matter of B & G Constr. Corp. v Board of Appeals of Vil. of Amityville*, 309 NY 730; *City of Buffalo v Roadway Tr. Co.*, 303 NY 453; *Matter of Cowger v Mongin*, 87 AD2d 932; *Matter of Midas Muffler v City of Albany*, 186 AD2d 856; *Matter of Besthoff v Zoning Bd. of Appeals of Town of Clarkstown*, 34 AD2d 782; *Matter of Cortodd Homes v Misiekiewicz*, 45 AD2d 1008; *Matter of Parkview Assoc. v City of New York*, 71 NY2d 274; *Matter of Kaltenbach v Board of Stds. & Appeals*, 274 NY 34; *Matter of Timm v Van Buskirk*, 17 AD3d 686; *Matter of Lee v Zoning Bd. of Appeals of Town of Putnam Val.*, 1 AD3d 600.)

Twomey, Latham, Shea, Kelley, Dubin & Quartararo, LLP, Riverhead (*David M. Dubin*, *John F. Shea, III*, and *Jennifer A. Andaloro* of counsel), for Palm Management Corporation, respondent. The Second Department correctly held that the claims challenging the help's quarters and the patio awning were

barred by res judicata. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Town of Wallkill v Lachmann*, 27 AD3d 724; *Matter of Waylonis v Baum*, 281 AD2d 636; *Matter of Kennedy v Zoning Bd. of Appeals of Vil. of Hastings-on-Hudson*, 145 AD2d 490; *Jensen v Zoning Bd. of Appeals of Vil. of Old Westbury*, 130 AD2d 549; *Matter of Freddolino v Village of Warwick Zoning Bd. of Appeals*, 192 AD2d 839; *O'Brien v City of Syracuse*, 54 NY2d 353; *Matter of Miller v Kozakiewicz*, 300 AD2d 399; *Smith v Russell Sage Coll.*, 54 NY2d 185.)

OPINION OF THE COURT

SMITH, J.

Village Law § 7-712-a (5) (b) provides a 60-day time limit for appeals to a zoning board of appeals (ZBA) from a determination by a village administrative official. The issue here is whether a new determination occurs, and a new 60-day period runs, when the administrative official issues a new certificate of occupancy that is unchanged, in relevant respects, from an earlier certificate relating to the same property. We hold that in such a case there is no new determination, and therefore no new opportunity for an appeal to the ZBA.

Palm Management Corporation owns an inn in the Village of East Hampton. The inn is located in an area zoned for residences. It is undisputed that the property was used as an inn before the zoning ordinance was enacted, and that the inn is therefore a lawful nonconforming use. This case centers on two disputed features of the inn: a former barn that is used as a staff dormitory, and an awning over the patio. Two of the inn's neighbors contend, and the ZBA found, that these uses of the property are unlawful, both because they have not been shown to predate the existing zoning and because they were abandoned for a period of more than one year after the zoning was in force.

However, the Village's Division of Building Inspection authorized both uses more than a decade before the present litigation began. A building permit for the awning was issued in 1987. More important for present purposes, certificates of occupancy issued in 1989 and 1993 approved the dormitory and the awning. The 1989 certificate provides that the inn "may be occupied as a legal preexisting nonconforming . . . building occupied as a hotel with . . . a detached two-story frame building occupied as help's quarters." The 1993 certificate includes the same language, and adds a reference to a "slate patio partially

covered with an awning.” No timely appeal was taken to the ZBA from the issuance of either the 1989 or the 1993 certificate.

In 1999, several of the inn’s neighbors complained to the Village’s Office of Code Enforcement about a number of features of the inn, including the dormitory and the awning. Replying to the neighbors in 2000, a Code Enforcement Officer declined to disturb either use, relying on the 1987 building permit and the 1993 certificate of occupancy. Two of the neighbors appealed to the ZBA, which found that the Code Enforcement Officer had made no new determination, but had merely acknowledged the existence of previous determinations. The ZBA ruled in 2001 that any challenge to those determinations was barred by “what is essentially a sixty-day statute of limitations” in Village Law § 7-712-a.

In 2003, apparently as a result of Palm Management’s need to refinance the inn, a new certificate of occupancy was issued. The new certificate, as it related to the dormitory and the awning, was unchanged in substance from its predecessors, though it described both structures in more detail. Within 60 days of the public filing of the 2003 certificate, several neighbors appealed to the ZBA, which granted the appeal and annulled several portions of that certificate, including those relating to the dormitory and the awning.

Palm Management brought this CPLR article 78 proceeding to annul the ZBA’s determination. Supreme Court dismissed the proceeding, but the Appellate Division modified Supreme Court’s order, holding that the petition should have been granted as it related to the dormitory and the awning, on the ground that “the 2001 determination of the ZBA was entitled to res judicata effect with regard to those matters” (29 AD3d 801, 803 [2006]). We granted leave to appeal and now affirm, not on res judicata grounds, but on the ground that the issuance of the 2003 certificate, as it related to the dormitory and awning, was not a determination appealable to the ZBA under Village Law § 7-712-a (5).

Village Law § 7-712-a specifies procedures to be followed by village zoning boards of appeal. Section 7-712-a (5) (a) provides for the public filing of each “order, requirement, decision, interpretation or determination of the administrative official charged with the enforcement of the zoning local law,” and section 7-712-a (5) (b) provides that any appeal to the ZBA from such a

ruling “shall be taken within sixty days” of its filing. Here, the ZBA treated the neighbors’ appeal as timely because it was taken within 60 days of the filing of the 2003 certificate of occupancy. This was no doubt correct as to those parts of the neighbors’ appeal—no longer in issue—that challenged uses that had not been authorized by a certificate of occupancy before 2003. But the mere repetition, in words or substance, of an authorization contained in the old certificate of occupancy should not be treated as a newly appealable “order, requirement, decision, interpretation or determination.” The village official who issued the new certificate of occupancy in 2003 did not decide or determine anything about the dormitory or the awning, except that they had already been approved years before.

Any other result would be unfair. The obvious purpose of the 60-day limitation in Village Law § 7-712-a is to provide repose for property owners and those who might buy or lend money on the property; they should be able to rely on the fact that the time to appeal from the issuance of a certificate of occupancy has run. We do not decide that the existence of a certificate of occupancy to which no timely challenge was made will always render the uses described in that certificate immune from challenge. We need not now consider when that is and is not true. But the mere issuance of a new, substantially identical, certificate should not permit a new challenge to an owner’s use of its property when, as the parties here do not dispute, no such challenge was permissible before the new certificate was issued.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur; Judge JONES taking no part.

Order affirmed, with costs.

[865 NE2d 1224, 834 NYS2d 58]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN
N. ROWLAND, Appellant.

Argued February 15, 2007; decided March 29, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 20, 2006. The Appellate Division affirmed (1) a judgment of the Saratoga County Court (Jerry J. Scarano, Jr., J.), which had convicted defendant, upon his plea of guilty, of criminally negligent homicide and criminal possession of a weapon in the third degree, and (2) an order of that County Court, which had denied defendant's motion pursuant to CPL 440.10 to vacate the judgment of conviction.

People v Rowland, 31 AD3d 978, reversed.

HEADNOTE

Crimes — Plea Bargaining — Enforcement of Agreement

A defendant whose guilty plea was induced by a promise that his prison sentence would be concurrent with his sentence on a previous conviction was entitled to withdraw his plea where, because the previous conviction was overturned, the promise could not be kept. This rule was applicable even where the second sentence was longer, and thus the promise of concurrent sentencing did not mean that no additional time would result from the guilty plea. The critical question was whether the removal or reduction of the preexisting sentence nullified a benefit that was expressly promised and was a material inducement to the guilty plea.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 741–747.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1603,
172:1604, 172:1610, 172:1614.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 7.4, 21.5.

NY JUR 2d, Criminal Law §§ 1391, 1401.5.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Guilty Plea.

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& vacat! overturn!

POINTS OF COUNSEL

Paul J. Connolly, Delmar, for appellant. The promise that the aggregate sentence on defendant's present convictions would be concurrent with the sentence on the prior criminal possession in the fourth degree conviction became unfulfillable upon vacatur of that prior conviction, and County Court was therefore required to grant defendant's motion to vacate the present judgment of conviction. (*Boykin v Alabama*, 395 US 238; *Brady v United States*, 397 US 742; *Shelton v United States*, 246 F2d 571; *Santobello v New York*, 404 US 257; *Johnson v Lumpkin*, 769 F2d 630; *People v Frederick*, 45 NY2d 520; *People v Pichardo*, 1 NY3d 126; *People v Puckett*, 270 AD2d 364; *People v Panetta*, 250 AD2d 710, 92 NY2d 903; *People v Boyle*, 164 AD2d 938.)

Nicholas E. Tishler, Special Prosecutor, and *James A. Murphy, III*, District Attorney, Ballston Spa, for respondent. I. On his direct appeal defendant was not entitled to vacatur of the greater sentence ordered to run concurrently with an earlier imposed sentence that was vacated. (*People v Pichardo*, 1 NY3d 126; *People v Boston*, 75 NY2d 585; *People v Frederick*, 45 NY2d 520.) II. On his collateral appeal, it was not an abuse of discretion to deny defendant's motion pursuant to Criminal Procedure Law article 440 to vacate his plea. (*People v Pichardo*, 1 NY3d 126; *People v Clark*, 45 NY2d 432; *People v Fuggazzatto*, 62 NY2d 862; *People v Boston*, 75 NY2d 585; *People v Hooper*, 302 AD2d 894; *People v Walker*, 224 AD2d 781; *People v Catu*, 4 NY3d 242; *People v Coles*, 62 NY2d 908; *People v Van Deusen*, 7 NY3d 744.)

OPINION OF THE COURT

SMITH, J.

We held in *People v Pichardo* (1 NY3d 126 [2003]) that a defendant was entitled to withdraw his guilty plea where the plea had been induced by a promise that the defendant's prison sentence would be concurrent with his sentence on a previous conviction and where, because the previous conviction was overturned, the promise could not be kept. In *Pichardo*, the earlier sentence was much the longer of the two, so that the promise of concurrent sentencing meant that the second

sentence, entered on the plea, carried no additional jail time. In this case, we hold that the rule of *Pichardo* applies even where the second sentence is longer, and thus the promise of concurrent sentencing does not mean that no additional time will result from the guilty plea.

Defendant was indicted in August of 2003 for murder and a number of other crimes as a result of the shooting of Anthony Tagliarino. This indictment was not defendant's only legal problem. In early 2004, while the murder case was pending, he was sentenced on his convictions for two other crimes, apparently unrelated to the Tagliarino shooting: he received 1 to 3 years for a violation of probation, and 2 to 4 years for possession of stolen property. These two sentences ran consecutively to each other, and therefore defendant was already facing a minimum of three and a maximum of seven years in prison when the murder case came to trial in June of 2004.

On the fifth day of the murder trial, a plea bargain was reached: Defendant entered an *Alford* plea to a count of criminally negligent homicide and a count of weapons possession. It was part of the plea bargain that defendant's sentences for these crimes would run consecutively to one another and would total 4 to 8 years, but that they "would run concurrent with the previously imposed sentences." Thus it seems that the anticipated effect of the plea bargain in the murder case was to add a year to the total time defendant was facing.

Defendant's possession of stolen property conviction was reversed in early 2005, and he later made a plea bargain on that charge resulting in a one-year sentence—a reduction of 1 to 3 years from the sentence that had been in effect at the time of his guilty plea. Defendant then moved to vacate the conviction entered on his *Alford* plea, asserting that he would not have entered the plea but for the existence of the 2-to-4-year sentence for possession of stolen property, and his expectation that the sentence resulting from that plea would be concurrent with that preexisting sentence. County Court denied the motion, and the Appellate Division affirmed the denial, as well as defendant's conviction and sentence on the *Alford* plea. A Judge of this Court granted leave to appeal, and we now reverse.

This case is controlled by *Pichardo*. There, the defendant pleaded guilty to criminal sale of a controlled substance, on the understanding that he would receive a 1-to-3-year sentence that would be concurrent with an existing 20-years-to-life sentence for murder. The murder conviction was vacated, and the defen-

dant was acquitted of murder after a retrial. He then moved to withdraw his plea to the drug sale charge. We held that the motion should have been granted, saying: “[W]hen a guilty plea is induced by the court’s explicit promise that the defendant will receive a lesser sentence to run concurrently with a sentence in another case, and that conviction is overturned, the defendant may withdraw his plea and face the indictment, since the promise cannot be kept” (1 NY3d at 129).

This case differs from *Pichardo* only in that the preexisting sentence here was a year shorter than the one agreed to in the plea bargain; in *Pichardo*, where the preexisting sentence was longer, we observed that the agreement to concurrent sentencing amounted to an “understanding that, by virtue of the plea, there would be *no* additional prison time” (*id.* [emphasis added]). But the difference between no extra time and only a year’s extra time is not decisive. The critical question is whether the removal or reduction of the preexisting sentence nullified a benefit that was expressly promised and was a material inducement to the guilty plea. The basis for our decision in *Pichardo* was that “we cannot say that defendant would have . . . pleaded guilty to the [drug sale charge] had it not been for the . . . conviction for murder, of which he now stands acquitted” (*id.* at 130). So here, we cannot say defendant would have accepted the plea bargain in the murder case had it not been for his 2-to-4-year sentence in the stolen property case, now reduced to a year.

We acknowledge that this application of the *Pichardo* rule will present a practical problem. It imposes no small burden on the People to require them to prepare for another trial in a murder case that was resolved by a plea almost three years ago. In the future, however, such problems should not be hard to avoid—and, indeed, they could have been avoided here. The solution, as we said in *Pichardo*, is for the parties, at the time of the plea, “to spell out, on the record, the consequences that will follow upon the vacatur of the [previous] conviction” (*id.*).

Accordingly, the order of the Appellate Division should be reversed, defendant’s motion to vacate the judgment of conviction and sentence granted and the case remitted to County Court for further proceedings on the indictment.

GRAFFEO, J. (dissenting). I would affirm the order of the Appellate Division because this case is easily distinguished from *People v Pichardo* (1 NY3d 126 [2003]) and the record of these

proceedings disclosed that defendant had a different motivation for entering into a negotiated plea than that presumed by the majority in setting aside defendant's plea. The vacatur of the plea in *Pichardo* was predicated on two factors: that the guilty plea had been induced by the sentencing court's express promise that the defendant would receive a lesser sentence to run concurrently with the sentence from a previous conviction, and the parties had agreed that the defendant would not be required to serve any additional prison time as a result of the plea. Neither of these incentives are apparent in this case because defendant agreed to a concurrent sentence that was longer than the prison term he was already serving.

Here, contrary to the majority's view, there is ample record support for the conclusion that defendant would have accepted the plea offer even if he had not been previously convicted of criminal possession of stolen property. Defendant was facing a grand jury indictment that charged him with nine counts, including two counts of murder in the second degree (a class A-I felony), carrying a term of imprisonment of up to 25 years to life. After four days of trial testimony from 16 prosecution witnesses, the People offered defendant a plea to the class E felony of criminally negligent homicide and to the class D felony of criminal possession of a weapon in the third degree, with a recommended term of imprisonment of 4 to 8 years. The People's decision to offer a reduced plea may have been motivated by doubts about the strength of their case. Nevertheless, the fact remains that, at the time of the plea, defendant agreed to enter a plea of guilty because he "believe[d] that there may be sufficient evidence to convict [him] at a trial and [he did not] want to risk being found guilty after trial and receiving a more severe sentence." At no time during these proceedings did defendant indicate that the acceptance of the plea offer was induced by the fact that it would result in him serving one additional year of imprisonment.

An accused who is already serving jail time for a prior conviction may well consider the period of additional imprisonment tied to a plea offer when weighing the risks of proceeding to trial. That was the case in *Pichardo* where the defendant entered a negotiated plea to a drug charge only a week after he was convicted of murder in the second degree and sentenced to a prison term of 20 years to life. On those facts, it was arguable that Pichardo—who faced the real prospect of a life sentence—may have believed that his plea to the drug charge with a concurrent sentence of 1 to 3 years in prison was of little conse-

quence. But there is an undeniable and critical difference when a defendant is on trial and confronting a jury verdict. The exigency of a possible guilty verdict will overshadow most other concerns, particularly here, where defendant could have received a sentence of 25 years to life if found guilty.

Aside from the facts presented in this case, I have serious concerns regarding the application of the majority's rule in future cases. The majority concludes that the distinction between *Pichardo* and this case—no additional prison time versus one more year—is “not decisive” (majority op at 345). But how much additional time will make a difference? Should a defendant serving a sentence of 1 to 3 years for grand larceny in the fourth degree, who subsequently pleads guilty to robbery in the first degree in exchange for a concurrent sentence of 20 years in prison, and later obtains a vacatur of the grand larceny conviction be entitled to withdraw the robbery plea? The better standard to apply, in my view, is a rule that will produce consistent and fair results: when a guilty plea is induced by a court's promise that the defendant will receive a longer sentence to run concurrently with a sentence in another case, and that prior conviction is overturned, the defendant should not be allowed to withdraw the plea because the promise of a total term of aggregate imprisonment has been kept.

The majority suggests that these problems can be averted if a defendant explicitly waives the consequences of vacatur of a prior conviction as part of a negotiated plea agreement. But even absent such a waiver, I believe that under *Pichardo* a defendant should be entitled to have a subsequent guilty plea set aside only if the record clearly demonstrates that the defendant was motivated to enter that plea because the term of imprisonment was less than or equal to the prior concurrent sentence.

Chief Judge KAYE and Judges CIPARICK, READ and JONES concur with Judge SMITH; Judge GRAFFEO dissents and votes to affirm in a separate opinion in which Judge PIGOTT concurs.

Order reversed, defendant's motion, pursuant to CPL 440.10, to vacate the judgment of conviction and sentence granted and case remitted to County Court, Saratoga County, for further proceedings on the indictment.

[866 NE2d 1004, 834 NYS2d 676]

In the Matter of MARIE LACROIX, Respondent, v SYRACUSE EXECUTIVE AIR SERVICE, INC., et al., Appellants. WORKERS' COMPENSATION BOARD, Respondent.

Argued February 14, 2007; decided March 29, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 19, 2006. The Appellate Division affirmed a decision of the Workers' Compensation Board, which had directed claimant's schedule award to be paid in a lump sum.

Matter of LaCroix v Syracuse Exec. Air Serv. Inc., 25 AD3d 967, reversed.

HEADNOTE

Workers' Compensation — Award — Schedule Loss of Use Award — Lump-Sum Payment Not Permitted

Pursuant to Workers' Compensation Law § 25, compensation for loss of use of a body part due to permanent partial disability—known as a “schedule loss of use” award—must be made over time. The statute's directive that payments be made “periodically” precludes a policy of lump-sum payment of such awards. Section 25 explicitly requires periodic payment of compensation, even if such compensation is payable at a period other than biweekly or as wages customarily accrue, and it does not contemplate a policy of payment as one lump sum. The phrase “at any other period” in Workers' Compensation Law § 25 (1) (b) cannot be read to include a one-time payment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 379, 380, 382, 405–408, 627, 628.

McKINNEY'S, Workers' Compensation Law § 25.

NY JUR 2d, Workers' Compensation §§ 893, 895, 951.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation /p permanent /2 partial & lump-sum /p schedule*

POINTS OF COUNSEL

Susan B. Marris, Liverpool, *James S. Fiedler* and *Gregory J. Allen* for appellants. I. Workers' Compensation Law § 25 (1) (a), (b) mandate periodic payments of compensation. (*Matter of Lynch v Board of Educ. of City of N. Y.*, 1 AD2d 362, 3 NY2d 871; *Lauritzen v Terry & Tench Co.*, 193 App Div 809; *Matter of Linger v Anchor Motor Frgt.*, 124 AD2d 350; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of Marhoffer v Marhoffer*, 220 NY 543; *Matter of Wilkosz v Symington Gould Corp.*, 14 AD2d 408, 14 NY2d 739; *Wozneak v Buffalo Gas Co.*, 175 App Div 268; *Matter of Jensen v Southern Pac. Co.*, 215 NY 514, 244 US 205; *Iacone v Cardillo*, 208 F2d 696; *Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248.) II. Workers' Compensation Law § 25 (5) (b) provides that compensation is to be paid in a lump sum only when justice so requires; and only when the award is first commuted to its present value. (*Bell v Fraser*, 210 App Div 560; *Matter of Sayres v August Feine & Sons Co.*, 283 App Div 547; *Matter of Rolle v General Foods Corp., Birds Eye Div.*, 19 AD2d 188; *Matter of Reid v Arkansas Co., Inc.*, 233 App Div 451; *Matter of Snyder v Union Mills, Inc.*, 220 App Div 786; *Mandelblatt v Auswaks*, 207 App Div 73; *Wozneak v Buffalo Gas Co.*, 175 App Div 268.) III. In affirming a lump-sum payment of a schedule loss of use award, the Third Department violated canons of statutory construction. (*Matter of Smith v Certain Teed Prods. Corp.*, 85 AD2d 820; *Matter of M.B.*, 6 NY3d 437; *Matter of OnBank & Trust Co. [Hartnett]*, 90 NY2d 725; *Matter of Estate of Allen v Colgan*, 190 AD2d 939; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Dinelle v Workshop, Inc.*, 181 AD2d 969; *Matter of Freeland v Endicott Forging & Mfg. Co.*, 233 App Div 440; *Matter of Miller v North Syracuse Cent. School Dist.*, 1 AD3d 691; *Matter of Porter v D.A. Collins Constr.*, 28 AD3d 951; *Matter of Salvat v Union Carbide Linde Div.*, 135 AD2d 965.) IV. *Matter of Miller v North Syracuse Cent. School Dist.* (1 AD3d 691 [2003]) does not support payment of a schedule loss of use award in a lump sum. V. Public policy militates against paying a schedule loss of use award in a lump sum. (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Medress v Bond Clothes Co.*, 107 AD2d 71; *Matter of Riley v Syracuse Univ.*, 56 AD2d 163; *Matter of Healey v Carroll*, 282 App Div 969, 283 App Div 676; *Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248; *Matter of Lansberry v Carbide/Graphite Group, Inc.*, 28 AD3d 1031.)

Oot & Stratton, East Syracuse (*Michael P. Oot* of counsel), for

Marie LaCroix, respondent. I. Schedule awards under the Workers' Compensation Law are merely a method of calculating the benefits due to a claimant and are unrelated to and not allocable to any particular period of disability and lacking such allocation are logically and legally payable in full and at once. (*Matter of Lynch v Board of Educ. of City of N. Y.*, 1 AD2d 362, 3 NY2d 871; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of Miller v North Syracuse Cent. School Dist.*, 1 AD3d 691; *Matter of Fox v Crosbie-Brownlie, Inc.*, 284 AD2d 42.) II. The citations to the statute by the State Insurance Fund, contending that Workers' Compensation Law § 25 would bar the payments ordered to claimant by the Workers' Compensation Board, are inapposite. III. The decisions of the Workers' Compensation Board and the Appellate Division in this matter are entirely consistent with other sections of the Workers' Compensation Law. (*Matter of Soper v Gouverneur Talc Co.*, 243 AD2d 1001; *Matter of Freeland v Endicott Forging & Mfg. Co.*, 233 App Div 440; *Tolloid v Hopeman & Sons Co.*, 209 App Div 719, 240 NY 550; *Matter of Alber v Tobin*, 33 AD2d 607.)

Andrew Cuomo, Attorney General, Albany (Patrick Barnett-Mulligan, Caitlin J. Halligan and Daniel Smirlock of counsel), for Workers' Compensation Board, respondent. I. Because a schedule award is payment for a permanent partial disability, and does not reflect compensation for a particular period of lost wages, the Workers' Compensation Board may direct that the award be made in a single payment. (*Matter of Lynch v Board of Educ. of City of N. Y.*, 1 AD2d 362, 3 NY2d 871; *Matter of Ott v Green-Wood Cemetery*, 262 NY 532; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of Miller v North Syracuse Cent. School Dist.*, 1 AD3d 691; *Matter of Fox v Crosbie-Brownlie, Inc.*, 284 AD2d 42; *Matter of Briggs v Village of Hamilton*, 136 AD2d 442; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Wilkosz v Symington Gould Corp.*, 14 NY2d 739; *Matter of Salvat v Union Carbide Linde Div.*, 135 AD2d 965.) II. Payment of a Workers' Compensation Law § 15 schedule award in a single payment is consistent with the other provisions of the Workers' Compensation Law and with public policy. (*Matter of Hoffman v Chatham Elec. Light, Heat & Power Co.*, 249 NY 433; *Matter of Marhoffer v Marhoffer*, 220 NY 543; *Matter of Sokolowski v Bank of Am.*, 261 NY 57; *Matter of Gefers v New York Window Cleaning Co.*, 224 App Div 792; *Matter of Sienko v Bopp & Morgenstern*, 248 NY 40; *Matter of Ehrhardt v Eloge, Inc.*, 247 App Div 919; *Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248.)

OPINION OF THE COURT

Chief Judge KAYE.

The question before us is whether, as a matter of policy under the Workers' Compensation Law, compensation for loss of use of a body part due to permanent partial disability—known as a “schedule loss of use” award—is payable as a lump sum, or must be made over time. We conclude that the statute's directive that payments be made “periodically” precludes a policy of lump-sum payment of schedule loss of use awards.

In November 2002, claimant Marie LaCroix, a Delta baggage handler employed by Syracuse Executive Air Service, slipped and fell on an iced-over ramp while attempting to load a last-minute bag. As a result, she fractured her left wrist and tore her left rotator cuff, and later filed a claim for compensation with the Workers' Compensation Board. In a February 2003 determination, the Board found the injury to be work related, and claimant's average weekly wage to be \$415.83. While her claim was pending, she was awarded permanent partial disability payments for 72 weeks and three days, and temporary total disability payments for 24 weeks at \$277.22 per week, amounting to \$26,724.01.

On October 1, 2004, the Workers' Compensation Board held a hearing on Ms. LaCroix's claim for a schedule award for permanent partial disability. The parties stipulated to a 75% loss of use of claimant's left arm. Claimant's lawyer requested that “the entire schedule be paid, less, of course, prior payments, all at once rather than spreading it all out in the future as the old decisions used to do.” In an October 8, 2004 decision, the Board determined that Ms. LaCroix's 75% schedule loss of use entitled her to 234 weeks of benefits at \$277.22, or \$64,869.48, less payments already made, and directed the employer's insurance carrier “to pay schedule loss of use award in a lump sum.”

Upon review, a panel of the Board affirmed the lump-sum payment. It found that, although Workers' Compensation Law § 25 (1) (b) specified biweekly payments, it also provided that “the board may determine that any payments may be made monthly or at any other period, as it may deem advisable.” Quoting *Matter of Miller v North Syracuse Cent. School Dist.* (1 AD3d 691, 692 [3d Dept 2003]), the panel explained that “[w]hen an award is based on a finding of permanent disability, the benefit is intended to recompense a claimant for the loss of all of his or her earning capacity on a permanent basis—i.e.,

without respect to any particular time frame” (Mem of Board Panel Decision of Dec. 28, 2004 [citation omitted]). The panel acknowledged that the assignment of a number of weeks to a specific injury was used to calculate the amount of the compensation award, but pointed out that this number did not otherwise correspond to payment for loss of use, as “even if no time is lost, [the schedule loss of use] is payable in full.” Thus, it held that “the Board may direct payments of a schedule loss of use presently, in full, without regard to a set period of calendar weeks,” and that a lump-sum award did not require compliance with the commutation procedures of Workers’ Compensation Law § 25 (5) (b) as “there are no allocated future payments that could be subject to a commutation.”

The Appellate Division unanimously affirmed. It determined that the contentions of claimant’s employer were

“based upon two erroneous assumptions—namely, that a schedule award is allocable to a particular period of disability and, hence, constitutes compensation in lieu of wages, which must, in turn, be paid periodically, and, further, that the foregoing statutory provisions expressly require a schedule award to be paid out over a particular period of time” (25 AD3d 967, 968 [2006]).

Dismissing the employer’s arguments as to the Board’s past practice, the Appellate Division concluded that “regardless of whether the Board previously may have treated a schedule award as one to be paid out over time, we are satisfied that the case law, as it subsequently has evolved, coupled with the general powers granted to the Board” supported its decision to make such payments payable in one lump sum (*id.* at 969). We now reverse.

Analysis

Where the interpretation of a statute or its application involves “knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom,” we regularly defer to the agency responsible for its administration, unless that determination is irrational or unreasonable (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). The issue before us here, however, is primarily one of statutory interpretation for the courts. Indeed, the Board itself notes that its shift in policy rested on the Third Department’s opinion in *Miller*, signaling

“little basis to rely on any special competence or expertise of the administrative agency” (*id.* at 459).

Contrary to the Appellate Division, we conclude that the Board’s interpretation contravenes the plain language of Workers’ Compensation Law § 25.

Enacted in 1913 as the Workmen’s Compensation Law, the statute provides compensation for four different types of injury: permanent total disability, temporary total disability, permanent partial disability and temporary partial disability (Workers’ Compensation Law § 15 [1], [2], [3], [5]). In the case of permanent total disability, an employee is awarded payment of a percentage of wages during the continuance of the disability; the same is true for temporary total disability and temporary partial disability (*see* Workers’ Compensation Law § 15 [1], [2], [5]). Permanent partial disability, however, is called a schedule loss of use award because the statute assigns—as by a “schedule”—a fixed number of lost weeks’ compensation according to the bodily member injured (*see* Workers’ Compensation Law § 15 [3]).

While the general purpose of permanent and temporary disability awards pursuant to section 15 (1), (2) and (5) is to “compensat[e] for disability to work made on the basis of average weekly wages,” a schedule loss of use award is to “compensate for loss of earning power” (*Matter of Marhoffer v Marhoffer*, 220 NY 543, 546, 547 [1917]). Nevertheless, all compensation awards are intended to provide a “limited and certain, not full but uncertain” remedy regardless of the fault of the employer (*see id.* at 547), and to “continue the wage income as nearly uniform as the provisions of the law would permit” after the employee’s injury (*Matter of Lauritzen v Terry & Tench Co.*, 193 App Div 809, 810 [3d Dept 1920]).

Section 25 directs the method of payment of such compensation. Prior to 1921, section 25 provided that compensation be paid “periodically, in accordance with the method of payment of the wages of the employee at the time of his injury or death” (*see* L 1913, ch 816). In 1921, the Legislature amended this section to require that it be paid “periodically and *promptly in like manner as wages*” and on accrual that it be paid “directly to the person entitled thereto without waiting for an award” (*see* L 1921, ch 540, § 1 [emphasis added]). The additional language was intended to expedite the award process. Whereas injured workers previously were not entitled to *any* payment of an

award prior to a hearing, regardless of the employee's undisputed right to compensation, following the amendment most injured workers were receiving compensation within three weeks of injury (*see* Rep to Legislature of Joint Comm on Labor and Indus, Bill Jacket, L 1922, ch 615, at 5).

Section 25 (1) (b) provides that

“[t]he first payment of compensation shall become due on the fourteenth day of disability on which date or within four days thereafter all compensation then due shall be paid, and the compensation payable bi-weekly thereafter; but the board may determine that any payments may be made monthly or at *any other period*, as it may deem advisable” (emphasis added).

Section 25 (5) (b) further permits the Board, “whenever it shall so deem advisable,” to “commute such periodical payments to one or more lump sum payments to the injured employee . . . provided the same shall be in the interests of justice” (Workers’ Compensation Law § 25 [5] [b]). The purpose of this section was not to “destroy the general scheme of the statute establishing periodical payments . . . , [r]ather it was . . . to provide for particular and exceptional instances” where such a deviation would be desirable (annotation to Workmen’s Compensation Law § 25, Cons Laws of NY Ann of 1918). Periodic payments commuted pursuant to this section must, however, be reduced to present value (*see* Workers’ Compensation Law § 25 [5] [b]; § 27 [2]).

Reading these provisions harmoniously, we conclude that section 25 provides for payment of compensation at the time the injured worker would normally receive his or her wages and continued biweekly payments, unless the Board determines that payments should be made at different intervals, but it does not contemplate a policy of payment as one lump sum. “Period” plainly means a *division* or *portion* of time. “Periodic payment” means “[o]ne of a series of payments made over time instead of a one-time payment for the full amount” (Black’s Law Dictionary 1165 [8th ed 2004]). Section 25 explicitly requires periodic payment of compensation, even if such compensation is payable at a period other than biweekly or as wages customarily accrue (*see* Workers’ Compensation Law § 25 [1] [a], [b]), and we cannot read “at any other period” in Workers’ Compensation Law § 25 (1) (b) to include a one-time payment. Although other provisions of the Workers’ Compensation Law grant the Board

considerable discretion in determining “the time for the payment of compensation” (*see* Workers’ Compensation Law § 142 [1]), section 142 is limited by section 25 (1), which explicitly requires periodic payment.

As the statute limits commutation of such periodic payments to individual situations in which the Board determines that the interests of justice so require—and then only upon an actuarial reduction—the Board was without authority to direct the full-value lump-sum payment ordered here. Neither the general purpose of the Workers’ Compensation Law in ensuring uniform continuation of an injured worker’s income flow, nor the specific purpose of the Legislature in amending section 25 to prevent delay in commencement of payments, establishes an intent to permit payment of schedule loss of use awards to fall outside of the statute’s direct prescription.

Other provisions of the Workers’ Compensation Law, while ancillary to the issue presented here, support our reading of the statute. Section 15 (3) (u), for example, provides that two or more schedule loss of use awards for permanent partial disabilities “shall run consecutively”; section 15 (3) (v) states that an employee may be eligible for additional compensation for impairment of wage earning capacity “after the termination” of a permanent partial disability schedule award for a 50% or more loss of an arm, leg, hand or foot. Subdivision (4) provides for discontinuation of a schedule loss of use award upon the death of a claimant with no heirs (with the exception of reasonable funeral expenses) if claimant dies from causes unrelated to the compensable injury (Workers’ Compensation Law § 15 [4] [d]). The plain language of these provisions contemplates payment of an award over a period of time. Although literal application is possible, these provisions would be substantially compromised in meaning and effect—payments to run consecutively would simply be made back to back, options available after termination of an award would immediately accrue, and cancellation of benefits upon death would have even more limited application—were we to read section 25 as the Board did.¹

Nor are we compelled to interpret section 25 differently based on a sequence of cases that delineate the conceptual

1. These provisions apply equally to commutation of a periodic payment to a lump sum pursuant to section 25 (5). Lump-sum payments, however, would be the exception rather than the rule, and such considerations would presumably factor into an interests of justice analysis.

distinction between schedule loss of use and other compensation awards. In fact, we do not agree with claimant that the case law is at odds with our statutory analysis. In *Matter of Lynch v Board of Educ. of City of N. Y.* (1 AD2d 362 [1956], *affd* 3 NY2d 871 [1957]), the court considered whether section 25 permitted an employer to be reimbursed by its carrier for the full amount of weekly wages paid following injuries that caused claimant's total disability. It found that the statute permitted reimbursement from the nonschedule award for up to the statutorily prescribed weekly compensation rate, but no more. In distinguishing *Matter of Ott v Green-Wood Cemetery* (262 NY 532 [1933]), in which we held that a schedule loss of use award would permit such full reimbursement, the *Lynch* court noted that

“[i]n the case of a schedule award, the weekly rate and the number of weeks specified in the schedule are simply the measure by which the total amount of the award is to be determined. The payment is not analogous to the payment of weekly compensation for temporary disability. Liability for the schedule award comes into existence on the date of the accident. The payment of the schedule award is not allocable to any particular period of disability” (*Matter of Lynch*, 1 AD2d at 365).

Whereas the nonschedule award was limited to the specified weekly rate, the schedule award, untethered to a period of weekly compensation, was not so limited.

We considered a similar question in *Matter of Landgrebe v County of Westchester* (57 NY2d 1 [1982]). Asked to determine whether an employer who had paid full wages to an employee during a period of temporary disability was entitled to full reimbursement out of a later schedule award for a different (though consequential) injury, we held that the employer was entitled only to the amount of the maximum weekly total disability rate. As the award of weekly compensation for the previous nonschedule injury was not comparable to the schedule loss of use award for the subsequent injury, and each injury constituted a “distinct physical occurrence and impairment” (*id.* at 11), reimbursement for the former could not be made from the latter. We explained that—as opposed to a section 15 award for any other type of disability—a schedule award was “independent of the time an employee actually loses from work” even though computation of such award required multiplication of

the applicable weekly rate by “a statutorily prescribed number of weeks” (*id.* at 6).

More recently, in *Miller*, the court considered whether a schedule loss of use award overlapped with a temporary total disability award to violate the statutory maximum. Relying in part on *Lynch* and *Landgrebe*, the Appellate Division determined that no violation had occurred, as the losses each award was intended to reimburse were distinct—one to compensate for earning capacity, the other for temporary loss of wages during a specific period of time—and the schedule loss of use was not allocable to any particular time frame (*Miller*, 1 AD3d at 693).

The Board bases its decision on *Miller*. Assuming that *Miller* is correct, we do not agree that *Miller* or its predecessors dictate that result.² The conceptual framework for a schedule award as unallocable to a particular period of lost wages is separate and distinct from the award’s method of payment. Neither *Lynch*, nor *Landgrebe*, nor *Miller* addresses the method of payment of a schedule loss of use award, much less overrides a statutory payment mechanism that has been in place for close to a century.

We recognize that arguments have long been made on both sides of the issue. Some have said that lump-sum payments fail to account for recipients who spend their awards up front and then turn to state resources for support, putting the community “right back where it would have been if there had been no compensation system at all” (*see* 4 Larson’s Workers’ Compensation Law § 80.05 [5], at 80-28 [2006]). Others have reasoned that, as a schedule loss equates to a fixed award calculable upon injury, the state should not delay full payment over a period of years, effectively preventing a claimant from choosing how to invest these funds (*see* Gellhorn and Lauer, *Administration of the New York Workmen’s Compensation Law [Part II]*, 37 NYU L Rev 204, 229 [1962]). One thing is clear: any departure from the method of periodic payment of schedule loss of use awards specified in the Workers’ Compensation Law must come from the Legislature.

2. We distinguish *Matter of Charles A. Field Delivery Serv. (Roberts)* (66 NY2d 516 [1985]), in which we noted that an agency must provide an explanation for its departure from agency precedent adequate for a reviewing court to ascertain whether it has done so for valid reasons. Here, the Board provided no reasons of its own for its change in policy. *Field*, in any event, is inapposite, as this case concerns not a policy or precedent within the agency’s purview but the interpretation of a statute.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division, with directions to remand to the Workers' Compensation Board for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[866 NE2d 439, 834 NYS2d 494]

CHASKIE J. ROSENBERG, Appellant, v METLIFE, INC., et al.,
Respondents.

Argued February 13, 2007; decided March 29, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Are statements made by an employer on an NASD employee termination notice (‘Form U-5’) subject to an absolute or a qualified privilege in a suit for defamation?”

HEADNOTE

Libel and Slander — Privilege — National Association of Securities Dealers Employee Termination Notice — Absolute Privilege

Statements made by an employer on a National Association of Securities Dealers (NASD) employee termination notice (Form U-5) were subject to an absolute privilege in a defamation lawsuit. The privilege was warranted by the form’s compulsory nature, its role in the NASD’s quasi-judicial process and the protection of public interests. The NASD is a quasi-governmental entity with authority to enforce the requirements of the Securities Exchange Act of 1934 and is the primary regulator of the broker-dealer industry. Form U-5 is designed to alert the NASD to potential misconduct and, in turn, enable the NASD to investigate, sanction and deter misconduct by its registered representatives.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Libel and Slander §§ 255–257, 274.
NY JUR 2d, Defamation and Privacy §§ 110–112; NY JUR
2d, Investment Securities § 214.
PROSSER AND KEETON, TORTS (5th ed) § 114.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Libel and
Slander.

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Query: securities /3 dealer & privilege* & defam!

POINTS OF COUNSEL

Heller, Horowitz & Feit, P.C., New York City (*Maurice W. Heller, Jacob W. Heller, Allen M. Eisenberg and Evan R. Shusterman* of counsel), for appellant. I. According a qualified privilege to statements in the Form U-5 is consistent with New York law. (*Andrews v Gardiner*, 224 NY 440; *Toker v Pollak*, 44 NY2d 211; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Mihlovan v Grozavu*, 72 NY2d 506; *Shapiro v Health Ins. Plan of Greater N.Y.*, 7 NY2d 56; *Baravati v Josephthal, Lyon & Ross, Inc.*, 28 F3d 704; *Herzfeld & Stern v Beck*, 175 AD2d 689; *First Heritage Corp. v National Assn. of Sec. Dealers, Inc.*, 785 F Supp 1250; *F.N. Wolf & Co. v Bowles*, 160 Misc 2d 752; *Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59.) II. The overwhelming weight of authority favors qualified immunity. (*Fahnestock & Co., Inc. v Waltman*, 935 F2d 512; *Toker v Pollak*, 44 NY2d 211; *Acciardo v Millennium Sec. Corp.*, 83 F Supp 2d 413; *Dawson v New York Life Ins. Co.*, 135 F3d 1158; *Andrews v Prudential Sec., Inc.*, 160 F3d 304; *Glennon v Dean Witter Reynolds, Inc.*, 83 F3d 132; *Baravati v Josephthal, Lyon & Ross, Inc.*, 28 F3d 704; *Dickinson v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 431 F Supp 2d 247; *Prudential Sec., Inc. v Dalton*, 929 F Supp 1411.)

Proskauer Rose LLP, Newark, New Jersey (*Steven E. Obus, Steven Yarusinsky and Steven H. Holinstat* of counsel), for respondents. Statements required to be made on a Form U-5 are absolutely privileged against claims of defamation. (*Herzfeld & Stern v Beck*, 175 AD2d 689; *Toker v Pollak*, 44 NY2d 211; *Wiener v Weintraub*, 22 NY2d 330; *Hessel v Goldman, Sachs & Co.*, 281 AD2d 247; *Matter of Dunn v Ladenburg Thalmann & Co.*, 259 AD2d 544; *Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59, 6 NY3d 807; *Fahnestock & Co., Inc. v Waltman*, 935 F2d 512; *Matter of Spasiano [1717 Capital Mgt. Co.]*, 1 AD3d 902; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Andrews v Gardiner*, 224 NY 440.)

Schlam Stone & Dolan LLP, New York City (*David J. Katz* of counsel), for Matthew N. Murray, amicus curiae. Statements made by an employer on a National Association of Securities Dealers employee termination notice (Form U-5) should be subject to a qualified privilege in a suit for defamation.

Zamansky & Associates, LLC, New York City (*Jacob H. Zamansky and Edward H. Glenn, Jr.*, of counsel), for National Employment Lawyers Association/New York, amicus curiae. Statements in the Form U-5 should be accorded only a qualified

privilege. (*Acciardo v Millennium Sec. Corp.*, 83 F Supp 2d 413; *Baravati v Josephthal, Lyon & Ross, Inc.*, 28 F3d 704; *Herzfeld & Stern v Beck*, 175 AD2d 689; *Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59; *Toker v Pollak*, 44 NY2d 211; *Dawson v New York Life Ins. Co.*, 135 F3d 1158; *Glennon v Dean Witter Reynolds, Inc.*, 83 F3d 132.)

Orrick, Herrington & Sutcliffe LLP, New York City (*Michael Delikat* and *Robert S. Whitman* of counsel), for the Securities Industry and Financial Markets Association, amicus curiae. Statements on a Form U-5 should be absolutely privileged against defamation claims. (*Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59; *National Assn. of Sec. Dealers, Inc. v Securities & Exch. Commn.*, 431 F3d 803; *Boice v Unisys Corp.*, 50 F3d 1145; *Slotten v Hoffman*, 999 F2d 333; *Becker v Philco Corp.*, 372 F2d 771; *Gulati v Zuckerman*, 723 F Supp 353; *McManus v McCarthy*, 586 F Supp 302; *Blum v Campbell*, 355 F Supp 1220; *Westfall v Erwin*, 484 US 292; *Boice v Unisys Corp.*, 50 F3d 1145.)

Liddle & Robinson, L.L.P., New York City (*Jeffrey L. Liddle* and *Ethan A. Brecher* of counsel), amicus curiae. I. Brokerage firms misuse Forms U-5 to harm individual executives. (*Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59, 6 NY3d 807; *Herzfeld & Stern v Beck*, 175 AD2d 689, 79 NY2d 914; *Sawtelle v Waddell & Reed*, 304 AD2d 103; *Sawtelle v Waddell & Reed, Inc.*, 21 AD3d 820, 6 NY3d 750.) II. The law of New York fully supports a qualified privilege for defamatory communications on Forms U-5. (*Toker v Pollak*, 44 NY2d 211; *Baravati v Josephthal, Lyon & Ross, Inc.*, 28 F3d 704; *Dawson v New York Life Ins. Co.*, 135 F3d 1158; *Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59, 6 NY3d 807; *Herzfeld & Stern v Beck*, 175 AD2d 689, 79 NY2d 914; *Lieberman v Gelstein*, 80 NY2d 429; *Shapiro v Health Ins. Plan of Greater N.Y.*, 7 NY2d 56; *Purgess v Sharrock*, 33 F3d 134; *Horn v New York Times*, 100 NY2d 85; *Prudential Sec., Inc. v Dalton*, 929 F Supp 1411.) III. The National Association of Securities Dealers provides no adequate remedy for a defamed employee to clear his professional reputation. (*Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Den Norske Amerieikalinje Actiesselskabet v Sun Print. & Publ. Assn.*, 226 NY 1.)

OPINION OF THE COURT

GRAFFEO, J.

The United States Court of Appeals for the Second Circuit

has asked us whether statements made by an employer on a National Association of Securities Dealers (NASD) employee termination notice (Form U-5) are subject to an absolute or qualified privilege in a defamation lawsuit. For the reasons that follow, we conclude that such statements are protected by an absolute privilege.

In 1997, defendant MetLife, Inc. hired plaintiff Chaskie Rosenberg to work as a financial service representative in MetLife's All-Boro agency in Brooklyn. The All-Boro office primarily serviced the local Hasidic Jewish community and a majority of the agency's employees, including plaintiff, were Hasidic Jews. MetLife audited the All-Boro agency in 1999 because of the agency's acceptance of third-party checks for the payment of premiums for life insurance policies. According to MetLife, third-party payments can be indicative of speculative insurance practices¹ and possible money-laundering activities. After a subsequent audit in 2000, MetLife closed the All-Boro agency, concluding that such practices were continuing at the agency.² Plaintiff and other All-Boro agency representatives were transferred to another office. In April 2003, MetLife terminated plaintiff's employment following another audit.

Upon termination of a registered representative, the NASD requires member firms to complete and file with the NASD a Uniform Termination Notice for Securities Industry Registration (Form U-5) within 30 days of dismissal and to provide a copy of the form to the employee (*see* NASD By-Laws, art V, § 3 [a]). The employer must explain the reasons for termination on the Form U-5. In addition, the form contains a number of disclosure questions that address whether the employee had been subject to criminal charges, customer complaints or an internal review for violating investment-related rules. If any of these inquiries is answered in the affirmative, a corresponding disclosure reporting page directs the employer to explain the nature of these allegations.³

1. Speculative insurance involves the purchase of a policy on the life of an insured as a form of investment by a third party with no insurable interest.

2. According to plaintiff, a number of the agency's policyholders relied on a Gemach, a Jewish free loan society, to help them meet their premium payments, resulting in the use of third-party checks to make premium payments.

3. The NASD stores the Form U-5 on its Central Registration Depository (CRD), an on-line registration and licensing database used by regulators throughout the securities industry to register, license and regulate securities firms and their brokers. Through one component of the CRD called "Broker-

(n. cont'd)

Consistent with these requirements, MetLife prepared a Form U-5 after plaintiff's dismissal and filed it with the NASD in May 2003. The form stated the following reason for plaintiff's termination: "AN INTERNAL REVIEW DISCLOSED MR[.] ROSENBERG APPEARED TO HAVE VIOLATED COMPANY POLICIES AND PROCEDURES INVOLVING SPECULATIVE INSURANCE SALES AND POSSIBLE ACCESSORY TO MONEY LAUNDERING VIOLATIONS." MetLife also indicated that plaintiff had been under an internal review for violating investor-related rules in response to the relevant disclosure question. On the disclosure reporting page, MetLife restated this reason for termination.⁴

Check," the NASD allows investors to obtain certain information about individual brokers and registered securities firms. General information, such as a broker's current employer and 10 years of employment history, is available online to the public. Upon specific request, the NASD will release "disclosure information"—information pertaining to criminal actions, civil actions, customer complaints and securities-related terminations for cause—via mail or e-mail within two days of the request. The NASD gathers such disclosure information from the information provided by the individual broker on the Form U-4 (the Uniform Application for Securities Industry Registration or Transfer), not from a former employer's Form U-5 (*see* NASD Interpretive Material [IM] 8310-2). A Form U-4 must be completed when a broker initially seeks to register with the NASD or when a terminated broker reregisters upon obtaining employment with a new securities firm.

Certain information found on a terminated employee's Form U-5 can appear on BrokerCheck indirectly through the employee's responses to questions on the Form U-4. For example, question 14J of the Form U-4 requires a broker to state whether he or she has been discharged after allegations were made accusing the broker of "violating investment-related statutes, regulations, rules, or industry standards." The Form U-4 also contains a disclosure reporting page that corresponds to question 14J. The disclosure reporting page directs the broker to detail the allegations made by the prior employer (on the Form U-5) and allows the broker to rebut or comment on the termination. The Form U-4 statements, in turn, are subject to disclosure to investors through BrokerCheck. The NASD further provides a procedure for brokers to seek expungement of defamatory statements contained in the CRD.

4. In October 2003, plaintiff filed a Form U-4 with the NASD upon obtaining new employment. In response to question 14J, plaintiff indicated that he previously had been discharged after having been accused of violating investment-related laws. On the related disclosure reporting page, plaintiff repeated verbatim the statement MetLife made on its Form U-5. In response to the allegation, plaintiff wrote:

"I WAS TERMINATED ON ACCOUNT OF CERTAIN ALLEGED VIOLATIONS OF METLIFE POLICY REGARDING THIRD PARTY CHECKS, THIRD PARTY PAYORS AND CHARITABLE GIFTS. EACH OF THESE CHARGES WHICH METLIFE HAS CLAIMED LED TO MY TERMINATION IS COMPLETELY UNTRUE, WHICH MY ATTORNEYS HAVE

(*n. cont'd*)

Plaintiff commenced this action in federal court seeking damages for employment discrimination, fraudulent misrepresentation, breach of contract and libel against defendants MetLife, Inc., Metropolitan Life Insurance Company and MetLife Securities, Inc. (collectively, MetLife). Plaintiff alleged that MetLife terminated his employment because he is a Hasidic Jew. With respect to his libel claim, plaintiff asserted that MetLife's statements on the Form U-5 were defamatory and made with malicious intent. After discovery, MetLife moved for summary judgment dismissing the complaint in its entirety.

The United States District Court for the Southern District of New York denied MetLife's motion as to plaintiff's discrimination claims and a breach of contract cause of action, but granted the motion dismissing plaintiff's fraudulent misrepresentation and libel claims. The court held that, under New York law, MetLife's statements on the Form U-5 were absolutely privileged. Following a trial on the remaining issues, the court dismissed plaintiff's contract claim and the jury found MetLife not liable on the discrimination claims.

On appeal, plaintiff contended that the District Court erroneously dismissed his libel claim on the basis that Form U-5 statements are absolutely privileged under New York law. The Second Circuit concluded that plaintiff presented an unsettled issue of New York law and certified a question to this Court: "Are statements made by an employer on an NASD employee termination notice ('Form U-5') subject to an absolute or a qualified privilege in a suit for defamation?" (453 F3d 122, 128 [2006].)

Plaintiff argues that a qualified, but not absolute, privilege attaches to statements made on a Form U-5. He submits that the filing of a Form U-5 is too remote from the NASD's quasi-judicial functions to warrant the application of an absolute privilege and asserts that one of the purposes of the form is to provide member firms with background information about a prospective employee. MetLife counters that an absolute privilege should apply because the filing of a Form U-5 with the NASD is a preliminary step in a quasi-judicial process and because such a privilege best serves the public interest in encouraging full and truthful disclosure.

CATEGORICALLY DEMONSTRATED TO METLIFE FOLLOWING MY TERMINATION. IN FACT, I HAVE STRONG REASON TO BELIEVE THAT I WAS TERMINATED SOLELY ON ACCOUNT OF THE FACT THAT I AM A HASSIDIC JEW."

These statements apparently became available to the investing public upon request, through BrokerCheck, in October 2003.

It is well settled that “[p]ublic policy mandates that certain communications, although defamatory, cannot serve as the basis for the imposition of liability in a defamation action” (*Toker v Pollak*, 44 NY2d 211, 218 [1978]). “When compelling public policy requires that the speaker be immune from suit, the law affords an absolute privilege, while statements fostering a lesser public interest are only [qualifiedly] privileged” (*Lieberman v Gelstein*, 80 NY2d 429, 437 [1992]).

Communications that are protected by a qualified privilege are not actionable unless a plaintiff can demonstrate that the declarant made the statement with malice. Malice in this context has been interpreted to mean spite or a knowing or reckless disregard of a statement’s falsity (*see id.* at 437-438). Generally, a statement is subject to a qualified privilege when “it is fairly made by a person in the discharge of some public or private duty, legal or moral, or in the conduct of his own affairs, in a matter where his interest is concerned” (*Toker*, 44 NY2d at 219 [internal quotation marks and citation omitted]).

In contrast, an absolute privilege immunizes a communicant from liability in a defamation action. The absolute privilege generally is reserved for communications made by individuals participating in a public function, such as executive, legislative, judicial or quasi-judicial proceedings. This protection is designed to ensure that such persons’ “own personal interests—especially fear of a civil action, whether successful or otherwise—do not have an adverse impact upon the discharge of their public function” (*id.*; *see also Park Knoll Assoc. v Schmidt*, 59 NY2d 205, 209 [1983] [participants are granted immunity “for the benefit of the public, to promote the administration of justice, and only incidentally for the protection of the participants”]).

Although statements made during the course of a judicial or quasi-judicial proceeding are clearly protected by an absolute privilege “as long as such statements are material and pertinent to the questions involved,” we have indicated that the absolute privilege can extend to preliminary or investigative stages of the process, particularly where compelling public interests are at stake (*Wiener v Weintraub*, 22 NY2d 330, 331 [1968] [internal quotation marks and citations omitted]; *see also Julien J. Studley, Inc. v Lefrak*, 50 AD2d 162, 165 [2d Dept 1975], *affd insofar as appealed* 41 NY2d 881 [1977]). In *Wiener*, we held that a complaint letter accusing an attorney of misconduct that had been sent to the grievance committee of a bar association was absolutely privileged. We observed that the grievance committee

functions as a quasi-judicial body through its investigation of complaints and administration of disciplinary proceedings. We also emphasized the strong policy reasons warranting the extension of an absolute privilege to such complaints:

“Assuredly, it is in the public interest to encourage those who have knowledge of dishonest or unethical conduct on the part of lawyers to impart that knowledge to a Grievance Committee or some other designated body for investigation. If a complainant were to be subject to a libel action by the accused attorney, the effect in many instances might well be to deter the filing of legitimate charges. We may assume that on occasion false and malicious complaints will be made. But, whatever the hardship on a particular attorney, the necessity of maintaining the high standards of our bar—indeed, the proper administration of justice—requires that there be a forum in which clients or other persons, unlearned in the law, may state their complaints, have them examined and, if necessary, judicially determined” (*Wiener*, 22 NY2d at 332).

A comparable public purpose is served by the NASD’s regulatory regime for the securities industry. The NASD is the largest self-regulatory organization (SRO) subject to US Securities and Exchange Commission (SEC) oversight, and is the only “national securities association” registered under section 15A of the Securities Exchange Act of 1934 (Exchange Act) (*see* 15 USC § 78o-3).⁵ As a securities association, the NASD is a quasi-governmental entity that has been delegated authority to enforce the requirements of the Exchange Act and is the primary regulator of the broker-dealer industry. In accordance with section 15A of the Exchange Act, the NASD has promulgated rules designed to prevent fraudulent practices and protect the investing public (*see* 15 USC § 78o-3 [b] [6]). Although the SEC has the power to regulate the NASD’s members, “as a practical matter the bulk of the day-to-day regulation is generally delegated to the [NASD]” (4 Hazen, Securities Regulation

5. The NASD currently oversees the activities of over 5,000 brokerage firms and more than 660,000 registered securities representatives (*see* About NASD <<http://www.nasd.com/AboutNASD/index.htm>> [last updated Mar. 5, 2007]). Other SROs, such as the New York Stock Exchange and the American Stock Exchange, are registered as national securities exchanges under section 6 of the Exchange Act (*see* 15 USC § 78f).

§ 14.3 [3], at 127 [5th ed]). Indeed, SROs, like the NASD, have been described as “stand[ing] in the shoes of the SEC because they perform regulatory functions that would otherwise be performed by the SEC” (*DL Capital Group, LLC v Nasdaq Stock Mkt., Inc.*, 409 F3d 93, 95 [2d Cir 2005] [internal quotation marks and citation omitted]).

One of the NASD’s central responsibilities involves the investigation and adjudication of suspected violations of the SEC’s laws and regulations as well as the NASD’s own rules (*see* 15 USC § 78o-3 [b] [7], [8]). During the investigative stage of this quasi-judicial process, the NASD has the power to inspect and copy any books, records or accounts related to the investigation and may require individuals to testify under oath or provide information in writing (*see* NASD rule 8210).⁶ Disciplinary proceedings against registered representatives for securities violations may take place before a NASD hearing panel (*see* NASD rules 9213, 9221). Sanctions for violations include censures, fines, suspensions and expulsions (*see* NASD rule 8310). NASD disciplinary determinations are subject to SEC and judicial review (*see* 15 USC § 78s [d], [e]; § 78y [a] [1]).

The Form U-5 plays a significant role in the NASD’s self-regulatory process. Filing is mandatory within 30 days of termination of the registered representative and firms are subject to penalties should they fail to comply. Upon receipt of the Form U-5, the NASD routinely investigates terminations for cause to determine whether the representative violated any securities rules. The form “is often the first indication that the NASD receives regarding possible misconduct by members of the securities industry, and investigations of misconduct reported on the Form U-5 frequently lead to the initiation of disciplinary action by the NASD” (Wright, *Form U-5 Defamation*, 52 Wash & Lee L Rev 1299, 1304 [1995]). As such, the compulsory Form U-5 can be viewed as a preliminary or first step in the NASD’s quasi-judicial process. It is also designed to aid prospective member employers in researching the backgrounds of potential employees. To that end, the NASD requires a member firm to review an applicant’s most recent Form U-5 during the hiring process (*see* NASD rule 3010 [e]).

The public interests implicated by the filing of Forms U-5 are significant. The form is designed to alert the NASD to potential

6. Members who refuse to comply with the NASD’s requests are subject to suspension (*see* NASD rule 9552).

misconduct and, in turn, enable the NASD to investigate, sanction and deter misconduct by its registered representatives. The NASD's actions ultimately inure to the benefit of the general investing public, which faces the potential for substantial harm if exposed to unethical brokers. Accurate and forthright responses on the Form U-5 are critical to achieving these objectives.

The Form U-5's compulsory nature and its role in the NASD's quasi-judicial process, together with the protection of public interests, lead us to conclude that statements made by an employer on the form should be subject to an absolute privilege. Analogously, close to 40 years ago in *Wiener* we determined that complaints involving attorneys should be accorded an absolute privilege because of "the necessity of maintaining the high standards of our bar" (*Wiener*, 22 NY2d at 332). The regulation of registered brokers in the securities industry is of no less importance.⁷ We further note that registered employees who are maliciously defamed on a Form U-5 are not wholly without remedy as they may commence an arbitration proceeding or court action to expunge any alleged defamatory language.

Accordingly, the certified question should be answered as follows: Statements made by an employer on a NASD employee termination notice are subject to an absolute privilege in a suit for defamation.

PIGOTT, J. (dissenting). I respectfully dissent because I disagree with the majority's holding that statements made by an employer on a Form U-5 are part of a quasi-judicial process and that the public interest is best served by affording the statements an absolute privilege. Rather, I would answer the certified question by stating that such statements are protected by a qualified privilege.

As a matter of public policy, an absolute privilege has been afforded in very few situations (*see Park Knoll Assoc. v Schmidt*, 59 NY2d 205 [1983]; *see also Clark v McGee*, 49 NY2d 613 [1980]). These situations have historically involved individuals participating in a public function, including judicial, legislative,

7. We acknowledge that, unlike the complaint letter in *Wiener*—which was subject to the confidentiality requirements of Judiciary Law § 90 (10)—statements made on a Form U-5 are reviewed by prospective employers, and may indirectly become available to the investing public via the NASD's Broker-Check program. But we do not read the confidentiality aspect as dispositive in *Wiener* and we believe an absolute privilege better serves the substantial public interests promoted by the NASD regulatory scheme.

or executive proceedings (see *Toker v Pollak*, 44 NY2d 211 [1978]). For example, in *Wiener v Weintraub* (22 NY2d 330 [1968]), we extended an absolute privilege to individuals who filed complaints to the Grievance Committee of the Association of the Bar of the City of New York. In affording such a privilege, we noted that complaints alleging professional misconduct by an attorney had once been presented to Supreme Court, but were now filed with the Grievance Committee of a bar association. By investigating such complaints and conducting disciplinary hearings, the bar association's Grievance Committee acted as a quasi-judicial body and "an arm of the Appellate Division" (*id.* at 332).

Unlike the complaints in *Wiener*, statements made on a Form U-5 are not intended to be part of any court proceeding nor are they presented to a committee having attributes similar to a court. Rather, they are filed by an employer for the primary purpose of notifying the National Association of Securities Dealers' (NASD) Central Registration Depository system of a change in an employee's registration status.¹ While the information on a Form U-5 could possibly trigger an investigation or even serve as evidence in a later disciplinary proceeding,² the vast majority of the Forms, being merely informational, do not result in action on the part of any regulatory agency. There is no requirement that the NASD or the New York Stock Exchange (NYSE) take disciplinary action with respect to the information contained on a Form U-5. Indeed, in this case, there was no action taken by any agency that would provide Mr. Rosenberg with an opportunity to challenge the statements made on his Form U-5.³ Thus, the majority's holding provides an absolute

1. The filing of a Form U-5 is unlike a complaint issued pursuant to the NASD Code of Procedure (rule 9000 series), which governs proceedings for disciplining a member or person associated with a member (see NASD rule 9211 [a]). A "disciplinary proceeding shall begin when the complaint is served and filed" (see rule 9211 [b]).

2. As the majority points out, one of the responsibilities of the NASD is to investigate and adjudicate suspected violations of the Securities and Exchange Commission's (SEC) laws and the NASD's rules. Although this function could fairly be described as quasi-judicial, the NASD has only a limited immunity from defamation in the context of reporting its findings (see 15 USC §§ 78o-3, 78iii [b] [no liability if reporting made in "good faith"]).

3. The fact that Mr. Rosenberg could have commenced an arbitration proceeding or a court action to expunge the alleged defamatory language, as noted by the majority, is only further proof that the Form U-5 is not part of any quasi-judicial process. If the Form U-5 were part of a quasi-judicial process, then an expungement action would be entirely unnecessary. Indeed,

(n. cont'd)

privilege to statements made on a Form U-5 where no judicial or even “quasi-judicial” proceeding is even contemplated. The submission of the Form simply does not represent a preliminary or investigative stage in any quasi-judicial process.

Nor does public policy require that statements made by employers on a Form U-5 be free from liability in a defamation action. When a defamatory statement is made on such a Form, there is the danger of substantial harm to the individual about whom the statement is made. Unlike statements made in a complaint to a grievance committee that are confidential,⁴ the Form U-5 is widely disseminated. Indeed, potential employers in the securities industry are required to review an individual’s Form U-5 during the hiring process (*see* NASD rule 3010 [e]). As a consequence, defamatory Form U-5 reporting can unfairly penalize a departing employee and prevent that employee from obtaining new employment or retaining existing customers. “[I]t is widely acknowledged that false Form U-5 reporting has sometimes been used to retaliate against departing employees or threatened to gain concessions from such employees” (Wright, *Form U-5 Defamation*, 52 Wash & Lee L Rev 1299, 1302 [1995]; *see Baravati v Josephthal, Lyon & Ross, Inc.*, 28 F3d 704, 708 [7th Cir 1994] [“To insulate the (NASD) members from liability for the contents of their U-5s would be tantamount to allowing a member of the NASD to blackball a former employee from employment throughout the large sector of the industry that the membership of the association constitutes”]). Because of the serious personal and financial interests of the employee at stake, member firms should not be completely immune from all liability for defamatory Form U-5 statements.

The majority focuses on the fact that accurate and forthright responses on the Form U-5 are critical to the financial industry. However, it should be remembered that not only is truth a complete defense to a defamation claim (*see Brian v Richardson*, 87 NY2d 46 [1995]), but a qualified privilege offers strong protection as well. To overcome a qualified privilege, the employee would have the burden of showing that a statement is actionable because it was motivated by malice (*see Toker*, 44

a costly expungement action is often the only means by which an employee may challenge defamatory statements made on a Form U-5.

4. In *Wiener*, we noted that any risk of prejudice for statements made in a complaint to a grievance committee was completely “eliminated” because such complaints are deemed “private and confidential” (*see Wiener*, 22 NY2d at 331, quoting Judiciary Law § 90 [10]).

NY2d at 219; *Lieberman v Gelstein*, 80 NY2d 429 [1992])). Therefore, truthful and accurate statements on a Form U-5 would not give rise to defamation liability concerns.

Finally, affording statements made on a Form U-5 a qualified, rather than absolute, privilege would provide New York employees in the securities industry the same protections and rights afforded to brokers in other states and create a uniform standard to be applied (*see e.g. Dawson v New York Life Ins. Co.*, 135 F3d 1158 [7th Cir 1998] [applying Illinois law]; *Glennon v Dean Witter Reynolds, Inc.*, 83 F3d 132 [6th Cir 1996] [applying Tennessee law]; *Eaton Vance Distribs., Inc. v Ulrich*, 692 So 2d 915 [Fla Dist Ct App 1997]).

Because the Form U-5 is not a part of any judicial process, and given the serious potential damage to an employee's reputation and business prospects, any communication associated with the Form is amply protected by a qualified rather than an absolute privilege.

Judges CIPARICK, READ and JONES concur with Judge GRAFFEO; Judge PIGOTT dissents and votes to answer the certified question by stating that such statements are protected by a qualified privilege, in a separate opinion in which Judge SMITH concurs; Chief Judge KAYE taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered as follows: Statements made by an employer on a NASD employee termination notice are subject to an absolute privilege in a suit for defamation.

[865 NE2d 1228, 834 NYS2d 62]

328 OWNERS CORP., Appellant, v 330 WEST 86 OAKS CORP. et al.,
Respondents, and CITY OF NEW YORK, Appellant.

Argued February 13, 2007; decided April 3, 2007

SUMMARY

APPEALS from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 17, 2006. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, so much of an amended order and judgment (one paper) of the Supreme Court, New York County (Barbara R. Kapnick, J.; op 6 Misc 3d 1027[A], 2004 NY Slip Op 51828[U]), as had granted motions for summary judgment by plaintiff and defendant City of New York and declared that the property located at 330 West 86th Street may not be used other than for rehabilitation or conservation of the existing building, or construction of one to four unit dwellings without any change in land use, that defendant 330 West 86th Street, LLC, its successor and assigns were enjoined from using the property for any other purpose, and that these restrictions ran with the land, and denied defendant 330 West 86th Street, LLC's motion for summary judgment against plaintiff and defendant City of New York; (2) granted defendant 330 West 86th Street, LLC's motion for summary judgment; (3) denied motions for summary judgment by plaintiff and defendant City; and (4) declared that the property may be used for purposes other than the rehabilitation or conservation of the existing building thereon, or the construction of one to four unit dwellings without any change in land use.

328 Owners Corp. v 330 W. 86 Oaks Corp., 34 AD3d 108, reversed.

HEADNOTE

**Deeds — Restrictive Covenants — Covenant Running with Land —
Sale of Property under Urban Development Action Area Act —
Enforcement of Land Use Restrictions against Successor Grantee**

The subsequent owner of a five-story multiple dwelling who sought to demolish the premises and construct a high-rise apartment building was subject to restrictions contained in the deed and associated documents executed between the previous private owner and the City of New York when the premises were originally sold pursuant to the Urban Development Action Area Act (UDAAA) (General Municipal Law art 16). Accordingly, the property could not be used other than for rehabilitation or conservation of the existing buildings, or

construction of one- to four-unit dwellings without any change in land use. Land use restrictions contained in the UDAAA and referenced in the recitals of the deed ran with the land and were enforceable against a successor grantee. The deed's habendum clause clearly indicated that any covenants discernible from the deed in its entirety would "run with the land" and "inure to the benefit of the City." The deed complied with all requisites to be enforceable against successors in interest, namely that the parties' intent to restrict the use of the property was clear, that the covenant touched and concerned the land and that privity of estate was present as there was a direct chain of title running from the City to the owner's grantor and then to the owner.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Covenants, Conditions, and Restrictions §§ 148–151; 164, 221, 241, 242.

McKINNEY'S, General Municipal Law art 16.

NY JUR 2d, Deeds §§ 100, 103, 106, 112–114, 154, 155, 160.

NEW YORK REAL PROPERTY SERVICE §§ 21:10, 21:13, 21:29.

ANNOTATION REFERENCE

See ALR Index under Covenants.

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Query: land /2 use /2 restriction /s deed & privity

POINTS OF COUNSEL

Herrick, Feinstein LLP, New York City (*Scott E. Mollen, Patricia M. Graham* and *John P. Sheridan* of counsel), for 328 Owners Corp., appellant. I. Plaintiff, as an adjoining property owner, has standing to prosecute this action. (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Lee v New York City Dept. of Hous. Preserv. & Dev.*, 212 AD2d 453; *Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead*, 69 NY2d 406; *Nature Conservancy v Congel*, 253 AD2d 248.) II. The Appellate Division erred in failing to uphold the deed's restrictions on the use of the property. (*Post v Weil*, 115 NY 361; *Suffolk Bus. Ctr. v Applied Digital Data Sys.*, 78 NY2d 383; *Munro v Syracuse, Lake Shore & N. R.R. Co.*, 200 NY 224; *McGrane v Wiener*, 268 App Div 789; *Jennings Beach Assn. v Kaiser*, 145 AD2d 607; *Booth v Knipe*, 225 NY 390; *Matter of Board of Commrs. of Washington Park of City of Albany*, 52 NY 131; *Johnson v Shelter Is. Grove & Camp Meeting Assn.*, 122 NY 330; *Hoppough v Struble*, 60 NY 430; *New York &*

Brooklyn Suburban Inv. Co. of N.Y. v Leeds, 100 Misc 2d 1079.) III. The court below erred in failing to hold that the statutory and project summary use restrictions applied to the developer. (*Arroyo v Rosenbluth*, 115 Misc 2d 655; *Rubel Bros., Inc. v Dumont Coal & Ice Co., Inc.*, 200 App Div 135; *Hodge v Sloan*, 107 NY 244; *Neponsit Prop. Owners' Assn. v Emigrant Indus. Sav. Bank*, 278 NY 248; *City of New York v Delafield 246 Corp.*, 236 AD2d 11; *Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead*, 69 NY2d 406.)

Michael A. Cardozo, Corporation Counsel, New York City (Tahirih M. Sadrieh, Edward F.X. Hart and Warren Shaw of counsel), for City of New York, appellant. I. The deed limits the use of the subject property to conservation. (*Jennings Beach Assn. v Kaiser*, 145 AD2d 607; *Rydberg v Jennings Beach Assn.*, 69 AD2d 816; *Malley v Hanna*, 65 NY2d 289; *Booth v Knipe*, 225 NY 390; *McGrane v Wiener*, 268 App Div 789; *Suffolk Bus. Ctr. v Applied Digital Data Sys.*, 78 NY2d 383; *Medical Coll. Lab. v New York Univ.*, 178 NY 153; *Phoenix Ins. Co. v Continental Ins. Co.*, 87 NY 400; *Bannin v Peck*, 266 App Div 209, 291 NY 717; *Trump Vil. Section 3 v New York State Hous. Fin. Agency*, 292 AD2d 156, 98 NY2d 671.) II. If the deed is interpreted as not requiring compliance with the project, then it is invalid. (*Lipton v Bruce*, 1 NY2d 631; *Morrison v Piper*, 77 NY2d 165; *Granada Bldgs. v City of Kingston*, 58 NY2d 705; *Henry Modell & Co. v City of New York*, 159 AD2d 354; *D'Angelo v Cole*, 67 NY2d 65; *Matter of Signacon Controls v Mulroy*, 32 NY2d 410; *Matter of Ross v Wilson*, 308 NY 605; *Cameron Estates, Inc. v Deering*, 308 NY 24; *Town of Brookhaven v Aronauer*, 65 AD2d 570; *Gladsky v City of Glen Cove*, 164 AD2d 567.) III. The provisions of the Urban Development Action Area Act must be construed into the deed. (*Matter of Lade v Abbott*, 185 Misc 501.) IV. The restrictive covenant meets the requirements of a covenant running with the land. (*Neponsit Prop. Owners' Assn. v Emigrant Indus. Sav. Bank*, 278 NY 248; *Chambers v Old Stone Hill Rd. Assoc.*, 1 NY3d 424; *Malley v Hanna*, 65 NY2d 289; *Booth v Knipe*, 225 NY 390; *City of New York v Delafield 246 Corp.*, 236 AD2d 11.) V. The covenant is effective against the new owner as a party taking with notice. (*Witter v Taggart*, 78 NY2d 234; *Buffalo Academy of Sacred Heart v Boehm Bros.*, 267 NY 242; *Hodge v Sloan*, 107 NY 244; *Farrell v Sitaras*, 22 AD3d 518; *Webster v Ragona*, 7 AD3d 850; *487 Elmwood v Hassett*, 83 AD2d 409.)

Edward B. Safran, New York City, for 330 West 86th Street,

LLC, respondent. I. The Urban Development Action Area Act does not condition a conveyance on a permanent land use restriction; accordingly no such restriction should be read into a deed conveying property pursuant to the procedural requirements of the act where the deed contains no express restrictive covenant. (*D'Angelo v Cole*, 67 NY2d 65; *Sega v State of New York*, 60 NY2d 183; *Alweis v Evans*, 69 NY2d 199; *Margulis v Lindsay*, 31 NY2d 167.) II. The deed contains no restrictive covenant limiting the manner in which the property may be used; no such covenant may be implied, nor may the deed be reformed to include such a covenant. (*Jennings Beach Assn. v Kaiser*, 145 AD2d 607; *Post v Weil*, 115 NY 361; *67 Wall St. Co. v Franklin Natl. Bank*, 37 NY2d 245; *Adler v Simpson*, 203 AD2d 691; *Matter of Hamilton St.*, 144 App Div 702; *Grafton v Moir*, 130 NY 465; *Val-Kill Co., Inc. v Cities Serv. Oil. Co.*, 278 App Div 164; *West, Weir & Bartel v Mary Carter Paint Co.*, 25 NY2d 535; *Huggins v Castle Estates*, 36 NY2d 427; *Bear Mtn. Books v Woodbury Common Partners*, 232 AD2d 595, 90 NY2d 808.)

OPINION OF THE COURT

CIPARICK, J.

The issue in this case is whether land use restrictions as set forth in article 16 of the General Municipal Law and referenced in the recitals of a deed to real property can be enforced against a successor grantee. We hold that under the circumstances presented here, they can.

The subject property, located at 330 West 86th Street in Manhattan, came into municipal ownership through an in rem tax foreclosure proceeding. The property consists of a five-story townhouse, constructed around 1900, which serves as an eight-unit multiple dwelling. The building, upon entering the City's inventory, had many municipal code violations and "was in deteriorated condition and in need of rehabilitation." The City, through the Asset Sales Program of the Department of Housing Preservation and Development (HPD),¹ determined that the status of the building "tended to impair or arrest the sound growth and development of the municipality" and that its

1. HPD's Asset Sales Program is part of its Division of Alternative Management Programs (DAMP). The Asset Sales Program is charged, in part, to help meet HPD's goal of "returning the City's housing stock to private tax-paying ownership, while maintaining it as affordable housing" (Rules of City of NY Dept of Hous Preserv and Dev [28 RCNY] § 21-22 [a]). Buildings that are marketable "as is" are placed in the Asset Sales Program while buildings that need city funding are placed in one of the other DAMP programs.

otherwise marketable condition rendered it ripe for disposition as an Urban Development Action Area Project (UDAAP) as governed by the Urban Development Action Area Act (UDAAA), article 16 of the General Municipal Law.

When HPD seeks to sell one of its properties under this program, it offers the occupant tenants the right of first refusal to purchase the property at an appraised value, as it did here. This is contingent on the tenants agreeing to remove all city code violations and hazardous conditions, and maintaining the existing tenants' rent at its current amount for two years. If the tenants are unwilling or unable to purchase the property, HPD places the property on the open market, generally selling the premises to the highest bidder.

The subject property was appraised at \$340,000 based on the capitalization of its income. Thus, HPD sent letters to each of the building's tenants giving them an option, through June 30, 1998, to submit an offer to purchase the premises. The letters informed the tenants that negotiation of the sale was subject to various other conditions, including that the prospective purchasers could not have previously owned the building and that "[t]he sale of the Building is subject to approval by the City Council and the Mayor, and to all other applicable requirements of law."² On June 29, 1998, the tenants submitted a letter to HPD offering to purchase the premises, complete with supporting documentation indicating that they were able to meet HPD's additional requirements. By correspondence dated December 28, 1998, HPD notified the tenants that it was prepared to enter into negotiations. The tenants then formed a corporation, 330 West 86 Oaks Corp. (Oaks Corp) for the purpose of taking title to the property.

In the interim, on January 26, 1999, HPD requested that the City Council make the necessary findings for conveyance of the property as an accelerated UDAAP pursuant to General Municipal Law § 695 (2) (b) and (6) (d). That same day, HPD also submitted a request for authorization of the disposition of the property from the Office of the Mayor. Attached to each request was a copy of the "Project Summary" that described the type of project as "Conservation."

Specifically, HPD asked that the City Council:

2. Additionally, HPD required that the tenants meet its asking price of \$340,000, that the majority of the units be in support of submitting the offer and that rent collections from March 1998 through July 1998 average at least 50%.

“Find that the present status of the Disposition Area tends to impair or arrest the sound growth and development of the municipality and that the proposed [UDAAP] is consistent with the policy and purposes of Section 691 of the General Municipal Law; . . .

“Waive the area designation requirement of Section 693 of the General Municipal Law pursuant to Section 693 of the General Municipal Law; . . .

“Waive the requirements of Sections 197-c and 197-d of the Charter pursuant to Section 694 of the General Municipal Law; and . . .

“Approve the project as an [UDAAP] pursuant to Section 694 of the General Municipal Law.”

In making these requests, HPD confirmed that “the Project . . . consists solely of the rehabilitation or conservation of existing private or multiple dwellings or the construction of one to four unit dwellings, and does not require any change in land use permitted under the New York City Zoning Resolution” (Council of City of NY Resolution No. 673 [Mar. 16, 1999]).

In order to approve a proposal, the City Council must find that the current status of the building “tends to impair or arrest the sound growth and development of the municipality,” and that the proposed UDAAP is “consistent with the policy and purposes stated in section six hundred ninety-one”³ (General Municipal Law § 694 [4] [a], [c]). Although generally, any City Council approval must be made “in conformance with the standards and procedures required for all land use determinations pursuant to general, special or local law or charter,” the land use review procedures, as well as the area designation requirement (General Municipal Law § 693), can be waived “if the proposed urban development action area project consists solely

3. General Municipal Law § 691 sets forth the “policy and purposes” behind the UDAAA. In part, it states that because deteriorated buildings have an adverse impact on neighborhoods and the growth of municipalities:

“it is necessary to provide incentives for the correction of such substandard, insanitary, blighted, deteriorated or deteriorating conditions, factors, and characteristics by the clearance, replanning, reconstruction, redevelopment, rehabilitation, restoration or conservation of such areas, the undertaking of public and private improvement programs related thereto and the encouragement and participation in these programs by private enterprise.”

of the rehabilitation or conservation of existing private or multiple dwellings or the construction of one to four unit dwellings without any change in land use permitted by local zoning” (General Municipal Law § 694 [5]). Here, HPD sought such waiver from the provisions of New York City Charter §§ 197-c and 197-d, which would have otherwise required compliance with the Uniform Land Use Review Procedure (ULURP) and additional City Council review.

After a public hearing in March 1999, the City Council made the requisite findings, approved HPD’s requests and directed that the “Project shall be disposed of and developed upon the terms and conditions in the Project Summary that HPD has submitted to the Council.” Shortly thereafter, the Mayor approved the designation of Oaks Corp as a qualified and eligible sponsor and authorized the conveyance of the subject premises to Oaks Corp based on the City Council Resolution. On June 22, 1999, the City sold the subject premises to Oaks Corp for \$340,000.

The deed conveying the property includes several recitals, a granting and a habendum clause. Referenced in and made a part of the deed is a description of the disposition area, the City Council Resolution approving the UDAAP (including the Project Summary) and the Mayoral approval. The deed, in its entirety, contains numerous references in the recitals to the property’s UDAAP designation, and to the parties’ required compliance with the UDAAA’s requirements. It states that the City Council has waived the General Municipal Law § 693 area designation as well as City Charter § 197-c’s requirements under General Municipal Law § 694, and approved the project as an UDAAP. In addition, the deed recites:

“WHEREAS, the project to be undertaken by Sponsor (‘Project’) consists solely of the rehabilitation or conservation of existing private or multiple dwellings or the construction of one to four unit dwellings without any change in land use permitted by existing zoning”

However, the language employed in the habendum clause of the deed is not as precise. It fails to explicitly reference the above use restriction on the property but rather states that the project sponsor accepts “the Disposition Area [the property conveyed] subject to . . . [t]he provisions of all laws, codes, statutes, ordinances, acts, rules and regulations of any local,

state or federal government . . . existing at the time of delivery of this deed.” It additionally sets forth two affirmative obligations on the part of the sponsor: the duty to remedy all building violations of record within six months, and to maintain existing tenants’ rents at a fixed rate for two years. The habendum clause also declares that:

“The agreements and covenants set forth in this Deed shall run with the land and shall be binding to the fullest extent permitted by law and equity. Such covenants shall inure to the benefit of the City and shall bind and be enforceable against Sponsor and its successors and assigns.”

Significantly, Oaks Corp never corrected the code violations. Rather, on February 13, 2001, it sold the premises to 330 West 86th Street, LLC (330 West) for \$1 million.⁴ This new owner allegedly plans to demolish the building and develop a high-rise “sliver” apartment building in its place. In anticipation of the sale to 330 West, plaintiff 328 Owners Corp.—the owners of an adjacent building which shares a party wall—filed a summons and complaint, naming Oaks Corp and the City as defendants, challenging the pending conveyance. It also filed a *lis pendens* against the property. The new owner, 330 West, purchased the property with notice of the pending lawsuit and the *lis pendens*. After the sale, plaintiff amended its complaint to name 330 West as an additional defendant. The first two causes of action sought a declaratory judgment that the deed restricts the use of the land and that the new owner and any successors or assigns must act within those constraints and also sought injunctive relief. A third cause of action sought to declare the City’s conveyance to Oaks Corp null and void.

Supreme Court dismissed the third cause of action as barred by the statute of limitations. The City then asserted two cross claims. The first sought a declaration that under the deed and related statutory requirements, the subject premises could only be used for conservation purposes, or in the alternative, for the rehabilitation or conservation of existing private or multiple dwellings or construction of one to four unit multiple dwellings.

4. Plaintiff alleges that the sale price was at least \$1 million based on the transfer tax for the property that was recorded on March 15, 2001. However, a recent New York Times article states that the residents sold the property to developers for \$2.25 million in March 2001 (see Mindlin, *For a Brownstone Lot, Tall Dreams and Troubled Neighbors*, New York Times, Mar. 4, 2007). The sales contract was not made part of the record.

The second cross claim sought to permanently enjoin the owner and any successors from using the premises except in compliance with the above-referenced uses. 330 West also filed a counterclaim against plaintiff regarding its filing of a notice of pendency against the subject premises. The parties all moved for summary judgment.

Supreme Court dismissed all claims against Oaks Corp. The court denied 330 West's motion for summary judgment and partially granted the City and plaintiff's motions for summary judgment against 330 West, declaring that the subject property "may not be used other than for (a) rehabilitation or conservation of the existing building thereon, or (b) construction of one to four unit dwellings without any change in land use." All aggrieved parties appealed.

In the interim, the City sought leave to reargue alleging that Supreme Court overlooked the City's contention that the use of the property should be limited to conservation only. The City further asked that the order be resettled to reflect that the use restrictions should run with the land. 328 Owners Corp. joined in support of the motion. Supreme Court denied reargument but granted the resettlement application and declared that the use restrictions run with the land.

The Appellate Division, in a divided opinion, reversed and granted summary judgment to 330 West holding that there was no intent by the original parties to the deed that the covenant run with the land nor did it touch and concern the land. The dissenting justices voted to affirm Supreme Court, reasoning that the parties' intent, in light of the UDAAA, was clear, and that to read the deed otherwise would undermine the purpose of the UDAAA. The City and 328 Owners Corp. both appeal as of right pursuant to CPLR 5601 (a). Both appellants ask this Court to hold that the deed be read in conjunction with article 16 of the General Municipal Law and to enforce the land use restrictions as running with the land. The City also requests that we further limit the use of the property to conservation purposes. We now reverse and reinstate the amended order and judgment of Supreme Court.

Defendant, 330 West, in support of its claim that it is not subject to the land use restrictions of article 16 of the General Municipal Law, places great emphasis on the covenants restricting the property's use being located in the recital provisions of the deed rather than the habendum clause. While it is true that

the habendum clause is generally the best depiction of an interest conveyed, the inquiry is not that narrow (*see e.g. Phoenix Ins. Co. v Continental Ins. Co.*, 87 NY 400, 407 [1882] [placement of a restrictive covenant outside the habendum clause did not undermine its enforceability]; *Suffolk Bus. Ctr. v Applied Digital Data Sys.*, 78 NY2d 383, 388 [1991] [no particular words are determinative to give meaning to a condition of conveyance]; *Wasil v Realty Dealership Co.*, 87 AD2d 931, 932 [3d Dept 1982] [it may be necessary to examine the “interrelationship between the recital and operative clauses” to be sure that the “intent is evidenced from a reading of the whole instrument”]). Rather, “[e]very instrument creating [or] transferring . . . an estate or interest in real property must be construed according to the intent of the parties, so far as such intent can be gathered from the whole instrument, and is consistent with the rules of law” (Real Property Law § 240 [3]; *cf. Post v Weil*, 115 NY 361, 369-372 [1889]; *see also* 4 Warren’s *Weed*, New York Real Property, Deeds § 37.02 [5th ed] [“Courts today de-emphasize the formal parts of a deed and hold, in the construction of deeds, that the language of a deed must be so interpreted and applied as to be meaningful and valid, and the intent of the parties, as evidenced by the deed and the circumstances surrounding the making thereof, must be given expression wherever it is possible to do so without violating law and reason”]).

Looking to the whole instrument, inclusive of the City Council and Mayoral approvals as well as the Project Summary, there are 28 references to the project being governed by its UDAAP status. The deed and City Council and Mayoral approvals all make reference to the sale of the property as an accelerated UDAAP—a designation permissible only when the property’s use is restricted by the limitations set forth in General Municipal Law §§ 693 and 694 (5)—the very restriction that is spelled out in the recital provisions on the first page of the deed limiting the land’s use to conservation, rehabilitation or construction of one to four unit multiple dwellings. These references are consistent with General Municipal Law § 695 (5)’s requirement that the deed “shall contain provisions insuring the use of such real property for purposes consistent with such [UDAAP].” The habendum clause further states:

“The agreements and covenants set forth in this Deed shall run with the land and shall be binding to the fullest extent permitted by law and equity. Such

covenants shall inure to the benefit of the City and shall bind and be enforceable against Sponsor and its successors and assigns.”

This clause is not limited to covenants that are set forth in the habendum clause but covers any such covenants discernible from the deed in its entirety and further dictates that they shall “run with the land” and “inure to the benefit of the City.”

Although the deed is by no means a model of draftsmanship, in this case the land use restrictions can be recognized by viewing the instrument as a whole. Furthermore, since the deed “derives all its validity” from article 16 of the General Municipal Law, its provisions must “be construed into and with the deed” (*Matter of Lade v Abbott*, 185 Misc 501, 507 [Sup Ct, Onondaga County 1945]; see also *United States v City of New York*, 233 F2d 307, 310 [2d Cir 1956]). The City had no authority to convey the property in this manner without imposing statutory use restrictions.⁵

Our analysis, however, does not end here as, even when a deed declares that a restrictive covenant will run with the land, it must still comply with certain legal requisites to be enforceable against successors in interest (see *Neponsit Prop. Owners’ Assn. v Emigrant Indus. Sav. Bank*, 278 NY 248 [1938]; cf. *Witter v Taggart*, 78 NY2d 234, 237-238 [1991] [“the law has long favored free and unencumbered use of real property, and covenants restricting use are strictly construed against those seeking to enforce them”]). In *Neponsit*, we articulated three conditions that must be met in order for a covenant to run with the land:

“(1) it must appear that grantor and grantee intended that the covenant should run with the land; (2) it must appear that the covenant is one

5. This is consistent with the general policy statements of General Municipal Law § 691 as well as HPD’s mission statement that:

“Using a variety of preservation, development and enforcement strategies, HPD strives to improve the availability, affordability and quality of housing in New York City. As the nation’s largest municipal housing agency, HPD works with private, public and community partners to strengthen neighborhoods and enable more New Yorkers to become homeowners or to rent well-maintained, affordable housing” (HPD Mission Statement, <<http://www.nyc.gov/html/hpd/html/about/mission.shtml>> [last accessed Mar. 21, 2007], cached at <http://www.courts.state.ny.us/reporter/webdocs/about_HPD_description_of_services_and_mission.htm>).

‘touching’ or ‘concerning’ the land with which it runs; (3) it must appear that there is ‘privity of estate’ between the promisee or party claiming the benefit of the covenant and the right to enforce it, and the promisor or party who rests under the burden of the covenant” (278 NY at 255 [citation omitted]).

These three conditions will be addressed in turn.

First, the parties’ intent to restrict the use of the property is clear from the deed’s multiple references to the UDAAP requirements and from the inclusion, within the habendum clause, of an explicit provision stating that “agreements and covenants . . . shall run with the land.” This intent is equally apparent from the circumstances surrounding the transaction (*see Jennings Beach Assn. v Kaiser*, 145 AD2d 607, 608 [2d Dept 1988]). Here, the sponsor must have understood that the benefits it received—low appraisal value and exemption from both competitive bidding and a time-consuming land use review—were directly related to the City’s intent to restrict the use of the land for the purposes of the completion of the project. The purchase price alone is indicative of the parties’ intent. HPD appraised the property’s value based on its current income in its current state. It did not calculate the potential income stream for a possible use of the land with a high-rise building, which HPD could have realized had it sold the building on the open market without restriction.

Furthermore, the benefits received by the sponsor/tenants came at a price (*cf. Medical Coll. Lab. v New York Univ.*, 178 NY 153, 163 [1904] [“defendant cannot retain what is beneficial in the transaction, while disclaiming what is onerous”]). Oaks Corp was able to purchase the premises without a cumbersome land use review and without competitive bidding. In exchange, it was required to remove code violations within six months, which it never did, offer two year leases without rent increases to the current tenants and comply with the accelerated UDAAP’s land use restrictions. To allow Oaks Corp to circumvent the conditions by promptly selling the premises is clearly antithetical to the purpose of article 16 of the General Municipal Law (*cf. Granada Bldgs. v City of Kingston*, 58 NY2d 705, 708 [1982] [“Municipal contracts which violate express statutory provisions are invalid”]). Furthermore, to view the parties’ intent otherwise disregards the language of the deed as a whole. It also permits the sponsor’s subsequent sale to result in an unanticipated windfall to the detriment of the municipality.

The second *Neponsit* condition, that the covenant touches and concerns the land, is likewise met here. Although the requirements of offering renewal leases and correcting code violations are finite in nature, they also are relevant to the economic development of the property as declared by the City Council under article 16 of the General Municipal Law. The durational restraint of General Municipal Law § 695—that the project be completed within a reasonable time—appears to be “merely a reflection of prudent business practices” and is not meant to restrain the ongoing duty to conserve, rehabilitate or reconstruct within the constraints of the deed and UDAAA (*City of New York v Delafield 246 Corp.*, 236 AD2d 11, 25 [1st Dept 1997]).

Thus, we cannot agree with 330 West that, even if Oaks Corp defaulted in its obligations to the City, 330 West is not responsible for breaches of its predecessor with respect to the duty to rehabilitate the blighted property. Rather, the land use restrictions on the property are rooted in the unchallenged finding that the “status of the [property] tends to impair or arrest the sound growth and development of the municipality” and, as such, the duty is not extinguished when the property is so readily transferred, as it was here. Moreover, the new owner was on notice of this responsibility prior to taking title, both from the clear language of the deed between the City and Oaks Corp describing the property’s UDAAAP status, and from the filed lawsuit and *lis pendens*.

Lastly, the third *Neponsit* factor, privity of estate, has been met as there exists a direct chain of title running from the City to Oaks Corp to 330 West. Whether such privity exists as to 328 Owners Corp. is immaterial, as 328 Owners Corp. has sought the identical relief being granted to the City.⁶

Under the circumstances presented here and the integrated statutory authority for the sale of this property, we hold that the land use restrictions included in the language of the deed and mandated by statute run with the land. Certainly, this need not be “in perpetuity” (*see* dissenting op at 385, 387). If the project identified in the deed recitals is accomplished, the restrictions may expire by their own terms (*see Booth v Knipe*, 225 NY 390, 396 [1919] [recognizing that a covenant running with the land “may not last forever”]). In any event, the current or any

6. Both Supreme Court and the Appellate Division found that plaintiff, 328 Owners Corp., has standing as an adjacent property owner, to bring this lawsuit.

future owner may seek extinguishment of the land use restrictions under RPAPL 1951 to the extent it desires to make different use of the property.⁷

As for the City's request to limit the property use to conservation purposes only, we find little merit to its argument. References in the deed to article 16 of the General Municipal Law—other than a single reference in the project summary—do not make such a limiting distinction. The parties' remaining contentions are also without merit.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the amended order and judgment of Supreme Court reinstated.

PIGOTT, J. (dissenting). I respectfully dissent because the majority's interpretation of the Urban Development Action Area Act (UDAAA) places indefinite use restrictions on property sold pursuant to that Act when no such restrictions were intended. In my view, the Appellate Division's order dismissing 328 Owners Corp.'s action and the City's cross claims against the subsequent purchaser should be affirmed.

The City and 328 Owners Corp. argue that because the deed and its accompanying documents were prepared as part of the accelerated Urban Development Action Area Project (UDAAP), 330 West Oaks Corp. (Oak Corp.), the tenant group that purchased the property, and the City intended that the property would be used for certain, specific purposes in perpetuity. While those documents may, indeed, evidence an intent that Oaks Corp. be bound by certain use restrictions, they show no evidence of an intent that a subsequent purchaser, like 330 West 86th St., LLC (330 West), be so bound.

This is clear from the language of the deed itself. As the majority notes, the deed "must be construed according to the intent of the parties, so far as such intent can be gathered from the whole instrument, and is consistent with the rules of law" (Real Property Law § 240 [3]). In my view, the language of the deed is unambiguous and evidences the parties' intent that Oaks Corp., and only Oaks Corp., be subject to the use restrictions. Specifically, the deed's "Recital" clauses state that the property is conveyed pursuant to General Municipal Law article 16 and, in

7. RPAPL 1951 provides a mechanism for extinguishing land use restrictions when "the purpose of the restriction has already been accomplished or, by reason of changed conditions or other cause, its purpose is not capable of accomplishment, or for any other reason."

particular, that the project “undertaken by [Oaks Corp., as sponsor] . . . consists solely of the rehabilitation or conservation of existing private or multiple dwellings or the construction of one to four unit dwellings.” The recitals describe the authority under which the City acted when it deeded the property to Oaks Corp. and the City’s understanding that Oaks Corp. would use the property for those purposes. These recitals, however, do not constitute covenants or agreements binding on any subsequent purchaser. Nowhere is it mentioned in the deed, either in these recitals or the body thereof, that any subsequent purchaser is limited in its use of the property. Thus, contrary to the majority’s conclusion, it is of no moment that 330 West may have had “notice” of the restrictions meant to be imposed only on Oaks Corp. at the time it purchased the property.

Indeed, the only covenant in the deed that applies to a subsequent purchaser, like 330 West, is that which prohibits “successors and assigns, and every successor in interest” from engaging in discriminatory conduct relative to the use, sale or leasing of the property. It is, of course, axiomatic that purchasers of real property are subject to all applicable zoning ordinances and land use restrictions that a municipality in its law-making authority may choose to impose on property located within its boundaries. But limitations found within a deed are a different matter. In such cases, the municipality is acting as a vendor; and, like all vendors, it must strictly adhere to the Real Property Law when it comes to the alienation of real property.

Even assuming that the deed could somehow be read as containing covenants and agreements requiring 330 West to abide by the use restrictions agreed to by Oaks Corp., we have held that express recitals of affirmative covenants that “run with the land” are “generally not binding upon subsequent grantees of the promisor unless [the] well-defined and long-established legal requisites” contained in our holding in *Neponsit Prop. Owners’ Assn. v Emigrant Indus. Sav. Bank* (278 NY 248 [1938]) have been met (*Eagle Enters. v Gross*, 39 NY2d 505, 507 [1976], citing *Nicholson v 300 Broadway Realty Corp.*, 7 NY2d 240, 244 [1959]). *Neponsit* requires that, in order for a covenant to run with the land, the original grantor and grantee must so intend (*see Neponsit*, 278 NY at 255). In addition, there must be privity of estate between the party seeking to enforce the covenant and the party against whom the covenant is sought to be enforced, and the covenant must “touch and concern” the land upon which it runs (*id.* at 254-255). Here, the first prereq-

uisite of *Neponsit* has not been met because, strictly construing the “covenants” against the City and 328 Owners Corp. as we must (see *Buffalo Academy of Sacred Heart v Boehm Bros.*, 267 NY 242, 249 [1935]), it is readily apparent that neither Oaks Corp. nor the City intended any entity other than Oaks Corp. to be bound by the use restrictions. The parties, and the City in particular as drafter of the deed, could easily have crafted a deed binding successors of Oaks Corp. to the use restrictions; but that was not done here.

General Municipal Law § 695 (5) further supports the finding that the use restrictions now sought to be imposed apply only to the original purchaser. That statute provides that any deed disposing of real property pursuant to section 695

“shall contain provisions requiring the purchaser, lessee or grantee to . . . rehabilitate . . . conserve . . . , reconstruct or redevelop such property in accordance with the [UDAAP,] as approved by the [City Council,] within a definite and reasonable period of time subject to the terms of the . . . deed relating thereto between the municipality and the sponsor, and shall contain provisions insuring the use of such real property for purposes consistent with such [UDAAP].”

Thus, even if section 695 (5) is “construed” into the deed, it does not prohibit a subsequent purchaser from redeveloping the property. There is no language in the statute that mandates property initially sold pursuant to the accelerated UDAAP procedure remain, as is argued here, a one to four unit dwelling in perpetuity, or that once a purchaser rehabilitates or conserves the premises it cannot convert the premises to a different use. To the contrary, the City may sell a property pursuant to the accelerated UDAAP procedure when such sale “requires the effectuation of an urban development action area project with[in] a definite and reasonable period of time” (General Municipal Law § 695 [2] [b]). Thus, while a purchaser must effectuate a project within a reasonable time, there is no requirement that once the project is completed the property is forever restricted from becoming something else.

The purpose of article 16 is the swift and quick rehabilitation or conservation of property, and it should not be construed to prohibit future development. If the position of the City and 328 Owners Corp. is taken to its logical conclusion, any property that has been sold by the City pursuant to the accelerated

UDAAP procedure may now be subject to attack because the property has been changed from its initial use, regardless of how many years have passed, how many times it has been sold, and how pristine its present condition. That is not the result the Legislature intended when it enacted article 16, the purpose of which is to “provide incentives for the correction of . . . substandard, insanitary, blighted, deteriorated or deteriorating conditions . . . by the clearance, replanning, reconstruction, redevelopment, rehabilitation, restoration or conservation of such areas” (General Municipal Law § 691).

Notably, the only conditions found in the deed—that the building code violations be cured and that two-year leases be offered to current tenants at a fixed rate—are temporal and directed explicitly at Oaks Corp. The program under which the property was conveyed mandates these conditions and the City, had it chosen to do so, could have taken appropriate action against Oaks Corp. to enforce them. The same can be said about Oaks Corp.’s purported failure to comply with the use restrictions. The City did not avail itself of the enforcement mechanisms specified in the deed, i.e. suing for rescission of the deed or for breach of the promises contained therein. Thus, the purpose behind the accelerated UDAAP process was not subverted by the sale of the property to 330 West, as the majority implies. Rather, it was the City’s draftsmanship of the deed and its failure to enforce the conditions and use restrictions against Oaks Corp. that subverted the UDAAP process.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[866 NE2d 1009, 834 NYS2d 681]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM P. HAVRISH, Appellant.

Argued February 8, 2007; decided April 3, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Schoharie County Court (George R. Bartlett III, J.), entered June 8, 2006. The County Court (1) reversed an order of the Justice Court of the Town of Jefferson (Lynn H. Hait, J.), which had granted so much of defendant's motion as sought to suppress physical evidence and statements made to the police in connection with defendant's possession of such evidence, granted so much of defendant's motion as sought to dismiss the information against him on the ground that the prosecution was barred under the Fifth Amendment to the United States Constitution and New York State Constitution, article I, § 6, and dismissed the information; (2) vacated the order and reinstated the accusatory instrument; and (3) remitted the case to Justice Court for further proceedings on the information.

HEADNOTE

Constitutional Law — Privilege against Self-Incrimination — Applicability of Privilege to Surrender of Unlicensed Handgun in Compliance with Order of Protection

In complying with an order of protection directing him to turn over his firearms to police, defendant's surrender of an unlicensed handgun was privileged under the Fifth Amendment right against self-incrimination. Suppression of the handgun in the resulting weapon possession prosecution was warranted, and in the absence of evidence that law enforcement authorities would have learned of defendant's possession of the handgun through independent means, or that they could have connected defendant to the handgun with proof unrelated to the act of production, dismissal of the accusatory instrument was mandated. The Fifth Amendment protects an accused from being compelled to testify against himself or herself, or otherwise provide the state with evidence of a testimonial or communicative nature. The order of protection requiring defendant to surrender his weapons satisfied the element of state compulsion. Defendant's surrender of the gun was testimonial because it revealed his subjective thought processes, and it was also sufficiently incriminating to give rise to Fifth Amendment protection.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1137–1139, 1150; AM JUR 2d, Weapons and Firearms § 9.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:542, 172:547.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 20.4.

NY JUR 2d, Criminal Law §§ 546, 551.

ANNOTATION REFERENCE

See ALR Index under Exclusion and Suppression of Evidence; Self-Incrimination; Weapons and Firearms.

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Query: surrender! /s handgun revolver /s privilege* /s fifth incriminat!

POINTS OF COUNSEL

Jacobs & Jacobs, Stamford (*Patrick J. Cannon* of counsel), for appellant. I. County Court Judge Bartlett erred in reversing Town Justice Hait's order suppressing evidence and dismissing the accusatory instrument filed against appellant. (*United States v Hubbell*, 530 US 27; *People v Mitchell*, 61 NY2d 580; *People v Berg*, 92 NY2d 701; *Schmerber v California*, 384 US 757; *People v Slavin*, 1 NY3d 392, 543 US 818; *United States v Doe*, 465 US 605; *Baltimore City Dept. of Social Servs. v Bouknight*, 493 US 549; *United States v Wade*, 388 US 218; *Holt v United States*, 218 US 245; *Gilbert v California*, 388 US 263.) II. Town Justice Hait correctly ruled that the evidence against appellant had been obtained in violation of his constitutional rights and dismissed the charge against him. (*People v Wagman*, 99 AD2d 519; *Marchetti v United States*, 390 US 39; *Grosso v United States*, 390 US 62; *Kastigar v United States*, 406 US 441; *United States v United States Coin & Currency*, 401 US 715; *Kemp v Lynch*, 275 AD2d 1024; *United States v Kordel*, 397 US 1; *Miranda v Arizona*, 384 US 436; *Schmerber v California*, 384 US 757; *United States v Wade*, 388 US 218.)

James Sacket, District Attorney, Schoharie (*Thomas F. Garner* of counsel), for respondent. I. County Court correctly held that William Havrish's right against self-incrimination was not violated. (*Schmerber v California*, 384 US 757; *United States v Wade*, 388 US 218; *Curcio v United States*, 354 US 118; *Holt v United States*, 218 US 245; *Gilbert v California*, 388 US 263; *Baltimore City Dept. of Social Servs. v Bouknight*, 493 US 549; *People v Slavin*, 1 NY3d 392; *People v Berg*, 92 NY2d 701.) II. No evidence was obtained from William Havrish in violation of his constitutional rights.

OPINION OF THE COURT

GRAFFEO, J.

In complying with an order of protection that directed him to turn over his firearms to police, defendant produced an unlicensed handgun and was subsequently charged with criminal possession of a weapon in the fourth degree. The issue before us is whether defendant's surrender of the handgun was privileged under the Fifth Amendment. We conclude that it was and therefore reverse the order of County Court, grant defendant's motion to suppress and dismiss the accusatory instrument.

On April 8, 2005, defendant was charged in Delhi Town Court with assault in the third degree, burglary in the second degree and kidnapping in the second degree in connection with a domestic violence incident in Delaware County. The Town Court set bail and issued an order of protection directing defendant to stay away from the victim and to "[s]urrender any and all firearms owned or possessed."

After defendant posted bail, the police accompanied him to his residence in Schoharie County where defendant promptly gave the officers his "long guns." Defendant advised the authorities that he owned a handgun but had given it to his ex-wife. The police contacted defendant's ex-wife, who informed them that she did not possess the pistol but believed defendant still had it. She claimed to have last seen the gun in a small room off the living room in defendant's home. With some equivocation, she also indicated that the handgun was not licensed.

Before the authorities acted on the information supplied by defendant's ex-wife, defendant called one of the officers and said that he had located the pistol. When the police arrived at his home, defendant brought them to a small room next to the living room where they retrieved a Ruger Blackhawk .44 magnum revolver from a milk crate.

Once the police confirmed that defendant did not have a license for the handgun, defendant was charged in Jefferson Town Court with criminal possession of a weapon in the fourth degree, a class A misdemeanor. He moved to dismiss the accusatory instrument on the ground that the gun and his statements to police must be suppressed because he was compelled to produce evidence protected by the Fifth Amendment right against self-incrimination. Defense counsel argued that the order direct-

ing defendant to turn over his weapons created an impossible dilemma since defendant was required either to produce the unlicensed pistol, thereby incriminating himself, or defy the court order and risk being prosecuted for criminal contempt. Among other arguments, the People countered that defendant's Fifth Amendment rights were not implicated because surrender of the revolver involved the production of physical evidence that was not communicative or testimonial in nature.¹

Jefferson Town Court granted defendant's motion to suppress, concluding that, for purposes of the weapon possession prosecution, defendant's surrender of the pistol was privileged under the Fifth Amendment. Because the People did not assert that they possessed independent evidence of defendant's guilt, the court determined that dismissal of the accusatory instrument was also warranted. On the People's appeal, County Court reversed and reinstated the charge, reasoning that the order directing defendant to surrender the handgun involved the production of real or physical evidence, not compelled communication, and therefore did not run afoul of the Fifth Amendment. A Judge of this Court granted defendant leave to appeal and we now reverse.

The Fifth Amendment guarantees that an individual shall not "be compelled in any criminal case to be a witness against himself" (US Const 5th Amend). "[T]he privilege protects an accused . . . from being compelled to testify against himself, or otherwise provide the State with evidence of a testimonial or communicative nature" (*Schmerber v California*, 384 US 757, 761 [1966]). There are thus two elements to the privilege: the presence of compulsion and the solicitation or receipt by the government of evidence of a testimonial nature.

Here, the element of state compulsion was unquestionably met. Defendant was ordered by a court to surrender his weapons. Had he failed to do so, he could have been prosecuted for criminal contempt. The more difficult question is whether compliance with the order supplied testimonial or communicative evidence or whether, as County Court concluded, defendant was merely directed to supply "real or physical evidence" not protected by the Fifth Amendment.

1. The People also contended that defendant could not seek suppression based on the Fifth Amendment because he did not invoke the privilege before he turned over the weapon (see e.g. *Roberts v United States*, 445 US 552, 559-561 [1980]). The People having failed to brief this argument on appeal, we have no occasion to consider it.

It is well settled that a person can be forced to produce real or physical evidence without offending the privilege against self-incrimination (*id.*). Cases in which a defendant is required to engage in conduct that reveals the physical characteristics of his or her body generally fall in the “real or physical evidence” category. For example, in *Schmerber*, the Court held that the requirement that a defendant accused of driving while intoxicated submit to a blood test did not implicate the Fifth Amendment privilege because defendant’s “testimonial capacities were in no way implicated; indeed, his participation, except as a donor, was irrelevant to the results of the test, which depend on chemical analysis and on that alone” (*id.* at 765).

The Fifth Amendment therefore “offers no protection against compulsion to submit to fingerprinting, photographing, or measurements, to write or speak for identification, to appear in court, to stand, to assume a stance, to walk, or to make a particular gesture” (*id.* at 764). Similarly, a defendant can be ordered to participate in a lineup (*see United States v Wade*, 388 US 218 [1967]) or to provide a handwriting exemplar (*see Gilbert v California*, 388 US 263 [1967]) without implicating the privilege against self-incrimination. Our Court has applied the *Schmerber* analysis on a number of occasions, holding that field sobriety tests conducted during a traffic stop were the equivalent of real or physical evidence not protected under the Fifth Amendment (*People v Hager*, 69 NY2d 141 [1987]; *see People v Berg*, 92 NY2d 701 [1999]) and that a defendant could not rely on the privilege to avoid compliance with a court order requiring him to display his upper body tattoos (*see People v Slavin*, 1 NY3d 392 [2004], *cert denied* 543 US 818 [2004]).

The People rely on the *Schmerber* analysis in asserting that defendant’s surrender of the revolver was not conduct protected by the Fifth Amendment. But the surrender of evidence—even evidence not otherwise cloaked by the privilege—may itself be privileged if the very act of production has communicative or testimonial aspects (*see e.g. United States v Doe*, 465 US 605, 613 [1984] [*Doe I*]). Although the act of production doctrine has most commonly been applied to the surrender of subpoenaed documents, the U.S. Supreme Court has indicated that it can also apply to the compelled production of other types of evidence (*see Baltimore City Dept. of Social Servs. v Bouknicht*, 493 US 549 [1990]; *but see United States v Patane*, 542 US 630, 644 n 7 [2004]). And the Court has emphasized that the item produced is distinct from the act of production itself. In sum,

even when the thing demanded is not privileged, the act of production may be (*see Doe I*, 465 US at 613).²

In *Bouknight*, the judge presiding over a child-protective proceeding ordered a mother to produce her child in court. She refused, invoking the Fifth Amendment. In considering whether the mother could rely on the act of production doctrine to avoid compliance with the court order, the Court explained the doctrine as follows:

“When the government demands that an item be produced, the only thing compelled is the act of producing the item . . . The Fifth Amendment’s protection may nonetheless be implicated because the act of complying with the government’s demand testifies to the existence, possession, or authenticity of the things produced” (493 US at 554-555 [internal quotation marks, citations and brackets omitted]; *see United States v Hubbell*, 530 US 27, 36 [2000]).

Ultimately, the Court held the doctrine inapplicable to the mother’s circumstance because it could not be used to resist compliance with a civil regulatory regime constructed to effectuate governmental purposes unrelated to law enforcement—the social services system designed for the protection of children.

In this case, the People did not assert below, and do not argue here, that the *Bouknight* regulatory regime exception applies to this factual scenario.³ Thus, the pivotal issue here is whether

2. For example, in the case of a document, the contents are not deemed to have been compelled if the document was prepared voluntarily. Even if the contents of the document are not cloaked with the privilege because the element of compulsion is absent, the doctrine may apply to privilege the act of producing the document (*Doe I*, 465 US at 617 n 17; *see Fisher v United States*, 425 US 391, 409-410 [1976]). Similarly, in *Bouknight* where the Supreme Court considered whether a mother could invoke the privilege in order to avoid producing her child for a court proceeding, the Court noted that, if the doctrine applied, the baby itself was not privileged and the mother could not “claim the privilege based upon anything that examination of [the child] might reveal” (493 US at 555). Instead, the privilege would apply to the mother’s conduct. Thus, the fact that the item to be produced is “real or physical evidence” not protected under the privilege does not automatically preclude application of the act of production doctrine.

3. Any argument concerning the applicability of the regulatory regime exception is both unpreserved and waived. Moreover, even if the exception applied, it is not clear to what extent it would assist the People. In *Bouknight*, the Supreme Court did not define the limitations on the use of testimonial evidence obtained by virtue of the regulatory regime exception but noted in dicta

(n. cont’d)

defendant's act of producing the unlicensed handgun was privileged. The Supreme Court has developed a two-part test for resolving this question (see *Fisher v United States*, 425 US 391 [1976]).

First, a court must assess whether the compelled act of production is sufficiently testimonial. Under the Fifth Amendment, evidence is deemed testimonial when it reveals defendant's subjective knowledge or thought processes—when it expresses the contents of defendant's mind (*Doe v United States*, 487 US 201, 211 [1988] [*Doe II*]; *Hager*, 69 NY2d at 142). The surrender of evidence can be testimonial if, by doing so, defendant tacitly concedes that the item demanded exists or is in defendant's possession or control when these facts are unknown to the authorities and would not have been discovered through independent means. Put another way, the inquiry is whether the existence of the item sought, or defendant's possession of it, was a “foregone conclusion and the [defendant] adds little or nothing to the sum total of the Government's information by conceding that he in fact has the [item]” (*Fisher*, 425 US at 411). In that circumstance, the act of production is not sufficiently testimonial to implicate the Fifth Amendment.

Second, a court must determine whether the act of production is incriminating. If the subjective information the government will obtain through the act of production does not “pose[] any realistic threat of incrimination” (*id.* at 412) but presents “merely trifling or imaginary[] hazards of incrimination” (*Doe I*, 465 US at 614 n 13 [internal quotation marks and citations omitted]), the act enjoys no Fifth Amendment protection. Both elements must be fulfilled for an act of production to be privileged and the Supreme Court has made clear that the elements “do not lend themselves to categorical answers; their resolution . . . instead depend[s] on the facts and circumstances of particular cases” (*Fisher*, 425 US at 410).

Turning to the first inquiry, in this case we cannot say that, absent defendant's court-ordered surrender of the revolver, the discovery that defendant possessed an unlicensed handgun would have been a “foregone conclusion.” Before defendant revealed that he had possessed a revolver, neither the court nor the police were aware that defendant owned a handgun.

that “the Fifth Amendment protections are not . . . necessarily unavailable to the person who complies with the regulatory requirement after invoking the privilege and subsequently faces prosecution” (493 US at 561-562).

Furthermore, defendant's statements about the gun were integral to compliance with the directive in the order of protection. Although it is conceivable that defendant could have heeded the order without uttering a word about his weapons, it was reasonably likely that defendant's response would include verbal communications concerning their existence and location. The statements defendant made—advising police that he owned a revolver and indicating where it was—went no further than what a person complying with such an order would have been expected to communicate. They were therefore central to and part of the act of production. And that act was the exclusive source of evidence the People relied on in pursuing the prosecution for criminal possession of a weapon.

The People have not come forward with evidence suggesting that, incident to the charges in the domestic violence case, they were independently investigating whether defendant owned a handgun. It is true that defendant's ex-wife disclosed information to the authorities concerning the unlicensed revolver, but there is no basis in the record to conclude that the police would have contacted her if defendant had not earlier indicated that she had the gun.⁴ Nor have the People proffered evidence that the victim of the domestic violence incident knew of the pistol or that, in the ordinary course of investigation of that incident, she would have necessarily alerted them to defendant's unlawful possession of it. Had this information been provided, the police may well have been able to obtain the weapon through execution of a search warrant. But, on this record, defendant's surrender of the gun was testimonial because it revealed defendant's subjective thought processes—that he knowingly possessed the weapon—and, absent this revelation, the information would not have come to the attention of the police.

Defendant's surrender of the handgun was also sufficiently incriminating to give rise to Fifth Amendment protection. The order compelling defendant to turn over his weapons was issued in the course of a felony prosecution, without a grant of immunity or amnesty. Indeed, by the time defendant produced the weapon, he had provided the police with proof of virtually every element of the offense of criminal possession of a weapon. Given that the act of production involved the commission of a crime in

4. There was no connection between the ex-wife and the domestic violence incident in Delaware County, which involved a different person. It appears that the authorities would have had no reason to interview defendant's ex-wife concerning their investigation of the Delaware County charges.

the presence of the police, it can hardly be argued that the conduct was unlikely to result in criminal prosecution.

Both elements of the act of production doctrine having been met, defendant's surrender of the unlicensed handgun was privileged under the Fifth Amendment and suppression of the evidence was therefore warranted in the weapon possession prosecution. Because the People have proffered no evidence that law enforcement authorities would have learned of defendant's possession of the revolver through independent means, or that they could have connected defendant to the handgun with proof unrelated to the act of production, the suppression of this evidence necessitated dismissal of the accusatory instrument.

Accordingly, the order of County Court should be reversed, defendant's motion to suppress granted and the information dismissed.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH and FIGOTT concur; Judge JONES taking no part.

Order reversed, etc.

[866 NE2d 1016, 834 NYS2d 688]

In the Matter of S. ELOF NILSSON et al., Respondents, v DEPARTMENT OF ENVIRONMENTAL PROTECTION OF CITY OF NEW YORK, Appellant.

Argued February 14, 2007; decided April 3, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 25, 2006. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Putnam County (Andrew P. O'Rourke, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition to review a determination of respondent Department of Environmental Protection of the City of New York denying petitioners' application for a variance from Rules of City of New York Department of Environmental Protection (15 RCNY) § 18-38 (a) (2), regulating the construction of subsurface sewage treatment systems, and dismissed the proceeding; (2) granted the petition; and (3) directed respondent to grant the variance requested with respect to the construction of an alternate subsurface septic treatment system proposed for the subject parcel.

Matter of Nilsson v Department of Env'tl. Protection of City of N.Y., 28 AD3d 773, modified.

HEADNOTES

Environmental Conservation — Water Supply — New York City Watershed — Subsurface Sewage Treatment System — Excessive Fill — Stormwater Runoff

1. In connection with petitioner's application for a variance to build a subsurface sewage treatment system (SSTS) on the subject parcel, located within the New York City Watershed, the City of New York Department of Environmental Protection (DEP) properly required petitioner, under 15 RCNY 18-61 (a) (1) (iii), to propose measures to reduce potential contamination resulting from his proposed use of excessive fill. It was an abuse of discretion, however, to require him to propose mitigation of stormwater runoff. Inasmuch as the subject property and the proposed SSTS were not within the regulated ranges delineated in 15 RCNY 18-39, the stormwater regulations were not applicable. The fact that approval of a variance from the fill provision would allow construction of a residence with impervious surfaces did not authorize DEP to require mitigation of stormwater runoff. DEP could not extend its jurisdiction to otherwise unregulated sources of degradation or contamination of the New York City water supply, simply because they might potentially arise from the granting of a variance.

Environmental Conservation — Water Supply — New York City Watershed — Subsurface Sewage Treatment System — Variance — Other Real Estate Holdings of Applicant

2. It was an abuse of discretion to deny petitioner's application for a variance to build a subsurface sewage treatment system on the subject parcel, located within the New York City Watershed, on the ground that petitioner did not provide information on his other real estate holdings "in the immediate vicinity" of the subject parcel. The request to provide "information regarding the applicant's real estate holdings in the vicinity of the subject lot" was too broad. However, inasmuch as an applicant seeking a variance from the Watershed Regulations is required to demonstrate substantial hardship due to site conditions or limitations (15 RCNY 18-61 [a] [1] [iv]), DEP may reasonably request information about an applicant's contiguous real estate holdings, because an applicant who could combine lots may be able to minimize any hardship. Because petitioner failed to provide information concerning contiguous holdings to DEP, the question whether he demonstrated substantial hardship was remitted to DEP for reconsideration.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 758, 768, 769, 775.
NY JUR 2d, Buildings, Zoning, and Land Controls §§ 329–334, 336–338, 343; NY JUR 2d, Water §§ 779, 780.
NEW YORK REAL PROPERTY SERVICE § 48:55.

ANNOTATION REFERENCE

See ALR Index under Sewers and Sewage; Variances.

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Database: NY-ORCS

Query: sewage /3 treatment /p variance

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Alan Beckoff, Stephen J. McGrath and Michael Burger of counsel), for appellant. I. The determination by the Department of Environmental Protection to deny the application for a variance was rational and not arbitrary and capricious. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Corliss v Solomon*, 75 AD2d 837; *Matter of Browning-Ferris Indus. of N.Y. v Danahy*, 210 AD2d 477; *Matter of Fineway Supermarkets v State Liq. Auth.*, 48 NY2d 464; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102.) II. Assuming that the Appellate Division properly annulled the Department of Environmental

Protection's (DEP) determination, the Court improperly interfered with DEP's discretion by ordering the agency to grant respondents the variance rather than remanding the matter to the agency to exercise its discretion appropriately and reconsider respondents' application. (*Matter of Brusco v Braun*, 84 NY2d 674; *Matter of Hassig v New York State Dept. of Health*, 5 AD3d 846; *Matter of Mitchell v Essex County Sheriff's Dept.*, 302 AD2d 732; *Matter of Posner v Levitt*, 37 AD2d 331; *Matter of Hampsons Hosp. & Med. Ctr. v Moore*, 52 NY2d 88; *Matter of East Clinton Devs. v Department of Envtl. Conservation of State of N.Y.*, 109 Misc 2d 786; *Matter of Abrams v New York City Tr. Auth.*, 39 NY2d 990; *Jones v Beame*, 45 NY2d 402; *James v Board of Educ. of City of N.Y.*, 42 NY2d 357.)

Daniels and Porco, LLP, Carmel (Robert C. Lusardi of counsel), for respondents. I. Appellant did not have authority to consider stormwater impacts when reviewing respondents' variance application. II. Appellant did not have authority to consider "impervious surface" issues when reviewing respondents' variance application. III. Appellant applied an improper standard of "substantial hardship" in its review of respondents' variance application. (*Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102; *Matter of St. Onge v Donovan*, 71 NY2d 507; *Matter of Warren v Harris*, 179 AD2d 660; *Grimaldi v Suffolk County Dept. of Health Servs.*, 118 AD2d 621; *Matter of Weinrib v Weisler*, 33 AD2d 923.) IV. The Appellate Division acted within its power when it directed appellant to grant the variance. (*WNEK Vending & Amusements Co. v City of Buffalo*, 107 Misc 2d 353; *Matter of Moore v D'Ambrose*, 57 AD2d 394, 46 NY2d 816; *Matter of Freidus v Guggenheimer*, 57 AD2d 760; *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Treadway-Binghamton Co. v State Liq. Auth.*, 62 Misc 2d 626.)

OPINION OF THE COURT

PIGOTT, J.

Intending to build a house on a parcel of vacant land in Putnam County, petitioner S. Elof Nilsson applied for a permit to build a subsurface sewage treatment system (SSTS). The parcel is within what is commonly referred to as the New York City Watershed, where reservoirs provide drinking water to that city and to an increasing number of residents of counties north of it.

Construction within the Watershed is governed by regulations administered and enforced by the City of New York Department of Environmental Protection (DEP) (Rules of City of NY Dept of Env'tl Protection [15 RCNY] ch 18). The Watershed Regulations incorporate by reference more stringent local standards enacted by agreement between DEP and the Putnam County Department of Health (PCDOH) (*see* 15 RCNY 18-38 [a] [2]). The DEP-PCDOH standards require that no more than 42 inches of the soil beneath an SSTS be “fill” (new soil added to the site). Nilsson’s proposal contemplated the use of as much as 78 inches of fill in places, and DEP therefore denied him a permit.

Nilsson then sought a variance from the provision prohibiting more than 42 inches of fill, stating that compliance was not possible because of the shallow depth of usable preexisting soil in the area where an SSTS could be built. He asserted that, without a variance, there would no longer be a “buildable” lot and this would impose a substantial hardship. DEP responded by requesting that Nilsson’s surveying and engineering firm propose various mitigation measures to reduce potential contamination resulting from the use of excessive fill. DEP also asked the engineers to propose mitigation measures for potential stormwater runoff from the new impervious surfaces that residential construction would entail—the house, the driveway and the SSTS itself. Finally, turning to the question of whether a denial of the variance would cause Nilsson substantial hardship, DEP requested information about the date of Nilsson’s acquisition of the property.

Nilsson’s engineers then proposed the following mitigation measures: enhanced sewage treatment systems for household waste; shallow, grass-lined channels to capture and redirect stormwater runoff from the driveway and SSTS; and a means of dissipating runoff from the roof of the house involving a roof-to-footing drain to a riprap apron. The engineers answered DEP’s question about the acquisition of the property, and reiterated Nilsson’s claim that, due to the physical conditions of the site, construction on the parcel in compliance with the fill provision was impossible, and this inability to use the property as a “buildable” lot would itself impose a substantial hardship. When DEP requested information regarding Nilsson’s other real estate holdings in the vicinity of the subject parcel, the engineers refused.

DEP denied Nilsson’s variance application, stating that “[w]hile the applicant has proposed adequate mitigation for the

SSTS itself, [he] has not proposed adequate mitigation measures to offset the potential for adverse water quality impacts associated with stormwater runoff from the new residence, driveway and septic system area” (NY City DEP Variance Determination, June 2, 2004, at 2). In addition, DEP stated that “[t]he applicant has not provided information about his other real estate holdings in the immediate vicinity of the project area, as requested by [DEP], to substantiate a hardship case” (*id.*).

Petitioners¹ then commenced this CPLR article 78 proceeding, seeking to vacate DEP’s denial of the variance as arbitrary, capricious and an abuse of discretion, and asking the court to direct DEP to grant the variance. Supreme Court denied the petition and dismissed the proceeding, holding that DEP’s “imposition of further mitigation measures to offset adverse water quality impacts” was rational, and that petitioners failed to prove substantial hardship because they did not show “by competent financial evidence that a reasonable rate of return cannot be realized . . . Mere diminution of value of the property is insufficient to establish substantial hardship.”

The Appellate Division reversed, concluding that DEP “acted outside the scope of its authority conferred by the applicable regulations when it considered storm runoff issues and impervious surface impacts, for which no variance was required” (28 AD3d 773, 775 [2006] [citations omitted]). The Court further held that “petitioners’ noncontiguous real estate holdings are irrelevant to the issue of whether the subject property is entitled to relief from the strict adherence to the regulations regarding construction of an SSTs” (*id.* [citation omitted]). The Appellate Division directed DEP to grant the requested variance (28 AD3d at 773). We granted DEP leave to appeal and now modify.

Variances from the requirements of the Watershed Regulations rest in the sound discretion of DEP (*see* 15 RCNY 18-61 [a]). The burden of proof is on the applicant (15 RCNY 18-61 [a] [4]). 15 RCNY 18-61 (a) (1) (iii) requires an applicant seeking a variance from the requirements of the Watershed Regulations to “[d]emonstrate that the activity as proposed includes adequate mitigation measures to avoid contamination to or degradation of the water supply which are at least as protective of the water supply as the standards for regulated activities set forth in these rules and regulations.” In other words, before it

1. Petitioners are Nilsson and the co-owners of the parcel, Alan S. Matzkin and Maria V. Matzkin.

grants a variance, DEP must be persuaded that the applicant's proposed mitigation measures will protect the watershed just as much as compliance with the regulation from which the applicant seeks a variance.

[1] DEP properly required Nilsson, under 15 RCNY 18-61 (a) (1) (iii), to propose measures to reduce potential contamination resulting from his proposed use of excessive fill. It was an abuse of discretion, however, to require him to propose mitigation of stormwater runoff.

The provisions of the Watershed Regulations concerning stormwater runoff from impervious surfaces are contained in 15 RCNY 18-39.² DEP concedes that there is no provision in that section that authorizes it to regulate stormwater runoff on Nilsson's land. Nilsson's engineer has stated, and DEP does not deny, that the subject property and the proposed SSTs are not within the regulated ranges delineated in 15 RCNY 18-39. In short, the stormwater runoff regulations do not apply.

Instead, DEP claims that it is authorized to require mitigation of stormwater runoff simply because approval of the variance from the fill provision would allow the construction of a residence with impervious surfaces. DEP, however, cannot extend its jurisdiction to otherwise unregulated sources of degradation or contamination of the New York City water supply, simply because they might potentially arise from the granting of a variance. If it could, then DEP could require Nilsson to propose mitigation measures to reduce the effect of any pollu-

2. The Regulations prohibit "[t]he construction of an impervious surface within the limiting distance of 100 feet of a watercourse or wetland, or within the limiting distance of 300 feet of a reservoir, reservoir stem, or controlled lake" (15 RCNY 18-39 [a] [1]). Subdivision (a) (5) governs construction of a new house. "[C]onstruction of a new individual residence within the limiting distance of 300 feet of a reservoir, reservoir stem, or controlled lake is prohibited" (15 RCNY 18-39 [a] [5] [i]). There are also restrictions on the construction of a new individual residence in a subdivision within the limiting distance of 100 feet of a watercourse or wetland (15 RCNY 18-39 [a] [5] [ii]). Additionally, under certain circumstances, "[c]onstruction of a new individual residence . . . within the limiting distance of 100 feet of a perennial stream or wetland requires an individual residential stormwater permit" from DEP (15 RCNY 18-39 [a] [5] [iii]). Subsequent subdivisions specify under what circumstances stormwater pollution prevention plans are required (*see* 15 RCNY 18-39 [b]). The provision most pertinent to Nilsson's planned construction requires the preparation of such plans when "[c]onstruction of a new solid waste management facility or alteration of modification of an existing solid waste management facility within 300 feet of a watercourse or wetland or 500 feet of a reservoir, reservoir stem or controlled lake" is proposed (15 RCNY 18-39 [b] [3] [v]).

tion source associated with a residence, from automobile exhaust emissions to domestic animal waste. Such broad jurisdiction would render meaningless the precise provisions of the Watershed Regulations that specify the distances from various water bodies within which construction may be regulated.

[2] Moreover, it was an abuse of discretion to deny the variance application on the basis that Nilsson did not provide information on his other real estate holdings “in the immediate vicinity” of the subject parcel. The request to provide “information regarding the applicant’s real estate holdings in the vicinity of the subject lot” (letter from DEP to John Delano, Jan. 30, 2004) was too broad.

An applicant seeking a variance from the Watershed Regulations is required to “[d]emonstrate that for the proposed use or activity for which the variance is requested, compliance with the identified provisions of the rules and regulations would create a substantial hardship *due to site conditions or limitations*” (15 RCNY 18-61 [a] [1] [iv] [emphasis added]). This provision requires the applicant to describe those physical conditions on the subject parcel that make compliance with a particular regulation difficult—or impossible—and thereby explain the perceived need for a variance. While the hardship of a landowner is necessarily economic in nature, the Watershed Regulations contain no express requirement that a variance applicant provide evidence of projected financial loss. In this respect, although both types of application require proof of “hardship,” the procedure for applying for a variance from the Watershed Regulations differs from the use variance application process in the zoning context, which requires proof, by competent financial evidence, of a substantial lack of reasonable return (General City Law § 81-b [3] [b] [i]; Town Law § 267-b [2] [b] [1]; Village Law § 7-712-b [2] [b] [1]).

Where compliance with a provision of the Watershed Regulations is possible, but the applicant claims that it is prohibitively expensive, DEP may reasonably require the variance applicant to quantify the “substantial hardship” by submitting an estimate of the costs of compliance. But where the hardship claimed is the *impossibility* of building a residence on the parcel, as Nilsson’s engineers repeatedly noted, there is little more to be said.

DEP may, however, reasonably request information about an applicant’s *contiguous* real estate holdings, because an applicant

who could combine lots may be able to minimize any hardship (*see* NY City DEP Variance Determination, June 2, 2004, at 2). Because Nilsson failed to provide information concerning contiguous holdings to DEP, the question whether he demonstrated substantial hardship must be remitted to DEP for reconsideration.

Accordingly, the order of the Appellate Division should be modified, with costs to petitioners, by remitting to Supreme Court, with directions to remand to the New York City Department of Environmental Protection for further proceedings in accordance with this opinion, and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order modified, etc.

[866 NE2d 1020, 834 NYS2d 692]

HIGHLAND CAPITAL MANAGEMENT LP, Appellant-Respondent, v
LEONARD SCHNEIDER et al., Respondents-Appellants and
Third-Party-Plaintiffs, and JENKENS & GILCHRIST PARKER
CHAPIN LLP, Respondent. RBC DOMINION SECURITIES CORP.,
Third-Party Defendant-Respondent.

Argued February 14, 2007; decided April 3, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Based on this record, do the eight promissory notes issued by McNaughton Apparel Group, Inc., to the Schneiders fall within the definition of a ‘security’ as contemplated by Section 8-102 [(a)] (15) of the New York Uniform Commercial Code?”

HEADNOTE

Bills, Notes and Checks — Promissory Note — Subordinated Promissory Notes as “Securities” under UCC Article 8

The subordinated promissory notes at issue constituted securities within the meaning of UCC 8-102 (a) (15). Pursuant to the statute, a security is an obligation of the issuer that is transferable, divisible and dealt in or traded on securities exchanges. The notes satisfied the transferability test as obligations “represented by a security certificate in . . . registered form” (UCC 8-102 [a] [15] [i]) inasmuch as they were papers that definitively embodied and evidenced the underlying intangible obligation of the issuer to defendant shareholders (UCC 8-102 [a] [4], [16]). They were in “registered form” (UCC 8-102 [a] [13]) since each of the notes specified one of the four defendant shareholders as the “person entitled to the security” (UCC 8-102 [a] [13] [i]), and the notes could have been registered on transfer books maintained by the issuer (UCC 8-102 [a] [13] [ii]). The notes, which were divided into two groups of four notes each and were identified as a class of obligations, satisfied the divisibility test in UCC 8-102 (a) (15) (ii), which requires that there be at least two instruments in a specified class or series, or that the single instrument be divisible into at least one additional instrument. Further, the notes fulfilled the functional test in UCC 8-102 (a) (15) (iii) (A) because the obligations “[were], or [were] of the type, dealt in or traded on securities exchanges or securities markets.” Finally, the determination that these subordinated promissory notes were article 8 securities was consistent with existing case law.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Commercial Code §§ 69–71.

McKINNEY's, UCC 8-102 (a) (4), (13), (15), (16).

NY JUR 2d, Investment Securities §§ 42, 44, 48, 183.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE § 31-12.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Promissory Note; Uniform Commercial Code.

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POINTS OF COUNSEL

Troutman Sanders LLP, New York City (*Katherine C. Ash* and *Alvin M. Stein* of counsel), for respondents-appellants. I. The Schneiders' notes are not "securities" and any alleged oral agreement for their sale is covered by the statute of frauds at UCC 1-206 (1). (*Federal Deposit Ins. Corp. v Herald Sq. Fabrics Corp.*, 81 AD2d 168; *Parma Tile Mosaic & Marble Co. v Estate of Short*, 87 NY2d 524; *Morris Cohon & Co. v Russell*, 23 NY2d 569; *State of New York v Patricia II.*, 6 NY3d 160; *Van Amerongen v Donnini*, 78 NY2d 880; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Graham v Commissioner of Internal Revenue*, 304 F2d 707; *Gerard v Helvering*, 120 F2d 235; *Rangolan v County of Nassau*, 96 NY2d 42; *Abood v Hospital Ambulance Serv.*, 30 NY2d 295.) II. The legislative history belies the contention that the securities industry is to be unburdened from compliance with the statute of frauds. III. Highland Capital Management LP proffers no valid grounds for excluding the Schneiders' notes from the application of UCC 1-206 (1). (*ALH Props. Ten v 306-100th St. Owners Corp.*, 191 AD2d 1, 86 NY2d 643; *Horn & Hardart Co. v Pillsbury Co.*, 703 F Supp 1062, 888 F2d 8; *Corporacion Venezolana de Fomento v Vintero Sales Corp.*, 452 F Supp 1108, 607 F2d 994; *Cohn, Ivers & Co. v Gross*, 56 Misc 2d 491; *Allegaert v Chemical Bank*, 657 F2d 495; *Dairyland Fin. Corp. v Federal Intermediate Credit Bank of St. Paul*, 852 F2d 242; *Lazard Freres & Co. v Protective Life Ins. Co.*, 108 F3d 1531, 522 US 864; *Matter of Waldstein*, 160 Misc 763; *Baker v Gotz*, 387 F Supp 1381.)

Lackey Hershman, L.L.P. (*Paul B. Lackey* and *Jamie R. Welton* of the Texas bar, admitted pro hac vice, of counsel), for appellant-respondent. I. UCC 8-102 (a) (15) should be construed

liberally to encompass the notes. (*ALH Props. Ten v 306-100th St. Owners Corp.*, 191 AD2d 1.) II. The notes are transferable. III. The notes are divisible. (*Allegaert v Chemical Bank*, 657 F2d 495; *Baker v Gotz*, 387 F Supp 1381.) IV. The notes are considered “securities” by the market. (*Allegaert v Chemical Bank*, 657 F2d 495; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *ALH Props. Ten v 306-100th St. Owners Corp.*, 191 AD2d 1; *Matter of Waldstein*, 160 Misc 763; *Lazard Freres & Co. v Protective Life Ins. Co.*, 108 F3d 1531; *Morris Cohon & Co. v Russell*, 23 NY2d 569.)

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has asked us whether the eight promissory notes at issue in this case are “securities” within the meaning of section 8-102 (a) (15) of the Uniform Commercial Code. For the reasons that follow, we conclude that they are.

I.

In April 1998, Norton McNaughton, Inc. (subsequently, McNaughton Apparel Group, Inc.) acquired two women’s apparel companies—Jeri-Jo Knitwear Inc. (owned by Leonard Schneider), and Jamie Scott, Inc. (owned by his three children, Leslie, Susan and Scott Schneider). These two businesses were combined to form a division of McNaughton called Jeri-Jo Knitwear, Inc. (Jeri-Jo). Under the terms of the Agreement of Purchase and Sale, McNaughton paid the Schneiders \$55 million in cash, assumed \$10.9 million in debt, and agreed to a future earn-out payment based on Jeri-Jo’s performance over the two-year period ending in June 2000, during which the Schneider children managed this business for McNaughton.¹

The earn-out payment was fixed at \$190 million, which the Agreement called for McNaughton to pay to the Schneiders in cash or, at McNaughton’s option, up to 50% in common stock. In light of available cash flow, however, McNaughton was only able to make the minimum cash payment, and wished to avoid the significant dilutive effect on earnings of paying the balance

1. Earn-out provisions in merger-and-acquisition agreements are intended to accommodate the seller’s desire for compensation for the anticipated future value of the transferred assets and the buyer’s reciprocal desire to avoid overpaying for potential, but as yet unrealized, value. In this case, the earn-out was based on Jeri-Jo’s profitability, not its sales.

in stock. As an alternative, McNaughton proposed issuing the Schneiders a three-year note secured solely by the face value of the stock to which they were entitled. Ultimately, McNaughton and the Schneiders compromised, agreeing to retire the earn-out obligation as of August 29, 2000 for \$161 million, consisting of \$125 million in cash (\$95 million to be paid immediately and \$30 million to be paid on or before November 30, 2000, subject to financing); two million shares of common stock at \$13 per share (\$26 million); and four three-year subordinated promissory notes with a combined face value of \$10 million. They also agreed that if financing could not be arranged for the \$30 million cash payment, McNaughton would pay the Schneiders \$59 million in a combination of cash, unsecured subordinated notes and/or shares of common stock at McNaughton's option.

In October 2000, McNaughton's chief executive officer informed the Schneiders that, given McNaughton's stock price, the company was unlikely to raise the additional equity needed to fund the \$30 million payment fast coming due. He asked the Schneiders to extend the November 30th deadline to April 30, 2001. In the end, the Schneiders declined this request and, on December 10, 2000, four three-year subordinated promissory notes with an overall face value of \$59 million were issued to them in lieu of the \$30 million cash payment.

The eight notes with an aggregate face value of \$69 million (the four issued in August 2000 plus the four issued the following December), running 12 pages apiece, were each payable to one or another of the four Schneiders.² The notes required McNaughton to make quarterly principal and monthly interest payments to the named payee. McNaughton was designated the maker of the notes, each of which bore the following restrictive legend: "THIS NOTE HAS NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED. IT MAY NOT BE TRANSFERRED IN THE ABSENCE OF AN EFFECTIVE REGISTRATION STATEMENT UNDER SUCH ACT OR AN OPINION OF COUNSEL TO THE MAKER THAT SUCH

2. Specifically, the subordinated promissory notes issued and dated August 29, 2000 were payable to Leonard Schneider in the amount of \$4 million; Leslie Schneider in the amount of \$2.4 million; Scott Schneider in the amount of \$1.2 million; and Susan Schneider in the amount of \$2.4 million. The subordinated promissory notes issued December 10, 2000 and dated December 1, 2000 were payable to Leonard Schneider in the amount of \$23.6 million; Leslie Schneider in the amount of \$14.16 million; Scott Schneider in the amount of \$7.08 million; and Susan Schneider in the amount of \$14.16 million.

REGISTRATION IS NOT REQUIRED.” Each note was marked “SUBORDINATED PROMISSORY NOTE” on its face because these notes were subordinate to McNaughton’s existing bank and bond debt amounting to roughly \$350 million. Upon McNaughton’s default, the payee had the right to declare the entire amount under the note due and owing, and to elect either to receive payment in stock or to accelerate payment. The notes stated that they were “governed by and construed in accordance with” New York law.

The securities industry professionals who subsequently dealt with the notes considered them to be high-risk debt akin to junk bonds. Consequently, it was anticipated that any potential purchaser would expect a high yield or internal rate of return. Concomitantly, the notes carried a substantial, variable interest rate (initially, 9.34% on the December notes).

As it turned out, McNaughton was acquired in June 2001 by Jones Apparel Group, Inc. As a result of the merger (an “Event of Default” under the terms of the notes), Jones redeemed the notes at par value, paying the Schneiders \$69 million plus interest through June 19, 2001. The parties to this litigation dispute whether the Schneiders reneged on an oral agreement to sell seven of the eight notes when they learned of the planned acquisition before it was announced to the public. In particular, Highland Capital Management LP alleges that the Schneiders, through their agent and broker, Glen Rauch of Glen Rauch Securities, Inc., retained RBC Dominion Securities Corporation (now RBC Capital Markets Corporation) to market the notes on their behalf, and that on March 14, 2001, RBC purchased the notes from the Schneiders for 51 cents on the dollar, and then immediately resold seven of the eight notes to Highland for 52.5 cents on the dollar.³

On October 18, 2001, Highland brought this suit against the Schneiders in Texas state court. The action was removed to federal court in Texas on diversity grounds, and then transferred to the United States District Court for the Southern District of New York. As relevant here, the complaint alleges that the Schneiders breached an oral agreement to sell the notes to Highland or, alternatively, breached a binding preliminary agreement to do so, or breached an agreement to sell the notes to

3. Highland alleges that RBC resold the remaining note to Fidelity Management and Research Company, also on March 14, 2001 and for 52.5 cents on the dollar.

RBC, of which Highland was a third-party beneficiary.⁴ The Schneiders answered, denying they had ever agreed to sell the notes to anyone on March 14, 2001 at any price, and asserting that any such oral agreement would have been unenforceable anyway since it fell within the statute of frauds. After the close of discovery, the Schneiders moved for summary judgment to dismiss the complaint.

The Uniform Commercial Code generally bars enforcement of purported agreements to sell personal property in excess of \$5,000 unless “there is some writing which indicates that a contract for sale has been made between the parties at a defined or stated price, reasonably identifies the subject matter, and is signed by the party against whom enforcement is sought or by his authorized agent” (UCC 1-206 [1]). In considering the Schneiders’ statute-of-frauds defense, the District Judge observed that the statute does not apply to a contract for the sale or purchase of a “security” (UCC 8-113) (*Highland Capital Mgt., L.P. v Schneider*, 2005 WL 1765711, *13, 2005 US Dist LEXIS 14912, *43 [SD NY, July 26, 2005], quoting *Wharf [Holdings] Ltd. v United Int’l Holdings, Inc.*, 532 US 588, 595 [2001] [“Oral contracts for the sale of securities are sufficiently common that the Uniform Commercial Code and statutes of frauds in every State now consider them enforceable”]). He concluded, however, that the seven promissory notes were not securities for purposes of article 8 of the Uniform Commercial Code, because they were not transferrable within the meaning of section 8-102 (a) (15) (i).

The District Judge dismissed Highland’s two breach-of-contract claims against the Schneiders on the merits. Although he found an issue of material fact with respect to Highland’s claim to be a third-party beneficiary of a contract between the Schneiders and RBC, the District Judge dismissed this cause of action for lack of subject matter jurisdiction. He reasoned that since the underlying oral agreement, even if proven, would only be enforceable up to \$5,000 because of the statute of frauds, the claim fell short of the \$75,000 statutory threshold for diversity jurisdiction. Highland appealed.

4. RBC intended to act as a “riskless principal.” That is, RBC sought to eliminate its risk for variable market conditions by obtaining commitments to a specified price from both the seller (here, 51 cents on the dollar) and the ultimate buyer (here, 52.5 cents on the dollar from two buyers) before executing a trade with the seller. RBC’s compensation on the transaction would have been the spread between these two prices.

“Given the dearth of caselaw on what constitutes a security under the New York version of [article 8] of the New York U.C.C., and the manifest significance of the determination,” the Second Circuit retained jurisdiction over Highland’s three contract-based claims, and certified the following question to us: “Based on this record, do the eight promissory notes issued by McNaughton Apparel Group, Inc. to the Schneiders fall within the definition of a security as contemplated by Section 8-102 [(a)] (15) of the New York Uniform Commercial Code?” (*Highland Capital Mgt. LP v Schneider*, 460 F3d 308, 322 [2d Cir 2006] [internal quotation marks omitted].) We answer that question in the affirmative.

II.

The Uniform Commercial Code defines “security” at section 8-102 (a) (15) as

“an obligation of an issuer or a share, participation, or other interest in an issuer or in property or an enterprise of an issuer:

“(i) which is represented by a security certificate in bearer or registered form, or the transfer of which may be registered upon books maintained for that purpose by or on behalf of the issuer;

“(ii) which is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations; and

“(iii) which:

“(A) is, or is of a type, dealt in or traded on securities exchanges or securities markets; or

“(B) is a medium for investment and by its terms expressly provides that it is a security governed by this Article.”

Thus, the promissory notes must fulfill the requirements of subparagraphs (i) (the transferability test), (ii) (the divisibility test) and (iii) (the functional test) of section 8-102 (a) (15) in order to qualify as a security for purposes of article 8 (*see generally* UCC 8-102, Comment 15; 7A Hawkland and Rogers UCC Series § 8-102:01 [rev art 8]; *see also*, Report on Proposed Revisions to Article 8, made to Assn of Bar of City of NY as prepared by Comms on Uniform State Laws and Banking Law, Bill

Jacket, L 1997, ch 566, at 65 [“ ‘Security’ as defined in Revised Section 8-102 (a) (15) . . . includes . . . any other obligation of the issuer . . . that is transferable, divisible, and is dealt in or traded on securities exchanges”]).

First, we must consider whether the notes are obligations “represented by a security certificate in bearer or registered form.” Section 8-102 (a) (4) defines a “certificated security” as “a security that is represented by a certificate,” and section 8-102 (a) (16) defines a “security certificate” as “a certificate representing a security.” These definitions are, as the Second Circuit observed, somewhat circular, and might refer either to a specialized document like a traditional stock certificate or, more generally, to a paper embodying the underlying intangible interest. Of course, the definitions in section 8-102 were deliberately worded by the drafters “in *general terms*, because they must be sufficiently *comprehensive and flexible* to cover the wide variety of investment products that now exist or may develop” (UCC 8-103, Comment 1 [emphasis added]). We see no reason to accept the Schneiders’ invitation to read “certificated security” and “security certificate” more narrowly than their plain words suggest. Thus, we interpret these terms to encompass the eight subordinated promissory notes, which are papers that definitively embody and evidence the underlying intangible obligation of McNaughton to the Schneiders.

The notes are obviously not in bearer form; therefore, our next inquiry is whether they are in “registered form.” In this regard, section 8-102 (a) (13) states that

“ ‘[r]egistered form’, as applied to a certificated security, means a form in which:

“(i) the security certificate specifies a person entitled to the security; and

“(ii) a transfer of the security may be registered upon books maintained for that purpose by or on behalf of the issuer, or the security certificate so states.”

Each of the notes specifies one of the four Schneiders as the “person entitled to the security,” which satisfies section 8-102 (a) (13) (i). Accordingly, we must next look at whether “a transfer of the security *may be* registered upon books maintained for that purpose by or on behalf of the issuer,” as required by section 8-102 (a) (13) (ii) (emphasis added). The Schneiders (and the dissent) argue that in order to fulfill this requirement,

McNaughton must have set up or kept separate and independent transfer books for this purpose at the time it issued the notes. We agree with the Second Circuit, however, “that the proper inquiry is whether the notes *could have been* registered on transfer books maintained by McNaughton, not whether they were registered on transfer books at the time of the litigation” (460 F3d at 314 [discussing identical language in section 8-102 (a) (15) (i)]).

In this regard, the rules in part 4 of article 8 are instructive. Part 4, along with parts 2 and 3, deals with the rights of persons who hold certificates directly, as the Schneiders did here. Section 8-401 sets out the preconditions that trigger the issuer’s duty to register a certificated security when it is presented with a request to register a transfer.⁵ Thus, the phrase “may be registered” in section 8-102 (a) (13) (ii) refers to whether McNaughton would have been required to register the transfer of the notes to a third party at the Schneiders’ request.

We conclude that McNaughton ultimately would have been constrained to do so. McNaughton did not restrict transfer of the notes other than by the legend, as its chief executive officer acknowledged. And the restrictive legend itself suggests that the parties contemplated the possibility of future transfer. As Highland points out, as a practical matter, McNaughton would have to have recorded any transfer of the notes in order to protect itself and the senior debt holders. For example, in the event of default, the payee of the notes could have elected conversion of the principal to common stock, thus diluting other shareholders’ value; and because the notes called for hefty payments of principal and interest, McNaughton had to have a way to keep track of the proper payees. Accordingly, we conclude that the notes satisfy the transferability test in UCC 8-102 (a)

5. These preconditions for certificated securities include whether, under the security’s terms, the person seeking registration of transfer is eligible to have the security registered in his name; the indorsement is made by the appropriate person or an agent with actual authority; reasonable assurance is given that the indorsement is genuine and authorized; applicable tax laws have been complied with; the transfer does not violate any restriction on transfer imposed by the issuer against a person with actual knowledge, or constructive knowledge (i.e., any restriction is conspicuously noted on the certificate); there is not in force an effective demand by a registered owner that the issuer not register a transfer; and the transfer is in fact rightful or is to a protected purchaser (*see* UCC 8-401).

(15) (i): they were obligations represented by a security certificate in registered form.⁶

Further, the notes satisfy the divisibility test in section 8-102 (a) (15) (ii). “[M]inimum compliance with this formality requires that there be at least two instruments in a specified class or series, or that the single instrument be divisible into at least one additional instrument” (*Allegaert v Chemical Bank*, 657 F2d 495, 507 [2d Cir 1980] [citation and internal quotation marks omitted]; see also *Baker v Gotz*, 387 F Supp 1381, 1390 [D Del 1975] [where six notes are issued for a total of 25,360,000 Swiss francs, the notes are “patently one of a class or series”] [citation and internal quotation marks omitted]; UCC 8-102, Comment 15 [“The divisibility test of subparagraph (ii) applies to the security—that is, the underlying intangible interest”]). Here, there were eight notes, divided into two groups of four notes each. The eight notes were identified in McNaughton’s Form 8-K as a class of obligations, in the same category, in fact, as McNaughton’s 12¹/₂% senior notes, which the Schneiders concede were article 8 securities.

Next, the notes fulfill the functional test in section 8-102 (a) (15) (iii) (A) because these obligations “[were], or [were] of a type, dealt in or traded on securities exchanges or securities markets.” This component “provides flexibility while ensuring that the Article 8 rules do not apply to interests or obligations in circumstances so unconnected with the securities markets that parties are unlikely to have thought of the possibility that Article 8 might apply” (UCC 8-102, Comment 15). Tellingly, the many securities industry professionals from Rauch, RBC and Highland who dealt with the notes uniformly treated them as securities. McNaughton’s chief executive officer, when he first proposed issuing the notes in lieu of cash or stock, described them as a “form of a convertible subordinated debenture.” When McNaughton issued the notes to the Schneiders in August

6. We note that we are not “[c]onfusing registrability upon transfer books with recording in corporate books generally,” as the dissent contends (dissenting op at 420). Rather, we conclude, for the reasons stated, that “the notes *could have been* registered on transfer books maintained by McNaughton” (460 F3d at 314). The dissent also acknowledges that McNaughton had (or must have had) transfer books (presumably, to register transfer of the 12¹/₂% senior notes), but asserts that “those books were not available for registering transfers of the notes at issue here” (dissenting op at 419). Even if correct, this pronouncement begs the question of whether, in light of section 8-401, McNaughton would have been required to register transfer of the subordinated promissory notes if the Schneiders had asked McNaughton to do so.

2000, it reported its actions to the Securities and Exchange Commission, and put out a press release to inform the public.

Finally, our determination that these subordinated promissory notes are article 8 securities is consistent with existing case-law, sparse though it may be (*see e.g. Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36, 43 [1995] [stating broadly that “article 8 of the Uniform Commercial Code . . . governs stocks, bonds and other evidences of indebtedness”]; *see also Baker, supra* [promissory notes are securities under section 8-102]; *S.N. Phelps & Co. v Prudential Ins. Co. of Am.*, US Dist Ct, D Conn, Nov. 22, 1991, Cabranes, J. [considering senior subordinate notes, essentially indistinguishable from the subordinated promissory notes in this case, to be article 8 securities]). Treating these notes as article 8 securities comports with a central goal of the Uniform Commercial Code, which is to create a framework for commercial activity that reflects and fosters developing custom and usage. Or as one commentator remarked with specific reference to article 8: “[T]he definition [of securities] will change as ‘securities’ trading practices evolve to include or exclude new property interests. It is believed that the definition will cover anything which securities markets, including not only the organized exchanges but as well the ‘over-the-counter’ markets, are likely to regard as suitable for trading” (8 Lawrence’s Anderson on the Uniform Commercial Code § 8-102:1, at 29 [3d ed rev 2005]; *see also Bentley v ASM Communications, Inc.*, 1991 WL 105220, at *2, 1991 US Dist LEXIS 7855, at *5-6 [SD NY, June 11, 1991] [citing pre-1997 Comment 2 to section 8-102 to support defining the term “security” broadly]).

Accordingly, the certified question should be answered in the affirmative.

SMITH, J. (dissenting). The question of when a promissory note is a “security” is a familiar one in federal securities law, and has proved very difficult (*see e.g. Reves v Ernst & Young*, 494 US 56 [1990]; *Chemical Bank v Arthur Andersen & Co.*, 726 F2d 930 [2d Cir 1984]; *Exchange Natl. Bank of Chicago v Touche Ross & Co.*, 544 F2d 1126 [2d Cir 1976]). The authors of the Uniform Commercial Code made the question of what is a “security” for UCC purposes easier, by including in the definition of “security” an element not present in federal securities law: with some exceptions, an obligation is not a security for UCC purposes unless it “may be registered upon books

maintained for that purpose by or on behalf of the issuer” (UCC 8-102 [a] [15] [i]). Today, the majority effectively undoes the work of the UCC’s authors, by reading this registrability requirement in so broad a way as to make it meaningless.

Though it is not apparent from the majority opinion, registrability is the only significant issue in this case. No one disputes that what the majority calls the “divisibility test” and the “functional test” in the UCC definition of “security” (UCC 8-102 [a] [15] [ii], [iii]) are met here. The majority holds that the notes at issue are “represented by . . . securit[ies] certificate[s]” within the meaning of UCC 8-102 (a) (15) (i), but it does not matter whether the majority is right or wrong about this, because registrability is necessary to make either an uncertificated obligation or a non-bearer certificated obligation into a security. If the obligation is certificated, the certificate must be in either “bearer or registered form” (*id.*), and the definition of “registered form” requires that “a transfer of the security may be registered upon books maintained for that purpose by or on behalf of the issuer, or the security certificate so states” (UCC 8-102 [a] [13] [ii]). If the obligation is not certificated, it is still a security if it meets the other tests and its “transfer . . . may be registered upon books maintained for that purpose by or on behalf of the issuer” (UCC 8-102 [a] [15] [i]). Registrability is therefore critical, whether there is a certificate or not.

Before considering the meaning of the registrability requirement, it is useful to consider why the UCC’s authors made it part of their definition of “security”—a definition that is completely independent of the federal securities law definition of the same term (*see* UCC 8-102, Comment 3 [1977 amendments], reprinted in 8 Lawrence’s Anderson on the Uniform Commercial Code § 8-102:1, at 29-30 [3d ed rev 2005]). The apparent reason for the requirement is to facilitate line-drawing—to provide a relatively simple test to distinguish between obligations and interests that are securities and those that are not. As the Comment says: “The definition of ‘registered form’ . . . [s]erves primarily to distinguish Article 8 securities from instruments governed by other law, such as Article 3” (UCC 8-102, Comment 13).

These distinctions matter. For example, the rights and obligations of an issuer and holder of an article 3 negotiable instrument are substantially different from those of an issuer and holder of an article 8 security. The issuer of a security in

registered form may treat the registered owner as the owner for all purposes, until the security is presented for registration of transfer (*see* UCC 8-207 [a]). The issuer of an unregistered negotiable instrument does not have that option. The indorser of a negotiable instrument may also be liable to subsequent holders in the event that the issuer defaults (*see* UCC 3-414). The indorser of an article 8 security, in contrast, makes no warranties with respect to the issuer's ability to satisfy the underlying obligation (*see* UCC 8-108).

The need for clear distinctions led the authors of the UCC to adopt the formalistic requirement of registrability. Such formalism would be out of place in the federal securities laws, which have the prevention of fraud and other abuses in securities markets among their primary purposes. Congress wanted to make evasion of the federal securities laws difficult, and accordingly:

“[i]n defining the scope of the market that it wished to regulate, Congress painted with a broad brush. It recognized the virtually limitless scope of human ingenuity, especially in the creation of ‘countless and variable schemes devised by those who seek the use of the money of others on the promise of profits,’ *SEC v. W. J. Howey Co.*, 328 U. S. 293, 299 (1946), and determined that the best way to achieve its goal of protecting investors was ‘to define “the term ‘security’ in sufficiently broad and general terms so as to include within that definition the many types of instruments that in our commercial world fall within the ordinary concept of a security.” ’ [*United Housing Foundation, Inc. v Forman*, 421 US 837, 847-848 (1975)] (quoting H. R. Rep. No. 85, 73d Cong., 1st Sess., 11 (1933)). Congress therefore did not attempt precisely to cabin the scope of the Securities Acts. Rather, it enacted a definition of ‘security’ sufficiently broad to encompass virtually any instrument that might be sold as an investment” (*Reves*, 494 US at 60-61).

The UCC is less concerned with frustrating the ingenuity of schemers, and more with providing a workable and predictable code to govern legitimate transactions. The purposes of the UCC are therefore well served by making the line between securities and other interests and obligations as clear as possible—a clarity that is lacking in federal securities law. The “broad

brush” approach of the federal securities laws prompts participants in transactions to err on the side of caution, and to assume—as the parties in this case did—that anything near the borderline is a “security” for federal purposes. But the goal of the UCC is to mark the border plainly.

Registrability is a test well suited to that goal. It has long been a common practice for issuers of stocks, bonds, notes and other obligations or interests to maintain (or to retain a transfer agent to maintain) books on which the transfers of these obligations and interests may be registered. It is not hard to determine whether such books exist or not. If they do, then “transfer [of the obligation or interest] may be registered upon books maintained for that purpose by or on behalf of the issuer” and the registrability requirement is met.

In this case, no claim is made that McNaughton, the issuer of the notes in suit, maintained (itself or through an agent) transfer books on which transfers of these notes could be registered. McNaughton did have transfer books, and transfers were registered on them—including transfers of certain classes of promissory notes—but those books were not available for registering transfers of the notes at issue here. That should end the inquiry: the registrability requirement is not met, and these notes are not securities.

The majority’s contrary conclusion rests in part on circular reasoning. It finds that these notes “may be” registered because UCC 8-401 would require registration—but that section applies only to “a certificated security in registered form.” Whether the notes are such securities is the very question the majority is deciding.

The majority also seeks to justify its result by overemphasizing some words in the statutes describing the registrability requirement and ignoring others. It emphasizes the words “may be” (majority op at 413-414), which the majority seemingly takes to mean that the notes are registrable if any books could possibly exist in which transfers of the notes could be registered. Read so broadly, the words “may be” deprive the registrability requirement of any meaning—it is always theoretically possible there could be books on which transfers of anything could be registered. The words “may be registered upon books maintained for that purpose” are much more plausibly read to mean that “books maintained for that purpose” must exist, on which transfers may (or may not) be registered. In other words, the

requirement is met whether transfers are actually registered on the books or not, but not if there are no books “maintained for that purpose” on which registration could occur.

The majority ignores the statutory words “maintained for that purpose.” It concludes that the registrability requirement is met because, if the notes are transferred and McNaughton is informed of the transfer, it must obviously record the information somewhere, so that it will have “a way to keep track of the proper payees” (majority op at 414). On this reading of the statute, it is hard to imagine any transferable obligation of any issuer that would not be registrable. The right question is not whether transfers may be reflected in some way in McNaughton’s books and records—of course they may—but whether they “may be registered *upon books maintained for that purpose.*”

Confusing registrability upon transfer books with recording in corporate books generally was essentially the error criticized, in another context, by a distinguished panel of the Second Circuit Court of Appeals in *Gerard v Helvering* (120 F2d 235 [2d Cir 1941, per curiam: L. Hand, Chase and Frank, JJ.]). The issue there was whether payments on a certain bond were a “retirement” of “capital assets” for federal income tax purposes, a question that in turn depended on the registrability of the bond. The court said:

“[the taxpayer] cannot succeed unless [the bond] was ‘in registered form,’ a phrase whose meaning in this context is entirely plain. It refers to the common practice in the issuance of corporate bonds which allows the holder of one or more coupon bonds of a series the option to surrender them and have one bond ‘registered’ upon the books of the obligor or of a transfer agent; or the holder may subscribe for such a bond in the first place. The purpose is to protect the holder by making invalid unregistered transfers, and the bond always so provides upon its face. *The mere fact that the debtor keeps books of account upon which the debt appears is altogether immaterial*; to construe the statute as the taxpayer asks would in effect make the payment of any corporate debt—‘evidence of indebtedness’—a ‘retirement’ of ‘capital assets,’ for almost all corporations keep books. It is scarcely necessary to labor the answer to so plain a misinterpretation” (120 F2d at 235-236 [emphasis added]).

I find the majority's error in interpreting the UCC here to be equally plain.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and JONES concur with Judge READ; Judge SMITH dissents and votes to answer the certified question in the negative in a separate opinion in which Judge PIGOTT concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[867 NE2d 381, 835 NYS2d 530]

WHITE PLAINS COAT & APRON CO., INC., Appellant, v CINTAS
CORP. et al., Respondents.

Argued March 20, 2007; decided April 26, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does a generalized economic interest in soliciting business for profit constitute a defense to a claim of tortious interference with an existing contract for an alleged tortfeasor with no previous economic relationship with the breaching party?”

HEADNOTE

Torts — Interference with Contractual Relations — Availability of Defense of Economic Justification

A generalized economic interest in soliciting business for profit does not constitute a defense to a claim of tortious interference with an existing contract for an alleged tortfeasor with no previous economic relationship with the breaching party. In a contract interference case, the economic interest defense is applicable where the defendant claims that it acted to protect its own legal or financial stake in the breaching party's business. A defendant who is simply plaintiff's competitor and knowingly solicits its contract customers is not economically justified in procuring the breach of contract. However, sending regular advertising and soliciting business in the normal course does not constitute inducement of breach of contract. A competitor's ultimate liability will depend on a showing that the inducement exceeded a minimum level of ethical behavior in the marketplace.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Interference §§ 3, 14, 36, 37, 39, 47, 48.

NY JUR 2d, Interference §§ 23–25, 43–45.

PROSSER AND KEETON, TORTS (5th ed) §§ 129, 130.

ANNOTATION REFERENCE

See ALR Index under Impairment of Contracts.

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economic

POINTS OF COUNSEL

Mayer, Brown, Rowe & Maw LLP (Lee Rubin of the California bar, admitted pro hac vice, of counsel) and *Mayer, Brown, Rowe & Maw LLP*, Los Angeles, California (Todd Lundell of counsel), for appellant. I. New York law protects existing contracts against a competitor's interference and does not provide a justification defense based solely on defendant's interest in soliciting new business. (*Posner Co. v Jackson*, 223 NY 325; *Israel v Wood Dolson Co.*, 1 NY2d 116; *Bernberg v Health Mgt. Sys.*, 303 AD2d 348; *P. Kaufmann, Inc. v Americraft Fabrics, Inc.*, 198 F Supp 2d 466; *Akcess Pac. Group LLC v Winstar Communications Inc.*, 67 F Supp 2d 394; *American Para Professional Sys. v Examination Mgt. Servs.*, 214 AD2d 413; *Kaminski v United Parcel Serv.*, 120 AD2d 409; *Pyramid Brokerage Co. v Citibank [N.Y. State]*, 145 AD2d 912; *KSL Recreation Corp. v Boca Raton Hotel & Club Ltd. Partnership*, 168 Misc 2d 18; *Guard-Life Corp. v Parker Hardware Mfg. Corp.*, 50 NY2d 183.) II. The District Court's rule would obliterate the sensible distinction between contract interference and interference with prospective business relations. (*Carvel Corp. v Noonan*, 3 NY3d 182; *Guard-Life Corp. v Parker Hardware Mfg. Corp.*, 50 NY2d 183; *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614.)

Harris Beach PLLC, Pittsford (A. Vincent Buzard and Laura W. Smalley of counsel), and *Keating Muething & Klekamp, PLL* (Steven C. Coffaro of the Ohio bar, admitted pro hac vice, of counsel) for respondents. I. Under New York law, knowledge that the customer is using the goods is not sufficient to prove actual knowledge of the contract in proving a tortious interference claim; as such, White Plains Coat & Apron Co., Inc. failed to establish an element of its prima facie case. (*Foster v Churchill*, 87 NY2d 744; *A A Tube Testing Co. v Sohne*, 20 AD2d 639; *Bogoni v Friedlander*, 197 AD2d 281; *Burns Jackson Miller Summit & Spitzer v Lindner*, 88 AD2d 50, 59 NY2d 314; *Roulette Records v Princess Prod. Corp.*, 15 AD2d 335, 12 NY2d 815; *J&L Am. Enters., Ltd. v DSA Direct, LLC*, 10 Misc 3d 1076[A], 2006 NY Slip Op 50101[U]; *LinkCo, Inc. v Fujitsu Ltd.*, 230 F Supp 2d 492; *Pattison-Bolson Rug Serv. v Sloane*, 45 AD2d 862; *Riordan v Nationwide Mut. Fire Ins. Co.*, 977 F2d 47; *Carvel Corp. v Noonan*, 3 NY3d 182.) II. A competitor conducting its business to sell its goods and solicit business in

the normal course where it knows that the customer is receiving goods from plaintiff but does not know plaintiff has an enforceable contract with the customer should not be liable for tortious interference absent malice or improper means. (*Guard-Life Corp. v Parker Hardware Mfg. Corp.*, 50 NY2d 183; *Foster v Churchill*, 87 NY2d 744; *Felsen v Sol Cafe Mfg. Corp.*, 24 NY2d 682; *Rossi v Kelly*, 96 AD2d 451; *State Enters. v Southridge Co-op. Section 1*, 18 AD2d 226; *Carvel Corp. v Noonan*, 3 NY3d 182.)

OPINION OF THE COURT

Chief Judge KAYE.

Plaintiff, White Plains Coat & Apron Co., Inc., is a New York-based linen rental business. Its competitor, defendant Cintas Corp., is a nationwide business that rents similar products to commercial customers. White Plains alleges that it had five-year exclusive service contracts with customers and that, knowing of these arrangements, Cintas nonetheless induced dozens of White Plains' customers to breach their contracts and enter into rental agreements with Cintas. White Plains by letter demanded that Cintas desist solicitation and discontinue servicing White Plains' contract customers, enclosing a list of customers allegedly solicited improperly. Cintas denied knowledge of any contracts and continued its solicitation.

White Plains sued Cintas in United States District Court for the Southern District of New York for tortious interference with existing customer contracts. After discovery, Cintas sought summary judgment, arguing that it had no knowledge of contracts with White Plains and had not induced any breach. While noting "a small element of doubt" in New York law (and itself suggesting a need for certification to this Court), the District Court granted summary judgment and dismissed the complaint, ruling orally that Cintas' legitimate interest as a competitor to solicit business and make a profit alone triggered the defense of economic justification. Given Cintas' economic interest, the court concluded, to survive summary judgment White Plains had to show that Cintas acted with malice or illegality, and failed to do so. The court later denied White Plains' motion for reconsideration, finding that defendant did not need an ownership interest in the breaching party's business in order to assert the economic interest defense.

On White Plains' appeal, the Court of Appeals for the Second Circuit reviewed New York's law on tortious interference with

contract, noting that procuring “the breach of a contract in the exercise of equal or superior right is acting with just cause or excuse and is justification for what would otherwise be an actionable wrong.”¹ The court observed, however, that there was an important open state law question regarding the economic interest defense. While satisfied that the defense applies when the tortfeasor has a preexisting legal or financial relationship with the breaching party—not present in the case before us—the Second Circuit sought clarification as to the broader reach of the defense and therefore certified the following potentially dispositive question to us: “Does a generalized economic interest in soliciting business for profit constitute a defense to a claim of tortious interference with an existing contract for an alleged tortfeasor with no previous economic relationship with the breaching party?”² We answer that question in the negative.³

Analysis

It is a familiar proposition that one “who intentionally and improperly interferes with the performance of a contract (except a contract to marry) between another and a third person by inducing or otherwise causing the third person not to perform the contract, is subject to liability to the other for the pecuniary loss resulting to the other from the failure of the third person to perform the contract.”⁴ Though long a part of our law, this commonly asserted tort continues to generate a spate of decisions, with sometimes varying views. At bottom, as a matter of policy, courts are called upon to strike a balance between two valued interests: protection of enforceable contracts, which lends stability and predictability to parties’ dealings, and promotion of free and robust competition in the marketplace.

While New York law recognizes the tort of interference with both *prospective* and *existing* contracts, “greater protection is accorded an interest in an existing contract (as to which respect for individual contract rights outweighs the public benefit to be

1. *White Plains Coat & Apron Co., Inc. v Cintas Corp.*, 460 F3d 281, 283 (2d Cir 2006), quoting *Foster v Churchill*, 87 NY2d 744, 750 (1996) (internal quotation marks omitted).

2. *Id.* at 289.

3. We are not called upon to, nor do we, address the other issues briefed and argued by defendant, including its alleged lack of knowledge of White Plains’ contracts with its customers, the enforceability of any such contracts and the propriety of defendant’s solicitation methods.

4. Restatement (Second) of Torts § 766.

derived from unfettered competition) than to the less substantive, more speculative interest in a prospective relationship (as to which liability will be imposed only on proof of more culpable conduct on the part of the interferer).”⁵

In a contract interference case—as here—the plaintiff must show the existence of its valid contract with a third party, defendant’s knowledge of that contract, defendant’s intentional and improper procuring of a breach, and damages.⁶ In response to such a claim, a defendant may raise the economic interest defense—that it acted to protect its own legal or financial stake in the breaching party’s business. The defense has been applied, for example, where defendants were significant stockholders in the breaching party’s business;⁷ where defendant and the breaching party had a parent-subsidiary relationship;⁸ where defendant was the breaching party’s creditor;⁹ and where the defendant had a managerial contract with the breaching party at the time defendant induced the breach of contract with plaintiff.¹⁰

A defendant who is simply plaintiff’s competitor and knowingly solicits its contract customers is not economically justified in procuring the breach of contract.¹¹ In other words, mere status as plaintiff’s competitor is not a legal or financial stake in the breaching party’s business that permits defendant’s inducement of a breach of contract. We do not subscribe to the District Court’s view that “the only answer . . . is to go out and do it also to the other guy.” Rather, the answer is succinctly articulated in the New York Pattern Jury Instructions: “When the defendant is simply a competitor of the plaintiff seeking prospective customers and plaintiff has a customer under contract for a definite period, defendant’s interest is not equal

5. *Guard-Life Corp. v Parker Hardware Mfg. Corp.*, 50 NY2d 183, 191 (1980).

6. *Lama Holding Co. v Smith Barney*, 88 NY2d 413 (1996); see also *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614 (1996); *Israel v Wood Dolson Co.*, 1 NY2d 116, 120 (1956).

7. *Felsen v Sol Cafe Mfg. Corp.*, 24 NY2d 682, 687 (1969); *Morrison v Frank*, 81 NYS2d 743 (1948); see also *Foster*, 87 NY2d at 751.

8. *American Protein Corp. v AB Volvo*, 844 F2d 56, 63 (2d Cir 1988), cert denied 488 US 852 (1988); *WMW Mach. Co. v Koerber AG.*, 240 AD2d 400, 401 (2d Dept 1997); *Koret, Inc. v Christian Dior, S.A.*, 161 AD2d 156, 157 (1st Dept 1990), lv denied 76 NY2d 714 (1990).

9. *Ultramar Energy v Chase Manhattan Bank*, 179 AD2d 592, 592-593 (1st Dept 1992).

10. *Don King Prods., Inc. v Smith*, 47 Fed Appx 12 (2d Cir 2002).

11. See Restatement (Second) of Torts § 768 (2).

to that of plaintiff and would not justify defendant's inducing the customer to breach the existing contract.”¹² To conclude otherwise—to answer the certified question in the affirmative—would blur the distinction between tortious interference with existing, enforceable contracts and tortious interference with prospective contractual relations, where, as a matter of policy, the balance of interests is different.

Finally, we note that protecting existing contractual relationships does not negate a competitor's right to solicit business, where liability is limited to *improper* inducement of a third party to breach its contract. Sending regular advertising and soliciting business in the normal course does not constitute inducement of breach of contract.¹³ A competitor's ultimate liability will depend on a showing that the inducement exceeded “a minimum level of ethical behavior in the marketplace.”¹⁴

Accordingly, the certified question should be answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

12. 2 NY PJI2d 3:56, at 507-508 (2007).

13. Restatement (Second) of Torts § 766, Comment *m* (1977).

14. *Guard-Life*, 50 NY2d at 200 (Cooke, Ch. J., dissenting in part); *see also V. Marangi Carting Corp. v Judex Enters.*, 171 Misc 2d 820 (Sup Ct, NY County 1997).

[866 NE2d 1033, 834 NYS2d 705]

AMBASE CORPORATION, Appellant, v DAVIS POLK & WARDWELL et al., Respondents.

Argued March 21, 2007; decided April 26, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 1, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Louis B. York, J.), which had dismissed the amended complaint and awarded defendants the principal sum of \$1,424,104 in outstanding legal fees.

AmBase Corp. v Davis Polk & Wardwell, 30 AD3d 171, affirmed.

HEADNOTES

Attorney and Client — Malpractice

1. Defendant law firm, which successfully litigated an Internal Revenue Service tax dispute, did not commit legal malpractice when it failed to question whether an agreement entered into between plaintiff client and a related company may have relieved plaintiff of the tax liability in dispute. Inasmuch as defendant was retained to litigate the amount of tax liability, the issue of whether plaintiff was primarily or secondarily liable for the tax liability was outside the scope of defendant's representation. Plaintiff's speculative assertion that it was not primarily liable for the subject withholding taxes could not support a malpractice claim. Further, plaintiff failed to produce any evidence that defendant's lack of advice was the "but for" cause of a loss reserve remaining on plaintiff's financial statements, which allegedly caused it to lose business opportunities and incur monetary damages.

Constitutional Law — Due Process of Law — Grant of Relief Not Requested — Attorney's Fees

2. In a legal malpractice action in which it was determined that no cause of action had been stated, the award of a money judgment to defendants for outstanding legal fees did not violate plaintiff's procedural due process rights to notice and an opportunity to be heard, despite the fact that no proceeding for the recovery of a money judgment had been commenced and no counterclaim had been interposed. A party is required to bring all of its claims arising out of a transaction in a single complaint. Plaintiff, in its amended complaint, identified the amount of defendants' outstanding fee and, thus, was on notice of its exact amount. Plaintiff failed to challenge the amount of the legal fees in its complaint or at any time throughout the proceedings that followed, and also failed to challenge the procedure leading to entry of judgment against it. Under the circumstances, the award of a money judgment to defendant for the outstanding legal fees was proper.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 212, 214, 254.

CARMODY-WAIT 2d, Officers of Court § 3:438.

NY JUR 2d, Attorneys at Law §§ 178, 217, 220; NY JUR 2d, Malpractice §§ 38, 43, 45, 46.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:152.

PROSSER AND KEETON, TORTS (5th ed) §§ 41, 42.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Malpractice By Attorney.

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POINTS OF COUNSEL

Greenberg & Massarelli, LLP, Purchase (*William Greenberg* and *Crystal M. Massarelli* of counsel), for appellant. I. The lower court should not have granted Davis Polk & Wardwell's motion to dismiss AmBase Corporation's cause of action for legal malpractice. (*Rovello v Orofino Realty Co.*, 40 NY2d 633; *Foley v D'Agostino*, 21 AD2d 60; *Weil, Gotshal & Manges, LLP v Fashion Boutique of Short Hills, Inc.*, 10 AD3d 267; *Darby & Darby v VSI Intl.*, 95 NY2d 308; *Jacobson v Sassower*, 66 NY2d 991; *Gair v Peck*, 6 NY2d 97, 361 US 374; *VDR Realty Corp. v Mintz*, 167 AD2d 986; *Skinner v Stone, Raskin & Israel*, 724 F2d 264; *Alva v Hurley, Fox, Selig, Caprari & Kelleher*, 156 Misc 2d 550; *Rosner v Paley*, 65 NY2d 736.) II. AmBase Corporation's complaint should not be dismissed on grounds of "equitable estoppel" or "judicial estoppel." (*Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443; *Burrowes v Combs*, 25 AD3d 370; *New York City Health & Hosps. Corp. v St. Barnabas Hosp.*, 10 AD3d 489; *Hart v Carro, Spanbock, Kaster & Cuiffo*, 211 AD2d 617; *Weil, Gotshal & Manges, LLP v Fashion Boutique of Short Hills, Inc.*, 10 AD3d 267.) III. AmBase Corporation's cross motion for partial summary judgment on the issue of liability for legal malpractice should have been granted. (*Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood*, 170 AD2d 108; *Grago v Robertson*, 49 AD2d 645; *Estate of Gottlieb v Karlsson*, 295 AD2d 158; *Shapiro v Butler*, 273 AD2d 657; *Yiouti Rest. v Sotiriou*, 151 AD2d 744; *Shaughnessy v Baron*, 151 AD2d 561.) IV. AmBase Corporation's cause of action for breach of fiduciary duty should not have been dismissed.

(*Weil, Gotshal & Manges, LLP v Fashion Boutique of Short Hills, Inc.*, 10 AD3d 267; *Darby & Darby v VSI Intl.*, 95 NY2d 308; *Estate of Nevelson v Carro, Spanbock, Kaster & Cuiffo*, 259 AD2d 282; *Thies v Bryan Cave LLP*, 13 Misc 3d 1220[A], 2006 NY Slip Op 51920[U]; *Williams v Sidley Austin Brown & Wood, L.L.P.*, 11 Misc 3d 1064[A], 2006 NY Slip Op 50381[U]; *Reyes v Leuzzi*, 10 Misc 3d 1064[A], 2005 NY Slip Op 52112[U]; *Sonnenschine v Giacomo*, 295 AD2d 287; *Turk v Angel*, 293 AD2d 284; *Edwards v Thorpe*, 876 F Supp 693; *Bukoskey v Walter W. Shuham, CPA, P.C.*, 666 F Supp 181.) V. AmBase Corporation's damages set forth in the complaint are not "speculative." (*Foley v D'Agostino*, 21 AD2d 60; *Tenzer, Greenblatt, Fallon & Kaplan v Ellenberg*, 199 AD2d 45; *InKine Pharm. Co. v Coleman*, 305 AD2d 151; *VDR Realty Corp. v Mintz*, 167 AD2d 986; *Skinner v Stone, Raskin & Israel*, 724 F2d 264; *Wolstencroft v Sassower*, 124 AD2d 582; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood*, 170 AD2d 108.) VI. Assuming arguendo that the amended verified complaint was deficient, the IAS court should have permitted AmBase Corporation leave to replead. (*Cushman & Wakefield v John David, Inc.*, 25 AD2d 133.) VII. The entry of the judgment for money damages in the amount of \$1,867,244.15 pursuant to the lower court's order denied AmBase Corporation its rights to procedural due process and was violative of the New York Civil Practice Law and Rules. (*Armstrong v Manzo*, 380 US 545; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *McKinsey & Co. v Olympia & York 245 Park Ave. Co.*, 79 AD2d 557; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Levy v Blue Cross & Blue Shield of Greater N.Y.*, 124 AD2d 900; *Griscti v Mortgage Commn.*, 249 App Div 632; *National Sur. Corp. v Peccichio*, 48 Misc 2d 77.)

Simpson Thacher & Bartlett LLP, New York City (Roy L. Rear-don of counsel), and *Davis Polk & Wardwell* (Guy Miller Struve, Mario J. Verdolini, Nancy B. Ludmerer, David B. Toscano and Elliot Moskowitz of counsel pro se) for Davis Polk & Wardwell and others, respondents. I. AmBase Corporation cannot maintain this action because it has admitted, in representations to courts and others in sworn testimony, the falsity of the allegations upon which this case rests. (*Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Morgenthau & Latham v Bank of N.Y. Co.*, 305 AD2d 74, 100 NY2d 512; *Weil, Gotshal & Manges, LLP v Fashion Boutique of Short Hills, Inc.*, 10 AD3d 267; *Bull & Bear Group v Fuller*, 170 AD2d 275, 78 NY2d 1110; *Metzger v*

Aetna Ins. Co., 227 NY 411; *Ford Motor Credit Co. v Colonial Funding Corp.*, 215 AD2d 435; *Kimco of N.Y. v Devon*, 163 AD2d 573; *Environmental Concern v Larchwood Constr. Corp.*, 101 AD2d 591; *Davis v Wakelee*, 156 US 680; *Matter of 67 Vestry Tenants Assn. v Raab*, 172 Misc 2d 214.) II. AmBase Corporation has failed to satisfy any of the elements required to sustain a legal malpractice claim. (*Darby & Darby v VSI Intl.*, 95 NY2d 308; *Dimond v Kazmierczuk & McGrath*, 15 AD3d 526, 5 NY3d 715; *Town of N. Hempstead v Winston & Strawn, LLP*, 28 AD3d 746, 7 NY3d 715; *Byrnes v Palmer*, 18 App Div 1, 160 NY 699; *Rosner v Paley*, 65 NY2d 736; *Davis v Klein*, 88 NY2d 1008; *N.A. Kerson Co. v Shayne, Dachs, Weiss, Kolbrenner, Levy & Levine*, 45 NY2d 730; *McKenna v Forsyth & Forsyth*, 280 AD2d 79; *McCoy v Feinman*, 99 NY2d 295; *Pellegrino v File*, 291 AD2d 60, 98 NY2d 606.) III. The Appellate Division properly dismissed AmBase Corporation's claim for breach of fiduciary duty. (*Mecca v Shang*, 258 AD2d 569, 95 NY2d 791; *Tyborowski v Cuddeback & Onofry*, 279 AD2d 763; *Tasseff v Nussbaumer & Clarke*, 298 AD2d 877; *Carmel v Lunney*, 70 NY2d 169; *N.A. Kerson Co. v Shayne, Dachs, Weiss, Kolbrenner, Levy & Levine*, 45 NY2d 730; *Vooth v McEachen*, 181 NY 28; *Milbank, Tweed, Hadley & McCloy v Boon*, 13 F3d 537; *Santulli v Englert, Reilly & McHugh*, 78 NY2d 700; *Sears, Roebuck & Co. v Enco Assoc.*, 43 NY2d 389; *Chase Scientific Research v NIA Group*, 96 NY2d 20.) IV. The entry of a money judgment in favor of Davis Polk & Wardwell was proper and AmBase Corporation's due process arguments are meritless. (*St. Lawrence Univ. v Trustees of Theol. School of St. Lawrence Univ.*, 20 NY2d 317; *Hirsch v Lindor Realty Corp.*, 63 NY2d 878; *People v Robinson*, 88 NY2d 1001; *McMillan v State of New York*, 72 NY2d 871; *Matter of Barbara C.*, 64 NY2d 866; *Xiao Yang Chen v Fischer*, 6 NY3d 94; *Matter of Hunter*, 4 NY3d 260; *Podhorecki v Lauer's Furniture Stores*, 201 AD2d 947; *Matter of Entertainment Partners Group v Davis*, 155 Misc 2d 894, 198 AD2d 63; *People v Gruden*, 42 NY2d 214.) V. The courts below did not err in denying AmBase Corporation's cross motion for partial summary judgment. VI. The courts below correctly denied AmBase Corporation's request to file a second amended complaint. (*Probst v Albert Einstein Med. Ctr.*, 82 AD2d 739; *Helene-Harrisson Corp. v Moneyline Networks*, 6 AD3d 151; *Russo v Feder, Kaszovitz, Isaacson, Weber, Skala & Bass*, 301 AD2d 63; *Davis v Klein*, 88 NY2d 1008.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal we are asked to determine whether a law firm

that successfully litigated an Internal Revenue Service (IRS) tax dispute nonetheless committed legal malpractice when it failed to question whether an agreement entered into between the client and a related company may have relieved it of the tax liability in dispute. We are also asked to determine whether defendants were properly awarded a money judgment where defendants had not answered or asserted a counterclaim. We conclude that defendants did not commit legal malpractice, and a money judgment was properly awarded to defendants.

I.

In 1985, plaintiff AmBase Corporation became an independent entity when its parent City Investing Company elected to liquidate.¹ In order to ensure payment of its postliquidation liabilities, City Investing transferred substantial assets to City Investing Company Liquidating Trust (City Trust). At the same time, AmBase and its parent company entered into an Assignment and Assumption Agreement (the Agreement) that purportedly required AmBase to assume primary liability for City Investing's federal income taxes, and assume secondary liability as a "backstop" to City Trust for all other liabilities which it was unable to pay.

Shortly thereafter, the IRS determined that City Investing was liable for having failed to withhold 30% of interest payments to a related entity, City Investing Finance N.V. (N.V.), for a period of six years from 1979 through September 1985. In 1991, Lester Mantell, a senior vice-president of AmBase and trustee of City Trust, advised AmBase and the IRS in a Tax Protest that AmBase was liable as N.V.'s agent for the withholding taxes in issue if such liability was ultimately determined to exist. Attempts to settle the tax matter failed and a year later, AmBase retained defendant Davis Polk & Wardwell to resolve this dispute with the IRS.²

In May 1995, the IRS issued a notice of deficiency for the tax years 1979 through 1985 for the withholding taxes in the sum of \$20,986,609, and in June, Davis Polk filed a petition in United States Tax Court challenging the alleged deficiencies. The mat-

1. At the time of the liquidation, AmBase was known as The Home Group, Inc.

2. Plaintiff also individually named as defendants the Davis Polk attorneys assigned to the IRS matter, but we collectively refer to all defendants as Davis Polk.

ter was litigated and in May 2001, the Tax Court rendered a decision in AmBase's favor, rejecting the IRS's claim for the subject withholding taxes (*see AmBase Corp. v Commissioner of Internal Revenue*, TC Memo 2001-122 [2001]). Following this victory on behalf of its client, Davis Polk requested payment of \$1,424,104 in outstanding legal fees pursuant to the terms of its retainer agreement.³ AmBase refused to pay and requested that Davis Polk return previously paid legal fees.

AmBase then commenced this action for legal malpractice alleging that, although it won the tax case, it suffered substantial damages as a result of defendants' failure to advise that it was only secondarily liable for payment of taxes as per the Agreement with its parent. Plaintiff further requested a declaration that it did not owe Davis Polk \$1,424,104 in outstanding legal fees. Davis Polk moved to dismiss plaintiff's amended complaint and for a declaration that AmBase was obliged to pay all fees owed as per its retainer agreement plus interest and for "such other and further relief as this Court may deem just and proper." AmBase cross-moved for partial summary judgment on the issue of liability for legal malpractice.

Supreme Court rejected AmBase's assertions, granted Davis Polk's motion to dismiss the complaint and awarded the firm a money judgment of \$1,424,104 representing outstanding legal fees plus statutory interest.⁴ The court found that Davis Polk was hired to resolve tax issues for liability that AmBase had assumed, and that even if Davis Polk had committed malpractice, AmBase's damages were "entirely speculative." Supreme Court then directed the parties to settle an order, and defendants submitted a proposed order directing the entry of a money judgment. AmBase did not submit a proposed counterorder, nor did it advise the court that the proposed money judgment was improper in the absence of a pleading seeking such a judgment, and it never requested an opportunity to litigate the matter.

The Appellate Division unanimously affirmed, holding that since "[d]efendants successfully represented plaintiff in a tax dispute with the [IRS]," the claim that the dispute could have

3. The retainer agreement provided that if Davis Polk were successful in resolving the tax matter with the IRS, AmBase would pay Davis Polk a "success fee" calculated at 150% of Davis Polk's billed time, subject to a two million dollar cap.

4. Supreme Court was mistaken when in its decision from the bench it referred to "the counterclaim," as no counterclaim was ever filed. Neither party sought to correct the court.

been “resolved in a more expeditious fashion[] was properly dismissed as speculative” (30 AD3d 171, 172 [2006]). The Court further held that “[d]efendants were entitled to a money judgment . . . in light of [plaintiff’s] failure, throughout these proceedings, to contest the amount, which was based on calculations consistent with the retainer agreement” (*id.*). We granted leave to appeal, and now affirm.

II.

[1] We need not answer the question whether a legal malpractice claim is precluded by virtue of a complete victory in an underlying action. What is before us is whether a cause of action for legal malpractice lies under the circumstances of this particular case. We hold it does not. In order to sustain a claim for legal malpractice, a plaintiff must establish both that the defendant attorney failed to exercise the ordinary reasonable skill and knowledge commonly possessed by a member of the legal profession which results in actual damages to a plaintiff (*see McCoy v. Feinman*, 99 NY2d 295, 301-302 [2002]), and that the plaintiff would have succeeded on the merits of the underlying action “but for” the attorney’s negligence (*see Davis v. Klein*, 88 NY2d 1008, 1009-1010 [1996]).

The gravamen of this legal malpractice claim is that defendants failed to advise plaintiff that the Agreement allegedly provided that AmBase was not primarily liable for the subject taxes in the underlying Tax Court proceeding—that primary liability rested with City Trust. Plaintiff claims that defendants were provided with a copy of the Agreement but never fully reviewed the document to determine what effect, if any, it had on the underlying dispute with the IRS, thereby failing to exercise the ordinary reasonable skill and knowledge commonly possessed by a member of the legal profession. AmBase further asserts that “but for” Davis Polk’s negligence, it would not have had to maintain the multi-million dollar loss reserve on its books, creating the appearance that it had a negative net worth, which caused it to lose business opportunities and incur monetary damages.

Defendants dispute AmBase’s claim that its liability for the taxes was only secondary. In addition, they assert that they were retained to litigate only whether taxes were due, not to determine who was responsible for such taxes. Defendants further argue that they had not advised AmBase to carry the loss reserve and that AmBase publicly acknowledged that it was

responsible for the withholding taxes at issue since 1985, seven years before Davis Polk was retained.

The retainer agreement states that AmBase has “engaged [Davis Polk] to represent [it] as agent for City Investing to resolve the tax issues currently before” the IRS. The plain language of the retainer agreement indicates that Davis Polk was retained to litigate the amount of tax liability and not to determine whether the tax liability could be allocated to another entity. Thus, the issue whether plaintiff was primarily or secondarily liable for the subject tax liability was outside the scope of its representation. As such, defendants exercised the ordinary reasonable skill and knowledge commonly possessed by a member of the legal profession when they focused their efforts on the controversy between AmBase and the IRS—the subject of the retainer agreement—resulting in a most favorable outcome, which was publicly praised by AmBase principals (see *Darby & Darby v VSI Intl.*, 95 NY2d 308, 313 [2000]).

Furthermore, AmBase understood that it was primarily liable for the subject withholding taxes. For approximately seven years prior to Davis Polk’s retention in this matter, both AmBase and the IRS took the position—privately and in public filings—that AmBase was responsible for all of the subject tax obligations. AmBase now takes the position that it relied on an erroneous interpretation of the Agreement that equated “federal income taxes” and the subject “withholding taxes” as one and the same. Nevertheless, language in the Agreement suggests that the intent of the parties was for AmBase to assume all of City Investing’s tax liability. A contrary interpretation of the Agreement may be possible, but no such interpretation has been given to the language of the Agreement by any court or arbitrator to date and none need be given here. We have observed that “[a] legal malpractice action is unlikely to succeed when the attorney erred because an issue of law was unsettled or debatable” (*Darby*, 95 NY2d at 315 [citation omitted]). A speculative assertion as to which entity was primarily liable for the subject taxes—AmBase or City Trust—cannot support a legal malpractice claim.

Additionally, the record provides no support for plaintiff’s assertion that “but for” Davis Polk’s failure to advise it that it may not have been primarily liable for the subject taxes, the loss reserve would have been removed earlier and it would not have suffered loss of business opportunities. Indeed, the loss reserve had been in place for years before Davis Polk was even

retained. After Davis Polk reviewed the case, it promptly informed AmBase's accountants of its belief that AmBase had a very strong case and that it was probable that it had no liability for the subject taxes. Davis Polk reiterated this opinion to AmBase's board of directors as well. Despite this advice, AmBase and its accountants continued to maintain the loss reserve. Thus, AmBase has also failed to produce any evidence that Davis Polk's lack of advice was the "but for" cause of the loss reserve remaining on AmBase's financial statements.

In this matter, there is no way to know whether the advice not given—that AmBase may have been only secondarily as opposed to primarily liable for the subject taxes—"would have altered the [duration] of the [underlying] action" (*N.A. Kerson Co. v Shayne, Dachs, Weiss, Kolbrenner, Levy & Levine*, 45 NY2d 730, 732 [1978]; see also *Carmel v Lunney*, 70 NY2d 169, 173 [1987]). Therefore, any effect of such lack of advice is purely speculative and cannot support a legal malpractice claim.

III.

A second argument also merits review: whether the award of a money judgment to defendants, when no proceeding for the recovery of a money judgment had been commenced (nor counterclaim interposed), violated plaintiff's procedural due process rights under the Federal and New York State Constitutions, which require notice and an opportunity to be heard (see *Armstrong v Manzo*, 380 US 545, 550 [1965]; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327, 358 [2005]).

AmBase asserts that it was not presented with an opportunity to contest the amount of the success fee, since Davis Polk's request for relief did not place it on notice that the amount owed was in issue. Defendants respond that AmBase had ample notice of the amount awarded since AmBase itself raised the issue in the first instance, and had numerous opportunities throughout the litigation to contest the amount of the outstanding legal fees.

A party is required to bring all of its claims arising out of a transaction in a single complaint. Here, AmBase, in its amended complaint, specifically identified the amount of the fee as \$1,424,104 and thus was undeniably on notice of its exact amount. AmBase had numerous opportunities throughout the litigation to challenge the calculation of the fee, but did not. It failed to dispute the amount claimed in its opposition to Davis Polk's motion to dismiss, and did not request a hearing on the

issue. AmBase also had an opportunity to question the amount and award of the fee at the time Supreme Court rendered its decision from the bench. It also failed to raise any question whatsoever about the unorthodox procedure of entering a money judgment in the absence of a pleading demanding one. AmBase additionally could have raised the question as to the amount of the award in a subsequent filing—a proposed order perhaps—which it did not, nor did it ever request a hearing to determine the reasonableness of the calculation.

[2] Thus, having failed to challenge the amount of the legal fees in its complaint or at any time throughout the proceedings that followed, and also having failed to challenge the procedure leading to entry of judgment against it, including correcting Supreme Court’s mistaken impression that a counterclaim had been filed, AmBase is now precluded from doing so. Under these circumstances, the order of Supreme Court awarding defendant a money judgment for the outstanding legal fees was proper (*see* CPLR 3017 [a], [b]). We have examined plaintiff’s remaining contentions and find them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[867 NE2d 385, 835 NYS2d 534]

BERNARD RUDOLF et al., Appellants, v SHAYNE, DACHS, STANISCI, CORKER & SAUER et al., Respondents. (And a Third-Party Action.)

Argued March 21, 2007; decided April 26, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 5, 2006. The Appellate Division (1) reversed, insofar as cross-appealed from by defendants, so much of a judgment of the Supreme Court, Nassau County (William LaMarca, J.), as had awarded plaintiffs the principal sum of \$28,703.27, entered upon an order of that court which had granted plaintiffs' motion for summary judgment and dismissed defendants' counterclaims; (2) denied plaintiffs' motion for summary judgment; (3) granted summary judgment in favor of defendants; (4) dismissed the complaint; (5) modified accordingly Supreme Court's order which had granted summary judgment to plaintiffs; and (6) dismissed as academic plaintiffs' appeal from the judgment.

Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer, 31 AD3d 418, modified.

HEADNOTES

Damages — Consequential Damages — Legal Malpractice

1. In a legal malpractice action premised upon counsel's failure to request the proper jury charge in the underlying personal injury action, plaintiff was entitled to recover from defendant law firm consequential damages consisting of legal and expert witness fees and related expenses incurred in hiring new counsel to move to set aside the verdict that had assigned 50% fault to plaintiff, pursuing an appeal from Supreme Court's judgment and retaining expert witnesses to testify at the second trial. Plaintiff incurred litigation expenses to correct defendants' error and paid a second time for expert fees for the retrial. This would not have been necessary but for defendants' negligence. Moreover, plaintiff sustained actual damages as a result of defendants' malpractice notwithstanding that plaintiff obtained a substantial settlement during the course of the second trial. The settlement recovered by plaintiff as a result of the second trial represented compensatory damages in the underlying action and was not designed to reimburse plaintiff for the fees and expenses caused by defendants' negligence.

Interest — Actions in Which Recoverable — Legal Malpractice

2. In a legal malpractice action premised upon counsel's failure to request the proper jury charge in the underlying personal injury action, plaintiff was not entitled to recover interest that would have accrued on the \$750,000

recovered at the second trial had that sum been awarded at the conclusion of the first trial. Plaintiff's assertion that, had the proper instruction been charged, the first jury would have awarded \$750,000—instead of the \$255,000 it actually awarded—was pure speculation. There was no basis to presume that a difference in the instructions on determining liability would have altered the jury's calculation of damages.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 212, 238; AM JUR 2d, Damages §§ 123, 430, 431, 473, 479.

CARMODY-WAIT 2d, Judgments § 63:64.

NY JUR 2d, Damages §§ 54, 55, 122; NY JUR 2d, Malpractice § 78.

ANNOTATION REFERENCE

See ALR Index under Consequential Damages; Interest on Money; Malpractice By Attorney.

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POINTS OF COUNSEL

Howard R. Birnbach, Great Neck, for appellants. I. Plaintiffs are entitled to compensatory damages for monies expended at a second trial necessitated by legal malpractice. (*Giambrone v Bank of N.Y.*, 253 AD2d 786; *Zarin v Reid & Priest*, 184 AD2d 385; *DePinto v Rosenthal & Curry*, 237 AD2d 482; *Gamiel v Curtis & Riess-Curtis, P.C.*, 16 AD3d 140; *Lebeau v Morales*, 245 AD2d 269; *VDR Realty Corp. v Mintz*, 167 AD2d 986; *Affiliated Credit Adjustors v Carlucci & Legum*, 139 AD2d 301; *Lory v Parsoff*, 296 AD2d 535.) II. Respondents are liable for statutory interest on the monies denied to appellants due to malpractice. (*Love v State of New York*, 78 NY2d 540; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Burton v Kaplan*, 184 AD2d 408; *Jamie Towers Hous. Co. v William B. Lucas, Inc.*, 296 AD2d 359; *Ocean Ships, Inc. v Stiles*, 315 F3d 111.)

L'Abbate, Balkan, Colavita & Contini, L.L.P., Garden City (*Matthew K. Flanagan* of counsel), for respondents. I. The Appellate Division correctly held that plaintiffs failed to demonstrate that they suffered any damages. (*Pistilli v Gandin*, 10 AD3d 353; *Magnacoustics, Inc. v Ostrolenk, Faber, Gerb & Sof-*

fen, 303 AD2d 561; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *McKenna v Forsyth & Forsyth*, 280 AD2d 79.) II. Aside from the fact that plaintiffs have not suffered any damages, they failed to establish that their alleged damages would not have been sustained “but for” defendants’ alleged malpractice. (*Davis v Klein*, 88 NY2d 1008; *Schwartz v Olshan Grundman Frome & Rosenzweig*, 302 AD2d 193.)

OPINION OF THE COURT

GRAFFEO, J.

In this legal malpractice action, we conclude that plaintiff is entitled to recover from defendant law firm consequential damages consisting of legal and expert witness fees and related expenses. Under the circumstances of this case, however, we agree with the courts below that plaintiff should not receive an interest award.

In September 1999, plaintiff Bernard Rudolf sustained personal injuries when he was struck by an automobile while walking across the westbound lanes of Sunrise Highway in Merrick, Long Island. The intersection where the accident occurred was controlled by a traffic signal and the car that hit plaintiff was making a left turn from Hewlett Avenue onto Sunrise Highway. Defendant law firm, Shayne, Dachs, Stanisci, Corker & Sauer, was retained to represent plaintiff, and his wife derivatively, in a personal injury action against the driver and owner of the vehicle. A firm member served as plaintiff’s trial counsel.

The trial was bifurcated and during the liability stage there was conflicting testimony as to whether plaintiff was in the crosswalk at the time of the accident. After completion of the testimony, at the request of plaintiff’s counsel, the trial court instructed the jury on the statutory requirements of Vehicle and Traffic Law § 1151. Section 1151 addresses intersections without operational traffic signals and generally provides that pedestrians have the right of way in crosswalks. But that provision also imposes a duty on pedestrians not to “suddenly leave a curb or other place of safety and walk or run into the path of a vehicle which is so close that it is impractical for the driver to yield” (Vehicle and Traffic Law § 1151 [b]). The jury returned a verdict finding both plaintiff and the driver negligent and apportioned 50% of the fault to each party. Following the damages

phase of the trial, the jury calculated damages at \$255,000, to be reduced by half to reflect plaintiff's comparative negligence.¹

Plaintiff then retained new counsel and moved to set aside the verdict, asserting that the court gave an erroneous charge and should have instructed the jury on section 1111 of the Vehicle and Traffic Law rather than section 1151. Section 1111 applies to intersections regulated by traffic signals and grants pedestrians "facing any steady green signal" the right of way within a crosswalk (Vehicle and Traffic Law § 1111 [a] [3]). The statute further provides that vehicular traffic facing a green arrow signal may enter the intersection cautiously, but must "yield the right of way to other traffic lawfully within the intersection or an adjacent cross walk" (Vehicle and Traffic Law § 1111 [a] [2]). Supreme Court denied the motion, noting that plaintiff's attorney had requested an instruction based on section 1151. Plaintiff appealed and the Appellate Division reversed, holding that "[t]he erroneous charge was a fundamental error requiring a new trial because it affected the jury's consideration of the plaintiff's liability if the jury determined that the plaintiff was in the crosswalk when he was hit" (4 AD3d 408, 409-410 [2004]). The Court granted plaintiff a new trial.

A second trial ensued in November 2004. This time, the court properly charged Vehicle and Traffic Law § 1111 and the jury determined that the driver was solely responsible for the accident.² At the damages phase, five expert witnesses testified on plaintiff's behalf. Before the jury returned a verdict on damages, the parties settled the case for \$750,000.

Plaintiff initiated this legal malpractice action against defendants relating to their representation during the first trial, alleging that they were negligent in not requesting that Vehicle and Traffic Law § 1111 be charged to the jury and in failing to object to the charge given. In his damages claim, plaintiff sought payment of the legal fees associated with the motion to set aside the verdict and the appeal, as well as the expert witness fees and expenses incurred for the second trial. Plaintiff also

1. Specifically, the jury found that plaintiff sustained damages of \$140,000 for past loss of earnings; \$50,000 for future loss of earnings; \$25,000 for past pain and suffering; \$25,000 for future pain and suffering; and that his wife was entitled to \$15,000 for loss of services.

2. Although the jury found both plaintiff and the driver negligent, it concluded that plaintiff's negligence was not a substantial factor in causing the accident.

requested approximately \$190,000 in interest that would have accrued at nine percent per annum on the \$750,000 had that sum been awarded at the conclusion of the first trial in January 2002. Defendants interposed a counterclaim for unpaid legal fees as trial counsel in the first litigation. Plaintiff then moved for summary judgment, seeking the total sum of \$225,175.

Supreme Court granted plaintiff summary judgment to the extent of awarding \$28,703.27 (plus interest thereon) to reimburse plaintiff for legal and expert fees and expenses, but denied the motion insofar as it sought predecision interest on the \$750,000 settlement. The court also dismissed defendants' counterclaim. The Appellate Division reversed plaintiff's award of \$28,703.27 and dismissed the complaint in its entirety, reasoning that plaintiff did not sustain any actual damages as a result of defendants' malpractice in light of the substantial settlement obtained during the course of the second trial. We granted plaintiff leave to appeal.

In an action to recover damages for legal malpractice, a plaintiff must demonstrate that the attorney "failed to exercise the ordinary reasonable skill and knowledge commonly possessed by a member of the legal profession" and that the attorney's breach of this duty proximately caused plaintiff to sustain actual and ascertainable damages (*McCoy v Feinman*, 99 NY2d 295, 301-302 [2002] [internal quotation marks and citation omitted]). To establish causation, a plaintiff must show that he or she would have prevailed in the underlying action or would not have incurred any damages, but for the lawyer's negligence (see *Davis v Klein*, 88 NY2d 1008, 1009-1010 [1996]; *Carmel v Lunney*, 70 NY2d 169, 173 [1987]).

Here, defendants do not dispute that they were negligent in requesting that section 1151 of the Vehicle and Traffic Law be charged in light of the undisputed evidence that the intersection at issue was controlled by a traffic light. As the Appellate Division noted, section 1111 governs intersections regulated by traffic signals and is more favorable to pedestrians than section 1151, which, by its plain terms, applies only where there are no traffic signals. The erroneous charge forced plaintiff to hire new counsel to move to set aside the verdict assigning 50% fault to plaintiff, pursue an appeal from Supreme Court's judgment and retain expert witnesses to testify at the second trial. These steps would not have been necessary but for defendants' negligence.

Defendants contend, and the Appellate Division concurred, that plaintiff did not sustain any actual damages as a result of the malpractice because plaintiff ultimately recovered a settlement of \$750,000 in the underlying personal injury action. We are unpersuaded.

Damages in a legal malpractice case are designed “to make the injured client whole” (*Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38, 42 [1990]). A plaintiff’s damages may include “litigation expenses incurred in an attempt to avoid, minimize, or reduce the damage caused by the attorney’s wrongful conduct” (*DePinto v Rosenthal & Curry*, 237 AD2d 482, 482 [2d Dept 1997]; see also *Baker v Dorfman*, 239 F3d 415, 426 [2d Cir 2000]; 3 Mallen and Smith, Legal Malpractice §§ 20:6, 20:10 [2007]).

[1] In this case, plaintiff incurred litigation expenses to correct defendants’ error and paid a second time for expert fees for the retrial. These expenditures were readily ascertainable and calculated at \$28,703.27 by Supreme Court. Although plaintiff achieved a \$750,000 settlement as a result of the second trial, that sum represented compensatory damages in the underlying personal injury action and was not designed to reimburse plaintiff for the fees and expenses caused by defendants’ negligence. We therefore agree with Supreme Court that plaintiff is entitled to consequential damages of \$28,703.27.

[2] Like the courts below, we reject plaintiff’s argument that he should recover interest on the \$750,000 settlement from January 2002 to November 2004. Plaintiff contends that, had it been properly charged, the first jury would have found the driver solely responsible for the accident and returned a damages verdict of \$750,000, and that defendants should be responsible for interest that would have accrued on that sum during that period before he received payment. But plaintiff’s assertion that, had the proper instruction been charged, the first jury would have awarded \$750,000—instead of the \$255,000 it actually awarded—is pure speculation. Sections 1151 and 1111 of the Vehicle and Traffic Law relate only to liability and not to the damages issues. There is no basis to presume that a difference in the instructions on determining liability would have altered the jury’s calculation of damages. Plaintiff is

therefore not entitled to interest as an element of damages in this malpractice action.³

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the judgment of Supreme Court and, as so modified, the order should be affirmed.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

3. We need not decide in this case whether predecision interest may be recoverable in a legal malpractice action under other circumstances (*see generally* CPLR 5001; *Baker*, 239 F3d at 424-425; 3 Mallen and Smith, Legal Malpractice § 20:5 [2007]).

[866 NE2d 1039, 834 NYS2d 710]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
CHIDDICK, Appellant.

Argued March 22, 2007; decided May 1, 2007

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 16, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Megan Tallmer, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree, assault in the second degree and criminal possession of stolen property in the fifth degree.

People v Chiddick, 29 AD3d 382, affirmed.

HEADNOTE

Crimes — Verdict — Sufficiency of Evidence — Proof of Physical Injury

In a prosecution arising out of an incident wherein defendant was committing burglary in a building where the victim worked and the victim scuffled with and was bitten on the hand by defendant, the evidence was sufficient to support the jury's finding that defendant caused the victim "substantial pain" and therefore "physical injury" as defined in Penal Law § 10.00 (9), as an element of the crimes of burglary in the second degree (Penal Law § 140.25) and assault in the second degree (Penal Law § 120.05 [6]). The evidence supported a finding of substantial pain where it was shown that defendant had bitten the victim's finger, causing the victim's fingernail to crack and his finger to bleed, that the victim sought medical treatment for his injury and that his pain was not trivial. In addition, under the circumstances, where defendant was trying to escape and make the victim let go of him, it was clear that the defendant's motive was to inflict pain.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery §§ 16, 34, 73; AM JUR 2d, Burglary §§ 29, 45.
McKINNEY's, Penal Law § 10.00 (9); § 120.05 (6); § 140.25.
NY JUR 2d, Criminal Law §§ 3697, 3715, 4076, 4090.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery; Burglary; Pain and Suffering.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: assault /4 second & substantial /2 pain /5 physical
/2 injury

POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (*Jamie Lynn Craver* and *Jonathan K. Youngwood* of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* and *Risa Gerson* of counsel) for appellant. James Chiddick's second degree burglary and second degree assault convictions must be reversed because the evidence educed at trial was legally insufficient to establish "physical injury" within the meaning of Penal Law § 10.00 (9). (*People v Guidice*, 83 NY2d 630; *Matter of Philip A.*, 49 NY2d 198; *People v Jimenez*, 55 NY2d 895; *People v Adams*, 309 AD2d 648; *People v Foster*, 162 AD2d 703; *People v Estes*, 131 AD2d 872; *Matter of Shawnell UU.*, 240 AD2d 947; *People v Marzano*, 147 AD2d 752; *People v Thomas*, 274 AD2d 761; *People v Velasquez*, 202 AD2d 1037.)

Robert T. Johnson, District Attorney, Bronx (*Leilani Rodriguez*, *Joseph N. Ferdenzi* and *Peter D. Coddington* of counsel), for respondent. Physical injury was established beyond a reasonable doubt. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v McDowell*, 28 NY2d 373; *People v Rojas*, 61 NY2d 726; *Matter of Philip A.*, 49 NY2d 198; *People v Guidice*, 83 NY2d 630; *People v Bouyea*, 142 AD2d 757; *People v Tejada*, 165 AD2d 683, 78 NY2d 936; *People v Durant*, 190 AD2d 615; *People v Tate*, 170 AD2d 291.)

OPINION OF THE COURT

SMITH, J.

We hold that the evidence in this case was sufficient to support the jury's finding that defendant caused "substantial pain" and therefore "physical injury" to his victim.

Defendant made the mistake of committing burglary in a building where Adrian Gentles was working. Gentles confronted him and the two scuffled, defendant trying to escape and Gentles trying to hold on to him. Defendant bit Gentles on the left ring finger and fled, but Gentles followed him in a car, eventually cornered him, and turned him over to the police.

The bite caused Gentles's fingernail to crack and his finger to bleed. After defendant was captured, Gentles went to the hospital, where he received a tetanus shot and a bandage. Gentles gave the following testimony about what the bite felt like:

“Q . . . And as a result of being bitten on your nail by the defendant, what happened, did you feel any pain?

“A Sure.

“Q All right. How much pain? A little pain, a lot of pain?

“A In between.

“Q Okay. So, moderate pain you felt?

“A Yeah.”

A jury convicted defendant on several charges, including second degree burglary (Penal Law § 140.25) and second degree assault (Penal Law § 120.05 [6]). It is an element of both these crimes that defendant caused “physical injury” to Gentles, and defendant challenges his conviction on the ground that proof of physical injury was lacking. “Physical injury,” as used in the Penal Law, means “impairment of physical condition or substantial pain” (Penal Law § 10.00 [9]). We decide that the record supports a finding of substantial pain, and do not consider whether impairment of physical condition was also established.

Of course “substantial pain” cannot be defined precisely, but it can be said that it is more than slight or trivial pain. Pain need not, however, be severe or intense to be substantial. Beyond these generalizations, there are several factual aspects of a case that can be examined to decide whether enough pain was shown to support a finding of substantiality.

Perhaps most important is the injury defendant inflicted, viewed objectively. Here, defendant broke Gentles’s fingernail and caused him to bleed—an experience that would normally be expected to bring with it more than a little pain. Also important is the victim’s subjective description of what he felt; sometimes an objective account of the injury, unaccompanied by testimony about the degree of pain the victim experienced, will be enough (*People v Rojas*, 61 NY2d 726 [1984]), but sometimes it will not (*Matter of Philip A.*, 49 NY2d 198 [1980]). Here, Gentles’s testimony confirms that the pain was not trivial: he said it was in between “[a] little” and “a lot.”

It is also relevant that Gentles sought medical treatment for the wound defendant inflicted—an indication that his pain was significant. And finally, the legislative history of the Penal Law

shows that the motive of the offender may be relevant: the revisors' notes to the sections defining assault say that "petty slaps, shoves, kicks and the like delivered out of hostility, meanness and similar motives" constitute only harassment and not assault, because they do not inflict physical injury (*see* Staff Notes of Temp St Commn on Rev of Penal Law and Crim Code, 1964 Proposed NY Penal Law art 125, at 330, quoted in *Matter of Philip A.*, 49 NY2d at 200). Motive is relevant because an offender more interested in displaying hostility than in inflicting pain will often not inflict much of it. Here, defendant's motive was to make Gentles let go of him: the whole point of the bite was to inflict as much pain as he could. Indeed, it seems unlikely that anything less than substantial pain would have caused Gentles, evidently a tenacious man, to release his hold.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed.

[867 NE2d 374, 835 NYS2d 523]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NICO
LeGRAND, Appellant.

Argued February 14, 2007; decided March 27, 2007

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 13, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bernard J. Fried, J., at *Frye* hearing [op 196 Misc 2d 179]; William A. Wetzels, J., at trial and sentence), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v LeGrand, 28 AD3d 318, reversed.

HEADNOTE

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications

In a case that turned solely on the accuracy of eyewitness identifications, with little or no corroborating evidence connecting the defendant to the crime at issue, it was an abuse of discretion for the trial court to exclude expert testimony on the reliability of eyewitness identifications where that testimony was relevant to the witness's identification of defendant, based on principles that are generally accepted within the relevant scientific community, proffered by a qualified expert and on a topic beyond the ken of the average juror. Defendant's expert offered testimony at the *Frye* hearing that four factors which may influence the reliability of eyewitness identifications are generally accepted in the scientific community. Testimony as to three of these factors—correlation between confidence and accuracy of identification, the effect of postevent information on accuracy of identification and confidence malleability—should not have been precluded inasmuch as the defense expert's testimony confirmed that the principles upon which the expert based his conclusions were generally accepted by social scientists and psychologists working in the field. Testimony as to the fourth factor (the effect of weapon focus) was properly excluded because there was insufficient evidence to confirm that the principles expounded by defendant's expert witness were generally accepted by the relevant scientific community.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Expert and Opinion Evidence §§ 335–337.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3198,
172:3231.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law §§ 1885, 1991, 2004, 2010.5.

ANNOTATION REFERENCE

Admissibility, at criminal prosecution, of expert testimony on reliability of eyewitness testimony. 46 ALR4th 1047.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: expert /5 reliability /2 eyewitness /2 identification
/p err!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jan Hoth* and *Robert S. Dean* of counsel), for appellant. I. The trial court erred in: (a) denying appellant's well-founded application to introduce expert identification testimony where the accuracy of identifications made seven years after the crime was the sole issue in the case; and (b) determining that, in any event, the evidence was inadmissible as it propounded theories that were not generally accepted by the scientific community. (*People v Drake*, 7 NY3d 28; *People v Young*, 7 NY3d 40; *People v Lee*, 96 NY2d 157; *People v Alvarez*, 198 AD2d 171; *Frye v United States*, 293 F 1013; *People v Wernick*, 89 NY2d 111; *People v Wesley*, 83 NY2d 417; *People v Taylor*, 75 NY2d 277; *Matter of Nicole V.*, 71 NY2d 112; *People v Keindl*, 68 NY2d 410.) II. Appellant's constitutional right to a speedy trial was violated where, without good cause, proceedings were not instituted against him until eight years after the crime and almost six years after he was identified as a suspect. (*People v Singer*, 44 NY2d 241; *People v Vernace*, 96 NY2d 886; *People v Lesiuk*, 81 NY2d 485; *People v Staley*, 41 NY2d 789; *United States v Marion*, 404 US 307; *Klopper v North Carolina*, 386 US 213; *People v Taranovich*, 37 NY2d 442; *People v Watts*, 57 NY2d 299; *People v Johnson*, 38 NY2d 271; *People v Ranellucci*, 43 NY2d 943.)

Robert M. Morgenthau, District Attorney, New York City (*Meredith Boylan* and *Patrick J. Hynes* of counsel), for respondent. I. The delay in arresting defendant for second-degree murder did not violate his right to due process. (*United States v Lovasco*, 431 US 783; *United States v Marion*, 404 US 307; *People v Singer*, 44 NY2d 241; *People v Staley*, 41 NY2d 789; *People v Taranovich*, 37 NY2d 442; *People v Waldron*, 6 NY3d 463; *People v Vernace*, 96 NY2d 886; *People v Wing Keung Tsang*, 284 AD2d 218; *People v Rodriguez*, 281 AD2d 375, 96 NY2d 906; *People v*

Suero, 235 AD2d 357, 89 NY2d 1101.) II. The hearing court appropriately exercised its discretion in denying the admission of defendant's proposed expert testimony at trial. (*People v Lee*, 96 NY2d 157; *People v Smith*, 191 Misc 2d 765; *Frye v United States*, 293 F 1013; *People v Mooney*, 76 NY2d 827; *United States v Lumpkin*, 192 F3d 280; *United States v Rodriguez-Felix*, 450 F3d 1117; *People v Leone*, 25 NY2d 511; *People v Hughes*, 59 NY2d 523; *People v Schreiner*, 77 NY2d 733; *People v Wesley*, 83 NY2d 417.)

David Loftis, New York City, *Barry Scheck*, *Peter Neufeld* and *Ezekiel Edwards* for Innocence Project, Inc., amicus curiae. I. The trial court's determination to exclude expert testimony ignored the persistent problems of eyewitness identification that courts and scientists have undertaken and created a substantial risk of wrongfully convicting an innocent man. II. As suggestiveness exists within our judicial process, expert testimony is necessary to inform jurors of the causes of misidentification and its admission should not be hinged on a pretrial determination of the strength of the prosecution case. (*United States v Wade*, 388 US 218; *People v Adams*, 53 NY2d 241; *People v Riley*, 70 NY2d 523; *People v Brisco*, 99 NY2d 596, *habeas corpus granted sub nom. Brisco v Phillips*, 376 F Supp 2d 306; *People v Duuvon*, 77 NY2d 541; *People v Chipp*, 75 NY2d 327; *People v Hart*, 208 AD2d 861; *People v Lee*, 96 NY2d 157; *People v Riley*, 70 NY2d 523; *People v Prochilo*, 41 NY2d 759.)

Steven Banks, New York City, *Lorca Morello*, *Robert Garcia* and *Green & Willstatter*, White Plains, for Legal Aid Society and others, amici curiae. I. The testimony of a qualified expert on the factors affecting the reliability of eyewitness identification should be presumptively admissible when proffered by the accused at trial when identification is at issue. (*People v Taylor*, 75 NY2d 277; *People v Young*, 7 NY3d 40; *People v Lee*, 96 NY2d 157; *People v Smith*, 191 Misc 2d 765; *People v Carroll*, 95 NY2d 375; *People v Hudy*, 73 NY2d 40; *Rock v Arkansas*, 483 US 44; *Chapman v California*, 386 US 18; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Wesley*, 83 NY2d 417.) II. Appellant was deprived of a fair trial by the court's preclusion of expert eyewitness testimony. (*People v Goldstein*, 6 NY3d 119; *People v Wesley*, 83 NY2d 417; *People v Taylor*, 75 NY2d 277; *People v Jeter*, 80 NY2d 818; *People v Young*, 7 NY3d 40; *People v Drake*, 7 NY3d 28; *United States v Downing*, 753 F2d 1224.) III. The hearing court's decision is based on a fundamental misunderstanding of the scientific principles underlying eyewitness identification

research. (*People v Wesley*, 83 NY2d 417; *United States v Mathis*, 264 F3d 321.)

OPINION OF THE COURT

JONES, J.

The main issue before us is whether the hearing court erred when it refused to admit expert testimony on the reliability of eyewitness identifications, which it concluded was based on novel scientific principles, theories or techniques that are not generally accepted by the relevant scientific community.

After a *Frye* hearing, Supreme Court found that the proposed testimony was relevant to the facts of the case, that defendant's witness was a qualified expert and that the proposed testimony was beyond the ken of the typical juror. However, the court denied defendant's motion to admit expert testimony, ruling that the proposed expert testimony was not generally accepted within the relevant scientific community. For the reasons that follow, we hold that where the case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, it is an abuse of discretion for a trial court to exclude expert testimony on the reliability of eyewitness identifications if that testimony is (1) relevant to the witness's identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror. Taking into account that trial courts generally have the power to limit the amount and scope of evidence presented, we nevertheless conclude that, in this case, the court erred when it precluded the testimony of defendant's eyewitness identification expert in its entirety.

Facts and Procedural History

On the morning of June 15, 1991, livery cab driver Joaquin Liriano was stabbed to death on Morningside Drive in Manhattan. Liriano's assailant fled before the police arrived on the scene. Four people witnessed the attack, and within a few days collaborated on a composite sketch of the assailant. Two years later, defendant was identified as a possible suspect in the homicide when an officer who arrested him for an unrelated burglary concluded that he resembled the 1991 composite sketch. However, because the police were unable to find any of the witnesses to the stabbing, the homicide case stalled. The case

remained dormant until April 1998 when defendant was again arrested for burglary in the same precinct. Police again concluded that he resembled the composite sketch.

The authorities located the four witnesses who contributed to the composite sketch and one additional witness to the stabbing who was not identified until 1998. One of the witnesses identified defendant as the killer in a photo array and a lineup. Two of the remaining witnesses were shown the photo array, but neither made a positive identification. Specifically, one witness picked out defendant's photo as a "close, if not exact" match. A third witness described defendant's picture as "similar" to that of the assailant. The fourth and fifth witnesses also examined the photo array, but were unable to identify defendant. There was no forensic or other physical evidence connecting defendant to the stabbing.

Defendant was charged with second degree murder in April 1999. The People's case rested solely on identifications made nearly seven years after the crime. In April 2001, during defendant's first trial, three witnesses identified defendant as the perpetrator. However, two of the witnesses had seen defendant's photo array in the district attorney's office the night before they were to testify. Defendant's first trial ended in a mistrial (due to a hung jury) after three days of deliberation.

In June 2001, prior to his second trial, defendant, relying on this Court's decision in *People v Lee* (96 NY2d 157 [2001]), moved to introduce at trial the testimony of an expert in order to "educate the jurors as to the weaknesses and dangers inherent in eyewitness testimony and to present them with an appropriate perspective by which to judge such testimony." According to the supporting memorandum of law, the expert would testify as to research findings regarding several factors that may influence the perception and memory of a witness and affect the reliability of eyewitness identifications: in particular, the effect of "weapon focus," the lack of correlation between witness confidence and accuracy of identification, the effect of postevent information on accuracy and confidence malleability.¹ The expert would not, however, opine on the accuracy of any specific eyewitness identification. Moreover, defense counsel's affirmation stated that "[i]f any issues remain unresolved for the court as to the admissibility of such evidence, those issues could be resolved by conducting a Frye hearing prior to trial."

1. For common definitions of these factors, we refer the reader to *People v LeGrand* (196 Misc 2d 179, 180-181 [Sup Ct, NY County 2002]).

The prosecution opposed the motion on the ground that the theories that the defense wanted to introduce were “highly controversial.” Further, the prosecutor argued that in *Lee*, this Court upheld the lower court’s decision to preclude expert testimony addressing the same issues on which defendant’s expert would testify here. The prosecutor also argued that cross-examination and/or jury instructions could counter a mistaken identification.

After conducting a *Frye* hearing, the court precluded the testimony on the ground that the expert’s conclusions were not generally accepted in the relevant scientific community. At the second trial, the jury found defendant guilty of second degree murder. Defendant was sentenced to an indeterminate prison term of 25 years to life. The Appellate Division unanimously affirmed (28 AD3d 318 [2006]), and a Judge of this Court granted defendant leave to appeal (7 NY3d 758 [2006]). We now reverse and order a new trial.

Discussion

Over the past few decades, criminal defendants have increasingly called on psychologists to offer expert opinion testimony regarding the objective and subjective factors that influence the reliability of eyewitness identifications. They argue that misidentifications may lead to false convictions and that in certain cases, experts may offer the jury much needed guidance regarding how to assess the reliability of an identification. Typically, such expert testimony is based on research findings from experiments that test how accurately experiment subjects (i.e., “witnesses”) recall faces and other details under various conditions. According to one commentator, the overall research findings show that

“witnesses often make mistakes, that they tend to make more mistakes in cross-racial identifications as well as when the events involve violence, that errors are easily introduced by misleading questions asked shortly after the witness has viewed the simulated happening, and that the professed confidence of the subjects in their identifications bears no consistent relation to the accuracy of these recognitions” (1 McCormick, Evidence § 206, at 880 [6th ed 2006]).

Although there may be risks associated with allowing an expert to apply research findings from experiments on the reliability of

eyewitness identifications to real-life identifications, these findings—produced through sound, generally accepted experimentation techniques and theories, published in scholarly journals and subjected to peer review—have over the years gained acceptance within the scientific community. On this point, then Judge Kaye previously stated that

“[t]o the extent that judicial acceptance is indicative of general scientific acceptance, the emerging trend today is to find expert psychological testimony on eyewitness identification sufficiently reliable to be admitted, and the vast majority of academic commentators have urged its acceptance [P]sychological research data is by now abundant, and the findings based upon it concerning cognitive factors that may affect identification are quite uniform and well documented” (*People v Mooney*, 76 NY2d 827, 829-830 [1990, Kaye, J., dissenting] [citations omitted]).

However, “in recognition that expert testimony of this nature may involve novel scientific theories and techniques, a trial court may need to determine whether the proffered expert testimony is generally accepted by the relevant scientific community” (*Lee*, 96 NY2d at 162, citing *People v Wesley*, 83 NY2d 417, 423-429 [1994]).

Eleven years after *Mooney*, we reexamined the admissibility of expert testimony on the issue of reliability of eyewitness identifications in *Lee*. In that case, defendant sought to introduce expert testimony on how factors such as the duration of an encounter, stress involved in the encounter and the passage of time between the crime and identification affect memory and eyewitness identification. The defendant also sought to have the expert explain the lack of correlation between a witness’s confidence and the accuracy of the identification. The hearing court summarily rejected the eyewitness testimony as inadmissible. We held that in so rejecting the expert testimony, the court failed to exercise its discretion; “while such expert testimony is not inadmissible per se, the decision whether to admit it rests in the sound discretion of the trial court” (*Lee*, 96 NY2d at 160). A court’s exercise of discretion depends largely on whether jurors, after the court considers their “day-to-day experience, their common observation and their knowledge,” would benefit from the specialized knowledge of an expert wit-

ness (*see id.* at 162, quoting *People v Cronin*, 60 NY2d 430, 433 [1983]). The trial court should weigh defendant's request to admit expert testimony against factors "such as the centrality of the identification issue and the existence of corroborating evidence" (*id.* at 163). Under the particular facts and circumstances in *Lee*, we concluded that the trial court did not abuse its discretion in excluding the expert testimony.

In *People v Young* (7 NY3d 40 [2006]), this Court again examined the issue of the admissibility of expert testimony on the reliability of eyewitness identifications. Based upon the particular facts in that case, we found no abuse of discretion when the trial court excluded the testimony. In *Young*, defendant sought to introduce expert testimony

"that people are generally more accurate in identifying people of their own race than of another race; that, where a crime is committed with a weapon, the victim's tendency to focus on the weapon may interfere with his or her observation of the criminal; that a stressful experience is more likely to be a memorable one up to a moderate level of stress, but that events generating higher levels of stress are remembered less well; and that there is only a very weak relationship between a witness's confidence in the accuracy of his or her recollection and its true accuracy—i.e., that people very confident in their recollections are often wrong" (*id.* at 43 [internal quotation marks omitted]).

In holding that the trial court did not abuse its discretion when it excluded the expert's testimony, we noted that the factors discussed by the expert were relevant to the victim's identification of defendant and that "if this case turned entirely on an uncorroborated eyewitness identification, it might well have been an abuse of discretion to deny the jury the benefit of [the expert's] opinions" (*id.* at 45).

Thus, it is clear that expert testimony regarding the factors that affect the accuracy of eyewitness identifications, in the appropriate case, may be admissible in the exercise of a court's discretion. Moreover, there are cases in which it would be an abuse of a court's discretion to exclude expert testimony on the reliability of eyewitness identifications.

We now conclude that this case falls in the latter category and that defendant's expert should have been allowed to testify. In reaching this conclusion, we first note that the hearing court

recognized the importance of the evidence to the defense and found that the proposed expert testimony was relevant to the issues and facts of this case. Further, we consider this case in light of *Lee*. It is clear that this case turned solely on the accuracy of the witnesses' identification; however, unlike *Lee* and *Young*, there was no corroborating evidence connecting defendant to the commission of the crime charged. Plainly, in light of these facts, the testimony of defendant's expert would have benefitted the jury in evaluating the accuracy of the eyewitness identifications.

In spite of the foregoing, the court excluded the testimony as not generally accepted in the scientific community under *Frye v United States* (293 F 1013 [DC Cir 1923]). In *Frye*, the court stated

“[j]ust when a scientific principle or discovery crosses the line between the experimental and demonstrable stages is difficult to define. Somewhere in this twilight zone the evidential force of the principle must be recognized, and while courts will go a long way in admitting expert testimony deduced from a well-recognized scientific principle or discovery, the thing from which the deduction is made must be sufficiently established to have gained general acceptance in the particular field in which it belongs” (*id.* at 1014).

Accordingly, “the *Frye* test asks ‘whether the accepted techniques, when properly performed, generate results accepted as reliable within the scientific community generally’ ” (*Parker v Mobil Oil Corp.*, 7 NY3d 434, 446 [2006], quoting *Wesley*, 83 NY2d at 422). Further, this test “emphasizes ‘counting scientists’ votes, rather than . . . verifying the soundness of a scientific conclusion’ ” (*id.* at 447, quoting *Wesley*, 83 NY2d at 439 [Kaye, Ch. J., concurring]). Once the general reliability concerns of *Frye* are satisfied, the court will consider whether there is a proper foundation “for the reception of the evidence at trial” (*id.*, quoting *Wesley*, 83 NY2d at 429). We conclude that it was not error for the court to conduct a *Frye* hearing, although we recognize that this Court and other New York courts have permitted and upheld a qualified expert's testimony regarding research findings on patterns of human behavior

without first requiring a *Frye* hearing.² Further, expert opinion testimony regarding the reliability of an eyewitness identification should be treated in the same manner as testimony offered by other experts. A court need not hold a *Frye* hearing where it can rely upon previous rulings in other court proceedings as an aid in determining the admissibility of the proffered testimony. “Once a scientific procedure has been proved reliable, a *Frye* inquiry need not be conducted each time such evidence is offered [and courts] may take judicial notice of reliability of the general procedure” (*Wesley*, 83 NY2d at 436 [Kaye, Ch. J., concurring]). Moreover, a number of New York courts have found that the *Frye* test has been met after considering whether factors that may affect eyewitness identifications should be admitted.³

Here, defendant’s expert offered testimony at the *Frye* hearing that four factors which may influence the reliability of eyewitness identifications are generally accepted in the scientific community. In support of the expert’s testimony, a survey demonstrating acceptance of these factors by an overwhelming majority of the experts in this particular field was introduced at the hearing. The methodology and results of this survey were criticized by the People’s expert witness. We agree that the survey alone is not dispositive of the *Frye* issue; however, as to three of these factors—correlation between confidence and accuracy of identification, the effect of postevent information on accuracy of identification and confidence malleability—the defense expert’s testimony contained sufficient evidence to confirm that the principles upon which the expert based his conclusions are generally accepted by social scientists and psychologists working in the field. Accordingly, defendant met his burden under *Frye*. As such, testimony as to these factors should not have been precluded at defendant’s second trial. As to the fourth factor (the effect of weapon focus), we agree that there was insufficient evidence to confirm that the principles expounded by defendant’s expert witness are generally accepted by the relevant scientific community. Thus, testimony as to this factor was properly excluded.

2. See e.g., *People v Brown*, 97 NY2d 500 (2002); *People v Taylor*, 75 NY2d 277 (1990); *Matter of Nicole V.*, 71 NY2d 112 (1987); *People v Keindl*, 68 NY2d 410 (1986); *Selkowitz v County of Nassau*, 45 NY2d 97 (1978); *People v Henson*, 33 NY2d 63 (1973); *People v Ciervo*, 123 AD2d 393 (2d Dept 1986); *People v Smith*, 191 Misc 2d 765 (Sup Ct, NY County 2002).

3. See e.g., *People v Drake*, 188 Misc 2d 210 (Sup Ct, NY County 2001); *People v Beckford*, 141 Misc 2d 71 (Sup Ct, Kings County 1988); *People v Lewis*, 137 Misc 2d 84, 86 (Monroe County Ct 1987); *People v Brooks*, 128 Misc 2d 608 (Westchester County Ct 1985).

Significantly, during the pretrial *Frye* hearing, the People proffered their own expert to challenge the defense expert's conclusions. In the scheme of things, it must be presumed that this witness would likewise have been available to testify before the jury. Further, it should be noted that although we hold that the expert testimony should have been admitted in this case, the court would still be obliged to exercise its discretion with regard to the relevance and scope of such expert testimony. Plainly, not all categories of such testimony are applicable or relevant in every case. In that event, admissibility would rest within the trial court's sound discretion.

Although the trend has been of late to more liberally admit such testimony—as recognized in *Lee* and *Young*—the admissibility of such evidence would also depend upon the existence of sufficient corroborating evidence to link defendant to the crime. In the event that sufficient corroborating evidence is found to exist, an exercise of discretion excluding eyewitness expert testimony would not be fatal to a jury verdict convicting defendant. Under the facts and circumstances of this case, the hearing court abused its discretion in failing to admit eyewitness expert testimony on the question of identification.

Defendant's remaining contention that his constitutional right to a speedy trial was violated lacks merit.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[867 NE2d 397, 835 NYS2d 546]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
W. NEWTON, JR., Appellant.

Argued March 21, 2007; decided May 1, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 29, 2006. The Appellate Division affirmed (1) a judgment of the Broome County Court (Patrick H. Mathews, J.), which had convicted defendant, upon a jury verdict, of sodomy in the third degree; and (2) a judgment of that court, which revoked defendant's probation and imposed a sentence of imprisonment.

People v Newton, 30 AD3d 896, affirmed.

HEADNOTE

Crimes — Instructions — Intoxication — Sodomy

In a prosecution wherein defendant was charged with engaging in oral sex with a 19-year-old male by forcible compulsion and without consent, inasmuch as a defendant's subjective mental state is not an element of the crime of sodomy in the third degree (Penal Law § 130.40 [3]; *see* Penal Law § 130.05 [2] [d]), evidence of defendant's intoxication at the time of the prohibited act was irrelevant. Accordingly, the trial judge properly declined to instruct the jury on intoxication (Penal Law § 15.25) with respect to that charge. To be guilty of third degree sodomy, defendant was required to have engaged in the prohibited act "with another person without such person's consent where such lack of consent [was] by reason of some factor other than incapacity to consent." The proper inquiry was not whether defendant actually perceived a lack of consent, but whether the victim by words or actions, clearly expressed an unwillingness to engage in the prohibited act in such a way that a neutral observer would have understood that the victim was not consenting.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 168–170; AM JUR 2d, Sodomy
§§ 15, 76, 81.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2999,
172:3735.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY's, Penal Law §§ 15.25, 130.05 (2); § 130.40.

NY JUR 2d, Criminal Law §§ 2477, 3379–3381, 3906, 3928.

ANNOTATION REFERENCE

See ALR Index under Instructions to Jury; Intoxicating
Liquors; Sodomy.

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Database: NY-ORCS

Query: sodomy /p intoxicat! & jury /s instruct!

POINTS OF COUNSEL

Mitch Kessler, Cohoes, for appellant. County Court violated appellant's constitutional due process right to a fair trial by denying his request for a jury instruction on intoxication as a defense to the third-degree sodomy count, since (a) intoxication may negate the mental state necessary for the commission of third-degree sodomy as charged in the indictment, and (b) there was sufficient evidence of appellant's intoxication to create a question of fact for the jury as to whether he was able to form that mental state. (*People v Koerber*, 244 NY 147; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *People v Ressler*, 302 AD2d 921; *People v Coe*, 71 NY2d 852; *People v Williams*, 81 NY2d 303; *People v Erts*, 73 NY2d 872; *People v Tabarez*, 69 NY2d 663; *People v Perry*, 61 NY2d 849; *People v Gaines*, 83 NY2d 925; *People v Felder*, 178 AD2d 936.)

Gerald F. Mollen, District Attorney, Binghamton (*Joann Rose Parry* of counsel), for respondent. The trial court properly denied defendant's request to charge intoxication as a defense to sodomy in the third degree. (*People v Perry*, 61 NY2d 849; *People v Gaines*, 83 NY2d 925; *People v Park*, 12 AD3d 942; *People v Salco*, 302 AD2d 613; *People v Brown*, 226 AD2d 1108; *People v Williams*, 81 NY2d 303; *People v Hamilton*, 256 AD2d 922; *People v Goetz*, 68 NY2d 96; *People v Di Paola*, 143 AD2d 487; *People v Koerber*, 244 NY 147.)

OPINION OF THE COURT

READ, J.

On March 19, 2003, defendant James W. Newton, Jr. was indicted for the crimes of sodomy in the first degree (Penal Law § 130.50 [1]), sexual abuse in the first degree (Penal Law § 130.65 [1]) and sodomy in the third degree (Penal Law § 130.40 [3]).¹ The three-count indictment accused defendant of engaging in oral sex with a 19-year-old male by forcible compul-

1. The Sexual Assault Reform Act (L 2000, ch 1), as subsequently amended, modernized the nomenclature used to describe certain crimes and terms in article 130 of the Penal Law. As a result, "sodomy" was later renamed "criminal sexual act" (*see* L 2000, ch 1, § 56; L 2003, ch 264, §§ 18, 20, 71).

sion and without consent (by virtue of something other than incapacity). In light of these allegations, a declaration of delinquency charged defendant with violating the conditions of the sentence of probation imposed upon him in 2000 after his conviction for second-degree assault. Defendant contended that the alleged victim did not resist or otherwise communicate a lack of consent, and that he perceived the sexual act to be consensual. It is undisputed that defendant had been consuming beer steadily in the hours before this incident.

At trial, defense counsel asked the court to instruct the jury on intoxication with respect to both sodomy counts (*see* Penal Law § 15.25 [while “(i)ntoxication is not, as such, a defense to a criminal charge,” evidence of a defendant’s intoxication may be offered whenever “relevant to negative an element of the crime charged”]).² Instead, the court charged the jury on intoxication with respect to first-degree sodomy only, reasoning that this crime called for the factfinder to conclude beyond a reasonable doubt that defendant intended to engage in forcible compulsion (*see People v Williams*, 81 NY2d 303, 316-317 [1993] [“intent is implicitly an element of” first-degree rape and first-degree sodomy, and “(t)he intent required is the intent to perform the prohibited act—i.e., the intent to forcibly compel another to engage in intercourse or sodomy”]; *see also People v Perry*, 61 NY2d 849 [1984] [charge on intoxication should be given if there is sufficient evidence in the record for a reasonable person to entertain a doubt as to whether defendant possessed the requisite mental state, such as intent, on that basis]).

Regarding third-degree sodomy, however, the court instructed the jury that “intoxication is not a defense under any circumstances” because there was no element of intent or other subjective mental state required for this crime. “Rather, . . . sodomy in the third degree involves an allegation that a reasonable person in the defendant’s situation would have understood the . . . alleged victim’s words and acts as an expression of a lack of consent.” As a result, the court charged the jury that “if the defendant failed to so understand solely as a result of intoxication[,] such would not be a defense under the law” to third-degree sodomy. The jury ultimately acquitted defendant of sodomy in the first degree, and convicted him of sodomy in the third degree.

2. The trial judge had already dismissed the count alleging sexual abuse in the first degree.

Defendant subsequently pleaded guilty to the violation of probation, with the understanding that the trial judge would impose a determinate sentence of five years of imprisonment to be followed by three years of postrelease supervision, which would run concurrently with his sentence for the sodomy conviction. On March 5, 2004, the court sentenced defendant as a second felony offender to an indeterminate prison term of 2 to 4 years for the sodomy conviction, and to the agreed-upon concurrent sentence for the violation of probation. The Appellate Division affirmed the judgment of conviction, rejecting defendant's argument that the trial court should have instructed the jury to consider intoxication in connection with the third-degree sodomy charge. A Judge of this Court granted defendant leave to appeal, and we now affirm.

To be guilty of third-degree sodomy under Penal Law § 130.40 (3), defendant was required to have engaged in the sexual act “with another person without such person's consent where such lack of consent [was] by reason of some factor other than incapacity to consent.” The Sexual Assault Reform Act fleshed out this crime by specially defining “lack of consent” for purposes of third-degree sodomy as

“circumstances under which, at the time of the [sexual act], the victim clearly expressed that he or she did not consent to engage in such act, and a reasonable person in the actor's situation would have understood such person's words and acts as an expression of lack of consent to such act under all the circumstances” (Penal Law § 130.05 [2] [d]).

This provision was

“designed to address the so-called date rape or acquaintance rape situations [where] there [might] be consent to various acts leading up to the sexual act, but at the time of the act, the victim clearly says no or otherwise expresses a lack of consent, and a reasonable person in the actor's situation would understand that the victim was expressing a lack of consent” (Donnino, Main Volume Supp Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law art 130, at 220 [citation and internal quotation marks omitted]).

Further,

“[t]he use of the term ‘reasonable person’ in the

‘actor’s situation’ imports an objective element into the determination of whether there was a clear expression of non-consent to the [sexual act]. Although the ‘reasonable person’ must stand in the shoes of the actor, if such a person would understand that the victim was expressing a lack of consent, *then it does not matter that the accused thought otherwise*” (*id.* at 220-221 [emphasis added and citation omitted]).

In short, the proper inquiry for the factfinder is not whether a defendant actually perceives a lack of consent, but whether the victim, by words or actions, clearly expresses an unwillingness to engage in the sexual act in such a way that a neutral observer would have understood that the victim was not consenting. Otherwise, it would not be enough for a victim simply to say “No.” Every prosecution would devolve into a dispute over whether the particular defendant might have misapprehended whether “No” really meant “No” for one reason or another. As the People point out, if the Legislature had, in fact, intended to take a defendant’s subjective mental state into account, it could have drafted the statute to require the accused to know or have reason to know that the victim was not consenting; or the Legislature could have furnished an accused with an affirmative defense of lack of knowledge (*see e.g.* Penal Law § 130.10 [1] [providing for an affirmative defense of lack of knowledge of incapacity where victim’s lack of consent is based solely upon incapacity to consent because of mental disability, mental incapacity or physical helplessness]).

Because a defendant’s subjective mental state is not an element of the crime of third-degree sodomy, evidence of intoxication at the time of the sexual act is irrelevant. Thus, the trial judge in this case properly declined to instruct the jury on intoxication with respect to the charge of this crime.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed.

[867 NE2d 389, 835 NYS2d 538]

In the Matter of CITY OF LONG BEACH, Respondent, v CIVIL SERVICE EMPLOYEES ASSOCIATION, INC.—LONG BEACH UNIT, Appellant.

Argued March 22, 2007; decided May 1, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 16, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Stephen A. Bucaria, J.), entered in a proceeding pursuant to CPLR article 75, which had granted the petition to stay arbitration, denied the cross motion to compel arbitration and permanently stayed arbitration.

Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit, 29 AD3d 789, affirmed.

HEADNOTE

Arbitration — Matters Arbitrable — Termination of Provisional Employees

Claims by respondent union that certain provisional employees who had been terminated were “tenured” and entitled to be rehired to another position under the tenure provisions of the parties’ collective bargaining agreement (CBA) were not arbitrable. Granting the relief sought on behalf of the provisional employees under the so-called “tenure” provisions of the CBA would violate the Civil Service Law and public policy. Civil Service Law § 65 prohibits any right of tenure to provisional employees. Although the CBA provides that a provisional appointee is considered a tenured employee after one year of service, the Civil Service Law clearly sets a nine-month time limitation on provisional appointments. The provisions under the CBA were therefore unenforceable as a matter of law. Further, as a matter of public policy, public employers must strictly comply with the time limitations imposed under the Civil Service Law in order to ensure adherence to the constitutional preference for merit selection.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Civil Service §§ 28, 41; AM JUR 2d, Labor and Labor Relations §§ 2476–2478, 2521.

McKINNEY’S, Civil Service Law § 65.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 341, 342; NY JUR 2d, Employment Relations §§ 565, 573.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Civil Service; Collective Bargaining; Public Officers and Employees; Tenure.

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POINTS OF COUNSEL

Law Offices of Louis D. Strober, Jr., LLC, Garden City (*Louis D. Strober, Jr.*, of counsel), for appellant. I. The petition to stay arbitration was improperly granted. (*Matter of Alden Cent. School Dist. v Watson*, 56 AD2d 713; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774.) II. Arbitration is the preferred method of resolving disputes under collective bargaining agreements. (*Matter of Alden Cent. School Dist. v Watson*, 56 AD2d 713; *County of Ontario v Faculty Assn. of Community Coll. of Finger Lakes*, 56 AD2d 189; *Matter of Board of Educ. of W. Irondequoit Cent. School Dist. v West Irondequoit Teachers Assn.*, 55 AD2d 1037; *Belmont Cent. School Dist. v Belmont Teachers Assn.*, 51 AD2d 653; *Matter of Kepp v Springville-Griffith Inst. Cent. School Dist.*, 55 AD2d 1033, 43 NY2d 767; *Matter of South Colonie Cent. School Dist. v Longo*, 55 AD2d 753, 43 NY2d 136; *New York Inst. of Technology v Council of Metropolitan & Old Westbury Chs., Am. Assn. of Univ. Professors*, 47 AD2d 659; *Susquehanna Val. Cent. School Dist. at Conklin v Susquehanna Val. Teachers' Assn.*, 46 AD2d 104, 37 NY2d 705; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364.) III. The two-part test to determine whether a public employee's grievance is subject to arbitration has been met in this matter. (*Matter of Van Scoy [Holder]*, 265 AD2d 806; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90

NY2d 364; *Matter of Board of Educ., Potsdam Cent. School Dist. [Kmack]*, 216 AD2d 718; *Matter of County of Sullivan [Sullivan County Empls. Assn.]*, 235 AD2d 748.) IV. The employer voluntarily negotiated job security (tenure) provisions thereby limiting its own discretion in layoff situations. (*Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of Heslin v City of Cohoes*, 74 AD2d 393; *Matter of Niagara Wheatfield Adm'rs Assn. [Niagara Wheatfield Cent. School Dist.]*, 44 NY2d 68; *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 45 NY2d 746; *Matter of Marcellus Cent. School Dist. [Marcellus School Off. Personnel Assn.]*, 177 AD2d 935; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Board of Educ., Bellmore-Merrick Cent. High School Dist., Nassau County v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167; *Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Burke v Bowen*, 40 NY2d 264.)

Corey E. Klein, Corporation Counsel, Long Beach, for respondent. I. The State Constitution and Civil Service Law mandate appointments be made by merit and fitness. (*Palmer v Board of Educ. of Union Free School Dist. No. 2, Town of Geddes*, 276 NY 222; *McGowan v Burstein*, 71 NY2d 729; *Matter of Civil Serv. Empls. Assn., Westchester Ch., Local 860 v Town of Harrison*, 48 NY2d 66; *Matter of Giordano v Henry*, 44 AD2d 835; *Amico v Erie County Legislature*, 36 AD2d 415; *Matter of Montero v Lum*, 68 NY2d 253; *McGowan v Burstein*, 71 NY2d 729; *Matter of Sikich v Hughes*, 274 App Div 675.) II. Provisional employees are not entitled to rights as tenured employees. (*Koso v Greene*, 260 NY 491; *Matter of Preddice v Callanan*, 69 NY2d 812; *Edelman v Israel*, 208 AD2d 1104; *Matter of Giordano v Henry*, 44 AD2d 835; *Matter of Vacca v Town of Southeast*, 206 AD2d 433; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774.) III. Public policy precludes arbitration. (*Matter of Blackburne [Governor's Off. of Empl. Relations]*, 87 NY2d 660; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273; *Honeoye Falls-Lima Cent. School Dist. v Honeoye Falls-Lima Educ. Assn.*, 49 NY2d 732; *Board of Educ., Great Neck Union Free School Dist. v Areman*, 41 NY2d 527;

Matter of Cohoes City School Dist. v Cohoes Teachers Assn., 40 NY2d 774; *Matter of County of Fulton [Civil Serv. Empls. Assn., Inc., Local 1000, AFSCME, AFL-CIO, CSEA Local 818, Fulton County Gen. Unit]*, 14 AD3d 771; *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 268 AD2d 523; *Matter of Buffalo Police Benevolent Assn. [City of Buffalo]*, 4 NY3d 660; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623.)

OPINION OF THE COURT

PIGOTT, J.

Petitioner City of Long Beach (City) brought this CPLR article 75 proceeding to stay two arbitrations demanded by respondent Civil Service Employees Association, Inc.—Long Beach Unit (CSEA) on behalf of several terminated provisional employees. The central issue in this case is whether the subject claims are arbitrable under the terms of a Collective Bargaining Agreement (CBA) between the parties. We conclude that they are not, and therefore affirm the Appellate Division order granting the City's petition and permanently staying arbitration.

I.

In March 2004, the New York State Civil Service Commission issued a "Report on Merit System Administration for the City of Long Beach Civil Service Commission" that, among other things, admonished the City for its poor control over provisional appointments within the civil service system. In particular, the report noted that a number of competitive class positions had been improperly filled with and retained by provisional employees; at least one for as long as 19 years.

In response to the report, the City appointed a new Civil Service Commission that directed the City to address the issue. The City wrote to several employees occupying provisional appointments and informed them that, based upon a review of its records, there was reason to believe that they were serving in a provisional capacity beyond the statutorily prescribed time period. The employees were provided with an opportunity to meet with City officials to discuss their employment status prior to any final employment action. Following these meetings, the City determined that the continued employment of certain provisional employees violated applicable civil service laws and regulations and terminated them.

CSEA filed grievances on behalf of the terminated provisional employees, alleging that pursuant to the terms of the CBA, the

employees were “tenured” and entitled to be rehired to another position. In its demands for arbitration, CSEA relied on the following tenure provisions found in article VI of the CBA:

“Section 6-1.0—Definition of Tenure

“Employees with one (1) year of service in the annual employment of the City, regardless of classification, will be deemed tenured employees. This period of tenure is to be computed retroactively and only employees enumerated in Section 2-1.0 of this Agreement shall be deemed non-tenured.

“Section 6-1.1—Rights of Tenured Employees

“All tenured employees will be protected from separation from employment with the City for any reason other than (a) voluntary withdrawal; (b) dismissal for disciplinary reasons after a hearing pursuant to Section 75 of the Civil Service Law; (c) provisional employees in the competitive class will be protected by tenure with the exception that their employment may be terminated pursuant to Civil Service Law should it be necessary pursuant to Civil Service Law to appoint a qualified candidate from a Civil Service eligible list to their position. In that event, the displaced provisional employee will be transferred by the City to another position in the City for which he/she qualifies, should such a position be open. A position will be deemed open if it was vacated within six (6) months of a tenured provisional employee’s displacement by a candidate from an eligible list certified by the Civil Service Commission.”

The City brought this action seeking to stay arbitration on public policy grounds. CSEA answered and cross-moved to compel arbitration.

Supreme Court granted the City’s petition, denied CSEA’s cross motion and permanently stayed arbitration. The court held that the contractual provisions for grievance and arbitration are not enforceable due to the provisional status of the employees. The Appellate Division affirmed the judgment, holding that “[b]ecause the provisions of the parties’ collective bargaining agreement upon which [CSEA] relies have the effect of limiting the [City’s] ability to discharge provisional employees, those provisions are against public policy and unenforceable as a mat-

ter of law” (29 AD3d 789, 790 [2d Dept 2006]). This Court granted leave.

II.

As a general rule, “public policy in this State favors arbitral resolution of public sector labor disputes” (*Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364, 372 [1997]). We have repeatedly held, however, that a dispute is not arbitrable when the subject matter of the dispute violates a statute, decisional law or public policy (*see e.g. Matter of Patrolmen’s Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563 [2006]; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273 [2000]). In this case, the subject dispute is not arbitrable because granting the relief sought on behalf of the provisional employees under the so-called “tenure” provisions of the CBA would violate the Civil Service Law and public policy.

Our State Constitution mandates that civil service appointments and promotions “shall be made according to merit and fitness to be ascertained, as far as practicable, by examination which, as far as practicable, shall be competitive” (NY Const, art V, § 6). “The purpose of this provision was to replace the spoils system with a system of merit selection and to protect the public as well as the individual employee” (*Matter of Montero v Lum*, 68 NY2d 253, 258 [1986]). This constitutional mandate “may not be blinked or avoided” (*Matter of Board of Educ. of City of N.Y. v Nyquist*, 31 NY2d 468, 472 [1973]). Even in instances where a competitive examination is not “practicable,” appointments to classified civil service positions outside the exempt and labor classes may be made only “after such non-competitive examination as is prescribed by the state civil service department or municipal commission having jurisdiction” (Civil Service Law § 42 [1]).

“Although the constitutional merit and fitness provision has been recognized as ‘self-executing,’ the Legislature has enacted a number of statutes to implement the constitutional merit and fitness and competitive examination requirements” (*Buffalo Bd. of Educ.*, 90 NY2d at 374 [citation omitted]). With respect to provisional appointments, the Civil Service Law authorizes such appointments only when there is no eligible list available for filling a vacancy in a competitive class, and then only for a maximum period of nine months (*see* Civil Service Law § 65 [1],

[2]). Once a provisional employee has been in a position for one month, the City *must* hold a civil service examination (*see* Civil Service Law § 65 [2]). Furthermore, any provisional appointment to a position must end within two months of the establishment of an appropriate eligible list, with only a narrowly defined exception applicable when termination would “disrupt or impair essential public services” (*see* Civil Service Law § 65 [3]), a provision not applicable here. Further, a provisional employee may be terminated “at any time without charges preferred, a statement of reasons given or a hearing held” (*Matter of Preddice v Callanan*, 69 NY2d 812, 814 [1987]). The statutory scheme contained in section 65 by its very terms prohibits any right of tenure to provisional employees. Properly construed, the Civil Service Law renders the provisions of the CBA upon which CSEA relies meaningless.

We have long held that appointments made pursuant to Civil Service Law § 65 carry no expectation nor right of tenure (*see Montero*, 68 NY2d 253 [1986]; *Matter of Hilsenrad v Miller*, 284 NY 445 [1940]; *Koso v Greene*, 260 NY 491 [1933]). Provisional employees,

“though in a sense holding positions in the competitive class, are, for reasons of necessity, exempt from the civil service requirements for appointment; and similarly, so long as they hold such positions, they are entitled to none of the advantages secured by period of tenure under the [Civil Service Law]” (*Koso*, 260 NY at 494).

Such appointments “are mere stop-gaps, exceptions of necessity to the general rules with respect to the filling of such positions” and “[w]hile such appointments may on occasion be succeeded by a permanent appointment, this may only be by virtue of examination and eligibility under the civil service laws, and not by reason of any ripening of the temporary or provisional appointment into a permanent appointment” (*id.* at 495).

CSEA relies on those portions of the CBA which provide that a provisional appointee is considered a tenured employee after one year of service. The Civil Service Law, however, clearly sets a time limitation on provisional appointments and that period is nine months. The City therefore cannot agree to provide superior rights to provisional employees holding positions beyond that statutory time period. Because the provisions under the CBA are unenforceable as a matter of law, we need not concern ourselves with the particular relief requested by CSEA,

i.e. whether the provisional employees may be rehired to noncompetitive or competitive positions. A provisional employee cannot be entitled to any right of continued employment under the terms of this CBA, regardless of the nature of the requested position.

Policy considerations warrant strict compliance by employers with the time limitations imposed under the Civil Service Law. Such limitations are necessary to ensure adherence to the constitutional preference for merit selection. As illustrated in this case, an employer may sometimes abuse its authority to make provisional appointments and retain provisional employees far beyond their statutory purpose. In doing so, the employer fails to meet its obligation to render a competitive examination and create an eligible list within one month of a provisional appointment. Allowing parties to enter into agreements that give tenure rights to provisional employees who have served beyond the statutory time limit would only perpetuate this harm. The failure to administer timely examinations prevents the identification and hiring of qualified candidates from eligible lists, as required by the Civil Service Law, and misleads provisional appointees into having expectations of continued employment beyond that permitted by law.

We therefore conclude that the terms of the CBA that afford tenure rights to provisional employees after one year of service are contrary to statute and decisional law and therefore any relief pursuant to those terms may not be granted by an arbitrator. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE (dissenting in part). In March 2004, the Civil Service Commission, having reviewed the civil service employment practices of the City of Long Beach, recommended that the City cease to rely on provisional appointments to fill a number of its civil service provisions, and instead, as far as practicable, make appointments based on competitive examination.

This case concerns the period following the issuance of the Commission's report, when the City moved toward implementing its recommendations. In particular, what is at issue here are provisions of a collective bargaining agreement (CBA) negotiated more than 30 years ago between the City and the CSEA, dealing with "tenure" provisions for provisional employees.

I agree that, as an arbitrator may not rely on the portion of the CBA that purports to grant tenure to provisional employees

after one year of service (section 6.1-0), or on the section that prohibits termination until and unless the City appoints from an eligible list (section 6-1.1 [c]), a stay should be granted with regard to arbitration of section 6.1-0 and the first part of section 6-1.1. I conclude, however, that the second component of the bargained-for section 6-1.1 (c)—that a displaced provisional worker will be transferred into an open position for which he or she is qualified—is arbitrable.

Maria Almonte was employed by the City in a provisional capacity as a bus dispatcher from 1989 to June 30, 2004. Prior to serving as a dispatcher, she was employed by the City of Long Beach in the noncompetitive position of bus driver from 1985 to 1989. Ms. Almonte served the City in these two positions for close to 20 years. After being notified that she would be terminated due to her status as a provisional worker serving beyond the statutory period, she requested that, pursuant to section 6-1.1 (c) of the CBA, she be given a vacant bus driver position for which she was qualified; she had previously served in the bus driver position and held a valid driver's license. The City refused her request and hired someone else the day after her termination as dispatcher became effective.

On June 4, 2004, Ms. Almonte filed a grievance with the City pursuant to article X of the CBA, which sets forth procedures for resolution of any dispute concerning the “interpretation or application of express terms of the Agreement” (section 10-1.5), and provides that any dispute not settled in step one or two of the grievance procedure may be submitted to arbitration by either party (section 10-1.4). Her grievance claimed that she was “wrongfully terminated as per CSEA CBA,” and that she “should be reinstated as a Bus Driver.” The CSEA initiated a class action grievance on behalf of provisional employees terminated in violation of the CBA, joined Ms. Almonte as a petitioner, and on June 22, 2004, filed two demands for arbitration. The second demand, addressing Ms. Almonte's particular request for relief, stated that “grievant should be afforded the right to be placed in a position she is qualified for, if a vacancy exists. There is a Bus Driver vacancy available on a June 7 job posting that she is qualified for. Grievant should be slotted into that vacancy.” Supreme Court granted the City a stay of arbitration and the Appellate Division affirmed.

For the reasons that follow, I disagree with the majority's conclusion that we need not concern ourselves with the specific relief requested. Ms. Almonte was entitled to have her grievance submitted to arbitration in accordance with the CBA.

Initially, although the grievance cites to section 6.1-1, we are not prohibited from analyzing the request for placement, a request that relies on the second component of section 6.1-1 (c) independent of the first. An interpretation of the placement relief requested by Ms. Almonte as separable from the purported grant of “tenure” otherwise included in the provision gives meaning to the intent of the parties to the extent permitted by the Civil Service Law (*see, e.g. Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774, 778 [1976] [upholding bargained-for procedural protections for probationary employees although finding provision granting tenure unenforceable]).

Implicit in the Civil Service Law is the conclusion that, for purposes of the CBA, a position may be “open” only if it is noncompetitive, or if a different competitive position is available for which there is no eligible list. As acknowledged by the parties, where an eligible list does exist, the position would be filled pursuant to the mandatory appointment provisions and the one-in-three requirement of the Civil Service Law (*see* Civil Service Law §§ 65, 61; CBA § 6.1-1).

Accordingly, placement of a terminated provisional employee into an open position would not disrupt a merit-based appointment. It would only acknowledge a bargained-for preference in favor of a provisional employee within a field of candidates qualified for a noncompetitive position, or within a competitive position for which there were no eligible candidates (*see, e.g. Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72, 81 [2003] [upholding award that “did not force the Board to hire or select a *nonqualified* candidate for a teaching position”]; *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 45 NY2d 746 [1978] [a municipal employer may agree to give preference for filling of vacancies to certain individuals among applicants equally qualified for the position]).

The majority takes issue with granting a worker who has been provisionally employed for more than one year what it deems to be rights superior to those granted a provisional worker who is replaced by the City within a nine-month period as per statutory mandate. The Civil Service Law itself, however, does not prohibit the City and the CSEA from negotiating limited protections for provisional employees based on the length of time they have served the City. Any such prohibition

stems from the statute's requirement that provisional appointments be terminated after nine months (Civil Service Law § 65 [2]), from its failure to provide provisional employees the right to a hearing or to an appeal (*see* Civil Service Law §§ 75, 76), and from its merit-based system of appointment from eligible lists based on examination (*see* Civil Service Law § 65).

Ms. Almonte's placement in the bus driver position at issue does not conflict with any of the implicit statutory prohibitions. The City was free to terminate Ms. Almonte prior to the expiration of the nine-month period as required by statute and chose not to do so. In her demand for arbitration, she is not requesting review of her termination, nor does she ask for reinstatement in contravention of an eligible list. "Where an arbitrator may be able to fashion a remedy not in violation of public policy," the Court should not intervene (*see Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478, 484 [1995]).

Plainly, provisional employment cannot ripen into permanent appointment (*see Koso v Greene*, 260 NY 491, 495 [1933]). Provisional workers have no preferential rights of permanent employment or of "retention over those higher in eligibility" (*id.*; *see also Matter of Preddice v Callanan*, 69 NY2d 812, 813 [1987] [provisional workers have "no expectation of tenure and rights attendant thereto"]).

The placement requested here, however, is not tantamount to permitting a provisional appointment to ripen into permanency, or to granting a provisional employee rights equivalent to tenure. Ms. Almonte is not requesting reinstatement to her provisional position as bus dispatcher, for which she is admittedly not qualified. She is instead simply requesting placement in a separate noncompetitive position for which she is qualified. Upon placement, she would be subject to the mandatory probationary period preceding any permanent appointment (*see* 4 NYCRR 4.5 [a]), or subject to termination at any time if the placement were provisional. In either case, the City could terminate Ms. Almonte prior to the vesting of any rights afforded a permanent employee.

The cases concerning provisional appointments cited by the majority do not address the situation presented here: a provisional employee seeking placement in a noncompetitive position pursuant to a negotiated collective bargaining agreement. Rather, they involve employees seeking continuation or reinstatement to a competitive position under the Civil Service Law,

often ahead of candidates with greater eligibility (*see Preddice*, 69 NY2d 812 [provisional employee has no right to reinstatement or back pay notwithstanding jury verdict that he was discharged in bad faith]; *Matter of Montero v Lum*, 68 NY2d 253 [1986] [probationary period for permanent position began when employee passed civil service exam, not when he was appointed to temporary position]; *Matter of Hilsenrad v Miller*, 284 NY 445 [1940] [temporary appointment to permanent position did not become permanent upon five-month extension]; *Koso*, 260 NY 491 [1933] [term of preceding provisional appointment may not be counted toward length of permanent appointment for purpose of layoffs based on seniority within competitive position]). The clear requirement, evident in these cases, of merit-based selection within competitive positions where practicable need not be confused with a prohibition on agreements granting a limited preference based on seniority within noncompetitive positions. Significantly, not one of the cases cited involves a bargained-for agreement between sophisticated parties or under authority of the Taylor Law.

When there is no direct conflict with statutory or decisional law, this Court favors a policy of “noninterference” with the arbitration of legal disputes (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 629 [1979]). Correlatively, we have allowed arbitrators “expansive power . . . to fashion fair determinations of the parties’ rights and remedies” (*Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1, 7 [2002]). This policy of encouraging arbitration is even weightier when it comes to public employment, as not only does the Taylor Law require collective bargaining, but also “public policy in this State favors arbitral resolution of public sector labor disputes” (*Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364, 372 [1997]). In fact, we have noted that “arbitration of labor disputes under collective bargaining agreements is part and parcel of the collective bargaining process itself” (*Transport Workers*, 99 NY2d at 8, quoting *Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574, 578 [1960]), as labor arbitrators are uniquely qualified to resolve disputes due to their personal experience, knowledge and competence in the field.

Finally, the majority assumes that requiring the parties to abide by the provision they negotiated will provide a disincentive to the City to offer testing for competitive positions and to otherwise comply with the time limits set forth in section 65 of

the Civil Service Law. Not so. A permissible interpretation of the negotiated placement provision would merely place a terminated employee in an open noncompetitive position or in a competitive position for which a noneligible person could otherwise be appointed on a provisional basis. It would not fill a permanent competitive position that requires examination. The City can, and should, give tests and create eligible lists, as recommended by the Civil Service Commission. The fact that the section of the CBA at issue does not commence until after one year's service is similarly irrelevant. The City's apparent difficulty in limiting the length of its provisional appointments to the statutory nine-month period should not provide yet another policy reason to allow it to avoid a bargained-for provision, and to adversely affect the status of civil service employees relying in good faith on protections afforded them by the CBA.

The provision of the CBA at issue affords limited seniority protection to provisional employees like Maria Almonte who would, after long service, be left with no City employment at all. As we recently confirmed in *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807* (8 NY3d 513 [2007]), in a case (such as this one) where a lawful interpretation of a provision of the parties' negotiated agreement is possible, the Court's strong policy of promoting arbitration of public labor disputes requires that we allow the arbitration to proceed.

Judges GRAFFEO, READ, SMITH and JONES concur with Judge FIGOTT; Chief Judge KAYE dissents in part and votes to modify in a separate opinion in which Judge CIPARICK concurs.

Order affirmed, with costs.

[868 NE2d 189, 836 NYS2d 509]

ARTHUR ROSS et al., Respondents-Appellants, v LOUISE WISE SERVICES, INC., Appellant-Respondent.

Argued March 27, 2007; decided May 3, 2007

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 13, 2006. The Appellate Division affirmed an order of the Supreme Court, New York County (Barbara R. Kapnick, J.; op 4 Misc 3d 279), which had (1) denied defendant's motion for summary judgment dismissing the complaint; (2) granted defendant's motion to dismiss causes of action alleging negligence and intentional infliction of emotional distress as barred by the statute of limitations; (3) limited plaintiffs' potential recovery of compensatory damages to the extraordinary out-of-pocket expenses of raising their adopted child to age 21; and (4) denied defendant's motion to dismiss plaintiffs' claims for punitive damages. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

Ross v Louise Wise Servs., Inc., 28 AD3d 272, modified.

HEADNOTES**Adoption — Wrongful Adoption**

1. Plaintiffs stated a cause of action for wrongful adoption/fraud under common-law principles where they alleged that defendant adoption agency concealed and misrepresented their adopted child's biological history of mental illness/schizophrenia at the time of adoption, thereby hindering plaintiffs' doctors from making an accurate diagnosis, while plaintiffs' family unit gradually disintegrated. There were questions of fact as to whether defendant's admitted policy of withholding information from plaintiffs concerned material facts on which they relied and as a result of which they sustained monetary losses.

Damages — Compensatory Damages — Wrongful Adoption

2. Plaintiffs, who alleged that defendant adoption agency concealed and misrepresented their adopted child's biological history of mental illness/schizophrenia at the time of adoption, thereby hindering plaintiffs' doctors from accurately diagnosing the child's psychiatric problems, while plaintiffs' family unit gradually disintegrated, presented sufficient triable facts to proceed on their fraud claim for compensatory damages.

Damages — Punitive Damages — Wrongful Adoption

3. Plaintiffs failed to state a claim for punitive damages in connection with their cause of action for wrongful adoption and fraud at the time of the adoption based upon allegations that defendant adoption agency concealed and

misrepresented their adopted child's biological history of mental illness/schizophrenia. Even if defendant's failure to disclose may have been tortious, its conduct in connection with the adoption did not evince the high degree of moral turpitude required for punitive damages. In view of defendant's policy at the relevant time not to disclose certain information about the child's biological background if the professionals were unsure whether the factors were hereditary, defendant's motivation was not malicious or vindictive. Nor would punitive damages deter future reprehensible conduct. Social Services Law § 373-a, which assures that agencies do not conceal relevant history of birth parents, was not enacted until long after the events at issue herein, and defendant no longer acts in placing children for adoption.

Limitation of Actions — Estoppel to Plead Statute of Limitations

4. In an action by plaintiffs alleging that defendant adoption agency concealed and misrepresented their adopted child's biological history of mental illness/schizophrenia at the time of adoption and continued to do so for decades thereafter, thereby hindering plaintiffs' doctors from accurately diagnosing the child's psychiatric problems, defendant was not estopped from pleading the statute of limitations as a defense to causes of action for negligence and intentional infliction of emotional distress. There was no indication that defendant attempted after the adoption to conceal medical histories to induce plaintiffs to forbear from filing suit alleging negligence or infliction of emotional distress. Plaintiffs did not contact the agency until those causes of action were already time-barred. Therefore, even if defendant made fraudulent misrepresentations, plaintiffs had not been induced to refrain from filing suit.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Adoption §§ 205, 206; AM JUR 2d, Damages §§ 24, 556–558, 569, 570; AM JUR 2d, Fright, Shock, and Mental Disturbance §§ 10, 20, 43; AM JUR 2d, Limitation of Actions §§ 380, 383–385, 399, 400.

CARMODY-WAIT 2d, Adoption Proceedings §§ 111:10, 111:801.

5 LAW AND THE FAMILY NEW YORK (2d ed) §§ 6:33, 6:33A. MCKINNEY's, Social Services Law § 373-a.

NY JUR 2d, Damages §§ 8–13, 180–182, 184; NY JUR 2d, Domestic Relations §§ 583, 589; NY JUR 2d, Fraud and Deceit §§ 14–17, 68; NY JUR 2d, Fright, Shock, and Mental Disturbance §§ 1, 21, 22; NY JUR 2d, Limitations and Laches §§ 40, 42–44, 46.

PROSSER AND KEETON, TORTS (5th ed) §§ 12, 106.

SIEGEL, NY PRAC § 56.

ANNOTATION REFERENCE

“Wrongful adoption” causes of action against adoption agencies where children have or develop mental or physical problems that are misrepresented or not disclosed to adoptive parents. 74 ALR5th 1.

FIND SIMILAR CASES ON WESTLAW®

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Query: wrongful /2 adoption /p fraud! /p mental!

POINTS OF COUNSEL

Sedgwick, Detert, Moran & Arnold LLP, New York City (*David M. Covey* and *Caryn M. Silverman* of counsel), for appellant-respondent. I. Wrongful adoption claims against social service agencies, such as *Louise Wise Services, Inc.*, do not warrant punitive damages as a matter of law; the decisions in *Juman v Louise Wise Servs.* (3 AD3d 309 [2004]) and *Jeffrey BB. v Cardinal McCloskey School & Home for Children* (257 AD2d 21 [1999]), factually indistinguishable from this case, are dispositive. (*Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Walker v Sheldon*, 10 NY2d 401.) II. This Court has held repeatedly that punitive damages may be available as a matter of law only in limited circumstances; therefore, the First Department erred as a matter of law in holding that the record supports a claim for punitive damages. (*Walker v Sheldon*, 10 NY2d 401; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *164 Mulberry St. Corp. v Columbia Univ.*, 4 AD3d 49; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Rudin Mgt. Co. v Commissioner of Dept. of Consumer Affairs of City of N.Y.*, 213 AD2d 185; *Matter of Kennedy v Kennedy*, 251 AD2d 407, 92 NY2d 818; *Matter of Hays v Ward*, 179 AD2d 427, 80 NY2d 754.) III. The First Department erred in holding that punitive damages are potentially available where no showing has been made that such damages are necessary, under the circumstances, to deter future or similar conduct. (*Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218; *Walker v Sheldon*, 10 NY2d 401; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309.) IV. Punitive damages may not be utilized as a means of addressing a perceived inequity in the compensatory damages potentially recoverable. (*Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Jeffrey BB. v Cardinal McCloskey School & Home for Children*, 257 AD2d 21; *Juman v Louise Wise Servs.*, 3 AD3d 309.) V. A trial of the punitive damages claim will result in a waste of judicial and party resources.

Phillips Nizer, LLP, New York City (*Michael J. Silverberg* and *Bruce Turkle* of counsel), for respondents-appellants. I. Sum-

mary judgment must be denied where triable issues are shown to exist. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Matter of Warder v Board of Regents of Univ. of State of N.Y.*, 53 NY2d 186; *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369; *Millerton Agway Coop. v Briarcliff Farms*, 17 NY2d 57; *Andre v Pomeroy*, 35 NY2d 361; *Moskowitz v Garlock*, 23 AD2d 943; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Giuffrida v Citibank Corp.*, 100 NY2d 72; *Lesocovich v 180 Madison Ave. Corp.*, 81 NY2d 982; *Greenberg v Bar Steel Constr. Corp.*, 22 NY2d 210.) II. Plaintiffs' second and third causes of action were improperly dismissed. (*General Stencils v Chiappa*, 18 NY2d 125; *Farkas v Farkas*, 168 F3d 638; *Glus v Brooklyn Eastern Dist. Terminal*, 359 US 231; *Erbe v Lincoln Rochester Trust Co.*, 13 AD2d 211; *Meridien Intl. Bank v Government of Republic of Liberia*, 23 F Supp 2d 439; *Smith v Cutson*, 188 AD2d 1034; *Mandelblatt v Devon Stores*, 132 AD2d 162; *Insurance Co. of N. Am. v Whitlock*, 216 App Div 78; *Juman v Louise Wise Servs.*, 254 AD2d 72; *Junius Constr. Corp. v Cohen*, 257 NY 393.) III. The trial court properly refused to summarily dismiss plaintiffs' claim for punitive damages. (*Walker v Sheldon*, 10 NY2d 401; *Giblin v Murphy*, 73 NY2d 769; *Borkowski v Borkowski*, 39 NY2d 982; *Welch v Mr. Christmas*, 57 NY2d 143; *Nardelli v Stamberg*, 44 NY2d 500; *Laurie Marie M. v Jeffrey T.M.*, 159 AD2d 52, 77 NY2d 981; *Roy v Hartogs*, 81 Misc 2d 350; *Micari v Mann*, 126 Misc 2d 422; *Juman v Louise Wise Servs.*, 3 AD3d 309; *Jeffrey BB. v Cardinal McCloskey School & Home for Children*, 257 AD2d 21.)

OPINION OF THE COURT

Chief Judge KAYE.

Plaintiffs, adoptive parents Arthur Ross and Barbara Ross, have asserted three causes of action against Louise Wise Services: wrongful adoption/fraud; negligence and breach of fiduciary duty; and intentional infliction of emotional distress. On defendants' motion for summary judgment, we conclude that, while plaintiffs may seek compensatory damages, punitive damages are not available for the first claim in this case, and statutes of limitations bar the second and third claims.

Facts

In 1960 plaintiffs applied to Louise Wise (the Agency) for assistance in adopting an infant.¹ They told the Agency that they preferred a “healthy infant from a healthy family,” and that “it would be nice if the baby’s birth family had an artistic background.” Mr. Ross was nationally recognized in the advertising field, had won awards and made a good salary, and the couple were engaged in various cultural activities. According to one social worker who had interviewed them, plaintiffs were mature, seemed comfortable about adopting a child and could handle the situation “better than the average couple with whom we place a child.”

In the spring of 1961 plaintiffs were offered a boy, born January 11, 1961. In response to plaintiffs’ question about the health of the baby and his biological family, the social worker told plaintiffs this was “a demanding baby who likes attention.” She described the physical appearance and artistic interests of the birth parents and indicated that they were healthy but the birth father was allergic to penicillin and the maternal grandfather had died of heart disease. The Agency did not, however, disclose that either of the birth parents or members of their families had suffered from emotional disturbance.

According to Agency files, the biological mother never had a “normal” home life. In 1952, her father, the baby’s biological grandfather, was hospitalized for 1½ years for schizophrenia when he was in his mid-60s. The report also indicated that the birth mother was worried that her feelings of stress could affect the baby. She and the biological father married only because she was pregnant. She had seen a psychiatrist, who wrote to the Agency that the mother “presented as a girl who was failing in her major adjustments to life: late to school with the result that she failed to maintain matriculation at two colleges; few friends; hostility to most people; and demanding dependency.” The biological father, according to the files, saw a psychiatrist, who, after one meeting, stated that the father was “a seriously disturbed young man, classified him as a paranoid, schizophrenic, and felt he had married purely for her [the birth

1. Founded in 1916, the Agency sought good homes for children placed for adoption. By the late 1990s, it no longer acted as an adoption agency, and instead offered training and support for foster care families and children. Those operations ceased in 2004, and the Agency’s records were placed with a different adoption agency. Currently, the Agency has social services programs but runs neither adoption nor foster care placements.

mother's] money." The doctor also noted that, while the birth father could use treatment, "there was no rush."

Plaintiffs accepted the child, and on March 30, 1961, took home the baby they named Anthony. Although he was an active, difficult infant who could not sleep well, Ms. Ross attended to him and he was a happy baby. The adoption was finalized in 1962, and in 1964 plaintiffs adopted a daughter from the Agency. By the time Anthony was four, his troublesome behavior led plaintiffs to seek professional help.

Postadoption Events

In 1970, when Anthony was nine years old and the difficulties increased, plaintiffs called the Agency and were directed to Barbara Miller, head of the Post-Adoption Service. Plaintiffs told Miller that Anthony was experiencing "night terrors," cursed at the family, hit his parents and threatened people with objects. Ms. Ross suspected that he was hyperactive and might have brain dysfunction. Plaintiffs asked whether there could have been problems with the birth mother, whether she had taken drugs, whether she attempted to abort the pregnancy or whether there was birth trauma. Miller recommended that plaintiffs see a psychiatrist, Dr. Anne-Marie Weil, associated with the Agency. Miller's letter to Weil noted that Anthony's birth mother and grandfather "had histories of emotional instability"; however, Miller did not give Weil any specifics of the schizophrenia, and neither Miller nor Weil told plaintiffs of any emotional instability. Weil never saw Anthony himself, and her suggestions for behavior modification were to no avail.

While Ms. Ross wished to get treatment for Anthony, Mr. Ross disagreed and hoped that Anthony would grow out of his disruptive behavior. In 1973, after Anthony's school advised plaintiffs that Anthony needed a special school, they called Miller again to ask that she send a summary of Anthony's "birth history, background and foster home experience to Dr. Stella Chess," a well-known child psychiatrist plaintiffs had engaged. Although Miller mentioned in her report to Chess that Anthony was a tense, active baby, she did not tell the doctor of the birth parents' history of schizophrenia. In the same call to Miller, Ms. Ross indicated that she suspected more and more that Anthony's difficulties were organically based and divulged that she was forced to separate herself from her son as much as possible since his violence was getting progressively worse.

When she phoned the Agency in 1981, Ms. Ross told Miller that, fearful of her own and her daughter's physical well-being,

she had moved out of her home in 1978 when Anthony had finished a special high school. Plaintiffs divorced in 1979. The daughter then lived with her mother and Anthony with his father. Though Miller stated in her notes that Anthony remained disturbed and undiagnosed, she mentioned nothing to plaintiffs about his biological background.²

Anthony continued to live with his father and graduated from college. Over the years, he did see several doctors, none of whom could assist him. He had some odd jobs but could not keep any. Ms. Ross called the Agency in 1994 and told them that she thought Anthony had ADHD. The Agency again did not disclose any information, including that it had received a call in 1984 that Anthony's birth mother had committed suicide in 1973. Anthony's behavior became more erratic, and he started to see a psychiatrist again. In 1995, when Anthony was 34, Mr. Ross woke up to find his son about to hit him with a large flashlight. Anthony was taken to Bellevue, where he was diagnosed as a paranoid schizophrenic.

The Action

The New York Times Magazine on March 14, 1999, published an article, *What the Jumans Didn't Know About Michael*, describing a family who adopted a boy from the Agency and learned years later that the birth family's history included schizophrenia. As a result, plaintiffs sought Anthony's medical records. These were sent in April 1999, and plaintiffs filed suit on June 25, 1999. Plaintiffs testified in their depositions that much as they love Anthony, they would not have adopted him before they saw him if they had been told about the schizophrenia in his biological family, and that psychiatrists might have treated him differently had disclosure been made earlier. Further, they claimed that the stresses in their family resulted in both plaintiffs' clinical depression, the dissolution of their marriage and lost employment.

2. In June 1982, Anthony, 21, unexpectedly appeared at Dr. Weil's office and asked for a report that she had written 10 years earlier. Weil had no recollection of the report but called Miller, who wrote in her notes that the doctor was frightened by Anthony's demeanor and felt he was a paranoid schizophrenic, capable of violence. Miller wrote back saying that she appreciated the caution, but neither Miller nor Weil alerted the plaintiffs. In 1984, when Anthony was 23, he made an appointment at the Agency to learn about his birth history. He was told what plaintiffs had been told at the outset—that the medical information was good.

Agency Policies in the 1960s and 1970s

In the 1960s and 1970s, the belief among the social workers and psychiatrists who worked for the Agency was that, in the development of a child, nurture played a far more significant role than nature. For that reason, the policy of the Agency was not to disclose certain information about a birth family's medical history if the doctors were unsure whether the factors were hereditary. Anita Longo Sorensen, the Agency's expert witness, expressed this opinion in an affidavit and added:

"Moreover, it was the belief and general opinion of social workers and other professionals in the adoption field at those times that mental illness would not be passed on if a child were placed in a loving environment.

"It was also the general opinion and belief of social workers and other professionals in the adoption field at those times that the disclosure of certain information to prospective adoptive parents would interfere with the bonding between adoptive parent and child and prove detrimental to the child, the parents and their relationship. Therefore, it was the practice of social workers and other professionals in the adoption field in the 1960s and into the early 1980s not to disclose information that could be viewed as negative and which was not believed to be hereditary for fear that it would influence the family adversely on how they would nurture the adopted child. This practice remained in effect until changes were made in the Social Services Law and the Public Health Law in the early-mid 1980s."

Specifically, psychiatrists were unsure about the hereditary factors of mental illness and therefore would not discuss with adoptive parents mental disturbances of the biological family. Florence Kreech, Executive Director of the Agency during that period, testified that their psychiatrists "felt for many, many years we knew so little about schizophrenia and they felt very strongly about not putting labels on people." Kreech knew that studies were underway, but the Agency's psychiatrists "knew too little about hereditary factors," and had no certain information that a child of a parent or parents who had schizophrenia had a greater risk of developing it. "[T]here were children that may have come from parents—and, again, they wouldn't put labels on them—whose parents were disturbed, but it did not necessarily follow that the children were going to be disturbed."

Miller conceded that she concealed the biological information from all adoptive parents, including plaintiffs, when they called with postadoptive questions. She followed what the Agency considered normative policy. Generally, the Agency might have told a couple that there was some disturbance in the family background, but more likely the Agency, without divulging aberrant history, would find an adoptive couple who could be accepting of emotional problems. Social workers and psychiatrists were concerned that the child not be stigmatized.

“[I]f there were a history of mental illness which we understood to be noninheritable at that time—and I couldn’t find a psychiatrist in New York at the time who would have told you that it was inherited—we would not mention that, simply because our psychiatrist felt that it had no meaning and it would only cause anxiety or might cause anxiety in the parents.”

A “healthy baby” at that time meant a physically healthy child.

The Agency has included in the record extracts from literature published in the 1960s through 1980s to underscore the divergent views on the etiology of schizophrenia. For example, Herbert Weiner, M.D., wrote in 1967 that “In psychiatry, the nature-nurture controversy continues to rage . . .” (*Schizophrenia III: Etiology*, in Freedman and Kaplan, *Comprehensive Textbook of Psychiatry* § 15.3, at 604 [1967].) The author concluded that “The environment may continuously interact with the genotype to elicit certain kinds of general potentialities and more specific dispositions to react to certain categories of environmental stress that lead to the illness” (*id.* at 620).

Plaintiffs too presented the affidavit of an expert, Dr. Dolores Malaspina, whose work concentrates on schizophrenia. She indicated that as far back as 1911 a study showed that schizophrenia “arose from a hereditary taint,” and even in the 1920s, studies demonstrated elevated risks for the disease in close relatives. Malaspina affirmed that “[a]lthough a number of American practitioners theorized in the post-World War II era that schizophrenia could arise from a dysfunctional family, the evidence of its genetic familial nature was never questioned.” Studies indicated that the likelihood of getting schizophrenia for someone with one affected parent is 12%, and the risk for bi-lineal inheritance is 46%. A doctor’s not knowing the family history could make diagnosis “correspondingly difficult.”

It was not until 1983 that the Legislature enacted Social Services Law § 373-a (L 1983, ch 326, amended by L 1985, chs 103, 142), which provides that medical histories should be disclosed to preadoptive parents and adult adoptees. In 1985, the statute was amended to include adoptive parents. The Legislature also enacted Public Health Law §§ 4138-b, 4138-c and 4138-d, effective December 6, 1983, establishing an Adoption Information Registry in the Department of Health to allow adult adoptees to obtain nonidentifying medical information.

Decisions of the Lower Courts

In Supreme Court, the Agency moved for an order granting summary judgment dismissing plaintiffs' complaint; granting partial summary judgment dismissing plaintiffs' second and third causes of action as time-barred; dismissing plaintiffs' claim for emotional distress and recovery of business or other losses from that emotional distress, and limiting potential recovery of compensatory damages to extraordinary out-of-pocket expenses of raising plaintiffs' adopted child to age 21; and dismissing plaintiffs' claim for punitive damages. Refusing to grant summary judgment as to the first count (wrongful adoption/fraud), the court found triable issues of fact as to whether the Agency concealed or misrepresented material facts at the time of the adoption and in subsequent years about the child's biological history. The court dismissed the claims for negligence and intentional infliction of emotional harm on statute of limitations grounds, limited potential recovery of compensatory damages to out-of-pocket expenses before the child reached 21 and allowed the claim for punitive damages to proceed.

The Appellate Division affirmed. The Agency did not appeal Supreme Court's refusal to dismiss the cause of action for wrongful adoption. All five Appellate Division Justices agreed that the statute of limitations had run on the negligence and intentional infliction of emotional distress claims. As to the punitive damages, two Justices determined that plaintiffs had raised sufficient issues of fact based on the Agency's initial as well as subsequent failures to disclose the child's family history of mental illness. The two other Justices in the majority concluded that the issue concerned the conduct surrounding the adoption and consequences of the initial concealment, not the Agency's subsequent action or inaction. The dissent, while not questioning plaintiffs' cognizable claim of wrongful adoption, stated that punitive damages could rest only on conduct at the time of the adoption and on the Agency's motivation—which,

from the extensive record evidence, was not to hurt maliciously or inflict pain but to find a good home for the child. The Appellate Division granted leave.

The Agency appeals from the order allowing the issue of punitive damages to proceed; plaintiffs cross-appeal from the order dismissing their second and third causes of action. We agree with the trial court and Appellate Division on the statute of limitations issue, agree with the dissent on the punitive damages issue and accordingly modify the order of the Appellate Division.

Analysis

[1] As a threshold matter, the Agency, in failing to challenge the order leaving in place the action for wrongful adoption, acknowledges that plaintiffs have raised a cognizable claim under common-law fraud principles in the adoption setting (*see Juman v Louise Wise Servs.*, 159 Misc 2d 314, 316-317 [NY County 1994], *affd* 211 AD2d 446 [1st Dept 1995]).³ The court in *Juman* indicated that the tort concerned not simply an agency's silence but " 'the deliberate act of misinforming' " a couple who were deprived of their right to make informed parenting decisions (*id.* at 318 [citation omitted]). To establish a *prima facie* case for fraud, plaintiffs would have to prove that

"(1) defendant made a representation as to a material fact; (2) such representation was false; (3) defendant[] intended to deceive plaintiff; (4) plaintiff believed and justifiably relied upon the statement and was induced by it to engage in a certain course of conduct; and (5) as a result of such reliance plaintiff sustained pecuniary loss" (*id.* at 320).

Thus, plaintiffs here will have the opportunity to show that the Agency's admitted policy to withhold information from them concerned material facts on which they relied and as a result of which they sustained monetary losses.

The questions we are called upon to answer are whether plaintiffs may seek punitive damages for wrongful adoption/fraud as alleged, and whether equitable estoppel bars the Agency from asserting the defense of statute of limitations on the second and third causes of action.

3. The *Juman* case was remanded to Supreme Court, which issued an opinion (174 Misc 2d 49 [NY County 1997], *mod* 254 AD2d 72 [1st Dept 1998]). On the questions of pecuniary and punitive damages, the case was again remanded (*Juman v Louise Wise Servs.*, Sup Ct, NY County, Sept. 1, 2000, Leher, J., Index No. 005809/92, *mod* 3 AD3d 309 [1st Dept 2004]).

Punitive Damages

Compensatory damages are intended to have the wrongdoer make the victim whole—to assure that the victim receive fair and just compensation commensurate with the injury sustained. Punitive damages are not to compensate the injured party but rather to punish the tortfeasor and to deter this wrongdoer and others similarly situated from indulging in the same conduct in the future (*Walker v Sheldon*, 10 NY2d 401, 404 [1961]; see *Krohn v New York City Police Dept.*, 2 NY3d 329, 335 [2004]; *Sharapata v Town of Islip*, 56 NY2d 332, 335 [1982]). Subjecting a wrongdoer to punitive damages serves to deter future reprehensible conduct. Hence the term “exemplary damages” is a synonym for punitive damages.

Punitive damages are permitted when the defendant’s wrongdoing is not simply intentional but “evinces a high degree of moral turpitude and demonstrates such wanton dishonesty as to imply a criminal indifference to civil obligations” (*Walker*, 10 NY2d at 405; see *Rocanova v Equitable Life Assurance Socy. of U.S.*, 83 NY2d 603, 613 [1994]). In *Prozeralik v Capital Cities Communications* (82 NY2d 466, 479 [1993]), the Court wrote that punitive damages may be sought when the wrongdoing was deliberate “‘and has the character of outrage frequently associated with crime’ ” (citation omitted). The misconduct must be exceptional, “as when the wrongdoer has acted maliciously, wantonly, or with a recklessness that betokens an improper motive or vindictiveness . . . or has engaged in outrageous or oppressive intentional misconduct or with reckless or wanton disregard of safety or rights” (*Sharapata*, 56 NY2d at 335 [citations and internal quotation marks omitted]; see also *Wilson v City of New York*, 7 AD3d 266, 267 [1st Dept 2004] [misconduct lacked “the character of spite, malice or evil motive”]).

Plaintiffs in *Juman* brought suit for wrongful adoption on facts analogous to those here. The prospective adoptive parents had been told certain information about the birth parents but not that they had met in a psychiatric hospital and that the mother had undergone a frontal lobotomy years before the child was born. The child became paranoid schizophrenic. The First Department found that the plaintiffs were entitled to seek compensatory damages but not punitive damages—conduct subsequent to the enactment of Social Services Law § 373-a setting standards for disclosure was irrelevant to the wrongful adoption claim “since the operative facts are those that oc-

curred at and around the time of the . . . adoption” (3 AD3d at 310).

In *Jeffrey BB. v Cardinal McCloskey School & Home for Children* (257 AD2d 21 [3d Dept 1999]), also a wrongful adoption case, the Third Department similarly dismissed a claim for punitive damages. Although the prospective parents, who had five other children, specifically asked about problems in the child’s background, the agency withheld that she had been sexually abused. She would, thereafter, allegedly abuse two of the other children. The court determined that the agency’s actions did not rise to the level of culpable conduct necessary to award exemplary damages.

[2] In this case, the Agency has conceded that it intentionally misrepresented facts about Anthony’s background. We are troubled by such concealment, and sympathetic to the suffering plaintiffs have endured. They have presented sufficient triable facts to proceed on their fraud claim for compensatory damages.

[3] In its motion for summary judgment, however, the Agency has shown that, even if its failure to disclose may have been tortious, its conduct in connection with the adoption did not evince the high degree of moral turpitude required for punitive damages. Nor would punitive damages be warranted against the Agency for deterrence.

First, nothing in the record disproves what the Agency’s own social workers and its expert stated—in the 1960s and even into the early 1980s the policy was not to disclose certain information about the child’s biological background if the professionals were unsure whether the factors were hereditary. Many thought that mental illness could be avoided if a child were placed in a loving environment and that disclosure of birth parents’ emotional disturbances would negatively affect the child’s bonding with the adoptive parents. While it may be difficult for us in the twenty-first century to envisage not discussing mental or physical illness with prospective parents, and while such normative conduct may be deemed tortious even for that time, we cannot say that the record shows that the Agency’s motivation was malicious or vindictive.

Not until 1983 did the Legislature enact Social Services Law § 373-a to require disclosure of medical histories to prospective adoptive parents and adult adoptees. Although we address common-law tort and not violation of the statute, that the statute was enacted only in the 1980s is a factor in determining that punitive damages are inappropriate here.

As to deterrence, section 373-a now requires agencies to provide to prospective adoptive parents and, upon request, to adoptive parents “the medical histories of a child legally freed for adoption . . . and of his or her natural parents, with information identifying such natural parents eliminated.” Medical histories include “psychological information” (*id.*). Thus, the statute assures that agencies do not conceal relevant history of birth parents. Moreover, defendant Agency no longer acts in placing children for adoption, and its records are now housed at a different agency.

The complaint here includes a single cause of action for wrongful adoption and fraud at the time of the adoption. There are no separate counts of fraud concerning conduct in later years. Thus, even though no justification may exist, for example, for the Agency’s failure to disclose information to the doctors plaintiffs consulted for Anthony in the 1970s, the fraud of wrongful adoption must center on the conduct that induced the prospective parents to accept the child. Because we cannot conclude from the record that the initial concealment was motivated by malice so as to warrant punitive damages, or that these damages would deter future reprehensible conduct, we limit plaintiffs’ potential recovery to compensatory damages.

Equitable Estoppel

[4] The second and third causes of action—for negligence and infliction of emotional distress—are barred by the statutes of limitations under CPLR 214 (three years) and CPLR 215 (one year) respectively. Plaintiffs do not assert that the discovery rule under CPLR 203 (g) that permits the fraud claim to proceed is applicable to these torts, for plainly it is not. Rather, they argue that the doctrine of equitable estoppel should apply.

Under this doctrine, a defendant is estopped from pleading a statute of limitations defense if the “plaintiff was induced by fraud, misrepresentations or deception to refrain from filing a timely action” (*Simcuski v Saeli*, 44 NY2d 442, 449 [1978]). For the doctrine to apply, a plaintiff may not rely on the same act that forms the basis for the claim—the later fraudulent misrepresentation must be for the purpose of concealing the former tort (see *Zumpano v Quinn*, 6 NY3d 666, 674 [2006]; *Rizk v Cohen*, 73 NY2d 98, 105-106 [1989]). The uncommon remedy of equitable estoppel “is triggered by some conduct on the part of the defendant after the initial wrongdoing; mere silence or failure to disclose the wrongdoing is insufficient” (*Zoe G. v Freder-*

ick F.G., 208 AD2d 675, 675-676 [2d Dept 1994]). In *Zumpano* (6 NY3d at 674, 675), plaintiff brought suit against a priest and the Catholic Diocese years after he was allegedly sexually abused. We held that the defendants' failure to disclose the abuse was not a subsequent or specific action that kept the plaintiff from timely bringing suit, and thus did not constitute a basis for equitable estoppel.

Plaintiffs argue that the Agency's fraudulent conduct induced them not to file suit. They cite to *General Stencils v Chiappa* (18 NY2d 125 [1966]), in which plaintiff company sued its book-keeper for theft over many years. The Court held that the defendant could not assert a statute of limitations defense because she affirmatively and carefully concealed her crime and "produced the long delay between the accrual of the cause of action and the institution of the legal proceeding" (*id.* at 128). In this case, unlike *General Stencils*, nothing in the record indicates that the Agency attempted after the adoption to conceal medical histories to induce plaintiffs to forbear from filing suit alleging negligence or infliction of emotional distress. Plaintiffs did not get in touch with the Agency until 1970, by which time both torts of negligence and infliction of emotional distress were already time-barred. Therefore, even if the Agency made fraudulent misrepresentations, plaintiffs had not been induced to refrain from filing suit, and equitable estoppel is not warranted in this case.

Accordingly, the order of the Appellate Division should be modified, without costs, by granting defendant's motion to dismiss plaintiffs' demand for punitive damages and, as so modified, affirmed. The certified question should be answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[868 NE2d 199, 836 NYS2d 518]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ABEL ROSAS, Respondent.

Argued March 27, 2007; decided May 8, 2007

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 13, 2006. The Appellate Division modified, on the law, a judgment of the Supreme Court, Queens County (Randall T. Eng, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree (two counts), murder in the second degree (two counts) and criminal possession of a weapon in the second degree, and sentenced him to two consecutive terms of life imprisonment without parole on the convictions of murder in the first degree, to run concurrently with two consecutive indeterminate terms of imprisonment of 25 years to life on the convictions of murder in the second degree, and to an indeterminate term of imprisonment of 7½ to 15 years on the conviction of criminal possession of a weapon in the second degree, to run concurrently with the sentences on the convictions of murder in the first degree. The modification consisted of (1) vacating the convictions of murder in the second degree, vacating the sentences imposed thereon and dismissing those counts of the indictment; and (2) directing that all of the remaining sentences run concurrently. The Appellate Division affirmed the judgment as modified.

People v Rosas, 30 AD3d 545, affirmed.

HEADNOTE

Crimes — Sentence — Concurrent and Consecutive Terms — Murder of Two Individuals during Same Criminal Transaction

The Appellate Division properly determined that defendant, who was convicted of two counts of first degree murder under Penal Law § 125.27 (1) (a) (viii) for causing the deaths of two individuals during the same criminal transaction, should have been sentenced to concurrent terms of imprisonment pursuant to Penal Law § 70.25 (2). It is the actus reus, or wrongful deed, that constitutes the “act or omission” for the purposes of section 70.25 (2). Because it was the same actus reus—the intentional murder of the same two victims—that was the basis for the first degree murder convictions here, consecutive sentences were not warranted under section 70.25 (2). Although the victims were killed by separate shots, section 125.27 (1) (a) (viii) requires multiple victims to constitute a single offense and thus contemplates the possibility of

multiple shots. The two separate shots that caused the deaths of the victims were one actus reus for the purposes of the sentencing statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 884, 886; AM JUR 2d, Homicide § 39.

McKINNEY's, Penal Law § 70.25 (2); § 125.27 (1) (a) (vii).

NY JUR 2d, Criminal Law §§ 2851, 2853, 2854, 2858, 2860.5, 3783, 3786.5, 3866.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Homicide.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: concurrent! /5 sentenc! /s murder & same /4 transaction

POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Sharon Y. Brodt and John M. Castellano of counsel), for appellant. Consecutive sentences were authorized for the two counts of first-degree murder involving two victims. (*People v Ramirez*, 89 NY2d 444; *People v Laureano*, 87 NY2d 640; *People v Brown*, 80 NY2d 361; *People v Brathwaite*, 63 NY2d 839; *People v Truesdell*, 70 NY2d 809; *People v Bond*, 90 NY2d 877; *Blockburger v United States*, 284 US 299; *People v Okafore*, 72 NY2d 81; *People v Ramos*, 99 NY2d 27; *People v West*, 81 NY2d 370.)

Winston McIntosh, New York City, and Lynn W.L. Fahey for respondent. The Appellate Division correctly determined that respondent's first-degree murder sentences must run concurrently because the same act—the double murder of a husband and wife during the same criminal transaction—constituted both offenses, or, alternatively, because the murder of each victim was a material element of the offense as to the other. (*People v Ramirez*, 89 NY2d 444; *People v Laureano*, 87 NY2d 640; *People v Day*, 73 NY2d 208; *People v Underwood*, 52 NY2d 882; *People v Bryant*, 92 NY2d 216; *People v Salcedo*, 92 NY2d 1019; *People v Brown*, 80 NY2d 361; *People v Truesdell*, 70 NY2d 809; *People v Brathwaite*, 63 NY2d 839; *People v Parks*, 95 NY2d 811.)

OPINION OF THE COURT

CIPARICK, J.

Defendant was convicted of two counts of first degree murder under Penal Law § 125.27 (1) (a) (viii) for causing the deaths of two individuals during the same criminal transaction. The issue presented by this appeal is whether the resulting sentences imposed must run concurrently or consecutively to one another under Penal Law § 70.25 (2). We conclude, under the principles stated in *People v Laureano* (87 NY2d 640 [1996]), that the sentences must be served concurrently.

In the early morning hours of March 30, 1997, defendant broke into the apartment of his former girlfriend, Yurate Dainiene, and shot her and her husband, Rimgaudas Dainys, to death as they slept in their bed. Defendant proceeded to trial on several charges including, as relevant here, charges of first degree murder.¹ The court instructed the jury in accordance with the Criminal Jury Instructions for Penal Law § 125.27 (1) (a) (viii). Specifically, for the first count the court told the jury that the People were required to prove, in pertinent part:

“1. That . . . the defendant, Abel Rosas, caused the deaths of [both] Yurate Dainiene and Rimgaudas Dainys[;] . . .

“2. That the defendant did so with the intent to cause the death of Yurate Dainiene . . . and the intent to cause either the death or serious physical injury of Rimgaudas Dainys[; and]

“3. That the defendant caused both deaths during the same criminal transaction.”

For the second count, the positions of the victims were reversed, with Rimgaudas Dainys as the primary victim.

During deliberations, the jury sent a note indicating that there was “substantial confusion” regarding the first degree murder counts, asking the court to explain the difference between the two and inquiring whether they were “mutually exclusive.” Supreme Court responded by recharging the elements of murder in the first degree for each count and advising the jury that the two counts were not mutually exclusive.

1. This was defendant’s third trial on these charges. His first trial ended in a mistrial. After a second trial, he was convicted of two counts of first degree murder, two counts of second degree murder and one count of criminal possession of a weapon in the second degree. However, the Appellate Division reversed his conviction and ordered a new trial due to the People’s failure to disclose certain *Rosario* material (297 AD2d 390 [2d Dept 2002]).

Defendant was convicted of two counts of first degree murder (Penal Law § 125.27 [1] [a] [viii]), two counts of second degree murder (Penal Law § 125.25 [1]) and one count of criminal possession of a weapon in the second degree (Penal Law § 265.03). Supreme Court sentenced him to two consecutive terms of life imprisonment without parole for the first degree murder convictions, to run concurrently with two consecutive indeterminate terms of 25 years to life for the second degree murder convictions and an indeterminate term of 7½ to 15 years for criminal possession of a weapon in the second degree.

The Appellate Division modified by vacating the convictions for murder in the second degree and dismissing those counts of the indictment as inclusory concurrent counts of first degree murder. It further found that the imposition of consecutive sentences on the first degree murder convictions violated Penal Law § 70.25 (1) and (2) because there was an identical “act” underlying both counts of murder in the first degree—the double murder of both husband and wife. Moreover, “the murder of the wife was a material element of the offense as to the husband and vice versa” (30 AD3d 545, 546 [2006]). The Court ordered the remaining sentence for weapons possession to run concurrently with the sentences for murder. A Judge of this Court granted the People leave to appeal and we now affirm.

Penal Law § 70.25 addresses the legality of concurrent or consecutive prison sentences. Subdivision (2) provides that

“[w]hen more than one sentence of imprisonment is imposed on a person for two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other, the sentences . . . must run concurrently.”

The People have the burden of establishing the legality of consecutive sentences (*see Laureano*, 87 NY2d at 643).

In this context, the Court has interpreted “act or omission” to include the *actus reus* of the offense.²

“Because both prongs of Penal Law § 70.25 (2) refer to the ‘act or omission,’ that is, the ‘*actus reus*’ that constitutes the offense, the court must determine

2. *Actus reus* is defined as “[t]he wrongful deed that comprises the physical components of a crime and that generally must be coupled with *mens rea* to establish criminal liability” (Black’s Law Dictionary 39 [8th ed 2004]).

whether the *actus reus* element is, by definition, the same for both offenses (under the first prong of the statute), or if the *actus reus* for one offense is, by definition, a material element of the second offense (under the second prong)” (*Laureano*, 87 NY2d at 643 [citations omitted]; see also *People v Bryant*, 92 NY2d 216, 231 [1998]; *People v Ramirez*, 89 NY2d 444, 451 [1996]).

A court must look to the statutory definitions of the crimes at issue to decide whether concurrent sentences are warranted (see *Laureano*, 87 NY2d at 643).

Therefore, in our analysis we must initially look to the language of the first degree murder statute. Penal Law § 125.27, enacted as the State’s capital murder statute, requires a defendant to have committed intentional murder of a person and enumerates 13 aggravating factors that elevate the offense to first degree murder (see *People v Miller*, 6 NY3d 295, 301 [2006]). Specifically, Penal Law § 125.27 (1) (a) (viii) and (b) states that,

“[a] person is guilty of murder in the first degree when . . .

“[w]ith intent to cause the death of another person, he causes the death of such person or of a third person; and . . .

“as part of the same criminal transaction, the defendant, with intent to cause serious physical injury to or the death of an additional person or persons, causes the death of an additional person or persons; provided, however, the victim is not a participant in the criminal transaction . . .

“[and] [t]he defendant was more than eighteen years old at the time of the commission of the crime.”

The *actus reus* of the offense is that a defendant intentionally murder one victim and cause the death of the other, with the intent of causing either death or serious physical injury to the second victim. As noted above, under *Laureano* the *actus reus* of a particular offense is what constitutes the “act or omission” for the purposes of section 70.25 (2) (see 87 NY2d at 643). Thus, we are bound to consider the entire *actus reus* of the offense with all its components when determining whether consecutive sentences are appropriate.

A “[c]onsecutive sentence is available ‘if the Legislature has seen fit to provide that up to a particular point the acts of the defendant constitute one crime and that the acts of the defendant, committed thereafter, constitute a second crime and that each series of acts constitut[e] a separate crime’ ” (*People v Day*, 73 NY2d 208, 212 [1989], quoting *People v Snyder*, 241 NY 81, 83-84 [1925]). Here, by contrast, the same acts constitute both crimes. In other words, the same actus reus—the intentional murder of the same two victims—is the basis for both first degree murder convictions.

Defendant intentionally murdered Yurate Dainiene and caused the death of Rimgaudas Dainys—with the intent to cause Dainys’ death or seriously physically injure him—in the same criminal transaction. Likewise, defendant intentionally murdered Rimgaudas Dainys and caused the death of Yurate Dainiene in the same criminal transaction with the requisite intent. Although the order is reversed in each count, as to which victim was primary and which was the aggravator, it is the same two murders that form the basis for each offense.³ Thus, the People have failed to meet their burden of establishing the legality of consecutive sentences, since under the first prong of section 70.25 (2), consecutive sentences cannot be imposed where the actus reus is the same for both offenses. Stated differently, neither offense exists independently of the other as both offenses were committed through a single actus reus.

This case is distinguishable from the situation presented by *People v Brathwaite* (63 NY2d 839 [1984]), in which the defendant was sentenced to consecutive terms of 25 years to life for two counts of felony murder (murder in the second degree). The owner of a grocery store and an employee were shot and killed during the course of defendant’s robbery of the store. We stated that

“although the two deaths may be said to have occurred in the course of a single extended transaction—the robbery—it was separate ‘acts’ which caused the deaths . . . (i.e., there is no contention

3. Interestingly, if defendant had murdered at least one additional victim in the same transaction, consecutive sentences might be appropriate. For example, he could have been charged with the intentional murder of A with the accompanying murder of B, the intentional murder of B with the accompanying murder of C and the intentional murder of C with the accompanying murder of A. As so charged, none of the counts would have the same actus reus.

that it was the firing of the same shot that killed both the owner and the clerk), and neither was a material element of the other” (*Brathwaite*, 63 NY2d at 843).

Although the victims in this case were likewise killed by separate shots, section 125.27 (1) (a) (viii)—unlike felony murder—requires multiple victims to constitute a single offense and thus contemplates the possibility of multiple shots. The two separate shots that caused the deaths of the victims here were one *actus reus* for the purposes of this sentencing statute and consistent with our long-settled interpretation of Penal Law § 70.25 (2) (*see Laureano*, 87 NY2d at 643; *Ramirez*, 89 NY2d at 451; *Bryant*, 92 NY2d at 231).

The People argue and the dissent agrees that our analysis is inconsistent with the statutory definition of “act” in the Penal Law: “a bodily movement” (Penal Law § 15.00 [1]). They note that the crime of first degree murder in this case was accomplished by two bodily movements—two shootings, two offenses—and thus suggest that there could not have been a single “act” within the meaning of Penal Law § 70.25 (2). But the People misconceive the purpose of the statutory definition. It draws a line between a prohibited “act”—“a bodily movement,” or *actus reus*—and a “[c]ulpable mental state” (Penal Law § 15.00 [6])—a state of mind, or *mens rea*. The statute could not have been designed to require courts to distinguish between one and several bodily movements, because the distinction will be difficult or impossible in many cases as the dissent recognizes.

Finally, the People point out an alleged anomaly in this interpretation of the statute—that defendant could have received consecutive sentences if he had been convicted of two counts of second degree murder for these crimes (Penal Law § 125.25 [1]), but is not eligible for consecutive sentences upon his conviction of two counts of first degree murder.⁴ However, the Legislature has already provided enhanced punishment for crimes deemed serious enough to constitute murder in the first degree. Such crimes potentially warrant an amplified sentence of life imprisonment without parole (*see* Penal Law §§ 60.06, 70.00),

4. To adopt the approach proposed by the dissent would not prevent anomalous results. Under their theory there could be no consecutive sentencing if defendant killed both people with the same gunshot, and killing dozens or hundreds of victims with a single bomb would count as only “one act” for consecutive sentencing purposes, since in neither case could we say there were two distinct injurious acts.

and the People sought and received such a sentence. Given the superfluous nature of consecutive sentences in this instance, it seems unlikely that the Legislature contemplated the effect of the concurrent/consecutive sentencing scheme for this particular offense. We see no reason to interpret the statute as proposed by the People. We do not rewrite the statute but interpret it today consistent with our precedents.

Accordingly, the order of the Appellate Division should be affirmed.

GRAFFEO, J. (dissenting). Defendant was convicted of two counts of first-degree murder for breaking into the home of his former girlfriend and successively shooting her and her husband in the head as they slept. The majority concludes that defendant can receive only one sentence of imprisonment for the two murders because consecutive sentencing is impermissible under Penal Law § 70.25 (2). I respectfully dissent because I believe the sentencing court's imposition of a separate consecutive sentence for each homicide was lawful.

Penal Law § 70.25 (2) directs that consecutive sentencing is impermissible in only two circumstances: (1) when “two or more offenses [are] committed through a single act or omission” or (2) when “two or more offenses [are] committed . . . through an act or omission which in itself constituted one of the offenses and also was a material element of the other.” Under the Penal Law, an “act” is “a bodily movement” and an “omission” is “a failure to perform an act as to which a duty of performance is imposed by law” (Penal Law § 15.00 [1], [3]).

When a defendant has been convicted of more than one offense, the sentencing court must review both the relevant Penal Law provisions and the particular facts proved at trial to identify whether any of the crimes are single act offenses. In this case, the inquiry begins with the first-degree multiple murder provision, which requires proof that,

“[w]ith intent to cause the death of another person,
[defendant] cause[d] the death of such person . . .
and . . .

“as part of the same criminal transaction, the defendant, with intent to cause serious physical injury to or the death of an additional person or persons,
cause[d] the death of an additional person or persons” (Penal Law § 125.27 [1] [a] [viii] [emphasis added]).

Thus, the statute contemplates proof of at least two act elements: causing the death of one person and causing the death of an additional person. And, in the factual context presented here, the People could not have obtained either first-degree murder conviction without proving two homicidal acts—that defendant shot his former girlfriend and then did the same to her husband.

Based on a review of the elements of the offenses and the facts underlying these convictions, this case clearly does not fall within the first prong of Penal Law § 70.25 (2) because the two offenses at issue were not committed through a “single act or omission.” The second prong of the statute is also not implicated because the two offenses were not committed “through *an* act or omission which *in itself* constituted one of the offenses” (*id.* [emphasis added]). Each shooting was a separate act and each offense required the People to prove both shootings, i.e., each count required proof of more than one act. There was no single act or omission which in itself constituted one of the offenses. Because defendant’s criminal conduct does not fall within either scenario addressed in Penal Law § 70.25 (2), consecutive sentencing is not prohibited.¹

The majority’s conclusion to the contrary is inconsistent with our precedent, particularly *People v Laureano* (87 NY2d 640 [1996]), in which we have interpreted Penal Law § 70.25 (2) according to its plain language. In *Laureano*, defendant pleaded guilty to manslaughter and robbery arising from the robbery and death of a single victim. At the plea allocution, defendant admitted forcibly stealing property from the victim and causing him serious physical injury by slitting his throat, resulting in his death. The sentencing court imposed consecutive sentences but this Court concluded that concurrent sentences were required under Penal Law § 70.25 (2). Consecutive sentencing was prohibited in *Laureano* because manslaughter is a single act offense and the act the People relied on to support that count—slitting the victim’s throat—was the same act that fulfilled the serious physical injury element of the first-degree robbery count. This single act, which “in itself” constituted one

1. As the Court explained in *People v Ramirez*, “[s]ection 70.25 (2) does not prohibit convictions of multiple offenses containing overlapping elements. Rather, the statute prohibits double punishment for *an act or omission* which violates more than one section of the law and is accordingly punishable in different ways” (89 NY2d 444, 451 n 5 [1996] [emphasis added]). Here, the People did not rely on a single act or omission to charge defendant with violating more than one section of the law.

of the offenses (manslaughter), underlay both counts, rendering consecutive sentencing impermissible.²

The facts in *Laureano* are significantly distinguishable from this case. *Laureano* involved a single homicidal act and a single victim; here, there were two homicidal acts and two victims. The single act in *Laureano*—cutting the victim’s throat—in itself constituted one of the offenses: manslaughter. Here, no single act constituted one of the offenses; each offense by definition involved multiple acts. The fact that concurrent sentencing was required in *Laureano* does not compel the same result here.

Although the *Laureano* Court used the phrase “actus reus” to refer to the act underlying the manslaughter offense, it did not supplant the “single act or omission” language of Penal Law § 70.25 (2) by suggesting that other offenses that require proof of multiple acts would also trigger that subdivision. The “actus reus” nomenclature, while helpful in distinguishing between act-based elements (which are relevant to the concurrent sentencing inquiry) and mental state or “mens rea” elements (which are not), is not a substitute for applying the “single act” analysis prescribed by the Legislature. We did not hold in *Laureano*, or the other cases cited by the majority, that a multiple act offense can be transformed into a single act offense merely by grouping the act elements together and describing them as a single “actus reus.” In *Laureano* we employed the “actus reus” analysis precisely because the manslaughter offense was predicated on a single act element, thereby triggering the sentencing statute. By substituting the phrase “actus reus” for the language the Legislature used (and defined) in the statute, the majority now turns every offense into a single act offense, regardless of the number of culpable act elements it includes.³ In effect, this rewrites the statute so that it is now implicated

2. In *Laureano*, the Court indicated that if defendant had engaged in some other act that caused serious physical injury—e.g., if defendant had also beaten the victim—consecutive sentencing would have been permissible in that case (see *Laureano*, 87 NY2d at 644-645). Thus, even when there is only one victim, a defendant who engages in multiple injurious acts can be sentenced consecutively for offenses arising from those acts.

3. I do not dispute the majority’s definition of “actus reus” as set forth in Black’s Law Dictionary. But that phrase does not appear in Penal Law § 70.25 (2); rather, the Legislature used the word “act,” a term it defined in the Penal Law. Notably, the Legislature’s definition comports with the definition of “act” in Black’s Law Dictionary, which quotes Model Penal Code § 1.13: “[A]ct or ‘action’ means a bodily movement whether voluntary or involuntary” (Black’s Law Dictionary 26 [8th ed 2004]).

whenever any number of culpable acts—combined into one “actus reus”—result in multiple offenses.

The majority opines that the Legislature could not have intended courts to distinguish between one and several bodily movements.⁴ Based on the language it chose, I believe the Legislature recognized that some crimes—such as the manslaughter offense in *Laureano*—require proof of only one “act” element (causing the death of the victim); others, such as the multiple murder offense at issue here, involve two (causing the death of victim A and causing the death of victim B) or more. It is therefore not difficult to identify the single act offenses that require scrutiny under Penal Law § 70.25 (2) (see e.g. *People v Bryant*, 92 NY2d 216 [1998] [criminal possession of a weapon]; *People v Ramirez*, 89 NY2d 444 [1996] [first-degree robbery]). But these first-degree multiple murders are in a different category. In this case, there were two distinct injurious acts giving rise to two murder charges relating to two victims. Consecutive sentencing should be permissible and I perceive no basis to disturb the sentence imposed by the sentencing court.

Granted, the impact of the effective reduction in sentence for this defendant is minimal because he received two consecutive sentences of life without parole; where life without parole is concerned, there is no practical difference between consecutive and concurrent sentences. But in cases where a defendant convicted of two or more counts of multiple murder did not receive the maximum sentence, the impact may be substantial.⁵

4. If the majority’s point is that most crimes involve numerous bodily acts, I do not disagree. However, this does not present a problem because, for sentencing purposes, we need concern ourselves only with the particular act(s) that fulfill the act element(s) of the offense of which a defendant is charged. For example, to accomplish a second-degree intentional murder, a single act offense, a defendant necessarily engages in many bodily acts—but the only one the People must prove to support the conviction is the act that causes the victim’s death.

5. The majority ruling will result in the elevation of form over substance in the indictment of first-degree multiple murder counts; semantic variations in pleading will now determine whether a defendant can be punished only once or can receive consecutive sentences in a case where more than two victims are killed through distinct homicidal acts. As I interpret the statute, consecutive sentencing for each victim is permissible regardless of whether all the victims are named in each multiple murder count but the same is not true under the majority’s analysis. For example, in a case where defendant killed three victims, if all three are referenced in each count, concurrent sentencing will be required. But, as the majority acknowledges, consecutive sentencing will be permissible if the People name only two of the three victims in each

(n. cont’d)

A defendant convicted of killing two people, who received two consecutive sentences of 25 years to life (one for each victim), will now serve 25 years to life rather than the 50 years to life deemed appropriate by the sentencing court. Ironically, consecutive sentencing will remain an option for a defendant who tried to kill two people but succeeded at killing only one; that defendant, convicted of one count of intentional murder and one count of attempted murder, will still be eligible for a 50 years to life sentence. Similarly, as the majority acknowledges, had defendant been convicted only of second-degree murder for each homicide, he could have served consecutive sentences for each of those counts under Penal Law § 70.25 (2) (see *People v Truesdell*, 70 NY2d 809 [1987]; *People v Brathwaite*, 63 NY2d 839 [1984]). Defendant having been convicted of the greater offenses, the majority nonetheless concludes concurrent sentencing is required.

The impact of the majority's ruling on future cases is equally troubling for it significantly curtails the discretion that had been available to sentencing courts. Before today, a court could choose from among a wide range of sentencing options in a case like this one. The court could impose the maximum: consecutive sentences of life without parole (the choice the sentencing court made in this case). Or the court could impose concurrent sentences of 20 or 25 years to life, since a court always has discretion to impose concurrent sentences, even when consecutive sentencing is permissible. And, in the middle range, the court could impose two consecutive sentences of 20 years to life, 25 years to life, or anything in between—meaning a young defendant deemed deserving of some form of leniency might obtain a parole-eligible sentence of 40 or 50 years to life, with the possibility of one day securing parole release.

By holding that consecutive sentencing is impermissible in the context of first-degree multiple murder, the majority has rendered the middle range of sentencing options illegal, leaving sentencing courts with an extreme and limited choice: either

count, thereby pleading three counts of first-degree multiple murder, each containing a different combination of victims. If pleaded in this manner, Penal Law § 70.25 (2) is not implicated, even under the majority's interpretation of the provision. As such, a defendant who kills three or more people will still be exposed to as many consecutive sentences as there are victims but a defendant who kills two people will be punished only once. I see no evidence that the Legislature intended such an anomalous result, nor do I believe the propriety of consecutive sentencing should vary depending on how the People choose to structure multiple murder counts in the indictment.

impose life without parole or issue a sentence that ensures that defendant will be eligible for parole, at the latest, in 25 years. Since there are scores of defendants convicted of two counts of second-degree murder or attempted murder who are currently serving sentences of 40 or 50 years to life, courts that might otherwise have chosen a comparable sentence for a defendant convicted of multiple murder may now be more inclined to impose life without parole in an effort to achieve some measure of consistency and parity in sentencing. Otherwise, a defendant convicted of first-degree offenses may obtain a significantly shorter sentence than a defendant convicted of second-degree offenses arising from similar homicidal acts. For this reason, I suspect that the result achieved by this defendant (who will not receive any meaningful benefit), will inure to the detriment of future defendants who might have received a lengthy but parole-eligible sentence instead of life without parole.

Nor can the decision to disregard the plain language of the statute be explained as an effort to give effect to legislative intent. No one (not even the majority) argues that the Legislature—which chose to make multiple murder a first-degree crime, putting it in the narrow class of murder “plus” offenses deemed deserving of the highest punishment—intended to preclude consecutive sentencing for this class of first-degree murderers, especially given that consecutive sentencing is permissible for second-degree murders responsible for precisely the same acts. For all of these reasons, because the consecutive sentencing regime imposed by the sentencing court was lawful, I would reverse the order of the Appellate Division.

Chief Judge KAYE and Judges SMITH and JONES concur with Judge CIPARICK; Judge GRAFFEO dissents in a separate opinion in which Judges READ and PIGOTT concur.

Order affirmed.

[868 NE2d 208, 836 NYS2d 527]

MURIEL SIEBERT & CO., INC., Appellant, v INTUIT INC., Respondent.

Argued March 28, 2007; decided May 8, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 17, 2006. The Appellate Division (1) reversed, on the law, the facts and in the exercise of discretion, an order of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had granted plaintiff's motion to disqualify defendant's counsel; (2) denied the motion; and (3) remanded the matter to Supreme Court for further proceedings. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Muriel Siebert & Co., Inc. v Intuit Inc., 32 AD3d 284, affirmed.

HEADNOTE

Attorney and Client — Disqualification — Ex Parte Interview of Opposing Party's Former Employee

In an action for breach of contract and breach of fiduciary duty, arising out of a business relationship between two corporations, defense counsel's ex parte interview with plaintiff's former employee did not provide a basis for counsel's disqualification. No disciplinary rule prohibits such conduct. At the time of the interview, the former employee no longer had the authority to bind plaintiff in the litigation, was no longer charged with carrying out the advice of plaintiff's counsel and did not have a stake in the representation. The fact that the former employee was at one time privy to plaintiff's privileged and confidential information did not warrant defense counsel's disqualification. Defense counsel properly advised the former employee of their representation and interest in the litigation, and directed him to avoid disclosing privileged or confidential information and not to answer any questions that would lead to the disclosure of such information. The former employee stated that he understood the admonitions and, on this record, no such information was disclosed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 45.

CARMODY-WAIT 2d, Officers of Court § 3:305.

NY JUR 2d, Attorneys at Law § 679.

ANNOTATION REFERENCE

See ALR Index under Attorney or Assistance of Attorney.

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POINTS OF COUNSEL

Ingram Yuzek Gainen Carroll & Bertolotti, LLP, New York City (Dean G. Yuzek, Susan B. Ratner and Jennifer B. Schain of counsel), for appellant. The Appellate Division's holding that Muriel Siebert & Co., Inc. was required to identify precisely what privileged information Nicholas Dermigny imparted to Quinn Emanuel Urquhart Oliver & Hedges, LLP applied an erroneous standard that weakens the attorney-client privilege and deprives the trial court of its discretion to ensure the integrity of the proceedings over which it presides. (*Niesig v Team I*, 76 NY2d 363; *Erie County Water Auth. v Western N.Y. Water Co.*, 304 NY 342; *Jamaica Pub. Serv. Co. v AIU Ins. Co.*, 92 NY2d 631; *Hull v Celanese Corp.*, 513 F2d 568; *Matter of Holtzman*, 78 NY2d 184; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452; *Renault, Inc. v Auto Imports*, 19 AD2d 814; *Tekni-Plex, Inc. v Meyner & Landis*, 89 NY2d 123; *Collier v RAM Partners, Inc.*, 159 F Supp 2d 889.)

Quinn Emanuel Urquhart Oliver & Hedges, LLP, New York City (Kathleen M. Sullivan, Claude M. Stern, Marc L. Greenwald and Jonathan B. Oblak of counsel), for respondent. I. An interview of an opposing party's former employee that neither seeks nor elicits privileged information is permissible under existing disciplinary rules and settled precedent. (*Niesig v Team I*, 76 NY2d 363; *Aiken v Business & Indus. Health Group, Inc.*, 885 F Supp 1474; *McGrane v Reader's Digest Assn., Inc.*, 822 F Supp 1044; *Upjohn Co. v United States*, 449 US 383; *International Bus. Machs. Corp. v Edelstein*, 526 F2d 37; *Jamaica Pub. Serv. Co. v AIU Ins. Co.*, 92 NY2d 631; *MMR/Wallace Power & Indus., Inc. v Thames Assoc.*, 764 F Supp 712; *Matter of Weinberg*, 129 AD2d 126; *Hull v Celanese Corp.*, 513 F2d 568; *Solow v Grace & Co.*, 83 NY2d 303.) II. Muriel Siebert & Co., Inc.'s proposed change in the law to permit disqualification of counsel based on a mere "appearance of impropriety" or "risk" of disclosure is unworkably vague and subjective and would unduly deter attorneys from conducting ex parte employee interviews. (*Develop Don't Destroy Brooklyn v Empire State Dev. Corp.*, 31 AD3d 144; *Matter of Stephanie X.*, 6 AD3d 778; *Bennett Silvershein Assoc. v Furman*, 776 F Supp 800; *Niesig v*

Team I, 76 NY2d 363; *John Blair Communications v Reliance Capital Group*, 182 AD2d 578; *Baliva v State Farm Mut. Auto. Ins. Co.*, 275 AD2d 1030; *O'Donnell, Fox & Gartner v R-2000 Corp.*, 198 AD2d 154; *United States v Beiersdorf-Jobst, Inc.*, 980 F Supp 257; *Solow v Grace & Co.*, 83 NY2d 303; *Tekni-Plex, Inc. v Meyner & Landis*, 89 NY2d 123.) III. In the event that this Court should adopt a new rule of disqualification, any such rule should apply only prospectively. (*O'Donnell, Fox & Gartner v R-2000 Corp.*, 198 AD2d 154; *Matter of Abrams [John Anonymous]*, 62 NY2d 183; *People v Arroyave*, 49 NY2d 264; *Texas Catastrophe Prop. Ins. Assn. v Morales*, 975 F2d 1178.)

Pollack, Pollack, Isaac & De Cicco, New York City (Brian J. Isaac of counsel), for New York State Trial Lawyers Association, amicus curiae. Disqualification is precluded on this record under *Niesig v Team I* (76 NY2d 363 [1990]). (*Matter of Stephanie X.*, 6 AD3d 778; *Grievance Comm. for S. Dist. of N.Y. v Simels*, 48 F3d 640; *International Bus. Machs. Corp. v Edelstein*, 526 F2d 37.)

Pillsbury Winthrop Shaw Pittman LLP, New York City (David G. Keyko of counsel), for the Association of the Bar of the City of New York, amicus curiae. I. Limiting the no-contact rule in New York to present employees appropriately balances the need to protect the integrity of the attorney-client relationship from adversarial interference with the need to preserve informal discovery procedures. (*Niesig v Team I*, 76 NY2d 363.) II. *Niesig v Team I* (76 NY2d 363 [1990]) properly balances protecting the attorney-client privilege and preserving access to vital information by permitting a lawyer to interview certain employees of adversary corporations and former employees. III. This Court's holding in *Niesig v Team I* (76 NY2d 363 [1990]) should not be modified because other provisions of the Code of Professional Responsibility protect against the invasion of the attorney-client privilege in interviews with former employees. IV. The lower court's use of an "appearance of impropriety" standard undercuts recent New York case law and runs counter to the emerging national trend of eliminating the "appearance of impropriety" standard from professional responsibility codes. (*Matter of Stephanie X.*, 6 AD3d 778; *People v Herr*, 86 NY2d 638; *International Elecs. Corp. v Flanzer*, 527 F2d 1288; *Bennett Silvershein Assoc. v Furman*, 776 F Supp 800; *Delta Fin. Corp. v Morrison*, 13 Misc 3d 1229[A], 2006 NY Slip Op 52059[U]; *Saftler v Government Empls. Ins. Co.*, 95 AD2d 54; *Bank of Tokyo Trust Co. v Urban Food Malls*, 229 AD2d 14; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371.)

Bernstein Litowitz Berger & Grossman LLP, New York City (*Darnley D. Stewart* of counsel), for National Employment Lawyers Association/New York, amicus curiae. I. The Appellate Division correctly overruled the IAS court's disqualification of defendant's counsel for interviewing a former employee of its adversary. (*Niesig v Team I*, 76 NY2d 363; *Smith v Kalamazoo Ophthalmology*, 322 F Supp 2d 883; *Cerqueira v Clivilles*, 213 AD2d 202.) II. Reversal of the Appellate Division's ruling will adversely impact litigants with limited resources. (*Postal Service Bd. of Governors v Aikens*, 460 US 711; *Niesig v Team I*, 76 NY2d 363; *Mena v Key Food Stores Coop.*, 195 Misc 2d 402; *Smith v Rafalin*, 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Nimkoff v Nimkoff*, 18 AD3d 344.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff Muriel Siebert & Co., Inc., a discount brokerage firm, entered into a "strategic alliance" agreement with defendant Intuit Inc., a manufacturer of financial software, to jointly create and operate an Internet brokerage service. Although the parties were initially successful in that endeavor, their relationship became strained when Siebert asserted that Intuit had failed to promote the Internet brokerage service to its customers. In September 2003, Siebert commenced an action against Intuit for, among other things, breach of contract and breach of fiduciary duty in failing to promote Siebert's business interests.

Nicholas Dermigny, Executive Vice President and Chief Operating Officer for Siebert, was both an important participant in the events at issue in the Intuit lawsuit and a member of Siebert's "litigation team" after the lawsuit began. He participated in the negotiations of the Siebert-Intuit agreement and discussions with Intuit relating to its implementation. He also assisted in drafting the complaint and responses to interrogatories, was privy to discussions concerning Siebert's litigation strategy, and engaged in privileged and confidential communications with Siebert's counsel. In May 2005, Dermigny took a leave of absence to negotiate the terms of his impending separation and eventual termination from Siebert. Counsel for Siebert sought to continue representation of Dermigny at his scheduled deposition, but Dermigny refused. Siebert's counsel informed an attorney for Intuit that Siebert could not produce Dermigny for the deposition because it no longer had control over him. Therefore, Intuit subpoenaed Dermigny for a deposition rescheduled for September 26, 2005.

Dermigny was terminated by Siebert on September 6, 2005. Upon learning of Dermigny's termination, Intuit's attorneys contacted him without Siebert's knowledge and arranged for an interview. Before commencing the interview, Intuit's attorneys advised Dermigny that he should not disclose any privileged or confidential information, including any conversations with Siebert's counsel, or offer any information concerning Siebert's legal strategy. Dermigny was further cautioned that if, during the interview, he was asked a question that could potentially lead to the disclosure of such information, he should so advise Intuit's attorneys and decline to answer the question. Intuit's attorneys then questioned Dermigny about the underlying facts of the case, but did not elicit any privileged information nor inquire about Siebert's litigation strategy.

Days later, Siebert's counsel, upon learning of the interview, moved to disqualify Intuit's attorneys from the case, enjoin them from using any information provided by Dermigny, and stay Dermigny's deposition. Supreme Court granted Siebert's motion, disqualified Intuit's attorneys from the case, ordered the destruction of all notes from their interview with Dermigny, enjoined them from communicating the information they learned during the interview to others, and struck the notice of deposition for Dermigny until such time as Intuit obtained new representation. Supreme Court specifically noted that it was not basing its disqualification determination on DR 7-104 (a) (1) of the Code of Professional Responsibility (22 NYCRR 1200.35 [a] [1]),* acknowledging that the rule did not apply because Dermigny was not a Siebert employee at the time of the interview. Rather, Supreme Court held that the disqualification of Intuit's attorneys was warranted, regardless of whether they actually received privileged information, because there was an "appearance of impropriety" based upon the possibility that privileged information had been disclosed during the interview.

The Appellate Division reversed, holding that disqualification was not justified because Intuit's attorneys had advised Dermig-

* DR 7-104 (a) (1) provides that:

"(a) During the course of the representation of a client a lawyer shall not:

"(1) Communicate or cause another to communicate on the subject of the representation with a party the lawyer knows to be represented by a lawyer in that matter unless the lawyer has the prior consent of the lawyer representing such other party or is authorized by law to do so."

ny not to disclose privileged information and, based on the record, no such information had been disclosed (32 AD3d 284, 286 [1st Dept 2006]). In so holding, the Appellate Division noted that this Court's opinion in *Niesig v Team I* (76 NY2d 363 [1990]) "makes it clear that ex parte interviews of an adversary's former employee are neither unethical nor legally prohibited" (32 AD3d at 285). Pursuant to CPLR 5713, the Appellate Division granted Siebert's application for leave to appeal to this Court and certified the following question: "Was the order of this Court, which reversed the order of Supreme Court, properly made?" We now affirm and answer the certified question in the affirmative.

In *Niesig*, we held that DR 7-104 (a) (1) applies only to certain current employees of a party (*see Niesig*, 76 NY2d at 369). We made clear that ex parte communications with nonmanagerial employees are permitted, but adversary counsel are prohibited from directly communicating with employees who have the power to bind the corporation in litigation, are charged with carrying out the advice of the corporation's attorney, or are considered organizational members possessing a stake in the representation (*see id.* at 374, citing Wolfram, Modern Legal Ethics § 11.6, at 613 [Practitioner's ed 1986]). By so holding, we struck a balance between protecting represented parties from making imprudent disclosures, and allowing opposing counsel the opportunity to unearth relevant facts through informal discovery devices, like ex parte interviews, that have the potential to streamline discovery and foster the prompt resolution of claims (*see Niesig*, 76 NY2d at 370, 372).

The policy reasons articulated in *Niesig* concerning the importance of informal discovery underlie our holding here that, so long as measures are taken to steer clear of privileged or confidential information, adversary counsel may conduct ex parte interviews of an opposing party's former employee. Indeed, there is no disciplinary rule prohibiting such conduct. At the time of the interview, Dermigny no longer had the authority to bind Siebert in the litigation, was no longer charged with carrying out the advice of Siebert's counsel, and did not have a stake in the representation.

We conclude that disqualification of Intuit's attorneys is not warranted merely because Dermigny was at one time privy to Siebert's privileged and confidential information. That does not mean, however, that the right to conduct ex parte interviews is a license for adversary counsel to elicit privileged or confidential

information from an opponent's former employee. Counsel must still conform to all applicable ethical standards when conducting such interviews (*see e.g.* Code of Professional Responsibility DR 1-102 [a] [5] [22 NYCRR 1200.3 (a) (5)]; *Niesig*, 76 NY2d at 376; *see also Merrill v City of New York*, 2005 WL 2923520, *1, 2005 US Dist LEXIS 26693, *3-4 [SD NY, Nov. 4, 2005] [adversary counsel prohibited from asking former employee about privileged communications]; *Wright v Stern*, 2003 WL 23095571, *1, 2003 US Dist LEXIS 23335, *3 [SD NY, Dec. 30, 2003] [adversary counsel must refrain from seeking to elicit attorney-client communications from an opponent's former employee]; ABA Comm on Ethics and Prof Responsibility Formal Op 91-359 [1991] [adversary counsel may interview former employees of an opponent but must disclose their role in the matter and whom they represent, and must not induce former employees to disclose privileged communications]).

In this case, Intuit's attorneys properly advised Dermigny of their representation and interest in the litigation, and directed Dermigny to avoid disclosing privileged or confidential information. They also directed Dermigny not to answer any questions that would lead to the disclosure of such information. Dermigny stated that he understood the admonitions and, on this record, no such information was disclosed. Thus, there is no basis for disqualification.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, etc.

[869 NE2d 1, 838 NYS2d 1]

In the Matter of COUNTY OF CHAUTAUQUA, Appellant, v CIVIL SERVICE EMPLOYEES ASSOCIATION, LOCAL 1000, AFSCME, AFL-CIO, COUNTY OF CHAUTAUQUA UNIT 6300, CHAUTAUQUA COUNTY LOCAL 807, et al., Respondents.

Argued March 22, 2007; decided May 1, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 3, 2006. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, Chautauqua County (Frederick J. Marshall, J.), entered in a proceeding pursuant to CPLR article 75, which had granted in part the petition to stay arbitration and stayed arbitration between the parties to the extent that respondents' demands for arbitration and the underlying grievances at issue in those demands either addressed, involved or otherwise concerned any claims or rights with respect to any employees who were in the competitive classification under the Civil Service Law, and denied in part respondents' cross motion to compel arbitration; (2) denied in its entirety the petition to stay arbitration; and (3) granted in its entirety the cross motion to compel arbitration.

Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, 26 AD3d 843, modified.

HEADNOTES

Arbitration — Matters Arbitrable — Layoff of Public Employees

1. Public policy precluded arbitration of respondent union's grievance concerning the layoff of certain public employees. A public employer can agree to submit disputes to arbitration in the absence of plain and clear prohibitions in statutory or controlling decisional law, or restrictive public policy. Here, the parties' collective bargaining agreement (CBA) was in irreconcilable conflict with public policy as embodied in Civil Service Law § 80. Under the CBA, seniority controlled the abolition of positions, but under section 80 (1), seniority controls only after the employer decides which positions will be affected. A public employer has the nondelegable discretion to determine what its staffing and budgetary needs are in order to effectively deliver uninterrupted services to the public. In the absence of bad faith, fraud or collusion, this discretion cannot be altered or modified by agreement or otherwise.

Arbitration — Matters Arbitrable — Displacement Rights Following Layoff of Public Employees

2. No clear public policy precluded arbitration of respondent union's grievance concerning rights of displacement in connection with the layoff of certain

public employees. A public employer can agree to submit disputes to arbitration in the absence of plain and clear prohibitions in statutory or controlling decisional law, or restrictive public policy. No explicit language in Civil Service Law § 80 (4) can be read to prohibit, in an absolute sense, a public employer from agreeing to permit employees to “bump” less senior employees in another department or division within the same layoff unit. Nor is there any implicit public policy reason that precludes such an agreement. Although an arbitral award that would permit interdepartmental bumping into a different layoff unit would run afoul of the Civil Service Law, such an award is not inevitable. Thus, it was sufficient that an arbitrator, fashioning an award under the parties’ collective bargaining agreement, could comply with the statute.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Civil Service §§ 28, 81, 82; AM JUR 2d, Labor and Labor Relations §§ 2476, 2504.

McKINNEY’s, Civil Service Law § 80.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 482–485, 488; NY JUR 2d, Employment Relations §§ 564, 565.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Collective Bargaining; Labor and Employment.

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POINTS OF COUNSEL

Jaecle Fleishmann & Mugel, LLP, Buffalo (Sean P. Beiter, Scott P. Horton and Matthew C. Van Vessel of counsel), for appellant. A stay of arbitration is appropriate in this matter. (*Matter of Blackburne [Governor’s Off. of Empl. Relations]*, 87 NY2d 660; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of McDermott v New York State Off. of Mental Health*, 195 AD2d 932, 82 NY2d 660; *Matter of Piekielniak v Axelrod*, 92 AD2d 968, 59 NY2d 603; *Matter of Barnes [Council 82, AF-SCME (Monroe)]*, 261 AD2d 803, 94 NY2d 719; *Matter of Civil Serv. Empls. Assn., Westchester Ch., Local 860 v Town of Harrison*, 48 NY2d 66; *Pollock v Crosson*, 153 Misc 2d 419, 203 AD2d 466; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of Christian v Casey*, 76 AD2d 835.)

Fessenden, Laumer & DeAngelo, Jamestown (Charles S. DeAngelo of counsel), for respondents. I. The Fourth Department's decision appropriately reflects the strong public policy in favor of arbitration of labor disputes. (*Matter of City of Plattsburgh [Local 788 & N.Y. Council 66, Am. Fedn. of State, County & Mun. Empls., AFL-CIO]*, 108 AD2d 1045; *Board of Educ. of City of N.Y. v Glaubman*, 53 NY2d 781; *Matter of Alden Cent. School Dist. v Watson*, 56 AD2d 713; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 45 NY2d 411; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132.) II. An arbitrator can issue an award consistent with the collective bargaining agreement and Civil Service Law; therefore, it is not appropriate to preclude arbitration. (*Matter of New York City Dept. of Sanitation v MacDonald*, 87 NY2d 650; *Matter of City of Plattsburgh [Local 788 & N.Y. Council 66, Am. Fedn. of State, County & Mun. Empls., AFL-CIO]*, 108 AD2d 1045; *Matter of Apuzzo v County of Ulster*, 98 AD2d 869, 62 NY2d 960; *Matter of Blackburne [Governor's Off. of Empl. Relations]*, 87 NY2d 660.) III. The Supreme Court erred when it determined that the Third Department's decision in *Matter of City of Plattsburgh (Local 788 & N.Y. Council 66, Am. Fedn. of State, County & Mun. Empls., AFL-CIO)* (108 AD2d 1045 [1985]) reflected the current status of the law. (*Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Piro v Bowen*, 76 AD2d 392, 52 NY2d 702; *Matter of Niagara Wheatfield Adm'rs Assn. [Niagara Wheatfield Cent. School Dist.]*, 44 NY2d 68.) IV. The collective bargaining agreement language, providing that grievances concerning interpretation, application or enforcement of the

agreement, existing laws and rules are to be submitted to arbitration except where “otherwise reviewable pursuant to law” does not preclude arbitration of the subject dispute. (*Board of Educ. of City of N.Y. v Glaubman*, 53 NY2d 781; *Board of Educ. of Yonkers City School Dist. v Cassidy*, 59 AD2d 180; *Matter of County of Steuben [Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO]*, 292 AD2d 810, 98 NY2d 606.)

OPINION OF THE COURT

JONES, J.

In this appeal, the Civil Service Employees Association (CSEA) seeks arbitration of grievances concerning layoffs and rights of displacement contained in its collective bargaining agreement (CBA) with the County of Chautauqua. The issue before us is whether the grievances are arbitrable.

Facts and Procedural History

In December 2003, County officials determined that it was necessary to lay off employees for reasons of economy. The County, however, perceived a conflict between section 14.05 of the CBA and Civil Service Law § 80 concerning reductions in force of competitive class civil service positions. Section 14.05 of the CBA provides, in part, that “[a]ll layoffs shall be pursuant” to the following:

“(a) For layoff purposes, an employee’s *seniority shall determine the order to be followed*. In a department, the employee with the least seniority shall be the first to be laid off until the total number of employees required to decrease forces shall be reached. When all displacement possibilities are exhausted within the department, the employee shall have *the right to displace in other departments*” (emphasis added).

Civil Service Law § 80 (1), entitled “Suspension or demotion,” in turn, dictates how a public employer must reduce competitive class civil service positions. It provides, in part:

“Where, because of economy, consolidation or abolition of functions, curtailment of activities or otherwise, positions in the competitive class are abolished or reduced in rank or salary grade, suspension or demotion, as the case may be, among incumbents holding the same or similar positions shall be made

in the inverse order of original appointment on a permanent basis in the classified service in the service of the governmental jurisdiction in which such abolition or reduction of positions occurs” (emphasis added).

Further, section 80 (4) provides, in part that: “Upon the abolition or reduction of positions in the service of a civil division, suspension or demotion shall be made from among employees holding the same or similar positions *in the entire department or agency within which such abolition or reduction of positions occurs*” (emphasis added).

Accordingly, the County solicited advice from the Department of Civil Service concerning its view of the conflict between the statute and the CBA—specifically, that the CBA required that layoffs be made solely on the basis of seniority, irrespective of position or title, whereas section 80 mandates that layoffs be made by seniority within a position. In response, the Department advised the County that a collective bargaining agreement “may not alter the layoff units prescribed by section 80 (4).”

After sharing the Department’s opinion with CSEA, the County proceeded to lay off approximately 30 employees, which CSEA grieved. CSEA alleged, among other things, that the County violated section 14.05 of the CBA by refusing to (1) lay off “the employees with the least seniority within a department until the total number of employees required to decrease forces in that Department was reached” and (2) allow “employees to displace employees in other departments after they exhausted displacement rights in their own departments.” The County objected to the arbitrability of these issues. After an unfavorable determination at a Step Three grievance hearing, CSEA served upon the County a notice of intent to arbitrate. The County then commenced this CPLR article 75 proceeding seeking a permanent stay of arbitration as to all issues. CSEA opposed the petition and cross-moved to compel arbitration.

The County asserted—and presses here—two issues that it deems repugnant to public policy as embodied in Civil Service Law § 80. It argues that CBA § 14.05 violates public policy because, whereas section 80 (1) allows for layoffs by seniority within a job title or position, the CBA mandates that layoffs occur only by seniority. According to the County, the CBA inescapably forces it “to lay off every other less senior employee in the layoff unit (and eliminate essential positions) before it could ever eliminate the non-essential position.” The County also as-

serts that another clause of the same CBA provision violates Civil Service Law § 80 (4) by permitting interdepartmental displacements, or “bumping.”

Supreme Court granted, in part, the County’s petition to stay arbitration and denied, in part, CSEA’s cross motion. The court agreed with the County that a conflict existed between Civil Service Law § 80 (4) and CBA § 14.05. Relying on *Matter of City of Plattsburgh (Local 788 & N.Y. Council 66, Am. Fedn. of State, County & Mun. Empls., AFL-CIO)* (108 AD2d 1045 [3d Dept 1985]), the court held that such a conflict was for a court, not an arbitrator, to resolve. Accordingly, it granted the County’s petition, in part, and stayed arbitration to the extent that CSEA’s demands concerned claims or rights on behalf of employees who were in “the Competitive Classification under the Civil Service Law.” The court, however, concluded that because section 80 (4) did not apply to noncompetitive or labor class employees, arbitration was permissible as to them and granted CSEA’s cross motion to that extent.

On an appeal to the Appellate Division from so much of the order as stayed arbitration, that court unanimously reversed and granted CSEA’s cross motion to compel arbitration in its entirety (26 AD3d 843 [2006]). Acknowledging the conflict between the parties’ contract and the Civil Service Law, the court nonetheless held that such a conflict was “merely theoretical” (*id.* at 844). The court concluded that the entire dispute was arbitrable because the statute did not contain “‘clear exclusionary language’” that precluded arbitration (*id.*, quoting *Matter of Alden Cent. School Dist. v Watson*, 56 AD2d 713, 714 [4th Dept 1977]). We disagree and now modify the Appellate Division’s order.

Discussion

[1, 2] The Taylor Law empowers and, in fact, requires a public employer to bargain with employee organizations and to enter written agreements governing the terms and conditions of employment (see Civil Service Law § 204 [1], [2]; see also *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364, 372 [1997]). An employer has wide latitude to negotiate such terms and can agree to submit disputes to arbitration subject, however, to “the absence of ‘plain and clear’ prohibitions in statute or controlling decision[al] law, or restrictive public policy” (*Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268, 273

[1976] [citations omitted]). Thus, although the Taylor Law reflects this State's "strong" policy favoring arbitration, this principle is not without limits (*Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563, 575 [2006]; see *Matter of New York City Dept. of Sanitation v MacDonald*, 87 NY2d 650, 656 [1996]; *Matter of Union Free School Dist. No. 2 of Town of Cheektowaga v Nyquist*, 38 NY2d 137, 143 [1975]).

The threshold determination of whether a dispute is arbitrable is well settled. Proceeding with a two-part test, we first ask whether the parties may arbitrate the dispute by inquiring if "there is any statutory, constitutional or public policy prohibition against arbitration of the grievance" (*Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273, 278 [2002]). If no prohibition exists, we then ask whether the parties in fact agreed to arbitrate the particular dispute by examining their collective bargaining agreement. If there is a prohibition, our inquiry ends and an arbitrator cannot act (see *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72, 80 [2003]; *Matter of Blackburne [Governor's Off. of Empl. Relations]*, 87 NY2d 660, 665 [1996]).

A dispute is, thus, nonarbitrable, if a court can conclude " 'without engaging in any extended factfinding or legal analysis' " that a law " 'prohibit[s], in an absolute sense, [the] particular matters [to be] decided' " by arbitration (*Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1, 8-9 [2002], quoting *Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 631 [1979]; see *Matter of United Fedn. of Teachers*, 1 NY3d at 80). Put differently, a court must stay arbitration where it can conclude, upon examining the parties' contract and the implicated statute on their face, "that the granting of any relief would violate public policy" (*Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273, 284 [2000]; see *Matter of Blackburne*, 87 NY2d at 665; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478, 484 [1995]; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 668 [1990]; *Matter of Sprinzen [Nomberg]*, 46 NY2d at 631; cf. *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 45 NY2d 411, 418 [1978]).

[1] Addressing CSEA's first grievance regarding layoffs, the County asserts that section 14.05 of the CBA impermissibly

modifies an essential public policy embodied in Civil Service Law § 80. The County argues that

“[s]ection 80 *first* requires municipalities to decide which titles are essential and *then* protects the senior employees in such titles. The CBA provision, however, represents an impermissible intrusion on this statutory scheme, by protecting specific persons, rather than necessary positions, regardless of the municipality’s operational needs or the community’s service needs” (Petitioner’s Brief at 16).

We agree.

In *Honeoye Falls-Lima Cent. School Dist. v Honeoye Falls-Lima Educ. Assn.* (49 NY2d 732 [1980]), we addressed a similar conflict. In that case, at issue was a job security provision in the parties’ contract that required layoffs of those employees with the least seniority in the school district. Education Law § 2510 (2), however, directed that “the services of the teacher having the least seniority in the system *within the tenure of the position abolished* shall be discontinued” (emphasis added). We concluded that the statutory imperative of section 2510 (2) was “to maintain teaching proficiency which would otherwise be denigrated if, for example, the abolition of three vocational training positions required the dismissal of three teachers of romance languages, or vice versa, simply because they happened to have been the last three persons employed” (*Honeoye Falls-Lima*, 49 NY2d at 733). The school board, we held, could not surrender through collective bargaining “a responsibility vested in the board”—namely, the maintenance of adequate classroom standards (*id.* at 734).

Our holding in *Matter of Civil Serv. Empls. Assn., Westchester Ch., Local 860 v Town of Harrison* (48 NY2d 66 [1979]) is also instructive. In that case, the town—for reasons of economy and efficiency—abolished an engineering position and terminated the employee who occupied that position. Simultaneously, the town consolidated the duties left vacant by the abolition within a similar, remaining position. The union sought arbitration under a CBA provision that required it to be notified when a new job title or opening was created, and to offer that position to a senior qualified employee. We held, however, that Civil Service Law § 22 expressly dictated a procedure for creating new positions. Under section 22, the ultimate decision whether to create a new position rested with the town, subject to approval

and certification by the municipal civil service commission and was, thus, “ ‘beyond the power of the parties to alter or modify . . . by collective bargaining, agreement to arbitrate or otherwise’ ” (*id.* at 74, quoting *Nyquist*, 38 NY2d at 144).

At oral argument here, CSEA conceded—as it must—that under the CBA, the County would retain no power to decide which positions to eliminate. Contrary to CSEA’s contention, however, the County could not cede the statutory imperative to render such decisions.

As in *Honeoye Falls-Lima*, “inescapably implicit” from a plain reading of section 80 (1) is that a public employer has a nondel-egable discretion to determine—for reasons of economy, among others—what its staffing and budgetary needs are in order to effectively deliver uninterrupted services to the public (*Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774, 778 [1976]; see *Board of Educ., Great Neck Union Free School Dist. v Areman*, 41 NY2d 527, 532-533 [1977]). We reiterate the obvious: in the absence of bad faith, fraud or collusion, the discretion identified here “is an undisputed management prerogative” for the public’s benefit, and cannot be altered or modified by agreement or otherwise (*Matter of Saur v Director of Creedmoor Psychiatric Ctr.*, 41 NY2d 1023, 1024 [1977]; see *Matter of Piekelnia v Axelrod*, 92 AD2d 968, 969 [3d Dept 1983], *lv denied* 59 NY2d 603 [1983]). Once such an informed decision is made, section 80 (1) obligates the employer to respect the seniority rights of its employees. Succinctly put, under the CBA, seniority controls the abolition of positions; under the statute, seniority controls *only after* the employer decides which positions will be affected. This conflict is plainly irreconcilable.

Turning to CSEA’s grievance regarding displacement rights, the County argues that under Civil Service Law § 80 (4), employees can only displace less senior employees within the affected department, and that section 80 (4) does not permit interdepartmental bumping. The nonarbitrability of this issue, however, is less clear.

Civil Service Law § 80 (4) provides that “[u]pon the abolition or reduction of positions . . . , suspension or demotion shall be made from among employees holding the same or similar positions in the entire department or agency within which such abolition or reduction of positions occurs.”

[2] No explicit language in section 80 (4) can be read to prohibit, in an absolute sense, a public employer from agreeing to

permit employees to “bump” less senior employees in another department or division within the same layoff unit. Nor can we find any implicit public policy reason that precludes such an agreement (see *Matter of Saur*, 41 NY2d at 1024). To be sure, CSEA’s claim to interdepartmental displacement rights may be viable only to the extent that the second department or agency comes within the same layoff unit as the originating department or agency (see Civil Service Law § 80 [6]). In such a case, it is true that an arbitral award that would permit interdepartmental bumping into a *different* layoff unit would run afoul of the Civil Service Law. However, such an award is not inevitable. Thus, it is sufficient that an arbitrator, fashioning an award under the CBA, could comply with the statute (see *Matter of Committee of Interns & Residents*, 86 NY2d at 484; *New York State Pub. Empl. Relations Bd.*, 75 NY2d at 668; *Matter of Port Washington Union Free School Dist.*, 45 NY2d at 417).

[1, 2] In sum, because public policy precludes arbitration of CSEA’s primary grievance as to the layoff of certain employees, the County’s petition to stay arbitration is granted, in part. However, because no clear public policy precludes arbitration of CSEA’s secondary grievance concerning displacement rights, CSEA’s cross motion to compel arbitration is granted to that extent.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this Opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and SMITH concur; Judge PIGOTT taking no part.

Order modified, etc.

[868 NE2d 956, 837 NYS2d 600]

W. EDWARD BAILEY et al., Appellants, v FISH & NEAVE et al.,
Respondents.

Argued March 28, 2007; decided May 8, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 13, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bernard J. Fried, J.; op 7 Misc 3d 1023[A], 2005 NY Slip Op 50713[U]), which had dismissed the amended complaint.

Bailey v Fish & Neave, 30 AD3d 48, affirmed.

HEADNOTE

Partnership — Partnership Agreement — Amendment

Defendant properly amended its partnership agreement by majority vote with respect to compensation of withdrawing partners. The agreement, read as a whole, made clear that all questions related to the partnership, including its dissolution, may be decided by a majority vote, unless the agreement provided otherwise, and that the partnership agreed to be bound by the “decision of the majority” on all partnership questions. The amendment did not require, pursuant to Partnership Law § 40 (8), the unanimous consent of the partners. Partnership Law § 40 (8), which contains default provisions to be used in the absence of an agreement between the partners on the same subject matter, was inapplicable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Partnership §§ 105, 536–538.

McKINNEY's, Partnership Law § 40 (8).

NY JUR 2d, Business Relationships §§ 1454, 1628, 1630.

ANNOTATION REFERENCE

See ALR Index under Partners and Partnerships.

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Database: NY-ORCS

Query: partnership /2 agreement /5 amend! /p compensat!
/s withdraw!

POINTS OF COUNSEL

Jeffrey A. Jannuzzo, New York City, for appellants. I. The words “the partnership business” do not convey the power to

amend the partnership agreement itself. (*Cohen v Lord, Day & Lord*, 75 NY2d 95; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Hackett v Milbank, Tweed, Hadley & McCloy*, 86 NY2d 146; *Dawson v White & Case*, 88 NY2d 666.) II. Even if it can be amended, a partnership agreement cannot be retroactively “amended” to confiscate vested earnings. (*Bier Pension Plan Trust v Estate of Schneierson*, 74 NY2d 312; *Becker v Faber*, 280 NY 146; *Polyfusion Elec., Inc. v AirSep Corp.*, 30 AD3d 984; *Todd v Weber*, 95 NY 181; *Flemington Natl. Bank & Trust Co. [N.A.] v Domler Leasing Corp.*, 65 AD2d 29, 48 NY2d 678; *Gelder Med. Group v Webber*, 41 NY2d 680; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Sibbald v Bethlehem Iron Co.*, 83 NY 378; *Ashland Mgt. v Janien*, 82 NY2d 395; *Wakefield v Northern Telecom, Inc.*, 769 F2d 109.)

Simpson Thacher & Bartlett LLP, New York City (Roy L. Rear-don of counsel), for respondents. I. The amended complaint was properly dismissed on the ground that documentary evidence established as a matter of law that the partnership agreed to be governed by majority rule on all questions related to the partnership. (*Riviera Congress Assoc. v Yassky*, 18 NY2d 540; *Lanier v Bowdoin*, 282 NY 32; *Corr v Hoffman*, 256 NY 254; *Polner v Monchik Realty Co.*, 9 Misc 3d 755; *Chalmers v Weed*, 175 Misc 740.) II. The amended complaint was properly dismissed on the ground that documentary evidence established as a matter of law that the amendment is valid. (*Jackson v Hunt, Hill & Betts*, 7 NY2d 180; *Rotenberg v Chamberlain, D’Amanda, Oppenheimer & Greenfield*, 248 AD2d 1021; *St. James Plaza v Notey*, 111 AD2d 228; *Gelder Med. Group v Webber*, 41 NY2d 680; *Stuart v Lane & Mittendorf*, 235 AD2d 294; *Wolfson v Rosenthal*, 210 AD2d 47; *Smith v Brown & Jones*, 167 Misc 2d 12; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Reiner v Townley & Updike*, 243 AD2d 338.)

OPINION OF THE COURT

JONES, J.

At issue is the propriety of an amendment to a partnership agreement affecting compensation to withdrawing partners and passed by a majority of the shares in interest of the partnership. Because the agreement, by its terms, unambiguously permits amendments thereto by majority vote, we conclude that the agreement was properly amended, and affirm the Appellate Division order so holding.

Plaintiffs were former equity partners at defendant Fish & Neave, an intellectual property law firm.¹ The firm was governed by a partnership agreement entered into on January 1, 1970 (Agreement). Although the Agreement contains no specific amendment provision, section 6 provides that “[i]n all questions relating to the partnership business (including dissolution of the partnership) the decision of a majority in interest of the partners . . . shall be conclusive upon and bind all the partners, except as otherwise provided herein.” Sections 9 and 16.7 (a) are the only provisions that specifically qualify the “majority vote” requirement on certain questions relating to the partnership business. Under section 9, “a partner . . . may be severed from [the] partnership by a vote of at least two-thirds of all the then number of partners.” Section 16.7 (a) provides that certain payment rights of an elder or retired partner cannot be changed without the written consent of such partner or of his or her estate if such partner is deceased. On the other hand, section 11 of the Agreement, which provides for the amount and timing of payments to withdrawing partners, contains no language qualifying the Agreement’s “majority vote” provision.

In December 2003, the firm decided to change its accrual-based accounting system to a cash-based system, a decision that would affect the way withdrawing partners were compensated under section 11 of the Agreement.² The firm based this decision, in large part, on an increase in the number of withdrawing partners and its inability—due to its use of the accrual-based system—to attract lateral partners or merger opportunities with firms that employ the more common cash-based system. Further, the firm was advised that maintaining its current system could significantly detract from its health and success

1. Fish & Neave LLP, which came into existence on or about September 30, 2004, was the successor to Fish & Neave. Both firms merged into Ropes & Gray LLP on or about January 1, 2005. Fish & Neave, Fish & Neave LLP and Ropes & Gray LLP are all named defendants.

2. Under the firm’s then-existing accounting system, fees for professional time were recorded as revenue when received from clients, not when earned; as such, a partner was not entitled to a share of profits for completed work until the client paid. Under section 11 of the Agreement, a withdrawing partner was entitled to “pipeline” payments, i.e., his or her share of (1) compensation received by the firm after withdrawal for work done prior to withdrawal, (2) the partnership profits and (3) contingent fee income for work completed prior to withdrawal. In addition, section 16.5 (a) of the Agreement provided that a withdrawing partner was entitled to repayment of capital interest in the firm by the end of the current tax year.

over time and possibly jeopardize its ongoing viability. In contemplation of a permanent amendment to the Agreement affecting compensation to withdrawing partners, the firm adopted two interim “standstill” amendments to the Agreement, which were binding on all active partners. The first passed by a majority of the shares in interest of the partnership on December 23, 2003 and added a new section 11 (C), which expressly amended the Agreement provision regarding withdrawing partners. The first “standstill” amendment provided that

“[t]he rights of any partner who voluntarily leaves the partnership effective on or after December 15, 2003 and on or before March 31, 2004, to receive payments from the partnership after the effective date of such partner’s leaving, shall be governed solely by the [permanent amendment ultimately enacted after December 23, 2003 and by January 1, 2005].”

This amendment expired on March 31, 2004. The second “standstill” amendment, which passed by a majority vote on March 15, 2004, provided the partners additional time to consider and approve the above-mentioned permanent amendment. It also reiterated most of the key points of the first amendment, but provided that the rights of partners who withdraw on or after December 23, 2003 and on or before May 31, 2004 would be governed by the permanent amendment ultimately enacted after March 15, 2004 and by June 1, 2004 (the same day this interim amendment expired). Plaintiffs were active partners when both “standstill” amendments were adopted. Plaintiff Culligan voted in favor of both amendments, while plaintiff Bailey voted against them.

On April 16, 2004, Bailey gave written notice of his intent to withdraw from the firm and asked for a waiver of the firm’s 60-day notice requirement for withdrawing partners. By letter dated May 12, 2004, Bailey advised the firm that he would withdraw by the close of business on May 14, 2004; however, as he never accepted the terms offered by the firm as a precondition to the requested waiver, the firm set the effective date of his withdrawal at May 28, 2004. Enclosed with Bailey’s withdrawal letter was a proxy stating that he would vote against any amendment to the Agreement if the firm still deemed him to be a partner. On the same date of Bailey’s withdrawal letter, Culligan also gave written notice of his intent to withdraw. Enclosed with his notice of withdrawal was a proxy stating that he

would vote against any amendment to the Agreement if the firm still deemed him to be a partner. Culligan withdrew on June 25, 2004.

On May 17, 2004, while plaintiffs were still active partners, the permanent amendment at issue passed by majority vote, retroactive to January 1, 2004. Under the permanent amendment, the firm eliminated its accrual-based accounting system and converted to a cash-based system. This change affected the amount and timing of payments to withdrawing partners in a number of ways. First, the “pipeline” payments that existed under the accrual-based system were replaced by “Special Distributions” that were to be paid to withdrawing partners over a five-year period upon the later of retirement or reaching the age of 65. Further, the amendment altered the timing and amount of the return of a withdrawing partner’s capital. All active partners were bound by and all future withdrawing partners were treated the same under the amended Agreement.

Plaintiffs thereafter commenced this action sounding in, among other things, breach of contract. Specifically, plaintiffs alleged that (1) defendants refused to honor their rights under the Agreement to return of their capital and payment of their shares of accrued partnership income and contingent fee income, and (2) the permanent amendment should be declared invalid. Moreover, plaintiffs asserted that in passing the permanent amendment by a majority, rather than a unanimous vote, defendants violated New York Partnership Law § 40 (8), which provides:

“The rights and duties of the partners in relation to the partnership shall be determined, *subject to any agreement between them*, by the following rules: . . .

“Any difference arising as to ordinary matters connected with the partnership business may be decided by a majority of the partners; but no act in contravention of any agreement between the partners may be done rightfully without the consent of all the partners” (emphasis added).

Defendants filed a pre-answer motion to dismiss the amended complaint and plaintiffs cross-moved to convert the motion to dismiss to a motion for summary judgment (1) on the issue of liability and (2) seeking a declaration that the permanent amendment is invalid.

Supreme Court dismissed the amended complaint, ruling that the Agreement, by its terms, “permit[ted] an amendment,

regarding the amount and timing of payments to a withdrawing partner, such as the one at issue here, . . . by a majority vote” and held that the Agreement was “appropriately amended” (7 Misc 3d 1023[A], 2005 NY Slip Op 50713[U], *6). In so holding, the court rejected plaintiffs’ argument that under Partnership Law § 40 (8), the permanent amendment could only be passed by unanimous consent of the partners. The Appellate Division affirmed (30 AD3d 48 [2006]); we granted leave to appeal and now affirm.

“Whether a contract is ambiguous is a question of law and extrinsic evidence may not be considered unless the document itself is ambiguous” (*South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272, 278 [2005], citing *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). However, “when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms” (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004], quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]; see *Springsteen v Samson*, 32 NY 703, 706 [1865] [“where the language is clear, unequivocal and unambiguous, the contract is to be interpreted by its own language”]). Such agreements should be read as a whole to ensure that undue emphasis is not placed upon particular words and phrases (see *South Rd. Assoc.*, 4 NY3d at 277, citing *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003]). Moreover, courts “may not by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing” (*Vermont Teddy Bear*, 1 NY3d at 475, quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]).

These principles are applicable to partnership agreements. It is well settled that partners may fix their partnership rights and duties by agreement (see *Lanier v Bowdoin*, 282 NY 32 [1939]; *Corr v Hoffman*, 256 NY 254 [1931]). On this point, we previously held that

“[i]n the absence of prohibitory provisions of the statutes or of rules of the common law relating to partnerships, or considerations of public policy, the partners of either a general or limited partnership, as between themselves, may include in the partnership articles any agreement they wish concerning the sharing of profits and losses, priorities of distri-

bution on winding up of the partnership affairs and other matters. If complete, as between the partners, the agreement so made controls” (*Lanier*, 282 NY at 38).

In the present case, the Agreement, read as a whole, makes clear that (1) *all* questions related to the partnership, including its dissolution, may be decided by a majority vote, unless the Agreement provides otherwise, and (2) the partnership agreed to be bound by the “decision of a majority” on *all* partnership questions (*see* Agreement § 6). Accordingly, Partnership Law § 40 (8), which contains default provisions to be used “in the absence of an agreement between the partners on the same subject matter” (*Lanier*, 282 NY at 38), is inapplicable. As this Court stated, “[p]rovisions of [Partnership Law § 40] cannot be implied as part of the agreement so as to make a different contract from that which the parties intended nor override the agreement which the parties, in fact, made” (*id.* at 40, citing *Levy v Leavitt*, 257 NY 461, 470 [1931]).

In support of this interpretation, we note that it would be anomalous for the firm to be able to bring about the most fundamental change—dissolution—by majority vote and not be able to amend its compensation/payment system without the unanimous consent of the partners. We further note that sections 9 and 16.7 (a) of the Agreement contain language qualifying the “majority vote” provision, while section 11, the amended provision at issue here, does not. Plainly, where the firm intended for more than a majority vote to govern regarding a particular question related to the partnership, it so specified in the Agreement. Based on the foregoing, we conclude that under the Agreement, a majority vote suffices to pass proposed amendments involving such questions.

Plaintiffs’ remaining contentions lack merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur; Judge SMITH taking no part.

Order affirmed, with costs.

[869 NE2d 7, 838 NYS2d 7]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ARTHUR BRYANT, Appellant.

Argued March 20, 2007; decided May 3, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 6, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon his plea of guilty, of murder in the second degree.

People v Bryant, 30 AD3d 1131, reversed.

HEADNOTE**Crimes — Suppression Hearing**

Supreme Court erred in summarily denying defendant's motion for a *Mapp/Dunaway* hearing on the ground that defendant failed to present sufficient information to obtain a hearing where he denied acting as the principal or accomplice, raised a question of fact regarding the timing of his arrest and challenged the reliability of the alleged witness. A suppression motion must contain sworn allegations of fact stating the ground or grounds for the motion (CPL 710.60 [1]). The sufficiency of the factual allegations should be evaluated by the face of the pleadings, assessed in conjunction with the context of the motion and evaluated by defendant's access to information. The People could not both refuse to disclose the informant's identity, or at least some facts showing a basis for the informant's knowledge the police relied upon to establish probable cause for the arrest, and insist that defendant's averments were insufficient to obtain a *Mapp/Dunaway* hearing. Defendant's lack of access to information precluded more specific factual allegations and created factual disputes, the resolution of which required a hearing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 593, 601, 602, 650, 652, 653, 655.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:26, 172:35,
172:2655, 172:2657, 172:2658.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 10.5.
MCKINNEY'S, CPL 710.60 (1).
NY JUR 2d, Criminal Law §§ 1474, 1475, 1479, 1480.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Exclusion and Suppression of Evidence.

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Database: NY-ORCS

Query: suppression /3 motion & hearing /5 denied &
informant /2 name

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*Kristina Schwarz* and *Steven Banks* of counsel), for appellant. The court erred in summarily denying appellant's *Mapp/Dunaway* motion where appellant denied acting as a principal or accomplice in the stabbing and generally challenged the reliability and basis of knowledge of the apparent source of the prosecution's information, an unnamed informant. (*Dunaway v New York*, 442 US 200; *Mapp v Ohio*, 367 US 643; *People v Mendoza*, 82 NY2d 415; *People v Hightower*, 85 NY2d 988; *People v Jones*, 95 NY2d 721; *People v Lopez*, 5 NY3d 753; *People v Burton*, 6 NY3d 584; *Spinelli v United States*, 393 US 410; *Aguilar v Texas*, 378 US 108; *People v Bigelow*, 66 NY2d 417.)

Robert M. Morgenthau, District Attorney, New York City (*Victoria E. Phillips* and *Eleanor J. Ostrow* of counsel), for respondent. The trial court's summary denial of defendant's motion to suppress physical, testimonial and identification evidence as the fruits of an unlawful arrest was proper, because defendant failed to assert any facts supporting that claim. (*United States v Wade*, 388 US 218; *People v Huntley*, 15 NY2d 72; *People v Mendoza*, 82 NY2d 415; *People v Gruden*, 42 NY2d 214; *People v Chipp*, 75 NY2d 327, 498 US 833; *People v Holder*, 149 AD2d 325, 74 NY2d 794; *People v Adams*, 53 NY2d 241; *People v Castillo*, 80 NY2d 578, 507 US 1033; *People v Arnau*, 58 NY2d 27, 468 US 1217; *People v McGrath*, 46 NY2d 12, 440 US 972.)

OPINION OF THE COURT

JONES, J.

The issue on appeal is whether Supreme Court properly denied defendant's motion for a *Mapp/Dunaway* hearing on the ground that defendant failed to present sufficient information to obtain a hearing where defendant denied acting as the principal or accomplice, raised a question of fact regarding the timing of his arrest and challenged the reliability of the alleged witness. Based on defendant's factual allegations, it was error to deny the hearing. We therefore reverse the order of the Appellate Division and remit the matter to Supreme Court for further proceedings.

On May 30, 2003 at 12:10 P.M., in the vicinity of 132nd Street and 7th Avenue in Manhattan, Johnny Speller (decedent) was stabbed to death. Defendant was arrested for the crime later that day and subsequently indicted for second-degree murder (*see* Penal Law § 125.25 [1]). After indictment, the People served defendant with a Voluntary Disclosure Form (VDF), which stated, in part, that a “[w]itness picked out [defendant’s] photo” on May 30, 2003 at 12:45 P.M.

Defendant moved to suppress all evidence proffered against him. In his supporting affirmation, defendant claimed that he was seized and arrested without a warrant sometime after 12:30 P.M. and transported to the 32nd precinct where he was interrogated for approximately six hours and property was removed from his person. Defendant denied that he acted as either principal or accomplice in the stabbing and stated that he had no knowledge of what, if any, information the police relied upon to seize, interrogate and place him in lineups. Based upon the information available to him, defendant averred that the only information known to the police at the time of his arrest was that (1) a stabbing had occurred on May 30, 2003 in the area of 132nd Street and 7th Avenue and (2) his photograph had been picked out by an unknown witness whose source of information—whether the alleged witness actually observed the crime, or only relied on hearsay—was uncertain. It is undisputed that defendant sought the informant’s name and that the People refused to provide the information.

Further, defendant alleged that it was unclear whether he was identified as (1) having engaged in any criminal activity, (2) a person who frequented the area, (3) a person associated with the victim or (4) a person seen in the area at the time of the incident. Defendant argued that “[n]one of the People’s written or oral communications have set forth facts constituting probable cause justifying his seizure” and that he was “therefore unable to proffer factual allegations as to the lack of probable cause.”

In opposition, the People argued that defendant did not establish a factual dispute that required a hearing. They argued that defendant failed to “dispute the facts set forth in the complaint,” VDF and/or the indictment and that, in fact, those sources specified that at least one witness identified defendant “and that he also made admissions to having committed the crime.”

Supreme Court denied the *Mapp/Dunaway*¹ hearing, stating, in part:

“I’m denying a Mapp/Dunaway.

“The V.D.F. makes clear that the defendant was identified in a photo array prior to the arrest and that subject will be the issue of a Wade Hearing, in any event.

“And the other matters which are referred to as unknown in the defense motion could have been discovered through a proper demand.

“So I’m granting a Huntley and a Wade Hearing.”

Thereafter, defendant pleaded guilty. The Appellate Division unanimously affirmed, holding that, given the information available to defendant, his conclusory assertions were insufficient to create a factual issue requiring a hearing (30 AD3d 1131 [2006]). A Judge of this Court granted defendant leave to appeal and we now reverse.

Pursuant to CPL 710.60 (1), a suppression motion must contain sworn allegations of fact stating the ground or grounds for the motion. “Hearings are not automatic or generally available for the asking by boilerplate allegations” (*People v Mendoza*, 82 NY2d 415, 422 [1993]). The sufficiency of the factual allegations should be (1) evaluated by the face of the pleadings, (2) assessed in conjunction with the context of the motion and (3) evaluated by defendant’s access to information (*id.* at 426). Applying the *Mendoza* factors, we conclude that defendant’s motion for a *Mapp/Dunaway* hearing should have been granted.

In determining the sufficiency of a defendant’s factual allegations, a court must read defendant’s suppression motion in the context of the case. Further, “[w]hether a defendant has raised factual issues requiring a hearing can only be determined with reference to the People’s contentions” (*Mendoza*, 82 NY2d at 427). Here, defendant alleged that he was arrested at sometime after 12:30 P.M. in a building where he resides and away from where the crime took place. The People disputed this allegation and stated in their disclosure forms that defendant was not arrested until 7:30 P.M., after he had been identified by their witness and had made statements to the police. The time of arrest is, thus, in dispute because if defendant was arrested before his

1. See generally, *Dunaway v New York*, 442 US 200 (1979); *Mapp v Ohio*, 367 US 643 (1961).

arrival at the police station, the only basis for probable cause was the witness identification.

Moreover, a court must consider “the degree to which the pleadings may reasonably be expected to be precise in view of the information available to defendant” (*id.* at 429). In *People v Hightower* (85 NY2d 988 [1995]), defendant was charged with the sale of drugs. In his motion papers, defendant denied he sold drugs or assisted others in selling or possessing drugs. We held that those “allegations were sufficient when considered in the context of the case and in light of the minimal information available to the defendant at the time of the motion limited, as he was, by the bare allegations in the complaint” (*id.* at 990). We observed that, based upon the meager information available to him, “defendant could do little but deny participation in the sale” (*id.*).

Here, defendant also lacked critical information only the People could provide—i.e., the factual predicate for his arrest. Because defendant lacked this information, he was not in a position to allege facts disputing the basis for his arrest.

The People could not both refuse to disclose the informant’s identity, or at least some facts showing a basis for the informant’s knowledge the police relied upon to establish probable cause for the arrest, and insist that defendant’s averments in his pleadings were insufficient to obtain a *Mapp/Dunaway* hearing.² Without more information, defendant could do little more than dispute the circumstances surrounding his arrest. Like the defendant in *Hightower*, defendant’s lack of access to information precluded more specific factual allegations and created factual disputes, the resolution of which required a hearing.

Based on the foregoing, we hold that Supreme Court erred in summarily denying the *Mapp/Dunaway* hearing.

Accordingly, the Appellate Division order should be reversed, the plea vacated, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

2. To establish probable cause for defendant’s arrest, the People must establish the reliability of the witness and that person’s basis of knowledge (*see Spinelli v United States*, 393 US 410 [1969]; *Aguilar v Texas*, 378 US 108 [1964]). As the People did not provide any information regarding the witness, they did not meet the requirements of the *Aguilar/Spinelli* test.

[869 NE2d 14, 838 NYS2d 14]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEPHEN SEDLOCK, Appellant.

Argued May 2, 2007; decided June 5, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Broome County Court (Patrick H. Mathews, J.), entered August 25, 2006. The County Court affirmed a judgment of the City Court of Binghamton (Mary Anne Lehmann, J.), which had convicted defendant, upon a jury verdict, of forcible touching.

HEADNOTE

Crimes — Information — Sufficiency of Notice of Nature of Accusation

In a prosecution arising from the alleged forcible touching of the complainant, the People failed to present defendant with sufficient notice of the nature of the accusation by delineating in the information a seven-month time period during which the alleged criminal act occurred. The determination of whether sufficient specificity to adequately prepare a defense has been provided to a defendant by the accusatory instrument and the bill of particulars must be made on an ad hoc basis by considering all relevant circumstances. Here, the complainant was 16 or 17 years old at the time of the forcible touching at issue, and, by all accounts, intelligent. Exact dates for incidents that occurred years before were provided, yet the People failed to specify a more precise time frame for the conduct at issue, or to demonstrate that they were unable to do so. The People had ample opportunity to correct the deficiency in their response to the bill of particulars but failed to do so.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indictments and Informations §§ 128, 129.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:834,
172:836, 172:837.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 19.3.
NY JUR 2d, Criminal Law §§ 936, 937.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: notice /s accus! /p time /s alleged /s crim!

POINTS OF COUNSEL

Pope, Schrader & Sacco, LLP, Binghamton (*James A. Sacco* of counsel), for appellant. I. The information was defective in that it was conclusory and did not allege a mental state. (*People v Dumas*, 68 NY2d 729; *People v Alejandro*, 70 NY2d 133.) II. The information is defective because the time span alleged is so expansive as to be violative of defendant's constitutional rights. (*People v Morris*, 61 NY2d 290; *People v Keindl*, 68 NY2d 410, 69 NY2d 823; *People v Beauchamp*, 74 NY2d 639; *People v Watt*, 81 NY2d 772; *People v Sanchez*, 84 NY2d 440.) III. The People failed to prove a prima facie case. (*People v Dumas*, 156 Misc 2d 1025; *People v Kennedy*, 47 NY2d 196; *People v Wager*, 199 AD2d 642, 83 NY2d 811; *People v Calabria*, 3 NY3d 80; *People v Jackson*, 65 NY2d 265; *People v Stewart*, 40 NY2d 692; *People v Carthrens*, 171 AD2d 387; *People v Leslie*, 154 Misc 2d 325, 232 AD2d 94, 91 NY2d 875; *People v Symbato*, 72 AD2d 780; *People v Leo*, 109 Misc 2d 933.)

Gerald F. Mollen, District Attorney, Binghamton (*Peter N. De-Lucia* of counsel), for respondent. I. The information was sufficient as a matter of law because the elements could be inferred from the accusatory instrument and its supporting deposition. (*People v Alejandro*, 70 NY2d 133; *People v Mizell*, 72 NY2d 651; *People v Henderson*, 92 NY2d 677; *People v Rojas*, 61 NY2d 726; *People v Inserra*, 4 NY3d 30; *People v Victor P.*, 120 Misc 2d 770; *People v Prevete*, 10 Misc 3d 78; *People v Rodriguez*, 1 Misc 3d 8.) II. The time period alleged in the accusatory instrument was not unconstitutionally overbroad. (*People v Keindl*, 68 NY2d 410; *People v Morris*, 61 NY2d 290; *People v Bogdanoff*, 254 NY 16; *People v Watt*, 81 NY2d 772; *People v Beauchamp*, 74 NY2d 639.) III. The People established a prima facie case at trial. (*People v Lane*, 7 NY3d 888; *People v Payne*, 3 NY3d 266; *People v Hines*, 97 NY2d 56; *People v Calabria*, 3 NY3d 80; *People v Contes*, 60 NY2d 620; *People v Watson*, 281 AD2d 691, 96 NY2d 925; *People v Beecher*, 225 AD2d 943; *People v Dehler*, 216 AD2d 643; *People v Pinkoski*, 300 AD2d 834; *People v Molineux*, 168 NY 264.)

OPINION OF THE COURT

CIPARICK, J.

The issue in this appeal is whether the People presented defendant with sufficient notice of the nature of the accusation by delineating in the information a seven-month time period dur-

ing which the alleged criminal act occurred. We hold that, under *People v Morris* (61 NY2d 290 [1984]) and *People v Watt* (81 NY2d 772, 774 [1993]), the People have failed to show that an allegation of so broad a time frame was necessary under the circumstances presented in this case.

Defendant, a funeral director and scoutmaster for a Boy Scout troop, was arraigned on one charge of forcible touching under Penal Law § 130.52, a class A misdemeanor. The charge stems from his relationship with a boy, the complainant, a member of defendant's troop. The relationship between complainant and defendant developed over the course of several years to the extent that complainant often referred to defendant and his wife as his parents. After complainant's strained relationship with his own stepfather led him to move out of his home, he sought refuge with defendant and his family. Complainant resided in defendant's home from December 2002 to July 2003. However a year later, in May 2004, complainant, then age 18, reported to the police that he had been inappropriately touched by defendant many times over the years and that he had delayed in telling the authorities as he was embarrassed and hurt and suffered stress-related illnesses as a result of the incidents.

The information filed with City Court states:

“That from December 2002 through June 2003, at [defendant's home], the said defendant, did with no legitimate purpose, forcibly touch the sexual or other intimate parts of another person: for the purpose of gratifying the actor's sexual desire. To wit; said defendant did touch a 17 year [old's] penis and did kiss him on the lips.”

The People further submitted a supporting deposition in which complainant described his relationship with defendant and detailed various instances of forcible touching. The deposition contained allegations of specific conduct occurring on a camping trip in Pennsylvania in April 2001 where complainant awoke to find defendant touching him in an inappropriate and unwanted manner. Complainant also alleged that “some times during the days I lived [in defendant's home] we would play fight and he would pinch my penis over my clothes.”

Defendant, in an omnibus motion, sought to dismiss the information stating that “the time frame is so expansive that this Defendant cannot possibly defend against the charges and prepare a defense.” In the alternative, the motion sought to compel the People to respond to a previously served demand for

a bill of particulars which had sought “the precise date(s), time(s) and location(s) of the offense(s) alleged.”

In response to the omnibus motion, the People stated:

“As to the Bill of Particulars CPL 200.95

“a. The defendant forcibly touched the victim in this case . . . by pinching with his hand the penis of the victim This happening on one occasion between December of 2002 and June 2003 at [defendant’s home]. This answers the defendants [*sic*] bill of particulars dated June 21, 2004.”

City Court denied the motion to dismiss the information and, after a jury trial, defendant was convicted of forcible touching. Defendant then sought to set aside the verdict pursuant to CPL 330.30 (1), alleging various evidentiary errors as well as a claim of legal insufficiency. The motion was denied and defendant was sentenced to a one-year term of imprisonment. County Court granted defendant a stay of the sentence pending appeal. That court later affirmed the judgment of conviction and sentence. A Judge of this Court granted leave to appeal and further stayed execution of the sentence. Defendant argues that the lower courts erred by not dismissing the accusatory instrument as it did not properly give him notice of the charge so that he could adequately prepare a defense. We agree and now reverse and dismiss the information.

The paramount purpose of an accusatory instrument is to provide sufficient information regarding the nature of the charge and the conduct which underlies the accusation to allow defendant to prepare or conduct a defense (*see People v Morris*, 61 NY2d at 293). The instrument also serves to protect an accused from double jeopardy by specifically identifying the alleged crime so that he or she cannot be charged with the crime again in a subsequent prosecution (*see id.*). To satisfy these safeguards, there is no requirement that the accusatory instrument give an “exact date and time” (*id.* at 294). Rather, “the interval of time set forth in each count must reasonably serve[] the function of protecting defendant’s constitutional right to be informed of the nature and cause of the accusation” (*People v Keindl*, 68 NY2d 410, 417 [1986] [internal quotation marks and citations omitted]).

Although we have held that a nine-month time frame alleging a noncontinuous act in an accusatory instrument is generally per se unreasonable (*see People v Beauchamp*, 74 NY2d 639, 641

[1989] [holding that a nine-month time frame is an “excessive interval” despite the People’s diligent efforts and the young ages of the victims]; *see also Keindl*, 68 NY2d at 419 [sexual abuse charges spanning 10 months involving crimes against children ranging from ages 8 to 13 were “so excessive on their face that they are unreasonable”]), we have otherwise been hesitant to adopt a bright-line rule (*see e.g. People v Watt*, 81 NY2d at 775 [five-month time frame was not “per se unreasonable”]), and we need not adopt one here.

Rather, the “determination of whether sufficient specificity to adequately prepare a defense has been provided to a defendant by the [accusatory instrument] and the bill of particulars must be made on an *ad hoc* basis by considering all relevant circumstances” (*Morris*, 61 NY2d at 295). As we stated in *Morris*:

“The test for adequacy embraces good faith. Reasonableness and fairness demand that the [accusatory instrument] state the date and time of the offense to the best of the People’s knowledge, after a reasonably thorough investigation has been undertaken to ascertain such information. In evaluating the possibility that a more specific date could have been obtained through diligent efforts, the court might consider, among other things: (1) the age and intelligence of the victim and other witnesses; (2) the surrounding circumstances; and (3) the nature of the offense, including whether it is likely to occur at a specific time or is likely to be discovered immediately” (*id.* at 296).

Further, as we noted in *Watt*, when a per se bar does not apply: “The significantly longer period . . . is a factor to be considered, with proportionately heightened scrutiny given to whether the People’s inability to provide more precise times can be justified as against the important notice rights of the defendant” (81 NY2d at 775).

With these considerations in mind, we conclude that the People failed to meet their duty to delineate a sufficiently narrow time frame for the alleged act. Notably, the complainant here was 16 or 17 years old at the time of the forcible touching, and, by all accounts, intelligent. Exact dates for incidents that occurred years before were provided, yet the People failed to specify a more precise time frame for the conduct at issue, or to demonstrate that they were unable to do so. Under these circumstances, seven months cannot be deemed reasonable when

weighed against the imperative notice rights of the defendant. The People had ample opportunity to correct this deficiency in their response to the bill of particulars but failed to do so, and thus defendant's motion to dismiss the information should have been granted.

In light of our disposition, we need not reach defendant's remaining arguments.

Accordingly, the order of County Court should be reversed and the information dismissed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[869 NE2d 18, 838 NYS2d 18]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v COR-
NELL LOUREE, Appellant.

Argued April 24, 2007; decided June 5, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 18, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Vincent M. Del Giudice, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a weapon in the third degree.

People v Louree, 28 AD3d 680, reversed.

HEADNOTE

Crimes — Plea of Guilty — Failure to Advise Defendant of Postrelease Supervision — Challenge to Plea Despite Absence of Postallocation Motion

Where a trial judge does not fulfill the obligation to advise a criminal defendant during the plea allocation of the postrelease supervision component of the sentence, a direct consequence of the criminal conviction, the plea cannot be knowing, voluntary and intelligent, and a defendant may challenge the sufficiency of the allocation on direct appeal, notwithstanding his or her failure to preserve the issue for appellate review by means of a postallocation motion. Because the trial judge herein did not mention postrelease supervision at the allocation, defendant could not be expected to move to withdraw his plea (CPL 220.60 [3]) on a ground of which he had no knowledge. Although the trial judge informed defendant of postrelease supervision during sentencing, defendant could not move to withdraw the plea, since a motion may only be made under CPL 220.60 (3) “[a]t any time *before* the imposition of sentence” (emphasis added). Inasmuch as the omission at issue was clear from the face of the record, it could not properly be raised in a CPL article 440 motion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 647–649, 674, 679.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1548,
172:1622, 172:1624, 172:1625.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4,
21.5.

McKINNEY's, CPL 220.60 (3); art 440.

NY JUR 2d, Criminal Law §§ 1355–1357, 1388, 1391, 1398.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Guilty Plea.

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Database: NY-ORCS

Query: guilty /2 plea! /s post-release /2 supervision /s allocation

POINTS OF COUNSEL

Appellate Advocates, New York City (*Lynn W.L. Fahey* of counsel), for appellant. The court's failure to inform appellant that the determinate sentence he faced would be followed by postrelease supervision rendered his guilty plea less than knowing, intelligent, and voluntary and requires reversal without the need to seek plea withdrawal first in the trial court. (*People v Catu*, 4 NY3d 242; *People v Seaberg*, 74 NY2d 1; *People v Nixon*, 21 NY2d 338; *North Carolina v Alford*, 400 US 25; *People v Francabandera*, 33 NY2d 429; *Kercheval v United States*, 274 US 220; *People v Van Deusen*, 7 NY3d 744; *People v Lopez*, 71 NY2d 662; *People v Francis*, 38 NY2d 150; *People v Marincic*, 2 NY2d 181.)

Charles J. Hynes, District Attorney, Brooklyn (*Solomon Neubort* and *Leonard Joblove* of counsel), for respondent. The order of the Appellate Division should be affirmed because defendant's claim that his guilty plea was not entered knowingly and voluntarily is unpreserved for appellate review. (*People v Patterson*, 39 NY2d 288, 432 US 197; *People v Kelly*, 5 NY3d 116; *People v Antommarchi*, 80 NY2d 247; *People v Ahmed*, 66 NY2d 307; *People v Michael*, 48 NY2d 1; *People ex rel. Battista v Christian*, 249 NY 314; *Cancemi v People*, 18 NY 128; *People v McLucas*, 15 NY2d 167; *People v Udzenski*, 146 AD2d 245; *People v Fleming*, 70 NY2d 947.)

OPINION OF THE COURT

READ, J.

Defendant Cornell Louree was indicted for criminal possession of a weapon in the third degree (Penal Law § 265.02), and criminal possession of a weapon in the fourth degree (Penal Law § 265.01). On September 18, 2003, he pleaded guilty to attempted criminal possession of a weapon in the third degree in exchange for a one-year prison sentence, or two years if a prior conviction in Connecticut qualified as a predicate felony in New York.

Because defendant requested an unusually long adjournment before sentencing, the trial judge also required him to plead guilty to criminal possession of a weapon in the third degree,

with the understanding that he could later withdraw this plea and the count would be dismissed so long as he appeared in court for his scheduled sentencing on December 4, 2003, was not arrested in the meantime, and cooperated fully with the Probation Department in preparation of the presentence report. The judge informed him that

“[i]n the event you fail to fully comply with any or all of these conditions, I am not bound to impose the negotiated sentence, you will not be permitted to withdraw your guilty plea, and I am authorized by law to impose a higher sentence of up to seven years in jail. You understand that?”

Defendant answered “Yes.” The judge did not mention that a period of postrelease supervision would follow either the conditionally promised two-year or a potential seven-year sentence.

As it turned out, defendant did not fulfill any of the prerequisites for the more lenient sentence: he skipped his scheduled sentencing, he was arrested for robbery, and he did not cooperate in the preparation of his presentence report. In addition, the Connecticut conviction qualified as a felony. When defendant returned to court on December 22, 2003, his counsel moved to be relieved because defendant “wish[ed] to withdraw his plea and based on what he told me, I believe there will be a conflict.” The court denied the motion. Defendant did, in fact, eventually move to withdraw his plea, his counsel explaining that

“when he took the plea what [defendant] is telling me is that he was in his mind one hundred percent certain that he did not have a prior felony conviction in the State of Connecticut. That it, in fact, was a misdemeanor and if he had known that it was, in fact, a felony he would not have taken this plea.”

The trial judge denied the application.

After discussion of other topics not relevant to this appeal, a plea for leniency by defense counsel, and a short statement from defendant, the trial judge reviewed what had happened at the September hearing and afterwards, and the proceeding ended as follows:

“THE COURT: . . . Pursuant to the plea agreement, I’m not going to—pursuant to your breach of the

plea agreement, I'm not going to sentence you on the E felony. On motion of the People, move to withdraw his plea and dismiss the E felony?

"[DISTRICT ATTORNEY]: That's correct.

"THE COURT: That would be done. Criminal Possession of a Weapon in the Third Degree. Therefore, it is the judgment of this Court that you are sentenced to a period—sentenced to seven years incarceration on the D violent felony offense followed by five years postrelease supervision. \$200 surcharge imposed. \$10 Crime Victims Assistance fee and \$50 DNA registration fee imposed. Government will draw your blood.

"You've previously pled guilty—waived your right to appeal.

"These proceedings are completed. Officers take charge.

"THE DEFENDANT: I can't appeal?

"THE COURT: You got seven. Take charge."

The Appellate Division affirmed the judgment of conviction and sentence, concluding briefly that

"defendant's contention that his plea was not knowingly, intelligently, and voluntarily entered because he was not informed that he would be subject to a mandatory period of post-release supervision is unpreserved for appellate review since he did not move either to withdraw his plea or vacate the judgment of conviction on that basis" (28 AD3d 680 [2d Dept 2006]).

The court also declined to review the issue in the exercise of its interest-of-justice jurisdiction, and expressed the view that our decision in *People v Catu* (4 NY3d 242 [2005]) did not require a different result. A Judge of this Court subsequently granted defendant leave to appeal, and we now reverse.

"A trial court has the constitutional duty to ensure that a defendant, *before* pleading guilty, has a full understanding of what the plea connotes and its consequences" (*People v Ford*, 86 NY2d 397, 402-403 [1995] [emphasis added]). "The court is not required to engage in any particular litany when allocuting the defendant, but due process requires that the record must be

clear that the plea represents a voluntary and intelligent choice among alternative courses of action open to the defendant” (*id.* at 403 [internal quotation marks and citations omitted]). To fulfill this constitutional imperative, the trial judge must advise a defendant of the direct consequences of a plea and the resulting waiver of rights.

In *Catu*, we held that “[p]ostrelease supervision is a direct consequence of a criminal conviction” (4 NY3d at 244). Since a defendant contemplating a guilty plea “must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action, the failure of a court to advise of postrelease supervision requires reversal of the conviction” (*id.* at 245). Necessarily, then, a plea cannot be knowing, voluntary and intelligent if a defendant is ignorant of a direct consequence because of a deficiently conducted allocution. As a result, a defendant does not have to show that he would have declined to plead guilty if he had been correctly informed by the court (*id.*), and it is irrelevant that the prison sentence added to postrelease supervision is within the range of prison time promised at the allocution (*People v Van Deusen*, 7 NY3d 744, 745-746 [2006]).

Here, the People argue that defendant did not preserve the issue for appellate review, principally relying on *People v Lopez* (71 NY2d 662 [1988]). In *Lopez*, we observed that ordinarily “in order to preserve a challenge to the factual sufficiency of a plea allocution there must have been a motion to withdraw the plea under CPL 220.60 (3) or a motion to vacate the judgment of conviction under CPL 440.10,” because “failure to make the appropriate motion denies the trial court the opportunity to address the perceived error and to take corrective measures” (*id.* at 665-666 [citations omitted]). We did, however, note an exception to this general rule for the “rare case” where, for instance, a defendant’s factual recitation negates an essential element of the crime pleaded to, and the trial court fails in its duty to make further inquiry and instead accepts the plea (*id.* at 666). In such a case, “the defendant may challenge the sufficiency of the allocution on direct appeal, notwithstanding that a formal postallocation motion was not made,” as “the court’s attention should have been instantly drawn to the problem, and the salutary purpose of the preservation rule is arguably not jeopardized” (*id.*).

We similarly conclude that where a trial judge does not fulfill the obligation to advise a defendant of postrelease

supervision during the plea allocution, the defendant may challenge the plea as not knowing, voluntary and intelligent on direct appeal, notwithstanding the absence of a postallocution motion. In so deciding, we cannot shut our eyes to the actual or practical unavailability of either a motion to withdraw the plea under CPL 220.60 (3), or a motion to vacate the judgment of conviction under CPL 440.10 in these cases. If the trial judge does not mention postrelease supervision at the allocution, as happened here, a defendant can hardly be expected to move to withdraw his plea on a ground of which he has no knowledge. But if the trial judge informs the defendant of postrelease supervision during the course of sentencing, as also happened here, a defendant may no longer move to withdraw the plea since a motion may only be made under CPL 220.60 (3) “[a]t any time *before* the imposition of sentence” (emphasis added). Finally, the omission at issue is clear from the face of the record and therefore not properly raised in a CPL article 440 motion.*

Accordingly, the order of the Appellate Division should be reversed, defendant’s plea vacated and the case remitted to Supreme Court for further proceedings on the indictment.

PIGOTT, J. (dissenting). Because I believe that defendant was required to preserve the issue for appellate review, I respectfully dissent. The record reveals that defendant was made aware of the postrelease component of his sentence at the sentencing proceeding (*see generally People v Catu*, 4 NY3d 242, 245 [2005]). Thus, defendant was required to preserve the issue as nothing in this case calls for the “rare case” exception to the preservation doctrine described in *People v Lopez* (71 NY2d 662, 666 [1988]). Here, defendant could have raised an objection to the sentencing judge and he would have then been able to raise the issue on his direct appeal (*see People v Fulton*, 30 AD3d 961 [4th Dept 2006], *lv denied* 7 NY3d 789 [2006]).

Accordingly, I dissent and would affirm the order of the Appellate Division.

* In *Catu*, the trial judge’s failure to advise the defendant of postrelease supervision was, in fact, raised in a CPL article 440 motion. The People did not argue that this ground was apparent on the record and therefore the article 440 motion was improper. Accordingly, until today we had no occasion to decide whether a defendant may properly raise a *Catu* objection by way of a CPL article 440 motion. As stated in the text, we decide that a defendant may not.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and JONES concur with Judge READ; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge SMITH concurs.

Order reversed, etc.

[869 NE2d 10, 838 NYS2d 10]

In the Matter of WORTH CONSTRUCTION COMPANY, INC., Appellant, v ALAN G. HEVESI, as Comptroller of the State of New York, et al., Respondents.

Argued April 25, 2007; decided June 5, 2007

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 10, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Dan Lamont, J.; op 11 Misc 3d 513), entered in a proceeding pursuant to CPLR article 78, which had denied the petition to review a determination of respondent Comptroller refusing to approve a construction contract and dismissed the proceeding.

Matter of Worth Constr. Co., Inc. v Hevesi, 32 AD3d 629, affirmed.

HEADNOTE

State — Comptroller — Review and Approval of Contracts Executed by Public Corporation

The Comptroller, when acting pursuant to a request by a public corporation, has the discretion under NY Constitution, article X, § 5 to review and approve contracts executed by that entity. Article X, § 5, which directs that “[t]he accounts of every . . . public corporation . . . shall be subject to the supervision of the state comptroller,” does not preclude the Comptroller from inquiring into the efficiency and effectiveness of a public corporation’s expenditure of its own funds where the public corporation expressly requests the Comptroller’s oversight. Accordingly, in disapproving a contract entered into between petitioner and the New York State Thruway Authority, the Comptroller did not exceed his power under article X, § 5. The Authority had requested the Comptroller’s review and approval, and after the Comptroller determined that petitioner, which had been deemed the “lowest responsible bidder” by the Authority, was a “non-responsible bidder,” the Authority rescinded its award of the contract to petitioner. The review and approval functions undertaken by the Comptroller were incidental to the supervision of the Authority’s accounts because the contract called for the expenditure of a substantial sum of the Authority’s funds.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, States, Territories, and Dependencies § 63.

McKINNEY’s, NY Const, art X, § 5.

NY JUR 2d, State of New York §§ 20, 22, 23.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; States.

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Database: NY-ORCS

Query: comptroller /s public /2 corporation /s approve /2
contract

POINTS OF COUNSEL

Peckar & Abramson, P.C., New York City (*Alvin Goldstein* of counsel), for appellant. I. The Comptroller's determination of nonresponsibility must be vacated because he exceeded his constitutional jurisdiction and power. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Parsa v State of New York*, 64 NY2d 143; *Hamlin Beach Camping, Catering, & Concessions Corp. v State of New York*, 303 AD2d 849; *Matter of New York Pub. Interest Research Group v New York State Thruway Auth.*, 77 NY2d 86; *Patterson v Carey*, 41 NY2d 714.) II. The Thruway Authority did not and legally could not invite the Comptroller to approve or reject its contracts. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 218 AD2d 140, 89 NY2d 160; *Matter of Callanan Indus. v White*, 118 AD2d 167, 123 AD2d 462, 69 NY2d 601; *Salla v County of Monroe*, 64 AD2d 437, 48 NY2d 514, *cert denied sub nom. Abrams v Salla*, 446 US 909.)

Andrew M. Cuomo, Attorney General, Albany (*Edward Lindner*, *Barbara D. Underwood* and *Daniel Smirlock* of counsel), for respondents. I. The Thruway Authority has the power to make the award of its contract to Worth Construction Co., Inc. subject to the review and approval of the State Comptroller. (*Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337.) II. The court below properly dismissed the petition because the Comptroller has discretionary authority under article X, § 5 of the State Constitution to voluntarily review and approve Thruway Authority contracts. (*Matter of New York Pub. Interest Research Group v New York State Thruway Auth.*, 77 NY2d 86; *Patterson v Carey*, 41 NY2d 714; *Matter of McCall v Barrios-Paoli*, 93 NY2d 99; *Matter of Ronan v Levitt*, 73 Misc 2d 35, 42 AD2d 10, 33 NY2d 514.) III. Sentence seven of article V, § 1 of the New York Constitution, prohibiting the Legislature from assigning administrative functions to the Comptroller, has no application whatever to this case. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *Matter of New York Pub. Interest Research Group v New York State Thruway Auth.*, 77 NY2d 86.)

OPINION OF THE COURT

PIGOTT, J.

In 1950, the New York State Thruway Authority passed a resolution pursuant to Public Authorities Law § 362 requesting that the New York State Comptroller “audit the funds of the Authority in the same manner as funds of a regular State agency are audited.”¹ Because one of the Comptroller’s functions in auditing state agencies is the review and approval of agency contracts that exceed a sum certain (*see* State Finance Law § 112 [2] [a]), the Comptroller, at the Authority’s request, has conducted the review and approval of Authority contracts for over 50 years. Petitioner Worth Construction Company now contests that authority and argues that by disapproving a contract entered into between Worth and the Authority, the Comptroller exceeded his power under article X, § 5 of the New York Constitution. We disagree.

I.

In November 2004, after opening sealed bids for the rehabilitation of portions of the New York State Thruway and related facilities (the Project), the Authority advised Worth that it was the apparent low bidder. Pursuant to its statutory mandate to award contracts to the “lowest responsible bidder” (Public Authorities Law § 359 [1]), the Authority thereafter conducted an investigation into Worth’s “responsibility” as a contractor. During the course of that investigation, the Authority discovered that Worth purportedly had ties to organized crime and that one of Worth’s principals was the target of an ongoing federal bribery and municipal corruption investigation in Connecticut.

At the conclusion of the investigation, the Authority determined that Worth was not a “responsible contractor” but nonetheless gave Worth an opportunity to contest that finding. After Worth retained an independent monitoring service to monitor its activities relative to the Project, the Authority deemed Worth the “lowest responsible bidder” and forwarded a contract for its signature. An attachment to the contract, which was incorporated by reference and submitted to Worth for review, explicitly stated that “[u]nless otherwise provided by resolution of the Authority . . . this contract shall not be valid, effective or bind-

1. Public Authorities Law § 362 provides, in pertinent part, that “[a]t the request of the authority, . . . all other state officers, departments, boards, divisions and commissions shall render services within their respective functions.”

ing upon the Authority . . . until it has been approved by the State Comptroller and filed in his office.”

Pursuant to these terms, the Authority forwarded the contract to the Comptroller for his review and approval. The Comptroller, conducting his own investigation of Worth’s responsibility as a contractor, examined Worth’s purported ties to organized crime, the ongoing bribery and municipal corruption investigation, and alleged improprieties in Worth’s billing practices. The Comptroller held a meeting with Worth’s principals to discuss these matters; however, the meeting heightened the Comptroller’s concerns about Worth’s responsibility as a contractor, and in November 2005, the Comptroller issued a “vendor responsibility determination” finding that Worth was a “non-responsible bidder” and returned the contract to the Authority unapproved. The Authority accepted the Comptroller’s determination and rescinded its award of the contract to Worth.

Worth then commenced this CPLR article 78 proceeding against both the Authority and the Comptroller seeking, among other things, an order vacating the Comptroller’s nonresponsible bidder determination and directing the Authority to proceed with the contract. Worth specifically argued that it was beyond the Comptroller’s constitutional authority to make a determination of nonresponsibility with respect to Authority contracts. Supreme Court dismissed the petition, holding that the Comptroller had the discretionary authority under article X, § 5 of the New York Constitution to review and approve the contract at the Authority’s request (*see* 11 Misc 3d 513, 517 [Sup Ct, Albany County 2006]). The Appellate Division affirmed, holding that nothing in the New York Constitution precludes the Comptroller from reviewing or disapproving a contract entered into by a public corporation (*see* 32 AD3d 629, 630 [3d Dept 2006]). Worth appeals as of right pursuant to CPLR 5601 (b) (1), asserting that the Comptroller exceeded his constitutional authority. We affirm, and hold that the Comptroller, when acting pursuant to a request by a public corporation, has the discretion under article X, § 5 to review and approve contracts executed by that entity.

II.

Article X, § 5 of the New York Constitution directs that “[t]he accounts of every . . . public corporation . . . shall be subject to the supervision of the state comptroller.” As such, the Comptrol-

ler's function with regard to public corporations is to provide "an independent oversight of [their] accounts" (*Patterson v Carey*, 41 NY2d 714, 725 [1977]). We have observed that article X, § 5 "pointedly employs the same language—'supervision of accounts'—found in article V" of the New York Constitution (*Patterson*, 41 NY2d at 724, citing 3 Rev Rec, 1938 NY Constitutional Convention, at 2262). Article V, § 1 delineates the Comptroller's account supervision responsibilities in relation to the State and its political subdivisions. There is a significant distinction between article V and article X, however. The Legislature has the express power to shape the Comptroller's powers and duties vis-à-vis the State and its political subdivisions, but no authority to circumscribe the Comptroller's powers and duties with regard to public corporations (see *Patterson*, 41 NY2d at 724). Indeed, article X grants the Comptroller the discretionary authority to supervise the accounts of public corporations, with the exercise of that authority being governed solely by individual responsibility and fidelity to one's oath of office (see *Matter of New York Pub. Interest Research Group v New York State Thruway Auth.*, 77 NY2d 86, 89-90 [1990]; *Patterson*, 41 NY2d at 724).

The extent of the Comptroller's discretionary authority concerning the "supervision of accounts" of public corporations has never before been addressed by this Court, although we have addressed the extent of the Comptroller's authority to supervise the accounts of political subdivisions (see *Matter of McCall v Barrios-Paoli*, 93 NY2d 99 [1999]). In *McCall*, we held that the language "supervision of the accounts" in article V, § 1 does not limit the Comptroller's function "to financial audits or preclude inquiry into the efficiency and effectiveness of [a political subdivision's] expenditure of State funds," and that the authority to supervise the accounts left "ample room for wider inquiry by the Comptroller" (*id.* at 106). We also noted that the objective behind article V, § 1 was to protect the "independent character of the Comptroller's audit function," a goal that was accomplished by prohibiting the Legislature from assigning to the Comptroller unrelated duties, while "permitting the assignment of supervision of the accounts of political subdivisions and administrative duties incidental thereto" (*id.* at 107 [citations omitted]).

Similarly, article X, § 5 does not preclude the Comptroller from inquiring into the "efficiency and effectiveness" of a public corporation's expenditure of its own funds where, as here,

the public corporation expressly requests the Comptroller's oversight.² The review and approval functions undertaken by the Comptroller in this instance were incidental to the supervision of the Authority's accounts because the contract called for the expenditure of a substantial sum of the Authority's funds. Here, the Authority deemed it prudent for the Comptroller to investigate Worth's responsibility, but retained the right to disregard the Comptroller's disapproval of the contract had it chosen to do so. Although the Comptroller was permitted to conduct some oversight concerning Worth's responsibility as a contractor, the ultimate determination in that regard rested with the Authority. Based on the foregoing, we conclude that the Comptroller had the discretionary authority to review and approve the contract and, by doing so at the request of the Authority, did not exceed his constitutional authority.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

2. We express no opinion as to whether the Comptroller has the power to review and approve a corporation's contracts absent a request from the public corporation that the Comptroller perform those functions.

[870 NE2d 118, 838 NYS2d 800]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JEFFREY
KOZLOW, Respondent.

Argued March 20, 2007; decided April 26, 2007

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 25, 2006. The Appellate Division (1) reversed, on the law, a judgment of the Westchester County Court (Joseph S. Alessandro, J.), which had convicted defendant, after a nonjury trial, of attempted disseminating indecent material to minors in the first degree (five counts); and (2) dismissed the indictment.

People v Kozlow, 31 AD3d 788, reversed.

HEADNOTE

Crimes — Disseminating Indecent Material to Minors

Defendant was properly convicted of attempted dissemination of indecent material to minors in the first degree (Penal Law § 110.00, former § 235.22) even though his communications contained no nude or sexual images. Defendant's Internet communications with an undercover police officer whom he believed to be a minor "depict[ed]" sexual conduct within the meaning of former Penal Law § 235.22 (1). The ordinary meaning of the word "depict" is represent in a picture or represent or portray in words. The Legislature did not intend to limit the scope of former Penal Law § 235.22 to sexual predators who use images, rather than words, to lure minors. Rather, the Legislature intended to criminalize the activities of adults who engage minors in sexually infused communication. The statute has been correctly construed to criminalize the use of any "sexually explicit communications," and is not void for vagueness.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Infants §§ 19, 20; AM JUR 2d, Lewdness,
Indecency, and Obscenity §§ 30, 38.

McKINNEY's, Penal Law §§ 110.00, 235.22.

NY JUR 2d, Criminal Law §§ 4950, 4951.

ANNOTATION REFERENCE

See ALR Index under Attempt to Commit Crime; Children; Lewdness, Indecency, and Obscenity.

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Query: disseminat! /3 indecent /5 minor & depict! /s de-
scri!

POINTS OF COUNSEL

Janet DiFiore, District Attorney, White Plains (Robert K. Sauer and Anthony J. Servino of counsel), for appellant. I. Defendant's textual communications to "JohnInYonkers914" depicted obscene material within the meaning of the statute he was convicted of violating. (*Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837; *People v Owusu*, 93 NY2d 398; *People v Gallicchio*, 189 Misc 2d 182; *People v Foley*, 94 NY2d 668; *People v Barrows*, 273 AD2d 246; *Miller v California*, 413 US 15; *American Libs. Assn. v Pataki*, 969 F Supp 160.) II. If this Court should find that messages containing textual communications only are encompassed by Penal Law § 235.22, the statute would not be unconstitutionally vague. (*People v Skya*, 6 Misc 3d 188; *People v Shack*, 86 NY2d 529; *Rowan v Post Office Dept.*, 397 US 728; *Broadrick v Oklahoma*, 413 US 601; *Kovacs v Cooper*, 336 US 77; *People v Dietze*, 75 NY2d 47; *People v Bright*, 71 NY2d 376; *Colautti v Franklin*, 439 US 379; *United States v Harriss*, 347 US 612; *People v Nelson*, 69 NY2d 302.) III. Defendant's claim that the prosecution improperly amended its theory of prosecution in contravention of the indictment and the bill of particulars finds no support in the record. (*People v Green*, 96 NY2d 195; *People v Charles*, 61 NY2d 321; *People v Grega*, 72 NY2d 489; *People v Roberts*, 72 NY2d 489; *People v Rivera*, 84 NY2d 766.)

Stillman, Friedman & Shechtman, P.C., New York City (Nathaniel Z. Marmur of counsel), for respondent. I. The communications did not "depict" any prohibited conduct because they consisted solely of words and nonobscene pictures. (*People v Foley*, 257 AD2d 243, 94 NY2d 668; *American Civ. Libs. Union v Reno*, 929 F Supp 824, 521 US 844; *People v Stuart*, 100 NY2d 412; *People v Shack*, 86 NY2d 529; *New York v Ferber*, 458 US 747; *Ginsberg v New York*, 390 US 629; *Bookcase, Inc. v Broderick*, 18 NY2d 71; *People v Bookcase, Inc.*, 14 NY2d 409; *Matter of Marx v Bragalini*, 6 NY2d 322.) II. To construe "depict" to include written descriptions would make Penal Law § 235.22 void for vagueness as applied here under the New York and United States Constitutions. (*People v Barrows*, 273 AD2d 246; *People v Bright*, 71 NY2d 376; *United States v Harriss*, 347 US 612; *People v Garson*, 6 NY3d 604; *People v Bakolas*, 59 NY2d 51.) III. The indictment was constructively amended. (*People v*

Perez, 83 NY2d 269; *People v Iannone*, 45 NY2d 589; *People v Charles*, 61 NY2d 321; *People v Kaminski*, 58 NY2d 886; *People v Jean*, 146 AD2d 803; *People v AJS Merchandising*, 162 AD2d 990; *People v Greaves*, 1 AD3d 979; *People v Brown*, 221 AD2d 353; *People v Chicas*, 204 AD2d 476; *People v Taplin*, 1 AD3d 1044.)

Andrew M. Cuomo, Attorney General, New York City (*Barbara D. Underwood, Daniel Smirlock and Megan P. Davis* of counsel), amicus curiae. Penal Law § 235.22 applies to purely textual communications. (*American Libs. Assn. v Pataki*, 969 F Supp 160.)

Michael E. Bongiorno, District Attorney, New York City (*Karen Schlossberg and Mark Dwyer* of counsel), for New York State District Attorneys Association, amicus curiae. Penal Law § 235.22 prohibits indecent Internet communications attempting to lure minors into sexual encounters whether or not the communications include visual imagery. (*People v Garson*, 6 NY3d 604; *American Libs. Assn. v Pataki*, 969 F Supp 160; *People v Foley*, 94 NY2d 668; *People v Gallicchio*, 189 Misc 2d 182; *People v Skya*, 6 Misc 3d 188.)

OPINION OF THE COURT

PIGOTT, J.

We hold that a defendant charged with attempted dissemination of indecent material to minors in the first degree under Penal Law § 110.00 and former § 235.22 (L 1996, ch 600, § 6) may properly be convicted under that statute even though his communications contained no nude or sexual images.

I.

On March 4, 2004, defendant Jeffrey Kozlow entered an Internet chat room and, by instant messaging, approached a person with the screen name “JohnInYonkers914,” who immediately gave his age as 14. “[I]’m 42; [I]’m into younger guys,” Kozlow wrote, “u into guys my age?” (Punctuation added.) Unbeknownst to Kozlow, JohnInYonkers914 was an undercover investigator. Later that month, the two exchanged photographs of themselves, fully clothed, the investigator sending photographs of an adolescent boy. Kozlow asked JohnInYonkers914 about his sexual orientation and, repeatedly, about masturbation. In April, Kozlow began to describe, in the text of his instant messages, sexual acts he enjoyed. He also described various imagined sexual encounters they might have, involving

oral and anal sex. Kozlow did not, however, send any pornographic images or other pictorial representations of nudity or sex.

In May, the two made plans to meet in Westchester County. Although Kozlow repeatedly told JohnInYonkers914 that at first they were “just going to talk,” he also mentioned that he would “get a room” if the two decided to have sex, and he described sexual acts in which they might engage. Kozlow cancelled these plans but, in June, after JohnInYonkers914 said that his parents had given him permission to travel into Manhattan by himself, Kozlow quickly suggested a meeting. The two agreed to meet at 11:30 A.M. on June 28, 2004 at a magazine store at Grand Central Terminal. Kozlow was arrested leaving the store at 11:28.

Kozlow was charged with five counts of attempted dissemination of indecent material to minors in the first degree (Penal Law § 110.00, former § 235.22). His bench trial commenced in County Court in May 2005. The evidence primarily consisted of transcripts of the instant messages and of e-mails. Kozlow moved to dismiss the charges, arguing, among other things, that Penal Law § 235.22 applied only when a defendant’s communication to a minor involved indecent pictorial representations. County Court denied Kozlow’s motion, and ultimately convicted him on all counts.

The Appellate Division reversed defendant’s conviction and dismissed the indictment, reasoning that Kozlow’s communications could not have “depicted” sexual conduct within the meaning of Penal Law § 235.22 (1), since they included no visual, sexual images (31 AD3d 788 [2006]). A Judge of this Court granted leave to appeal, and we now reverse.

II.

In 1996, the New York State Legislature introduced statutes criminalizing the transmission of indecent material to minors over the Internet. Former Penal Law § 235.22 provided that, to be guilty of disseminating indecent material to minors in the first degree, a person must intentionally communicate by computer with a minor “knowing the character and content of the communication which, in whole or in part, *depicts* actual or simulated nudity, sexual conduct or sado-masochistic abuse, and which is harmful to minors” (former Penal Law § 235.22 [1]

[emphasis added]).¹ Additionally, the person must use the computer communication to lure a minor “to engage in sexual intercourse, oral sexual conduct or anal sexual conduct, or sexual contact with him, or to engage in a sexual performance, obscene sexual performance, or sexual conduct for his benefit” (former Penal Law § 235.22 [2] [L 2003, ch 264, § 29]). This first-degree offense was designated a class D felony.

We begin with a brief observation about the ordinary meaning of the word “depict.” While one meaning of “depict” is *represent in a picture*, and the etymology of the word lies in the Latin “pingere” (“to paint”), the word “depict” also has a standard sense of *represent or portray in words* and it has been used in that manner since the colonial era (*see* 4 Oxford English Dictionary 477 [2d ed 1989]).

Turning to legislative intent, the purpose of the New York State Legislature in enacting Penal Law § 235.22 in 1996 (*see* L 1996, ch 600, § 6) may be discerned from the range of concerns expressed by its proponents and sponsors. In the mid-1990s, law enforcement officials and legislators were alarmed by the increasing use of computers by pedophiles to contact minors. Lawmakers proposed section 235.22 partly in response to the highly publicized case of Alan Paul Barlow (*see* Governor’s Mem approving L 1996, ch 600, 1996 McKinney’s Session Laws of NY, at 1901; Letter of Westchester County District Attorney to Governor Pataki, Feb. 13, 1996, Bill Jacket, L 1996, ch 600, at 25). Posing as a 13-year-old boy, Barlow, a 51-year-old resident of Seattle, Washington, wrote sexually explicit e-mails to a 14-year-old girl in Westchester County. He was arrested in New York in June 1994 after arranging to meet the girl near her home, and was charged with endangering the welfare of a child—a misdemeanor.² The sponsors of the 1996 legislation, explaining how such incidents justified the proposed laws, described the e-mail communications they sought to criminalize

1. In March 2007, Penal Law § 235.22 (1) was amended to add the words “or describes, either in words or images” directly after the word “depicts.”

2. *See* Dennis Hevesi, *Seattle Man Charged In Sex Conversations On Electronic Mail*, New York Times, June 26, 1994, sec 1, at 28; Elsa Brenner, *Crime Moves Into New Arenas And Justice Rushes to Catch Up*, New York Times, Sept. 18, 1994, sec 13 (Westchester), at 1; Kim Murphy, *Youngsters Falling Prey to Seducers in Computer Web*, Los Angeles Times, June 11, 1995, sec A, at 1; Seattle Police Sex or Kidnapping Offender Information Bulletin regarding Alan Paul Barlow, Sept. 14, 2000, <<http://web1.seattle.gov/Police/SexOffender/DataFiles/BarlowAlanP.pdf>>, cached at <<http://www.courts.state.ny.us/reporter/webdocs/BarlowAlanP.pdf>>.

as predominantly textual. “Typically, the pedophile, posing as a minor, makes contact, wins the confidence of the minor and slowly begins to draw the victim into *discussions of sex and sexuality*.” (Senate Introducer’s Mem in Support of L 1996, ch 600, 1996 McKinney’s Session Laws of NY, at 2524 [emphasis added].)

We therefore reject defendant’s contention that the Legislature intended to limit the scope of Penal Law § 235.22 to sexual predators who use images, rather than words, to lure minors. Nowhere in the history of the statute do we find evidence of such a narrow intent. On the contrary, it is clear that the legislators intended to criminalize the activities of adults who engage minors in “sexually infused *communication*” (Senate Introducer’s Mem in Support at 2524 [emphasis added]).

Moreover, the Legislature was surely aware that a sexually explicit text may be used as a means of seduction just as effectively as a sexual image. The lawmakers observed that pedophiles first try to win the confidence of their victims (Senate Introducer’s Mem in Support at 2524); they could not have thought that this process was limited to the transmission of pornographic images. Indeed, the logic of communication dictates just the opposite—that images alone would not enable the sender to entice a minor to a meeting. Defendant’s argument, therefore, that the Legislature was seeking to criminalize the luring of a child into a sexual encounter by transmission of visual images, while leaving a loophole allowing a predator to lure a child into sex through transmission of words alone, falls of its own weight. As the Attorney General points out in his amicus brief urging reversal, such an interpretation would render the law almost useless; a recent national study suggests that only 18% of perpetrators of Internet-related sex offenses against minors transmitted sexual pictures to their victims (see Janis Wolak et al., *Internet-initiated Sex Crimes against Minors: Implications for Prevention Based on Findings from a National Study*, 35 J Adolescent Health 424.e11, 424.e16-424.e17 [2004], available at <<http://www.unh.edu/ccrc/pdf/CV71.pdf>>).

Defendant alternatively contends that the Legislature may have intended a limited proscription of transmission of visual depictions of sexuality to minors because of concern that the statute would run afoul of constitutional challenges if it applied to purely textual communications. We note, however, that the sponsors of the bill expressly mentioned several respects in which it was drafted so as to be “consistent with the recently

passed Federal Communications Decency Act and Constitutional requirements” (Senate Introducer’s Mem in Support at 2524). For example, the bill provides a defense for those who make good faith efforts to avoid contacts with minors, and the sponsors note that the accompanying definition of “harmful to minors” was intended to be consistent with Federal law (*id.* at 2524-2525).³ But nowhere do any legislators suggest that the word “depict” was chosen to ensure consistency with Federal law.

It is certainly true that the preexisting language of Penal Law § 235.21 distinguishes between a “visual representation or image . . . which depicts nudity, sexual conduct or sado-masochistic abuse” (Penal Law § 235.21 [1] [a]) and “explicit and detailed verbal descriptions or narrative accounts of sexual excitement, sexual conduct or sado-masochistic abuse” (Penal Law § 235.21 [1] [b]). The words “depicts . . . nudity, sexual conduct or sado-masochistic abuse” were repeated in the 1996 amendments, in both section 235.21 (3) and section 235.22 (1), and the corresponding language regarding verbal descriptions and narrative accounts was not used. But we cannot conceive that this outcome was the result of a deliberate decision to limit the scope of the statute to pictorial representations, at the time that it was being expanded into the multifaceted area of computer communications. On the contrary, we think it far more likely that legislators considered the word “depict” broad enough in meaning to cover a wide range of indecent materials.

Nor can defendant find refuge in *People v Foley* (94 NY2d 668 [2000], *cert denied* 531 US 875 [2000]), in which we upheld the constitutionality of Penal Law § 235.22.⁴ In that case, defendant sent pictures of minors engaging in sexual acts to a person he believed to be a 15-year-old girl, whom he met in an Internet chat room. Accordingly, the language of our opinion turned more

3. “ ‘Harmful to minors’ means that quality of any description or representation, in whatever form, of nudity, sexual conduct, sexual excitement, or sado-masochistic abuse, when it:

“(a) Considered as a whole, appeals to the prurient interest in sex of minors; and

“(b) Is patently offensive to prevailing standards in the adult community as a whole with respect to what is suitable material for minors; and

“(c) Considered as a whole, lacks serious literary, artistic, political and scientific value for minors.” (Penal Law § 235.20 [6].)

4. The Appellate Division cited *Foley* (94 NY2d at 681) in support of its holding.

than once to pedophiles' use of sexual images to lure minors (see e.g. *id.* at 681). But *Foley* does not stand for the proposition that a sexual predator must send his target sexual images in order to violate Penal Law § 235.22. Indeed, the statute was correctly construed to criminalize the use of any "sexually explicit communications" intended to lure children into sexual conduct (94 NY2d at 674 [emphasis added]).

Finally, we reject defendant's theory that Penal Law § 235.22 is void for vagueness if the word "depict" is interpreted to include textual descriptions. A legislative decision to use language that is imprecise and open-ended "does not render a statute fatally vague if that language 'conveys sufficiently definite warning as to the proscribed conduct when measured by common understanding and practices' " (*People v Shack*, 86 NY2d 529, 538 [1995], quoting *United States v Petrillo*, 332 US 1, 8 [1947]). We see no reason to depart from our holding in *Foley* that the statute is not unconstitutionally vague (94 NY2d at 680-682 [upholding section 235.22 against a vagueness challenge to subdivision (2)]).

Because the Appellate Division reversed on the basis of its ruling on the "depiction" issue, it saw no need to address the parties' other contentions. Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court for consideration of the facts and issues raised but not determined on the appeal to that Court.

SMITH, J. (dissenting). We all agree that what defendant did should be a felony. But I conclude that, unfortunately, the Legislature did not make it one until it amended the statute in 2007. I therefore dissent.

The primary meaning of "depict," in every dictionary I have consulted, is to represent by a picture (Merriam-Webster's Collegiate Dictionary 310 [10th ed 1993]; Random House-Webster's College Dictionary 363 [1991]; 4 Oxford English Dictionary 477 [2d ed 1989]). As all these dictionaries say, "depict" can also be used as a synonym for "describe," but if the Legislature intended to reach both pictures and words the obvious way to do so was to say "depicts or describes." Elsewhere in article 235 of the Penal Law, the Legislature used "depicts" alone when it was referring only to visual representations (Penal Law § 235.21 [1] [a] ["picture, photograph . . . or similar visual representation . . . which depicts"]); "descriptions" when it referred to purely verbal material (Penal Law § 235.21 [1] [b] ["verbal

descriptions or narrative accounts”]); and “depicts or describes” and “depiction or description” when it referred to both (Penal Law § 235.00 [1] [“depicts or describes in a patently offensive manner”; § 235.00 [6] [“explicit depiction or description” of certain conduct]).

From a reading of article 235 as a whole, it seems fairly clear that the Legislature was using “depicts” in its primary, narrow sense. In construing a criminal statute, we should not give it a broader interpretation than the one a reasonable reader would draw from its text (*see People v Case*, 42 NY2d 98, 101 [1977]; *People v Gottlieb*, 36 NY2d 629, 632 [1975]). It is true, as the majority points out (majority op at 558-559), that comments in the legislative history—not specifically focused on the meaning of “depicts”—show that some of the legislation’s supporters thought it would reach nonpictorial material, but this does not seem to me enough reason to reject the apparent meaning of the statute itself.

If anything, I would give more weight to the expressed views of lawyers for the State who argued, in litigation that followed the statute’s enactment, that “depicts” referred only to images, not to words. The State took this position in two cases, in which it defended the constitutionality of two sections of the 1996 legislation directed at the use of the Internet by sexual predators. The State plainly thought then that the more narrowly the statutes were read, the likelier they were to be upheld. Thus the Attorney General in *American Libs. Assn. v Pataki* (969 F Supp 160 [SD NY 1997]), and both the Attorney General and the District Attorney in *People v Foley* (94 NY2d 668 [2000]), argued that the legislation covered only images.

The State’s arguments had mixed success. Penal Law § 235.21, which prohibits disseminating certain material to a minor even where there is no attempt to engage the minor in sexual activity, was invalidated by the Federal District Court in the *American Libraries* case, and is no longer enforced. In the course of its ruling, the District Court concluded—mistakenly, I believe—that the meaning of “depicts” was not as narrow as the Attorney General said (969 F Supp at 178 n 9). On the other hand, in *Foley*, we held that the statute involved here, Penal Law § 235.22, was constitutional, and in doing so we seemed to adopt the State’s narrow reading of “depicts.” Four times in the *Foley* opinion, we described the statute as prohibiting the dissemination of “images” (94 NY2d at 676 [“prohibiting the dissemination of graphic images”], 681 [“dissemination of harmful, sexual

images’], 682 [“dissemination of a certain category of images’], 684 [“transmission of sexually graphic images’]). I acknowledge that our decision in *Foley* did not turn on the distinction between images and words, and I do not question the State’s right to change its mind. But its switch does not inspire confidence in the interpretation it now adopts.

The majority argues that the Legislature could not have intended a narrow meaning of “depicts,” because that meaning would interfere with the legislative purpose. But the Legislature had more than one purpose in 1996; and its purposes may have contradicted each other, because the Legislature chose to use identical words in describing two significantly different crimes.

The 1996 legislation added computer transmissions to the definition of the existing offense of disseminating indecent material to minors, and added “in the second degree” to that offense’s title. The second degree offense may be committed just by knowing dissemination, without any attempt to induce conduct by the minor (Penal Law § 235.21). The same legislation also created the new offense of disseminating indecent material to minors in the first degree (Penal Law § 235.22), the crime at issue here, which can be committed only by one who “importunes, invites or induces a minor to engage in” certain sexual conduct. Sending a communication that “depicts” particular material is an element of both offenses (Penal Law § 235.21 [3]; § 235.22 [1]).

The statute creating the new form of the second degree offense stood, as the *American Libraries* case was to show, on shaky constitutional ground, and the Legislature had every reason to write it as narrowly as possible in the hope of withstanding a challenge. There was no reason to be equally cautious in defining the first degree crime; indeed, I cannot see why it should not be a felony to invite a minor to have sex by means of *any* electronic communication (though even the newly-amended 2007 version of the statute does not go that far). I do not know why the 1996 Legislature chose to use the same narrow language in defining the first-degree crime that it did in defining the lesser one. But I do not believe that language reaches the admittedly heinous behavior of defendant in this case, and I think the Appellate Division was right to reverse his conviction.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur with Judge PIGOTT; Judge SMITH dissents and votes to affirm in a separate opinion in which Judge JONES concurs.

Order reversed and case remitted to the Appellate Division, Second Department, for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and issues raised but not determined on the appeal to that Court.

[869 NE2d 641, 838 NYS2d 465]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AL-
FONSO WASHINGTON, Appellant.

Argued April 26, 2007; decided June 7, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 11, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Caesar Cirigliano, J.), which had convicted defendant, after a nonjury trial, of conspiracy in the second degree.

People v Washington, 29 AD3d 362, affirmed.

HEADNOTE

Crimes — Conspiracy — Sufficiency of Evidence

Evidence that defendant had entered into an agreement with an informant to kill the intended victim and that numerous overt acts had been taken in furtherance of the agreement was legally sufficient to support defendant's conviction of conspiracy in the second degree, notwithstanding that defendant wanted the killing postponed until he was released from jail and was able to secure the money to pay for the hit. These requirements were not "conditions" negating the existence of an agreement to kill the intended victim—they were terms of the agreement. After the parties agreed upon a price, they worked out the details of the conspiracy, defendant dispatched the undercover officer posing as a hit man to locate the intended victim, and defendant coordinated with his associates outside of prison to assist in locating and identifying the intended victim. The evidence was therefore sufficient to support the conclusion by the finder of fact that an agreement had been made.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conspiracy §§ 10, 13, 15, 39–41, 44.

NY JUR 2d, Criminal Law §§ 3562, 3563, 3574, 3577, 3578,
3590.

ANNOTATION REFERENCE

See ALR Index under Conspiracy.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: conspiracy /5 second /s overt & condition

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Sara Gurwitch and Richard M. Greenberg of counsel), for appellant. I. Where Alfonso Washington explicitly stated that he did not want anything to happen to Seven—the alleged target of the conspiracy—until he, Mr. Washington, was released from jail, the undercover officer himself understood that the only agreement was for him to look for Seven, and the discussions between the undercover officer and Mr. Washington had not even progressed to the point where they discussed money, there is legally insufficient evidence of an agreement to kill Seven. (*United States v Jimenez Recio*, 537 US 270; *Iannelli v United States*, 420 US 770; *People v Caban*, 5 NY3d 143; *People v Berkowitz*, 50 NY2d 333; *United States v Wardy*, 777 F2d 101; *People v Bavisotto*, 120 AD2d 985; *People v McGee*, 49 NY2d 48; *People v Schwimmer*, 66 AD2d 91, 47 NY2d 1004; *United States v Feola*, 420 US 671; *United States v Rosenblatt*, 554 F2d 36.) II. In the alternative, there is legally insufficient evidence of an agreement to kill Seven because the purported agreement was conditioned on Alfonso Washington being released from jail—a condition he could not control and that was not likely to occur in the foreseeable future. (*United States v Melchor-Lopez*, 627 F2d 886; *United States v Anello*, 765 F2d 253; *United States v Brown*, 946 F2d 58; *United States v Palmer*, 203 F3d 55; *United States v Dworken*, 855 F2d 12; *United States v Prince*, 883 F2d 953; *United States v Podolsky*, 798 F2d 177; *United States v Feola*, 420 US 671; *Jackson v Virginia*, 443 US 307.)

Robert T. Johnson, District Attorney, Bronx (Na Na Park, Joseph N. Ferdenzi and Nancy D. Killian of counsel), for respondent. I. The evidence was legally sufficient to prove defendant entered into an agreement to hire the undercover police officer to kill Seven. (*People v Rossey*, 89 NY2d 970; *People v Bleakley*, 69 NY2d 490; *People v Ford*, 66 NY2d 428; *People v Norman*, 85 NY2d 609; *People v Deegan*, 69 NY2d 976; *People v Caban*, 5 NY3d 143; *People v Schwimmer*, 66 AD2d 91; *People v Berkowitz*, 50 NY2d 333; *People v McGee*, 49 NY2d 48; *United States v Jones*, 455 F3d 134.) II. Defendant's release from prison did not negate the preexisting conspiracy since his release was not a condition precedent to reaching an agreement, but a condition on when the killing would occur. (*People v Caban*, 5 NY3d 143; *United States v Feola*, 420 US 671; *United States v Wardy*, 777 F2d 101; *United States v Melchor-Lopez*, 627 F2d 886; *United States v Anello*, 765 F2d 253; *United States v Podolsky*, 798 F2d

177; *United States v Sharif*, 817 F2d 1375; *United States v Palmer*, 203 F3d 55; *United States v Yerli*, 857 F2d 1480; *United States v Prince*, 883 F2d 953.)

OPINION OF THE COURT

CIPARICK, J.

The question presented by this appeal is whether a conditional agreement to murder a person in the future can be subject to prosecution under our conspiracy law. In particular, we are asked to determine whether evidence presented at defendant's nonjury trial was legally sufficient to support his conviction for conspiracy in the second degree (*see* Penal Law § 105.15). We conclude that the evidence presented was sufficient to support the conviction and that the contingencies imposed did not negate the existence of a conspiratorial agreement.

Defendant, while incarcerated at Rikers Island on child endangerment and promotion of prostitution charges, confided in fellow inmate, Martin Mitchell, who, unbeknownst to defendant, was a government informant, that he was willing to pay \$5,000 to have the 14-year-old complaining witness in his child endangerment case killed. Mitchell, who was nearing release from Rikers Island, informed a New York City Police Department (NYPD) detective of his conversation with defendant. At the detective's request, Mitchell again met with defendant and told defendant that he knew of a hit man who would kill the intended victim. During this conversation defendant gave Mitchell a telephone number so that he could make contact with defendant's associates once he was released in order to arrange for the contract killing.

On August 23, 2002, Mitchell, who was now released from incarceration, visited defendant at Rikers Island. Their conversation was recorded as Mitchell was wired with a tape recorder at the request of the NYPD. During this meeting, defendant changed the intended victim of the contract killing from the complaining witness to a rival named "Seven," who had months earlier allegedly shot defendant in the head. Defendant also stated that he would now pay \$4,000 to have Seven killed and expressed optimism that he would soon be getting out of jail.

A week later, Mitchell and an undercover officer, who posed as a hit man and was equipped with a hidden tape recorder, visited defendant at Rikers Island. Defendant, Mitchell and the undercover discussed that the complaining witness was to be

left alone and that the now intended target of the killing would be Seven. In the presence of the undercover, Mitchell told defendant that they would charge \$4,000 for the hit. Defendant instructed the undercover to telephone coconspirator Crystal Rhodes to obtain information on contacting another of defendant's associates named Kenny so they could discuss the plan for killing Seven. Defendant wrote Rhodes's telephone number on a piece of paper for the undercover.

As defendant instructed, the undercover called Rhodes, who provided two telephone numbers to contact Kenny. The undercover called both numbers and an unidentified female answered and informed him that Kenny was unavailable. During the second call, the undercover discovered that Kenny was currently incarcerated.

On September 9, 2002, the undercover again called Rhodes, who attempted a three-way call with herself, defendant and the undercover, but because of a technical difficulty the three-way call was not established. Rhodes then relayed messages back and forth between the undercover and defendant. The undercover advised defendant that Kenny was presently incarcerated, at which time defendant agreed to have the undercover visit him the following Friday at Rikers Island.

On September 13, 2002, the undercover, who was again equipped with a tape recorder, returned to Rikers Island for another visit with defendant. During that conversation, defendant instructed the undercover to "[j]ust hold the girl" and, in regard to the other intended victim, to "wait [until he] g[o]t out . . . because [he wanted to] put [his] hands on some major money." The undercover inquired as to the identity of the intended victim, and defendant replied: "The one that I want done . . . [is the one] who got me set up for the shot. I was shot right here in the head . . . [His name is] Seven." Defendant further stated that he knew that Seven lived in Manhattan, but did not know the exact address; defendant then gave a general description of the location of Seven's apartment. Defendant also described Seven as being "six-one, six-two, slender build, real dark . . . [n]o gold teeth." Defendant continued: "When you [are] in jail, you ain't got nothin[g] . . . [H]ere, take this thousand dollars.' I can't do that in jail, there's no money in my pocket in jail . . . all I got is my word." Defendant goes on to state that: "If I say its gonna happen, [you] know, to the best of my abilities, if it didn't happen, it means I got shot again or

something . . . [s]omething to really prevent it from happening . . . I really want him bad.”¹

Additionally, during this visit, defendant stated that he will “try to keep a tab on [Seven]” and the undercover stated that he will “open [his] eyes and go out lookin[g].” Defendant further stated that a woman he knows, Rabia Walker, “runs into him every now and then” and that “she could show [the undercover] the building” where Seven lives. The undercover then told defendant that he would take pictures of individuals fitting Seven’s description at the building where Seven supposedly lived and show them to Walker for a positive identification. On September 20, 2002, the undercover spoke to Rhodes by telephone. Rhodes indicated that she was aware of the plan to have him take pictures of individuals matching Seven’s description and that the pictures would be presented to Walker for identification. Rhodes then gave the undercover Walker’s telephone number.

On September 22, 2002, the undercover called Walker, who acknowledged that she too knew of the plan to kill Seven and that she was to identify Seven from pictures that he would show her. The next day, the undercover telephoned Walker, at which time she stated that “there’ll be no payments made or anything because [defendant] doesn’t want anything done until he comes home.” Shortly thereafter, defendant was arrested and charged with conspiracy in the second degree.

After a nonjury trial, Supreme Court decided that defendant and Mitchell entered into an agreement to fulfill defendant’s intention to eliminate Seven. Supreme Court also found that “there were overt acts sufficient in this case as to constitute the legal prerequisite for a conspiracy in the second degree.” The Appellate Division unanimously affirmed, holding that “the agreement to kill the intended victim remained firm, notwithstanding that defendant wanted the killing postponed [and that] evidence also established numerous overt acts in furtherance of the agreement, including steps taken to enable the hired killer to locate and identify the intended victim” (29 AD3d 362, 362-363 [2006]). A Judge of this Court granted leave to appeal, and we now affirm.

1. Defendant considered having Seven killed while Seven was incarcerated at Rikers Island at the same time as defendant; however, Seven was apparently released on bail before defendant could have him killed. Defendant, while reminiscing with Mitchell about the lost opportunity, stated that “it would be cheaper to get it done in jail anyway . . . 5 or 6 hundred [dollars] as opposed to the 4 thousand [dollars] I was gonna pay in the streets.”

Analysis

Defendant argues that the evidence against him was legally insufficient to support a finding that he entered into an agreement to kill Seven since he conditioned any action on his release from jail, he did not enter into an agreement to have Seven killed but only found and identified, and that there was no agreement since he and the undercover never discussed price. The People argue that under a sufficiency standard,² there was ample evidence offered at trial that proved that defendant entered into an agreement to kill Seven, overt acts in furtherance of that goal were committed and defendant did not place a condition on the agreement that prevented the formation of the agreement itself to kill Seven.

Section 105.15 of the Penal Law provides that “[a] person is guilty of conspiracy in the second degree when, with intent that conduct constituting a class A felony be performed, he agrees with one or more persons to engage in or cause the performance of such conduct.” Furthermore, it is well settled that “[a] conspiracy consists of an agreement to commit an underlying substantive crime . . . , coupled with an overt act committed by one of the conspirators in furtherance of the conspiracy” (*People v Caban*, 5 NY3d 143, 149 [2005]).

We are here presented with the question whether conditions placed on an agreement can negate the existence of a conspiracy. The federal circuit courts provide some guidance in this regard since they have considered whether a purported agreement that is conditioned by a defendant can be considered an agreement to commit an unlawful act under conspiracy law. The First and Eighth Circuits have adopted the approach that an agreement with a condition will be effective only if the defendant subjectively believes the condition is likely to be fulfilled (*United States v Anello*, 765 F2d 253, 262 [1st Cir 1985]; *United States v Brown*, 946 F2d 58, 61 [8th Cir 1991]). The Appellate Division here relied upon the First Circuit’s holding in *United States v Palmer* (203 F3d 55, 64 [1st Cir 2000]), which followed *Anello*, where the federal court held that “[l]iability should attach if the defendant reasonably believed that the conditions

2. The standard for determining legal sufficiency “is whether the evidence, viewed in the light most favorable to the People, could lead a rational trier of fact to conclude that the elements of the crime had been proven beyond a reasonable doubt” (*People v Rossey*, 89 NY2d 970, 971 [1997]; see also *People v Bleakley*, 69 NY2d 490, 495 [1987]). All reasonable inferences must be drawn in the People’s favor (see *People v Ford*, 66 NY2d 428, 437 [1985]).

would obtain.” In *Anello*, the defendant had conditioned his purchase of marijuana on its quality. The defendant, however, proceeded with obtaining the funds to purchase the drugs in anticipation that his quality concerns would be met. The court found “that the ‘quality’ condition was unlikely to prove a serious impediment” (*Anello*, 765 F2d at 263) to the formation of the agreement to purchase the marijuana, since the defendant subjectively believed that the condition would be fulfilled and, as such, proceeded to fulfill his obligations under the agreement.

Three other circuits take a different approach, holding that conditions to an agreement are legally irrelevant (*see United States v Grassi*, 616 F2d 1295, 1302 [5th Cir 1980]; *United States v Prince*, 883 F2d 953, 958 [11th Cir 1989]), unless the conditions are so unlikely to be met that the agreement is illusory (*United States v Podolsky*, 798 F2d 177, 179 [7th Cir 1986]). We need not go as far as this to resolve this case; even under the *Anello*, *Palmer* and *Brown* test, defendant’s conviction would be upheld. Defendant reasonably believed the condition to the execution of the planned murder—his release from prison—would occur.

Defendant asks us to reject all the federal cases just cited in favor of *United States v Melchor-Lopez* (627 F2d 886, 891 [9th Cir 1980]), which he reads as holding that there is no legally effective agreement if conditions are set but not fulfilled. This is a misreading of *Melchor-Lopez*, which involved not a conditional agreement but the absence of any agreement. In *Melchor-Lopez*, “government agents produced \$80,000 in an effort to induce Melchor-Lopez to bring heroin into the United States for sale, [but] he steadfastly refused to agree to any such transaction, insisting that any transfer would have to be made in San Luis, Mexico” (627 F2d at 889). The Ninth Circuit held that “the evidence fell far short of showing an agreement because [the defendant] firmly insisted on certain conditions unacceptable to his would-be co-conspirators” (627 F2d at 891). *Melchor-Lopez* thus stands for the proposition that “conditions” demanded by a party which are “unacceptable” to the other party may create an inability for the parties to enter into an agreement.

Here, neither party imposed a condition on entry into the agreement that was unacceptable to the other. Similarly, we have previously held that an “agreement” to murder a victim is effectuated when the coconspirators *accept* the defendant’s

invitation to kill the victim (*see Caban*, 5 NY3d at 149). Thus, the determinative factor is whether there was an agreement—not whether agreed-upon conditions made the performance of the agreement contingent upon the happening of an event.

Here, the conditions that defendant imposed on the performance of the agreement—to commit a murder—were that nothing was to happen to Seven until defendant was released from jail and was able to secure money to pay for the hit. These requirements were not “conditions” negating the existence of an agreement to kill Seven—they were terms of the agreement. In other words, defendant’s wish to delay the killing and payment until he was released from prison was not a demand in negotiations that prevented the parties from reaching the agreement to kill Seven, but a temporal component of the agreement accepted by both parties.

A conspiratorial agreement will be found where there is a “concrete and unambiguous . . . expression of [defendant’s] intent to violate the law” (*Caban*, 5 NY3d at 149, quoting *People v Schwimmer*, 66 AD2d 91, 95 [2d Dept 1978], *affd* 47 NY2d 1004 [1979] *for reasons stated below*). Both Mitchell’s and the undercover’s testimony reveal that defendant entered into an agreement to commit the underlying substantive crime of murder in the first degree, and that there were overt acts committed in furtherance of that goal (*see Caban*, 5 NY3d at 149).

Defendant also proposes that since the amount to be paid to the undercover was not agreed upon there could be no conspiratorial agreement. Clearly, there was evidence that the parties agreed upon the price. In the initial meeting between defendant and Mitchell, defendant mentioned a \$4,000 price, and defendant could not have doubted that Mitchell had passed that number on to the undercover (the supposed hit man). Moreover, at a later meeting in the presence of the undercover, Mitchell repeated that figure to defendant as the price for the hit, and defendant responded, “[y]eah, yeah, yeah.” Thereafter, the parties worked out the details of the conspiracy, defendant dispatched the undercover to locate the intended victim, and defendant coordinated with his associates outside of prison to assist in locating and identifying the intended victim. The evidence was therefore sufficient to support the conclusion by the finder of fact that an agreement had been made.

Therefore, viewing the evidence in a light most favorable to the People and drawing all reasonable inferences in their favor as we must, we conclude that defendant's conviction was supported by the evidence presented at trial.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[869 NE2d 636, 838 NYS2d 460]

STATE OF NEW YORK et al., Appellants, v PHILIP MORRIS INCORPORATED et al., Defendants. COMMONWEALTH BRANDS, INC., et al., Nonparty Respondents.

Argued May 1, 2007; decided June 7, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 6, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.), which had denied a motion by nonparty respondents Commonwealth Brands, Inc., King Maker Marketing, Inc. and Sherman 1400 Broadway N.Y.C., Inc. to compel arbitration, and (2) granted the motion.

State of New York v Philip Morris Inc., 30 AD3d 26, affirmed.

HEADNOTE

Arbitration — Matters Arbitrable — Payments Owed by Tobacco Companies under Tobacco Litigation Settlement

Pursuant to the tobacco litigation Master Settlement Agreement (MSA), in which the tobacco manufacturers agreed to make annual payments to the Settling States as reimbursement for health-care costs associated with tobacco use, arbitration of a dispute as to whether the Independent Auditor designated in the MSA properly calculated a payment owed by the movants, which joined in the settlement as Subsequent Participating Manufacturers (SPMs), was required. The parties to the MSA agreed that “[a]ny dispute, controversy or claim arising out of or relating to calculations performed by, or any determination made by, the Independent Auditor” would be subject to arbitration. Thus, all claims that had a connection with the Independent Auditor’s calculations and determinations were arbitrable. Accordingly, the questions of whether New York enacted and diligently enforced a Qualifying Statute requiring Non-Participating Manufacturers to make annual payments toward the costs of treating smoking-related illnesses equivalent to those made by Participating Manufacturers (PMs), and whether it was correctly spared the Non-Participating Manufacturer adjustment reducing PM payments, were arbitrable.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 8, 70, 120.
NY JUR 2d, Arbitration and Award § 8; Health and Sanitation § 103.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Tobacco and Tobacco Products.

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/s auditor

POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, New York City (Richard Dearing, Barbara D. Underwood and Daniel Smirlock of counsel), for appellants. I. The Master Settlement Agreement charges courts, not arbitrators, with determining whether a state has diligently enforced its escrow statute. (*Credit Suisse First Boston Corp. v Pitofsky*, 4 NY3d 149; *Matter of R. H. Macy & Co. [National Sleep Prods.]*, 39 NY2d 268; *PNE Media v Cistrone*, 294 AD2d 143; *Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39; *Matter of Weinrott [Carp]*, 32 NY2d 190; *Matter of Solkav Solartechnik, G.m.b.H. [Besicorp Group]*, 91 NY2d 482; *Matter of Primex Intl. Corp. v Wal-Mart Stores*, 89 NY2d 594; *Matter of United Nations Dev. Corp. v Norkin Plumbing Co.*, 45 NY2d 358; *McDonnell Douglas Fin. Corp. v Pennsylvania Power & Light Co.*, 858 F2d 825; *Gangel v DeGroot*, 41 NY2d 840.) II. The Independent Auditor's failure to apply a Non-Participating Manufacturer adjustment on a provisional basis in March 2004 is not arbitrable. (*Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39.)

Kirkland & Ellis LLP, Chicago, Illinois and New York City (Stephen R. Patton, Peter A. Bellacosa and Douglas G. Smith of counsel), DLA Piper Rudnick Gray Cary US LLP, New York City (Alexander Shaknes of counsel), and Weil, Goshal & Manges LLP (Penny P. Reid of counsel) for Philip Morris Incorporated and others, defendants. I. The Appellate Division correctly held that the plain language of the Master Settlement Agreement requires that the present dispute be arbitrated. (*Colins & Aikman Prods. Co. v Building Sys., Inc.*, 58 F3d 16; *Matter of United Nations Dev. Corp. v Norkin Plumbing Co.*, 45 NY2d 358; *Pearl St. Dev. Corp. v Conduit & Found. Corp.*, 41 NY2d 167; *Fleet Tire Serv. of N. Little Rock v Oliver Rubber*, 118 F3d 619; *Matter of Potoker [Brooklyn Eagle]*, 286 App Div 733; *CBA Indus. v Circulation Mgt.*, 179 AD2d 615; *Ross Bros. Constr. Co., Inc. v International Steel Servs., Inc.*, 283 F3d 867; *Coregis Ins. Co. v American Health Found., Inc.*, 241 F3d 123; *CD Partners, LLC v Grizzle*, 424 F3d 795; *Vermont Pure Holdings, Ltd. v Descartes Sys. Group, Inc.*, 140 F Supp 2d 331.) II. The Appellate Division correctly held that the structure of the

Master Settlement Agreement's payment provisions compels arbitration. III. The State of New York does not even purport to overcome the well-settled presumption in favor of arbitration. (*Oldroyd v Elmira Sav. Bank, FSB*, 134 F3d 72; *Mitsubishi Motors Corp. v Soler Chrysler-Plymouth, Inc.*, 473 US 614; *AT&T Technologies, Inc. v Communications Workers*, 475 US 643; *Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39; *Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.*, 37 NY2d 91; *Lynch v United States*, 292 US 571; *C & L Enterprises, Inc. v Citizen Band Potawatomi Indian Tribe of Okla.*, 532 US 411; *Chevron U.S.A. Inc. v Consolidated Edison Co. of N.Y., Inc.*, 872 F2d 534; *Ivax Corp. v B. Braun of Am., Inc.*, 286 F3d 1309; *International Bhd. of Elec. Workers, Local 2188 v Western Elec. Co., Inc.*, 661 F2d 514.)

Howrey LLP, Washington, D.C. (Robert J. Brookhiser and Elizabeth B. McCallum of counsel), and *Leader & Berkon LLP*, New York City (Joseph G. Coleo and Joshua K. Leader of counsel), for nonparty respondents. I. The First Department correctly held that the Master Settlement Agreement's plain language requires arbitration. (*Fleet Tire Serv. of N. Little Rock v Oliver Rubber Co.*, 118 F3d 619; *Matter of Potoker [Brooklyn Eagle]*, 286 App Div 733, 2 NY2d 553; *Ross Bros. Constr. Co., Inc. v International Steel Servs., Inc.*, 283 F3d 867; *Matter of United Nations Dev. Corp. v Norkin Plumbing Co.*, 45 NY2d 358; *Pearl St. Dev. Corp. v Conduit & Found. Corp.*, 41 NY2d 167; *Matter of Trump [Carmel Fifth]*, 303 AD2d 287; *CBA Indus. v Circulation Mgt.*, 179 AD2d 615; *Collins & Aikman Prods. Co. v Building Sys., Inc.*, 58 F3d 16; *Matter of Manhattan Pizza Hut v New York State Human Rights Appeal Bd.*, 51 NY2d 506; *Green v City of New York*, 465 F3d 65.) II. The First Department correctly rejected the State of New York's request that it rewrite the arbitration provision to insert limitations and exceptions it does not contain. (*R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29; *Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith*, 85 NY2d 173; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Ruttenberg v Davidge Data Sys. Corp.*, 215 AD2d 191; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *In re Mansion House Ctr. S. Redevelopment Co.*, 661 F2d 724; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *People v Kohl*, 72 NY2d 191; *McDonnell Douglas Fin. Corp. v Pennsylvania Power & Light Co.*, 858 F2d 825; *Fit Tech, Inc. v Bally Total Fitness Holding Corp.*, 374 F3d 1.) III. The First Department correctly held that the Master Settlement Agreement's payment structure compels arbitration. (*Mat-*

ter of Aimcee Wholesale Corp. [Tomar Prods.], 21 NY2d 621; *Gaynor v Rockefeller*, 15 NY2d 120; *College Savings Bank v Florida Prepaid Postsecondary Ed. Expense Bd.*, 527 US 666; *Pennhurst State School & Hospital v Halderman*, 465 US 89; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Flagg v Nichols*, 307 NY 96; *Maloney v Hearst Hotels Corp.*, 274 NY 106.) IV. If there were any question as to arbitrability, it would be resolved by the rule that doubts must be resolved in favor of arbitration. (*Collins & Aikman Prods. Co. v Building Sys., Inc.*, 58 F3d 16; *Mitsubishi Motors Corp. v Soler Chrysler-Plymouth, Inc.*, 473 US 614; *Moses H. Cone Memorial Hospital v Mercury Constr. Corp.*, 460 US 1; *Volt Information Sciences, Inc. v Board of Trustees of Leland Stanford Junior Univ.*, 489 US 468; *AT&T Technologies, Inc. v Communications Workers*, 475 US 643; *WorldCrisa Corp. v Armstrong*, 129 F3d 71; *CPR [USA] Inc. v Spray*, 187 F3d 245; *McDonnell Douglas Fin. Corp. v Pennsylvania Power & Light Co.*, 858 F2d 825; *Chevron U.S.A. Inc. v Consolidated Edison Co. of N.Y., Inc.*, 872 F2d 534; *Ivax Corp. v B. Braun of Am., Inc.*, 286 F3d 1309.) V. The First Department correctly held that disputes relating to the Non-Participating Manufacturer adjustment must be arbitrated. (*Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith*, 85 NY2d 173.)

OPINION OF THE COURT

PIGOTT, J.

In 1998, the Attorneys General of 46 states (including New York) and five island territories and the Corporation Counsel of the District of Columbia signed a Master Settlement Agreement (MSA) with counsel for the largest tobacco manufacturers in the United States. The MSA was approved, as to New York State, by Supreme Court. The claims brought against the tobacco manufacturers included wrongful marketing and advertising of cigarettes and other tobacco products. Various states sought damages based on the costs of treating smoking-related illnesses. In exchange for a release of liability, the tobacco manufacturers agreed to make annual payments, to be allocated among the Settling States. They also agreed to extensive marketing and advertising restrictions. The Original Participating Manufacturers, as they are known, were later joined by more than 40 smaller tobacco companies, referred to as the Subsequent Participating Manufacturers (SPMs), including movants Commonwealth Brands, Inc. (Commonwealth),

King Maker Marketing, Inc. (King Maker), and Sherman 1400 Broadway N.Y.C., Inc. (Sherman). Lengthy and careful negotiations preceded execution of the MSA.

Not all U.S. tobacco manufacturers have joined the MSA. In order to neutralize cost disadvantages suffered by the Participating Manufacturers (PMs) relative to Non-Participating Manufacturers (NPMs), the MSA provides the Settling States with a strong incentive to enact statutes requiring NPMs to make annual payments toward the costs of treating smoking-related illnesses equivalent to those made by the PMs. The MSA sets out a Model Statute, which, if appropriately enacted, “shall constitute a Qualifying Statute.”¹ If a Settling State fails to enact, or does not diligently enforce, a Qualifying Statute, PM payments to that state may be subject to the Non-Participating Manufacturer adjustment (NPM adjustment).

In brief, NPM adjustment can be applied to reduce PM payments to a Settling State if (1) PMs collectively lost market share to NPMs in the preceding year² and (2) disadvantages resulting from the MSA were a “significant factor” contributing to that loss. But payment to a Settling State is *not* subject to the NPM adjustment

“if such Settling State continuously had a Qualifying Statute . . . in full force and effect during the entire calendar year immediately preceding the year in which the payment in question is due, and diligently enforced the provisions of such statute during such entire calendar year.”

Settling States that have diligently enforced their respective Qualifying Statutes are not subject to the NPM adjustment; instead, the adjustment is to be reallocated pro rata among Settling States that are subject to the NPM adjustment, reducing the payments they receive. A decision regarding one Settling State’s enforcement of its Qualifying Statute could therefore potentially affect the calculation of amounts due to all other Settling States.

The MSA provides that

“an Independent Auditor shall calculate and deter-

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1. New York enacted Public Health Law article 13-G.
 2. The aggregate market share of the PMs is compared with their aggregate market share for the base year 1997. If the aggregate market share has decreased by more than 2% there is a “Market Share Loss.”

mine the amount of all payments owed pursuant to [the MSA], the adjustments, reductions and offsets thereto (and all resulting carry-forwards, if any), the allocation of such payments, adjustments, reductions, offsets and carry-forwards among the Participating Manufacturers and among the Settling States, and shall perform all other calculations in connection with the foregoing.”

The Independent Auditor “shall be a major, nationally recognized, certified public accounting firm.” PricewaterhouseCoopers LLP is currently the Independent Auditor.

The Independent Auditor is responsible for determining whether or not PMs collectively lost market share to NPMs. If there is such a loss, “a nationally recognized firm of economic consultants (the ‘Firm’)” will determine whether disadvantages resulting from the MSA were a significant factor contributing to the loss; its determination is “final and non-appealable.” To allow the Independent Auditor to reach a determination about the NPM adjustment before the Firm makes its decision regarding the significant factor condition, the MSA authorizes the Independent Auditor, when information necessary for a determination is missing and not readily available to a party, to “employ an assumption as to the missing information producing the minimum amount that is likely to be due with respect to the payment in question.”

The courts that approved the MSA retain jurisdiction to decide disputes about it, as to their respective Settling States, except as otherwise provided. At issue in this case is one of the exceptions, an arbitration provision governing the resolution of disputes about the Independent Auditor’s calculations and determinations:

“Any dispute, controversy or claim arising out of or relating to calculations performed by, or any determinations made by, the Independent Auditor (including, without limitation, any dispute concerning the operation or application of any of the adjustments, reductions, offsets, carry-forwards and allocations described in subsection IX (j) or subsection XI (i)) shall be submitted to binding arbitration before a panel of three neutral arbitrators, each of whom shall be a former Article III federal judge. Each of the two sides to the dispute shall select one arbitrator. The two arbitrators so selected shall

select the third arbitrator. The arbitration shall be governed by the United States Federal Arbitration Act.”

In March 2004, the Independent Auditor issued preliminary and final notices of calculation for payments due from the PMs for 2003. It determined that the PMs had suffered a market share loss and, employing the “missing information” provision, assumed that disadvantages brought on by the MSA were a significant factor contributing to this loss.³ But the Independent Auditor declined to apply the NPM adjustment, rejecting a request from the movants to do so. Citing information provided by the National Association of Attorneys General that all Settling States had enacted Model Statutes represented to be “in full force and effect,” the Independent Auditor concluded that “no possible NPM adjustment is allocated to PMs.”

Three SPMs—Commonwealth, King Maker and Sherman—moved in Supreme Court to compel arbitration. Movants disputed the Independent Auditor’s refusal to apply the NPM adjustment, asserting that it had no right to presume diligent enforcement of Qualifying Statutes. Supreme Court denied the motion. The movants appealed. The Appellate Division reversed and ordered the motion to be granted (30 AD3d 26 [2006]). We granted the State leave to appeal, and now affirm.

The plain language of the MSA compels arbitration. The parties to the MSA agreed that “[a]ny dispute, controversy or claim arising out of or *relating to* calculations performed by, or any determinations made by, the Independent Auditor” (emphasis added) will be subject to arbitration. By using the expansive words “any” and “relating to,” the MSA makes explicit that all claims that have a connection with the Independent Auditor’s calculations and determinations are arbitrable.

We discern no intent to limit arbitration to *review* of calculations performed or decisions reached by the Independent Auditor. Therefore, the State’s contention that the Independent Auditor did not reach a “determination” about diligent enforcement of Qualifying Statutes when it concluded that no NPM adjustment was possible is not pertinent. The movants’ asser-

3. In March 2006, the Firm determined that disadvantages resulting from the MSA *were* a significant contributory factor.

tions—that the Independent Auditor should not have presumed that New York diligently enforced its Qualifying Statute and therefore wrongly declined to allocate the NPM adjustment—constitute claims “relating to” the Independent Auditor’s calculations and determinations. The arbitration provision therefore “expressly and unequivocally encompasses the subject matter of the particular dispute” (*Bowmer v Bowmer*, 50 NY2d 288, 293-294 [1980]).

We find especially compelling the parenthetical clause in the arbitration provision giving examples of arbitrable disputes: “including, *without limitation*, any dispute concerning the operation or application of any of the adjustments, reductions, offsets, carry-forwards and allocations described in subsection IX (j) or subsection XI (i)” (emphasis added). The language is expansive and the examples are telling. MSA subsection IX (j) gives the “Order of Application of Allocations, Offsets, Reductions and Adjustments” by the Independent Auditor, and among the listed adjustments is the NPM adjustment.

It is true that the signatories did not intend to refer all disputes about the MSA to arbitration. The arbitration clause is limited to disputes connected with the Independent Auditor’s calculations and determinations while at the same time it is expansive within that boundary. Such an arbitration clause is misleadingly called broad. Nevertheless, the movants’ claims fall within its purview.

Our plain language interpretation of the arbitration provision is consistent with the use of arbitration “as a means of conserving the time and resources of the courts and the contracting parties” (*Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39, 49 [1997], quoting *Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.*, 37 NY2d 91, 95 [1975]). We note that the arbitration provision occurs in a settlement agreement, and that it is the nature of a settlement to eliminate unpredictable litigation. In this regard, we agree with the Appellate Division that there is fairness to all parties in a “mechanism of submitting disputes involving the decisions of the Independent Auditor to a neutral panel of competent arbitrators, who are guided by one clearly articulated set of rules that apply universally in a process where all parties can fully and effectively participate” (30 AD3d at 32-33).

We therefore conclude that the questions whether New York enacted and diligently enforced a Qualifying Statute and

whether it was correctly spared the NPM adjustment are arbitrable.⁴

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

4. All but one of the MSA and appellate courts deciding this issue agree that the MSA compels arbitration. The sole exception is *State of North Dakota v Philip Morris, Incorporated [et al.]* (ND Dist Ct, County of Cass, July 18, 2006, File No. 09-98-C-03778). The highest courts of Connecticut and Massachusetts have expressly endorsed the Appellate Division's reasoning (*see State v Philip Morris, Inc.*, 279 Conn 785, 905 A2d 42 [2006]; *Commonwealth v Philip Morris Inc.*, 448 Mass 836, 864 NE2d 505 [2007]).

[870 NE2d 124, 838 NYS2d 806]

MANUFACTURER'S & TRADERS TRUST COMPANY, Named in the Relevant Escrow Agreements as MANUFACTURER'S & TRADERS BANK, Plaintiff, v RELIANCE INSURANCE COMPANY et al., Defendants, O'BRIEN & GERE TECHNICAL SERVICES, INC., et al., Appellants, and FRU-CON/FLUOR DANIEL JOINT VENTURE, Respondent.

Argued March 28, 2007; decided May 3, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 17, 2006. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Onondaga County (Anthony J. Paris, J.), which had granted the motion of defendant Fru-Con/Fluor Daniel Joint Venture for judgment against defendants O'Brien & Gere Technical Services, Inc., Cives Corporation and Cives Steel Company, Mid-South Division, jointly and severally, in the amount of \$949,506.83.

Manufacturer's & Traders Trust Co. v Reliance Ins. Co., 27 AD3d 1064, reversed.

HEADNOTE

Interest — Preverdict Interest — Award of Interest Not Authorized against Unsuccessful Claimants in Interpleader Action

Where subcontractors on a construction project asserted claims to a fund which had been deposited by the general contractor with an escrow agent, who then commenced an interpleader action which resulted in the funds being deposited with the court clerk, there was no "sum awarded" against the subcontractors when it was determined that the amount remaining in the fund was to be returned to the general contractor, and thus no predicate for an award of interest against them. CPLR 1006 (f) provides for an award of interest against a stakeholder in an interpleader action up to the time of discharge, but not against unsuccessful claimants. Neither was an interest award authorized by CPLR 5001 (a), which provides for interest "upon a sum awarded"—implying that the interest must be paid by the party against whom the sum was awarded. The subcontractors received no benefit that would justify requiring them to pay interest. Moreover, the subcontractors were not found to have breached any contract or to have interfered unlawfully with the possession or enjoyment of any property within the meaning of CPLR 5001 (a).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Damages §§ 462, 472, 479; AM JUR 2d, Interest and Usury §§ 41, 42.

CARMODY-WAIT 2d, Interpleader §§ 40:44, 40:55;

CARMODY-WAIT 2d, Judgments §§ 63:68, 63:85.

McKINNEY's, CPLR 1006 (f); 5001 (a).

NY JUR 2d, Damages §§ 118, 121, 123; NY JUR 2d, Interest and Usury § 15; NY JUR 2d, Parties §§ 77, 83.

SIEGEL, NY PRAC §§ 148, 411, 412.

ANNOTATION REFERENCE

See ALR Index under Interest on Money; Interpleader.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: interest /s interpleader /s unsuccessful

POINTS OF COUNSEL

Harter Secrest & Emery LLP, Rochester (*Richard E. Alexander* and *A. Paul Britton* of counsel), for Cives Corporation and another, appellants. I. A court has no discretion to award “interest” against a party that committed no tort and breached no contract, and against which no damage award has been made. (*De Long Corp. v Morrison-Knudsen Co.*, 14 NY2d 346; *Keating v Astor Theatre Corp.*, 277 App Div 52; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Amoco Transp. Co. v Dietze, Inc.*, 582 F Supp 804; *Reliable Mar. Boiler Repair, Inc. v Mastan Co.*, 325 F Supp 58.) II. Awards of “interest” in interpleader actions are governed by CPLR 1006 (f); the lower court had no discretion to make an “interest” award against an unsuccessful interpleader claimant. (*Matter of Janes*, 90 NY2d 41; *Matter of Aaron J.*, 80 NY2d 402; *People v Mobil Oil Corp.*, 48 NY2d 192; *People v Lawrence*, 64 NY2d 200.) III. Fru-Con/Fluor Daniel Joint Venture was not entitled to “interest” simply because it was a prevailing party; the ruling below will discourage legitimate access to the courts. (*Chapel v Mitchell*, 84 NY2d 345; *Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12.) IV. Alternatively, Cives Corporation should not in any event be jointly and severally liable for all the interest represented in the judgment. (*Matter of Seagroatt Floral Co. [Riccardi]*, 78 NY2d 439; *Ravo v Rogatnick*, 70 NY2d 305; *Said v Assaad*, 289 AD2d 924; *Martinetti v Town of New Hartford Police Dept.*, 307 AD2d 735; *Larson v Albany Med. Ctr.*, 252 AD2d 936; *Brawdy v National Grange Mut. Ins. Co.*, 207 AD2d 1019; *Matter of Przydatek v New York State Off. of Children & Family Servs.*, 13 AD3d 1102.)

Frank A. Bersani, Jr., Syracuse, for O'Brien & Gere Technical

Services, Inc., appellant. I. The joint venture has failed to present any statutory basis for an extra-res award of interest in an interpleader action. (*Keating v Astor Theatre Corp.*, 277 App Div 52; *Bankers Trust Co. v Hogan*, 196 AD2d 469.) II. The Supreme Court was in error to hold O'Brien & Gere Technical Services, Inc. (OBG) liable for interest because OBG did not breach its contract with Fru-Con/Fluor Daniel Joint Venture, nor did it interfere with the property of the Joint Venture. (*Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170; *Matter of Meloni v Goord*, 267 AD2d 977; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577.)

Gresens & Gillen LLP, Buffalo (*Patricia Gillen* and *James W. Gresens* of counsel), for respondent. As to: Cives Corporation and Cives Steel Company, Mid-South Division. I. Legal issues not raised before the trial court are not preserved for appeal before this Court and should not be considered. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Telaro v Telaro*, 25 NY2d 433; *Freytag v Commissioner*, 501 US 868.) II. Supreme Court providently exercised its discretion under CPLR 5001 (a) when it awarded interest to compensate the Fru-Con/Fluor Daniel Joint Venture for the loss of its funds for over four years due to the actions of O'Brien & Gere Technical Services, Inc. and Cives Corporation and Cives Steel Company, Mid-South Division. (*Hynes v Iadarola*, 221 AD2d 131; *Zies v New York Life Ins. Co.*, 237 App Div 367; *Perlman v East Annadale Beach Corp.*, 233 App Div 599; *Dagood Holding Corp. v Rosenbluth*, 231 App Div 470; *Amoco Transp. Co. v Dietze, Inc.*, 582 F Supp 804; *Septembertide Publ., B.V. v Stein & Day, Inc.*, 884 F2d 675; *Selinger v Selinger*, 250 AD2d 752; *Burrows v Burrows*, 270 AD2d 871; *Matter of Dow*, 55 AD2d 323.) III. Interest was also properly awarded under CPLR 5001 (a) because Cives Corporation and Cives Steel Company, Mid-South Division interfered with the return of Fru-Con/Fluor Daniel Joint Venture's funds. (*Craig Test Boring Co., Inc. v Saudi Arabian Airlines Corp.*, 138 F Supp 2d 553; *Spodek v Park Prop. Dev. Assoc.*, 279 AD2d 467; *Spector v Mermelstein*, 485 F2d 474; *Arigo v Abbott & Cobb*, 86 AD2d 958; *De Long Corp. v Morrison-Knudsen Co.*, 14 NY2d 346; *Loeb v Teitelbaum*, 112 Misc 2d 1039; *Flamm v Noble*, 296 NY 262; *Nu-Life Constr. Corp. v Board of Educ. of City of N.Y.*, 789 F Supp 103; *Hunt v Hunt*, 13 AD3d 1041; *Eighteen Holding Corp. v Drizin*, 268 AD2d 371.) IV. The award of interest is not governed by, and does not offend or vitiate the purpose of, CPLR 1006. (*Matter of Burger King v State Tax Commn.*, 51 NY2d 614; *Matter of Tyson v Roswell Park Cancer Inst. Corp.*, 4 Misc

3d 556; *People v Sagesse*, 13 Misc 3d 435; *People v Lawrence*, 64 NY2d 200; *Schieffelin v Craig*, 183 App Div 515.) As to: O'Brien & Gere Technical Services, Inc. I. Supreme Court providently exercised its discretion under CPLR 5001 (a) when it awarded interest to compensate Fru-Con/Fluor Daniel Joint Venture for the loss of its funds for over four years due to the actions of O'Brien & Gere Technical Services, Inc. and Cives Corporation and Cives Steel Company, Mid-South Division. (*Hynes v Iadarola*, 221 AD2d 131; *Clark v Mosher*, 107 NY 118; *Zies v New York Life Ins. Co.*, 237 App Div 367; *Amoco Transp. Co. v Dietze, Inc.*, 582 F Supp 804; *Septembertide Publ., B.V. v Stein & Day, Inc.*, 884 F2d 675; *Perlman v East Annadale Beach Corp.*, 233 App Div 599; *Dagood Holding Corp. v Rosenbluth*, 231 App Div 470; *Selinger v Selinger*, 250 AD2d 752; *Burrows v Burrows*, 270 AD2d 871; *Matter of Dow*, 55 AD2d 323.) II. Supreme Court was well within its discretion to apply the rate of 9% for its award of interest under CPLR 5001 (a). (*Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *City of Buffalo v Clement Co.*, 28 NY2d 241.) III. Interest was also properly awarded under CPLR 5001 (a) because O'Brien & Gere Technical Services, Inc. breached the escrow agreement and interfered with the return of Fru-Con/Fluor Daniel Joint Venture's funds. (*De Long Corp. v Morrison-Knudsen Co.*, 14 NY2d 346; *Spodek v Park Prop. Dev. Assoc.*, 279 AD2d 467; *Loeb v Teitelbaum*, 112 Misc 2d 1039; *Flamm v Noble*, 296 NY 262; *Spector v Mermelstein*, 485 F2d 474; *Butler v Brown*, 180 AD2d 406; *Arigo v Abbott & Cobb*, 86 AD2d 958; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Nu-Life Constr. Corp. v Board of Educ. of City of N.Y.*, 789 F Supp 103; *Hunt v Hunt*, 13 AD3d 1041.) IV. Legal issues not raised before the trial court are not preserved for appeal before this Court and should not be considered. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Telaro v Telaro*, 25 NY2d 433.) V. O'Brien & Gere Technical Services, Inc. and Cives Corporation and Cives Steel Company, Mid-South Division consented to personal jurisdiction as evidenced by their failure to plead a defense based on lack of personal jurisdiction, their failure to object to personal jurisdiction during the previous seven years of litigation, their affirmative actions in asserting cross claims in the underlying action, and their failure to preserve this issue for appeal. (*Ohio Sav. Bank v Munsey*, 34 AD3d 659; *National Loan Invs., L.P. v Piscitello*, 21 AD3d 537; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Oram v Capone*, 206 AD2d 839.)

OPINION OF THE COURT

SMITH, J.

We hold that CPLR 5001 (a) does not authorize an award of interest against unsuccessful claimants in an interpleader action.

Facts and Procedural History

This case arises out of a contract to build a paper plant. The general contractor, Fru-Con/Fluor Daniel Joint Venture (the Joint Venture), awarded a subcontract to O'Brien & Gere Technical Services, Inc. (O'Brien) for the construction of several buildings that were to be part of the plant. O'Brien in turn awarded a number of subcontracts, including one for steel fabrication and erection to Cives Corporation. Problems developed, payments were delayed, and several of O'Brien's subcontractors threatened to stop or slow their work if they were not paid.

To keep the project going, the Joint Venture and O'Brien agreed in late March 1999 that the Joint Venture would deposit approximately \$5.3 million with an escrow agent, Manufacturer's & Traders Trust Company, until June 15, 1999. The plan was that, during that 2¹/₂-month interval, O'Brien would try to negotiate settlements with its subcontractors, and the escrowed money would be used to pay subcontractors in accordance with settlement agreements. Any balance left over on June 15, 1999 was to be returned to the Joint Venture.

By June 15, payments had reduced the escrow fund to some \$2.4 million, but it took more than four years for the Joint Venture to recover that balance. Before June 15, Cives's lawyer wrote to the escrow agent, saying that O'Brien owed Cives approximately \$3.4 million and requesting "that there be no further disbursement of any escrowed funds" pending a resolution of Cives's claim. As a result, the escrow agent began this interpleader action, naming the Joint Venture, O'Brien, Cives and others as possible claimants to the fund. A few weeks later, Supreme Court discharged the escrow agent and ordered it to deposit the escrowed money with the court clerk "where said funds shall remain until further Order of the Court."

The pleadings in the interpleader action are not in the record before us, but it is clear that O'Brien, Cives and others asserted claims to the fund at various points, and that the resolution of them was time-consuming. Finally, in March 2003, the Appellate Division ruled that the fund should be returned to the Joint

Venture. After some further skirmishing, the clerk paid the Joint Venture the money in late 2003 and early 2004. For reasons that no party explains, the payments from the clerk to the Joint Venture included only a nominal amount of interest.

The Joint Venture then moved for entry of judgment against O'Brien and Cives in an amount equal to interest at the statutory rate of nine percent (less the small amount of interest paid by the clerk) for the time during which the funds had sat in court. Supreme Court granted the motion, and the Appellate Division affirmed. We granted leave to appeal, and now reverse.

Discussion

Interest awards in New York are “purely a creature of statute” (*Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170, 172 [2005]). The statute governing interpleader, CPLR 1006, provides for an award of interest against a stakeholder up to the time of discharge (CPLR 1006 [f]), but not against unsuccessful claimants. Thus the interest award here must be authorized, if at all, by the general interest statute, CPLR 5001 (a), which provides:

“Interest shall be recovered upon a sum awarded because of a breach of performance of a contract, or because of an act or omission depriving or otherwise interfering with title to, or possession or enjoyment of, property, except that in an action of an equitable nature, interest and the rate and date from which it shall be computed shall be in the court’s discretion.”

The Joint Venture argues that interpleader actions are “of an equitable nature,” and that therefore Supreme Court had discretion to award interest against O'Brien and Cives. It also argues that the award of interest was correct because O'Brien was guilty of “breach of performance of a contract” (the escrow agreement) and because the conduct of O'Brien and Cives in litigating the interpleader case constituted “an act or omission depriving or otherwise interfering with . . . possession or enjoyment of” property. We reject the Joint Venture’s arguments.

Interpleader actions are indeed equitable, and substantial authority supports the view that CPLR 5001 (a) permits interest awards in all equitable actions, not just those based on breach of contract or interference with property (*Weinstein-Korn-Miller*, NY Civ Prac ¶ 5001.06, at 50-20; *Selinger v Selinger*, 250 AD2d 752 [2d Dept 1998]; *Matter of Dow*, 55 AD2d

323 [4th Dept 1977]). Still, the discretion given by the statute does not stretch as far as the Joint Venture claims. CPLR 5001 (a) authorizes interest “upon a sum awarded”—implying that the interest must be paid by the party *against whom* the sum was awarded. There was no “sum awarded” against O’Brien or Cives here, and thus no predicate for an award of interest against them.

The purpose of interest is to require a person who owes money to pay compensation for the advantage received from the use of that money over a period of time. No such justification for an interest award exists here: during the time at issue, the money was held by the clerk of the court, and O’Brien and Cives no more had the use of it than the Joint Venture did. To award interest against O’Brien and Cives would be to penalize them for a delay that brought them no benefit. But, as we explained in *Love v State of New York* (78 NY2d 540, 544 [1991]):

“[I]nterest is not a penalty. Rather, it is simply the cost of having the use of another person’s money for a specified period It is intended to indemnify successful plaintiffs ‘for the nonpayment of what is due to them’ (*Trimboli v Scarpaci Funeral Home*, [37 AD2d 386,] at 389), and is not meant to punish defendants for delaying the final resolution of the litigation.”

The Joint Venture’s arguments that interest is authorized by the language in CPLR 5001 (a) referring to “breach of performance of a contract” and to “possession or enjoyment of” property are subject to the same objections: there is no “sum awarded” against O’Brien and Cives, and no benefit to them that would justify requiring them to pay interest. There is also a more fundamental objection: O’Brien and Cives have not been found to have breached any contract or to have interfered unlawfully with the possession or enjoyment of any property.

The Appellate Division did find, in an earlier appeal, that O’Brien had not performed the conditions that would have entitled it to payment under the escrow agreement, but no claim was asserted, and no judgment awarded, against O’Brien for breach of contract. Nor was there a judgment, or any basis for a judgment, against O’Brien or Cives for interference with the Joint Venture’s “possession or enjoyment” of property. All that O’Brien and Cives did to delay payment of the escrow fund to the Joint Venture was litigate their claims to that fund. No

court found that O'Brien's and Cives's claims were frivolous, that their conduct in the litigation was vexatious, or that they acted solely to cause delay. Since they were not found to have committed any "act or omission" that can be a basis for liability, the "possession or enjoyment" clause of CPLR 5001 (a) does not apply.

There is no doubt that the Joint Venture suffered a hardship in being deprived of the money in escrow for four years, with only meager compensation for the delay. This hardship, however, was the result not of any misconduct by O'Brien or Cives, but of the inexplicable failure by all concerned to arrange for the payment of a meaningful interest rate on the escrowed money. There is no apparent reason why the money could not have been put into an interest bearing account, with interest to benefit the successful claimant (*see* CPLR 2601 [d]; *cf. Reliable Mar. Boiler Repair, Inc. v Mastan Co.*, 325 F Supp 58, 64 [SD NY 1971]). But the Joint Venture sought no such relief when the money was deposited with the clerk in 1999, and it cannot now complain that it was deprived of interest.

Accordingly, the order of the Appellate Division should be reversed with costs, and the motion of the Joint Venture for an award of interest against O'Brien and Cives should be denied.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and JONES concur; Judge PIGOTT taking no part.

Order reversed, etc.

[869 NE2d 634, 838 NYS2d 458]

In the Matter of CONSOLIDATED EDISON COMPANY OF NEW YORK,
INC., Respondent, v CITY OF NEW YORK et al., Appellants.

Argued May 2, 2007; decided June 5, 2007

SUMMARY

APPEAL from a judgment of the Supreme Court, Richmond County (Michael L. Pesce, J.), entered November 22, 2006 in five related proceedings pursuant to Real Property Tax Law article 7. The judgment allocated the court's findings of full value and reduced assessment among the various tax parcels. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 24, 2006. The Appellate Division, with two Justices dissenting, had affirmed a judgment of that Supreme Court which granted the petitions and reduced the real property assessments on the subject property for each of the tax years in question.

Matter of Consolidated Edison Co. of N.Y., Inc. v City of New York, 33 AD3d 915, affirmed.

HEADNOTE

Taxation — Assessment — Specialty Property — Reproduction-Cost-New-Less-Depreciation Method of Valuation — Functional Obsolescence Due to Excess Construction Costs

In a proceeding challenging real property tax assessments on petitioner's electric generating station, a specialty property that was appraised using the Reproduction-Cost-New-Less-Depreciation (RCNLD) method of valuation, the court did not err as a matter of law in allowing consideration of functional obsolescence due to excess construction costs in determining a fair and realistic value for the generating station. Valuation is largely a question of fact, and the courts have considerable discretion in reviewing the relevant evidence as to the specific property before them. The RCNLD method of valuation estimates the cost to construct a replica using the same materials and techniques as the subject facility (reproduction cost), less depreciation. Functional obsolescence due to excess construction costs is the difference between the property's reproduction cost and the cost of replacing the existing property with a facility of similar productive capacity using modern materials and technology (replacement cost). On the particular record here, there was no legal error in allowing consideration of functional obsolescence due to excess construction costs in calculating depreciation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 205, 673, 680.

CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:16–146:19.

NY JUR 2d, Taxation and Assessment §§ 330, 351.

NEW YORK REAL PROPERTY SERVICE §§ 61:16.5, 62:3–62:7.

ANNOTATION REFERENCE

See ALR Index under Electricity and Electric Companies; Taxes.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Paul T. Rephen, Rita D. Dumain and Robert J. Paparella of counsel), for appellants. I. The trial court and Appellate Division erred in adopting a replacement cost approach to value; the law and public policy mandate a “bright-line” rule utilizing the reproduction cost method in valuing utility property for tax assessment purposes. Accordingly, the matter should be remanded for a new hearing based solely on the reproduction cost method. (*Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351; *Matter of Brooklyn Union Gas Co. v State Bd. of Equalization & Assessment*, 65 NY2d 472; *Matter of Long Is. Light. Co. v Assessor for Town of Brookhaven*, 202 AD2d 32; *Matter of Niagara Mohawk Power Corp. v Town of Bethlehem Assessor*, 225 AD2d 841; *Matter of Kalski v Fitzgerald*, 25 AD2d 573; *Matter of Pepsi-Cola Co. v Tax Commn. of City of N.Y.*, 19 AD2d 56; *People ex rel. Jamaica Water Supply Co. v State Bd. of Tax Commrs.*, 196 NY 39; *Matter of Consolidated Edison Co. of N.Y. v State Bd. of Equalization & Assessment*, 83 AD2d 355; *Matter of Great Atl. & Pac. Tea Co. v Kiernan*, 42 NY2d 236; *Matter of Tenneco, Inc.-Tennessee Gas Pipeline Div. v Town of Cazenovia*, 104 AD2d 511.) II. The Appellate Division erred in ignoring clear and consistent precedent as to the relevant test in determining whether a deduction for functional obsolescence for excess construction was warranted—technological inefficiencies and/or design changes are not enough. (*Matter of Niagara Mohawk Power Corp. v City of Dunkirk Assessor*, 221 AD2d 912; *Barber & Bennett v State of New York*, 34 AD2d 303; *Matter of City of New York [Ruppert Brewery Urban Renewal Project]*, 67 Misc 2d 863; *Universal Empire Indus. v State of New York*, 149 Misc 2d 773; *Congregation of Sons of Israel v State of New York*, 54 AD2d 794.)

Podell, Schwartz, Schechter & Banfield, LLP, New York City (*Gary Schuller* and *William E. Banfield* of counsel), for respondent. Both experts adopted the cost theory of valuation and used the Reproduction-Cost-New-Less-Depreciation (RCNLD) technique to find value. Both experts agreed that a properly prepared RCNLD appraisal considers all forms of depreciation including functional obsolescence due to excess construction costs. The City's directive to David Moody not to consider this form of obsolescence based on its misreading of *Matter of Brooklyn Union Gas Co. v State Bd. of Equalization & Assessment* (65 NY2d 472 [1985]) destroyed the credibility of his appraisal. On this record, the lower courts' factual determination to include this component of depreciation when valuing the property was not erroneous and should be affirmed. (*Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351; *Matter of County of Suffolk [C. J. Van Bourgondien, Inc.]*, 47 NY2d 507; *Matter of Niagara Mohawk Power Corp. v City of Dunkirk Assessor*, 221 AD2d 912; *Matter of Great Atl. & Pac. Tea Co. v Kiernan*, 42 NY2d 236; *Universal Empire Indus. v State of New York*, 149 Misc 2d 773; *Matter of City of New York [Ruppert Brewery Urban Renewal Project]*, 67 Misc 2d 863; *Matter of Long Is. Light. Co. v Assessor for Town of Brookhaven*, 202 AD2d 32, 85 NY2d 809; *Matter of Onondaga County Water Dist. v Board of Assessors of Town of Minetto*, 39 NY2d 601; *Congregation of Sons of Israel v State of New York*, 54 AD2d 794; *Barber & Bennett v State of New York*, 34 AD2d 303.)

James J. O'Keeffe, Albany, and *Philip G. Hembdt* for New York State Board of Real Property Services, amicus curiae. I. Petitioner's appraiser has actually used replacement cost to determine the value of the subject property. (*Matter of Brooklyn Union Gas Co. v State Bd. of Equalization & Assessment*, 65 NY2d 472; *Matter of Niagara Mohawk Power Corp. v Town of Bethlehem Assessor*, 225 AD2d 841; *Matter of Long Is. Light. Co. v Assessor for Town of Brookhaven*, 202 AD2d 32; *Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351; *Matter of Niagara Mohawk Power Corp. v Assessor of Town of Geddes*, 92 NY2d 192.) II. Specialty property is valued using the Reproduction-Cost-New-Less-Depreciation Method because New York State law requires assessments of real property to be based upon the property's current use and condition. (*Matter of Kalski v Fitzgerald*, 25 AD2d 573; *Matter of Addis Co. v Srogi*, 79 AD2d 856, 53 NY2d 603; *Matter of Estate of Goldman v Commissioner of Fin.*, 203 AD2d 20, 83 NY2d 759; *Matter of BCA-White Plains Lanes v Glaser*, 91 AD2d 633; *Matter of Adirondack Mtn. Reserve v*

Board of Assessors of Town of N. Hudson, 99 AD2d 600, 64 NY2d 727; *Matter of General Motors Corp. Cent. Foundry Div. v Assessor of Town of Massena*, 146 AD2d 851; *Matter of General Elec. Co. v Macejka*, 117 AD2d 896; *Matter of Farone & Son v Srogi*, 96 AD2d 711; *Matter of Rochester Urban Renewal Agency [Patchen Post]*, 45 NY2d 1.) III. Functional obsolescence, when caused by competing with a less expensive, more efficient technology, is determined by capitalizing the excess costs of operating the existing facility. (*Universal Empire Indus. v State of New York*, 149 Misc 2d 773; *Barber & Bennett v State of New York*, 34 AD2d 303; *Norman's Kill Farm Dairy Co. v State of New York*, 53 Misc 2d 578; *Matter of Long Is. Light. Co. v Assessor for Town of Brookhaven*, 202 AD2d 32; *Matter of Onondaga County Water Dist. v Board of Assessors of Town of Minetto*, 39 NY2d 601.) IV. If the decision of the Supreme Court is upheld it will result in widespread assessment reductions of utility property and many other complex commercial properties throughout the State. (*Matter of Niagara Mohawk Power Corp. v City of Dunkirk Assessor*, 221 AD2d 912; *Matter of Erie Blvd. Hydropower, L.P. v Town of Ephratah Bd. of Assessors*, 9 AD3d 540; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Colt Indus. v New York City Dept. of Fin.*, 66 NY2d 466.)

Donna M.C. Giliberto, Albany, and *A. Kevin Crawford* for the Association of Towns of the State of New York and another, amici curiae. The decision of the Appellate Division, Second Department, if upheld will lead to the significant under-assessing of specialty property, negatively impacting municipal budgets across the State. (*Matter of Brooklyn Union Gas Co. v State Bd. of Equalization & Assessment*, 65 NY2d 472; *Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351; *Matter of Onondaga County Water Dist. v Board of Assessors of Town of Minetto*, 39 NY2d 601; *People ex rel. Delaware, Lackawanna & W. R.R. Co. v Clapp*, 152 NY 490; *Consolidated Edison Co. of N.Y. v State Bd. of Equalization & Assessment*, 101 Misc 2d 910; *Matter of Sperry Rand Corp. v Board of Assessors, County of Nassau*, 10 AD2d 720; *Matter of Long Is. Light. Co. v Assessor for Town of Brookhaven*, 202 AD2d 32.)

OPINION OF THE COURT

Chief Judge KAYE.

The issue before us in this tax certiorari proceeding is whether functional obsolescence due to excess construction costs was appropriately considered in fixing the value of certain specialty

property. On the particular record before us, we agree with the trial court and Appellate Division that it was.

Petitioner Consolidated Edison Company of New York, Inc. (Con Edison) brought this tax certiorari proceeding pursuant to RPTL article 7 challenging the City of New York's assessments on its Arthur Kill electric generating station for the tax years 1994/1995 through 1998/1999. The generating station is comprised of two steam generating units (installed in 1959 and 1969) and one gas turbine (installed in 1970).

At a bench trial, the parties agreed that, as an electrical generating facility, the subject property is considered a "specialty" and should therefore be appraised using the Reproduction-Cost-New-Less-Depreciation (RCNLD) method of valuation. This method seeks to determine the value of a property by estimating the cost to construct a replica using the same materials and techniques as the subject facility (reproduction cost), less depreciation. The parties differed, however, as to whether functional obsolescence due to excess construction costs could be subtracted from the reproduction cost as a component of depreciation. Functional obsolescence due to excess construction costs is the difference between the property's reproduction cost and the cost of replacing the existing property with a facility of similar productive capacity using modern materials and technology (replacement cost).

Con Edison's expert included the value of functional obsolescence due to excess construction costs, lowering the appraisal for tax assessment purposes. Although the City's expert did not include this factor in his appraisal, which was significantly higher, he conceded on cross-examination that in conducting a reproduction cost valuation, appraisers typically consider functional obsolescence due to excess construction costs. Indeed, the only reason he did not do so in this instance was counsel's instruction that under New York law it would be improper. In his view, an appraisal that allowed for functional obsolescence due to excess construction costs would still be considered a proper reproduction cost appraisal under industry standards, even if it yielded a result consistent with replacement cost.

Supreme Court adopted Con Edison's calculation and a divided Appellate Division affirmed. The City appeals as of right based on the two-Justice dissent. We now affirm.

The valuation of assessed property is, of course, essentially a question of fact, the courts' principal task being to discern the

most accurate estimation of value for the specific property before it. Thus, where, as here, “the determinations of value made at nisi prius have been affirmed at the Appellate Division, those valuations must be upheld unless there has been an error of law in the use of an erroneous theory of valuation or unless the record does not contain evidence to support them” (*Matter of B. Altman & Co. v City of White Plains*, 57 NY2d 904, 905-906 [1982]).

The City argues that the trial court and Appellate Division erred as a matter of law by accepting Con Edison’s use of functional obsolescence due to excess construction costs in calculating depreciation. According to the City, no such measure should be included under the RCNLD method because, in doing so, the appraiser effectively substitutes the established reproduction cost method—which looks to the value of the current property on the taxable status day—with a replacement cost method focused on the value of a hypothetical future facility.

While recognizing that the RCNLD method should be utilized for valuing speciality property, we have not previously considered whether functional obsolescence due to excess construction costs can be included under that method (*see e.g. Matter of Brooklyn Union Gas Co. v State Bd. of Equalization & Assessment*, 65 NY2d 472, 485 [1985]; *Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351, 356-360 [1992]). In the context of this case, however, we conclude that the City’s arguments are misplaced. We cannot hold that the theory of valuation adopted by the courts below was erroneous as a matter of law.

The City’s expert witness agreed that functional obsolescence due to excess construction costs is in fact a proper element of depreciation under the reproduction cost methodology, even in cases where it yields a valuation consistent with replacement cost. Moreover, Con Edison’s appraisal methodology finds support in the relevant appraisal literature (*see Appraisal Institute, The Appraisal of Real Estate* ch 14 [“The Cost Approach”], ch 16 [“Depreciation Estimates”] [12th ed 2001]). Indeed, we have previously noted that one problem often identified with RCNLD valuation is “its tendency to ascribe too little weight to such factors as . . . functional obsolescence” (*Town of Camillus*, 80 NY2d at 357). Thus, allowing for increased consideration of functional obsolescence may, in the appropriate case, further the purpose of valuation proceedings—to arrive at a fair and realistic appraisal of the value of the property at issue (*see Matter of Saratoga Harness Racing v Williams*, 91 NY2d 639, 643 [1998]).

That being said, we do not adopt a rule that functional obsolescence due to excess construction costs is an appropriate consideration in every tax assessment matter where RCNLD is the applicable method. To the contrary, valuation remains largely a question of fact, and the courts have considerable discretion in reviewing the relevant evidence as to the specific property before them. Here, we find no legal error in that review.

Accordingly, the judgment appealed from and order of the Appellate Division brought up for review should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[869 NE2d 646, 838 NYS2d 470]

In the Matter of ZORAIDA MELENDEZ, Respondent, v BRIAN J. WING, as Commissioner of the State of New York Office of Temporary and Disability Assistance, Appellant, et al., Respondents.

Argued May 1, 2007; decided June 7, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, New York County (Harold B. Beeler, J.), entered July 21, 2006 in a proceeding pursuant to CPLR article 78. The judgment granted the petition in full; annulled the determination of respondent Office of Temporary and Disability Assistance; directed respondents to remove petitioner's daughter from petitioner's public assistance household and to calculate petitioner's public assistance grant without consideration of her daughter's federal supplemental security income benefits; ordered respondents to pay petitioner \$20,825 for public assistance benefits erroneously withheld; and directed respondents to cease any efforts to recoup any benefits deemed to be an overpayment. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 16, 2005. The Appellate Division had (1) reversed, on the law, a prior judgment of that Supreme Court denying the petition; (2) annulled the determination of respondent State Office of Temporary and Disability Assistance that the New York City respondents had properly calculated petitioner's emergency shelter allowance; (3) granted the petition to that extent; and (4) remanded the matter for further proceedings.

Matter of Melendez v Wing, 21 AD3d 129, modified.

HEADNOTE

Social Services — Emergency Assistance — Emergency Shelter Allowance — Inclusion of SSI Benefits

Although section 131-c (1) of the Social Services Law excludes minors who receive federal supplemental security income (SSI) from the family group for purposes of determining eligibility for and the level of public assistance, the Legislature superseded this requirement in its appropriation for the emergency shelter allowance (ESA) for the 2006-2007 fiscal year (L 2006, ch 53, § 1, eff Apr. 1, 2006). In enacting section 131-c (1) to comply with federal law, it was the intent of the Legislature to mandate exclusion of SSI recipients from the filing unit, rather than merely vest the Commissioner of the New York State Office of Temporary and Disability Assistance (OTDA) with discre-

tion to exclude them. The language of the 2006-2007 appropriation clearly superseded any inconsistent provision of state law, which necessarily included section 131-c (1). Further, OTDA was unambiguously instructed to consider applicants' and/or their family members' SSI benefits as income when budgeting ESAs. Accordingly, in determining petitioner's public assistance benefits, including her ESA as a person diagnosed with acquired immunodeficiency syndrome or human immunodeficiency virus-related illness, petitioner's daughter's SSI benefits should have been included as family income as of April 1, 2006.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Welfare Laws §§ 56, 58, 59, 67.
MCKINNEY's, Social Services Law § 131-c (1).
18 NYCRR 352.3 (k).
NY JUR 2d, Public Welfare and Old Age Assistance §§ 71,
102.

ANNOTATION REFERENCE

See ALR Index under Poor Persons; Social Security.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, New York City (Oren L. Zeve, Barbara D. Underwood and Michael S. Belohlavek of counsel), for appellant. I. The terms of the executive budget and the accompanying regulation require that social services officials include any supplemental security income benefits when calculating an emergency shelter allowance. (*Pataki v New York State Assembly*, 4 NY3d 75; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Albano v Kirby*, 36 NY2d 526; *Riley v County of Broome*, 95 NY2d 455; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Matter of Bernstein v Toia*, 43 NY2d 437; *Aluminum Co. of America v Central Lincoln Peoples' Util. Dist.*, 467 US 380; *Arbegas v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Matter of Hickey v Carey*, 275 App Div 964.) II. The emergency shelter allowance does not constitute "public assistance" within the meaning of Social Services Law § 131-c. (*Anglin v Anglin*, 80 NY2d 553; *Matter of Blossom View Nursing Home v*

Novello, 4 NY3d 581; *Iazzetti v City of New York*, 94 NY2d 183; *Matter of Nelson v Roberts*, 304 AD2d 20.) III. Although Social Services Law § 131-c mandates inclusion of household members in a minor's application for public assistance, it does not otherwise constrain the Office of Temporary and Disability Assistance's exercise of its agency expertise. (*King v Smith*, 392 US 309; *Bray v Dowling*, 25 F3d 135; *Skidgel v Maine Dept. of Human Servs.*, 994 F2d 930; *Matter of Albano v Kirby*, 36 NY2d 526.)

Housing Works, Inc., New York City (Armen H. Merjian of counsel), for Zoraida Melendez, respondent. I. The Social Services Law prohibits appellant from considering Chastity's supplemental security income benefits when calculating the family's public assistance benefits. (*Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274; *Doe v Doar*, 26 AD3d 787; *Matter of Genin v Toia*, 47 NY2d 959; *Folsom v Blum*, 554 F Supp 828; *Matter of Pena v Dowling*, 229 AD2d 497; *Matter of Reeves v Fahey*, 65 AD2d 633; *Matter of Schimmel v Reed*, 50 AD2d 1085, 40 NY2d 887; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781; *Albright v Metz*, 88 NY2d 656.) II. Appellant's argument that the emergency shelter allowance operates beyond the purview of the Social Services Law is wholly without support. (*Matter of Rodriguez v Wing*, 94 NY2d 192; *Stone v McGowan*, 308 F Supp 2d 79.) III. Under settled law, the regulation cannot contravene the invisibility statute. (*Doe v Doar*, 26 AD3d 787; *Matter of Jones v Berman*, 37 NY2d 42; *Weiss v City of New York*, 95 NY2d 1; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781; *Matter of Beer Garden v New York State Liq. Auth.*, 79 NY2d 266; *Kahal Bnei Emunim & Talmud Torah Bnei Simon Israel v Town of Fallsburg*, 78 NY2d 194; *Seittelman v Sabol*, 91 NY2d 618.) IV. The appropriation in no way abrogates the Social Services Law by implication, much less explicitly. (*Matter of Genin v Toia*, 47 NY2d 959; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.*, 2 NY3d 524; *Matter of New York Pub. Interest Research Group v Dinkins*, 83 NY2d 377; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Iazzetti v City of New York*, 94 NY2d 183; *Matter of Levy v Evans*, 103 AD2d 681; *Pataki v New York State Assembly*, 4 NY3d 75.) V. Appellant's policy concerns are appropriately addressed to the Legislature, not the courts. (*Doe v Doar*, 26 AD3d 787.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to decide whether section 131-c (1) of the Social Services Law excludes minors who receive federal supplemental security income (SSI) from the family group for purposes of determining eligibility for and the level of public assistance. For the reasons that follow, we conclude that it does. We further decide that the Legislature superseded this requirement in its appropriation for the emergency shelter allowance (ESA) for the 2006-2007 fiscal year.

I.

In 2002, petitioner Zoraida Melendez resided in the Bronx with her spouse and three minor children. She received public assistance that included an ESA for individuals diagnosed with acquired immunodeficiency syndrome (AIDS) or human immunodeficiency virus (HIV)-related illness, and family members residing with them. Melendez's public assistance was administered by the New York State Office of Temporary and Disability Assistance (OTDA) through the New York City HIV/AIDS Services Administration (HASA), a part of the City's Human Resources Administration (HRA). Additionally, Melendez's daughter Chastity received SSI because of a disability.

Melendez's monthly public assistance totaled \$2,019, the amount budgeted for Melendez, her spouse and minor children (excluding Chastity), comprising several components, including the ESA.¹ In other words, when calculating Melendez's public assistance, HASA did not count Chastity as a member of the household and disregarded her SSI benefits, which were then \$568 a month. At some point in 2002, however, HASA for the first time budgeted Melendez's ESA using software that reflected the methodology in 18 NYCRR 352.3 (k), rather than making the calculations manually. This forced HASA to include Chastity in the household and to take her SSI income into account when figuring the ESA, which cut Melendez's monthly public assistance from \$2,019 to \$1,539, or \$480 less than she

1. The \$2,019 consisted of \$307 (basic needs for household of four); \$38.70 (home energy allowance for household of four); \$30 (supplemental home energy allowance for household of four); \$1,450 (\$480 for Melendez plus \$330 for three additional individuals in household = \$1,470, reduced to \$1,450, Melendez's actual monthly rent due, the maximum ESA); and \$193.74 (an additional allowance for nutrition and transportation authorized by the City for which Melendez was eligible because of her HIV-related illness) = \$2,019 (rounded).

had been receiving.² In December 2002, she requested a fair hearing before an administrative law judge to contest HASA's determination, which the Commissioner of OTDA (Commissioner) upheld in a decision dated February 7, 2003.

In April 2003, Melendez commenced this CPLR article 78 proceeding against the Commissioner, as well as against the Commissioner of HRA and HASA's Acting Deputy Commissioner (collectively, City respondents), asking Supreme Court to review and annul the decision after fair hearing.³ On January 9, 2004, Supreme Court denied Melendez's petition, emphasizing OTDA's longstanding policy to include SSI benefits in an ESA calculation, as embodied in 18 NYCRR 352.3 (k) and provisions in the State's 1993-1994 Aid-to-Localities Budget (L 1993, ch 53). On June 16, 2005, the Appellate Division reversed Supreme Court's judgment, concluding that 18 NYCRR 352.3 (k) conflicted with Social Services Law § 131-c (1). The Court interpreted this statute as prohibiting HASA from considering Chastity's SSI benefits as family resources when calculating Melendez's ESA, and remanded the matter to Supreme Court for further proceedings.

In an order and judgment filed on July 21, 2006, Supreme Court granted Melendez's petition in full; annulled the decision after fair hearing; and directed the Commissioner and the City

2. According to calculations supplied by OTDA in this litigation, the \$1,539 consisted of \$687.70 (total assistance for household of four, including \$307 [basic needs], \$38.70 [home energy allowance], \$30 [supplemental home energy allowance], and \$312 [shelter allowance]); \$658 (the ESA calculated on the basis of a household of five, using the methodology in 18 NYCRR 352.3 [k]); and \$193.74 (an additional allowance for nutrition and transportation authorized by the City for which Melendez was eligible because of her HIV-related illness) = \$1,539 (rounded). Principally because Melendez's ESA was already capped at \$1,450 (her actual monthly rent due), she was entitled to only a slightly larger benefit when the ESA was calculated for a household of five rather than four, which was offset by the treatment of Chastity's SSI benefits as family income. The result was a significant net loss, causing the household's allowance for shelter to drop by \$480 a month, from \$1,450 to \$970 (\$312 [normal shelter allowance for household of four] + \$658 [the ESA]).

3. The City respondents filed an answer asking Supreme Court to dismiss Melendez's petition against them. They took the position that they were bound by OTDA's determination after fair hearing, and were "commanded by statute to follow the guidelines handed down by [OTDA] concerning eligibility for public assistance, including emergency shelter allowances," citing *Matter of Beaudoin v Toia* (45 NY2d 343 [1978]) and *Jiggetts v Grinker* (148 AD2d 1, 21 [1st Dept 1989]). The City respondents apparently have not participated in this proceeding since filing their answer. The Attorney General represents that OTDA has provided them with copies of relevant correspondence during the course of the litigation.

respondents to remove Chastity from Melendez's public assistance household and calculate her public assistance without consideration of Chastity's SSI benefits, to pay Melendez \$20,825, which he concluded was the sum erroneously withheld from her through June 2006, and to cease any efforts to recoup benefits deemed to have been an overpayment. The Commissioner successfully sought our permission to appeal, bringing up the Appellate Division's prior order for review.

II.

Section 131-c (1) of the Social Services Law states that

“[f]or the purposes of determining eligibility for and the amount of assistance payable, the social services district shall, when a minor is named as an applicant for public assistance, require that his or her parents and minor brothers and sisters also apply for assistance and be included in the household for purposes of determining eligibility and grant amounts, if such individuals reside in the same dwelling unit as the minor applying for assistance. Any income of or available for such parents, brothers and sisters which is not disregarded under subdivision eight of section one hundred thirty-one-a of this article, shall be considered available to such household. *The provisions of this subdivision shall not apply to individuals who are recipients of federal supplemental security income benefits or additional state payments pursuant to this chapter,*^[4] or to individuals whose relationship to the minor is that of stepbrother or stepsister, or to any other individuals whose needs are excluded pursuant to department regulations consistent with federal law and regulations” (emphasis added).

This provision was adopted by the Legislature in 1985 to bring New York law into line with amendments to the federal Aid to Families with Dependent Children (AFDC) program,⁵ which were adopted by Congress as part of the Deficit Reduction Act

4. “[A]dditional state payments” are payments by social services districts or by the federal government on behalf of the State “to aged, blind and disabled persons who are receiving, or who would but for their income be eligible to receive, federal supplemental security income benefits” (Social Services Law § 300 [5]).

5. The Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (PRWORA) (42 USC § 601 *et seq.*, as added by Pub L 104-193, 110 US

(n. cont'd)

of 1984 (DEFRA) (Pub L 98-369, 98 US Stat 494 [1984]; *see* Mem in Support, Bill Jacket, L 1985, ch 42, at 6). Prior to DEFRA, the custodial parent had the option to exclude a child with independent sources of income from the family for which AFDC eligibility and benefits were determined. This made sense whenever a child's income (for example, support payments made by a noncustodial parent) exceeded the incremental AFDC benefit available to the family.

To limit this option, DEFRA adopted the filing-unit rule, which generally put parents and minor siblings who lived together into a single group whose combined income, resources and needs were pooled for purposes of determining AFDC eligibility and benefit level (*see* former 42 USC § 602 [a] [38], as added by DEFRA § 2640 [a] [3]). The filing-unit rule applied “except as otherwise provided” by the statutory provisions governing AFDC (*id.*). In this regard, DEFRA notably did not amend the so-called invisibility rule, an AFDC provision that prohibited states from taking an SSI recipient's presence and income into account when figuring out a household's AFDC eligibility and benefits (*see* former 42 USC § 602 [a] [24]; *Corrigan v Affleck*, 523 F Supp 498, 502 [D RI 1981] [“(C)ourts that have interpreted § 602 (a) (24) have been unanimous in concluding that this section mandates that the amount of assistance payments to AFDC recipients sharing households with SSI beneficiaries must be calculated . . . as though the SSI beneficiaries living in the house were not in fact present”]; *Calkins v Blum*, 511 F Supp 1073, 1095-1096 [ND NY 1981] [discussing legislative history of the invisibility rule]; *see also* former 42 USC § 612, as added by Pub L 96-272 § 303, 94 US Stat 500 [1980]).

As the Senate Committee on Finance explained, the filing-unit rule “require[d] States to include in the filing unit the parents and all dependent minor siblings (except SSI recipients and any stepbrothers and stepsisters) living with a child who applie[d] for or receive[d] AFDC” (Sen Print 98-169, 98th Cong, 2d Sess, at 980). The Committee remarked that this change would “end the present practice whereby families exclude members with income in order to maximize family benefits, and

Stat 2105 [1996]) abolished AFDC, the federal-state program that provided financial assistance for needy dependent children and the parents or relatives who lived with or cared for them, and established Temporary Assistance for Needy Families (TANF) in its place. Under TANF, each state receives a block grant with which to administer its welfare program.

will ensure that the income of family members who live together and share expenses is recognized and counted as available to the family as a whole” (*id.*). Similarly, the House Conference Report for DEFRA commented that “[the amended law] requires States to include in the filing unit the parents and all minor siblings living with a dependent child who applies for or receives AFDC. SSI recipients and stepbrothers and stepsisters are excluded from this requirement” (HR Conf Rep 98-861, 98th Cong, 2d Sess, at 1407, reprinted in 1984 US Code Cong & Admin News, at 1445, 2095). As the Eleventh Circuit Court of Appeals observed after reviewing section 602 (a) (38)’s text and legislative history, “Congress intended to exclude only recipients of SSI benefits, and any stepbrothers and stepsisters of the dependent child from [the filing-unit rule]” (*Oliver v Ledbetter*, 821 F2d 1507, 1512-1513 [11th Cir 1987] [concluding that Old Age, Survivors, and Disability Insurance (OASDI) benefits received by children must be included when calculating their co-resident siblings’ eligibility for AFDC]).

The Commissioner argues that section 131-c (1) leaves it up to him to decide how to handle minors who are SSI recipients when calculating public assistance benefits because its provisions “shall not apply” to them; and that “the fact that a mandatory inclusion rule shall not apply to certain persons [i.e., SSI recipients] does not logically compel an interpretation that a mandatory exclusion [i.e., of SSI recipients] exists.” While plausible in the abstract, this reading of the text conflicts with the federal law that section 131-c (1) was meant to mirror. In short, the Legislature must have intended section 131-c (1) to mandate exclusion of SSI recipients from the filing unit, rather than merely vest the Commissioner with discretion to exclude them. Otherwise, the statute would not have conformed with federal law in 1985 (specifically, the filing-unit and invisibility rules), as was required for the State to continue to participate in the AFDC program and to receive 50% reimbursement for its program expenditures. AFDC has since been repealed, but that does not somehow implicitly amend section 131-c (1), or alter the Legislature’s purpose and intent at the time it enacted this statute.

III.

The ESA exists only by virtue of an annual appropriation in the State budget. Accordingly, as an alternative defense of the way HASA calculated Melendez’s ESA in late 2002, the Com-

missioner claims that the budget, as supplemented by regulation, annually superseded any application of section 131-c (1) to ESAs. At a minimum, the Commissioner argues, the Legislature fixed any previous deficiency in the appropriation language when it adopted the State budget for fiscal year 2006-2007. In his view, Supreme Court thus “erred as a matter of law when, on remand, it omitted [Chastity’s] SSI benefits when calculating the retroactive benefits owed after April 1, 2006.”

The Legislature first enacted the ESA in the 1988-1989 Aid-to-Localities Budget, which included the following language:

“Notwithstanding any inconsistent provisions of title 8 of article 5 of the social services law, up to \$950,000 of the amount appropriated herein shall be made available by the department to reimburse 50 percent of approved expenditures made by social services districts under the emergency assistance for aged, blind, and disabled program, after first deducting therefrom any federal funds received or to be received on account thereof, for emergency shelter payments which shall be provided to persons, determined to be eligible for or receiving federal supplemental security income benefits and/or additional state payments, who have been medically diagnosed as having acquired immune deficiency syndrome (AIDS) and who are homeless or are faced with homelessness and for whom no viable and less costly alternative housing is available. Each emergency shelter payment provided hereunder shall equal the difference between such person’s and his or her family’s net available income, including any public assistance and supplemental security income benefits and/or additional state payments, and such person’s and his or her family’s public assistance needs using the hotel/motel per diem rate equivalent as the applicable shelter maximum. The hotel/motel per diem rate equivalent shall equal the hotel/motel per diem provided to recipients of public assistance as specified in department regulations in effect January 1, 1988, and as appropriate to the size of the public assistance household which includes the person or persons with AIDS multiplied by 30” (L 1988, ch 53, § 1, at 984 [emphasis added]).

Thus, the Legislature approved a \$950,000 appropriation to fund ESAs, which specified who was entitled to moneys from

this appropriation (individuals eligible for or receiving SSI benefits who were diagnosed with AIDS and were homeless or facing homelessness and who had no less costly alternative housing available), and how to distribute these moneys (compute an ESA as the difference between individual/family net available income, including public assistance and SSI benefits, and individual/family public assistance needs using the hotel/motel per diem rate equivalent as the shelter maximum). The appropriation expressly superseded any contrary statutory provisions in title 8 of article 5 of the Social Services Law, which governs emergency assistance for aged, blind and disabled persons.⁶ On August 3, 1988, the Commissioner of Social Services adopted a companion emergency regulation, effective April 1, 1988, which tracked the conditions of eligibility and methodology for computing ESAs in the appropriation, and imposed related counseling and reporting requirements on social services districts (*see* former 18 NYCRR 397.11).

The language addressing ESAs in the 1989-1990 Aid-to-Localities Budget was the same as the previous year's language, except that ESAs were also made available to individuals diagnosed with HIV-related illness (*see* L 1989, ch 53, § 1, at 828-829 [appropriation of \$1.5 million for fiscal year 1989-1990]; *see also* L 1991, ch 53, § 1, at 991 [no change from language in budget for fiscal year 1989-1990; appropriation of \$3 million for fiscal year 1991-1992]). In 1992, however, the terms of the ESA appropriation were significantly altered for fiscal year 1992-1993:

“Notwithstanding any inconsistent provisions of law, the department shall reimburse 50 percent of approved expenditures made by social services districts under the emergency assistance for families, emergency assistance for adults, aid to dependent children, and home relief programs, after first deducting therefrom any federal funds received or to be received on account thereof, for emergency shelter payments which shall be provided to persons who have been medically diagnosed as having acquired immunodeficiency syndrome (AIDS) or HIV-related illness and who are homeless or are faced with homelessness and for whom no viable and less costly alternative housing is available. Each emergency

6. Section 131-c (1) is codified in title 1 of article 5.

shelter payment provided hereunder shall equal *the difference between such person's and his or her family's net available income, including any public assistance and supplemental security income benefits and/or additional state payments, and such person's and his or her family's public assistance needs using an emergency monthly shelter allowance not to exceed \$480 for the first person in the household and \$330 for each additional person in the household, but in no event exceeding the actual monthly rent*" (L 1992, ch 53, § 1, at 933-934 [emphasis added]).

Rather than setting out a maximum amount for ESAs as in previous budgets, this legislation authorized payment of up to 50% of approved expenditures made by social services districts under four different public assistance programs (emergency assistance for families, emergency assistance for adults, AFDC and home relief). Thus, ESAs were no longer available only to those AIDS or HIV sufferers who were eligible for or were receiving SSI benefits. In addition, the appropriation expressly superseded *any* contrary statutory provision, and based the ESA on a per capita allowance, up to a maximum of actual monthly rent. Importantly, the appropriation still specified that, for purposes of calculating the ESA, net available income would include any SSI benefits payable to applicants and/or their families.

Thereafter, the Legislature enacted identical language—with the same conditions governing eligibility for and distribution of ESAs—in its Aid-to-Localities Budget for fiscal years 1993-1994, 1994-1995 and 1995-1996 (*see* L 1993, ch 53, § 1, at 945; L 1994, ch 53, § 1, at 864-865; and L 1995, ch 53, § 1, at 973, respectively). In 1996, however, the appropriation language was reworked and substantially shortened, although the ESA was broadened to include transportation and nutrition payments, and there was a proviso added that ESA funds could not be used to pay costs eligible for reimbursement under medical assistance or other programs. Significantly for purposes of this appeal, the methodology for calculating or distributing ESAs was left out altogether (*see* L 1996, ch 53, § 1, at 632).

For the ensuing nine years, the language did not change; it was repeated verbatim in each year's ESA appropriation (*see* L 1997, ch 56, § 1, at 1645-1646; L 1998, ch 53, § 1, at 775; L 1999, ch 53, § 1, at 858; L 2000, ch 53, § 1, at 816-817; L 2001, ch 53, § 1, at 544; L 2002, ch 53, § 1, at 1179-1180; L 2003, ch

53, § 1, at 919; L 2004, ch 53, § 1, at 880; L 2005, ch 53, § 1, at 762-763). As a result, for a decade the methodology for calculating an ESA was set forth only in regulation, principally 18 NYCRR 352.3 (k). OTDA argues that this was sufficient authority for it to disregard section 131-c (1) because the regulation maintained the formula approved annually by the Legislature for many years. We disagree. Once the methodology vanished from the appropriation language, and in the absence of any compensating language, 18 NYCRR 352.3 (k) lacked a statutory basis insofar as it conflicted with section 131-c (1).

After the Appellate Division's decision in this appeal, however, the Legislature enacted the following appropriation language in the State budget for the 2006-2007 fiscal year:

“Notwithstanding any inconsistent provisions of law, funds appropriated herein shall be used by [OTDA] to reimburse 50 percent of the non-federal share of approved expenditures made by social services districts on or after April 1, 1996, after first deducting therefrom any federal funds received or to be received on account thereof, for emergency shelter, transportation, or nutrition payments which the district determines are necessary to establish or maintain independent living arrangements among persons who have been medically diagnosed as having acquired immunodeficiency syndrome (AIDS) or HIV-related illness and who are homeless or are faced with homelessness and for whom no viable and less costly alternative housing is available; provided, however, that funds appropriated herein may only be used for such purposes if the cost of such allowances [is] not eligible for reimbursement under medical assistance or other programs. Each emergency shelter payment provided hereunder shall equal the difference between such person's and his or her family's net available income, including any public assistance and supplemental security income benefits and/or additional state payments, and such person's and his or her family's public assistance needs, but in no event exceeding the actual monthly shelter payment” (L 2006, ch 53, § 1, at 742-743, eff Apr. 1, 2006 [emphasis added]).

This language clearly supersedes *any* inconsistent provisions of state law—which necessarily includes section 131-c (1)—and,

of course, Congress repealed the federal invisibility rule in 1996. Further, OTDA is unambiguously instructed to consider applicants' and/or their family members' SSI benefits as income when budgeting ESAs. As a result, Supreme Court should have counted Chastity's SSI benefits as family income for the months of April through June 2006, the last month covered by his order and judgment.

The Commissioner's remaining arguments are without merit.

Accordingly, the judgment appealed from and order of the Appellate Division brought up for review should be modified by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed, with costs to petitioner.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Judgment appealed from and order of the Appellate Division brought up for review modified, etc.

[870 NE2d 133, 838 NYS2d 815]

MARIA CUBAS et al., Appellants, v RAYMOND MARTINEZ, Individually and as Commissioner of the New York State Department of Motor Vehicles, Respondent.

Argued May 1, 2007; decided June 7, 2007

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 6, 2006. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Karen S. Smith, J.; op 2005 NY Slip Op 30091[U]), which had granted plaintiffs' motion for a preliminary injunction, enjoining defendant Commissioner of Motor Vehicles from requiring or in any way imposing a legal presence requirement or any immigration status as a condition to receipt of a driver's license, renewal license, learner's permit or non-driver identification card, and from maintaining a "Temporary Visitors Program," which required applicants to comply with the one year six month rule as a condition of receiving a driver's license, renewal license, learner's permit or non-driver identification card, which established expiration dates for licenses based on an applicant's immigration status and which included on the face of the card the words "temporary visitor," and denied defendant Commissioner's cross motion to dismiss the complaint for failure to state a cause of action; (2) granted the cross motion; (3) vacated the preliminary injunction; (4) declared the identity procedures employed by the Commissioner to be within his authority and enforceable; and (5) otherwise dismissed the complaint.

Cubas v Martinez, 33 AD3d 96, modified.

HEADNOTES

**Motor Vehicles — Operator's License — Proof of Identity —
Submission of Immigration Documents Issued by Department of
Homeland Security**

1. Defendant Commissioner of Motor Vehicles acted within his statutory authority in requiring applicants for the issuance or renewal of driver's licenses or non-driver identification cards who lacked valid Social Security numbers (SSNs) to prove that they were ineligible for SSNs by submitting immigration documents issued by the Department of Homeland Security (DHS). Applicants are required by statute to furnish proof of identity, including their SSNs (Vehicle and Traffic Law § 502 [1], [6]; § 490 [3] [a] [i]), as well as "such other information as the commissioner shall deem appropriate" (Vehicle and Traffic

Law § 508 [2]). A regulation of the Department of Motor Vehicles (DMV), 15 NYCRR 3.9 (a), provides that applicants must submit their SSNs or provide proof that they are not eligible for SSNs. As proof of ineligibility for an SSN, an applicant was previously required under DMV policy to submit an L676 letter from the Social Security Administration (SSA) stating that the applicant's DHS documents demonstrated ineligibility for an SSN. In order to obtain the L676 letter, a person was required to submit DHS documents to the SSA. The additional requirement of submitting that same DHS documentation to the DMV along with the L676 letter was a reasonable fraud prevention measure.

Constitutional Law — Equal Protection of Laws

2. In requiring applicants for the issuance or renewal of driver's licenses or non-driver identification cards who lacked valid Social Security numbers (SSNs) to prove that they were ineligible for SSNs by submitting immigration documents issued by the Department of Homeland Security (DHS), there was no violation of equal protection. Applicants are required to submit their SSNs or provide proof that they are not eligible for SSNs (*see* Vehicle and Traffic Law § 502 [1], [6]; § 490 [3] [a] [i]; § 508 [2]; 15 NYCRR 3.9 [a]). As proof of ineligibility for an SSN, an applicant is required to submit an L676 letter from the Social Security Administration stating that the applicant's DHS documents demonstrated ineligibility for an SSN. No suspect class is created by requiring submission of an L676 letter accompanied by the underlying DHS documents. Nor is there any infringement of a fundamental right.

Motor Vehicles — Operator's License — Proof of Identity — Submission of Immigration Documents Issued by Department of Homeland Security — "Legal Presence Requirement"

3. In an action challenging the authority of the Department of Motor Vehicles (DMV) to require applicants for the issuance or renewal of driver's licenses or non-driver identification cards who lacked valid Social Security numbers (SSNs) to prove that they were ineligible for SSNs by submitting immigration documents issued by the Department of Homeland Security (DHS), plaintiffs failed to allege the existence of any "legal presence requirement" distinct from the DMV's practice of insisting on DHS documents as proof of ineligibility for an SSN. No specific policy or practice of DMV embodied the "legal presence requirement," other than the practice of requiring DHS documents to prove SSN ineligibility. Internal documents in which DMV had used the term "legal presence" had nothing to do with any policy or practice claimed by plaintiffs to be unlawful.

Administrative Law — Rule Making — Proof of Identity Required for Issuance or Renewal of Driver's Licenses or Non-driver Identification Cards — Submission of Documents Issued by Department of Homeland Security

4. In requiring applicants for the issuance or renewal of driver's licenses or non-driver identification cards who lacked valid Social Security numbers (SSNs) to prove that they were ineligible for SSNs by submitting immigration documents issued by the Department of Homeland Security (DHS), the Department of Motor Vehicles (DMV) did not violate procedural requirements applicable to agency rules and regulations. Although DMV's requirement of DHS documentation was not filed in the Department of State, was not published as a rule and was not preceded either by a notice of proposed rule-making or by an opportunity for public comment (*see* NY Const, art IV, § 8; State Administrative Procedure Act § 202 [1]), the requirement was not thereby rendered invalid. The requirement of DHS documentation did not

impose a new obligation on applicants. The obligation to supply “proof that [the applicant] is not eligible for a social security number” was imposed by a preexisting regulation, 15 NYCRR 3.9 (a). The policy challenged by plaintiffs was merely an interpretation or explanation of a preexisting rule and specified what proof was acceptable.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Administrative Law §§ 190–193, 199, 212, 214;
 AM JUR 2d, Automobiles and Highway Traffic §§ 107,
 108, 117, 119; AM JUR 2d, Constitutional Law §§ 784,
 785, 802, 803.
 MCKINNEY’S, State Administrative Procedure Act § 202 (1);
 Vehicle and Traffic Law § 490 (3) (a) (i); § 502 (1), (6);
 § 508 (2); NY Const, art IV, § 8.
 15 NYCRR 3.9 (a).
 NY JUR 2d, Administrative Law §§ 139, 144, 157, 173, 174,
 178, 181–183, 303, 304; NY JUR 2d, Automobiles and
 Other Vehicles §§ 4, 441, 445, 446, 471, 472; NY JUR 2d,
 Constitutional Law §§ 350, 352, 365.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Drivers’ Li-
 censes; Equal Protection of Law; Immigration and Natural-
 ization; Social Security.

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POINTS OF COUNSEL

Patterson Belknap Webb & Tyler LLP, New York City (Adam J. Pessin, Steven A. Zalesin and Christine H. Miller of counsel), and *Puerto Rican Legal Defense and Education Fund* (Foster S. Maer and Jackson Chin of counsel), for appellants. I. The Department of Motor Vehicles’ rule requiring legal presence is invalid under the laws of New York. (*Giuliani v Hevesi*, 90 NY2d 27; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Seittelman v Sabol*, 91 NY2d 618; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Matter of Jones v Berman*, 37 NY2d 42; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *People v Cull*, 10 NY2d 123.)

II. The Department of Motor Vehicles' Temporary Visitors Program is invalid under the laws of New York. (*Wisholek v Douglas*, 97 NY2d 740; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Matter of Lue-Shing v Travis*, 12 AD3d 802.) III. The legal presence rule and the Temporary Visitors Program violate equal protection. (*Matter of Aliessa v Novello*, 96 NY2d 418; *Plyler v Doe*, 457 US 202; *Sugarman v Dougall*, 413 US 634; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 83 AD2d 217; *Trimble v Gordon*, 430 US 762; *Hernandez v Robles*, 7 NY3d 338; *Matter of Esler v Walters*, 56 NY2d 306; *Graham v Richardson*, 403 US 365; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Bernal v Fainter*, 467 US 216.) IV. Plaintiffs are favored by a balance of the equities and will suffer irreparable injury in the absence of relief. (*Pringle v Wolfe*, 88 NY2d 426; *Bell v Burson*, 402 US 535; *Krimstock v Kelly*, 306 F3d 40; *Stypmann v San Francisco*, 557 F2d 1338; *Conroy v Melton*, 82 Misc 2d 750; *Brad H. v City of New York*, 185 Misc 2d 420; *Chernoff Diamond & Co. v Fitzmaurice, Inc.*, 234 AD2d 200.)

Andrew M. Cuomo, Attorney General, New York City (Gregory Silbert, Barbara D. Underwood and Michael S. Belohlavek of counsel), for respondent. I. All of plaintiffs' claims should be dismissed as nonjusticiable. (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AF-SCME, AFL-CIO v Cuomo*, 64 NY2d 233; *Kihl v Pfeffer*, 94 NY2d 118; *Perez v New York City Hous. Auth.*, 229 AD2d 310; *Rocco v KCL Protective Servs.*, 283 AD2d 317; *Sarlund v Anderson*, 205 F3d 973; *Empire Blue Cross & Blue Shield v Finkelstein*, 111 F3d 278; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. The challenged documentation requirements are within the lawful authority of the Commissioner of Motor Vehicles. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337; *Matter of Jones v Berman*, 37 NY2d 42; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Abrams v New York City Tr. Auth.*, 39 NY2d 990; *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Motor Vehicle Mfrs. Assn. of United States, Inc. v State Farm Mut. Automobile Ins. Co.*, 463 US 29.) III. The one year/six month guideline is within the Commissioner of Motor Vehicles lawful authority. IV.

The Department of Motor Vehicles' documentation requirements and the one year/six month guideline need not be promulgated as regulations or be filed with the Secretary of State to be effective. (*Matter of Elcor Health Servs. v Novello*, 100 NY2d 273; *Matter of Town of Middletown v State Bd. of Real Prop. Servs.*, 272 AD2d 657; *Matter of HMI Mech. Sys. v McGowan*, 277 AD2d 657; *National Assn. of Ind. Insurers v State of New York*, 207 AD2d 191, 89 NY2d 950; *Caraballo v Reich*, 11 F3d 186; *People v Ditniak*, 28 NY2d 74; *People v Cull*, 10 NY2d 123; *Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Matter of Rubin v Campbell*, 48 NY2d 805.) V. The challenged documentation requirements and the one year/six month guideline fully comport with state and federal equal protection guarantees. (*Dallas v Stanglin*, 490 US 19; *FCC v Beach Communications, Inc.*, 508 US 307; *Plyler v Doe*, 457 US 202; *Miller v Reed*, 176 F3d 1202; *Dixon v Love*, 431 US 105; *United States v Toner*, 728 F2d 115; *John Doe No. 1 v Georgia Dept. of Pub. Safety*, 147 F Supp 2d 1369; *Hernandez v Robles*, 7 NY3d 338; *LeClerc v Webb*, 419 F3d 405, 444 F3d 428; *Matter of Aliessa v Novello*, 96 NY2d 418.)

OPINION OF THE COURT

SMITH, J.

The Department of Motor Vehicles (DMV) will not issue driver's licenses to applicants who lack valid Social Security numbers (SSNs), unless those applicants prove that they are ineligible for SSNs. As proof of ineligibility the DMV requires applicants to submit immigration documents issued by the Department of Homeland Security (DHS).

Plaintiffs, claiming that this DMV policy is essentially an effort to deny driver's licenses to immigrants not legally present in New York, challenge it as unauthorized by statute, as infringing constitutional protections and as violating procedural requirements applicable to agency rules and regulations. We hold that the Appellate Division correctly dismissed plaintiffs' claims.

Facts and Procedural History

Plaintiffs are immigrants from foreign countries who live in the State of New York. Their complaint alleged that they, and the other members of the class they seek to represent, "have been or will be denied driver's licenses or identification cards" because of their inability to produce SSNs "or otherwise docu-

ment their legal immigration status” to the DMV’s satisfaction. More specifically, plaintiffs complained of two DMV practices.

First, plaintiffs challenged the so-called “one year six month” policy, under which the DMV required applicants who were authorized to remain in the United States only temporarily to submit documents showing that their authorization to remain had extended for at least a year, and that they had at least six months remaining in their legal stay. On April 23, 2007, DMV announced that it was rescinding the one year six month policy, and the Attorney General has represented to us that the rescission is permanent. We are satisfied that this aspect of the case is moot.

In the second branch of plaintiffs’ case, now the only one before us, they challenge the form of proof that the DMV demands of applicants for driver’s licenses who claim to be ineligible for SSNs. The practice plaintiffs complain of began in 2001, when the DMV made its procedure for verifying ineligibility more stringent.

Until 2001, an applicant who met all conditions to the issuance of a driver’s license except the submission of a valid SSN could get a license by submitting a letter (known as an “L676” letter) from the Social Security Administration (SSA) rejecting an application for a Social Security card on the ground that the applicant was ineligible for an SSN. The form of L676 letter acceptable to the DMV says the applicant’s DHS-issued documents show that no SSN can be issued—i.e., that the applicant, though authorized to be present in the United States, is not authorized to work here.

On September 6, 2001, the DMV began requiring applicants without SSNs to submit to the DMV not only an L676 letter, but their underlying DHS documents. Plaintiffs claim that, in imposing this new requirement, the Commissioner of Motor Vehicles acted without statutory authority and in an arbitrary and capricious manner; that he violated the mandatory rule-making requirements of the State Administrative Procedure Act and the State Constitution; and that he deprived them and others similarly situated of the equal protection of the laws.

Supreme Court granted plaintiffs’ motion for a temporary restraining order and preliminary injunction and denied the Commissioner’s cross motion to dismiss the complaint, holding, as to the claims that remain at issue here, that the DMV’s insistence on DHS documentation was unauthorized by statute and

violated rule-making requirements. The Appellate Division reversed, declared the procedures used by the Commissioner to be within his authority and enforceable, and dismissed the complaint. Plaintiffs appeal to us as of right, pursuant to CPLR 5601 (b). We now affirm the Appellate Division's order, except as it relates to the claims that have become moot.

Discussion

Plaintiffs challenge the DMV's policy of requiring DHS documentation on substantive and procedural grounds. Both lack merit.

I

Vehicle and Traffic Law § 502 (1) requires applicants for driver's licenses to "furnish such proof of identity, age, and fitness as may be required by the commissioner." A 1995 amendment to section 502 (1) added the more specific requirement of an SSN: "In addition, the commissioner also shall require that the applicant provide his or her social security number." Similar requirements apply to applicants for the renewal of driver's licenses (Vehicle and Traffic Law § 502 [6]) and non-driver identification cards (Vehicle and Traffic Law § 490 [3] [a] [i]). Vehicle and Traffic Law § 508 (2) says that all applicants "shall furnish all information required by statute and such other information as the commissioner shall deem appropriate."

The statutes might be thought to mean that only people with SSNs may receive driver's licenses, but the Commissioner has not interpreted them so strictly. A DMV regulation, 15 NYCRR 3.9 (a), says: "An applicant for a license or a non-driver identification card or an applicant renewing such a license or such identification card must submit his or her social security number *or provide proof that he/she is not eligible for a social security number.*" (Emphasis added.)

The Commissioner thus concedes that people who do not have SSNs—i.e., people without authorization to work in the United States—may be entitled to driver's licenses. Plaintiffs also make a concession: They do not challenge the DMV's right to require proof that applicants are ineligible for SSNs. They admit in their brief that the DMV may properly verify "possession of a SSN or SSN ineligibility." Indeed, they concede that the DMV's former requirement for proof of ineligibility—an L676 letter from SSA, saying that the applicant's DHS documents demonstrate ineligibility for an SSN—was valid. They object, however,

to the DMV's insistence on the submission of DHS documents as proof of ineligibility.

Plaintiffs' concession is important. By making it, they essentially concede that the Commissioner need not issue driver's licenses to undocumented aliens, because undocumented aliens cannot obtain L676 letters showing that they are ineligible for SSNs. To state the obvious, undocumented aliens lack documents, United States-issued documents at least, and the DMV's right to insist on such documents is undisputed.

The question thus boils down to *what* United States-issued documents the DMV can lawfully require as proof of ineligibility for an SSN. Plaintiffs say it cannot require the submission of DHS documents, but their argument is flawed.

To get the kind of L676 letter required under former DMV policy—a policy plaintiffs concede was valid—a person must submit DHS documents to the SSA. The L676 letter submitted in this case as an example says: “YOUR DEPARTMENT OF HOMELAND SECURITY DOCUMENTS SHOW THAT YOU DO NOT HAVE WORK AUTHORIZATION . . .” The obvious question arises: If an applicant has already submitted DHS documents to the SSA, why can he or she not submit the same documents to the DMV? Plaintiffs offer no answer to this question.

[1] The Commissioner says that the DMV's decision to require DHS documentation in addition to an L676 letter was necessary to prevent people from obtaining driver's licenses by fraud. He points out that the L676 letter is a simple, publicly available form consisting of typed and sometimes handwritten words on white paper, easily faked by anyone with access to a Xerox machine. DHS documents, the Commissioner says, are not so easily manufactured. Again, plaintiffs offer no real answer: they have submitted no evidence to show either that the danger of fraud is not real, or that the insistence on DHS documentation will be ineffective in combating it. Nothing in the record suggests that the DMV's concern about fraud is a subterfuge. The policy of requiring DHS documentation was not the result of a post-September 11 panic over immigration; the internal document adopting the policy is dated September 6, 2001.

In short, plaintiffs fail to dispute two key facts: the policy at issue imposes no significant burden on driver's license applicants beyond the burden, which plaintiffs concede is properly imposed, of submitting an L676 letter; and the requirement of

submitting DHS documentation to the DMV is a reasonable fraud-prevention measure. These undisputed facts defeat plaintiffs' challenges to the substance of the DMV policy.

Plaintiffs argue that, by requiring DHS documentation showing ineligibility for an SSN, the Commissioner has exceeded his statutory authority to decide what materials applicants for licenses must submit. The statutes make plain that that authority is broad: applicants are to furnish "such proof of identity . . . as may be required by the commissioner" (Vehicle and Traffic Law § 502 [1]) and "such other information as the commissioner shall deem appropriate" (*id.* § 508 [2]). Indeed, plaintiffs admit that the Commissioner can require proof of ineligibility for an SSN in the form of an L676 letter based on DHS documents. They do not explain how, in light of that concession, it could possibly be beyond his authority to require submission of the DHS documents themselves. His choice to do so is clearly within the power granted by the Legislature.

[2] Plaintiffs also argue that to require submission of DHS documents is a violation of equal protection. They frame the issue in terms of discrimination against aliens, or against undocumented aliens—but, as what we have already said makes clear, this case does not present any such issue. The line drawn by the policy plaintiffs challenge is only between applicants who submit L676 letters unaccompanied by the underlying DHS documents, and those who submit the underlying documents with the letters. This classification of applicants plainly creates no suspect class, infringes no fundamental right and raises no serious equal protection questions (*see Affronti v Crosson*, 95 NY2d 713, 718-719 [2001]).

[3] Perhaps mindful of the gap in logic from which their argument suffers, plaintiffs insist that their attack on DMV policy is not limited to the DMV's requirement that ineligibility for an SSN be proved by DHS documents. Painting with a broader brush, they attack what they call the DMV's "legal presence requirement" for "all applicants for licenses and IDs." But plaintiffs point to no specific policy or practice in which they say the "legal presence requirement" is embodied, other than the practice of requiring DHS documents to prove SSN ineligibility. Plaintiffs rely on internal documents in which the DMV has used the term "legal presence"—but these documents have nothing to do with any policy or practice that plaintiffs say is unlawful; the documents, dated in 2002, state that DMV requirements for proof of *age*—requirements plaintiffs do not challenge in this litigation—serve to verify "legal presence."

We conclude that plaintiffs have failed to allege the existence of any “legal presence requirement” distinct from the DMV’s practice of insisting on DHS documents as proof of ineligibility for an SSN. And plaintiffs have failed, for the reasons we have explained, to allege facts showing that that practice is substantively unlawful.

II

Plaintiffs also challenge the DMV’s policy on procedural grounds. As they point out, while the requirement that each applicant must “provide proof that he/she is not eligible for a social security number” is embodied in a formal regulation, the requirement that that “proof” include DHS documents is reflected only in an internal DMV memorandum. Plaintiffs say that this informal method of imposing the requirement violates the State Constitution and the State Administrative Procedure Act.

Article IV, § 8 of the State Constitution says, in relevant part:

“No rule or regulation made by any state department, board, bureau, officer, authority or commission, except such as relates to the organization or internal management of a state department, board, bureau, authority or commission shall be effective until it is filed in the office of the department of state. The legislature shall provide for the speedy publication of such rules and regulations by appropriate laws.”

State Administrative Procedure Act § 202 (1) (a) says, in relevant part: “Prior to the adoption of a rule, an agency shall submit a notice of proposed rule making to the secretary of state for publication in the state register and shall afford the public an opportunity to submit comments on the proposed rule.”

[4] DMV’s requirement of DHS documentation was not filed in the Department of State, was not published as a rule, and was not preceded either by a notice of proposed rulemaking or by an opportunity for public comment. Plaintiffs contend that the failure to follow these procedures renders the requirement invalid—as it does, if the requirement is a “rule” or “regulation” within the meaning of the constitutional and statutory provisions. The Commissioner argues, however, that the documentation requirement is merely an interpretation or

explanation of a preexisting rule. We agree with the Commissioner.

A “rule” is defined by the State Administrative Procedure Act to include “the whole or part of each agency statement, regulation or code of general applicability that implements or applies law,” but excluding “interpretive statements and statements of general policy which in themselves have no legal effect but are merely explanatory” (State Administrative Procedure Act § 102 [2] [a] [i]; [b] [iv]). We have said that a “rule or regulation” is “a fixed, general principle to be applied by an administrative agency without regard to other facts and circumstances relevant to the regulatory scheme of the statute it administers” (*Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948, 951 [1985]). Our cases show that there is no clear bright line between a “rule” or “regulation” and an interpretative policy; but the requirement at issue here is the latter, not the former.

The requirement of DHS documentation does not impose a new obligation on applicants for driver’s licenses. The obligation to supply “proof that [the applicant] is not eligible for a social security number” is imposed by a preexisting regulation, 15 NYCRR 3.9 (a). The policy plaintiffs challenge merely specifies what proof is acceptable. The policy does not create or deny substantive rights of members of the public—i.e., it does not provide that some people are eligible and some ineligible for driver’s licenses—but sets forth the procedure for the agency to follow in deciding who meets a predetermined test for eligibility.

The policy resembles, in relevant ways, the one challenged in *Matter of Elcor Health Servs. v Novello* (100 NY2d 273, 279 [2003]). We held in *Elcor* that the Department of Health could require certain documentation from health care providers to distinguish between “restorative therapy” and “maintenance therapy” without promulgating those documentation requirements as a regulation. (*See also People v Ditniak*, 28 NY2d 74, 80 [1971] [implementation of general authority to close Thruway service areas did not require rulemaking].) By contrast, requirements that we have held to be “rules” or “regulations” were generally broader, and of more direct public impact, than the one at issue here (*see People v Cull*, 10 NY2d 123, 129 [1961] [setting of speed limits pursuant to general statutory authority held to require rulemaking]; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296, 301 [1994] [requirement of 50% setoff for certain overpayments of unemployment insurance benefits held to require rulemaking]).

We therefore reject plaintiffs' procedural challenge to the DMV's requirement that DHS documents be submitted by applicants for driver's licenses who lack SSNs.

* * *

Accordingly, the order of the Appellate Division should be modified to delete the declaratory judgment that Commissioner's one year six month policy is within his authority and enforceable and, as so modified, affirmed, without costs.

CIPARICK, J. (dissenting in part). I agree with the majority that plaintiffs' challenge to the one year/six month rule has been rendered moot. However, because I believe that the Commissioner's imposition of a "legal presence" requirement in order to be eligible for a driver's license was outside the scope of his authority and, in any event, violated the State Administrative Procedure Act, I respectfully dissent.

Under the Vehicle and Traffic Law, an applicant for a driver's license "shall furnish such proof of identity, age, and fitness as may be required by the commissioner . . . [T]he commissioner also shall require that the applicant provide his or her social security number" (Vehicle and Traffic Law § 502 [1]). Similar requirements are in place for non-driver identification card (NDID) applicants (*see* Vehicle and Traffic Law § 490 [3]). The Commissioner has the authority to promulgate regulations in furtherance of these requirements (*see* Vehicle and Traffic Law § 508 [4]). As relevant here, in order to obtain or renew a driver's license or NDID, the applicant "must submit his or her social security number or provide proof that he/she is not eligible for a social security number" (15 NYCRR 3.9 [a]). The failure to provide a Social Security number (SSN) or proof of ineligibility will result in disqualification from procuring or renewing a license or NDID (*see* 15 NYCRR 3.9 [b]).

The DMV has developed new procedures regarding proof of identity, date of birth and ineligibility for a Social Security number which, in effect, impose an additional requirement on applicants—"legal presence," or proof consistent with lawful presence in the United States. An internal document dated April 19, 2002 known as a "Mailbag," states that

"[r]equiring proof of date of birth documentation is the single most important tool for preventing applicants, who do not have legal presence, from obtaining NYS driving privileges or NYS photo docu-

ments . . . [T]he only legitimate document that (s)he can present as proof of date of birth is [a Department of Homeland Security (DHS)] document.”¹

As proof of ineligibility for a SSN, the DMV under the old scheme would accept a form issued by the Social Security Administration (SSA), the SSA-L676, that lists several reasons why a person may be ineligible for a SSN, including that the individual has not produced the necessary documentation to establish identity or citizenship/lawful alien status. Recent internal DMV documents indicate that it will only accept a letter of ineligibility issued because the applicant’s “[DHS] documents show that [he or she does] not have work authorization and . . . [has] not provided a current valid non-work reason and supporting documentation for needing a social security number or replacement card.” In addition, DMV now requires applicants to provide current DHS documents in support of the ineligibility determination.

According to the Commissioner, these types of requirements are within his statutory authority. In particular, the Commissioner notes that it is important to be able to determine an applicant’s identity so that licenses and NDIDs are not used for fraudulent or criminal purposes. Moreover, the Commissioner asserts that the SSA-L676 form can be easily forged and that requiring current DHS documentation provides additional security since those documents can now be verified through the online SAVE (Systematic Alien Verification for Entitlements) system made available to the DMV through DHS.

Contrary to the Commissioner’s argument, it seems that the DMV has effectively added a requirement for license eligibility not authorized by statute. Through this policy the Commissioner is effectively setting immigration policy—an act well outside the scope of his authority—in the guise of verifying identity, which is clearly within his powers. “‘Even under the broadest and most open-ended of statutory mandates, an administrative agency may not use its authority as a license to correct whatever societal evils it perceives’ ” (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 865 [2003], quoting *Boreali v Axelrod*, 71 NY2d 1, 9 [1987]).

1. Although the majority notes that this document actually refers to proof of date of birth (or age), it clearly reflects the intent to preclude those without legal presence from obtaining a driver’s license or NDID.

In *Matter of Jones v Berman* (37 NY2d 42, 52-53 [1975]), the Court held that although the Social Services Commissioner may have promulgated a regulation in order to prevent fraud, the regulation imposed a requirement that was not found in the statute. “Administrative agencies can only promulgate rules to further the implementation of the law as it exists; they have no authority to create a rule out of harmony with the statute” (*Jones*, 37 NY2d at 53).

I do not dispute that fraud prevention is an important public purpose. However, as the trial court found, “evidence in the record indicates that DMV’s primary motivation has little to do with the identity of the applicants and more to do with national security issues” (2005 NY Slip Op 30091[U], at *10). If policy procedures requiring lawful presence in this country are to be implemented before the issuance of a driver’s license or a non-driver identification card, they should be implemented by the Legislature rather than the Motor Vehicles Commissioner. The Commissioner simply has not been vested with the authority to determine immigration or national security policies.²

But even assuming the Commissioner’s authority is as broad as the majority implies and that the Commissioner is authorized to act in this regard, the requirement imposed is a rule in violation of State Administrative Procedure Act and the State Constitution. The Constitution provides that “[n]o rule or regulation made by any state department, board, bureau, officer, authority or commission, except such as relates to the organization or internal management of a state department, board, bureau, authority or commission shall be effective until it is filed in the office of the department of state” (NY Const, art IV, § 8). In addition, under the State Administrative Procedure Act, “no rule shall become effective until it is filed with the secre-

2. It should be noted that Congress has enacted the REAL ID Act of 2005 (Pub L 109-13 division B, 119 US Stat 302, 312). Title II, § 202 of this Act imposes “minimum document requirements and issuance standards for federal recognition” of driver’s licenses and identification cards. The Act states that “a Federal agency may not accept, for any official purpose, a driver’s license or identification card issued by a State to any person unless the State is meeting the requirements of this section” (tit II, § 202 [a] [1]). The Act requires a state to verify an applicant’s “lawful status” in the United States (§ 202 [c] [2] [B]). States have until May 2008 to comply with the Act, unless they apply for and receive an extension from DHS until December 31, 2009 (*see* Department of Homeland Security, REAL ID Proposed Guidelines: Questions and Answers, <http://www.dhs.gov/xprevprot/laws/gc_1172767635686.shtm> [last mod Mar. 1, 2007]). New York has yet to amend the Vehicle and Traffic Law to comply with this legislation.

tary of state” (State Administrative Procedure Act § 203 [1]; *see also* § 202 [1] [requiring notice of proposed rulemaking and opportunity for public comment]; Executive Law § 102 [1] [a].) We have previously held “that only a fixed, general principle to be applied by an administrative agency without regard to other facts and circumstances relevant to the regulatory scheme of the statute it administers constitutes a rule or regulation” (*Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948, 951 [1985]).

Here, the legal presence requirement is applied rigidly and without consideration for the circumstances of individual applicants (*see Matter of Schwartzfigure v Hartnett*, 83 NY2d 296, 301-302 [1994]). The record does not support DMV’s assertion that its supervisors have the ability to make exceptions to this policy. Nor can the policy be deemed to relate to the “internal management” of the agency such that it would be excluded from the filing requirement under the State Constitution (*see* NY Const, art IV, § 8). Instead, it applies only externally, to persons seeking licenses or identification cards.

Certainly, the requirement to submit homeland security documents proving lawful presence in the United States constitutes “a fixed, general principle,” as it has become a prerequisite for obtaining a license or NDID that is contained neither in the statute nor in existing regulations. Thus, the Commissioner is not merely interpreting the statute or filling in the interstices (*see Matter of Medical Socy.*, 100 NY2d at 866), but is rulemaking without the requisite filing and notice to the public in violation of the State Administrative Procedure Act. Those applicants who cannot adequately establish their lawful presence in the United States will not be issued a driver’s license or NDID in New York. The Commissioner’s argument that this is not “a fixed, general principle” due to the evolving nature of what is considered acceptable identification documentation is unconvincing. Those who are unable to satisfy the documentation requirements are foreclosed from obtaining a license or NDID, a result that is clearly not mandated by statute or duly promulgated existing regulations.

As a result, I would modify the order of the Appellate Division by granting plaintiffs’ motion for a preliminary injunction to the extent that the Commissioner should be enjoined from imposing a legal presence requirement by requiring the production of DHS documents as a condition precedent to the issuance or renewal of a driver’s license, learner’s permit or NDID.

Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge SMITH; Judge CIPARICK dissents in part in a separate opinion in which Chief Judge KAYE concurs.

Order modified, etc.

[869 NE2d 654, 838 NYS2d 478]

MARGARITA RIVERA, Respondent, v KATTE ANILESH, D.D.S., et al., Defendants, and INDU ANILESH, D.D.S., Appellant.

Argued May 3, 2007; decided June 12, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 3, 2006. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, Bronx County (Betty Owen Stinson, J.), which had granted a motion by defendant Indu Anilesh, D.D.S. for summary judgment dismissing the first cause of action for dental malpractice as against her; (2) denied the motion; and (3) reinstated the first cause of action as against her. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of Supreme Court, properly made?”

Rivera v Anilesh, 32 AD3d 202, affirmed.

HEADNOTES

Physicians and Surgeons — Dentists — Malpractice — Habit Evidence — Routine Procedure for Administration of Anesthesia

1. In a dental malpractice action in which plaintiff alleged that defendant negligently performed injections of anesthesia and extraction of her tooth, and failed to properly manage the ensuing infection, evidence as to defendant’s routine procedure for administering injections of anesthesia was admissible as habit evidence supporting an inference that the same procedure was used in treating plaintiff. Defendant described the specific procedure that she used when injecting an anesthetic, her expert confirmed that this procedure was within the accepted standard of care for dentistry, and there was no evidence that defendant’s pre-extraction injection procedure varied from patient to patient. The record therefore contained proof of a deliberate and repetitive practice—the mundane administration of a local anesthetic prior to a relatively routine tooth extraction—by a trained, experienced professional in complete control of the circumstances. Defendant’s habit evidence was properly considered in conjunction with her motion for summary judgment and it was sufficient to shift the burden to plaintiff to provide evidence creating an issue of fact as to whether defendant committed malpractice.

Physicians and Surgeons — Dentists — Malpractice

2. In a dental malpractice action in which plaintiff alleged that defendant negligently performed injections of anesthesia and extraction of her tooth, and failed to properly manage the ensuing infection, summary judgment was properly denied to defendant. Although evidence as to defendant’s routine procedure for administering injections of anesthesia supported an inference that the same procedure was used in treating plaintiff, plaintiff’s testimony

that she experienced extreme pain during the second injection, together with her expert's opinion that the pain plaintiff felt demonstrated that the second injection was administered improperly, raised a question of fact whether defendant negligently performed the injection. The expert explained why the infection could not have originated from the site of the extracted tooth and stated that an injection in the wrong place could cause a hematoma that materially increased the possibility of an infection like the one that developed in plaintiff's jaw.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 390, 392, 393, 400, 402, 403; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 188–190, 192, 194, 198, 205, 237, 248, 289, 307, 308, 318, 319, 321, 322.

CARMODY-WAIT 2d, Presentation of the Case § 56:49.

NY JUR 2d, Evidence and Witnesses § 209; Malpractice §§ 86, 111, 112, 114, 150, 308, 316.

PROSSER AND KEETON, TORTS (5th ed) §§ 32–34.

ANNOTATION REFERENCES

Habit or routine practice evidence under uniform evidence rule 406. 64 ALR4th 567.

Medical negligence in extraction of tooth, established through expert testimony. 18 ALR6th 325.

Propriety, in medical malpractice case, of admitting testimony regarding physician's usual custom or habit in order to establish nonliability. 18 ALR4th 1243.

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POINTS OF COUNSEL

Landman Corsi Ballaine & Ford P.C., New York City (William G. Ballaine and Sophia Ree of counsel), for appellant. I. Applying governing New York case law, defendant's custom and practice testimony is admissible to establish her conduct when she treated plaintiff. (*Halloran v Virginia Chems.*, 41 NY2d 386; *Rigie v Goldman*, 148 AD2d 23; *Nigro v Benjamin*, 155 AD2d 872; *Greenberg v New York City Tr. Auth.*, 290 AD2d 412; *Biesiada v Suresh*, 309 AD2d 1245; *Gier v CGF Health Sys.*, 307 AD2d 729; *Witherel v Balling Constr.*, 99 AD2d 646; *Gushlaw v Roll*, 290 AD2d 667; *Glusaskas v John E. Hutchinson, III, M.D., P.C.*, 148 AD2d 203; *Orloski v McCarthy*, 274 AD2d 633, 95 NY2d

767.) II. Plaintiff should be precluded from objecting to the admissibility of defendant's custom and practice testimony on appeal. (*First Intl. Bank of Israel v Blankstein & Son*, 59 NY2d 436; *Akamnonu v Rodriguez*, 12 AD3d 187; *Sam v Town of Rotterdam*, 248 AD2d 850, 92 NY2d 804.) III. The motion court properly granted defendant summary judgment dismissing plaintiff's dental malpractice claims. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Matosic v Gelb*, 232 AD2d 221; *Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Zuckerman v City of New York*, 49 NY2d 557; *Hooke v Speedy Auto Ctr.*, 4 AD3d 110; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *DeCicco v Roberts*, 202 AD2d 165; *Pasquale v Miller*, 194 AD2d 597.)

Capriano Lichtman & Flach, LLP, New York City (*Michael H. Skliar* of counsel), for respondent. I. Plaintiff should not be precluded from addressing the Appellate Division's majority opinion. (*Sega v State of New York*, 60 NY2d 183; *Chateau D' If Corp. v City of New York*, 219 AD2d 205; *Matter of Daubman v Nassau County Civ. Serv. Commn.*, 195 AD2d 602.) II. The decision by the majority in the Appellate Division was correctly decided. (*Halloran v Virginia Chems.*, 41 NY2d 386; *Rigie v Goldman*, 148 AD2d 23; *Ferrer v Harris*, 55 NY2d 285; *Gushlaw v Roll*, 290 AD2d 667; *Glusaskas v John E. Hutchinson, III, M.D., P.C.*, 148 AD2d 203; *Acevedo v New York City Health & Hosps. Corp.*, 251 AD2d 21, 92 NY2d 808; *Nigro v Benjamin*, 155 AD2d 872; *Biesiada v Suresh*, 309 AD2d 1245.) III. Defendant's custom and practice testimony only raises, at best, an inference and cannot by itself support the granting of summary judgment. (*Lindeman v Slavin*, 184 AD2d 910; *Kindelan v Society of N.Y. Hosp.*, 277 AD2d 75.) IV. In the alternative, questions of fact preclude granting of summary judgment as to defendant Indu Anilesh. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Miller v Long Is. Light. Co.*, 166 AD2d 564; *Halkias v Otolaryngology-Facial Plastic Surgery Assoc.*, 282 AD2d 650; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Sisko v New York Hosp.*, 231 AD2d 420; *Parker v Mobil Oil Corp.*, 7 NY3d 434.)

LeBoeuf, Lamb, Greene & MacRae LLP, New York City (*John M. Aerni* and *Carol A. Lafond* of counsel), for New York State Dental Association and another, amici curiae. Habit evidence is admissible in professional malpractice actions in accordance with the standard enunciated in *Halloran v Virginia Chems.* (41 NY2d 386 [1977]). (*Glusaskas v John E. Hutchinson, III, M.D., P.C.*, 148 AD2d 203; *Gushlaw v Roll*, 290 AD2d 667; *Acevedo v*

New York City Health & Hosps. Corp., 251 AD2d 21; *Rigie v Goldman*, 148 AD2d 23; *Nigro v Benjamin*, 155 AD2d 872; *Biesiada v Suresh*, 309 AD2d 1245; *Lindeman v Slavin*, 184 AD2d 910.)

Michael A. Cardozo, Corporation Counsel, New York City (*Pamela Seider Dolgow, Amy London and John Hogrogian* of counsel), for City of New York and another, amici curiae. Custom and practice testimony about deliberate and repetitive procedures is admissible in professional malpractice actions as evidence of behavior on a particular occasion. (*Halloran v Virginia Chems.*, 41 NY2d 386; *Biesiada v Suresh*, 309 AD2d 1245; *Orlowski v McCarthy*, 274 AD2d 633, 95 NY2d 767; *Rigie v Goldman*, 148 AD2d 23; *Gushlaw v Roll*, 290 AD2d 667; *Glusaskas v John E. Hutchinson, III, M.D., P.C.*, 148 AD2d 203; *Acevedo v New York City Health & Hosps. Corp.*, 251 AD2d 21, 92 NY2d 808.)

Kramer, Dillof, Livingston & Moore, New York City (*Matthew Gaier and Brian J. Isaac* of counsel), for New York State Trial Lawyers' Association, amicus curiae. The well-established law of this state permits the admission of evidence during a trial of a doctor's custom and practice upon a showing of a deliberate, repetitive, and consistent response under like circumstances based upon a sufficient number of instances to give rise to an inference of its persistence. (*Matter of Brandon*, 55 NY2d 206; *Coopersmith v Gold*, 89 NY2d 957; *Castracane v Campbell*, 300 AD2d 704; *Locapo v Suffolk County Water Auth.*, 284 AD2d 505; *Zucker v Whitridge*, 205 NY 50; *Warner v New York Cent. R.R. Co.*, 44 NY 465; *Hartley v Szadkowski*, 32 AD2d 550; *Halloran v Virginia Chems.*, 41 NY2d 386; *People v Mertz*, 68 NY2d 136; *Rigie v Goldman*, 148 AD2d 23.)

OPINION OF THE COURT

GRAFFEO, J.

In this malpractice action by a patient against her dentist, we are asked whether the dentist's routine procedure for administering an anesthetic injection is admissible as habit evidence supporting an inference that the same procedure was used when treating the patient. Based on the record before us, we conclude that the habit and routine practice testimony is admissible.

I

Plaintiff Margarita Rivera had been a patient of defendant Dr. Indu Anilesh, a dentist, since 1991. On May 4, 2000, Rivera went to Dr. Anilesh's office with complaints related to a molar

on the lower left-side of her jaw (tooth number 20). Dr. Anilesh determined that the tooth required extraction because it had a fractured restoration, was mobile in three planes and there was a loss of bone beneath the tooth. After discussing the extraction procedures with Dr. Anilesh, Rivera agreed that the tooth should be removed.

Before beginning the extraction, Dr. Anilesh performed a “lower left mandibular block injection” in order to numb the area near tooth number 20. According to Rivera, she continued to have sensation in this location after the injection so Dr. Anilesh gave her a second injection of the anesthetic. When Dr. Anilesh did so, Rivera claims she experienced extreme pain that felt like an electric shock. The injections sufficiently numbed Rivera’s mouth and the extraction was completed.

During the four days following the procedure, Rivera purportedly developed a fever, had pain in her mouth that prevented her from eating and experienced increased swelling in her face. As a result, she returned to visit Dr. Anilesh on May 8, 2000. Dr. Anilesh prescribed antibiotics, pain medication and a mouthwash. Rivera states that she took the medicine as directed but that it did not relieve her pain. After several days, she returned to Dr. Anilesh and was referred to an oral surgeon.

The surgeon who treated Rivera concluded that her pain was emanating from the left temporomandibular joint (TMJ). He instructed Rivera to eat soft foods and prescribed an anti-inflammatory drug and a muscle relaxer for her. During a follow-up appointment a week later, Rivera told the surgeon that her mouth felt better and that she had a full range of motion in her jaw, although she still felt some pain from the TMJ. Based on this progress, the surgeon discontinued the muscle relaxer and advised Rivera to return for treatment as needed.

Two weeks later, Rivera again visited the surgeon’s office and was seen by a different oral surgeon. Rivera reported that she still felt pain in her mouth and could not open her jaw completely. The doctor applied a local anesthetic and moist heat to the area that was painful. A week later, Rivera could barely open her mouth. She was examined by a third oral surgeon, who referred her to a local hospital. The physicians at the hospital diagnosed a severe infection in Rivera’s jaw that required her to be hospitalized for approximately three weeks.

Rivera commenced this action against Drs. Indu and Katte Anilesh, as well as the first two oral surgeons who treated her.¹ Rivera's complaint asserted causes of action for malpractice and lack of informed consent. As to the malpractice claim, Rivera alleged that Dr. Anilesh negligently performed the injections of anesthesia and extraction of the tooth, and failed to properly manage the ensuing infection.

Dr. Anilesh moved for summary judgment dismissing the complaint, relying on her deposition testimony and an affirmation from another oral surgeon. Dr. Anilesh testified that she did not recollect treating Rivera for the problem with tooth number 20 and, therefore, she could not recall what had occurred during the extraction. She did, however, state that the administration of this type of injection was a "routine procedure[]" that she did "every day" to "at least three to four or five" patients and that she had been practicing as a dentist since 1982. Dr. Anilesh further explained that a second injection of anesthesia was required in 15% to 20% of her cases. She provided a step-by-step description of the procedure she used to give injections to her patients and claimed that, when a second injection was necessary, she administered it at the same site as the first injection. Dr. Anilesh noted that if a patient complained of unusual pain or any other unexpected events occurred during treatment, she would make a notation in the patient's medical chart but that no such note existed for Rivera. Dr. Anilesh's expert opined that Dr. Anilesh's treatment of Rivera was within the applicable standard of care in dentistry.

Rivera's opposition to the motion for summary judgment was premised on her testimony that the second injection of anesthetic had caused her pain. She also submitted an expert affirmation from a dentist who averred that Dr. Anilesh had deviated from the accepted standard of care because a properly administered second injection in the same location as a first injection would not cause a patient any pain because that part of the mouth would already be numb from the first injection. The expert concluded that since Rivera felt pain, Dr. Anilesh could not have injected the second course of anesthesia in the proper location. Rivera's expert therefore opined that the second injection was "much more likely to result in a subsequent infec-

1. The claims against Dr. Katte Anilesh (the husband of Dr. Indu Anilesh) were later discontinued by stipulation and the claims against the oral surgeons were dismissed.

tion than an injection in the proper location” because it could cause a hematoma to form, increasing Rivera’s susceptibility to an infection. Based on the proximity of the extraction site to the area of the infection, Rivera’s expert determined that the wrongly administered second injection—not the extraction of tooth number 20—caused the introduction of bacteria and led to the infection.

Supreme Court granted Dr. Anilesh’s motion for summary judgment. The court found that Dr. Anilesh’s deposition testimony and her expert affirmation established that she acted in accordance with generally accepted dental practices. The court also held that, even if Dr. Anilesh gave the second shot in the wrong location, the opinion of Rivera’s expert that this could result in an infection was speculative and insufficient to preclude summary judgment.

The Appellate Division reversed and denied summary judgment in a divided decision.² The majority concluded that Dr. Anilesh’s testimony about her customary practice for administering anesthesia was inadmissible and could not be used to raise an inference that Dr. Anilesh adhered to her habitual protocols when she treated Rivera. Two Justices agreed that summary judgment should not have been granted, but determined that Dr. Anilesh’s testimony regarding her routine technique for administering anesthetic injections was admissible because the procedure was deliberate and repetitive, and Rivera failed to offer any evidence that the protocol for administering such an injection varied with a patient’s individual circumstances. The concurring Justices, however, found that Rivera’s statement that she was injected twice, coupled with the opinion of her expert that the second injection was given in the wrong location, created an issue of fact as to whether Dr. Anilesh adhered to accepted standards of care. The Appellate Division granted Dr. Anilesh’s application for leave to appeal to this Court and certified the following question to us: “Was the order of this Court, which reversed the order of Supreme Court, properly made?”

II

In *Halloran v Virginia Chems.* (41 NY2d 386, 391 [1977]), we explained that “evidence of habit has, since the days of the

2. Rivera did not challenge the dismissal of the cause of action premised on lack of informed consent and that portion of the appeal was deemed abandoned by the Appellate Division.

common-law reports, generally been admissible to prove conformity on specified occasions” because “one who has demonstrated a consistent response under given circumstances is more likely to repeat that response when the circumstances arise again.” The applicability of this doctrine is limited to cases where the proof demonstrates “a deliberate and repetitive practice” by a person “in complete control of the circumstances” (*id.* at 392) as opposed to “conduct however frequent yet likely to vary from time to time depending upon the surrounding circumstances” (*id.* at 389). If these conditions are satisfied, “a party should be able, by introducing evidence of such habit or regular usage, to allow the inference of its persistence . . . on a particular occasion” (*id.* at 392).

The plaintiff in *Halloran*, an automobile mechanic, had a practice of heating cans of Freon before transferring the gas to automobile air conditioning systems, contrary to the warnings on the labels. The plaintiff was injured when a can exploded after being heated. The manufacturer of the refrigerant sought to introduce evidence that the plaintiff had a habit of heating the cans by placing them into a container of water heated by an immersion coil. The plaintiff admitted using warm tap water on the day of the explosion, but denied that he used an immersion coil. Because there was evidence that the plaintiff had serviced hundreds of air conditioning units and handled thousands of cans of Freon, we observed that if the evidence tended to demonstrate that the plaintiff paired this practice with using an immersion coil on a sufficient number of occasions, such evidence would be admissible to raise an inference that an immersion coil was used on the day of the accident.

Aside from *Halloran*, we have had few opportunities to consider the contours of the habit evidence rule (*see Ferrer v Harris*, 55 NY2d 285, 294 [1982] [evidence that mother had told her daughter not to cross the street without looking for cars was not admissible as habit evidence because the plaintiff made no showing of “a persistent habit or regular usage by one in control of the circumstances in which it is employed”]) and none have occurred in the context of medical or dental procedures. The Appellate Divisions have generally adopted the proposition that normal documentation and notification protocols,³

3. *See e.g. Gier v CGF Health Sys.*, 307 AD2d 729 (4th Dept 2003) (evidence that it was normal protocol to notify the on-call attending physician at

(n. cont'd)

routine warnings to patients⁴ and the processes for undertaking certain noninvasive medical procedures⁵ can qualify as habit evidence. In contrast, evidence concerning a physician's surgical practices has been deemed inadmissible under the theory that every surgery is necessarily unique and varies depending on the nature of the patient's medical condition and the actions of the doctor.⁶

[1] Without commenting on the propriety of these decisions, the record here supports the admissibility of Dr. Anilesh's routine procedure for administering injections of anesthesia under the standard articulated in *Halloran* in light of the frequency that this technique was used in Dr. Anilesh's dental practice and the nature of the routine conduct.⁷ Dr. Anilesh explained that she gave this type of injection every day to three to five patients and that she had been practicing as a dentist since 1982. Even by a conservative estimate, this testimony would indicate that Dr. Anilesh performed this procedure in the same manner thousands of times.

Nor do we believe that the nature of this injection process renders it unsuitable for consideration as habit evidence. Dr. Anilesh described the specific procedure that she used when injecting an anesthetic and her expert confirmed that this procedure was within the accepted standard of care for dentistry. Relatedly, there is no evidence suggesting that Dr. Anilesh's pre-extraction injection procedure would vary from patient to patient depending on the particular medical circumstances or physical condition of the patient. This record therefore contains "proof of a deliberate and repetitive practice"—the mundane

the time of a patient's admission); *Orloski v McCarthy*, 274 AD2d 633 (3d Dept 2000) (testimony of a custom for documenting patient complaints and maintaining medical records), *lv denied* 95 NY2d 767 (2000).

4. See e.g. *Soltis v State of New York*, 188 AD2d 201 (3d Dept 1993); *Rigie v Goldman*, 148 AD2d 23 (2d Dept 1989).

5. See e.g. *Biesiada v Suresh*, 309 AD2d 1245 (4th Dept 2003) (testimony concerning the protocol for transferring a stroke patient from a supine to a seated position); *Nigro v Benjamin*, 155 AD2d 872 (4th Dept 1989) (testimony concerning the protocol the defendant followed when conducting breast examinations).

6. See e.g. *Gushlaw v Roll*, 290 AD2d 667 (3d Dept 2002) (extraction of wisdom tooth); *Glusaskas v John E. Hutchinson, III, M.D., P.C.*, 148 AD2d 203 (1st Dept 1989) (videotape of subsequent surgery on different patient).

7. See e.g. *Wilson v Volkswagen of Am., Inc.*, 561 F2d 494, 511 (4th Cir 1977) (in determining admissibility, "the key criteria are 'adequacy of sampling and uniformity of response,'" quoting Fed Rules Evid rule 406, Advisory Comm Notes), *cert denied* 434 US 1020 (1978).

administration of a local anesthetic prior to a relatively routine tooth extraction—by a trained, experienced professional “in complete control of the circumstances” (*Halloran*, 41 NY2d at 392). We conclude that Dr. Anilesh’s habit evidence was properly considered by Supreme Court in conjunction with the motion for summary judgment and that it was sufficient to shift the burden to Rivera to provide evidence creating an issue of fact as to whether Dr. Anilesh committed malpractice.

[2] Rivera’s proof satisfied her burden by raising factual issues that require a trial. Her testimony that she experienced extreme pain during the second injection, together with her expert’s opinion that the pain Rivera felt demonstrated that the second injection was administered improperly, raises a question of fact whether Dr. Anilesh negligently performed the injection. Although Dr. Anilesh argues that Rivera failed to proffer any evidence, aside from the opinion of her expert, that the alleged negligence caused the infection, the expert explained why the infection could not have originated from the site of the extracted tooth and stated that an injection in the wrong place could cause a hematoma that materially increased the possibility of an infection like the one that developed in Rivera’s jaw. Consequently, a jury must determine whether Dr. Anilesh committed malpractice and, if so, whether her negligence was the proximate cause of Rivera’s infection.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

[870 NE2d 146, 838 NYS2d 828]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LARRY
BRATTON, Appellant.

Argued May 3, 2007; decided June 12, 2007

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Tompkins County Court (M. John Sherman, J.), entered August 21, 2006. The County Court affirmed a judgment of the City Court of Ithaca (Judith A. Ros-siter, J.), which had convicted defendant, after a nonjury trial, of resisting arrest.

HEADNOTE

Crimes — Arrest — Warrantless Arrest of Parolee by Parole Officer Not Authorized

The accusatory instrument charging defendant parolee with resisting arrest should have been dismissed because defendant's arrest without a warrant by a parole officer during an unannounced home visit was unauthorized. Executive Law § 259-i (3) (a) (i) and 9 NYCRR 8004.2, which govern violation of parole, do not vest parole officers with the power to make warrantless arrests for parole violations even if committed in their presence. A member of the Board of Parole or a designated officer of the Division of Parole must issue a warrant. Furthermore, although a parole officer is a peace officer (CPL 2.10 [23]), and a peace officer "may arrest a person for . . . [a]ny offense when he has reasonable cause to believe that such person has committed such offense in his presence" (CPL 140.25 [1] [a]), defendant was arrested for failing to follow the parole officer's order to submit to a urine test, which was not an offense within the meaning of section 10.00 (1) of the Penal Law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 37, 38, 47, 49, 105, 149; AM JUR 2d,
Pardon and Parole § 132.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:677,
172:732.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.5.

McKINNEY'S, CPL 2.10 (23); 140.25 (1) (a); Executive Law
§ 259-i (3) (a) (i); Penal Law § 10.00 (1).

9 NYCRR 8004.2.

NY JUR 2d, Criminal Law §§ 6, 112, 169, 936, 3515; NY
JUR 2d, Penal and Correctional Institutions § 287.

ANNOTATION REFERENCE

What constitutes obstructing or resisting an officer, in
absence of actual force. 66 ALR5th 397.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: parole /2 officer /s urine & warrantless /2 arrest

POINTS OF COUNSEL

Schlather, Geldenhuys, Stumbar & Salk, Ithaca (Diane V. Bruns of counsel), for appellant. A warrantless arrest of a parolee by a parole officer is not an authorized arrest and, accordingly, cannot serve as the predicate to a conviction for the crime of resisting arrest. (*People v Huntley*, 43 NY2d 175; *Best v State of New York*, 264 AD2d 404; *People v Dyla*, 142 AD2d 423; *People ex rel. Maggio v Casscles*, 28 NY2d 415; *Matter of Mullins v State Bd. of Parole*, 43 AD2d 382; *People ex rel. Walker v Hammock*, 78 AD2d 369; *Morrissey v Brewer*, 408 US 471; *United States v Polito*, 583 F2d 48; *United States v Garcia-Hernandez*, 237 F3d 105; *People v Gordon*, 176 Misc 2d 46.)

Gwen Wilkinson, District Attorney, Ithaca (Sara Kim Keller of counsel), for respondent. I. Defendant's arrest was lawful, because defendant's conduct gave rise to probable cause to arrest for a defined "offense" in the Penal Law, and not just for a technical parole violation. (*People v Duprey*, 98 AD2d 110; *People v King*, 102 AD2d 710; *People v Gustafson*, 110 AD2d 1055; *People v Fields*, 146 AD2d 505; *People v Washington*, 196 AD2d 346; *People v Laltoo*, 22 AD3d 230; *People v McRay*, 51 NY2d 594; *People v Thomas*, 239 AD2d 246.) II. A warrantless arrest for a parole violation based on probable cause should not be held invalid summarily; Executive Law § 259-i (3) and 9 NYCRR part 8004 apply to parole revocation proceedings as a whole. (*Morrissey v Brewer*, 408 US 471; *People v Dyla*, 142 AD2d 423.) III. A parole officer should be granted at least the same authority to make warrantless arrests as probation officers. (*Morrissey v Brewer*, 408 US 471; *People v Huntley*, 43 NY2d 175.) IV. It is against public policy to prohibit a parole officer from retaking a parolee due to the lack of a parole warrant when the parolee violates a parole condition in the supervising officer's presence and then threatens to leave the premises against the parole officer's directives. (*Morrissey v Brewer*, 408 US 471; *People v Huntley*, 43 NY2d 175; *People v Santos*, 82 Misc 2d 184.)

OPINION OF THE COURT

READ, J.

Defendant Larry Bratton was convicted of criminal sale of a

controlled substance in the fifth degree on October 19, 2001, and subsequently sentenced to incarceration. On January 14, 2005, he was released from Watertown Correctional Facility to parole supervision. As conditions of his parole release, defendant consented in writing to permit his assigned parole officer, Edward Wijkowski, to visit him at his residence, to submit to substance abuse testing, and to comply fully with the parole officer's instructions.

On February 8, 2005 at about 8:45 P.M., Wijkowski and parole officer Jeffrey Jones made an unannounced "positive home visit" to see defendant in his apartment in person, as was required within 30 days of defendant's release, and to take a urine sample because defendant, who had violated parole previously, was considered "a high risk case." Upon arrival at the apartment, Wijkowski knocked on the door, identified himself and asked to be admitted.

Defendant, who was partially clothed at the time, opened the door to admit Wijkowski and Jones. After asking defendant where the bathroom was, Wijkowski realized that neither he nor Jones had brought the test kit in from the car. Wijkowski announced that he would return to the car to get the kit, and instructed Jones to remain with defendant.

Defendant was suspicious of Wijkowski and wary of Jones, whom he had not met before. As Wijkowski started to leave the apartment, defendant balked at the drug test, complaining that his curfew was not until 10:00 P.M., and declaring that the officers would have to come back then. He began getting dressed as if to leave. When Jones instructed defendant to sit down on his bed, he questioned why Jones was in his apartment at all, and asked who he was. Jones identified himself as a parole officer, and directed defendant to comply with his order, citing the condition of defendant's parole release requiring him to comply fully with a parole officer's instructions. Instead, defendant, by now fully dressed, got up and pushed past Jones using his shoulder.

Sensing an escalating conflict, Wijkowski had already called the local police department from the hallway just outside defendant's apartment, using his cell phone. As he reentered the apartment, Wijkowski observed defendant push Jones, and told him that he was under arrest for a parole violation. Wijkowski testified that although he did not call out the particular parole violation, he arrested defendant for "his failure to comply with our directives to him to submit to a urine test." Defendant

struggled with the officers. They ultimately pulled him down onto the mattress on his bed and held him there until they managed to handcuff him. He was subsequently charged with one count of resisting arrest (Penal Law § 205.30), and one count of obstructing governmental administration in the second degree (Penal Law § 195.05).

Defendant proceeded to a nonjury trial in City Court. At the conclusion of the People's case, he moved to dismiss the charge of resisting arrest on the ground that the arrest was unauthorized because made without a warrant in violation of Executive Law § 259-i (3) (a) (i) and 9 NYCRR 8004.2. These provisions state generally that a parole officer who has reasonable cause to believe that a parolee has violated a condition of parole must report that fact to a member of the New York State Parole Board or an officer of the New York State Division of Parole designated by the Board, who may then issue a warrant for the retaking and temporary detention of the parolee. The court reserved decision on the motion, which defendant renewed on the same ground at the conclusion of all the testimony.

After posttrial memoranda were submitted on the issue, City Court handed down a written decision on August 26, 2005, finding defendant not guilty of the crime of obstructing governmental administration, but guilty of resisting arrest, and sentencing him to time served, concurrent with the parole violation time.¹ While acknowledging 9 NYCRR 8004.2, City Court concluded that it was "not necessary for a parole officer to obtain a parole violation warrant to arrest a parolee whose violation occurs in the presence of the parole officer during an interview." Because Wijkowski was therefore authorized to arrest defendant without first obtaining a warrant and defendant resisted the arrest with physical force, the court found that the evidence supported the charge of resisting arrest.

Defendant appealed to County Court, which affirmed his judgment of conviction on August 21, 2006. In its decision, County Court noted that defendant's "primary point on appeal [was] that his arrest by a parole officer, without a warrant issued pursuant to Executive Law 259-i (3) (a) (i) and Title 9 of the New York Code of Rules and Regulations, was illegal," and therefore City Court should have dismissed the charge of resisting arrest.

1. As a result of the incident on February 8, 2005, defendant was also cited for a violation of the terms of his parole, for which he had a parole revocation hearing.

The court decided, however, that while a parole officer may seek a warrant for a parole violation, this procedure was “not the exclusive avenue for charging a parole violation and effecting an arrest when the offending conduct has occurred in the presence of the parole officer.” County Court further observed that a parole officer is a peace officer (CPL 2.10 [23]), and that a peace officer is authorized to make a warrantless arrest upon reasonable cause for any offense committed in his presence (CPL 140.25 [1] [a]). A Judge of this Court subsequently granted defendant leave to appeal, and we now reverse.

Executive Law § 259-i (3) (a) (i) provides that when a parole officer having charge of a parolee has reasonable cause to believe that the parolee has violated one or more conditions of his parole, he

“shall report such fact to a member of the board of parole, or to any officer of the division designated by the board, and thereupon a warrant may be issued for the retaking of such person and for his temporary detention in accordance with the rules of the board.”

Similarly, 9 NYCRR 8004.2 (a) specifies that if a parole officer “shall have reasonable cause to believe that [a releasee for whom he has charge] . . . has violated one or more of the conditions of his release in an important respect, such parole officer shall report such fact to a member of the board or a designated officer”; and further that “[n]o officer shall issue a warrant in a case where he is the one who furnishes the report upon which it is based.” In short, the statute and the Division’s implementing regulations do not vest parole officers with the power to make warrantless arrests for parole violations even if committed in their presence. A member of the Board or a designated officer of the Division must issue a warrant.

It can be argued, as the People do here, that an exception to the warrant requirement for those violations taking place in a parole officer’s presence would make sense. The People point out that CPL 410.50 (4) authorizes a probation officer to take a probationer into custody without a warrant when he has “reasonable cause to believe that a person under his supervision pursuant to a sentence of probation has violated a condition of the sentence,” and parolees have generally committed more serious crimes than probationers. The Legislature, however, did not include language comparable to CPL 410.50 (4) in the provisions of the Executive Law governing violation of parole. Nor

can there be any doubt that this was a considered legislative choice.

Former section 216 of the Correction Law provided that

“[i]n any case where a parole officer has reasonable cause to believe that [a] parolee has violated the conditions of his parole in an important respect, such parole officer may retake such parolee and cause him to be temporarily detained without a warrant A . . . written request for temporary detention signed by a parole officer who has arrested a parolee without a warrant[] shall constitute sufficient authority to the superintendent or other person in charge of any jail, penitentiary, lockup or detention pen to whom it is delivered to hold in temporary detention the parolee named therein; provided, however, the temporary detention pursuant to a written request which is not accompanied by a warrant shall not exceed a period of twenty-four hours, and if a warrant be not delivered to the person in charge of the detention facility prior to the expiration of such twenty-four hour period the parolee must be released at the expiration of such twenty-four hour period.”

Similarly, former section 829 (3) of the Correction Law stated that “[w]here a parole officer has reasonable cause to believe that a person has violated the conditions of his release or parole in an important respect, such parole officer may retake such parolee and cause him to be temporarily detained without a warrant.”

The Legislature added the quoted language to former sections 216 and 829 (3) in chapter 658 of the Laws of 1968. The bill enacted as chapter 658 was submitted at the request of the Division, which characterized its provisions as “a practical and workable solution to resolve some present problems and difficulties which exist in relation to issuance of warrants and detention of violators” (see Mem from Div of Parole to Counsel to Governor, Bill Jacket, L 1968, ch 658, at 10). The Department of Correction called the bill a “good” one, which would “enable a parole officer to temporarily detain a parolee who is in violation of parole before he can abscond or get into further trouble” (see Letter of Support from Dept of Correction to Counsel to Governor, Bill Jacket, L 1968, ch 658, at 11). The Attorney General likewise commented that the bill would

“allow parole officers who actually find a parolee violating the condition of his parole to retake that person immediately and cause him to be detained temporarily in a detention facility. Formerly, a report had to be made out of the violation and a Senior Parole Officer, or another person, then issued a warrant. In many cases the parolee in the meantime, knowing he had violated the conditions of his parole, would abscond or evade retaking” (*see* Mem for Governor from Attorney General, Bill Jacket, L 1968, ch 658, at 5-6).

Nine years later, the Legislature repealed former sections 216 and 829 (3) when it enacted chapter 904 of the Laws of 1977, which reorganized the Division of Parole by removing it from the Department of Correctional Services and placing it in the Executive Department. The subject matter of these former sections of the Correction Law—violation of parole—has ever since been covered by article 12-B of the Executive Law (§ 259 *et seq.*), which notably nowhere authorizes parole officers to make warrantless arrests for parole violations.²

As a final matter, we note that CPL 140.25 (1) (a) does not furnish a way around the warrant requirement in this case. A parole officer is a peace officer (CPL 2.10 [23]), and a peace officer “may arrest a person for . . . [a]ny offense when he has reasonable cause to believe that such person has committed such offense in his presence” (CPL 140.25 [1] [a]). Section 10.00 (1) of the Penal Law, in turn, defines an “offense” as

“conduct for which a sentence to a term of imprisonment or to a fine is provided by any law of this state or by any law, local law or ordinance of a political subdivision of this state, or by any order, rule or regulation of any governmental instrumentality authorized by law to adopt the same.”

Here, Wijkowski testified that he arrested defendant for not following his order to submit to a urine test, which is not an offense within the meaning of section 10.00 (1) of the Penal Law. He never claimed to have arrested defendant for a parole violation—such as, for example, harassment, an offense within the meaning of Penal Law § 10.00—that would independently justify a peace officer in making a warrantless arrest if committed in his presence.

2. The Bill Jacket for chapter 904 does not disclose why the Legislature took this power away from parole officers.

Accordingly, the order of County Court should be reversed, and the accusatory instrument dismissed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[870 NE2d 128, 838 NYS2d 810]

STATE OF NEW YORK ex rel. STEPHEN J. HARKAVY, on Behalf of
JOHN DOE NOS. 13 THROUGH 22, Appellant, v EILEEN CON-
SILVIO, as Executive Director of Manhattan Psychiatric
Center and Kirby Forensic Psychiatric Center, Respondent.

Argued April 26, 2007; decided June 5, 2007

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 27, 2006. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Jacqueline W. Silberman, J.; op 11 Misc 3d 1053[A], 2006 NY Slip Op 50191[U]), which had sustained the writ of habeas corpus, directed respondent to produce the petitioners remaining in her custody within 20 days for individual hearings to be conducted on the issue of petitioners' alleged need for continued psychiatric hospitalization, and provided that in the event petitioners were not produced for the hearings they would be discharged from the custody of respondent and from further detention under and by virtue of the applications made pursuant to Mental Hygiene Law § 9.27 while each of the prisoners was in the custody of the Department of Correctional Services; (2) vacated the order and judgment; and (3) dismissed the petition.

State of N.Y. ex rel. Harkavy v Consilvio, 34 AD3d 67, reversed.

HEADNOTES

Incapacitated and Mentally Disabled Persons — Involuntary Commitment — Involuntary Transfer of Convicted Sex Offenders to State Psychiatric Facility at Conclusion of Prison Terms

1. The State improperly used the involuntary civil commitment procedures in Mental Hygiene Law article 9 to transfer petitioners, convicted sex offenders nearing the end of their prison sentences, directly from prison to mental health facilities. Petitioners were entitled to the procedural protections set forth in Mental Hygiene Law article 10—the new statutory scheme recently adopted by the Legislature governing postincarceration civil commitment of sex offenders. The Sex Offender Management and Treatment Act (L 2007, ch 7) provides that offenders convicted of enumerated crimes, including sex offenses, may be transferred to psychiatric hospitals after their release from prison if certain procedures are followed. Article 10 establishes a multi-step process that may lead to the civil commitment of some offenders and the outpatient supervision and treatment of others. Although Mental Hygiene Law article 10 was enacted after petitioners were transferred to psychiatric

hospitals, petitioners were included in the population of offenders covered by the new statutory provisions (*see* Mental Hygiene Law § 10.03 [g] [5]). Petitioners were entitled to appropriate commitment hearings conducted in accordance with article 10.

Appeal — Academic and Moot Questions — Involuntary Transfer of Convicted Sex Offenders to State Psychiatric Facility at Conclusion of Prison Terms

2. Although the State improperly used the involuntary civil commitment procedures in Mental Hygiene Law article 9 to transfer petitioners, convicted sex offenders nearing the end of their prison sentences, directly from prison to mental health facilities, petitioners' challenges to placement in a secure facility and to the adequacy of the procedures for transfer to nonsecure facilities under Mental Hygiene Law article 9 were academic. Petitioners were entitled to the procedural protections set forth in Mental Hygiene Law article 10, which was enacted after their transfers (*see* Mental Hygiene Law § 10.03 [g] [5]), and nonsecure treatment of detained sex offenders was no longer authorized under the relevant statutory provisions. Similarly, petitioners' separation of powers and State Administrative Procedure Act arguments would not be considered because the Legislature had newly articulated a state policy relating to the civil commitment of sex offenders and any future proceedings involving petitioners could be conducted pursuant to that legislative directive.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 640, 645, 657; AM JUR 2d, Mentally Impaired Persons §§ 125, 127.

MCKINNEY's, Mental Hygiene Law arts 9, 10.

NY JUR 2d, Appellate Review §§ 9, 637; NY JUR 2d, Penal and Correctional Institutions §§ 307, 309, 310.

ANNOTATION REFERENCE

See ALR Index under Moot and Abstract Matters; Prisons and Prisoners; States.

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Query: sex /2 offender /s prison /s hospital /s commit! transfer!

POINTS OF COUNSEL

Mental Hygiene Legal Service, First Judicial Department, New York City (Diane Goldstein Temkin, Marvin Bernstein, Stephen J. Harkavy and Karen Gomes Andreasian of counsel), for appellant. I. Petitioners' substantive due process rights were violated when they were committed directly to a secure psychiatric hospital absent any criteria for secure psychiatric commitment. (Mark G. v Sabol, 93 NY2d 710; Jackson v Indiana, 406

US 715; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Goetz v Crosson*, 967 F2d 29; *Matter of David B.*, 97 NY2d 267; *People v Betances*, 176 Misc 2d 66; *Ramos v Town of Vernon*, 353 F3d 171; *Francis S. v Stone*, 221 F3d 100; *Baxstrom v Herold*, 383 US 107.) II. Petitioners were committed as sexually violent predators without satisfying due process minima required under *Kansas v Crane* (534 US 407 [2002]). (*Kansas v Hendricks*, 521 US 346; *Doe v Pataki*, 120 F3d 1263, 522 US 1122; *People v David W.*, 95 NY2d 130.) III. Petitioners' commitments were not supported by professional medical judgment. (*Rodriguez v City of New York*, 72 F3d 1051; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Mathews v Eldridge*, 424 US 319; *Olivier v Robert L. Yeager Mental Health Ctr.*, 398 F3d 183.) IV. Petitioners have no adequate remedy at law by which to challenge their direct-to-Kirby Forensic Psychiatric Center commitments. (*Mathews v Eldridge*, 424 US 319; *Wisconsin v Constantineau*, 400 US 433; *People v David W.*, 95 NY2d 130; *Matter of Consilvio v Michael B.*, 307 AD2d 852, 1 NY3d 545, 2 NY3d 701; *Savastano v Nurnberg*, 77 NY2d 300.) V. Petitioners' direct-to-Kirby Forensic Psychiatric Center commitments violated the Equal Protection Clause. (*Baxstrom v Herold*, 383 US 107; *Francis S. v Stone*, 221 F3d 100; *Humphrey v Cady*, 405 US 504; *Matter of Jamie R. v Consilvio*, 6 NY3d 138.) VI. Absent any existing statutory authority, the Office of Mental Health created an illegal mechanism for the secure commitment of petitioners in violation of the State Administrative Procedure Act and the separation of powers doctrine. (*People v Two Wheel Corp.*, 71 NY2d 693; *Kansas v Crane*, 534 US 407; *People v David W.*, 95 NY2d 130; *Doe v Pataki*, 3 F Supp 2d 456; *People v Cull*, 10 NY2d 123; *Yaretsky v Blum*, 456 F Supp 653; *Whiting v Marine Midland Bank-W.*, 80 Misc 2d 871; *Matter of Jamie R. v Consilvio*, 6 NY3d 138; *Bourquin v Cuomo*, 85 NY2d 781; *Boreali v Axelrod*, 71 NY2d 1.)

Andrew M. Cuomo, Attorney General, New York City (Benjamin N. Gutman, Barbara D. Underwood and Daniel Smirlock of counsel), for respondent. I. The patients' placement at Kirby Forensic Psychiatric Center satisfies substantive due process because it is based on professional judgment. (*Mark G. v Sabol*, 93 NY2d 710; *Zinermon v Burch*, 494 US 113; *County of Sacramento v Lewis*, 523 US 833; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Washington v Glucksberg*, 521 US 702; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Matter of Jamie R. v Consilvio*, 6 NY3d 138; *Francis S. v Stone*,

221 F3d 100; *Baxstrom v Herold*, 383 US 107; *Buthy v Commissioner of Off. of Mental Health*, 818 F2d 1046.) II. The patients have been afforded equal protection because any differences in treatment are rationally related to legitimate governmental interests. (*People v Parker*, 41 NY2d 21; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Heller v Doe*, 509 US 312; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Matter of Consilvio v Michael B.*, 307 AD2d 852; *Hernandez v Robles*, 7 NY3d 338.) III. The patients' remaining arguments are unpreserved and without merit. (*Kansas v Crane*, 534 US 407; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Matter of Consilvio v Diana W.*, 269 AD2d 310; *Matter of K.L.*, 1 NY3d 362; *Kansas v Hendricks*, 521 US 346; *Matter of Consilvio v Michael B.*, 1 NY3d 545; *Mathews v Eldridge*, 424 US 319; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Kulak v City of New York*, 88 F3d 63; *Wilkinson v Austin*, 545 US 209.)

OPINION OF THE COURT

GRAFFEO, J.

This is the second appeal to come before this Court concerning convicted sex offenders who were committed to psychiatric hospitals at the conclusion of their prison sentences. In *State of N.Y. ex rel. Harkavy v Consilvio* (7 NY3d 607 [2006] [*Harkavy I*]) we ruled that the State improperly used the involuntary civil commitment procedures in Mental Hygiene Law article 9 to transfer offenders directly from prison to mental health facilities and we directed that the *Harkavy I* petitioners be afforded hearings in Supreme Court to evaluate the need for continued commitment. Because the petitioners in this case were subjected to the same procedures we found inappropriate in *Harkavy I*, we reverse the order of the Appellate Division and remit this matter to Supreme Court. On remittal, petitioners are entitled to the procedural protections set forth in Mental Hygiene Law article 10—the new statutory scheme recently adopted by the Legislature governing postincarceration civil commitment of sex offenders.

In the fall of 2005, professionals from the Office of Mental Health (OMH) began to evaluate certain felony sex offenders nearing the completion of state prison sentences to assess whether they posed a danger to themselves or others and suffered from mental conditions that warranted commitment in a psychiatric hospital. The *Harkavy I* appeal involved a challenge to the admission of 12 sex offenders who were among the first to be transferred to OMH hospitals. Those petitioners were

placed in the Manhattan Psychiatric Center, a nonsecure OMH facility. This appeal arises from the subsequent commitment, in November and December 2005, of 10 sex offenders to the Kirby Forensic Psychiatric Center, a secure OMH facility, pursuant to the procedures in Mental Hygiene Law article 9. Based on applications signed by prison superintendents and the certifications of two OMH physicians that each petitioner suffered from a mental illness requiring inpatient treatment, the petitioners were transported to Kirby upon the expiration of their sentences where each was examined by a third OMH physician who also determined that admission was necessary.

Petitioner Stephen J. Harkavy, Deputy Director of Mental Hygiene Legal Service, commenced this habeas corpus proceeding in December 2005 on behalf of the 10 Kirby petitioners.¹ Petitioners raised arguments similar to those presented in *Harkavy I*—that their civil commitment pursuant to Mental Hygiene Law article 9 was not statutorily permissible. Because the commitment process was initiated before petitioners completed their prison sentences, they contended that they should have been afforded the procedural protections in Correction Law § 402, which requires that inmates serving prison terms be afforded notice and a precommitment hearing before nonemergency commitment to a mental health facility. In addition, petitioners objected to their confinement in Kirby, a secure facility, raising substantive due process, procedural due process and equal protection claims. Petitioners claimed that there was no statutory or medical basis for direct placement in Kirby and no adequate means for them to challenge their secure placement or obtain transfers to a nonsecure OMH facility.

In response to the petition, OMH asserted that it had concluded, based on its own experience, research findings and consultation with experts in other states, that patients who have a “demonstrated history of violence” against others, including those who have committed sex offenses, should initially be treated in secure facilities. According to OMH, the *Harkavy I* patients had been placed at Manhattan, a nonsecure facility, on a temporary basis because of a lack of space in the State’s secure psychiatric facilities. Security was augmented at Manhattan to facilitate the receipt of the *Harkavy I* patients,

1. At oral argument, petitioners’ counsel advised us that this litigation is now being pursued on behalf of seven petitioners since three of the original petitioners have been released from OMH custody.

who were confined to a segregated ward with additional staff and a specialized security protocol. Nonetheless, OMH determined that nonsecure placement did not present the optimal environment for treatment of such patients. Rather, secure facilities such as Kirby, which have specially trained staff and perimeter security, afforded patients with histories of violence the best environment for rehabilitation, recreation and treatment therapies. OMH indicated that the petitioners in this case, who all have been convicted of sex offenses, were appropriately treated at Kirby because they met the criteria for secure placement and space was available at that facility.

Supreme Court conditionally granted the habeas corpus petition to the extent of ordering an immediate hearing for each petitioner, adhering to its prior holding in *Harkavy I* that petitioners' commitment under Mental Hygiene Law article 9 was improper and that petitioners should instead have been committed using the procedures detailed in Correction Law § 402. The court rejected petitioners' challenge to their treatment in a secure facility, concluding that the direct-to-Kirby placement was not per se erroneous.

The Appellate Division reversed and dismissed the petition, disagreeing with Supreme Court on the threshold issue of the propriety of petitioners' commitment under Mental Hygiene Law article 9. With respect to the placement of petitioners in a secure facility, however, the Appellate Division concurred with Supreme Court's conclusion that petitioners' constitutional arguments lacked merit. Petitioners pursued an appeal to this Court as of right on the constitutional issues asserted.

While this appeal was pending, we decided *Harkavy I*. At issue there was whether petitioners were appropriately committed under Mental Hygiene Law article 9 or should have been afforded the precommitment notice and hearing procedures extended to inmates transferred to OMH hospitals pursuant to Correction Law § 402. We recognized that neither statutory scheme had been specifically designed to address this class of mentally ill patients but concluded, "in the absence of a clear legislative directive in regard to inmates nearing their release from incarceration, . . . that Correction Law § 402 is the appropriate method for evaluating an inmate for postrelease involuntary commitment to a mental facility" (*Harkavy I*, 7 NY3d at 614). We therefore determined, as a matter of statutory interpretation, that inmates transferred directly from a correctional facility to an OMH hospital on a nonemergency basis are

entitled to the procedural steps outlined in Correction Law § 402, even if they are nearing completion of or have just completed their prison sentences. Because the *Harkavy I* petitioners did not have precommitment hearings, we remitted the case to Supreme Court to conduct the necessary hearings.

After the *Harkavy I* decision, the Legislature filled the statutory void, enacting a legislative scheme designed to address the civil confinement of certain classes of inmates completing their terms of imprisonment. The “Sex Offender Management and Treatment Act” (L 2007, ch 7)—which creates a new Mental Hygiene Law article 10—provides that offenders convicted of enumerated crimes, including sex offenses, may be transferred to psychiatric hospitals after their release from prison if certain procedures are followed. Article 10 establishes a multi-step process that may lead to the civil commitment of some offenders and the outpatient supervision and treatment of others.

Under the new statutes, inmates nearing the end of their prison terms who are found, after screening by OMH physicians, to suffer from a mental abnormality creating a predisposition to commit sex offenses and who have difficulty controlling their behavior are referred to the Attorney General for review (Mental Hygiene Law § 10.05). If the Attorney General pursues further action, a “sex offender civil management petition” is filed in supreme or county court (Mental Hygiene Law § 10.06 [a]). The offender is then entitled to a probable cause hearing (Mental Hygiene Law § 10.06 [g]) and, ultimately, a jury trial to determine whether the offender suffers from a “mental abnormality” within the meaning of the statute² (Mental Hygiene Law § 10.07). In the event of a verdict finding mental abnormality, the court decides whether the offender is a “dangerous sex offender requiring confinement” or “a sex offender requiring strict and intensive supervision” (Mental Hygiene Law § 10.07 [f]). Dangerous sex offenders must be placed in secure OMH treatment facilities. All other patients suffering from a mental abnormality are released for outpatient treatment by OMH and supervision by the Division of Parole.

[1] Although Mental Hygiene Law article 10 was enacted after these petitioners were transferred to psychiatric hospitals,

2. “[A] [m]ental abnormality’ means a congenital or acquired condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having serious difficulty in controlling such conduct” (Mental Hygiene Law § 10.03 [i]).

the Legislature chose to include them in the population of offenders covered by the new statutory provisions. The term “detained sex offender” is defined in article 10 to encompass

“[a] person convicted of a sex offense who is, or was at any time after September first, two thousand five, a patient in a hospital operated by [OMH], and who was admitted directly to such facility pursuant to article 9 [of the Mental Hygiene Law] or section four hundred two of the correction law upon release or conditional release from a correctional facility” (Mental Hygiene Law § 10.03 [g] [5]).

These petitioners—who have each been convicted of a “sex offense” (*see* Mental Hygiene Law § 10.03 [p]) and were transferred directly from correctional facilities to Kirby in November and December 2005—fall within the purview of the new statutory scheme.

Like the *Harkavy I* patients, the petitioners here were improperly committed under Mental Hygiene Law article 9. As the State concedes, based on our *Harkavy I* precedent, the order of the Appellate Division must be reversed and the matter remitted to Supreme Court to give petitioners appropriate commitment hearings. In light of the new legislation, we conclude that those hearings will be conducted in accordance with article 10; petitioners are entitled to have a jury determine the issue of “mental abnormality” and, if necessary, a court will decide if civil confinement is warranted. Since petitioners have been confined to an OMH facility since late 2005, we trust that the parties will conduct the required proceedings expeditiously, as article 10 directs.³

Petitioners’ remaining contentions relating to OMH’s decision to place them in a secure hospital are also affected by the new statutory requirements. Mental Hygiene Law article 10 provides that patients who are categorized as “dangerous sex offender[s] requiring confinement” must be placed in secure facilities⁴ (Mental Hygiene Law § 10.07 [f]; § 10.03 [o]); all other patients must be released for outpatient treatment and supervision (Mental Hygiene Law § 10.07 [f]; § 10.11). Thus, insofar as

3. We express no view on the propriety of the standards or procedures adopted in the new legislation. Petitioners are free to raise any objections they deem appropriate upon remittal.

4. Although petitioners complained that the Legislature had not articulated a standard for secure confinement, such a standard has been included in the new legislation: a

article 10 patients are concerned, the Legislature has determined that confinement in a nonsecure facility is not an available option.

[2] Because nonsecure treatment of detained sex offenders is no longer authorized under the relevant statutory provisions, petitioners' challenges to placement in a secure facility and to the adequacy of the procedures for transfer to nonsecure facilities under Mental Hygiene Law article 9 have been rendered academic. The Legislature having expressed its view that confined article 10 patients must be treated in secure settings, any conclusion we might reach about the propriety of petitioners' placement prior to the effective date of the new legislation would have no practical effect on the rights or liabilities of these parties (see, *People v Furlong*, 70 NY2d 756 [1987]; *Matter of Murphy v Ziegler*, 19 NY2d 596 [1967]; see also, *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 61 NY2d 659 [1983]). Similarly, we have no occasion to address petitioners' separation of powers and State Administrative Procedure Act arguments (to the extent they are preserved for review) because the Legislature has now articulated a state policy relating to the civil commitment of sex offenders and any future proceedings involving these petitioners will be conducted pursuant to that legislative directive.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

“ ‘[d]angerous sex offender requiring confinement’ means a person who is a detained sex offender suffering from a mental abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.03 [e]).

[870 NE2d 142, 838 NYS2d 824]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT
PARILLA, Appellant.

Argued May 2, 2007; decided June 12, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 5, 2006. The Appellate Division affirmed (1) a judgment of the Supreme Court, Bronx County (Steven Lloyd Barrett, J.), which had convicted defendant, upon his plea of guilty, of rape in the first degree and sodomy in the first degree, and (2) an order of that court which had denied defendant's CPL 440.10 motion to vacate the judgment of conviction on the grounds of ineffective assistance of counsel.

People v Parilla, 33 AD3d 363, affirmed.

HEADNOTES

Crimes — Appeal — Waiver of Right to Appeal — Defense of Statute of Limitations

1. Defendant waived the defense of the statute of limitations (CPL 30.10) when he entered his guilty plea. Although a guilty plea does not extinguish every claim on appeal, only a limited number of claims survive a valid waiver: jurisdictional matters or rights of a constitutional dimension that go to the very heart of the process. The statute of limitations under CPL 30.10 is neither a jurisdictional matter nor a right of constitutional dimension that survives a guilty plea. The right to assert the defense can be waived, and defendant did so by pleading guilty.

Crimes — Appeal — Waiver of Right to Appeal — Defense of Statute of Limitations

2. Defendant, who waived the defense of the statute of limitations (CPL 30.10) when he entered his guilty plea, could not avoid the consequences of the plea by claiming on appeal that he was denied effective assistance of counsel when his attorney failed to file a motion to dismiss the indictment on statute of limitations grounds. Under the circumstances, were defendant's statute of limitations claim to be considered on the merits, the very argument that defendant waived when he pleaded guilty and waived his right to appeal would be reviewed. In any event, because Supreme Court indicated that it would deny defendant's CPL 30.10 motion, it was understandable that defense counsel would not make the motion. Moreover, this was not a case where the alleged ineffectiveness of counsel went to the voluntariness of defendant's plea and waiver of appeal.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 291, 292, 647–649, 721, 1223–1226.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1550, 172:1565, 172:1566, 172:1894, 172:1926; 172:2054, 172:2063.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.10, 18.5, 21.3.

McKINNEY's, CPL 30.10.

NY JUR 2d, Criminal Law §§ 856, 1355–1357, 1699–1702.

ANNOTATION REFERENCE

See ALR Index under Attorney or Assistance of Attorney; Criminal Procedure Rules; Guilty Plea; Limitation of Actions.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant. I. Appellant was denied his constitutional rights to the effective assistance of counsel by his attorney's inexcusable refusal to move to dismiss the indictment on statute of limitations grounds, where the indictment was filed nearly five years after the five-year statute of limitations expired, and the record demonstrated that the statute would not have been tolled because the prosecution closed the investigation days after the incident, and therefore had not exercised reasonably diligent efforts to locate appellant. (*People v Turner*, 5 NY3d 476; *Hill v Lockhart*, 474 US 52; *United States v Hansel*, 70 F3d 6; *Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v McDonald*, 1 NY3d 109; *People v Gruden*, 42 NY2d 214; *Toussie v United States*, 397 US 112; *People v Seda*, 170 Misc 2d 697, 246 AD2d 675, 93 NY2d 307.) II. The court denied appellant due process by refusing to honor its original 6-to-12-year sentence promise, vindictively substituting a 7-to-14-year sentence, solely because appellant questioned his status as a second felony offender. (*People v Selikoff*, 35 NY2d 227; *People v Young*, 94 NY2d 171; *North Carolina v Pearce*, 395 US 711; *People v Van Pelt*, 76 NY2d 156; *People v Taylor*, 65 NY2d 1; *Blackledge v Allison*, 431 US 63; *Santobello v New York*, 404 US 257; *People v Hicks*, 98 NY2d 185; *People v Young*, 94 NY2d 171; *Bordenkircher v Hayes*, 434 US 357.)

Robert T. Johnson, District Attorney, Bronx (Yael V. Levy,

Joseph N. Ferdenzi and *Stanley R. Kaplan* of counsel), for respondent. I. Counsel was not ineffective solely for declining to move to dismiss the indictment on statute of limitations grounds, where filing such a motion would have been futile, and counsel secured defendant a very favorable plea disposition. (*People v Caban*, 5 NY3d 143; *People v Stultz*, 2 NY3d 277; *People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *Strickland v Washington*, 466 US 668; *Hill v Lockhart*, 474 US 52; *People v Paulin*, 25 NY2d 445; *People v Glover*, 87 NY2d 838; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404.) II. Defendant was legally sentenced to an agreed-upon 7-to-14-year prison term and waived his right to claim otherwise on appeal. (*People v McConnell*, 49 NY2d 340; *People v Danny G.*, 61 NY2d 169; *People v Hicks*, 98 NY2d 185; *People v Selikoff*, 35 NY2d 227; *North Carolina v Pearce*, 395 US 711; *Williams v New York*, 337 US 241; *People v Herber*, 24 AD3d 1317, 6 NY3d 814; *People v Rogers*, 81 AD2d 564, 56 NY2d 552; *People v Young*, 94 NY2d 171; *People v Van Pelt*, 76 NY2d 156.)

OPINION OF THE COURT

JONES, J.

The issue in this appeal is whether defendant was denied effective assistance of counsel when his attorney failed to file a motion to dismiss the indictment on statute of limitations grounds (*see* CPL 30.10). We conclude that defendant waived review of the statute of limitations issue when he entered his guilty plea.

In 1996, while in prison serving a 7½ to 15 year sentence on charges unrelated to the matter at bar, defendant produced a blood sample pursuant to Executive Law § 995-c for inclusion in the DNA data bank. In 2003, this sample linked him to a sexual assault, involving two victims, that had occurred on August 29, 1993. On or about March 19, 2003, defendant was charged with one count of first degree rape and one count of first degree sodomy.

The 1993 incident had been reported to the police and a semen sample was collected from the rape victim and preserved in a sexual assault evidence kit. The police report described the perpetrator, his clothing and his automobile. According to a complaint follow-up form dated September 4, 1993, the mother of the rape victim stated that her daughter had been sent to stay with family members in Massachusetts and that she wanted to drop the complaint. On or about September 13, 1993, the

case was closed as “[u]nfounded” for the foregoing reasons, and also allegedly because no medical evidence supporting the allegations existed, the rape victim refused to view photographs, and after the complaint was filed, there was no contact between the police and the rape victim. The police records do not indicate whether the police attempted to contact the sodomy victim.

Defendant filed a pro se motion to dismiss the indictment on statute of limitations grounds (*see* CPL 30.10). However, Supreme Court refused to entertain the motion because defendant was represented by counsel. The court warned defense counsel “not to advance frivolous motions.” According to defendant, his counsel said she would adopt his pro se motion, but in an off-the-record discussion the court indicated that a CPL 30.10 motion would be denied. On the record, the court further indicated that counsel should consider the tolling provisions of CPL 30.10 (4) (a) (ii). Ultimately, defendant’s attorney did not file the motion.

Subsequently, defendant pleaded guilty to one count of first degree rape and one count of first degree sodomy in satisfaction of the indictment. As part of the plea agreement, defendant waived his right to appeal. Prior to the plea allocution, there was an extensive colloquy between the court and defendant concerning whether defendant would be credited for the time he had been incarcerated on his prior conviction. Defendant asked if the sentence would be “nunc pro tunc.” The court advised defendant, “I can’t credit you for time you never served by calling it nunc pro tunc.” There was discussion about defendant’s maximum expiration date on the case as well as the maximum expiration date on his prior conviction. After the discussion of his maximum expiration and conditional release dates, the court indicated that it would impose a sentence of 6 to 12 years on each count, as a predicate felon, to run concurrently with his previous conviction. During the plea allocution, the court explained defendant’s right to trial by jury and his right to appeal, which he said he understood he was waiving by his guilty plea. In response to defendant’s query regarding whether he would also be waiving any constitutional claims, the court responded in the following colloquy:

“THE COURT: You waived all your constitutional rights to trial.

“THE DEFENDANT: But fundamental constitutional rights you can’t waive.

“THE COURT: What right would that be? . . .

“What would you want to do on appeal in this case?
. . . There [are] no hearings and no rulings made
on applications you made of a constitutional nature.
What exactly are the rights you want to preserve?”

Defendant then asked the court about his exception to a ruling on the DNA evidence.

“THE COURT: That would be waived.

“THE DEFENDANT: That would be waived, the Fourth Amendment right?

“THE COURT: Absolutely.

“THE DEFENDANT: All right. I thought that you could only waive the statutory rights, not the constitutional rights.

“THE COURT: You can waive a constitutional right. It has to be entered in a free and knowing manner. I’m not forcing you to do it. I’m telling you this is an agreement. I know that you’re not happy.

“THE DEFENDANT: It’s part of the agreement. I’m going to have to take it.”

On two occasions after defendant accepted the plea, he objected to the particular felony conviction presented as the “predicate” felony for sentencing. Finally, at sentencing, Supreme Court informed defendant that upon reading the probation report, it could no longer give him the promised sentence of 6 to 12 years and that defendant would be sentenced to 7 to 14 years. The court advised defendant that he could withdraw the plea and proceed to trial if he did not want to accept that sentence. Defendant declined to withdraw his plea, agreed to accept the sentence and was sentenced accordingly on September 16, 2003.

One day after sentencing, defendant moved to vacate the judgment pursuant to CPL 440.10, claiming (1) he was denied effective assistance of counsel because his lawyer did not move to dismiss the indictment on statute of limitations grounds, (2) the court improperly enhanced his sentence when it reneged on the promised sentence of 6 to 12 years and (3) the State unconstitutionally obtained his blood sample.

Supreme Court denied defendant’s motion, holding that his “plea of guilty operated as a waiver of his claimed statutory

right to dismissal of the indictment under CPL § 30.10.” In a footnote, the court stated that “[w]hile not being dispositive, . . . even if addressed on its merits, defendant’s motion would be denied.” The Appellate Division unanimously affirmed the judgment of conviction and the order denying defendant’s CPL 440.10 motion to vacate (33 AD3d 363 [2006]). A Judge of this Court granted defendant leave to appeal, and we now affirm.

[1] We agree with Supreme Court that defendant waived the statute of limitations defense by pleading guilty. In *People v Hansen* (95 NY2d 227 [2000]), we explained that “[a] plea of guilty . . . marks the end of a criminal case, not a gateway to further litigation” (*id.* at 230, citing *People v Taylor*, 65 NY2d 1, 5 [1985]). Generally, a defendant who admits guilt in open court “may not later seek review of claims relating to the deprivation of rights that took place before the plea was entered” (*id.*, citing *People v Di Raffaele*, 55 NY2d 234, 240 [1982]). Thus, under a guilty plea, a defendant waives specific rights attached to trial and forfeits “the right to revive certain claims made prior to the plea” (*id.*).

Although a guilty plea does not extinguish every claim on appeal, only a limited number of claims survive a valid waiver. These are either jurisdictional matters, such as an insufficient accusatory instrument, or rights of a constitutional dimension that “go to the very heart of the process (such as the constitutional speedy trial right, the protection against double jeopardy or a defendant’s competency to stand trial)” (*id.*). Certain claims are simply foreclosed by a guilty plea (*see e.g. Di Raffaele*, 55 NY2d 234 [1982] [preindictment prosecutorial misconduct]; *People v Rodriguez*, 55 NY2d 776 [1981] [selective prosecution]; *Taylor*, 65 NY2d 1 [1985] [failure to provide CPL 710.30 notice]; *People v Friscia*, 51 NY2d 845 [1980] [speedy trial]).

The statute of limitations under CPL 30.10 is not a jurisdictional matter, nor is it a right of constitutional dimension like the aforementioned rights that survive a guilty plea. Clearly, the right to assert this defense can be waived (*see People v Mills*, 1 NY3d 269 [2003]). By pleading guilty, defendant waived the defense.

[2] Defendant attempts to sidestep the consequences of his plea by claiming ineffective assistance of counsel. Under the circumstances of this case, were we to consider defendant’s statute of limitations claim on the merits, we would be reviewing the very argument that defendant waived when he pleaded guilty

and waived his right to appeal (see *People v Lopez*, 6 NY3d 248 [2006] [holding that a defendant's valid waiver of the right to appeal includes the waiver of the right to invoke the Appellate Division's interest of justice jurisdiction to reduce the sentence]).¹ In any event, in light of Supreme Court's indication that it would deny defendant's CPL 30.10 motion, it was understandable that defense counsel would not make the motion. Instead counsel secured a favorable plea agreement that produced a considerably lower sentence than the maximum prison term defendant faced.²

Moreover, this is not a case where the alleged ineffectiveness of counsel goes to the voluntariness of defendant's plea and waiver of appeal. To the contrary, the record establishes that defendant's plea was intelligent, voluntary and knowing. Before he pleaded guilty, defendant was aware of the potential statute of limitations defense and the possible application of the CPL 30.10 (4) (a) (ii) tolling provision. After having an opportunity to weigh his options, defendant chose not to assert the defense, declined his right to a jury trial and waived his right to raise the limitations argument on appeal.

Finally, defendant's claim that a vindictive sentence was imposed is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed.

1. In support of his argument, defendant, who was indicted less than 10 years after the instant crime was committed, relies on *People v Turner* (5 NY3d 476 [2005]). However, unlike *Turner* (at 481), the statute of limitations argument underlying defendant's claim of ineffective assistance of counsel is not a "winning argument" because the five-year limitations period, as extended by the maximum tolling period (five additional years) under CPL 30.10 (4) (a) (ii), had not expired.

2. As we held in *People v Satterfield* (66 NY2d 796 [1985]), "[i]t is not for this court to second-guess whether a course chosen by defendant's counsel was the best trial strategy, or even a good one, so long as defendant was afforded meaningful representation" (*id.* at 799-800).

[870 NE2d 1136, 839 NYS2d 706]

MITCHELL BENESOWITZ, Appellant, v METROPOLITAN LIFE INSURANCE COMPANY, Plan Administrator of HONEYWELL LONG TERM DISABILITY INCOME PLAN, et al., Respondents.

Argued May 30, 2007; decided June 27, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Whether New York Insurance Law § 3234 (a) (2) means that (1) a policy may impose a twelve-month waiting period during which no benefits will be paid for disability stemming from a pre-existing condition and arising in the first twelve months of coverage or (2) a policy may lawfully include a permanent absolute bar to coverage of disabilities resulting from pre-existing conditions that trigger disability within the first twelve months of the employee’s coverage.”

HEADNOTE

Insurance — Disability Insurance — Disability Caused by Preexisting Medical Condition — Tolling Period

Pursuant to Insurance Law § 3234 (a) (2), which provides that no preexisting condition provision shall exclude coverage for a period in excess of 12 months following the effective date of coverage under a group disability insurance policy, an insurer may impose a 12-month waiting period during which no benefits will be paid for a disability stemming from a preexisting condition and arising in the first 12 months of coverage. Accordingly, where an employee seeks benefits under an employer’s group disability plan for a disability caused by a preexisting medical condition, the insurer is permitted to toll benefits during the first 12 months of coverage, but cannot impose an absolute bar to coverage for disabilities stemming from preexisting conditions and arising during that 12-month period. Interpreting section 3234 (a) (2) as allowing insurers to impose a tolling period rather than an absolute bar to benefits does not prevent insurers from excluding or limiting disability coverage based on an individual’s prior medical history.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 770, 1839.

COUCH ON INSURANCE (3d ed) § 146:14.

McKINNEY's, Insurance Law § 3232 (b); § 3234 (a) (2).
NY JUR 2d, Insurance § 2231.

ANNOTATION REFERENCE

See ALR Index under Health and Accident Insurance;
Pre-Existing Conditions.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: disability /2 insurance & pre-existing & toll!

POINTS OF COUNSEL

Gisonni & Harms, LLP, Woodbury (*Eve-Lynn Gisonni*, *Richard Harms* and *Scott M. Harrigan* of counsel), for appellant. Insurance Law § 3234 (a) (2) should be interpreted to impose only a 12-month waiting period and not as an absolute bar to coverage for disabled individuals who suffer from preexisting conditions and become disabled within the first 12 months of coverage. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Rust v Reyer*, 91 NY2d 355; *Ferres v City of New Rochelle*, 68 NY2d 446; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444.)

Amy K. Posner, Long Island City, and *Skadden, Arps, Slate, Meagher & Flom LLP*, New York City (*Preeta D. Bansal* and *Sarah E. McCallum* of counsel), for respondent. I. The plain language of Insurance Law § 3234 (a) (2) and its accompanying regulation permits the use of preexisting condition exclusions. (*In re Joint E. & S. Dist. Asbestos Litig.*, 993 F2d 313; *Guaranty Natl. Ins. Co. v Bayside Resort, Inc.*, 635 F Supp 1456; *Gibbs ex rel. Estate of Gibbs v CIGNA Corp.*, 440 F3d 571; *Harvey v Astra Merck Inc. Long Term Disability Plan*, 348 F Supp 2d 536; *McGinnis v Allianz Life Ins. Co. of N. Am.*, 77 F Supp 2d 1297, 228 F3d 417; *Bremer v Hartford Life & Acc. Ins. Co.*, 16 F Supp 2d 1057; *Matter of Breslin v Connors*, 10 AD3d 471; *Matter of Branford House v Michetti*, 81 NY2d 681.) II. Other states that have chosen to regulate preexisting condition provisions in group disability insurance policies permit exclusions like the one at issue here. (*McGinnis v Allianz Life Ins. Co. of N. Am.*, 77 F Supp 2d 1297.) III. The legislative history of Insurance Law § 3234 (a) (2) supports Metropolitan Life Insurance

Company's interpretation. (*Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444.) IV. The Superintendent of Insurance's approval of the policy language is evidence of its legality, and his newly-minted interpretation of Insurance Law § 3234 (a) (2) is not entitled to deference. (*Allstate Ins. Co. v Jacobs*, 208 AD2d 578; *Matter of Allstate Ins. Co. v Cipolla*, 226 AD2d 456; *Davis v Liberty Mut. Ins. Co.*, 267 F3d 124; *AMEX Assur. Co. v Caripides*, 179 F Supp 2d 309, 316 F3d 154; *Burke v First UNUM Life Ins. Co.*, 975 F Supp 310; *Hertz Corp. v Corcoran*, 137 Misc 2d 403; *Matter of Union Indem. Ins. Co. of N.Y.*, 92 NY2d 107; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444; *Preferred Mut. Ins. Co. v State of New York*, 196 AD2d 384.)

Andrew M. Cuomo, Attorney General, New York City (Barbara D. Underwood, Benjamin N. Gutman and Cecelia Chang of counsel), for Eric R. Dinallo, amicus curiae. Insurance Law § 3234 (a) (2) requires an insurer to begin paying benefits for a disability caused by a preexisting condition once the insured has been covered for 12 months. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Auer v Robbins*, 519 US 452; *Matter of Consolidated Mut. Ins. Co. [Arcade Cleaning Contrs.—Superintendent of Ins.]*, 60 NY2d 1; *Franklin v John Hancock Mut. Life Ins. Co.*, 298 NY 81; *FDA v Brown & Williamson Tobacco Corp.*, 529 US 120; *Heard v Cuomo*, 80 NY2d 684; *People ex rel. Chadbourne v Voorhis*, 236 NY 437; *Gustafson v Alloyd Co.*, 513 US 561.)

Barnes & Thornburgh LLP, Grand Rapids, Michigan (Patrick E. Mears of counsel), Carolyn Doppelt Gray, Washington, D.C., Teresa L. Jakubowski, Lisa Tate, Michael S. Spector and Kathryn Wilber for American Council of Life Insurers and others, amici curiae. I. Preexisting condition exclusions play a vital role in group disability policies. II. Preexisting condition exclusions that exclude coverage for disabilities arising during the exclusionary period do not violate Insurance Law § 3234 (a) (2). (*Matter of Excellus Health Plan, Inc. v Serio*, 2 NY3d 166; *Riley v County of Broome*, 95 NY2d 455; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *Robinson v Shell Oil Co.*, 519 US 337; *BFP v Resolution Trust Corporation*, 511 US 531; *Matter of Polan v State of N.Y.*

Ins. Dept., 3 NY3d 54; *Continental Cas. Co. v Equitable Life Assur. Socy. of U. S.*, 52 NY2d 228; *Kaplan v Equitable Life Assur. Socy. of U.S.*, 177 Misc 792, 261 App Div 1067; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98.) III. Interpreting Insurance Law § 3234 as permitting only a waiting period for benefit payments would negatively impact the very insured it was intended to benefit.

Hinman Straub, P.C., Albany (Fredric L. Bodner, David W. Novak and Leanne R. Kontogiannis of counsel), for Life Insurance Council of New York, Inc., amicus curiae. I. The plain language of Insurance Law § 3234 (a) (2) and past practice demonstrate that a permanent exclusion of coverage for disabilities occurring within the first 12 months of coverage, as a result of a preexisting condition, is intended. (*Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Guido v New York State Teachers' Retirement Sys.*, 94 NY2d 64; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *State Div. of Human Rights v Genesee Hosp.*, 50 NY2d 113; *Town of E. Hampton v Cuomo*, 179 AD2d 337.) II. The Insurance Department's interpretation is contrary to the very purpose of preexisting condition clauses in group disability income policies. (*Lawrence v Northwestern Natl. Life Ins. Co.*, 716 F Supp 883.) III. If the Court of Appeals adopts plaintiff's interpretation of Insurance Law § 3234 (a) (2), group disability insurance will become more expensive and less available to the public. IV. The analogy between Insurance Law § 3234 (a) (2), pertaining to group disability insurance, and the provisions of Insurance Law § 3232 (b), pertaining to health insurance, implicates widely different policy considerations and does not require the same result.

OPINION OF THE COURT

GRAFFEO, J.

The United States Court of Appeals for the Second Circuit has asked us to decide how Insurance Law § 3234 (a) (2) affects an employee's eligibility to receive benefits under the employer's group disability plan when the disability is caused by a preexisting medical condition. We conclude that the statute allows insurers to toll benefits during the first 12 months of coverage, but does not permit them to impose an absolute bar to coverage for disabilities stemming from preexisting conditions and arising during that 12-month period.

Plaintiff Mitchell Benesowitz began a new job with Honeywell International, Inc. on April 1, 2002. He was immediately covered under Honeywell's short- and long-term group disability insurance plans, now administered by defendant Metropolitan Life Insurance Company (MetLife). In the three months preceding his Honeywell employment, plaintiff had been treated for kidney disease. By October 2002, plaintiff could no longer work because of his illness and he applied for short-term disability benefits, which MetLife paid. Plaintiff later sought long-term disability benefits. MetLife denied the application based on the following exclusion in the plan:

"Benefits will not be paid for any period of Disability caused or contributed to by, or resulting from, a Pre-[E]xisting Condition. A 'Pre-Existing Condition' means any Injury or Sickness for which you incurred expenses, received medical treatment, care or services including diagnostic measures, took prescribed drugs or medicines, or for which a reasonable person would have consulted a Physician within three months before the most recent effective date of your coverage.

"The Pre-Existing Condition limitation will apply to any added benefits or increases in benefits. This limitation will not apply to a period of Disability that begins after you are covered for at least 12 months after the most recent effective date of your coverage, or the effective date of any added or increased benefits."

In July 2003, plaintiff filed an administrative appeal with MetLife, claiming that the plan's preexisting condition exclusion conflicted with Insurance Law § 3234 (a) (2), which provides that "[n]o pre-existing condition provision shall exclude coverage for a period in excess of twelve months following the effective date of coverage for the covered person."¹ MetLife denied the appeal. Plaintiff then commenced this action in federal court to contest MetLife's denial of long-term disability benefits. Both parties moved for summary judgment.

The United States District Court for the Eastern District of New York granted MetLife summary judgment and dismissed

1. The Insurance Law contains three distinct statutes denominated as section 3234. The provision at issue here was enacted by chapter 650 of the Laws of 1993.

the complaint. Relying on *Pulvers v First UNUM Life Ins. Co.* (210 F3d 89 [2d Cir 2000]), the court rejected plaintiff's contention that the plan's preexisting condition exclusion violated Insurance Law § 3234 (a) (2).

On appeal, the Second Circuit clarified that *Pulvers* did not resolve the statutory interpretation question and therefore certified the following question to this Court:

"Whether New York Insurance Law § 3234 (a) (2) means that (1) a policy may impose a twelve-month waiting period during which no benefits will be paid for disability stemming from a pre-existing condition and arising in the first twelve months of coverage or (2) a policy may lawfully include a permanent absolute bar to coverage of disabilities resulting from pre-existing conditions that trigger disability within the first twelve months of the employee's coverage" (471 F3d 348, 353 [2006]).

Plaintiff argues that section 3234 (a) (2) is a tolling provision that permits insurers only to delay the payment of benefits for disabilities arising from preexisting conditions during the first 12 months of coverage. In plaintiff's view, insurers must provide plan benefits if the disability continues beyond the 12-month period. In accordance with this interpretation, plaintiff contends that MetLife was obligated to pay him long-term disability benefits beginning in April 2003—12 months after his coverage began. The Superintendent of Insurance of the State of New York, appearing as amicus curiae, endorses plaintiff's construction of the statute. MetLife counters that section 3234 (a) (2) was intended to allow insurers to exclude coverage permanently for any disability resulting from a preexisting condition that arises within the first 12 months of coverage. Under this analysis, only disabilities commencing after the 12-month window are covered by the plan. MetLife's position is supported by amici curiae Life Insurance Council of New York, Inc. and other national insurance organizations.

Although the statute is not a model of clarity, we are persuaded that plaintiff's construction is the correct one. Enacted in 1993, Insurance Law § 3234 provides:

"(a) Every group or blanket policy issued or issued for delivery in this state which provides benefits by reason of the disability of the insured and which includes a pre-existing condition provision shall

contain in substance the following provision or provisions which in the opinion of the superintendent are more favorable to the members of the group:

“(1) In determining whether a pre-existing condition provision applies to an eligible person, the group or blanket disability policy shall credit the time the person was previously covered under a previous group or blanket disability insurance plan or policy or employer-provided disability benefit arrangement, if the previous coverage was continuous to a date not more than sixty days prior to the effective date of the new coverage. The credit shall apply to the extent that the previous coverage or level of benefits was substantially similar to the new coverage or level of benefits; and

“(2) No pre-existing condition provision shall exclude coverage for a period in excess of twelve months following the effective date of coverage for the covered person.

“(b) Nothing herein shall be construed to prohibit or restrict an insurer from utilizing other forms of underwriting for the members of the group in lieu of, or in addition to, the pre-existing condition provision described in subsection (a) of this section.”

In matters of statutory interpretation, “our primary consideration is to ascertain and give effect to the intention of the Legislature” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [internal quotation marks and citation omitted]). In discerning the legislative intent underlying section 3234 (a) (2), it is instructive to examine Insurance Law § 3232, a health insurance statute. Indeed, section 3234 tracks the language of section 3232, which was added a year earlier and places similar limitations on preexisting condition provisions in health insurance policies. Both statutes contain a portability provision requiring insurers to credit the time a person previously was covered under a comparable plan for purposes of determining the applicability of a preexisting condition provision (see Insurance Law § 3232 [a]; § 3234 [a] [1]). This portability feature was designed to enable individuals to change jobs or insurance plans without fear of having to wait for coverage to take effect. Most relevant to the issue here, both statutes also prescribe a 12-month maximum time frame for preexisting

condition provisions (*see* Insurance Law § 3232 [b]; § 3234 [a] [2]).

Section 3232 (b), the health insurance provision, employs language nearly identical to section 3234 (a) (2).² The parties agree that under section 3232 (b), although insurers may limit or preclude coverage for medical claims stemming from preexisting conditions during the first 12 months (assuming there is no portability of coverage), the insurers must cover such claims thereafter. Section 3232 (b) therefore functions as a tolling or waiting period because it mandates full health coverage—even for preexisting medical conditions—once the 12-month period expires. Insurers are not permitted to bar health coverage completely under section 3232 (b).

In choosing to use the same “for a period in excess of twelve months” language in section 3234 (a) (2) to define the time frame, the Legislature sought to create a similar tolling provision for preexisting conditions in group disability policies. We have observed in this regard that “whenever a word is used in a statute in one sense and with one meaning, and subsequently the same word is used in a statute on the same subject matter, it is understood as having been used in the same sense” (*Riley v County of Broome*, 95 NY2d 455, 466 [2000] [internal quotation marks and citation omitted]). If insurers may exclude health coverage for up to 12 months under section 3232 but must pay benefits for medical claims related to preexisting conditions after that time period, the statute should operate the same way for group disability plans under section 3234 (a) (2).

The legislative history buttresses our conclusion that section 3234 should be interpreted in a manner consistent with section 3232 (*see id.* at 463 [noting that “the legislative history of an enactment may also be relevant and is not to be ignored, even if words be clear” (internal quotation marks and citation omitted)]). The Senate memorandum in support of the bill explains that it “adds a new section 3234 to the Insurance Law to establish similar standards for pre-existing conditions for disability insurance policies” (Senate Introducer Mem in Support, Bill Jacket, L 1993, ch 650). Similarly, the Assembly sponsor described the bill as extending the standards applicable to preexisting conditions in health insurance policies to group dis-

2. Insurance Law § 3232 (b) provides, in relevant part: “No pre-existing condition provision shall exclude coverage for a period in excess of twelve months following the enrollment date of coverage for the covered person.”

ability insurance policies (*see* Assembly Mem in Support, Bill Jacket, L 1993, ch 650).

In contrast, when the Legislature intended to allow insurance policies to include a permanent bar to coverage for disabilities arising from a preexisting condition during a prescribed time period, it used different language to accomplish this result. Insurance Law § 3216 (d) (1) (B) (ii), applicable to individual disability policies, states:

“No claim for loss incurred or disability (as defined in the policy) *commencing after* two years from the date of issue of this policy shall be reduced or denied on the ground that a disease or physical condition not excluded from coverage by name or specific description effective on the date of loss had existed prior to the effective date of coverage of this policy” (emphasis added).

By using the phrase “commencing after,” the Legislature made clear that section 3216 (d) (1) (B) (ii) authorizes insurers to bar benefit coverage completely for claims arising during the first two years of coverage. And statutes in other states that permit insurers to preclude coverage totally for certain disability claims use analogous language (*see e.g.* Colo Rev Stat Ann § 10-16-214 [3] [a] [V] [C] [“In no event shall a group disability income insurance policy deny, exclude, or limit benefits for a covered individual because of a preexisting condition for a disability *commencing more than twelve months following* the effective date of such individual’s coverage” (emphasis added)]; Ga Code Ann § 33-24-26.1 [c] [“No policy or certificate of group disability income insurance shall be issued or delivered in this state which limits or excludes payment of benefits for a disability resulting from a preexisting condition if that disability *occurs more than 24 months following* the effective date of an insured’s coverage under such policy” (emphasis added)]). No comparable language appears in Insurance Law § 3234 (a) (2).

Finally, interpreting section 3234 (a) (2) as allowing insurers to impose a tolling period rather than an absolute bar to benefits does not prevent insurers from excluding or limiting disability coverage based on an individual’s prior medical history. Section 3234 (b) recognizes that insurance companies may use individual underwriting procedures in determining a person’s eligibility for coverage under a group disability policy. The Superintendent indicates in his brief that such individual underwriting practices for group disability policies may involve the review of

an applicant's medical history or the results of a medical examination. After assessing the individual's risk, the insurer may charge the applicant a higher premium, exclude coverage for a specified condition or decline to provide coverage.

Accordingly, the certified question should be answered as follows: New York Insurance Law § 3234 (a) (2) means that a policy may impose a 12-month waiting period during which no benefits will be paid for a disability stemming from a preexisting condition and arising in the first 12 months of coverage.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered as follows: New York Insurance Law § 3234 (a) (2) means that a policy may impose a 12-month waiting period during which no benefits will be paid for disability stemming from a preexisting condition and arising in the first 12 months of coverage.

[870 NE2d 1141, 839 NYS2d 711]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEITH
ANTWINE, Appellant.

Argued June 7, 2007; decided June 28, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 31, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John A. Barone, J.), which had convicted defendant, upon a jury verdict, of grand larceny in the fourth degree, escape in the second degree and two counts of endangering the welfare of a child.

People v Antwine, 33 AD3d 215, affirmed.

HEADNOTE

Crimes — Escape

Defendant, who had been transported to a hospital for treatment following his arrest and ran down a hallway after freeing himself from handcuffs in the emergency room but was recaptured before leaving the hospital by the officer who had been guarding him, was properly convicted of escape in the second degree under Penal Law § 205.10 (2). Section 205.10 (2) provides that a person is guilty of escape in the second degree when, having been arrested for, charged with or convicted of a class C, class D or class E felony, he escapes from custody. “Custody” is defined as “restraint by a public servant” (Penal Law § 205.00 [2]). Once it was shown by the People that defendant broke free or got away from the restraint or control of the officer, as defendant did here by physically removing restraints to free himself from the controls imposed and running away, sufficient evidence existed to support the crime of escape.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Escape §§ 1, 21.

McKINNEY’s, Penal Law § 205.00 (2); § 205.10 (2).

NY JUR 2d, Criminal Law §§ 4621, 4622, 4624, 4625.

ANNOTATION REFERENCE

See ALR Index under Custody; Escape or Flight.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: escape /3 custody & emergency /2 room

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Jonathan Marvinny, Richard M. Greenberg and Sara Gurwitch of counsel), for appellant. The prosecution failed to present legally sufficient evidence that Keith Antwine committed the crime of escape in the second degree when Mr. Antwine, in his attempt to escape from the hospital where he was being detained in custody, was apprehended by the officer guarding him before he made it out of the hospital. (*People v Neely*, 248 AD2d 996; *People v Hutchinson*, 56 NY2d 868; *Jackson v Virginia*, 443 US 307; *People v Conway*, 6 NY3d 869; *People v Santi*, 3 NY3d 234; *People v Piazza*, 48 NY2d 151; *People v Gerard*, 50 NY2d 392; *People ex rel. Powell v Warden of Kings County Hosp.*, 73 AD2d 654; *People v Mesa*, 188 AD2d 688, 81 NY2d 844; *People v Glover*, 134 AD2d 448.)

Robert T. Johnson, District Attorney, Bronx (Frances Y. Wang and Joseph N. Ferdenzi of counsel), for respondent. Defendant was properly convicted of escape in the second degree (Penal Law § 205.10 [2]). (*People v Angelo*, 88 NY2d 217; *People v Iannelli*, 69 NY2d 684, 482 US 914; *People v Hutchinson*, 56 NY2d 868; *People v Pilgrim*, 287 AD2d 315; *People v Allen*, 286 AD2d 633; *People v Sargent*, 194 AD2d 865; *People v Mesa*, 188 AD2d 688; *People v Bleakley*, 69 NY2d 490; *People v Neely*, 248 AD2d 996; *People v Glover*, 134 AD2d 448.)

OPINION OF THE COURT

CIPARICK, J.

The issue in this appeal is whether defendant was properly convicted of escape in the second degree under Penal Law § 205.10 (2). We agree with the Appellate Division that he was.

On April 22, 2003, defendant was arrested after stealing an automobile with two children in the back seat and colliding with another vehicle while he was trying to flee. Defendant was taken to the precinct for processing. While there, he complained of a toothache and a hernia, and Officer Bohan-McDowell escorted him, in handcuffs, to St. Barnabas Hospital by ambulance. Defendant was brought to the emergency room where Officer Bohan-McDowell handcuffed his right wrist to his assigned bed. Shortly thereafter, defendant complained that the handcuff was too tight, and the officer observed a visible discoloration of defendant's wrist. She placed the key in the cuff and started to loosen it when defendant lifted up on the cuff and ran away.

The officer caught up to defendant about 25 to 30 feet down the hallway and grabbed him, but he broke free. He then made a right turn and headed for the hospital exit approximately 12 feet away. After defendant got through the first of two sets of exit doors, the officer tackled defendant and remained on top of him until two doctors and another officer helped subdue him.

Defendant was charged with robbery in the second and third degrees as well as grand larceny in the fourth degree and other crimes. After a jury trial he was acquitted of robbery but convicted of grand larceny in the fourth degree, escape in the second degree and two counts of endangering the welfare of a child. Defendant was sentenced to concurrent terms of 2 to 4 years imprisonment on the grand larceny and escape counts and one year on each endangering the welfare of a child count. The Appellate Division affirmed the conviction, as we do.

Defendant claims that legally sufficient evidence did not exist to support his conviction for escape in the second degree under Penal Law § 205.10 (2). Rather, defendant asks that his conviction be reduced to attempted escape in the second degree.¹

Penal Law § 205.10 states that “[a] person is guilty of escape in the second degree when: . . . 2. Having been arrested for, charged with or convicted of a class C, class D or class E felony, he escapes from custody.” Relying on *People v Neely* (248 AD2d 996 [4th Dept 1998] [holding that legally sufficient evidence did not exist to support a conviction for escape under Penal Law § 205.10 (2) where defendant fled from a courtroom but was apprehended on the same floor within the courthouse]), defendant argues that in order to be convicted of the crime of escape under Penal Law § 205.10 (2), he would have had to make it past the hospital exit doors. Anything short of leaving the building, according to defendant, was simply an attempted escape. We disagree.

While a crossing-the-threshold rule does exist under Penal Law § 205.10 (1), the same is not true here. Under subdivision (1), a person is guilty of escape in the second degree when he or

1. Although defendant was not indicted for attempted escape in the second degree, the parties agreed to submit the charge to the jury as an alternative to escape in the second degree. The jury repeatedly asked the court for clarification as to the differences between the two crimes. Defendant’s assertion that Supreme Court misinstructed the jury about the proper standard for determining whether defendant was guilty of escape or attempted escape is without merit.

she “escapes from a detention facility.”² Thus, under that subdivision, a tangible threshold line exists as to whether or not defendant exited the facility. However, under subdivision (2), we are concerned with whether defendant escaped the realm of custody—the restraint imposed by the public servant (see Penal Law § 205.00 [2]). Such escape, as defined by the New York Criminal Jury Instructions, “means to get away, break away, get free or get clear, with the conscious purpose to evade custody” (CJI2d[NY] Penal Law § 205.10 [2]). Indeed, as we explained in *People v Hutchinson* (56 NY2d 868, 870 [1982]), “[t]he commonly understood definition of the verb ‘escape’ is ‘to get away (as by flight or conscious effort): break away, get free or get clear.’”

Here, the statute requires proof that defendant “escape[d] from custody.” “Custody,” in turn, “means restraint by a public servant” (Penal Law § 205.00 [2]). Hence, once the People show that a defendant broke free or got away from the restraint or control of the officer, as defendant did here by physically removing restraints to free himself from the controls imposed and running away, sufficient evidence exists to support the crime of escape. This is not to say that simply circumventing one’s handcuffs constitutes an escape. Had defendant pushed off the handcuff but remained within the officer’s control, he may have been found guilty of an attempted escape. Rather, here it was the point when defendant was no longer under the control of the officer and had removed himself from her custody without authorization—when she had to give chase, placing herself and the public at risk—that the elements of Penal Law § 205.10 (2) were sufficiently met.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

2. To apply a Penal Law § 205.10 (1) analysis in a non-detention facility setting, as proffered by defendant, would lead to incongruous results. In this particular instance, it would render the critical facts that defendant traveled 35 to 45 feet through multiple doorways after pushing through his handcuff and shoving an officer completely immaterial as defendant fell a few feet short of the final doorway. But, had the breach from custody occurred a few feet inside the hospital exit doors and defendant had managed to leave the building that would constitute a completed escape under defendant’s rationale—not a workable rule under subdivision (2) of Penal Law § 205.10.

[870 NE2d 1144, 839 NYS2d 714]

LAURENCE BROGGY et al., Appellants, v ROCKEFELLER GROUP, INC., et al., Respondents.

Argued June 6, 2007; decided July 2, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 13, 2006. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, an order of the Supreme Court, New York County (Alice Schlesinger, J.), which had granted plaintiffs' motion for partial summary judgment on the issue of liability under Labor Law § 240 (1) and directed a trial as to damages; (2) denied the motion; (3) upon a search of the record, granted summary judgment to defendants dismissing the Labor Law § 240 (1) claim; and (4) directed the clerk to enter judgment dismissing the complaint.

Broggy v Rockefeller Group, Inc., 30 AD3d 204, affirmed.

HEADNOTE**Labor — Safe Place to Work**

Plaintiffs' Labor Law § 240 (1) claim was properly dismissed in an action to recover damages for injuries sustained by plaintiff when he fell backwards off of the desk he was standing on to clean an interior office window. Although "cleaning" is expressly afforded protection under section 240 (1) whether or not incidental to any other enumerated activity, the particular window washing task at issue did not create an elevation-related risk of the kind that the safety devices listed in section 240 (1) protect against. Plaintiff failed to establish that he was obliged to work at an elevation to wash the interior of the windows. Moreover, the evidence demonstrated as a matter of law that plaintiff did not need protection from the effects of gravity where, before the accident, he had already cleaned windows of the same height without a ladder or other protective device.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248–250, 266–269.

McKINNEY's, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 230–233, 235, 236, 238.

ANNOTATION REFERENCE

See ALR Index under Janitors and Caretakers; Occupational Safety and Health; Window Washer.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: cleaning & elevation-related /p desk

POINTS OF COUNSEL

Kelner & Kelner, New York City (Gail S. Kelner and Joshua D. Kelner of counsel), for appellants. I. The commercial window cleaning performed by plaintiff at the time of the subject occurrence was clearly within the scope of Labor Law § 240 (1). (*Bauer v Female Academy of Sacred Heart*, 97 NY2d 445; *Rivers v Sauter*, 26 NY2d 260; *Connors v Boorstein*, 4 NY2d 172; *Brown v Christopher St. Owners Corp.*, 87 NY2d 938; *Smith v Shell Oil Co.*, 85 NY2d 1000; *Joblon v Solow*, 91 NY2d 457; *Williamson v 16 W. 57th St. Co.*, 256 AD2d 507; *Harzewski v Centennial Dev.*, 270 AD2d 888; *D'Amico v Manufacturers Hanover Trust Co.*, 177 AD2d 441; *Panek v County of Albany*, 99 NY2d 452.) II. By overruling its own precedent in *Bustamante v Chase Manhattan Bank* (241 AD2d 327 [1997]) and erroneously limiting the plain language of Labor Law § 240 (1), the Appellate Division, First Department has exacerbated a disagreement among the Appellate Division departments. (*Bauer v Female Academy of Sacred Heart*, 97 NY2d 445; *Brown v Christopher St. Owners Corp.*, 87 NY2d 938; *Connors v Boorstein*, 4 NY2d 172; *Joblon v Solow*, 91 NY2d 457; *Smith v Shell Oil Co.*, 85 NY2d 1000; *Panek v County of Albany*, 99 NY2d 452; *Rukaj v Eastview Holdings, LLC*, 36 AD3d 519; *Stanley v Carrier Corp.*, 303 AD2d 1022; *Vasey v Pyramid Co. of Buffalo*, 258 AD2d 906; *Chapman v International Bus. Machs. Corp.*, 253 AD2d 123.) III. The Appellate Division misinterpreted the facts of the case and applicable law in concluding that there was no issue of fact concerning whether the work could have been performed from the ground. (*Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Sniadecki v Westfield Cent. School Dist.*, 272 AD2d 955; *Dasilva v A.J. Contr. Co.*, 262 AD2d 214; *Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878; *Megna v Tishman Constr. Corp. of Manhattan*, 306 AD2d 163; *Hock v Builtiland Partners*, 165 Misc 2d 1032, 233 AD2d 260; *Aiello v Rockmor Elec. Enters.*, 255 AD2d 470; *LaJeunesse v Feinman*, 218 AD2d 827; *Zuckerman v City of New York*, 49 NY2d 557; *Bryan v City of New York*, 206 AD2d 448.)

Carfora Klar Gallo Vitucci Pinter & Cogan, LLP, New York City (Kimberly A. Ricciardi of counsel), for respondents. I. The Appellate Division, First Department properly held that the routine cleaning work performed by plaintiff was not encom-

Opinion by READ, J.

passed by Labor Law § 240 (1). (*Panek v County of Albany*, 99 NY2d 452; *Joblon v Solow*, 91 NY2d 457; *Brown v Christopher St. Owners Corp.*, 211 AD2d 441, 87 NY2d 938; *Connors v Boorstein*, 4 NY2d 172; *Machado v Triad III Assoc.*, 274 AD2d 558; *Rivers v Sauter*, 26 NY2d 260; *Esposito v New York City Indus. Dev. Agency*, 1 NY3d 526; *Kirk v Outokumpu Am. Brass, Inc.*, 33 AD3d 1136; *Adair v Bestek Light. & Staging Corp.*, 298 AD2d 153; *Acosta v Banco Popular*, 308 AD2d 48.) II. The Appellate Division, First Department properly dismissed plaintiff's complaint because plaintiff failed to establish that his accident was proximately caused by any violation of Labor Law § 240 (1). (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Negron v City of New York*, 22 AD3d 546; *Sprague v Peckham Materials Corp.*, 240 AD2d 392; *Laverne v Incorporated Vil. of Laurel Hollow*, 18 NY2d 635; *Allende v New York City Health & Hosps. Corp.*, 90 NY2d 333; *Estate of Canale v Binghamton Amusement Co.*, 37 NY2d 875; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Brooks v City of New York*, 212 AD2d 435.)

OPINION OF THE COURT

READ, J.

On March 5, 1999, Laurence Broggy (plaintiff), who was employed by International Service System, Inc. (ISS), reported to work at 75 Rockefeller Plaza, a part of the Rockefeller Center complex in New York City. ISS (subsequently renamed One-Source Facility Services, Inc.) is in the business of providing cleaning and maintenance services to commercial building owners and managers, and plaintiff's supervisor had instructed him to wash the inside of 75 Rockefeller Plaza's eighth-floor windows. Plaintiff described himself as a "journeyman window washer" for ISS, because he would "go from building to building where . . . needed at a given time," as opposed to a "steady building employee," assigned by ISS to "work[] in a particular" structure.

When plaintiff arrived at work, he brought along his bucket and window washing "tools"—a wand, a squeegee and a bottle of soap. He met two other ISS employees at the building's front desk, and a security guard escorted them to the eighth floor. Plaintiff first went to the wash closet to fill his bucket with water. He and his two coworkers, who were equipped with safety belts for exterior window washing, then began to clean the windows in the eighth-floor offices. These windows were verti-

cally sliding sash windows, roughly four feet wide and six feet tall. The base of each window was three or four feet above the floor, and the top extended to within roughly six inches of the ceiling. Thus the top of each window was 9 or 10 feet above the floor.

As plaintiff described his window washing technique, he first applied soap and water to a window's interior surface, using the wand. Then he squeegeed off the soapy water and "wipe[d] the bottom of the window with a towel." Plaintiff cleaned the inside of "about eight" windows altogether in at least three different offices without incident. He did not testify that he required or used a ladder or platform to reach the top of these windows with his wand and squeegee.

Plaintiff and his coworkers eventually arrived at room 810, where three of the windows were aligned "in a row" on the wall opposite the doorway. As plaintiff entered the room, the window farthest to his left was about five or six feet from a corner of the office, and about four or five feet separated this window from the one to its immediate right. The third window was "well off" to the right of this pair of windows.

There were two mahogany desks in room 810. One of them was pushed with its back flush against the leftmost window, extending laterally "[a] couple of feet" beyond the window towards the corner of the office. The top of this desk was about three feet deep and 10 feet wide. A gallery—a one-inch-thick and four-inch-high protecting edge, raised above the desktop's surface—bordered its back, while the desktop itself was level with the window's sill. The three men considered moving this desk, but after "put[ting] [their] hands on" it, concluded that "'[w]e can't move this. It's too big.'" When asked if the desktop was empty or whether there were papers, a computer or anything else on it, plaintiff testified that he thought that there were "papers that were moved aside."

Protected by their safety belts, plaintiff's coworkers began to clean the exterior surfaces of room 810's windows, gaining access by stepping through a window onto an outside ledge. Meanwhile, plaintiff clambered up on top of the desk and began to clean the interior surface of the leftmost window, starting at the upper lefthand corner. Plaintiff was aware of the gallery because when he "climbed up on the desk to wash the window, [he] stepped over it to get closer to the window." After plaintiff completed cleaning the glass in the window's top sash, he

noticed that one of his coworkers was signaling that he wanted back into the office from the outside. Standing with his left foot on the windowsill and his right foot on the desktop, plaintiff lifted the bottom sash and moved his hands away, expecting the window to remain open. Instead, the bottom sash suddenly “slammed down,” and plaintiff “tried to get [his] left foot out of the way” by moving it from the windowsill “[t]owards the desk.” When he did this, his left instep “[came] into contact with” the gallery, causing him to lose his balance, fall backwards and hit his back first on the desktop and then the floor.

On February 15, 2002, plaintiff and his wife sued various parties identified as landlords, lessors, lessees or managers of 75 Rockefeller Plaza, alleging violations of Labor Law §§ 200, 202, 240 (1) and § 241 (6). Plaintiffs subsequently moved for partial summary judgment on liability under Labor Law § 240 (1) because plaintiff was “injured when he fell from the window sill which was being used as an elevated platform or scaffold from which to perform commercial window cleaning.” Plaintiffs faulted defendants for failing to provide plaintiff with the safety devices necessary “to overcome the elevation differential of approximately four feet between the floor and the window so as to perform his task safely.” Defendants opposed the motion, arguing that there were questions of fact as to whether cleaning the interior of a commercial building’s windows was covered by Labor Law § 240 (1), and whether plaintiff’s accident was proximately caused by the absence of any safety device listed in the statute. Defendants also moved to dismiss plaintiffs’ remaining Labor Law claims. Supreme Court granted plaintiffs’ motion for partial summary judgment and defendants’ motion to dismiss, and defendants appealed.

The Appellate Division subsequently reversed Supreme Court, denied plaintiffs’ motion for partial summary judgment on liability and, upon searching the record, granted summary judgment to defendants dismissing plaintiffs’ Labor Law § 240 (1) claim and the complaint. The Appellate Division took the position that section 240 (1)’s protections are limited to cleaning that is related to building construction, demolition and repair work; or, if not carried out at a construction site, is incidental to activities making a significant physical change to the premises, citing our decisions in *Joblon v Solow* (91 NY2d 457 [1998]) and *Panek v County of Albany* (99 NY2d 452 [2003]). As an alternative ground, the Appellate Division concluded that plaintiffs had

“failed to establish the need for any safety device

affording protection from the effects of gravity in connection with the interior window cleaning at issue. [They] do not allege that any additional device, such as a ladder, was needed to permit the interior surfaces of the windows to be safely cleaned; nor do they allege that cleaning could not have been successfully performed from the floor level using the wand and squeegee supplied. (The record is devoid of evidence concerning the length of the handles on these tools.) Thus, there is no evidence from which this Court could conclude that the injured plaintiff was exposed to an elevation-related risk protected by the statute” (30 AD3d 204, 206-207 [1st Dept 2006] [citations omitted]).

We granted plaintiffs permission to appeal, and now affirm on the basis of the Appellate Division’s alternative rationale.

Labor Law § 240 (1) provides that

“[a]ll contractors and owners and their agents . . . in the erection, demolition, repairing, altering, painting, *cleaning* or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed” (emphasis added).

Thus, “cleaning” is expressly afforded protection under section 240 (1) whether or not incidental to any other enumerated activity (see *Smith v Shell Oil Co.*, 85 NY2d 1000, 1002 [1995] [changing a lightbulb not protected under Labor Law § 240 (1) because it was “maintenance of a sort different from ‘painting, cleaning or pointing,’ *the only types of maintenance provided for in the statute*” (emphasis added)]). As a result, in *Brown v Christopher St. Owners Corp.* (87 NY2d 938, 939 [1996]), we did not preclude liability on the ground that the exterior window cleaning was not part of a construction, demolition, or repair project. Rather, we concluded that “routine, *household* window washing” was “not the kind of undertaking for which the Legislature sought to impose liability under Labor Law § 240” (emphasis added; see also *Connors v Boorstein*, 4 NY2d 172 [1958] [excluding cleaning of a private residence’s windows from ambit of section 240 (1)]).

Further, our decisions in *Joblon* and *Panek* do not suggest that cleaning at a nonconstruction site falls outside the scope of section 240 (1) unless connected with altering. These cases dealt with the meaning of the statutory term “altering,” not “cleaning.” “Altering” and “cleaning” are discrete categories of activity protected under section 240 (1). Notably, in *Joblon*, we rejected the defendants’ argument that only altering performed as part of a building construction job was covered by section 240 (1) (see 91 NY2d at 463-464).

In *Bauer v Female Academy of Sacred Heart* (97 NY2d 445 [2002]), we allowed a section 240 (1) claim to go forward where the plaintiff fell while cleaning the exterior of a third-story window at a school. We see no reason to limit *Bauer* to its facts—exterior window washing of a nondomestic character—as defendants urge. While interior window washing may not routinely entail the elevation-related risks that exterior window washing almost invariably poses, assigning liability under section 240 (1) on this basis would create an arbitrary dividing line unfaithful to legislative intent. The crucial consideration under section 240 (1) is not whether the cleaning is taking place as part of a construction, demolition or repair project, or is incidental to another activity protected under section 240 (1); or whether a window’s exterior or interior is being cleaned. Rather, liability turns on whether a particular window washing task creates an elevation-related risk of the kind that the safety devices listed in section 240 (1) protect against.

The burden of showing that an elevation-related risk exists, and that the owner or contractor did not provide adequate safety devices falls upon the plaintiff. Here, plaintiffs did not fulfill this burden. Plaintiff did not testify how high he could reach with his wand and squeegee while standing on the floor. He asserted that he had to stand on the desk, but provided no evidence to show that this was because he was required to work at an elevation to clean the interior of the windows. The desk may have been in plaintiff’s way, or it may have been easier for him to reach the top of the windows while standing on the desk, or it may have been quicker for him to climb on the desk than to seek further assistance to move it. To recover under section 240 (1), however, plaintiff must establish that he stood on the desk because he was obliged to work at an elevation to wash the interior of the windows. Moreover, summary judgment in favor of defendants is proper because the evidence in this record demonstrates as a matter of law that plaintiff did not here need

protection from the effects of gravity. Prior to his accident, plaintiff had cleaned the interior of eight other windows of exactly the same height as those in room 810, and the record does not show that he needed a ladder or other protective device. The only “tools” that he testified to having used were a wand, a squeegee and a bottle of soap.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed, with costs.

[871 NE2d 537, 840 NYS2d 1]

In the Matter of CARMINE POLITO et al., Appellants, v JOHN P.
WALSH, as Supreme Court Justice, et al., Respondents.

Argued May 29, 2007; decided June 28, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 19, 2006 in a proceeding pursuant to CPLR article 78. The Appellate Division denied the petition to bar respondents from proceeding with the trial in the underlying criminal action on the ground that the trial would violate the prohibition against double jeopardy, and dismissed the proceeding.

Matter of Polito v Walsh, 32 AD3d 953, affirmed.

HEADNOTE

Crimes — Double Jeopardy

Subsequent state-court prosecution of petitioners for murder in the second degree was not barred by the statutory prohibition against double jeopardy contained in CPL 40.20 (1), which provides that a person may not be twice prosecuted for the same offense, where petitioners' federal conviction of murder in aid of racketeering in violation of 18 USC § 1959 (a) had been reversed on the ground that an element of that crime had not been established. Petitioners could not rely upon CPL 40.20 (2), which provides that a person may not be separately prosecuted for two offenses based upon the same act or criminal transaction, due to applicability of the exception contained in CPL 40.20 (2) (f). The federal prosecution was terminated due to the insufficiency of evidence to establish the "aid of racketeering" element of the offense, which was not an element of the crime for which petitioners were being prosecuted in New York. Petitioners' federal prosecution and the state murder prosecution were not "for the same offense" within the meaning of CPL 40.20 (1). CPL 40.20 (1), when read in accord with the narrow definition of the term "offense" contained in CPL 40.10 (1), prohibits the prosecution of the same person twice under the same statute for the same act. CPL 40.20 (1) does not incorporate the constitutional definition of "same offense," that each statutory provision requires proof of a fact which the other does not, and petitioners failed to establish that it does not incorporate the "dual sovereignty" doctrine. To the extent that New York's statutory protections against double jeopardy go beyond those afforded by the State or Federal Constitution (NY Const, art I, § 6; US Const 5th Amend), they are to be found in CPL 40.20 (2). CPL 40.20 (1) provides, at most, no more double jeopardy protection than the Constitutions do.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 322–325, 373, 374, 414.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1958–172:1962, 172:2011, 172:2013.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 25.1, 25.4, 25.5.

McKINNEY's, CPL 40.10 (1); 40.20; NY Const, art I, § 6.

NY JUR 2d, Criminal Law §§ 1763–1765, 1772, 1775.

US Const 5th Amend.

ANNOTATION REFERENCE

Federal court conviction or acquittal as bar to prosecution in state court for state offense based on same facts—modern view. 97 ALR5th 201.

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POINTS OF COUNSEL

White & White, New York City (*Diarmuid White* and *Brendan White* of counsel), and *Gerald J. McMahon* for Carmine Polito, appellant. Since the state crime of murder in the second degree is a lesser included offense of the federal crime of murder in aid of racketeering, they are the “same offense” and the petitioners may not be twice prosecuted for the murder. (*People v Biggs*, 1 NY3d 225; *Brown v Ohio*, 432 US 161; *Burks v United States*, 437 US 1; *Harris v Oklahoma*, 433 US 682; *Blockburger v United States*, 284 US 299; *People v Rivera*, 60 NY2d 110; *Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County*, 37 NY2d 560; *People v Glover*, 57 NY2d 61; *People v Okafore*, 72 NY2d 81; *Matter of Johnson v Morgenthau*, 69 NY2d 148.)

Stillman, Friedman & Shechtman, P.C., New York City (*Paul Shechtman* and *Nathaniel Z. Marmur* of counsel), for Mario Fortunato, appellant. New York's double jeopardy statute prohibits Mr. Fortunato from being prosecuted on the state murder charge. (*People v Abbamonte*, 43 NY2d 74; *Matter of Booth v Clary*, 83 NY2d 675; *Matter of Corbin v Hillery*, 74 NY2d 279, *affd sub nom. Grady v Corbin*, 495 US 508; *Blockburger v United States*, 284 US 299; *Brown v Ohio*, 432 US 161; *In re Nielsen*, 131 US 176; *Harris v Oklahoma*, 433 US 682; *Illinois v Vitale*, 447 US 410; *United States v Hatchett*, 245 F3d 625; *Whalen v United States*, 445 US 684.)

Charles J. Hynes, District Attorney, Brooklyn (Ann Bordley and Leonard Joblove of counsel), for respondents. The Appellate Division properly denied the petition for a writ of prohibition, because the trial of the petitioners for murder will not violate Criminal Procedure Law § 40.20 (1). (*Matter of Holtzman v Goldman*, 71 NY2d 564; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Klein v Murtagh*, 34 NY2d 988; *United States v Concepcion*, 983 F2d 369, 510 US 856; *United States v Carrillo*, 229 F3d 177; *United States v Fernandez*, 388 F3d 1199, 544 US 1009; *United States v Bracy*, 67 F3d 1421; *United States v Bruno*, 383 F3d 65; *Matter of Schmidt v Roberts*, 74 NY2d 513; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98.)

OPINION OF THE COURT

SMITH, J.

Petitioners were prosecuted in federal court for murder in aid of racketeering. A jury convicted them, but a federal Court of Appeals reversed the conviction and dismissed the charge because the Government had failed to prove the “aid of racketeering” element of the crime. A New York grand jury then indicted petitioners for murder.

Petitioners brought this proceeding to prohibit the state-court prosecution, claiming that it violates CPL 40.20 (1), one of New York’s double jeopardy statutes. We hold that the statute has not been violated.

Facts and Procedural History

Petitioners were indicted by a United States grand jury on eight counts growing out of a shooting in which Sabatino Lombardi was killed and Michael D’Urso was wounded. The Government claimed that petitioners had hired hit men to kill Lombardi and D’Urso, and that in the case of Lombardi the hit men had succeeded. The count of the indictment with which we are now concerned, captioned “Murder in Aid of Racketeering,” alleged that petitioners had murdered Lombardi; that they had done so “for the purpose of gaining entrance to and maintaining and increasing position in the Genovese family”; that the Genovese family was “an enterprise engaged in racketeering activities”; and that petitioners had therefore violated 18 USC § 1959 (a), titled “Violent crimes in aid of racketeering activity” (VCAR), which provides federal criminal punishment for anyone who:

“for the purpose of gaining entrance to or maintaining or increasing position in an enterprise engaged in racketeering activity, murders . . . any individual in violation of the laws of any State.”

Petitioners were convicted after a jury trial in the United States District Court for the Eastern District of New York, but the United States Court of Appeals for the Second Circuit reversed and ordered the VCAR charge dismissed (*United States v Bruno*, 383 F3d 65 [2d Cir 2004]). The gist of the Second Circuit’s opinion, as it affects our case, is that, while the evidence showed some connections between petitioners and the Genovese family, it did not show that the murder of Lombardi was intended to enhance their positions in the organization. Rather, the evidence suggested that petitioners arranged the shooting of Lombardi and D’Urso out of personal hatred and to avoid the repayment of gambling debts.

After the Second Circuit decision, a state grand jury indicted petitioners for Lombardi’s murder. Petitioners then brought this CPLR article 78 proceeding in the Appellate Division, seeking a writ of prohibition against the state prosecution. The Appellate Division denied the petition and dismissed the proceeding. We granted leave to appeal, and now affirm.

Discussion

Petitioners do not claim that their prosecution for murder violates their constitutional rights. As they recognize, under the so-called “dual sovereignty” doctrine, the Double Jeopardy Clause of the United States Constitution does not prohibit successive federal and state prosecutions for the same conduct (*Bartkus v Illinois*, 359 US 121 [1959]). Nor do petitioners rely on the State Constitution’s Double Jeopardy Clause (NY Const, art I, § 6). But in New York, protection against double jeopardy is statutory as well as constitutional.

The double jeopardy statute, CPL 40.20, has two subdivisions. Subdivision (1) says simply: “A person may not be twice prosecuted for the same offense.” Subdivision (2) is less simple. It says, “A person may not be separately prosecuted for two offenses based upon the same act or criminal transaction,” but these words are followed by the word “unless” and a list of eight exceptions. One of the exceptions is applicable here. CPL 40.20 (2) (f) excludes from the prohibition of section 40.20 (2) cases where:

“One of the offenses consists of a violation of a statutory provision of another jurisdiction, which offense has been prosecuted in such other jurisdiction and has there been terminated by a court order expressly founded upon insufficiency of evidence to establish some element of such offense which is not an element of the other offense, defined by the laws of this state.”

Here, the first prosecution of petitioners was for “a violation of a statutory provision of another jurisdiction,” the VCAR statute; petitioners were prosecuted for it in “such other jurisdiction”—i.e., in federal court; the federal prosecution was terminated by the Second Circuit’s order; that order was “expressly founded upon insufficiency of evidence” to establish the “aid of racketeering” element of the offense; and aid of racketeering is not an element of murder, the crime for which petitioners are now being prosecuted in New York. CPL 40.20 (2) (f) was evidently written for the purpose of preventing people in the exact situation of these petitioners from relying on the protection given by CPL 40.20 (2).

Petitioners do not contest this, and do not rely on CPL 40.20 (2). But they say that they are protected by CPL 40.20 (1), because the federal VCAR prosecution and the state murder prosecution are “for the same offense” within the meaning of that statute—and CPL 40.20 (1) has no exceptions.

The result petitioners seek is counterintuitive. It seems highly unlikely that the Legislature would have gone to the trouble of writing CPL 40.20 (2) (f) to strip people like petitioners of double jeopardy protection, if the same protection were conferred by CPL 40.20 (1). Analysis confirms that “same offense” in CPL 40.20 (1) does not have the broad meaning petitioners would give it.

“Offense” is defined in CPL 40.10 (1): “An ‘offense’ is committed whenever any conduct is performed which violates a statutory provision defining an offense; and when the same conduct or criminal transaction violates two or more such statutory provisions each such violation constitutes a separate and distinct offense.” Thus, the meaning of “offense” in the Criminal Procedure Law is very narrow. The same act constitutes two offenses if it violates two statutory provisions. If “offense” is read in accord with the statutory definition, CPL 40.20 (1) prohibits only prosecuting the same person twice under the same statute for the same act, and does not help petitioners here.

We held in *Matter of Klein v Murtagh* (34 NY2d 988 [1974], *affg on op below* 44 AD2d 465 [2d Dept 1974]) that CPL 40.10 (1)'s narrow definition of "offense" applies to CPL 40.20 (1)'s double jeopardy provision. The Appellate Division opinion in *Klein*, which we adopted, rejected a double jeopardy claim by a petitioner, who, like petitioners here, was prosecuted first in federal and then state court for the same conduct; and who, again like petitioners here, had prevailed in federal court because of the Government's failure to establish "the 'Federal' element of the crime charged" (44 AD2d at 467). The Appellate Division said:

"The petitioners and the intervenor contend in this court that to permit the State prosecution to continue will subject them to a second prosecution for the 'same offense' in violation of . . . CPL 40.20. This is not so Subdivision 1 of CPL 40.20 prescribes the New York double jeopardy doctrine in its purest and simplest form. It states that 'a person may not be twice prosecuted for the same offense.' This means the same in both fact and law In subdivision 1 of CPL 40.10 the term 'offense' is defined as 'committed whenever any conduct is performed which violates a statutory provision defining an offense; and when the same conduct or criminal transaction violates two or more such statutory provisions each such violation constitutes a separate and distinct offense.'

"At bar, the prosecutions are not the same in law because they are based upon separate and distinct statutes" (*Id.*)

Petitioners argue that, notwithstanding CPL 40.10 (1) and our holding in *Klein*, "offense" in CPL 40.20 (1) cannot be given its narrow statutory definition. They point out that the words "same offence" appear in the Double Jeopardy Clause of the Fifth Amendment ("nor shall any person be subject for the same offence to be twice put in jeopardy of life or limb"), and that their meaning in that context has long been established. Under *Blockburger v United States* (284 US 299, 304 [1932]), "the test to be applied to determine whether there are two offenses or only one, is whether each provision requires proof of a fact which the other does not."

Under the *Blockburger* test, petitioners argue, the two offenses for which petitioners have been prosecuted are the

same because, while the VCAR statute does require proof of facts (the “aid of racketeering” element) that New York’s murder statute does not, the reverse is not true; to prove petitioners guilty of VCAR, the federal prosecutors had to prove every element of the New York crime of murder. And, petitioners’ argument continues, if the two offenses are the same under the *Blockburger* test they must also be the same within the meaning of CPL 40.20 (1), for the authors of that statute, in using the same words as the Constitution, could not have meant to give less protection than the Constitution gives.

Petitioners distinguish *Klein* on the ground that the two offenses at issue there were not the same under the *Blockburger* test; each required proof of an element that the other did not. And petitioners suggest that the statutory definition in CPL 40.10 (1) could not have been intended to define “same offense” for double jeopardy purposes—even though the double jeopardy provisions are in the very next section. The word “offense” appears in many provisions of the Criminal Procedure Law, and the statutory definition of the term works in most or all of those contexts—but, petitioners say, it simply does not work when applied to the words “same offense” in CPL 40.20 (1).

Admittedly, it seems odd to hold that a statute tracking constitutional language gives less protection than the Constitution. But the People say that, odd or not, that is what CPL 40.10 (1) says and that is what *Klein* holds. And, the People add, that creates no constitutional problem because whatever constitutional protection is withheld by CPL 40.20 (1) is conferred by CPL 40.20 (2), so the statutes in combination give at least as much protection as the Constitution. On the other hand, several commentators have suggested that CPL 40.20 (1) and the constitutional double jeopardy protection are coextensive (Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 40.20 [“(s)ubdivision 1 of this section states the pure and simple constitutional prohibition against double jeopardy ‘for the same offense’ (U.S. Const. amend. V; N.Y. Const. Art. 1, § 6)’”]; Marks et al., New York Pretrial Criminal Procedure § 2.5, at 66 [7 West’s NY Prac Series] [“(t)he ‘same offense’ provisions essentially subsume the federal constitutional rule, which is known colloquially as the ‘Blockburger’ test”]; Seeliger, 1997-98 Survey of New York Law, *Criminal Procedure*, 49 Syracuse L Rev

377, 382 n 32 [1999] [“CPL 40.20 (1) codifies the constitutional prohibition against double jeopardy”]).

Whether CPL 40.20 (1) is narrower than, or identical in coverage to, constitutional double jeopardy protection is an interesting question, but we do not need to resolve it in this case, because neither answer to the question helps petitioners. As we have pointed out, petitioners do not claim that their constitutional rights are violated by the prosecution they seek to prohibit. They can prevail under CPL 40.20 (1) only if that statute provides *more* protection than the United States Constitution. More specifically, they must persuade us that CPL 40.20 (1) incorporates the constitutional definition of “same offense” as reflected in *Blockburger*, but that it does not incorporate the dual sovereignty limitation on the constitutional protection reflected in *Bartkus*. Nothing in the statute’s language, context or apparent purpose supports this reading of CPL 40.20 (1).

However, petitioners do find, in comments made in some of our decisions, support for the idea that CPL 40.20 (1) rejects the dual sovereignty rule. In *Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County* (37 NY2d 560, 565 [1975]), we said that CPL 40.20 (1) codified the rule of several earlier cases, including *People v Lo Cicero* (14 NY2d 374 [1964]); *Lo Cicero*, decided before CPL 40.20 was enacted, rejected the dual sovereignty doctrine under New York law. In *Matter of Booth v Clary* (83 NY2d 675, 679 [1994]) we cited CPL 40.20 (1) as reflecting the “intricate details” of New York’s rather broad statutory double jeopardy protections. And in *People v Rivera* (60 NY2d 110, 114 [1983]), we again cited CPL 40.20 (1) in a similar context.

Our remarks in *Abraham*, *Booth* and *Rivera* were not necessary to our holdings in those cases. We now conclude that they require clarification, if not correction. New York does indeed have relatively broad statutory protection against double jeopardy, and our statutory law does reject, in large part, the dual sovereignty doctrine. To the extent our protections go beyond those afforded by the State or Federal Constitution, however, they are to be found in CPL 40.20 (2), not CPL 40.20 (1). CPL 40.20 (1) provides, at most, no more double jeopardy protection than the Constitutions do. We therefore reject petitioners’ claim that CPL 40.20 (1) bars their prosecution in this case.

Accordingly, the judgment of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Judgment affirmed, without costs.

[872 NE2d 848, 840 NYS2d 736]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v VINCENT
LITTO, Respondent.

Argued May 30, 2007; decided June 27, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 3, 2006. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Kings County (John P. Walsh, J.), as had granted that branch of defendant's omnibus motion to dismiss counts two and six of the indictment, charging vehicular manslaughter in the second degree and driving while intoxicated, respectively, and dismissed those counts.

People v Litto, 33 AD3d 625, affirmed.

HEADNOTE

Motor Vehicles — Operating Vehicle while Under Influence of Alcohol or Drugs — Proscription against Driving while Intoxicated Applicable Only to Intoxication Caused by Alcohol

A driver cannot be prosecuted under Vehicle and Traffic Law § 1192 (3) for “driving while intoxicated” while under the influence of drugs. Inasmuch as it was the intent of the Legislature that Vehicle and Traffic Law § 1192 (3) was to apply only to intoxication caused by alcohol, evidence that defendant inhaled a hydrocarbon while driving, veered into oncoming traffic and crashed into a vehicle, killing one of its passengers, could not support charges of operating a motor vehicle while in an intoxicated condition (Vehicle and Traffic Law § 1192 [3]) or vehicular manslaughter in the second degree (Penal Law § 125.12). The enactment in 1966 of what is now Vehicle and Traffic Law § 1192 (4) prohibiting driving while ability impaired by drugs indicated that section 1192 (3) did not proscribe such conduct. Defendant could not be prosecuted under section 1192 (4) because the substance that he inhaled was not a drug within the meaning of that subdivision (*see* Vehicle and Traffic Law § 114-a; Public Health Law § 3306).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 356, 358, 363, 407, 408.

McKINNEY's, Penal Law § 125.12; Public Health Law § 3306; Vehicle and Traffic Law §§ 114-a, 1192 (3), (4).

NY JUR 2d, Automobiles and Other Vehicles §§ 801, 802, 3832.

ANNOTATION REFERENCE

Driving under the influence, or when addicted to the use, of drugs as criminal offense. 17 ALR3d 815.

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POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Ann Bordley and Leonard Joblove of counsel), for appellant. I. Vehicle and Traffic Law § 1192 (3) applies to drivers whose intoxication was caused by a substance other than alcohol. (*People v Finnegan*, 85 NY2d 53, 516 US 919; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Polan v State of N.Y. Ins. Dept.*, 3 NY3d 54; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Robinson*, 95 NY2d 179; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of Excellus Health Plan v Serio*, 2 NY3d 166; *Matter of Orens v Novello*, 99 NY2d 180; *People v Cruz*, 48 NY2d 419; *Otero v Town of Southampton*, 194 F Supp 2d 167.) II. The evidence before the grand jury was legally sufficient to establish defendant's guilt of driving while intoxicated and vehicular manslaughter in the second degree. (*People v Bello*, 92 NY2d 523; *People v Deegan*, 69 NY2d 976; *People v Jennings*, 69 NY2d 103; *People v Owens*, 271 AD2d 621; *People v D'Amico*, 138 AD2d 503.)

Anthony M. Bramante, Brooklyn, for respondent. Vehicle and Traffic Law § 1192 (3) does not apply to drivers whose alleged intoxication was caused by a substance other than alcohol. (*People v Cruz*, 48 NY2d 419; *People v Stack*, 140 AD2d 389; *People v Bayer*, 132 AD2d 920; *People v Ottomanelli*, 107 AD2d 212; *People v Weaver*, 188 App Div 395; *People v Koch*, 250 App Div 623; *People v Ardila*, 85 NY2d 846; *People v Cunningham*, 95 NY2d 909; *People v Bayer*, 132 AD2d 920; *People v Grinberg*, 4 Misc 3d 670.)

OPINION OF THE COURT

Chief Judge KAYE.

Over the last 97 years, the Legislature has crafted and repeatedly refined statutes with the goal of removing from the road those who drive while intoxicated. This appeal centers on the phrase "driving while intoxicated" in Vehicle and Traffic Law

§ 1192 (3). Based on the language, history and scheme of the statute, we conclude that the Legislature here intended to use “intoxication” to refer to a disordered state of mind caused by alcohol, not by drugs.

Facts

On the evening of January 13, 2004, defendant Vincent Litto, 19 years old, was driving south in Brooklyn on a four-lane road, with three passengers in his car. Traveling at 50 miles an hour on a road on which cars moved at an average speed of 30 miles an hour, defendant picked up a can of “Dust-Off” from the dashboard and sprayed it into his mouth. About 45 seconds later, he veered into oncoming traffic and crashed into a vehicle driven by Andrea Sett. One of the passengers in Sett’s car, 17-year-old Kristian Roggio, was killed. Sett, another passenger, defendant and two of his passengers were injured, some seriously.

Dust-Off contains a hydrocarbon, difluoroethane, which assists as a propellant and gives a person who “huffs” it a “high.”¹ According to William Closson, a forensic expert who testified before the grand jury, inhalation of this hydrocarbon initially acts as a stimulant. Within seconds, however, the person’s central nervous system becomes depressed, making it difficult to perceive and react to the environment.

The People submitted 14 counts to the grand jury—one count each of manslaughter in the second degree (Penal Law § 125.15 [1]), vehicular manslaughter in the second degree (Penal Law § 125.12), criminally negligent homicide (Penal Law § 125.10), reckless endangerment in the second degree (Penal Law § 120.20), reckless driving (Vehicle and Traffic Law § 1212), operating a motor vehicle while in an intoxicated condition (Vehicle and Traffic Law § 1192 [3]), four counts of assault in the second degree (Penal Law § 120.05 [4]) and four counts of assault in the third degree (Penal Law § 120.00 [2]).

On count six, driving while intoxicated, the prosecutor charged the grand jury that:

“If you find by the credible and legally sufficient ev-

1. Difluoroethane is an aerosol commonly found in cleaning products for electronics, and in hair sprays and deodorants (*see* Natl Insts of Health, Household Products Database, <http://householdproducts.nlm.nih.gov/cgi-bin/household/brands?tbl=chem&id=755>; Everything2, “Difluoroethane,” <http://everything2.com/index.pl?node=Difluoroethane> [last visited June 20, 2007]).

idence that on or about January 13, 2004, in the County of Kings, City and state of New York, the defendant, Vincent Litto, did operate a motor vehicle while in an intoxicated condition, you may find one count of Operating a Motor Vehicle While Under the Influence of Alcohol or Drugs.”

The prosecutor instructed the grand jury that in order to charge defendant with vehicular manslaughter in the second degree, count two, it would have to find legally sufficient evidence that defendant committed the crime of criminally negligent homicide and caused the death of Kristian Roggio by operation of a vehicle in violation of Vehicle and Traffic Law § 1192 (3). The grand jury indicted defendant on all 14 counts.

Upon defendant’s motion for dismissal of the indictment and inspection of the grand jury minutes, Supreme Court found the evidence before the grand jury legally sufficient on all except counts two and six. The court determined that ingestion of hydrocarbon does not fall within Vehicle and Traffic Law § 1192 (3), driving while intoxicated, and therefore could not serve as a basis for the count of vehicular manslaughter. The evidence, however, was sufficient to sustain the grand jury’s conclusion that the victim’s death was a direct result of defendant’s reckless conduct. The Appellate Division, with one Justice dissenting, affirmed. The court reasoned that, among other amendments in the Vehicle and Traffic Law, the Legislature’s 1966 enactment of a separate provision prohibiting driving while ability impaired by drugs implied that the provision prohibiting driving while intoxicated did not proscribe such conduct. We agree with the determinations of Supreme Court and the Appellate Division and now affirm. Defendant stands accused of the 12 remaining criminal charges.

Analysis

The question posed in this case is whether a driver can be prosecuted under Vehicle and Traffic Law § 1192 (3) for “driving while intoxicated” while under the influence of a drug or other unlisted substance. The People argue that subdivision 3 includes the voluntary use of any substance or agent that can render a person “intoxicated.” Defendant asserts that “intoxication” under this statute applies only to alcohol. The legislative history of the statute and its scheme reveal that the Legislature’s intent has been to treat a driver’s use of alcohol differently from a driver’s use of drugs, and that the prohibition of

driving while intoxicated under subdivision 3 of section 1192 is part of the strategy to prevent the “drinking driver” from using the roadways.

Section 1192 of the Vehicle and Traffic Law is entitled: “Operating a motor vehicle while under the influence of alcohol or drugs.” The law provides:

“1. Driving while ability impaired. No person shall operate a motor vehicle while the person’s ability to operate such motor vehicle is impaired by the consumption of alcohol.

“2. Driving while intoxicated; per se. No person shall operate a motor vehicle while such person has .08 of one per centum or more by weight of alcohol in the person’s blood as shown by chemical analysis of such person’s blood, breath, urine or saliva, made pursuant to the provisions of section eleven hundred ninety-four of this article.

“2-a. Aggravated driving while intoxicated; per se. No person shall operate a motor vehicle while such person has .18 of one per centum or more by weight of alcohol in such person’s blood as shown by chemical analysis of such person’s blood, breath, urine or saliva made pursuant to the provisions of section eleven hundred ninety-four of this article.

“3. Driving while intoxicated. No person shall operate a motor vehicle while in an intoxicated condition.

“4. Driving while ability impaired by drugs. No person shall operate a motor vehicle while the person’s ability to operate such a motor vehicle is impaired by the use of a drug as defined in this chapter.

“4-a. Driving while ability impaired by the combined influence of drugs or of alcohol and any drug or drugs. No person shall operate a motor vehicle while the person’s ability to operate such motor vehicle is impaired by the combined influence of drugs or of alcohol and any drug or drugs. . . .

“9. Conviction of a different charge. A driver may be convicted of a violation of subdivision one, two or

three of this section, notwithstanding that the charge laid before the court alleged a violation of subdivision two or three of this section”

Vehicle and Traffic Law § 114-a, in the same chapter—chapter 71 of the Consolidated Laws—as section 1192, provides: “The term ‘drug’ when used in this chapter, means and includes any substance listed in section thirty-three hundred six of the public health law.” Public Health Law § 3306 is an extensive schedule of controlled substances. Neither difluoroethane nor the more general hydrocarbon is on the list and, therefore, defendant in this case could not have been charged under Vehicle and Traffic Law § 1192 (4).² A violation of Vehicle and Traffic Law § 1192 (1) is a traffic infraction; violations of subdivisions 2 through 4-a are misdemeanors.

The Court’s primary goal is to interpret a statute by determining, and implementing, the Legislature’s intent. Analysis begins with the language of the statute itself. Next, in construing a statute, the courts frequently “follow the course of legislation on the subject, the lineage of the act being thought to illuminate the intent of the legislature” (McKinney’s Cons Laws of NY, Book 1, Statutes § 124, at 255; see *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328, 335 [2003]; *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). The Court additionally looks to the purposes underlying the legislative scheme (see *Sheehy v Big Flats Community Day*, 73 NY2d 629, 634 [1989]). That method is particularly apt in this case in which the Legislature itself, over the course of the century, has repeatedly refined the statute as society has evolved, science has progressed and new problems have emerged.

The Language of the Statute

The plain meaning of the language of a statute must be interpreted “in the light of conditions existing at the time of its passage and construed as the courts would have construed it soon after its passage” (*People v Koch*, 250 App Div 623, 624 [2d Dept 1937]; see *People v Broadway R.R. Co. of Brooklyn*, 126 NY 29, 37 [1891]).

When enacted in 1910, section 290 (3) of the Highway Law (precursor to section 1192) stated: “Whoever operates a motor

2. Subdivisions 2-a and 4-a were not in effect at the time of the incident. This appeal does not call upon us to determine the meaning of “any drug” as used in Vehicle and Traffic Law § 1192 (4-a).

vehicle while in an intoxicated condition shall be guilty of a misdemeanor” (L 1910, ch 374, § 1, at 684, amending Highway Law of 1909 tit 11 [L 1909, ch 30, 3 Birdseye, Cumming and Gilbert’s Cons Laws of NY, at 3622 (2d ed)]). The law did not—as it does not today—define “intoxication.” In *People v Weaver* (188 App Div 395, 399 [3d Dept 1919]), the court interpreted this statute by using “the ordinary speech of people.” After citing to various dictionary definitions, the court adopted a rule that under Highway Law § 290 (3), one is “intoxicated when he has imbibed enough liquor to render him incapable of giving that attention and care to the operation of his automobile that a man of prudence and reasonable intelligence would give” (*id.* at 400). Black’s Law Dictionary in 1910 defined “intoxication” as:

“The state of being poisoned; the condition produced by the administration or introduction into the human system of a poison. But in its popular use this term is restricted to *alcoholic* intoxication, that is, drunkenness or inebriety, or the mental and physical condition induced by drinking excessive quantities of alcoholic liquors, and this is its meaning as used in statutes, indictments, etc.” (Black’s Law Dictionary 652 [2d ed 1910].)

In 1914, Bouvier’s Law Dictionary (at 943, 1680 [3d rev ed 1914]) defined “intoxication” simply as “drunkenness,” which, in turn, was defined as: “[t]he condition of a man whose mind is affected by the immediate use of intoxicating drinks.” The definition in Webster’s International Dictionary was: “the state of being intoxicated or drunk; inebriation; ebriety; drunkenness” (Webster’s International Dictionary 782 [1908]). Webster’s also notes the medical definition of “a poisoning, as by a spirituous or a narcotic substance” (*id.*). While this latter definition refers to a narcotic as an intoxicant, and some other dictionaries mention drugs,³ the common, ordinary usage of the word “intoxication” appears to have been a condition caused by alcohol (see *People v Grinberg*, 4 Misc 3d 670, 674 [Crim Ct, Kings County 2004], quoting *Ring v Ring*, 112 Ga 854, 857, 38 SE 330, 331 [1901], in which the Supreme Court of Georgia at the start of the twentieth century analyzed the term “intoxication” as defined in several dictionaries and encyclopedias and

3. One definition of “intoxicate” in the Oxford English Dictionary, for example, is: “To stupefy or excite as with a drug or alcoholic liquor; to render unsteady or delirious in mind or feelings; to excite or exhilarate beyond self-control” (Oxford English Dictionary 432 [1901]).

concluded that “lexicographers treat ‘intoxication’ and ‘drunkenness’ as synonymous”).

The Course of the Legislation

In 1929, the statute prohibiting intoxication while driving became part of the Vehicle and Traffic Law as section 70 (5) (L 1929, ch 54; see King and Tipperman, *The Offense of Driving While Intoxicated: The Development of Statutory and Case Law in New York*, 3 Hofstra L Rev 541, 545 [1975]). Convictions were based on a defendant’s conduct and demeanor at the time of arrest (see *People v Cruz*, 48 NY2d 419, 424 [1979]).

It was not until 1941, after years of extensive study and debate, that a major amendment permitted the admission at trial of tests for blood alcohol content (L 1941, ch 726; King at 546). Except for adding motorcycles, the prohibition against driving while intoxicated used the exact language as in 1910, and included a statement that evidence of the amount of alcohol in the blood from a test taken within two hours of arrest was admissible to prove intoxication. The test could be by medical or chemical analysis of the driver’s breath, blood, urine or saliva.⁴ Use of the term “intoxicated” along with the specific amounts of alcohol in the blood is evidence that the Legislature intended—and likely assumed that the Legislature in 1910 intended—that “intoxication” means that a mind is altered by an amount of alcohol.

The legislative history of the 1941 amendment supports that interpretation. Dutton S. Peterson, the sponsor, wrote to the Governor:

“Since this bill has been approved by the highest medical authority, The American Medical Association, bar associations, police organizations, civic organizations, and automobile clubs, and because of the need for a further curb on the drinking driver, I urge that you sign this bill.

“I have made an extensive study of this matter.”
(Letter from Assembly Sponsor, Apr. 19, 1941, Bill Jacket, L 1941, ch 726, at 39.)

4. Evidence of .05 of one percent or less by weight of alcohol in the blood was prima facie evidence that defendant was not in an intoxicated condition; more than .05 but less than .15 of one percent was relevant evidence of intoxication; evidence of .15 of one percent was prima facie evidence that defendant was in an intoxicated condition.

A “summary of evidence” is enclosed with that letter. Peterson notes that “different drinkers are differently affected by the same amount of alcoholic beverages,” and, thus, “the only fair test of intoxication is to determine the degree of alcohol [*sic*] concentration in the blood by scientific tests” (*id.* at 41). The percentages were arrived at through “careful study” and “thousands of medical tests” which were “not disputed by any reputable medical authority” (*id.* at 40, 41). Exhaustive studies were made by the National Safety Council (*id.* at 42). The American Medical Association noted the disability by prescribed drugs but used the term “intoxication” for the amount of alcohol in the blood (AMA, Report of the Committee to Study Problems of Motor Vehicle Accidents, May 1939, Bill Jacket, L 1941, ch 726, at 47-49). The Senate sponsor also sought the admission of scientific tests to prove intoxication to “cut[] down the number of injuries and deaths caused by the drunken drivers” (Letter from Senate Sponsor, Apr. 24, 1941, Bill Jacket, L 1941, ch 726, at 69).

Some voiced concern over the medical reliability of the tests and of the amounts of alcohol that would show intoxication. For example, one group noted that it had disapproved a previous 1938 bill because the medical profession was not “unanimous in its opinion as to the results obtainable from urine and blood tests,” which, “according to some, are not determinative on the question of whether or not any *particular* person is intoxicated” (Mem of Comm on Crim Cts Law and Pro of Assn of Bar of City of NY, Bill Jacket, L 1941, ch 726, at 4-5; *see* Rep of NY County Lawyers’ Assn, Comm on State Legislation, Bill Jacket, at 7; Letter from Commr of Taxation and Fin, Bill Jacket, at 25 [“while tests of the amount of alcohol in the blood may furnish valuable evidence as to intoxication, there ought to be supporting evidence to warrant a conviction”]).

This extensive documentation demonstrates that the legislative goal of strengthening the ability to prosecute for driving in an intoxicated condition was to address the drinking driver, not the driver who uses drugs. Only after studying exhaustive scientific and statistical tests confirming the validity of the percentages for blood alcohol content did the Legislature pass a law that would find intoxicated drivers liable for criminal penalties.

In 1959, section 70 (5) became section 1192 of the Vehicle and Traffic Law, and an implied consent law was added as section 1194 (L 1959, ch 775; King at 561-562 [if a driver refused to

submit to breath, blood, urine or saliva sample, the Commissioner of Motor Vehicles was required to revoke the driver's license]).

A 1960 amendment added a new offense to section 1192—driving “while ability to operate is impaired by the consumption of alcohol” (L 1960, ch 184). The new subdivision 1 was enacted so that an impaired driver—one whose blood alcohol content was .10% or more, and less than .15%—could receive a traffic infraction and not be criminally liable. The language prohibiting driving while intoxicated was kept intact, became subdivision 2 and remained a misdemeanor. Underlying the amendment were vast medical and scientific data—including laboratory and field investigations—to confirm that the amount of alcohol content would be an accurate showing of impairment (Sponsor's Mem and Appendix, Bill Jacket, L 1960, ch 184, at 1-6).

Opposed to the amendment, the New York State Automobile Association found fault with the difficulty of enforcement for such low amounts of alcohol in the blood and wondered why “little mention is made of the impairment produced by fatigue, tension, the taking of medicines or even indisposition caused by indigestion” (Letter from NY State Auto Assn, Bill Jacket, at 12). The Governor's memorandum, however, indicated that the amendment

“provides a realistic approach towards reducing the tragic toll of death and injury caused by the drinking driver.

“Existing law has proved inadequate in this regard in that it is directed towards only the most serious offender, the driver with a blood-alcohol level of at least 0.15%. In requiring that the drinking driver be classified as a criminal, present law has not proved adequate to remove the drinking driver from our highways” (Governor's Mem approving L 1960, ch 184, 1960 McKinney's Session Laws of NY, at 2002).

The Legislature was focusing on “drinking drivers,” the more serious ones designated “intoxicated.”

In 1966, the Legislature enacted what is now section 1192 (4), making it a misdemeanor to operate a motor vehicle while a driver's ability is impaired by the use of a drug, and defining those drugs in section 114-a of the Vehicle and Traffic Law (L 1966, ch 963, §§ 1, 4). (Those drugs are now specified in section 3306 of the Public Health Law.) The sponsor of the bill, Norman F. Lent, wrote:

“Section 1192 (2) of the Vehicle and Traffic Law as presently written pertains to the operation of a motor vehicle while under the influence of alcohol. If a person is convicted of driving while under the influence of alcohol, such person is guilty of a misdemeanor and his license may be revoked. More serious penalties result for second or more offenders within a ten year period. The bill would impose equal sanctions on persons convicted of driving while his ability to do so is impaired by the use of a drug, as that term is defined in the bill. . . .

“New York is one of the few remaining major states without a law against operating a motor vehicle while one’s ability is impaired by the use of drugs and narcotics.

“Passage of such a law should also curb the present practice employed by defendants in drunk driving prosecutions of claiming they were not drunk, but ‘merely’ under the influence of a drug or narcotic prescribed by their physician. It is just as dangerous to operate a motor vehicle while one’s ability to drive is impaired by a drug or narcotic, as it is to operate a motor vehicle while under the influence of alcohol” (Letter from Senate Sponsor, June 7, 1966, Bill Jacket, L 1966, ch 963, at 14-15).

Other letters demonstrate that the subdivision prohibiting “intoxication” did not cover the use of drugs. The Attorney General wrote that the bill would amend the statute so that “existing provisions of law relating to driving while ability is impaired by alcohol or drunken driving will be extended to apply to driving while ability is impaired by the use of a drug” (Letter from Attorney General, June 7, 1966, Bill Jacket, L 1966, ch 963, at 17). The Department of Motor Vehicles similarly recommended passage because, until this enactment, the Commissioner was unable to “take effective action” by revoking a driver’s license from a driver impaired by the use of drugs, “and the police agencies were unable to convict a person who drove while so impaired” (Letter from Commr of Motor Vehs, Apr. 1, 1966, Bill Jacket, at 18).

The Department of Health recommended disapproval, for while “[t]he law has established standards for determining degrees of intoxication which can be accurately determined by chemical tests,” research was necessary before standards could

be devised for ascertaining impairment by the use of drugs (Letter from Counsel for Dept of Health, Apr. 11, 1966, Bill Jacket, at 23). The Department of Mental Hygiene concurred that “[a]s contrasted with the standard of intoxication, for which presumptions are created, based on medical research, that certain proportions of alcohol in the blood have certain legal consequences, there is no comparable standard set up for various quantities of the defined drugs” (Letter from Counsel for Dept of Mental Hygiene, June 6, 1966, Bill Jacket, at 27).

Two other groups also voiced concern in holding a person criminally liable for taking a drug when the driver had no intent to become impaired (Letter from State Adm’r of Jud Conf, Apr. 12, 1966, Bill Jacket, at 21-22; Mem of Supt of NY State Police, Mar. 31, 1966, Bill Jacket, at 30). Nothing in this Bill Jacket suggests that the provision on “intoxication” included a violation for use of drugs while driving. The legislative history is conclusive that the Legislature in 1966, like previous Legislatures, intended that “intoxication” refer to inebriation by alcohol. It appears that the Legislature did not want to penalize a driver who inadvertently took prescription drugs without knowing their side effects. In addition, the Legislature sought to limit criminalization by defining the drugs prohibited.

In 1970, a new provision, now titled “Driving while intoxicated; per se,” made it a misdemeanor to drive with a blood alcohol content of .15% or more (L 1970, ch 275, § 3).⁵ The Governor’s Program Bill stated that the “present provisions relating to driving while intoxicated” would be substantially reenacted, but the blood alcohol content for prima facie evidence would be changed (Governor’s Program Bill Mem, Bill Jacket, L 1970, ch 275, at 1-2). The amendment would also “substantially reenact the present provisions governing driving while ability is impaired by the use of drugs” (*id.* at 2).

Further, a new section 1196 (now section 1192 [9]) would be added “to permit a conviction . . . of a violation of either subdivision 1 (driving while impaired), 2 (.15 or higher) or 3 (driving while intoxicated) of section 1192 where the original charge alleged a violation of either subdivision 2 or 3 of such section” (*id.*).

5. The “impaired ability” provision continued to be subdivision 1, the new per se provision became subdivision 2, the “driving while intoxicated” provision became subdivision 3, and the “drug impairment” provision became subdivision 4.

The concept of making it unlawful per se to drive with a specific blood alcohol content was patterned after programs in England and Scandinavia. The Automobile Association reversed its opposition because of new research studies, including by the Department of Transportation and the Department of Health, Education and Welfare (Mem in Support of NY State Auto Assn, Feb. 27, 1970, Bill Jacket, at 21). In his memorandum, the Governor wrote:

“Present law provides that the presence of this level of alcohol is merely prima facie evidence of intoxication and makes the determination of intoxication one of subjective judgment. As a consequence, existing provisions have not been sufficiently effective in getting drunk drivers off the road and in deterring others from driving while under the influence of alcohol” (Governor’s Mem approving L 1970, ch 275, Bill Jacket, at 24).

The word “intoxication” here is consistently synonymous with being under the influence of alcohol.

Most recently, in 2006, the Legislature amended section 1192 by adding subdivision 2-a, “Aggravated driving while intoxicated; per se”—which is violated when a person drives with a blood alcohol content of .18%—and subdivision 4-a, “Driving while ability impaired by the combined influence of drugs or of alcohol and any drug or drugs” (L 2006, ch 732, §§ 1, 2). Several related statutes were also revised. Penal Law § 125.12, vehicular manslaughter in the second degree, was amended to include subdivision 4-a, and underscores that the Legislators intended that “intoxication” should be by use of alcohol, not drugs. That section now provides:

“A person is guilty of vehicular manslaughter in the second degree when he or she causes the death of another person, and either:

“(1) operates a motor vehicle in violation of subdivision two, three, four or four-a of section eleven hundred ninety-two of the vehicle and traffic law . . . , and as a result of such intoxication or impairment by the use of a drug, or by the combined influence of drugs or of alcohol and any drug or drugs, operates such a motor vehicle . . . in a manner that causes the death of such other person”

“Intoxication” covers all the provisions including alcohol, while “impairment by the use of a drug” refers to subdivision 4

and “the combined influence” refers to subdivision 4-a of section 1192. The 2006 legislation “reflects a thorough overview of the broad scope of alcohol and drug related statutes in New York” (Senate Introducer Mem in Support of L 2006, ch 732, 2006 McKinney’s Session Laws of NY, at 2183). One argument supporting subdivision 2-a was that “[t]he more intoxicated a driver is, the greater the risk of an accident. This bill appropriately addresses the seriousness of DWI and establishes graduated penalties for more intoxicated drivers . . .” (Budget Rep on Bills, Bill Jacket, L 2006, ch 732, at 9.) Stiff penalties for “driving while intoxicated” were to deter “hard core drinking drivers” (Letter from Suffolk County Exec, Sept. 7, 2006, Bill Jacket, at 29).

The Scheme Underlying the Statute

The legislative history not only manifests legislative intent to employ the term “intoxicated” to refer to persons inebriated by alcohol and to prevent them from driving, but also reveals a scheme by which the statute would reach that goal. This Court must determine “the consistency” of the Legislature’s reaching its goal “with the purposes underlying the legislative *scheme*” (*Sheehy*, 73 NY2d at 634, quoting *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 325 [1983]). “For, the Legislature has both the right and the authority to select the methods to be used in effectuating its goals, as well as to choose the goals themselves” (*id.*). *Sheehy* and *Burns Jackson* addressed private rights of action. The same reasoning applies here—the implementation of an action “should not be judicially sanctioned if it is incompatible with the enforcement mechanism chosen by the Legislature or with some other aspect of the over-all statutory scheme” (*Sheehy*, 73 NY2d at 635).

In two respects, the People’s construction of Vehicle and Traffic Law § 1192 (3) is out of step with the statutory scheme. First, the scheme of section 1192 provides for different levels or kinds of proof to establish violations of the statute. Thus, a prosecutor must show impairment by alcohol to prove a violation of subdivision 1—resulting in a traffic infraction. Subdivision 1 is a lesser-included offense of subdivisions 2 and 3. Subdivisions 2 and 2-a require a showing of a specific amount of blood alcohol content to result in a per se criminal violation, whereas subdivision 3—“in an intoxicated condition”—allows for a circumstantial showing of inability to operate a motor vehicle while under the influence of alcohol. Confirming this

scheme, subdivision 9 explicitly permits a conviction under subdivision 1, 2 or 3 even when the charge alleges a violation of either subdivision 2 or 3. If subdivision 3 were now read, as the People urge, to allow for any drug to be included as part of the definition of “intoxication,” then one who has committed a misdemeanor under subdivision 3 could not, in contravention of the legislative plan, be found to have committed the lesser-included offense of driving while impaired by alcohol under subdivision 1.

Second, while the legislative history from 1910 is unavailable, the history thereafter shows that the Legislature has consistently presumed that the initial statute was created to prevent drunk driving. Although, as the People argue, the goal of the Legislature may be advanced by including use of drugs in the definition of “intoxication,” the Legislature has repeatedly and definitively concentrated on precise mechanisms to prevent deathly accidents related to alcohol and drugs (*see Mark G. v Sabol*, 93 NY2d 710, 722 [1999]). Including driving while under the influence of limitless “drugs” as a violation of driving while intoxicated has not been part of that mechanism.

In 1960, the Legislature added section 1192 (1) to assure that not all drivers who were under the influence of alcohol would be criminally liable. This Court determined that this subdivision and subdivision 3 were not unconstitutionally vague (*see Cruz*, 48 NY2d 419). The Court concluded that, as to subdivision 1, evident from the statutory language and scheme, the issue was “whether, by voluntarily consuming alcohol, this particular defendant has actually impaired, to any extent, the physical and mental abilities which he is expected to possess in order to operate a vehicle as a reasonable and prudent driver” (*id.* at 427). “Intoxication,” the Court stated, “is not an unfamiliar concept” and is “intelligible to the average person.” The standard to determine intoxication is “whether the individual’s consumption of alcohol has rendered him *incapable* of employing the physical or mental abilities needed to, for instance, form a specific intent” (*id.*). These terms, the Court continued, have an accepted meaning “long recognized in law and life” (*id.* at 428). The Court thus upheld the Legislature’s scheme.

The addition in 1966 of subdivision 4 demonstrates the Legislature’s desire to add the use of drugs to that of alcohol for further prevention of deaths on the highway. Were drugs included in the definition for “intoxication” under subdivision 3, the Legislature would have had no reason to add another

misdemeanor. Rather, the Legislature, after careful study and debate, concluded that a driver could be convicted for impairment by drugs—and then only by explicitly enumerated drugs.

Moreover, the addition in 1970 of section 1196 (now section 1192 [9]) reaffirms that the term “intoxication” refers to the use of alcohol. In *People v Farmer* (36 NY2d 386, 390 [1975]), the Court held that, pursuant to section 1196, the defendant charged under subdivision 3 had notice that he could be convicted under subdivision 2. Although subdivisions 1, 2 and 3 “proscribe separable offenses based upon the degree of impairment caused by alcohol ingestion,” the provisions “closely overlap” and are “species of the generic offense of ‘Operating a motor vehicle while under the influence of alcohol’ ” (*id.*; see also *People v Bayer*, 132 AD2d 920 [4th Dept 1987]; *Grinberg*, 4 Misc 3d at 677). Again, the Court upheld the legislative scheme and interpreted the legislative intent to be that driving while intoxicated under subdivision 3 addresses those who drink and drive.

Only last year, focusing its attention on strengthening the statute, the Legislature added one provision to prohibit driving while using alcohol—aggravated driving while intoxicated, subdivision 2-a—and another provision to prohibit driving while using a combination of “drugs or of alcohol and any drug or drugs”—subdivision 4-a. The Legislature unambiguously employed the term “intoxicated” for the level of alcohol, and the terms “alcohol” and “drugs” for the combination.

If defendant did what the prosecution charges, then his conduct was reprehensible—his voluntary inhalation of hydrocarbon while driving resulted in the death of a young woman and serious injuries to others. Perhaps gaps exist in the law and the prosecution should not have to rely on the 12 other counts charged. However, a determination by this Court that intoxication in Vehicle and Traffic Law § 1192 (3) includes the use of any substance would improperly override the legislative policy judgment.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[871 NE2d 1128, 840 NYS2d 302]

BP AIR CONDITIONING CORP., Respondent, v ONE BEACON INSURANCE GROUP, Appellant.

Argued May 30, 2007; decided June 27, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 6, 2006. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Paula J. Omansky, J.; op 2004 NY Slip Op 30129[U]), which had granted plaintiff's motion for partial summary judgment to the extent of declaring that defendant was obligated to defend plaintiff as an additional insured in the underlying personal injury action. The modification consisted of a further declaration that, as between the policy issued by defendant and any policy covering plaintiff as named insured, any coverage defendant's policy afforded plaintiff in the underlying action was primary. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

BP A.C. Corp. v One Beacon Ins. Group, 33 AD3d 116, modified.

HEADNOTES**Insurance — Duty to Defend and Indemnify — Additional Insured Coverage**

1. Within the context of a comprehensive general liability insurance policy, additional insured coverage is not contingent upon a liability finding. The obligation of an insurer to provide a defense to an additional named insured under the policy in an underlying personal injury action exists to the same extent as it does to a named insured. Accordingly, where plaintiff's subcontractor had agreed to name plaintiff as an "additional insured" in its comprehensive general liability policy, and to indemnify and pay plaintiff's attorneys fees for any personal injury tort claim arising from its work, plaintiff was entitled to a defense in a personal injury action commenced by a worker injured at site where the subcontractor was working. Language in the additional insured endorsement stating that plaintiff was "an additional insured only with respect to liability arising out of [the subcontractor's] ongoing operations performed for that insured" did not affect the standard under which a duty to defend was determined. The allegations in the complaint in the underlying action formed a factual and legal basis on which defendant might eventually be held to be obligated to indemnify plaintiff under the policy and brought the claim within the ambit of the protection purchased.

Insurance — Excess Coverage — Priority of Coverage

2. In a declaratory judgment action in which plaintiff additional named insured sought a declaration as to defendant insurer's obligation to defend and indemnify it in a personal injury action commenced by a worker injured at the construction site where the named insured was working, the Appellate Division erred in finding that defendant's coverage was primary and plaintiff's coverage under its own policy was excess. In order to determine the priority of coverage among different policies, a court must review and consider all of the relevant policies at issue. Because none of the other insurance carriers were parties to the action and no other relevant policies had been submitted, the priority of coverage could not be determined.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments § 131; AM JUR 2d, Insurance §§ 692, 1524.

CARMODY-WAIT 2d, Declaratory Judgments § 147:83.

COUCH ON INSURANCE (3d ed) § 126:7.

NY JUR 2d, Declaratory Judgments and Agreed Case §§ 68, 77; NY JUR 2d, Insurance §§ 1535, 1545, 1920, 1931.

SIEGEL, NY PRAC § 437.

ANNOTATION REFERENCE

See ALR Index under Additional Insured; Declaratory Judgments or Relief; Excess Insurance; Insurance and Insurance Companies.

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/2 insured & duty /3 defend

POINTS OF COUNSEL

Lustig & Brown, LLP, Buffalo (*Jonathan Schapp* and *Russell N. Brown* of counsel), for appellant. I. The lower court erred in treating BP Air Conditioning Corp. as an additional insured under the One Beacon Insurance Group policy. (*Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131; *Kajima Constr. Servs. v CATI, Inc.*, 302 AD2d 228; *Consolidated Edison Co. of N.Y. v United States Fid. & Guar. Co.*, 266 AD2d 9; *Consolidated Edison Co. of N.Y. v Hartford Ins. Co.*, 203 AD2d 83; *Pecker Iron Works of N.Y. v Traveler's Ins. Co.*, 99 NY2d 391; *Thomson v Power Auth. of State of N.Y.*, 217 AD2d 495; *Greater N.Y. Mut. Ins. Co. v Mutual Mar. Off.*, 3 AD3d 44; *Structure Tone v*

Component Assembly Sys., 275 AD2d 603.) II. Regardless of whether the court was correct in deeming BP Air Conditioning Corp. an additional insured under the One Beacon Insurance Group policy, the court erred in finding that *Pecker Iron Works of N.Y. v Traveler's Ins. Co.* (99 NY2d 391 [2003]) mandates One Beacon to provide primary coverage without consideration of the respective policies' language. (*Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.*, 92 NY2d 363; *United States Liab. Ins. Co. v Mountain Val. Indem. Co.*, 371 F Supp 2d 554; *State Farm Fire & Cas. Co. v LiMauro*, 65 NY2d 369; *United States Fid. & Guar. Co. v CNA Ins. Cos.*, 208 AD2d 1163; *Travelers Indem. Co. v American & Foreign Ins. Co.*, 286 AD2d 626; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Hartford Ins. Co. of Midwest*, 248 AD2d 78; *B.K. Gen. Contrs. v Michigan Mut. Ins. Co.*, 204 AD2d 584.)

Wechsler & Cohen, LLP, New York City (*Mitchell S. Cohen* and *Debora A. Pitman* of counsel), for respondent. I. The duty to defend is broader than the duty to indemnify, thus, one Beacon Insurance Group's defense duty to BP Air Conditioning Corp. was triggered by the allegations in Joseph Cosentino's amended complaint. (*Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435; *Incorporated Vil. of Cedarhurst v Hanover Ins. Co.*, 89 NY2d 293; *Ruder & Finn v Seaboard Sur. Co.*, 52 NY2d 663; *Technicon Elecs. Corp. v American Home Assur. Co.*, 74 NY2d 66; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131; *Goldberg v Lumber Mut. Cas. Ins. Co. of N.Y.*, 297 NY 148; *Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157; *State of New York v Home Indem. Co.*, 66 NY2d 669.) II. One Beacon Insurance Group's argument, that its duty to defend is contingent on a liability finding, negates a primary insurer's duty to defend, ignores that relatively few cases are tried, and would engender protracted litigation. (*Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *General Motors Acceptance Corp. v Nationwide Ins. Co.*, 4 NY3d 451; *Album Realty Corp. v American Home Assur. Co.*, 80 NY2d 1008; *Michaels v City of Buffalo*, 85 NY2d 754; *Mionis v Bank Julius Baer & Co.*, 301 AD2d 104.) III. The lower court correctly held that One Beacon Insurance Group's policy is primary to any policy covering BP Air Conditioning Corp. as a named insured. (*Pecker Iron Works of N.Y. v Traveler's Ins. Co.*, 99 NY2d 391; *United States Liab. Ins. Co. v Mountain Val. Indem. Co.*, 371 F Supp 2d 554; *Bingham v New York City Tr.*

Auth., 99 NY2d 355.) IV. One Beacon Insurance Group must defend BP Air Conditioning Corp. because it provided coverage for Alfa Piping Corp.'s contractually assumed liabilities. (*Travelers Indem. Co. v LLJV Dev. Corp.*, 227 AD2d 151; *Brooklyn Union Gas Co. v Interboro Asphalt Surface Co.*, 303 AD2d 532; *Antonitti v City of Glen Cove*, 266 AD2d 487; *New York City Tr. Auth. v Aetna Cas. & Sur. Co.*, 207 AD2d 389; *A. Servidone, Inc. v Commercial Underwriter's Ins. Co.*, 7 AD3d 942; *Hailey v New York State Elec. & Gas Corp.*, 214 AD2d 986.)

OPINION OF THE COURT

CIPARICK, J.

We are asked to decide within the context of a comprehensive general liability (CGL) insurance policy whether liability must be determined before an additional named insured is entitled to a defense in an underlying personal injury action. We conclude that additional insured coverage is not contingent upon a liability finding and that the obligation of an insurer to provide a defense to an additional named insured under the policy exists to the same extent as it does to a named insured. We are unable to answer a second question regarding priority of coverage since the relevant parties and policies at issue are not before us.

In 2000, Henegan Construction Company, Inc., a general contractor on a multi-floor renovation project at the World Trade Center, subcontracted the HVAC work to BP Air Conditioning Corp. BP subsequently subcontracted the HVAC-related steam fitting work to Alfa Piping Corp. The purchase order memorializing the subcontract between BP and Alfa contained the following indemnification/hold-harmless clause:

“To the fullest extent permitted by law, Subcontractor shall indemnify and hold harmless the Owner, General Contractor and BP Air Conditioning and their agent and employees from and against all claims, damages, losses, and expenses, including, but not limited to attorneys fees, arising out of or resulting from the performance of the Work, provided that any such claims, damages, losses or expenses are (1) attributable to bodily injury[,], sickness, disease or death or to injury or to destruction of tangible property including the loss of use resulting therefrom and (2) caused in whole or in part by any negligent act or omission of the Subcontractor, any sub-subcontractor, anyone directly or indirectly

employed by any of them or anyone for whose acts any of them be liable, regardless of whether or not it is caused in part by a party indemnified hereunder.”

Furthermore, the purchase order required Alfa to obtain “Comprehensive General Liability [I]nsurance . . . naming [BP] . . . additional insured.” The CGL policy issued by defendant, One Beacon Insurance Group,¹ to Alfa included an additional insured endorsement, which provided in relevant part that:

“Who is An Insured (Section II) is amended to include as an insured any person or organization for whom you are performing operations when you and such person or organization have agreed in writing in a contract or agreement that such person or organization be added as an additional insured on your policy. Such person or organization is an additional insured only with respect to liability arising out of your ongoing operations performed for that insured. A person’s or organization’s status as an insured under this endorsement ends when your operations for that insured are completed.”

In December 2000, Joseph Cosentino, an employee of Karo Sheet Metal, Inc., another subcontractor hired by BP, was allegedly injured when he slipped and fell on an oil slick that had originated from a machine used to cut and thread pipe at the work site. Cosentino commenced an action against Henegan,² who then brought a third-party action against BP and Alfa, who were subsequently added as direct defendants in the Cosentino action.

BP, as an additional named insured on Alfa’s policy, tendered its defense in the Cosentino action to One Beacon, which declined to defend BP, although it defended Alfa, its insured in the underlying action. BP then commenced a fourth-party action against One Beacon, seeking a declaration of its rights as an additional insured under Alfa’s policy, and against Karo, asserting various contractual and common-law claims. One Beacon subsequently moved to sever BP’s fourth-party declaratory judgment action against it from the Cosentino action. The motion court granted One Beacon’s motion, which left Karo as the sole

1. One Beacon is the successor-in-interest to General Accident Insurance, the insurance company that issued Alfa’s policy.

2. The underlying action is captioned *Cosentino v Henegan Construction Company, Inc., et al.*, New York County Clerk’s Index No. 110853/01.

fourth-party defendant in the underlying action and BP and One Beacon as the remaining parties to this declaratory judgment action.

Thereafter, BP moved for partial summary judgment, seeking an order requiring One Beacon to defend it in the underlying action and for reimbursement of its past defense costs. One Beacon opposed summary judgment contending that it was not obligated to defend BP until it was determined that Cosentino's alleged injury arose out of Alfa's activities, and that One Beacon's responsibility, if any, for the costs of BP's defense could not be determined without considering other relevant policies at issue.

Supreme Court granted BP's motion for partial summary judgment, to the extent that One Beacon is obligated to defend BP in the Cosentino action. However, the court declined to declare that One Beacon was primarily responsible for BP's defense costs. The court opined that since no copies of other relevant insurance policies were submitted, it was "unable to ascertain whether . . . some other carrier[] should be treated as a co-insurer or an excess carrier to [One Beacon, and that its] ultimate contribution for defense and indemnification[,] if any, cannot be determined from the present submissions" (2004 NY Slip Op 30129[U], *7). The Appellate Division, with two Justices dissenting, modified Supreme Court's order, holding that One Beacon must provide BP a defense in the Cosentino action and that this coverage is primary and BP's coverage under its own policy is excess (33 AD3d 116 [2006]).

Relying on the Appellate Division's holding in *AIU Ins. Co. v American Motorists Ins. Co.* (292 AD2d 277 [1st Dept 2002]), the dissenting Justices stated that because "the [additional insured] endorsement creates a condition precedent to the triggering of additional insured coverage . . . it must be shown that the [cause of] Cosentino['s] . . . slip and fall emanated . . . from Alfa's work" (33 AD3d at 133). The dissent further stated that because liability in the underlying Cosentino action must be determined before One Beacon is obligated to defend BP, the court need not reach the issue of the priority of coverage. The Appellate Division granted leave to appeal to this Court and certified the following question: "Was the order of this Court, which modified the order of the Supreme Court, properly made?" We answer the certified question in the negative, modify the order of the Appellate Division and reinstate the order of Supreme Court.

Addressing first whether BP is entitled to be defended by One Beacon, it is well settled that an insurer's "duty to defend [its insured] is 'exceedingly broad' and an insurer will be called upon to provide a defense whenever the allegations of the complaint 'suggest . . . a reasonable possibility of coverage' " (*Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131, 137 [2006] [citation omitted]). "The duty to defend [an] insured[] . . . is derived from the allegations of the complaint and the terms of the policy. If [a] complaint contains any facts or allegations which bring the claim even potentially within the protection purchased, the insurer is obligated to defend" (*Technicon Elecs. Corp. v American Home Assur. Co.*, 74 NY2d 66, 73 [1989]).

A duty to defend is triggered by the allegations contained in the underlying complaint. The inquiry is whether the allegations fall within the risk of loss undertaken by the insured "[and, it is immaterial] that the complaint against the insured asserts additional claims which fall outside the policy's general coverage or within its exclusory provisions" (*Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435, 444 [2002] [internal quotation marks and citation omitted]). "The merits of the complaint are irrelevant and, [a]n insured's right to be accorded legal representation is a contractual right and consideration upon which [a person's] premium is in part predicated, and this right exists even if debatable theories are alleged in the pleading against the insured" (*id.* [internal quotation marks and citation omitted]). An "insured's right to representation and the insurer's correlative duty to defend suits, however groundless, false or fraudulent, are in a sense 'litigation insurance' expressly provided by the insurance contract" (*Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419, 423-424 [1985]). Furthermore, "an insurer may be required to defend under the contract even though it may not be required to pay once the litigation has run its course" (*Automobile Ins. Co.*, 7 NY3d at 137).

[1] It is undisputed that Alfa agreed in the purchase order to name BP as an "additional insured" in Alfa's CGL policy and that Alfa also agreed to indemnify and pay BP's attorneys fees for any personal injury tort claim arising from Alfa's work. One Beacon urges us to adopt a different standard that requires a determination of liability before an additional named insured is entitled to a defense. Quite to the contrary, we have held that an "[a]dditional insured is a recognized term in insurance contracts, . . . [and that] the well-understood meaning of the

term is an entity enjoying the same protection as the named insured” (*Pecker Iron Works of N.Y. v Traveler’s Ins. Co.*, 99 NY2d 391, 393 [2003] [internal quotation marks and citations omitted]). As such, the dissenting Justices’ and One Beacon’s reliance on the Appellate Division’s decision in *AIU Ins. Co.*, which held that liability must be determined before an additional insured is entitled to a defense, is misplaced. Thus, the standard for determining whether an additional named insured is entitled to a defense is the same standard that is used to determine if a named insured is entitled to a defense.

One Beacon argues that the portion of the additional insured endorsement that states that BP “is an additional insured only with respect to liability arising out of [Alfa’s] ongoing operations performed for that insured,” requires a determination of liability for Cosentino’s injuries before BP is entitled to a defense. However, when considering this policy language in light of an insurer’s broad obligation to defend an insured, it does not affect the standard under which a duty to defend is determined. When the duty to defend is at issue, a liability alleged to arise out of Alfa’s ongoing operations is one “arising out of” such operations within the meaning of the policy.

Here, Cosentino, in his amended complaint, alleged, among other things, that Alfa, BP’s subcontractor, was engaged in construction work at the work site where he was injured, that Alfa breached its duty to keep the work site safe and that Alfa’s breach caused his injuries. These allegations form a “factual [and] legal basis on which [One Beacon] might eventually be held to be obligated to indemnify [BP] under any provision of the insurance policy” and certainly bring this claim within the ambit of the protection purchased (*Servidone Constr. Corp.* at 424). Since there is a possibility that Cosentino’s injuries “ar[ose] out of [Alfa’s] ongoing operations performed for [BP],” One Beacon’s obligation to provide BP with a defense is triggered.

Moreover, nothing in the policy or the purchase order requires the application of a different standard for determining under what circumstances BP is entitled to a defense. To the contrary, the purchase order’s indemnification/hold-harmless clause indicates that BP sought broad protection against any liability that may be attributable to Alfa’s activities as insured by One Beacon. The language of the purchase order and the policy evinces BP’s reasonable expectation to the defense that it now seeks.

We have previously held that “the reasonable expectation and purpose of the ordinary business [person] when making an ordinary business contract” will be considered in construing a contract (*Album Realty Corp. v American Home Assur. Co.*, 80 NY2d 1008, 1010 [1992]). BP’s reasonable expectation, when it forwarded the purchase order to Alfa that required Alfa to name BP as an additional insured, was that it wanted protection from lawsuits arising out of Alfa’s work—litigation insurance. Denying BP a defense in the underlying matter would rewrite the policy without regard to BP’s reasonable expectations as expressed in the purchase order, and provide a windfall for One Beacon. Therefore, the lower courts correctly determined that One Beacon is obligated to provide BP a defense in the underlying Cosentino action, regardless of the merits of the claim.

[2] Turning to the issue of the priority of coverage, we conclude that the Appellate Division erred in finding that One Beacon’s coverage is primary and BP’s coverage under its own policy is excess. In order to determine the priority of coverage among different policies, a court must review and consider all of the relevant policies at issue (*see State Farm Fire & Cas. Co. v LiMauro*, 65 NY2d 369 [1985]). Here, Supreme Court correctly concluded that because none of the other insurance carriers are parties to this declaratory judgment action and no other relevant policies have been submitted, the priority of coverage cannot be determined.

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the order of Supreme Court and, as so modified, the order should be affirmed, and the certified question answered in the negative.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[872 NE2d 232, 840 NYS2d 546]

In the Matter of EIGHTH JUDICIAL DISTRICT ASBESTOS LITIGATION. NANCY A. REYNOLDS, Individually and as Executrix of DONALD H. REYNOLDS, Deceased, Respondent, v AMCHEM PRODUCTS INC. et al., Defendants, and GARLOCK SEALING TECHNOLOGIES LLC, Appellant.

Argued May 29, 2007; decided June 27, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 29, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Niagara County (James B. Kane, J.H.O.), which had awarded plaintiff, upon a jury verdict, the principal sum of \$748,851 against defendant Garlock Sealing Technologies LLC.

Matter of Eighth Jud. Dist. Asbestos Litig., 32 AD3d 1268, reversed.

HEADNOTE

Stipulations — Stipulation of Settlement — High-Low Agreement — Disclosure of Agreement to Court and Nonagreeing Defendant Required

When a plaintiff and a defendant enter into a high-low agreement in a multi-defendant action which limits the agreeing defendant's liability to a predetermined range and requires that defendant to remain a party to the litigation, the parties must disclose the existence of the agreement and its terms to the court and the nonagreeing defendant(s). Accordingly, in an action alleging that plaintiff contracted mesothelioma as a result of his exposure to asbestos contained in products manufactured and distributed by defendants, Supreme Court's failure to disclose to all of the parties the existence of a high-low agreement between plaintiffs and one defendant prejudiced the determination of the rights and liabilities of the nonagreeing defendant at trial and warranted a new trial on liability and damages. The agreement furnished plaintiffs with an incentive to maximize the nonagreeing defendant's liability while minimizing the agreeing defendant's. Nondisclosure also deprived the nonagreeing defendant of the opportunity to seek appropriate procedural and evidentiary rulings from the trial court and argue the significance of the high-low agreement to the jury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Compromise and Settlement §§ 37, 39, 42.
CARMODY-WAIT 2d, Actions Against Persons Jointly Liable
§§ 123:106, 123:114.

NY JUR 2d, Compromise, Accord, and Release §§ 97, 98, 106.

SIEGEL, NY PRAC § 204.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement.

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Query: high-low /2 agreement /p disclos!

POINTS OF COUNSEL

Michael J. Hutter, Albany, and *Osborne, Reed & Burke, LLP*, Rochester (*Bernadette Weaver-Catalana* of counsel), for appellant. I. The trial court committed reversible error by its failure to disclose to Garlock Sealing Technologies LLC that plaintiff and Niagara Insulations, Inc. had entered into a high-low settlement agreement prior to the commencement of the trial and by its condonation of the continuing concealment of the agreement from Garlock during the trial. (*McDonnell v Tello*, 8 Misc 3d 1003[A], 2005 NY Slip Op 50913[U]; *Williams v Niske*, 81 NY2d 437; *Vecchione v Amica Mut. Ins. Co.*, 274 AD2d 576; *Esposito v Wilson*, 308 AD2d 432; *Considar, Inc. v Equipment & Parts Export*, 271 AD2d 288; *Stiles v Batavia Atomic Horseshoes*, 174 AD2d 287, 81 NY2d 950, 1068; *Hoops v Watermelon City Trucking, Inc.*, 846 F2d 637; *Daniel v Penrod Drilling Co.*, 393 F Supp 1056; *Pretto v Leiwant*, 80 AD2d 579; *Meleo v Rochester Gas & Elec. Corp.*, 72 AD2d 83.) II. The trial court committed reversible error with respect to four of its evidentiary rulings, especially when these rulings are viewed in the context of the trial court's awareness of and Garlock Sealing Technologies LLC's ignorance of the high-low settlement agreement between plaintiffs and Niagara Insulations, Inc. (*Goldner v Kemper Ins. Co.*, 152 AD2d 936, 75 NY2d 704; *Fanelli v diLorenzo*, 187 AD2d 1004; *Cramer v Kuhns*, 213 AD2d 131; *Hoover v Durkee*, 212 AD2d 839; *Parker v Mobil Oil Corp.*, 7 NY3d 434, 8 NY3d 828; *People v Wesley*, 83 NY2d 417; *DeMeyer v Advantage Auto*, 9 Misc 3d 306; *People v Jeter*, 80 NY2d 818; *New York Laser Lign v Ausable Communications*, 42 AD2d 830; *Larkin v Nassau Elec. R.R. Co.*, 205 NY 267.)

Lipsitz & Ponterio, LLC, Buffalo (*John Ned Lipsitz*, *Nan L. Haynes* and *Anne E. Joynt* of counsel), for respondent. I. In the absence of an abuse of discretion, the lower courts' twin find-

ings of no collusion among the parties and no prejudice to the interests of Garlock Sealing Technologies LLC are not reviewable by this Court. (*Patron v Patron*, 40 NY2d 582; *Gutin v Mascali & Sons*, 11 NY2d 97; *Rivers v Garden Way*, 231 AD2d 50; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Dunn v Eickhoff*, 35 NY2d 698; *Post v Brooklyn Hgts. R.R. Co.*, 195 NY 62.) II. This Court should reject Garlock Sealing Technologies LLC's invitation to adopt a new and unprecedented rule mandating disclosure of all confidential high-low agreements entered into in the presence of the trial judge. (*Meleo v Rochester Gas & Elec. Corp.*, 72 AD2d 83, 49 NY2d 703; *Williams v Niske*, 81 NY2d 437; *Stiles v Batavia Atomic Horseshoes*, 174 AD2d 287; *Considar, Inc. v Equipment & Parts Export*, 271 AD2d 288; *Hoops v Watermelon City Trucking, Inc.*, 846 F2d 637.) III. The Appellate Division's decision affirming the trial court's evidentiary rulings is not reviewable by the Court of Appeals because the lower courts properly exercised their discretion. (*Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Goldner v Kemper Ins. Co.*, 152 AD2d 936; *Blanchard v Whitlark*, 286 AD2d 925; *Norfleet v New York City Tr. Auth.*, 124 AD2d 715; *Panaro v General Motors Corp.*, 122 AD2d 784; *People v Wesley*, 83 NY2d 417; *Parker v Mobil Oil Corp.*, 8 NY3d 828; *DeMeyer v Advantage Auto*, 9 Misc 3d 306; *Lustenring v 98-100 Realty*, 1 AD3d 574; *Labella v Willis Seafood*, 296 AD2d 382.)

OPINION OF THE COURT

PIGOTT, J.

In this multi-defendant action, Supreme Court erred in failing to disclose to all of the parties the existence of a high-low agreement between the plaintiffs and one of the defendants. Because this error prejudiced the determination of the rights and liabilities of the nonagreeing defendant at trial, a new trial on liability and damages is warranted.

I.

Plaintiff Donald H. Reynolds¹ worked at the Ashland Oil Refinery in Tonawanda, New York from 1942 through 1987, and purportedly contracted mesothelioma from his exposure to asbestos while employed at that facility. Reynolds and his wife

1. Reynolds died after the entry of judgment. His wife, Nancy H. Reynolds, responds to this appeal both individually and as the executrix of his estate.

commenced this products liability/negligence action against various manufacturers and distributors of alleged asbestos-containing products used at the refinery. At the time of trial, only two defendants remained in the action: Garlock Sealing Technologies LLC, a manufacturer of gaskets and packaging, and Niagara Insulations, Inc., a distributor and installer of pipe covering insulation. It is alleged that Reynolds's exposure to asbestos in these defendants' products caused his disease.

Unbeknownst to Garlock, plaintiffs and Niagara entered into a high-low agreement two weeks before trial whereby it was agreed that Niagara's total liability would fall into a predetermined range. Specifically, if the jury's damage award against Niagara was \$155,000 or less, Niagara would pay plaintiffs a minimum of \$155,000, even if Niagara was found to be without fault; if the damage award against Niagara was more than \$185,000, Niagara's liability would be capped at \$185,000; if the damage award fell within the \$155,000-\$185,000 range, Niagara would pay plaintiffs the designated amount within that range. Thus, the high-low agreement differed in its effect from a settlement agreement in that Niagara had only \$30,000 at stake and its continued participation at trial might have tactical importance for plaintiffs' claims against Garlock.²

Although Supreme Court was cognizant that plaintiffs and Niagara had entered into a high-low agreement, it was unaware of its terms or the amounts involved. Neither Supreme Court nor the agreeing parties advised Garlock of the agreement, and the matter proceeded to trial with Garlock and the jury unaware of its existence. The jury apportioned liability against Garlock and Niagara at 60% and 40%, respectively, and awarded plaintiffs damages in the amount of \$3,750,000.

Having learned of the high-low agreement just days after the jury's verdict, Garlock moved to set aside the verdict and requested a new trial on various grounds. Relevant to this appeal, Garlock asserted that Niagara's continued participation in the trial after entering into the high-low agreement with plaintiffs was inherently unfair and prejudicial, and that Supreme Court's failure to disclose the existence of the agreement prejudiced Garlock and constituted reversible error. Supreme Court disagreed and entered judgment accordingly.

2. We note that the \$30,000 range here, although not negligible, was certainly quite narrow. Indeed, the narrower the range, the more likely it seems that the parties' true motive for entering into a high-low agreement is to gain a tactical advantage at the expense of the nonagreeing defendant.

The Appellate Division, with one dissent, affirmed the judgment, holding that Supreme Court's failure to disclose the high-low agreement did not warrant reversal absent evidence of collusion between plaintiffs and Niagara to the detriment of Garlock, noting that Niagara never lost its incentive to magnify Garlock's liability or minimize its own (32 AD3d 1268, 1270 [4th Dept 2006]). We granted leave and now reverse.

II.

At the outset, it should be noted that Supreme Court did an admirable job of brokering pretrial settlements of many claims in this complex litigation involving numerous defendants. That only two defendants remained in the litigation at the time of trial is a testament to Supreme Court's effectiveness in that regard. Nonetheless, we are constrained to agree with Garlock that the court's failure to disclose the existence of the high-low agreement rendered impossible a fair determination of Garlock's rights and liabilities.

A high-low agreement is a tool commonly used in litigation that guarantees the plaintiff a minimal recovery while concomitantly capping a defendant's potential exposure (*see* Faley and Alonso, Outside Counsel, *High-Low Agreements: Misunderstood Litigation Technique*, NYLJ, Mar. 27, 1998, at 1, col 1). Because the amount of damages a plaintiff is entitled to recover under a high-low agreement is usually fixed by the liability and damage determinations made by the factfinder, cases involving such agreements routinely go to trial. Unlike a typical settlement situation where the settling defendant is dismissed from the action, having "bought its peace," the defendant entering into a high-low agreement routinely remains in the action until its ultimate liability has been ascertained.

When entered into between a plaintiff and a defendant in a single-defendant trial, the high-low agreement affords the parties a means of tempering the significant risks associated with proceeding to trial. In a multi-defendant litigation, however, a high-low agreement between a plaintiff and fewer than all defendants has the potential of prejudicing the rights of the nonagreeing defendant if all parties are not apprised of the agreement's existence. Indeed, courts and commentators alike have acknowledged that secretive agreements may result in prejudice to the nonagreeing defendant at trial, distort the true adversarial nature of the litigation process, and cast a cloud over the judicial system (*see generally Slusher v Ospital*, 777

P2d 437, 440-441, 444 [Utah 1989]; *Ratterree v Bartlett*, 238 Kan 11, 29, 707 P2d 1063, 1076 [1985]; *General Motors Corp. v Lahocki*, 286 Md 714, 723-733, 410 A2d 1039, 1044-1048 [1980]; *Ward v Ochoa*, 284 So 2d 385, 387-388 [Fla 1973]; Hoenig, Products Liability, *Experts, Privileged Info; Secret 'High-Low' Agreements*, NYLJ, Oct. 11, 2006, at 3, col 1; Kaufman, Outside Counsel, *Risk Reduction Strategies in Personal Injury Litigation*, NYLJ, Jan. 21, 2000, at 1, col 1; Benedict, *It's a Mistake to Tolerate the Mary Carter Agreement*, 87 Colum L Rev 368 [1987]). The resulting prejudice warrants a new trial (see *Ratterree*, 238 Kan at 28-29, 707 P2d at 1075-1076; *General Motors Corp.*, 286 Md at 728, 410 A2d at 1046).

Here, Garlock was deprived of its right to a fair trial by Supreme Court's failure to disclose the existence of the high-low agreement. The agreement furnished plaintiffs with an incentive to maximize Garlock's liability while minimizing Niagara's, because the potential amount of damages plaintiffs could recover from Niagara was capped at \$185,000. While it is not uncommon for a plaintiff to have a financial incentive to maximize the liability of one particular defendant in a multi-defendant action, Garlock was entitled to disclosure of the existence of the high-low agreement so it knew the true posture of the case. Had the agreement been disclosed, Garlock could have adjusted its trial strategy accordingly and evaluated the risks of going to trial with the knowledge that plaintiffs had an added incentive of making Garlock the target defendant.

Nondisclosure also deprived Garlock of the opportunity to, among other things, seek appropriate procedural and evidentiary rulings from the trial court and argue the significance of the high-low agreement to the jury. For instance, Garlock may have conducted its jury selection in a different manner, argued that it should not have been required to share peremptory challenges with Niagara, or brought in limine motions concerning the admissibility of the agreement and to what extent, if any, Garlock would be permitted to cross-examine witnesses concerning the contents of the agreement. Instead, Garlock was compelled to proceed blindly to trial without any meaningful opportunity to defend itself from the deleterious effects that the secret agreement may have had on Garlock's defense.

To ensure that all parties to a litigation are treated fairly, we hold that whenever a plaintiff and a defendant enter into a high-low agreement in a multi-defendant action which requires the agreeing defendant to remain a party to the litigation, the

parties must disclose the existence of that agreement and its terms to the court and the nonagreeing defendant(s). This result strikes a proper balance between this State's public policy of encouraging the expeditious settlement of claims, and the need to ensure that all parties to a litigation are apprised of the true posture of the litigation so they may tailor their strategy accordingly. Disclosure provides a nonagreeing defendant a meaningful opportunity to place on the record how it intends to use the agreement at trial, if at all, and affords the trial court an opportunity to weigh the interests of all the parties in considering the extent to which an agreement may be utilized in that forum. Of course, the determinations as to what effect, if any, the existence of the agreement will have at trial, including whether such an agreement should be disclosed to the jury, are matters that lie within the sound discretion of the trial court.

Because Garlock is entitled to a new trial, we do not address Garlock's remaining arguments.

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order reversed, etc.

[872 NE2d 236, 840 NYS2d 550]

In the Matter of the Estate of MARGARET M. TOMECK, Deceased.
EDWARD M. TOMECK, as Executor of MARGARET M. TOMECK,
Deceased, Respondent-Appellant; ROBERT CHRISTOPHER, as
Commissioner of Social Services of Saratoga County,
Appellant-Respondent, et al., Respondent.

Argued May 31, 2007; decided June 28, 2007

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 9, 2006. The Appellate Division affirmed an order of the Surrogate's Court, Saratoga County (Harry W. Seibert, Jr., S.), which had (1) granted a motion by the estate of Margaret M. Tomeck for summary judgment with the exception of its request for attorney's fees; (2) denied a motion by respondent Commissioner of Social Services of Saratoga County for summary judgment; (3) dismissed the Commissioner's claim against the estate; and (4) dismissed the Commissioner's objections to the proposed settlement of the accounting of the estate and to the proposed determination of the elective share of John Tomeck.

Matter of Tomeck, 29 AD3d 156, modified.

HEADNOTE

Social Services — Medical Assistance — Eligibility — Recoupment from “Community Spouse”

Respondent County Commissioner of Social Services (County DSS) was entitled to recoup Medicaid payments made on behalf of decedent's husband from decedent's estate and a trust that she created. The anti-alienation provision of the Social Security Act (42 USC § 407 [a]), which prohibits the assignment or transfer of rights to payment of Social Security benefits, and protects moneys paid to recipients from “execution, levy, attachment, garnishment, or other legal process, or to the operation of any bankruptcy or insolvency law,” did not foreclose the County DSS from attributing the husband's Social Security benefits to decedent, the “community spouse,” pursuant to New York's income-first policy. Because the County DSS properly applied the income-first method when it deemed the husband's monthly Social Security income to meet decedent's “minimum monthly maintenance needs allowance” (see 42 USC § 1396r-5 [b], [d] [3]), decedent had sufficient means to pay for the husband's nursing home care as a matter of law when the husband became eligible for Medicaid. Accordingly, an implied contract for the husband's care was created under Social Services Law § 366 (3) (a).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Welfare Laws §§ 38, 85.

McKINNEY's, Social Services Law § 366 (3) (a).
NY JUR 2d, Public Welfare and Old Age Assistance §§ 160,
348, 364, 367, 382.
42 USCA § 407 (a); § 1396r-5 (b), (d) (3).

ANNOTATION REFERENCE

See ALR Index under Husband and Wife; Medicaid.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: medicaid /p lien recoup! & community /2 spouse

POINTS OF COUNSEL

Mark M. Rider, County Attorney, Ballston Spa (Hugh G. Burke of counsel), for appellant-respondent. I. The Appellate Division erred in failing to find a case of fraud by the community spouse. (*Commissioner of Dept. of Social Servs. of City of N.Y. v Spellman*, 243 AD2d 45; *Matter of Klink*, 278 AD2d 883; *Calvanese v Calvanese*, 93 NY2d 111; *Commissioner of Dept. of Social Servs. of City of N.Y. v Fishman*, 280 AD2d 396; *Vanderbilt Credit Corp. v Chase Manhattan Bank*, 100 AD2d 544; *State of New York v Coyle*, 171 AD2d 288; *Case v Fagnoli*, 182 Misc 2d 996.) II. The estate is in violation of section 273 of the Debtor and Creditor Law. (*Spanierman Gallery, PSP v Love*, 320 F Supp 2d 108; *Pfohl Bros. Landfill Site Steering Comm. v Allied Waste Sys., Inc.*, 255 F Supp 2d 134; *United States v McCombs*, 30 F3d 310; *Miner v Edwards*, 221 AD2d 934; *United States v Alfano*, 34 F Supp 2d 827; *Matter of Gafco, Inc. v H.D.S. Merchantile Corp.*, 47 Misc 2d 661; *United States v Hansel*, 999 F Supp 694.) III. The estate is in violation of section 7-3.1 of the Estates, Powers and Trusts Law. (*Case v Fagnoli*, 182 Misc 2d 996; *Vanderbilt Credit Corp. v Chase Manhattan Bank*, 100 AD2d 544.) IV. The Appellate Division's reliance upon *Robbins v DeBuono* (218 F3d 197 [2000]) is unfounded. (*Wisconsin Dept. of Health & Family Servs. v Blumer*, 534 US 473; *Matter of Golf v New York State Dept. of Social Servs.*, 91 NY2d 656; *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler*, 537 US 371; *Ruck v Novello*, 295 F Supp 2d 258; *Binder & Binder PC v Barnhart*, 399 F3d 128; *Bianconi v Preston*, 383 F Supp 2d 276; *Rose v Rose*, 481 US 619; *Schweiker v Gray Panthers*, 453 US 34; *Weinberger v Wiesenfeld*, 420 US 636; *Califano v Boles*, 443 US 282.) V. If *Robbins v DeBuono* (218 F3d 197 [2000]) is to be applied, the actions of the State do not violate its holding. VI. The Surrogate erred in ruling that it had no jurisdiction

over the Margaret M. Tomeck Irrevocable Trust. (*Matter of Peck*, 79 Misc 2d 1053; *Matter of Van Patten*, 190 AD2d 322.)

Pierro & Associates, LLC, Albany (Louis W. Pierro of counsel), for respondent-appellant. I. The Appellate Division erred in affirming the Surrogate's Court's order denying the estate's request for attorney's fees pursuant to 42 USC §§ 1983 and 1988. (*Matter of Johnson v Blum*, 58 NY2d 454; *Matter of Northeast Cent. School Dist. v Sobol*, 79 NY2d 598; *Matter of Craig*, 82 NY2d 388; *Matter of Buhaina*, 187 Misc 2d 312; *Matter of Thomasel v Perales*, 78 NY2d 561; *Morenz v Wilson-Coker*, 321 F Supp 2d 398, 415 F3d 230; *Matter of Martinez v Perales*, 135 AD2d 818.) II. The Appellate Division correctly affirmed the Surrogate's Court's holding that the automatic allocation of John Tomeck's Social Security benefits to his wife, Margaret M. Tomeck, violated the anti-alienation provisions of the Social Security Act. (*Matter of Schachner v Perales*, 85 NY2d 316; *Wisconsin Dept. of Health & Family Servs. v Blumer*, 534 US 473; *Matter of Golf v New York State Dept. of Social Servs.*, 91 NY2d 656; *Robbins v DeBuono*, 218 F3d 197; *Matter of Craig*, 82 NY2d 388; *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler*, 537 US 371; *A.R. v New York City Dept. of Educ.*, 407 F3d 65; *Ruck v Novello*, 295 F Supp 2d 258; *Binder & Binder PC v Barnhart*, 399 F3d 128; *Bianconi v Preston*, 383 F Supp 2d 276.) III. The Department of Social Service's arguments regarding fraud, violations of the Debtor and Creditor Law and the Estates, Powers and Trusts Law, and jurisdiction over the irrevocable trust are barred from review as they were not part of its motion for leave to appeal. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376.) IV. Assuming arguendo that the Department of Social Services is not barred from raising the fraud and state law violation arguments, the Appellate Division properly affirmed the Surrogate's Court's holding that Margaret Tomeck did not commit fraud or violate Debtor and Creditor Law § 273 and EPTL 7-3.1. (*Matter of Craig*, 82 NY2d 388; *Bourgeois v Stadtler*, 256 AD2d 1095; *Matter of John XX.*, 226 AD2d 79; *Matter of Shah v DeBuono*, 95 NY2d 148; *Morenz v Wilson-Coker*, 321 F Supp 2d 398; *Spanierman Gallery, PSP v Love*, 320 F Supp 2d 108; *Pfohl Bros. Landfill Site Steering Comm. v Allied Waste Sys., Inc.*, 255 F Supp 2d 134; *Case v Fargnoli*, 182 Misc 2d 996; *Matter of Spetz v New York State Dept. of Health*, 190 Misc 2d 297; *Vanderbilt Credit Corp. v Chase Manhattan Bank*, 100 AD2d 544.) V. Assuming arguendo that the Department of Social Services is not barred from raising the issue of jurisdiction ruled on by the courts below, the

Surrogate's Court correctly held that it did not have jurisdiction over the Margaret M. Tomeck Irrevocable Trust. (*Matter of Van Patten*, 190 AD2d 322; *Matter of Peck*, 79 Misc 2d 1053.)

Andrew M. Cuomo, Attorney General, Albany (*Caitlin J. Haligan, Daniel Smirlock* and *Victor Paladino* of counsel), amicus curiae. I. *Robbins v DeBuono* (218 F3d 197 [2000]) which is not binding on this Court, is no longer good law in light of the intervening decision of the Supreme Court in *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler* (537 US 371 [2003]). (*People v Kin Kan*, 78 NY2d 54; *Flanagan v Prudential-Bache Sec.*, 67 NY2d 500, 479 US 931; *Binder & Binder PC v Barnhart*, 399 F3d 128; *Ruck v Novello*, 295 F Supp 2d 258; *Bianconi v Preston*, 383 F Supp 2d 276.) II. *Washington State Dept. of Social & Health Servs. v Guardian-ship Estate of Keffeler* (537 US 371 [2003]) requires dismissal of the estate's defense under 42 USC § 407 (a). (*Bianconi v Preston*, 383 F Supp 2d 276; *Robbins v DeBuono*, 218 F3d 197; *Rose v Rose*, 481 US 619; *Weinberger v Wiesenfeld*, 420 US 636; *Califano v Boles*, 443 US 282; *Fetterusso v State of New York*, 898 F2d 322; *Schweiker v Gray Panthers*, 453 US 34.)

OPINION OF THE COURT

READ, J.

The Commissioner of the Saratoga County Department of Social Services (the County DSS) seeks to recoup Medicaid payments made on behalf of John M. Tomeck (the husband) from the estate of Margaret M. Tomeck (the wife) and a trust that she created. To resolve this appeal, we must consider the spousal impoverishment provisions of the Medicaid Act (42 USC § 1396r-5) and its state counterpart (Social Services Law § 366-c), the income-first policy adopted by New York to carry out these provisions (Social Services Law § 366-c [8] [c]), and the anti-alienation provision of the Social Security Act (42 USC § 407 [a]). In particular, we are called upon to decide whether New York's income-first policy, which takes Social Security benefits into account, violates the federal anti-alienation provision. We hold that it does not.

I.

Medicaid's Spousal Impoverishment Provisions

Medicaid, a joint federal-state program established pursuant to title XIX of the Social Security Act (42 USC § 1396 *et seq.*),

pays for medical care for those unable to afford it, including nursing home care for medically needy older people who become eligible by incurring medical expenses that reduce their monthly income and assets below prescribed levels. Ordinarily, a local Medicaid agency employee calculates an applicant's income and resources to figure out how much must be reduced or "spent down" in order for the applicant to meet the financial criteria to qualify for Medicaid benefits (*see* 42 USC § 1396r-5 [c] [1] [B]; Social Services Law § 366-c [7]; 18 NYCRR 360-4.8 [c]).

"Because spouses typically possess assets and income jointly and bear financial responsibility for each other, Medicaid eligibility determinations for married applicants have resisted simple solutions" (*Wisconsin Dept. of Health & Family Servs. v Blumer*, 534 US 473, 479 [2002]). Thus, as part of the Medicare Catastrophic Coverage Act of 1988 (MCCA) (42 USC § 1396r-5), Congress adopted the spousal impoverishment provisions, a complex set of standards governing the allocation of resources between the spouse residing in a nursing home (the institutionalized spouse) and the spouse residing in the community (the community spouse). In general, these provisions are designed to insure that the community spouse retains necessary, but not excessive, income and assets, which do not need to be depleted to make the institutionalized spouse eligible for Medicaid. "In the MCCA, Congress sought to protect community spouses from 'pauperization' while preventing financially secure couples from obtaining Medicaid assistance" (*Blumer*, 534 US at 480; *see also Matter of Schachner v Perales*, 85 NY2d 316, 319 [1995] [discussing prior law]).

The spousal impoverishment provisions include rules for assigning income to spouses, and for determining the community spouse's "minimum monthly maintenance needs allowance" (MMMNA), an amount deemed sufficient for the community spouse to live at a modest level after the institutionalized spouse becomes eligible for Medicaid, subject to a statutory floor and ceiling (*see* 42 USC § 1396r-5 [b], [d] [3]; Social Services Law § 366-c [2] [h], [j]; [3]). Any shortfall between the MMMNA and the income allotted to the community spouse is denominated the "community spouse monthly income allowance" (CSMIA), which is one of the allowances or amounts "deducted" when determining the institutionalized spouse's monthly income available to pay for nursing home care (*see* 42 USC § 1396r-5 [d] [1], [2]; Social Services Law § 366-c [2] [g]; [4]).

"The provision for [the CSMIA] ensures that income

transferred from the institutionalized spouse to the community spouse to meet the latter's basic needs is not also considered available for the former's care. As a result, Medicaid [pays] a greater portion of the institutionalized spouse's medical expenses than it would absent the CSMIA provision" (*Blumer*, 534 US at 482).

The spousal impoverishment provisions also encompass rules for computing and apportioning a married couple's combined jointly and separately owned resources in order to protect the community spouse's share, called the "community spouse resource allowance" (CSRA) (*see* 42 USC § 1396r-5 [f] [2]; Social Services Law § 366-c [2] [d]). The CSRA is generally equal to one half of the couple's total countable (i.e., nonexempt) resources, subject to a statutory floor and ceiling (*see* 42 USC § 1396r-5 [c] [1], [5]; [f] [2]; Social Services Law § 366-c [2] [c], [d], [e]; *see also Blumer*, 534 US at 482 n 5). All of the institutionalized spouse's countable resources and the community spouse's countable resources exceeding the CSRA may be used to pay for nursing home care, and must be spent down in order for the institutionalized spouse to qualify for Medicaid (*see* 42 USC § 1396r-5 [c] [2]; Social Services Law § 366-c [5] [a]). Once Medicaid eligibility is established, however, "no resources of the community spouse shall be deemed available" to support the institutionalized spouse (*see* 42 USC § 1396r-5 [c] [4]; Social Services Law § 366-c [5] [c]).

Either spouse has the right to a fair hearing to challenge the adequacy of the MMMNA or the CSRA calculated by the state Medicaid agency (*see* 42 USC § 1396r-5 [e]; Social Services Law § 366-c [8]). A hearing examiner may raise the MMMNA when exceptional circumstances exist, and may increase the CSRA to generate additional income as necessary to meet the MMMNA (*see* 42 USC § 1396r-5 [e] [2] [B], [C]; Social Services Law § 366-c [8] [b], [c]).

Finally, Medicaid benefits may not be withheld from the institutionalized spouse in the event the community spouse declines to make spousal resources available to pay for medical expenses (*see* 42 USC § 1396r-5 [c] [3]; Social Services Law § 366 [3] [a]; *see also* § 366-c [5] [b]). Specifically, section 366 (3) (a) of the Social Services Law mandates that Medicaid

"shall be furnished to applicants in cases where, although such applicant has a responsible relative

with sufficient income and resources to provide medical assistance as determined by the regulations of the department, the income and resources of the responsible relative are not available to such applicant because of . . . the refusal or failure of such relative to provide the necessary care and assistance. In such cases, however, the furnishing of such assistance shall create an implied contract with such relative, and the cost thereof may be recovered from such relative in accordance with title six of article three ['Powers to Enforce Support'] and other applicable provisions of law.”

As we have explained, this “ ‘spousal refusal’ rule indicates that Medicaid must be provided to the institutionalized spouse who meets eligibility requirements even if the community spouse has income or resources in excess of the [CSRA], as long as the State may seek recovery of the cost of medical assistance from the community spouse” (*Matter of Shah v DeBuono*, 95 NY2d 148, 161 [2000], citing 42 USC § 1396r-5 [c] [3] and Social Services Law § 366 [3] [a]; *see also* 18 NYCRR 360-4.10 [c] [4]; *Morenz v Wilson-Coker*, 415 F3d 230 [2d Cir 2005] [institutionalized spouse who executed valid assignment of spousal support rights to state could not be deemed ineligible for Medicaid on account of community spouse’s assets]).

New York’s Income-First Policy

As previously noted, state and federal law require the CSRA to be increased if either spouse establishes at a fair hearing that it does not generate sufficient earnings to lift the community spouse’s monthly income above the MMMNA (*see* 42 USC § 1396r-5 [e] [2] [C]; Social Services Law § 366-c [8] [c]). New York allows the CSRA to increase, however, only after taking the institutionalized spouse’s monthly income into account. This approach—called the income-first method—deems or attributes income from the institutionalized spouse to the community spouse. Thus, the CSRA goes up only if the community spouse’s monthly income, including any sums that the institutionalized spouse is allowed to provide, still falls short of the MMMNA.

The Deficit Reduction Act of 2005 mandates the income-first method (*see* Pub L 109-171 § 6013, 120 US Stat 4, 64 [codified at 42 USC § 1396r-5 (d) (6)]). Prior to its enactment, though, some states had followed a resource-first policy whereby the

community spouse was permitted to retain excess resources to produce additional monthly income before any of the institutionalized spouse's income was applied for this purpose. This resource-first approach allowed a couple to retain assets that otherwise would have to have been expended in order for the institutionalized spouse to qualify for Medicaid. In *Matter of Golf v New York State Dept. of Social Servs.* (91 NY2d 656 [1998]), the petitioners challenged the local social services agency's use of the income-first rather than the resource-first method to ascertain Medicaid eligibility. We upheld the agency's policy, concluding that the state and federal statutes were ambiguous, and that the income-first method was "premised upon a reasonable interpretation of the relevant statutory provisions and [was] consistent with the underlying policy of the Medicaid statute" (*id.* at 658). Four years later in *Blumer*, the United States Supreme Court held that the State of Wisconsin's application of the income-first method did not conflict with the MCCA's spousal impoverishment provisions.

Social Security's Anti-Alienation Provision

The anti-alienation provision of the Social Security Act prohibits the assignment or transfer of rights to payment of Social Security benefits, and protects monies paid to recipients from "execution, levy, attachment, garnishment, or other legal process, or to the operation of any bankruptcy or insolvency law" (42 USC § 407 [a]). The purpose of this restriction is "to protect social security beneficiaries and their dependents from the claims of creditors" (*Fetterusso v State of New York*, 898 F2d 322, 327 [2d Cir 1990]).

II.

On July 29, 1996, the wife set up the Margaret M. Tomeck Irrevocable Trust, funded with \$20,000, and on August 26, 1996, the husband transferred his undivided half interest in the marital home to the wife. The trust agreement provided that the wife would receive the income from the trust for life; she retained no right to invade the principal for herself, and the trust was irrevocable. In the event the trust held residential property "used" by the wife, she had "the right to occupy the . . . property . . . for residential purposes." If she "cease[d] to use such property as a residence (permanently or seasonally)," the trustees were authorized to hold the property as an investment or sell it. Upon the wife's death, the trust's remainder was to be paid to her living children, per capita.

On December 10, 1996, the husband filed an application with the County DSS for Medicaid benefits. Applying the spousal impoverishment provisions, the agency concluded that the husband and wife had excess resources and income, and denied the husband's application by notice dated January 27, 1997. The husband, who was hospitalized in April 1997, asked for a reassessment. On April 30, 1997, the County DSS again denied the husband's application on the ground of excess resources in the amount of \$45,560.91, and excess monthly income in the amount of \$287.92.

Meanwhile, the husband had also requested a fair hearing from the New York State Department of Health (DOH). He argued that his wife's CSRA should be increased to allow her to keep the excess assets, which would then generate additional interest income. Since the wife's income still would not reach the MMMNA, however, the County DSS could then attribute a portion of his income to her. DOH rejected this resource-first approach, deciding on July 1, 1997 that the County DSS's "determination regarding the amount the [husband] must contribute to his wife as a [CSMIA] and the amount of excess resources was correct."¹

In July 1997, another application was filed on behalf of the husband along with a spousal refusal. The wife attested that she needed all of her income and the couple's assets (all of which had been transferred to her) to support herself in the community, and refused to contribute to the husband's care. By virtue of this spousal refusal, the husband became eligible for Medicaid as of July 1, 1997.

The Medicaid worksheet compiled by the County DSS in conjunction with this last application² shows combined countable resources or assets totaling \$120,354.34 as of July 1997, the month that the husband entered a nursing home. While one half of this amount is \$60,177.77, the minimum CSRA for 1997 was \$74,820. The balance of \$42,084.34³ was considered excess resources. In short, absent the spousal refusal, the wife would

1. At some point, the husband commenced a CPLR article 78 proceeding to challenge DOH's use of the income-first method. After we handed down our decision in *Golf*, he apparently discontinued this proceeding.

2. The parties do not dispute the accuracy of any of the figures on the worksheet.

3. The County DSS arrived at this number by first subtracting the CSRA of \$74,820 from \$120,354.34, the couple's total countable resources. This yielded \$45,534.34, from which the agency then subtracted \$3,450, the amount

(n. cont'd)

have been required to spend down \$42,084.34 in order for the husband to qualify for Medicaid.

The worksheet also shows that the wife's net monthly income was \$1,072.24, consisting of Social Security benefits (\$456.80), her pension (\$119.62) and interest payments on the CSRA (\$539.62⁴) minus a health insurance premium (\$43.80); and that the husband's net monthly income was \$1,121.75, consisting of his pension (\$218.75) and Social Security benefits (\$946.80) minus a health insurance premium (\$43.80). The MMMNA for 1997 was \$1,976, producing a CSMIA of \$903.76. Applying the income-first method, the County DSS attributed \$903.76 of the husband's income—all of his pension and most of his Social Security benefits—to the wife. The husband's remaining income, or \$167.99, was excess income available to pay for his medical expenses.

On June 13, 2001, after the husband had been receiving Medicaid for four years, the wife transferred the marital home to the trust. By a deed dated July 19, 2001, the trustees conveyed the home to a third party for a purchase price of \$179,000, and the wife moved elsewhere.

The wife died on August 29, 2002 while the husband was still a patient at the nursing home. On January 12, 2004, the wife's executor filed a petition and formal accounting to settle the estate, and served a citation on the County DSS, apparently because of its potential claim against the husband's elective share.⁵

The agency filed a claim and objections to the accounting, asserting that the wife owed \$309,449.03 for Medicaid benefits provided to the husband from 1997 through January 2004. The County DSS took the position that the wife was a responsible relative with sufficient resources to pay for the husband's care. As a result, when he was provided with medical services under

of money that the institutionalized spouse was allowed to retain as a reserve in order to meet any potential needs without jeopardizing his Medicaid eligibility.

4. The wife's actual interest income on all assets was \$659.55.

5. On March 8, 2004, the husband's guardian ad litem filed a report with the Surrogate in which he agreed with the estate's attorneys that the husband's elective share of the estate was \$30,581.21, and that his elective share of the trust was \$61,442.40. In his report dated November 8, 2004, the guardian remarked that it "appear[ed] from the estate[s] papers" to be "conceded" that the County DSS was "entitled to the elective share," or \$92,023.61 altogether. The husband died in 2005 during the pendency of this litigation.

the Medicaid program, an implied contract was created with the wife (*see Matter of Craig*, 82 NY2d 388, 391-392 [1993] [“When medical assistance is furnished to an applicant who has a responsible relative with sufficient income and resources to provide medical assistance, the furnishing of such assistance shall create an implied contract with such relative”]; Social Services Law § 366 [3] [a]).

On June 25, 2004, the County DSS moved for summary judgment, demanding that the estate pay over \$280,742.99, which it characterized as “the full value of [the wife’s] net testamentary and non-testamentary estate.” The executor cross-moved for summary judgment seeking dismissal of the claim, approval of the accounting, a determination that the court did not have jurisdiction over the trust, and attorneys’ fees under 42 USC § 1988.

The Surrogate denied the agency’s motion, dismissed its claim against the estate and its objections to the accounting, granted summary judgment to the executor, and denied the executor’s request for attorneys’ fees. The Surrogate held that attribution of the husband’s Social Security benefits to the wife violated the anti-alienation provision. Since the wife’s income was “well below” the MMMNA absent the attribution, the Surrogate concluded that she would have been entitled to an increased CSRA, and did not, in fact, possess excess resources. Concomitantly, the Surrogate concluded that the wife’s spousal refusal did not create an implied contract for the husband’s care because it was based on the County DSS’s “incorrect determination” that the husband’s monthly Social Security income could be deemed or attributed to the wife to boost her income to reach the MMMNA.

Next, the Surrogate held that the wife’s transfer of the marital home to the trust in 2001 did not affect the husband’s Medicaid eligibility and, in any event, he did not have jurisdiction over the trust in an accounting proceeding for the estate. Finally, the Surrogate denied the executor’s request for attorneys’ fees without explanation. Both parties appealed.

The Appellate Division affirmed, concluding that “no implied contract arose because it was improper for [the County] DSS, in 1997, to allocate Social Security income from the husband to [the wife] to raise her income level to the [MMMNA]” in light of the anti-alienation provision (29 AD3d 156, 159 [3d Dept 2006]). The Appellate Division agreed with the Surrogate that

the wife's transfer of the marital home to the trust had no impact on the husband's Medicaid eligibility. Further,

“because recovery for medical assistance from the estate . . . [could] only be had on proof that such spouse, at the time of the furnishing of the medical assistance [to the husband], was a financially responsible relative in that . . . she had sufficient income and resources to provide medical assistance, and in light of our holding that no implied contract arose at the time [the wife] executed the spousal refusal or at any point thereafter, we find that respondent has not established a cognizable claim against [the wife's] estate” (*id.* at 162 [internal quotation marks and citation omitted]).

Because no implied contract existed and the County DSS had no cognizable claim, the Appellate Division also rejected the agency's argument that the transfer of the marital home to the trust violated Debtor and Creditor Law § 273 and EPTL 7-3.1 “inasmuch as both of those provisions are designed to protect creditors from conveyances which would otherwise shield the assets from their reach”; similarly, the conclusion that the County DSS had “not asserted a valid claim against [the] estate obviate[d] any need to address” whether the Surrogate had jurisdiction over the trust's assets (*id.*). Finally, the Court decided that the executor was not entitled to attorneys' fees because “[a]lthough requiring an interpretation of the state and federal statutes governing Medicaid benefits, . . . [the] action [did] not equate with a claim asserted under 42 USC § 1983, rendering counsel fees under 42 USC § 1988 unavailable” (*id.* at 163). We subsequently granted the County DSS's motion for permission to appeal, and the estate's motion for permission to cross-appeal.

III.

The County DSS contends that the wife was a responsible relative with sufficient resources who refused to pay for the husband's nursing home care, which resulted in an implied contract giving the agency the right to assert a claim against the estate to recover Medicaid payments made on the husband's behalf. The key consideration is whether the wife possessed “sufficient means during the period the medical assistance was rendered. If . . . a responsible relative is available who had sufficient means at the time of accrual, the recovery [can] be obtained” (*Craig*, 82 NY2d at 393 [interpreting Social Services

Law § 366 (3) (a)]). If the County DSS properly applied the income-first method when it deemed the husband's monthly Social Security income available to meet the MMMNA, the wife possessed excess resources in July 1997. Thus, we must decide whether this practice subjects Social Security benefits to "execution, levy, attachment, garnishment, or other legal process" in contravention of 42 USC § 407 (a), the anti-alienation provision.

In deciding that the anti-alienation provision was violated here, both lower courts relied on the decision of the United States Court of Appeals for the Second Circuit in *Robbins v De-Buono* (218 F3d 197 [2d Cir 2000]). In *Robbins*, as is the case here, the local social services agency determined that the community spouse had assets in excess of the CSRA. Some months after accepting the institutionalized spouse's Medicaid application, however, the local social services agency "demanded that [the community spouse] contribute to the cost of [the institutionalized spouse's] care from these 'excess' assets and threatened to sue her to recover the money it had spent for [the institutionalized spouse's] care if she refused" (218 F3d at 198). The community spouse did not request a fair hearing to seek to increase her CSRA because she was aware of New York's income-first policy. Instead, she sued in federal court, claiming that the income-first method, to the extent it attributed her spouse's Social Security benefits to her, ran afoul of the anti-alienation provision.

The Second Circuit agreed for two reasons. First, the Court focused on its decision in a case involving a representative payee, *Johnson v Harder* (383 F Supp 174 [D Conn 1974], *cert denied* 423 US 876 [1975]), "[t]he seminal case in [the] circuit on deeming or attributing Social Security benefits" (*Robbins*, 218 F3d at 201). In *Johnson*, the Court concluded that although Social Security benefits were to "be used for the beneficiary's needs, as he or his representative payee may best determine" (*id.*), the Connecticut policy at issue, in fact, forced the representative payee to exercise discretion in favor of herself. The Second Circuit reasoned that attribution similarly coerced the community spouse in *Robbins* into spending the institutionalized spouse's Social Security benefits on herself, stripping away her ability to use them as she might "best determine." That is, if the community spouse elected to pay these benefits for the institutionalized spouse's current care, she jeopardized her own well-being since the local social services agency might sue her to

obtain the assets she would need for her own support in the future. Second, the *Robbins* court concluded that the local social services agency's "express threat" to sue to recover the Social Security benefits and its use of the income-first policy in a fair hearing fell within "legal process" as defined by the anti-alienation provision (*id.* at 202).

The United States Supreme Court in *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler* (537 US 371 [2003]), however, subsequently emphasized its "restrictive" interpretation of "other legal process" as that term is used in the anti-alienation provision (537 US at 383-384, 386). The Court's approach in *Keffeler* contrasts sharply with the Second Circuit's admittedly "expansive" interpretation of "legal process" in *Robbins* (218 F3d at 201 ["legal process . . . embrace(s) not only the use of formal legal machinery but also resort to express or implied threats and sanctions" (internal quotation marks and citation omitted)]).

Washington State, which was the representative payee for certain foster care children who were receiving Social Security benefits, used these benefits to offset the cost of foster care by depositing them in a state account. In *Keffeler*, Washington's high court held that section 407 (a) was intended to prohibit creditors from accessing Social Security benefits, and that the state's scheme involved "creditor-type" acts (537 US at 380).

The Supreme Court disagreed, concluding that the key question under section 407 (a)—which the Court tellingly referred to as the Social Security Act's "antiattachment" provision—was not whether Washington was a creditor, but whether the state's "manner of gaining control of the federal funds involve[d] 'other legal process'" (537 US at 383). In deciding that it did not, the Court noted "[t]hat restriction to the statutory usage of 'other legal process' is important here, for in the abstract the department does use legal process as the avenue to reimbursement: . . . by a state legal process the department makes claims against the accounts kept by the state treasurer" (537 US at 383-384); however, section 407 (a)

"uses the term 'other legal process' far more restrictively '[O]ther legal process' should be understood to be process much like the processes of execution, levy, attachment, and garnishment, and at a minimum, would seem to require utilization of some judicial or quasi-judicial mechanism, though

not necessarily an elaborate one, by which control over property passes from one person to another in order to discharge or secure discharge of an allegedly existing or anticipated liability” (537 US at 384-385).

Moreover, *Keffeler* distinguished *Philpott v Essex County Welfare Bd.* (409 US 413 [1973]), on which the Second Circuit had relied in *Robbins*, and noted that *Philpott* “involved judicial actions in which a State sought to attach a beneficiary’s Social Security benefits as reimbursement for the costs of the beneficiary’s care and maintenance” (*Keffeler*, 537 US at 388).

The Second Circuit has subsequently recognized that *Keffeler* “subtly disturbed the law of this Circuit” (*Binder & Binder PC v Barnhart*, 399 F3d 128, 134 [2d Cir 2005]). Several lower courts have gone further. In *Wojchowski v Novello* (2006 WL 1888589, *3, 2006 US Dist LEXIS 46108, *8 [WD NY 2006], *appeal pending* [2d Cir Docket No. 06-3373-CV]), the United States District Court for the Western District of New York held that *Keffeler* undercut “the rationale upon which *Robbins* was based,” and accordingly declined to follow *Robbins* (*see also Ruck v Novello*, 295 F Supp 2d 258, 263 [WD NY 2003] [*Keffeler* “seriously undermines the *Robbins* rationale”]; *Bianconi v Preston*, 383 F Supp 2d 276, 278 n [D Mass 2005] [declining to follow *Robbins* and citing *Binder* as support for proposition that *Keffeler* “throws a shadow over *Robbins*”]). The federal district courts in *Wojchowski*, *Ruck* and *Bianconi* all concluded that attributing or deeming the institutionalized spouse’s monthly Social Security income to the community spouse does not violate the anti-alienation provision. We agree.

Attribution does not vest the local social services agency with control over the institutionalized spouse’s Social Security benefits. As the district court observed in *Ruck*, the fair hearing does “not directly involve control over property passing from one person to another to discharge some liability” as required under *Keffeler* (*Ruck*, 295 F Supp 2d at 264; *see also Wojchowski*, 2006 WL 1888589 at *3, 2006 US Dist LEXIS 46108 at *9 [attribution does not actually take or wrest control over the institutionalized spouse’s benefits]). Although the hearing examiner may approve of the attribution during a fair hearing, he cannot force the institutionalized spouse to hand over a Social Security check to the community spouse.

Second, attribution does not involve a judicial or quasi-judicial process (*see Bianconi*, 383 F Supp 2d at 278 [attribution “does

not create any type of administrative or judicial mechanism bearing any resemblance to ‘execution, levy, attachment or garnishment’ ”)]. It is essentially a budgeting methodology. The local social services agency prepares a worksheet on which it calculates the income of the institutionalized spouse and the community spouse, and computes and apportions their resources according to standards set out in the federal and state spousal impoverishment provisions (42 USC § 1396r-5; Social Services Law § 366-c; 18 NYCRR 360-4.10). The worksheet informs the community spouse how much to spend down in order for the institutionalized spouse to qualify for Medicaid. There is no court involved. Moreover, although the claim against the estate in this case is clearly “legal process,” the County DSS did not seek the husband’s Social Security benefits in this proceeding.

Finally, *Keffeler* requires more than coercion or the threat of litigation to meet the “other legal process” standard. It calls for actual judicial or quasi-judicial process, and thus contradicts *Robbins* to the extent that case indicates otherwise. In any event, there was no “express threat” of litigation here as occurred in *Robbins*. In fact, after the wife declined to spend down in compliance with the spousal impoverishment provisions, the County DSS did not even hint at much less commence a spousal recovery action, and the husband was never forced to do anything in particular with his Social Security benefits.

While married couples are faced with a difficult decision when choosing whether to spend down or pursue a spousal refusal, they do have a choice. The MCCA safeguards the community spouse from impoverishment; it does not guarantee that the community spouse can keep all the couple’s assets or maximize the community spouse’s wealth, or prevent the government from seeking to recoup Medicaid benefits when a spouse chooses to retain assets rather than spend down (see Wone, *Don’t Want to Pay for Your Institutionalized Spouse? The Role of Spousal Refusal and Medicaid in Funding Long-Term Care*, 14 Elder LJ 485, 515 [2006] [discussing spousal recovery and estate recovery and noting that “(u)nlike spousal recovery, the community spouse is protected from estate recovery until after his or her death”]).

In sum, because the federal anti-alienation provision did not foreclose the County DSS from attributing the husband’s Social Security benefits to the wife, she had sufficient means to pay for the husband’s nursing home care as a matter of law in July 1997 when the husband became eligible for Medicaid. Since the

wife possessed sufficient resources at that time, an implied contract for the husband's care was created under Social Services Law § 366 (3) (a). We do not reach any of the other issues raised by the County DSS, which the Surrogate should review in light of our decision. The Appellate Division must, however, first decide whether the Surrogate has jurisdiction over the trust, an issue that it did not reach in light of its disposition of the appeal. We deny the estate's cross appeal requesting attorneys' fees.

Accordingly, the order of the Appellate Division should be modified, without costs, by denying the estate's motion for summary judgment in its entirety, granting the Commissioner's motion for summary judgment as to liability and remitting to the Appellate Division for further proceedings in accordance with this opinion; and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order modified, etc.

[872 NE2d 247, 840 NYS2d 561]

In the Matter of JEAN MARSHALL, Justice of the Cuyler Town Court, Cortland County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued June 7, 2007; decided July 2, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated February 7, 2007. The Commission determined that petitioner should be removed from the office of Justice of the Town Court of Cuyler, Cortland County.

HEADNOTE**Judges — Disciplinary Proceedings**

A determination of the State Commission on Judicial Conduct that petitioner Town Justice should be removed from office was accepted. Petitioner engaged in improper ex parte communications with the defendants in several building code violation cases, dismissed the cases in advance of the adjourned dates without providing the prosecutor notice or an opportunity to be heard, testified falsely at a Commission proceeding during the investigation and altered her court calendar to conceal the deception. Petitioner's actions violated the high standards of integrity and conduct required of the Judiciary. Moreover, petitioner gave patently false explanations to the Commission despite contrary objective proof.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:117, 3:125, 3:127, 3:129, 3:133.

NY JUR 2d, Courts and Judges §§ 343, 362, 440, 442.

ANNOTATION REFERENCE

Power of court to remove or suspend judge. 53 ALR3d 882.

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POINTS OF COUNSEL

Lawrence H. Knickerbocker, Cortland, for petitioner. I. Petitioner, Jean Marshall, a Justice of the Cuyler Town Court,

Cortland County, did not violate section 100.1 or section 100.2 (A) of the Rules of the Chief Administrator of the Courts (22 NYCRR) governing judicial conduct. (*Matter of Seiffert*, 65 NY2d 278; *Poster v Poster*, 4 AD3d 145; *Slater v Links at N. Hills*, 262 AD2d 299; *Loughran v Cruickshank*, 8 AD3d 799; *Bellnier v Bellnier*, 158 AD2d 947; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386.) II. The Commission on Judicial Conduct's determined sanction of removal should be rejected and such other sanction as this Court finds fair and just be imposed. (*Matter of Reeves*, 63 NY2d 105; *Matter of Waltemade*, 37 NY2d [a]; *Matter of Kiley*, 74 NY2d 364; *Matter of Blackburne*, 7 NY3d 213; *Matter of Steinberg*, 51 NY2d 74.)

Robert J. Tembeckjian, New York City, and *John J. Postel* for respondent. I. The charges against petitioner are clearly established in the record. (*Matter of Spector v State Commn. on Jud. Conduct*, 47 NY2d 462; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Mogil*, 88 NY2d 749; *Matter of Feinberg*, 5 NY3d 206; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349; *Matter of Reeves*, 63 NY2d 105; *Matter of Going*, 97 NY2d 121; *Matter of Collazo [State Commn. on Jud. Conduct]*, 91 NY2d 251; *Matter of Kiley*, 74 NY2d 364.) II. Petitioner's egregious misconduct warrants her removal from office. (*Matter of Jones*, 47 NY2d [mmm]; *Matter of Myers*, 67 NY2d 550; *Matter of Steinberg*, 51 NY2d 74; *Matter of Fabrizio*, 65 NY2d 275; *Matter of Gelfand*, 70 NY2d 211; *Matter of Intemann*, 73 NY2d 580; *Matter of Mogil*, 88 NY2d 749; *Matter of Collazo [State Commn. on Jud. Conduct]*, 91 NY2d 251.)

OPINION OF THE COURT

Per Curiam.

By formal written complaint, the State Commission on Judicial Conduct brought two misconduct charges against petitioner Jean Marshall, Justice of the Cuyler Town Court, Cortland County. In charge one, the Commission alleged that petitioner had engaged in improper ex parte communications with the defendants in several building code violation cases and then dismissed the cases in advance of the adjourned dates without providing the prosecutor notice or an opportunity to be heard. Charge two alleged that, during the investigation, petitioner testified falsely at a Commission proceeding and altered her court calendar to conceal the deception. In her answer, petitioner essentially admitted to the conduct alleged in charge one but did not respond to the accusations of false testimony and record alteration.

The Referee designated by the Commission to hear and report found that, as to charge one, petitioner failed to properly perform the duties of her office, but concluded that the Commission failed to prove the allegations of charge two. After its own hearing, the Commission upheld both charges and determined that petitioner should be removed. We agree with the Commission's findings and conclusions, and accept its determined sanction.

Neither the Commission nor this Court is bound to accept the Referee's findings (*see Matter of Reeves*, 63 NY2d 105 [1984]; 22 NYCRR 7000.6 [f] [1] [iii]). In judicial misconduct cases, this Court has the authority to review findings of fact as well as to determine the appropriate sanction (NY Const, art VI, § 22 [d]; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349, 353 [1984]).

The record demonstrates that, on December 29, 2003, petitioner engaged in improper ex parte conversations with three defendants concerning the merits of their cases and told them that they did not have to appear in court that evening, as had been scheduled. Hours later, at the court session, petitioner told the town's attorney and the code enforcement officer that the cases would be adjourned to January 26, 2004, and she wrote that date in her court calendar. Prior to the adjourned date, however, on January 13, 2004, petitioner issued a letter order dismissing the cases sua sponte without providing the town's attorney or code enforcement officer an opportunity to be heard.

When later questioned by the Commission, petitioner repeatedly testified falsely that she had not adjourned the cases. She also used white-out to conceal the adjourned date originally written in her court calendar. We are not persuaded by petitioner's claim that this was merely a routine alteration intended only to update the status of the cases and therefore conclude that both charges should be sustained.

Petitioner's actions violated the high standards of integrity and conduct required of the Judiciary. Although "the use of a Judge's 'lack of candor' as an aggravating circumstance should be approached cautiously to minimize the risk that the investigative process itself will be used to generate more serious sanctions," removal is appropriate "where the Judge who was to be sanctioned gave patently false explanations to the Commission despite contrary objective proof" (*Matter of Kiley*, 74 NY2d 364, 371, 370 [1989]). That is precisely what happened here.

Accordingly, the determined sanction should be accepted, without costs, and Jean Marshall removed from the office of Justice of the Cuyler Town Court, Cortland County.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Determined sanction accepted, etc.

[871 NE2d 1133, 840 NYS2d 307]

In the Matter of TODD NORTH, Appellant, v BOARD OF EXAMINERS OF SEX OFFENDERS OF STATE OF NEW YORK, Respondent.

Argued June 5, 2007; decided July 2, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 29, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Chautauqua County (Paula L. Feroletto, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition to annul a determination requiring petitioner to register as a sex offender and dismissed the proceeding.

Matter of North v Board of Examiners of Sex Offenders of State of N.Y., 34 AD3d 161, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Registration Required upon Conviction of Foreign Offense Containing Essential Elements of Comparable New York Offense

Petitioner's conviction in federal court of a possession of child pornography offense (18 USC § 2252A [a] [5] [B]) required him to register under New York's Sex Offender Registration Act (SORA). Correction Law § 168-a (2) (d) (i) requires a person convicted of an offense in a foreign jurisdiction to register in New York when the foreign offense contains "all of the essential elements" of a New York offense that is subject to registration. Petitioner's federal possession of child pornography offense was analogous to the New York offense of possessing a sexual performance by a child (Penal Law § 263.16), a class E felony subject to registration under Correction Law § 168-a (2) (a) (i). The Legislature did not intend that the SORA "essential elements" inquiry involve the same strict equivalency approach used in the criminal enhanced sentencing context. Nor does the language in Correction Law § 168-a (2) (d) (iii) compel a strict interpretation of the "essential elements" standard. Where, as here, the foreign offense and the analogous New York offense overlap but the foreign offense also criminalizes conduct not covered under the New York offense, the Board must review the conduct underlying the foreign conviction to determine if that conduct is, in fact, within the scope of the New York offense. Petitioner possessed pornographic images of children under age 16 and therefore engaged in conduct that was criminal under both the federal and comparable New York offenses.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons § 126.

McKINNEY's, Correction Law § 168-a (2) (a) (i); (d) (i), (iii); Penal Law § 263.16.
NY JUR 2d, Penal and Correctional Institutions §§ 307, 308, 311.

ANNOTATION REFERENCE

State statutes or ordinances requiring persons previously convicted of crime to register with authorities. 36 ALR5th 161.

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Query: sex /2 offender /2 registration /p federal /s pornography

POINTS OF COUNSEL

Burgett & Robbins, LLP, Jamestown (Robert A. Liebers of counsel), for appellant. I. The Appellate Division erred by requiring Mr. North to register as a sex offender under the March 11, 2002 amendments to the Sex Offender Registration Act. (*Matter of Orens v Novello*, 99 NY2d 180; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *People v Kennedy*, 7 NY3d 87.) II. The Appellate Division erred by holding that Mr. North had to register because his federal sentence required him to register. (*People v Kennedy*, 7 NY3d 87; *New York v United States*, 505 US 144.)

Andrew M. Cuomo, Attorney General, Albany (Andrea Oser, Barbara D. Underwood and Nancy A. Spiegel of counsel), for respondent. I. Petitioner is required to register by subsection (i) of Correction Law § 168-a (2) (d). (*Matter of Millan*, 189 Misc 2d 419, 295 AD2d 267; *Post v 120 E. End Ave. Corp.*, 62 NY2d 19; *Matter of Nadel*, 188 Misc 2d 427; *Matter of Mandel*, 184 Misc 2d 897, 293 AD2d 750; *People v Gonzalez*, 61 NY2d 586; *People v Olah*, 300 NY 96; *People v Lewis*, 37 AD3d 689; *People v Johnston*, 28 AD3d 1125, 7 NY3d 707; *General Dynamics Land Systems, Inc. v Cline*, 540 US 581.) II. Petitioner is also required to register by subsection (iii) of Correction Law § 168-a (2) (d). (*People v Ryan*, 274 NY 149; *Bragg v Genesee County Agric. Socy.*, 84 NY2d 544; *Matter of Sutka v Conners*, 73 NY2d 395; *Matter of Roballo v Smith*, 63 NY2d 485.)

OPINION OF THE COURT

GRAFFEO, J.

In 2004, petitioner Todd North pleaded guilty to a federal possession of child pornography offense. Our task is to determine

whether the Board of Examiners of Sex Offenders erred when it concluded that petitioner's conviction in a foreign jurisdiction required him to register under New York's Sex Offender Registration Act (SORA). We conclude that petitioner's federal conviction warranted registration under SORA.

Federal agents executed a search warrant at petitioner's home on February 6, 2002, seizing his computer. Examination of the computer revealed that petitioner had knowingly purchased a subscription to an Internet site that was tailored to appeal to individuals with a sexual interest in children. Petitioner acknowledged to federal authorities that, over a period of four or five months, he downloaded and viewed numerous images depicting children ages 7 to 17 years engaged in sexual acts. In November 2004, petitioner pleaded guilty in United States District Court for the Western District of New York to a possession of child pornography offense (18 USC § 2252A [a] [5] [B]) and was sentenced to five years probation with 24 days of electronic monitoring.

At the state level, the Board of Examiners of Sex Offenders, proceeding in accordance with Correction Law § 168-k, concluded that petitioner was required to register under SORA. The Board found that petitioner had been convicted of a sex offense as defined in Correction Law § 168-a (2) (d), which addresses when a person convicted in a foreign jurisdiction (such as federal court) must register in New York. After the Board rejected his request for reconsideration, petitioner commenced this CPLR article 78 proceeding challenging the registration determination. Although petitioner acknowledged that SORA had been amended in 2002 to explicitly cover certain federal convictions (including his child pornography offense) in Correction Law § 168-a (2) (d), he argued that the 2002 amendments did not apply to him. Petitioner claimed that he fell within a "loop-hole" created in the legislation's complex effective date provision because he committed his offense before the effective date of the new amendments.

In response, the Board contended that, independent of the 2002 amendments, petitioner was required to register because his federal offense contained the same "essential elements" as the New York crime of possession of a sexual performance by a child, a registrable offense. The Board further asserted that the 2002 amendments specifically listing petitioner's federal offense

embraced petitioner because he was convicted in 2004—two years after the legislation was enacted.

Supreme Court denied the petition and dismissed the proceeding, concluding that registration was required under SORA’s “essential elements” provision, which predated the 2002 amendments (*see* Correction Law § 168-a [2] [d] [i]). That provision mandates registration for a person convicted in a foreign jurisdiction of a crime containing the “essential elements” of a New York offense that is subject to registration. The court noted that the federal child pornography offense and New York’s most closely analogous offense (possession of a sexual performance by a child) were not identical because the federal offense criminalizes possession of pornographic images of children under age 18 while the New York offense covers pornographic images of children under 16 years of age. But finding it undisputed that petitioner possessed pornographic images of children under age 16, the court held that petitioner engaged in conduct addressed by the New York offense, thereby meeting the “essential elements” standard.

The Appellate Division agreed that petitioner was required to register under SORA but rejected Supreme Court’s rationale. The Court analogized the SORA “essential elements” analysis to the comparison undertaken when a court assesses whether a defendant’s criminal sentence should be enhanced as a result of a prior foreign conviction, and reasoned that the “essential elements” standard is not met unless the elements of the federal offense are virtually identical to the elements of the registrable state offense to which it is compared. Given the distinctions between the victim age provisions in the federal and New York offenses, the Court determined that standard was not met. However, noting that the 2002 amendments had been intended to clarify that individuals convicted of the federal offenses in question were required to register under SORA, the Court concluded that the 2002 amendments applied to petitioner and he must register under Correction Law § 168-a (2) (d) (iii).¹ This Court granted petitioner leave to appeal and we now affirm.

Since the inception of SORA in 1995, a person convicted of a felony in another jurisdiction, including conviction of a federal crime, has been subject to registration in New York if the foreign

1. In dicta, the Appellate Division observed that registration might also be required under the terms of petitioner’s federal probation. Because this was not a ground on which the Board relied in its determination, we have no occasion to address it in this article 78 proceeding.

offense “includes all of the essential elements” of one of the New York offenses listed in SORA (*see* L 1995, ch 192, § 2). In 1999, the Legislature added another basis for registration arising from a foreign conviction—an offender must register in New York if that person committed a felony subject to registration in the foreign jurisdiction (*see* L 1999, ch 453, § 1). SORA was again amended in 2002 to clarify that particular federal offenses are subject to New York’s registration requirement and the amendments removed the requirement that the foreign offense be a felony (subject to a potential death sentence or prison sentence of more than one year) (*see* L 2002, ch 11, § 1). In addition, the foreign conviction provision was reorganized into three subsections. As a result of this legislative expansion, the definition of a registrable “sex offense” now includes

“a conviction of (i) an offense in any other jurisdiction which includes all of the essential elements of any such crime provided for in paragraph (a), (b) or (c) of this subdivision or (ii) a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred or, (iii) any of the provisions of 18 U.S.C. 2251, 18 U.S.C. 2251A, 18 U.S.C. 2252, 18 U.S.C. 2252A, or 18 U.S.C. 2260, provided that the elements of such crime of conviction are substantially the same as those which are a part of such offense as of the date on which this subparagraph takes effect” (Correction Law § 168-a [2] [d]).

In *People v Kennedy* (7 NY3d 87 [2006]), we addressed whether a member of the United States Navy who was convicted by general court-martial of “indecent assault” under the Uniform Code of Military Justice was required to register under Correction Law § 168-a (2) (d) (ii). We concluded that registration was not warranted under subsection (ii) because the People failed to establish that the foreign jurisdiction where the defendant was convicted—the Navy—maintains a sex offender registry.

Here, the Board relies on two different subsections of the statute—subsections (i) and (iii). Subsection (i) directs that a person convicted of an offense in a foreign jurisdiction is required to register in New York when the foreign offense contains “all of the essential elements” of a New York offense that is subject to registration. Although the essential elements provision has been part of SORA since its enactment in 1995, this is our first occasion to interpret it.

The Board argues that petitioner's federal possession of child pornography offense is comparable to the New York offense of possessing a sexual performance by a child (Penal Law § 263.16), a class E felony subject to registration under Correction Law § 168-a (2) (a) (i). Petitioner's federal felony offense, codified at 18 USC § 2252A (a) (5) (B), makes it unlawful for any person to

“knowingly possess[] any book, magazine, periodical, film, videotape, computer disk, or any other material that contains an image of child pornography that has been mailed, or shipped or transported in interstate or foreign commerce by any means, including by computer, or that was produced using materials that have been mailed, or shipped or transported in interstate or foreign commerce by any means, including by computer.”

The term “child pornography” includes any “computer or computer-generated image or picture” involving “the use of a minor engaging in sexually explicit conduct” (18 USC § 2256 [8] [A]) and the term “‘minor’ means any person under the age of eighteen years” (18 USC § 2256 [1]).

Under Penal Law § 263.16, “[a] person is guilty of possessing a sexual performance by a child when, knowing the character and content thereof, he knowingly has in his possession or control any performance which includes sexual conduct by a child less than sixteen years of age.” The term “performance” includes any motion picture or photograph (Penal Law § 263.00 [4]). Petitioner does not dispute that, like the federal crime, the New York offense criminalizes possession of computer images of children engaged in sexually explicit activity—the conduct underlying his federal conviction.

In asserting that the New York crime is not sufficiently similar to the federal offense to meet SORA's “essential elements” inquiry, petitioner focuses on the maximum victim age designations in the two offenses. While the federal offense criminalizes possession of pornography involving children under the age of 18, the New York provision deals only with possession of pornography involving children under the age of 16. Noting that Penal Law § 70.04 (1) (b) (i), the second violent felony offender statute, contains the phrase “essential elements,” petitioner suggests that this Court should import the same approach used to determine whether a prior foreign offense is a predicate for purposes of enhanced sentencing in criminal cases. In that context, our Court has applied a strict equivalency stan-

dard that examines the elements of the foreign conviction to determine whether the crime corresponds to a New York felony, usually without reference to the facts giving rise to that conviction (see *People v Muniz*, 74 NY2d 464 [1989]; *People v Gonzalez*, 61 NY2d 586 [1984]). Under this standard, technical distinctions between the New York and foreign penal statutes can preclude use of a prior felony as a predicate for enhanced sentencing, even though the actual criminal conduct leading to the foreign conviction would have fallen within the ambit of the New York offense (see e.g. *Muniz*, 74 NY2d 464 [1989]).²

We are unpersuaded that the Legislature intended that the SORA “essential elements” inquiry involve the same strict equivalency approach used in the criminal enhanced sentencing context. The enhanced sentencing standard was developed by this Court more than 50 years ago in cases interpreting the second felony offender provision currently codified at Penal Law § 70.06 (1) (b) (i)—a provision that long predated the second violent felony offender statute (Penal Law § 70.04 [1] [b] [i]) and which has never included the “essential elements” language found in SORA (see e.g. *People v Olah*, 300 NY 96 [1949] [interpreting former Penal Law § 1941, a predecessor of Penal Law § 70.06]). In the enhanced sentencing cases, we have not used the phrase “essential elements,” much less characterized the relevant inquiry as an “essential elements” test (see e.g. *Muniz*, 74 NY2d 464 [1989]; *Gonzalez*, 61 NY2d 586 [1984]). Obviously, the strict equivalency requirement does not turn on the presence of “essential elements” language. As such, the Legislature’s decision to use that phrase in Correction Law § 168-a (2) (d) does not suggest an intent to incorporate the strict enhanced sentencing test in SORA proceedings.

In addition, the fact that the Legislature used the same phrase when it enacted SORA’s “essential elements” provision in 1995 as it used in Penal Law § 70.04 (1) (b) (i) in 1978 (L 1978, ch 481, § 4) would not, without more, compel that the language be interpreted identically (see *People v Hernandez*, 98 NY2d 175 [2002]). Certainly, words or phrases used in the same legislation or statutory scheme are commonly ascribed the same meaning. Here, however, the language on which petitioner relies appears

2. Our Court has never assessed whether petitioner’s federal child pornography offense would be an appropriate predicate for enhanced sentencing under the strict equivalency standard but, for the purpose of this appeal, we assume that it would not.

in distinct legislation enacted in separate statutory schemes that fulfill different functions.

As part of the penal system, enhanced sentencing statutes serve to extend the term of incarceration attending a criminal conviction. In contrast, SORA is not a penal statute and the registration requirement is not a criminal sentence (*Doe v Pataki*, 120 F3d 1263 [2d Cir 1997], *cert denied* 522 US 1122 [1998]). Rather than imposing punishment for a past crime, SORA is a remedial statute intended to prevent future crime; its aim is to “protect[] communities by notifying them of the presence of individuals who may present a danger and enhancing law enforcement authorities’ ability to fight sex crimes” (*id.* at 1276). While application of a strict equivalency standard is understandable in the enhanced sentencing context where the length of a defendant’s incarceration is to be determined, it may not be the optimal vehicle to effectuate SORA’s remedial purposes. The legislative history of SORA does not disclose any intent by lawmakers to import the test from the Penal Law.

We are similarly unpersuaded that language in Correction Law § 168-a (2) (d) (iii) compels a strict interpretation of the “essential elements” standard. Subsection (iii)—added in 2002—enumerates specific federal offenses, including petitioner’s child pornography offense, as registrable offenses, “provided that the elements of such crime of conviction are substantially the same as those which are a part of such offense” as of the effective date of the legislation. Petitioner suggests that, by using the “substantially the same” language in subsection (iii), the Legislature was signaling that the “essential elements” language already included in subsection (i) must be strictly interpreted. But this linguistic distinction is explained by the fact that the “substantially the same” language relates to an entirely different inquiry than the “essential elements” test. Under subsection (i) the Board must compare the foreign offense to the analogous New York offense while subsection (iii) requires the Board to review the federal offense to make certain that it is “substantially the same” in content as it was at the time it was listed in SORA in 2002.

By including this proviso in subsection (iii), the Legislature accounted for the possibility that Congress might amend the enumerated federal statutes in the future and materially redefine those crimes, or renumber the provisions in title 18 of the United States Code so that the statutes listed in subsection (iii) no longer involve sex offenses, rendering the identified

federal offenses inappropriate predicates for SORA registration. If that occurs (and to date it has not), the Board can rely on the “substantially the same” language in subsection (iii) to relieve a person convicted of one of the specified, but redefined, federal offenses of the duty to register. But the proviso simply does not direct how the Board should interpret or apply the “essential elements” standard in subsection (i).

Considering its context, we conclude that the “essential elements” provision in SORA requires registration whenever an individual is convicted of criminal conduct in a foreign jurisdiction that, if committed in New York, would have amounted to a registrable New York offense. This necessarily requires that the Board compare the elements of the foreign offense with the analogous New York offense to identify points of overlap. When the Board finds that the two offenses cover the same conduct, the analysis need proceed no further for it will be evident that the foreign conviction is the equivalent of the registrable New York offense for SORA purposes. In circumstances where the offenses overlap but the foreign offense also criminalizes conduct not covered under the New York offense, the Board must review the conduct underlying the foreign conviction to determine if that conduct is, in fact, within the scope of the New York offense. If it is, the foreign conviction is a registrable offense under SORA’s essential elements test.

In this case, comparison of the elements reveals that there is significant overlap between the conduct criminalized in the analogous New York offense and the activity covered by the federal child pornography offense. However, because the federal offense covers some activity—possession of child pornography involving children aged 16 and 17—not encompassed in the New York offense, review of the conduct underlying petitioner’s federal conviction is necessary. Here, it is undisputed that petitioner possessed pornographic images of children under age 16 and therefore engaged in conduct that was criminal under both the federal and comparable New York offenses. As such, the Board did not err in determining that, by virtue of his federal child pornography conviction, petitioner was required to register under the “essential elements” provision in Correction Law § 168-a (2) (d) (i).

This result is consistent with statements in the legislative history of the 2002 SORA amendments relating to the inclusion of the specified federal offenses. The Governor’s Program Bill Memorandum and the Senate and Assembly sponsors’ memo-

randa indicate that the intent in listing the federal child pornography offense was to “clarify” that the offense was subject to registration, which was necessary because some federal offenders had contested the equivalency of the federal and New York offenses (*see* Governor’s Program Bill Mem # 102, 2002 NY Legis Ann, at 6, 8; Senate Mem in Support, 2002 McKinney’s Session Laws of NY, at 1646; Aubry Mem in Support of 2002 NY Assembly Bill A10367).³ By characterizing the new legislation as a “clarification,” rather than as a change in the law, the Legislature and the Governor indicated that the child pornography offense was already subject to registration under the existing “essential elements” provision. Hence, in their view, the victim age distinctions between the federal and state offenses did not preclude registration under that standard.

Because the Board did not err in requiring petitioner to register under Correction Law § 168-a (2) (d) (i), we need not address petitioner’s claim that, notwithstanding his 2004 conviction of a listed federal offense, he can avoid registration under subsection (iii) because of the effective date provision in the 2002 legislation.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, without costs.

3. This was apparently a reference to litigation prior to the 2002 amendments in which courts had reached contradictory conclusions on the equivalency issue (*see Matter of Millan*, 189 Misc 2d 419 [Sup Ct 2001], *revd* 295 AD2d 267 [1st Dept 2002]; *Matter of Nadel*, 188 Misc 2d 427 [Sup Ct 2001]; *Matter of Mandel*, 184 Misc 2d 897 [County Ct 2000], *affd* 293 AD2d 750 [2d Dept 2002], *appeal dismissed* 98 NY2d 727 [2002]).

[872 NE2d 860, 840 NYS2d 748]

SONIA ROSARIO et al., Respondents, et al., Plaintiffs, v DIAGONAL
REALTY, LLC, et al., Appellants, et al., Defendants.

Argued May 31, 2007; decided July 2, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 19, 2006. The Appellate Division order, insofar as appealed from, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Joan A. Madden, J.; op 9 Misc 3d 681), which had (1) granted plaintiffs' consolidated motions for summary judgment, and (2) declared that defendants were obligated to continue accepting federal Section 8 rent subsidies with respect to plaintiffs, who were rent-stabilized tenants, and were not permitted to opt out of the federal Section 8 rent subsidy program. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, properly made?"

Rosario v Diagonal Realty, LLC, 32 AD3d 739, affirmed.

HEADNOTES

Landlord and Tenant — Rent Regulation — Renewal Lease — Federal Section 8 Rent Subsidies

1. A landlord's determination to accept federal "Section 8" rent subsidy payments (*see* 42 USC § 1437f) is a "term and condition" of a lease executed with a rent-stabilized tenant within the meaning of Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1). Thus, a renewal lease must continue with that term and condition. Pursuant to the Rent Stabilization Code, renewal must "be on the same terms and conditions as the expired lease" (9 NYCRR 2522.5 [g] [1]). Landlords who accept Section 8 payments are required to include, in leases that they sign with Section 8 beneficiaries, a "tenancy addendum" specifying the landlord's acceptance of Section 8 subsidies. Acceptance of the Section 8 subsidies thereby becomes a term of the lease signed with a Section 8 tenant. Moreover, the Section 8 term and condition must be continued in a renewal lease even if a tenant was not a Section 8 beneficiary under the original lease but subsequently became a Section 8 beneficiary. 9 NYCRR 2522.5 (g) (1) requires that a renewal lease "be on the same terms and conditions as the expired lease"—not necessarily the original lease. "Expired lease" means the lease that will have just expired when the renewal lease is to become effective.

Statutes — Federal Preemption — Renewal Leases for Rent-Stabilized Tenants Receiving Federal Section 8 Rent Subsidies

2. 42 USC § 1437f, which was amended in 1998 to eliminate the so-called "endless lease rule" and provides that "during the term of the lease, the

owner shall not terminate [a Section 8] tenancy except for serious or repeated violation of the terms and conditions of the lease, for violation of applicable Federal, State, or local law, or for other good cause” (42 USC § 1437f [d] [1] [B] [ii]), does not preempt the requirement of New York law that a landlord’s prior acceptance of a Section 8 subsidy for a rent-stabilized tenant is a term of a lease that must be continued in a renewal lease (Rent Stabilization Code [9 NYCRR] § 2522.5 [g] [1]). The legislative history indicates that no preemption was intended. The legislative intent was to remove federal obstacles to landlords’ participation in the Section 8 program. With respect to the question of implied preemption, federal law does not so occupy the field of housing law that there is no room for state regulation. Finally, there is no conflict between federal and state law such as would suggest implied preemption. It is not impossible to comply with both federal and state law in this area, Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1) is no obstacle to accomplishing and executing the purpose of 42 USC § 1437f, and it was not the intent of Congress to remove state and local law protections afforded to Section 8 recipients.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 135–139.
DOLAN, RASCH’S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 11:9.
9 NYCRR 2522.5 (g) (1).
NY JUR 2d, Landlord and Tenant §§ 455, 808.
NEW YORK REAL PROPERTY SERVICE §§ 30:98, 74:117, 74:118.
42 USCA § 1437f.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Horing Welikson & Rosen, P.C., Williston Park (*Richard T. Walsh* and *Niles C. Welikson* of counsel), for appellant. I. Appellant had the right under federal and state law to opt out of the Section 8 program. (*Salute v Stratford Greens Garden Apts.*, 136 F3d 293; *People To End Homelessness, Inc. v Develco Singles Apts. Assoc.*, 339 F3d 1; *Mackey v 1525 Dorchester Co.*, 196 Misc 2d 662; *17th Holding v Rivera*, 195 Misc 2d 531; *Cipollone v Liggett Group, Inc.*, 505 US 504; *American Ins. Assn. v Garamendi*, 539 US 396; *Sanango v 200 E. 16th St. Hous. Corp.*, 15

AD3d 36; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Tann Realty Co. v Thompson*, 112 Misc 2d 392; *Kulick & Rheingold Realty, LLC v Montero*, 8 Misc 3d 1007[A], 2005 NY Slip Op 50974[U].) II. Section 8 benefits are not part of the rent-stabilized tenancy. (*Kulick & Rheingold Realty, LLC v Montero*, 8 Misc 3d 1007[A], 2005 NY Slip Op 50974[U]; *Mackey v 1525 Dorchester Co.*, 196 Misc 2d 662; *17th Holding v Rivera*, 195 Misc 2d 531; *Matter of Century Operating Corp. v Popolizio*, 60 NY2d 483; *Matter of Missionary Sisters of Sacred Heart, Ill. v New York State Div. of Hous. & Community Renewal*, 283 AD2d 284.) III. Plaintiff has no standing to assert claims against Diagonal Realty, LLC under the expired Housing Assistance Payments contract. (*Board of Mgrs. of Alexandria Condominium v Broadway/72nd Assoc.*, 285 AD2d 422; *Rosier v Brown*, 158 Misc 2d 748.) IV. A landlord's decision to opt out of the Section 8 program does not constitute discrimination under the J-51 statute. (*Kulick & Rheingold Realty, LLC v Montero*, 8 Misc 3d 1007[A], 2005 NY Slip Op 50974[U]; *Salute v Stratford Greens Garden Apts.*, 136 F3d 293) V. Civil Court has jurisdiction to determine Sonia Rosario's claims. (*Post v 120 E. End Ave. Corp.*, 62 NY2d 19; *Kanner v West 15th St. Owners*, 236 AD2d 341; *Kanter v East 62nd St. Assoc.*, 111 AD2d 26; *Subkoff v Broadway-13th Assoc.*, 139 Misc 2d 176.) VI. Plaintiff was not entitled to a preliminary injunction. (*Uniformed Firefighters Assn. of Greater N.Y. v City of New York*, 79 NY2d 236; *Wm. Rosen Monuments v Madonick Monuments*, 62 AD2d 1053; *Paine & Chriscott v Blair House Assoc.*, 70 AD2d 571; *St. Paul Fire & Mar. Ins. Co. v York Claims Serv.*, 308 AD2d 347; *Rosa Hair Stylists v Jaber Food Corp.*, 218 AD2d 793.)

Legal Aid Society, New York City (*Judith Goldiner*, *Steven Banks*, *Adriene Holder* and *Scott Rosenberg* of counsel), for respondent. I. The Rent Stabilization Code requires continued acceptance of Section 8 subsidy payments as a "term and condition" of a rent-stabilized lease. (*Roxborough Apts. Corp. v Becker*, 296 AD2d 358; *East 11th St. Assoc. v Breslow*, 174 Misc 2d 994, 256 AD2d 110; *Mehlman Mgt. Corp. v Meyers*, 51 AD2d 949; *Tann Realty Co. v Thompson*, 112 Misc 2d 392; *Matter of Fishel v New York City Conciliation & Appeals Bd.*, 123 Misc 2d 841; *7 Highland Mgt. Corp. v McCray*, 9 Misc 3d 129[A], 2005 NY Slip Op 51530[U]; *Licht v Moses*, 11 Misc 3d 76; *Kulick & Rheingold Realty, LLC v Montero*, 8 Misc 3d 1007[A], 2005 NY Slip Op 50974[U]; *People To End Homelessness, Inc. v Develco Singles Apts. Assoc.*, 339 F3d 1; *Mackey v 1525 Dorchester Co.*, 196 Misc 2d 662.) II. The United States housing act does not preempt

New York State's Rent Stabilization Code. (*California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Rowe v Pierce*, 622 F Supp 1030; *Independence Park Apts. v United States*, 449 F3d 1235; *Topa Equities, Ltd. v City of Los Angeles*, 342 F3d 1065; *Matter of Mott v New York State Div. of Hous. & Community Renewal*, 211 AD2d 147; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837; *Crosby v National Foreign Trade Council*, 530 US 363; *Salute v Stratford Greens Garden Apts.*, 136 F3d 293.) III. Section 11-243 of the Administrative Code of the City of New York requires recipients of J-51 tax abatements to accept Section 8 subsidies. (*Cosmopolitan Assoc., L.L.C. v Fuentes*, 11 Misc 3d 37.) IV. The Supreme Court was the appropriate forum for full resolution of this matter. (*7 Highland Mgt. Corp. v McCray*, 9 Misc 3d 129[A], 2005 NY Slip Op 51530[U]; *North Waterside Redevelopment Co. v Febbraro*, 256 AD2d 261; *Manhattan Parking Sys.-Serv. Corp. v Murray House Owners Corp.*, 211 AD2d 534; *Post v 120 E. End Ave. Corp.*, 62 NY2d 19.) V. Having consented, defendant may not now challenge conversion of plaintiff's motion to one for summary judgment.

Andrew M. Cuomo, Attorney General, New York City (Michelle Aronowitz, Barbara D. Underwood, Ann Zybert and Gary Connor of counsel), for New York State Division of Housing and Community Renewal, amicus curiae. I. A landlord's acceptance of Section 8 rent subsidy payments as part of a rent-stabilized tenant's lease is a term of the lease that must be continued in a renewal lease pursuant to New York's Rent Stabilization Code. (*Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Matter of David v New York City Conciliation & Appeals Bd.*, 59 NY2d 714; *Roxborough Apts. Corp. v Becker*, 296 AD2d 358; *Matter of Fishel v New York City Conciliation & Appeals Bd.*, 123 Misc 2d 841; *Tann Realty Co. v Thompson*, 112 Misc 2d 392; *7 Highland Mgt. Corp. v McCray*, 9 Misc 3d 129[A], 2005 NY Slip Op 51530[U]; *Matter of Century Operating Corp. v Popolizio*, 60 NY2d 483; *Spaeda v Bakirtjy*, 186 Misc 2d 557; *Jandson Realty Corp. v Rogers*, 192 Misc 2d 505.) II. Section 8's eviction protection provision, 42 USC § 1437f (d) (1) (B) (ii), does not preempt Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1). (*English v General Elec. Co.*, 496 US 72; *New York Telephone Co. v New York State Dept. of Labor*, 440 US 519; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Jones v Rath Packing Co.*, 430 US 519; *Rice v Santa Fe Elevator Corp.*,

331 US 218; *Loretto v Teleprompter Manhattan CATV Corp.*, 458 US 419; *Independence Park Apts. v United States*, 449 F3d 1235; *Kargman v Sullivan*, 552 F2d 2; *Ray v Atlantic Richfield Co.*, 435 US 151.)

Borah, Goldstein, Altschuler, Nahins & Goidel, P.C., New York City (*Jeffrey R. Metz* of counsel), for Rent Stabilization Association of New York City, Inc., amicus curiae. Pursuant to the Supremacy Clause of the United States Constitution, the federal law allowing an owner to decline to participate in the Section 8 program, or to “opt out” of the program, must control. (*Balbuena v IDR Realty LLC*, 6 NY3d 338; *Jones v Rath Packing Co.*, 430 US 519; *Shaw v Delta Air Lines, Inc.*, 463 US 85; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Manno v American Gen. Fin. Co.*, 439 F Supp 2d 418; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *Malone v White Motor Corp.*, 435 US 497; *Ingersoll-Rand Co. v McClendon*, 498 US 133; *Salute v Stratford Greens Garden Apts.*, 136 F3d 293; *Knapp v Eagle Prop. Mgt. Corp.*, 54 F3d 1272.)

South Brooklyn Legal Services, Inc., Brooklyn (*John C. Gray* and *Edward Josephson* of counsel), for Pratt Center for Community Development, amicus curiae. I. The holding of the Appellate Division advances the purposes of both the Rent Stabilization Code and federal Housing Law. (*Manocherian v Lenox Hill Hosp.*, 84 NY2d 385.) II. Reversal of the holding below would set a precedent limiting New York’s ability to respond to the current housing crisis. (*Balbuena v IDR Realty LLC*, 6 NY3d 338; *Matter of Holtzman v Oliensis*, 91 NY2d 488; *Medtronic, Inc. v Lohr*, 518 US 470; *Independence Park Apts. v United States*, 449 F3d 1235; *Kargman v Sullivan*, 552 F2d 2; *Conille v Secretary of Hous. & Urban Dev.*, 840 F2d 105; *Topa Equities Ltd. v City of Los Angeles*, 342 F3d 1065; *Matter of Mott v New York State Div. of Hous. & Community Renewal*, 211 AD2d 147; *Catco Assoc., L.P. v Goodwin*, 7 Misc 3d 1020[A], 2005 NY Slip Op 50679[U].)

Michael A. Cardozo, Corporation Counsel, New York City (*Edward F.X. Hart* and *Jane L. Gordon* of counsel), for New York City Council and others, amici curiae. The courts below correctly recognized that, in amending the Section 8 voucher program to eliminate so-called “endless leases,” Congress did not preempt local laws of general application that protect tenants. (*Cosmopolitan Assoc., L.L.C. v Fuentes*, 11 Misc 3d 37; *Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Medtronic, Inc.*

v Lohr, 518 US 470; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *United States v Shimer*, 367 US 374; *Topa Equities, Ltd. v City of Los Angeles*, 342 F3d 1065.)

Cadwalader, Wickersham & Taft LLP, New York City (Harry P. Cohen, Stacey A. Lara and Ryan J. Andreoli of counsel), and Susan A. Silverstein, Washington, D.C., for AARP Foundation Litigation, amicus curiae. I. The provisions of state and local law at issue here are not preempted by the 1996 and 1998 amendments to the Section 8 voucher program. (*California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272; *Pennsylvania Med. Socy. v Marconis*, 942 F2d 842; *Matter of Mott v New York State Div. of Hous. & Community Renewal*, 211 AD2d 147; *Drucker v Mauro*, 30 AD3d 37, 7 NY3d 844; *Pultz v Economakis*, 8 Misc 3d 1022[A], 2005 NY Slip Op 51238[U]; *Matter of David v New York City Conciliation & Appeals Bd.*, 59 NY2d 714.) II. Reversal of the Appellate Division's decision would undermine the purpose of the Section 8 voucher program.

OPINION OF THE COURT

PIGOTT, J.

We hold that a landlord's determination to accept federal "Section 8" rent subsidy payments is a "term and condition" of a lease executed with a rent-stabilized tenant, within the meaning of Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1), so that a renewal lease must continue with that term and condition. Moreover, 42 USC § 1437f (d) (1) (B) (ii) does not preempt a rent-stabilized tenant's right to a renewal lease that includes the landlord's acceptance of a Section 8 subsidy.

Respondent Sonia Rosario has lived in a rent-stabilized apartment in New York City, owned by appellant Diagonal Realty, LLC, for over 30 years.¹ For most of that time, she has received Section 8 benefits from the New York City Housing Authority (NYCHA). The Section 8 system (Tenant Based Assistance: Housing Choice Voucher Program) is a federal program that provides housing assistance to eligible low-income families by giving subsidies to landlords who rent apartments to them (*see* 42 USC § 1437f). Once NYCHA has issued a Section 8 voucher to an eligible family, and the family has found a landlord willing to accept it, the landlord and NYCHA must sign a Housing Assistance Payments (HAP) contract (*see* 24 CFR 982.451). The

1. Her daughter and two grandchildren reside with her.

HAP contract specifies the terms of the landlord's participation in the Section 8 program. Section 8 tenants make rental payments based on their ability to pay, and NYCHA issues subsidy payments to the landlords to cover the balance of the agreed rent.

In February 2003, Diagonal informed NYCHA that it no longer wished to participate in the Section 8 program with respect to Rosario, and refused NYCHA's subsidy payments for her apartment. It then commenced a proceeding in the Civil Court of the City of New York to evict Rosario for nonpayment of rent.

Rosario and several other similarly situated plaintiffs commenced these actions against their respective landlords in Supreme Court, seeking a declaration that defendant landlords may not opt out of the Section 8 program. Supreme Court consolidated the actions and granted summary judgment in plaintiffs' favor, declaring that defendants "are obligated to continue accepting [plaintiffs'] section 8 rent subsidies and are not permitted to opt out of the federal section 8 rent subsidy program" (9 Misc 3d 681, 704 [2005]).

The Appellate Division affirmed, and then granted Diagonal's motion for leave to appeal to this Court. We now affirm.

[1] New York State's Rent Stabilization Code requires that landlords provide renewal leases requested by rent-stabilized tenants (9 NYCRR 2522.5 [b] [1]), and that every renewal

"shall be on *the same terms and conditions as the expired lease*, except where the owner can demonstrate that the change is necessary in order to comply with a specific requirement of law or regulation applicable to the building or to leases for housing accommodations subject to the RSL, or with the approval of the DHCR" (9 NYCRR 2522.5 [g] [1] [emphasis added]).

Diagonal does not claim that any of the exceptions apply, and the first question before us therefore is whether a landlord's prior acceptance of a Section 8 subsidy is a term of a lease that must be continued on a renewal lease. We hold that it is.

Landlords who accept Section 8 payments are required to include, in the leases that they sign with Section 8 beneficiaries, a "tenancy addendum" prescribed by the United States Department of Housing and Urban Development (HUD) (*see* 24 CFR 982.305 [a] [3]; 982.308 [b] [2]) or, if the landlord uses its own lease form, a "word-for-word" addition of the addendum's text

(24 CFR 982.308 [f] [2]). The tenancy addendum must specify, among other things, that “[t]he owner is leasing the contract unit to the tenant for occupancy by the tenant’s family with assistance for a tenancy under the Section 8 housing choice voucher program” and that “[t]he tenant is not responsible for paying the portion of rent to [the] owner covered by the . . . housing assistance payment.” By requiring such a tenancy addendum, the code makes acceptance of Section 8 subsidies a term of every lease that a landlord signs with a Section 8 tenant. Consequently, the obligation to accept Section 8 subsidy payments must continue in a renewal lease, as required by Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1).²

Diagonal suggests that this section of the Rent Stabilization Code is inapplicable because, when Rosario first signed a lease, she was not a Section 8 beneficiary. But 9 NYCRR 2522.5 (g) (1) makes no mention of a tenant’s initial lease. It requires that a renewal lease “be on the same terms and conditions as the expired lease”—not necessarily the original lease. “Expired lease” means the lease that will have just expired when the renewal lease is to become effective.³

Diagonal further argues that the Rent Stabilization Code protections are preempted by federal law, citing 42 USC § 1437f. Section 1437f restricts the ability of landlords receiving Section 8 subsidies to evict tenants. It provides that “during the term of the lease, the owner shall not terminate the tenancy except for serious or repeated violation of the terms and conditions of the lease, for violation of applicable Federal, State, or local law, or for other good cause” (42 USC § 1437f [d] [1] [B] [ii]). The phrase “during the term of the lease” was added on October 21, 1998 (effective permanently) (Pub L 105-276, 112 US Stat 2461, 2607).⁴ Before that date, landlords participating in the Section 8 program could not evict a tenant without establishing good cause, even if the tenant was at the end of a lease term; this was commonly referred to as the “endless lease rule.” Diagonal contends that the 1998 amendment allows landlords receiving

2. The New York State Division of Housing and Community Renewal (DHCR) states in its amicus brief that it has abandoned the contrary view it expressed in *Matter of Highland Management Corp.* (No. QB10041RO, DHCR, Nov. 6, 2002).

3. Rent Stabilization Code (9 NYCRR) § 2523.5 (a) uses the clearer term “expiring lease” in the same context.

4. The phrase was first added on April 26, 1996, effective for fiscal year 1996 only (Pub L 104-134, 110 US Stat 1321, 1321-281).

Section 8 subsidies to terminate a tenancy without cause when the lease term is over, and that it preempts New York law requiring landlords to renew—with the same terms and conditions—rent-stabilized tenants' leases.

In deciding whether state law is preempted by federal law, the Court's "sole task is to ascertain the intent of Congress" (*California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272, 280 [1987]; see also *Guice v Charles Schwab & Co.*, 89 NY2d 31, 39 [1996]).

"Congressional preemptive intent may be discerned in three ways: (1) expressly in the language of the Federal statute; (2) implicitly, when the Federal legislation is so comprehensive in scope that it is inferable that Congress intended to fully occupy the 'field' of its subject matter; or (3) implicitly, when State law actually 'conflicts' with Federal law" (*Drattel v Toyota Motor Corp.*, 92 NY2d 35, 42 [1998]; see also *Guice*, 89 NY2d at 39; *Barnett Bank of Marion Cty., N. A. v Nelson*, 517 US 25, 31 [1996]).

[2] Diagonal's preemption theory is belied by the legislative history, which shows that no preemption was intended. Indeed, the Senate Committee on Banking, Housing, and Urban Affairs could not have made the point more clearly when it reported that it did "not anticipate that the repeal of [the 'endless lease' rule] will adversely affect assisted households because *protections will be continued under State, tribal, and local tenant laws* as well as Federal protections under the Fair Housing Act and the Americans with Disabilities Act" (S Rep 195, 104th Cong, 1st Sess, at 32; S Rep 21, 105th Cong, 1st Sess, at 36 [identical language in both Senate Reports] [emphasis added]). The intent of Congress was to "streamline and simplify the [Section 8] program by reducing the involvement of the Federal government" and housing agencies (S Rep 195 at 31-32; S Rep 21 at 36). In other words, the legislative intent was to remove *federal* obstacles to landlords' participation in the Section 8 program.

HUD, moreover, introduced regulatory language clarifying that "[n]othing in part 982 [the federal regulations governing the Section 8 program] is intended to pre-empt operation of State and local laws that prohibit discrimination against a Section 8 voucher-holder because of status as a Section 8 voucher-holder" (24 CFR 982.53 [d]). This language was added in direct response to the 1998 amendments (see 64 Fed Reg 26632, 26641 [1999]). Thus, no intent to preempt state law is expressed in 42 USC § 1437f; in fact, the contrary is evident.

Turning to the question of implied preemption, it is clear that federal law does not so occupy the field of housing law that there is no room for state regulation. To the contrary, the states “have broad power to regulate housing conditions in general and the landlord-tenant relationship in particular” (*Loretto v Teleprompter Manhattan CATV Corp.*, 458 US 419, 440 [1982]). In this area, federal and state law depend on each other; neither excludes the other.

Finally, there is no conflict between federal and state law such as would suggest implied preemption. First, it is not impossible to comply with both federal and state law in this area; a law-abiding landlord receiving Section 8 subsidies will follow both 42 USC § 1437f (tenants in general will not be evicted without good cause during their leases) and Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1) (rent-stabilized tenants’ leases will be renewed with the same terms and conditions). Second, Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1) is no obstacle to accomplishing and executing the purpose of 42 USC § 1437f. The state regulation applies only to landlords of rent-stabilized property. The effectiveness of 42 USC § 1437f—as amended in 1998—in encouraging *free-market* landlords to participate in the Section 8 program is unaffected by the state regulation. We conclude that it was not the intent of Congress, when it ended the so-called endless lease rule, to remove state and local law protections afforded to Section 8 recipients.⁵

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order, insofar as appealed from, affirmed, etc.

[Next page is 801.]

5. Diagonal receives a “J-51” tax abatement, pursuant to Administrative Code of the City of NY § 11-243. That section contains an antidiscrimination provision prohibiting landlords that receive J-51 abatements from discriminating against tenants who receive, or are eligible to receive, Section 8 assistance (see Administrative Code § 11-243 [k]). This local law is not preempted by federal Section 8 law for the same reasons that Rent Stabilization Code (9 NYCRR) § 2522.5 (g) (1) is not preempted (see especially 24 CFR 982.53 [d]).